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The Routledge Handbook of Libertarianism

Edited by Jason Brennan, Bas van der Vossen, David Schmidtz

THE ROUTLEDGE HANDBOOK OF LIBERTARIANISM

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Introduction: Respecting and Caring

What is libertarianism? A philosophy book usually starts with definitions. But *libertarianism* refers to a body of related views on politics, justice, and economics. Libertarianism has the integrity of a neighborhood rather than a house. Asking what is libertarianism is more like asking what distinguishes Georgetown from Foggy Bottom than asking how the White House fits together.

There are such things as libertarian conclusions. By contrast, there seems to be no comparable sense in which there are libertarian premises, except insofar as a conclusion can be packaged as a premise. To us, this point—that there are libertarian conclusions but not libertarian premises—seems obvious, but it also seems to be minority view. It seems to be a respected way of passing the time in philosophy to argue that so-called "libertarian premises" can be jiggled and tweaked until they appear to entail non-libertarian conclusions. No one who argues that way, we would conjecture, has seriously claimed to be a libertarian while so arguing. If they did claim to be a libertarian, they would be treated as making a joke or perhaps as not knowing what the word really means.

Each of us has been told more than once that we're not *real* libertarians. We can't say we've lost any sleep over worrying whether it's true. Real libertarians, we hear from our non-libertarian academic colleagues, dogmatically assume that people are robust self-owners and then dogmatically take that premise to its logical implications, biting whatever bullets come with it. We can't say we're attracted to that kind of philosophy, and we don't see any of our libertarian colleagues in the academy doing this kind of work. But the fact is that friends and foes of the view want to simplify the view; friends to make it easy to defend, foes to make it easy to attack.

Caveats aside, here's a workable characterization of libertarianism. Libertarians conclude respect for individual liberty is the central requirement of justice. Libertarians advocate a free and open society of cooperation, tolerance, and mutual respect. They conclude each individual should be granted a wide sphere of personal and economic freedom to decide for herself how she will live. They conclude that healthy relationships and true communities are based on consent. They conclude each person possesses an inviolability, founded on justice, that forbids others from sacrificing them to achieve greater social stability, economic efficiency, or desirable cultural ends. And they conclude that the strength of this inviolability does not depend on one's social or economic place in society.

Libertarians also typically believe that, in general if not always, granting everyone a wide scope of personal and economic liberty has good consequences, while restrictions on liberty have bad consequences. Libertarians argue that free societies, compared to relatively less-free societies, tend to produce more wealth, happiness, prosperity, peace, good character, scientific knowledge, culture and the arts, and generalized trust. Libertarians do not deny that free societies encounter problems. They accept that markets and civil society sometimes fail. They do tend to be skeptical about the actual empirical tendency of interventionist government to make things better. They worry that the power we give to agents of government for the purpose of saving us will instead be used for whatever purposes that led those agents to seek the power that we gave them.

To a contemporary philosopher or student of philosophy, these sound like different sets of arguments or reasons. They would call the first set *deontological* and the second set *consequentialist*. Deontological arguments for libertarianism try to establish that libertarian institutions are intrinsically just, while consequentialist arguments try to establish that such institutions are useful for generating good outcomes.

Early classical liberals such as Adam Smith or John Locke were not enamored of, and not quite aware of, the deontology-versus-consequentialism distinction. They made both sets of arguments with no apparent worry about any sort of conflict.

By the twentieth century, philosophers came to believe that these ways of thinking were deeply at odds. Not surprisingly, and perhaps as a result, we saw a split in libertarian thought. Libertarian economists and social scientists tended to emphasize the consequences of market. For instance, Milton Friedman and other economists in the Chicago School pushed the idea that markets, and civil society more broadly, work better than most people think. James Buchanan and other economists in the Virginia school emphasized the apparently revolutionary ideas that we should judge government by how it in fact performs rather than how it ought to perform, and that we should not pretend that government agents are angels rather than people. For them, the argument was as follows: Markets fail. So do governments. But, generally if not always, markets fail less badly.

In contrast, libertarian philosophers tended to argue that in order to respect others as members of the moral community and as ends in themselves, we owe them an extensive sphere of personal liberty. They argued that we cannot treat individuals as tools to be exploited and discarded so as to promote the good of others or society as a whole.

In footnotes here and there, the libertarian philosopher Robert Nozick hinted that he thinks it's important that markets work well. Nevertheless, his main style of argument was to say to those on the left, "Your argument for regulating the market applies equally well as an argument for regulating friendship, but you think it only 'works' as an argument for state control of the economy and not state control of friendship. Why? Do you have a principled, non-question-begging reason to distinguish the two?" For whatever reason, Nozick was read as saying that justice demands libertarianism though the sky falls and though it would "starve or humiliate ten percent of [Nozick's] fellow citizens" (Barry 1975, p. 332). For a while, academics interested in Nozick seemed to take the bait;

they thought their job really was to show that the bitter pill was worth swallowing, never mind that Nozick never meant that.

Contemporary libertarian thought has more in common with Adam Smith's classical liberalism than what we see in Murray Rothbard or Nozick. Adam Smith, David Hume, and other early classical liberals saw themselves as philosophers studying the humane sciences, which encompassed and integrated the fields we would now call philosophy, economics, political science, and sociology. Interestingly, the majority of the libertarian scholars we invited to participate in this volume would call themselves specialists in politics, philosophy, and economics or PPE. Adam Smith famously began the *Wealth of Nations* by extolling the division of labor, but contemporary libertarian scholars seem to think that the division of intellectual labor—in particular, dividing the questions of what's just from the question of what works—has gone too far. It is as if we said, "The job of philosophy is to ponder how unfair it is that some people have green lights and some people have red lights. But to really focus on the deep theoretical, conceptual, ideal theory issues, we have to set aside practical problems like how to manage traffic."

Perhaps everyone now agrees that consequences matter. Institutions are more like hammers than they are like people. We value hammers for what they help us to do. If a hammer fails to do its job, or if an institution (such as private property, markets, or democracy) fails to help us live together in peace and prosperity, it's time to look for a better tool. Good institutions are good because of what they help us to do, not because of what they symbolize or who made them.

Still, knowing that we should care about consequences doesn't tell us exactly how to care about them. It's an easy mistake to think that if some outcome is required by justice, it follows, for that reason alone, that it is government's job to make the outcome happen through direct means or to guarantee that it occurs. For instance, if one thinks that a hallmark of a good society is that it produces high culture, one might conclude that government ought to subsidize the arts.

Consider: Karl Marx said the problem with liberal society is that only guarantees "formal liberty." In a spirit of liberal equity, it guarantees to both the homeless person and the billionaire that no one will steal any yachts or mansions they happen to have. But, Marx said, surely what matters in the first place is that people actually have stuff. It's only of secondary importance that they feel secure that their neighbors and their government won't confiscate their stuff. Real freedom is a matter of what workers can *do*, not what others can't do to them.

Marx is onto something. Still, libertarians (or, really, anyone familiar with standard economics) have a response: that "real freedom" is found in commercial society and almost nowhere else. That's not an accident. The resources needed for people to enjoy such freedom need producing. And production happens only when workers and employers alike are secure in their rights.

Contemporary left-liberals sometimes take their cue from Marx. They aren't by any means Marxists, but there's an expressed desire to "fix" classical liberalism so as to insulate it from Marx's critique. Left-liberals sometimes say, following Marx, that what justifies social institutions is that they promote most people's welfare. They then conclude that this implies that government ought to *guarantee* that people achieve a certain level of welfare.

Do we want government to issue legal guarantees that people will achieve a certain level of welfare? We don't answer that question by stressing that human welfare is important. Rather, the answer depends on what actually happens when government issues those guarantees and tries to fulfill them. That depends on how competently, efficiently, and reliably government can fulfill those guarantees compared to all the alternative means of generating the same results. It thus also depends on how people *react* to the guarantees. There is a difference between guaranteeing in the sense of *rendering something inevitable* (as when an economist says that capping the price of gas at $1/gallon right now would guarantee a shortage) versus guaranteeing as *expressing a firm commitment* to achieve a goal (as when the Bush administration guaranteed no child would be left behind).

In contrast, libertarians and classical liberals infer from general observation that most social goals are best pursued indirectly, in particular, through spontaneous orders (Hayek 1960; Schmidtz and Brennan 2010). A commercial market is a paradigm of a spontaneous order. To produce even a lowly pencil requires mobilizing a massive complex system of actors: foresters, miners, sailors, metallurgists, chemists, gluers, accountants, and more. The market mobilizes the army of people who make the pencil, but not one plays the role of general. The cooperative system that produces pencils is a product of human action but not of human design.

Oddly, one of the best defenders of these ideas was the early John Rawls. Rawls asks us to consider the point of a game, such as baseball. We want the game to be fun and exciting. But it doesn't follow, though we want the game to be fun and exciting, that the umpires or players should "aim" to make the game fun. Umpires on the field are not supposed to judge individual moves or plays on the field with goal of maximizing fun. If they did that, it would mess up the game—the game would not end up being much fun. Part of what produces the fun is the tension and challenge created by having set rules. The rules can be changed or modified for various reasons (for instance, to make the game more fun, safer, quicker, or whatnot), but individual umpires are not supposed to change the rules on the field, and individual plays are not supposed to be refereed with the goal of maximizing fun.

A libertarian might extend the lesson as follows: If you want to make sure everybody has pie, perhaps you should worry less about distributing pie and more about respecting bakers.

That sounds like something a libertarian would say, but in a sense it's just textbook economics. The dominant view in development economics is that the "least advantaged" enjoy a high standard of living only in societies that have experience sustained economic growth, and that sustained economic growth results from having *good economic and political institutions* (Acemoglu, Johnson, and Robinson 2005; Acemoglu and Robinson 2012; Rodrik, Subramanian, and Trebbi 2004). These institutions include private property, stable government, and open markets.

Societies flourish, in other words, when they treat the people within them as something like self-owners. Libertarians see this as a key part of the argument *for* self-ownership. We see self-ownership as a moral principle but not one that figures as a basic premise in our thinking, let alone a self-evident one. We consider people self-owners because of what the rejection of that idea implies, both for societies as a whole and for the individuals that make them what they are. The big questions are: For each person, who gets control rights over that person, society, or the person herself? Who has the right to say yes and who has the right to say no? Around the world, we see the following trends: The places that see individuals as ends in themselves and their institutions as tools for supporting individuals are happy, prosperous, and progressive. The places that see their institutions as ends in themselves and their individuals as tools for supporting the institutions are the opposite.

This book explores the contours of libertarian (also sometimes called *classical liberal*) thinking on justice, institutions, interpersonal ethics, government, and political economy. We've invited leading critics to say what they think libertarians get right and leading libertarian theorists to say what they think libertarians get wrong. We've asked scholars to help us rethink what libertarianism has been and could be, and why it matters. Libertarians bill their theory as an alternative to the traditional Left and Right. This volume will help readers explore this alternative without preaching it to them.

Part I asks, what should libertarianism learn from other theories of justice, and what should defenders of other theories of justice learn from libertarianism? Part II asks, what are some of the deepest problems facing libertarian theories? Part III asks, what is the right way to think about property rights and the market? Part IV asks, how should we think about the state? Finally, part V asks, how well (or badly) can libertarianism deal with some of the major policy challenges of our day, such as the questions of immigration and trade, religion in politics, or whether paternalism is justifiable in the face of consumers' irrationality?

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I

Libertarianism and Other Theories

1

Learning from Libertarianism: Thanks from an Unrepentant Social Democrat

Richard W. Miller

Like many, probably most, political philosophers, I support laws that would substantially reduce economic inequalities that capitalism otherwise creates and would not dream of describing myself as a libertarian. Yet I will argue that libertarians have had important lessons to teach the likes of us. These lessons are deep. They ought to transform our typical premises and projects, even though they need not transform us into libertarians.

The nature and scope of these lessons is obscured by difficulties in categorizing the typical outlook of those with much to learn. "Egalitarian" is sometimes used to evoke our most pervasive common feature. But like all labels in political philosophy, including "libertarian," "egalitarian" threatens to be either parodic or soporific. Few philosophers who would accept the label are levellers with a goal of economic equality, yet the treatment of people as equals is not a distinctive philosophical stance. Deepening the problem of characterizing the two sides in the productive exchange, most philosophers who would not dream of calling themselves "libertarian" think, nonetheless, that protection of the most important liberties is the most important political goal. They do not accord all freedoms this special status, especially in the economic realm, but this limitation does not distinguish them from most self-described libertarians. Few self-described libertarians are defenders of freedom from all interference with self-advancement that does not itself interfere. For example, few complain of taxation to fund fire departments and the construction and maintenance of highways.

The best way to make clear the importance of learning from libertarianism is to make the target of instruction political as well as philosophical. Most philosophers who would not dream of calling themselves libertarian seek to provide moral foundations that could sustain a familiar political program whose least misleading label is probably "social democracy." After briefly describing this program in what are, I hope, boringly familiar terms, I will describe important lessons that philosophical social democrats should learn from libertarians. Libertarians have demolished the foundations in fairness for social democracy that philosophical social democrats have tried to construct. They have rightly emphasized the inherent value of forms of commercial self-advancement that philosophical social democrats have typically regarded as, at most, instrumentally important. Libertarians have correctly insisted that economic justice has no pattern. While all of these lessons can be absorbed by social democrats, the infusion makes a difference to their goals of economic justice; it does not just evoke new arguments for old prescriptions.

Granted, if all these lessons can be absorbed by social democracy, that is a reason for libertarians to consider becoming social democrats, or, in any case, to base opposition to social democracy on empirical criticisms of efficacy, not moral characterizations of what constitutes oppression. For libertarianism has distinctive problems of its own. The outcome of social democrats' learning from libertarianism might, then, be reconciliation, in which each side has reason to be grateful to the other.

SOCIAL DEMOCRATS AND LIBERTARIANS

The audience for the libertarian lessons that I will describe are philosophers who share (and share with many millions of nonphilosophers) a political perspective with the following elements, which often lead to the complaint, "There is too much economic inequality in my country." While these philosophers are not opposed to a market-based economy, they support political measures to improve people's lives that would substantially reduce economic inequalities that capitalist enterprise would otherwise create. While the improvement that they seek includes help for those who are poor, they think that many others, who are not poor, should also be helped to meet a variety of needs through measures that reduce the income of the best-off in their societies. For example, along with anti-poverty programs and assurance to the poor of care for severe illness, they want government to provide extensive access to educational and cultural resources and assurance to all of adequate care for illness in general. They want policies for taxation and growth that give strong preference to the income of those who are not rich over those who are. They believe that these measures would be enacted if their fellow citizens were well-informed and fulfilled their political duties.

People with this shared political perspective identify themselves through a variety of labels. In the United States, they call themselves "liberals" or "progressives." Elsewhere, they may call themselves "social democrats" or "socialists." Since "liberal" evokes a very different outlook outside of North America, "progressive" claims a presumptuous title to the way forward, and "socialist" evokes obsolete critiques of capitalism, "social democrat" is the least misleading name.

Social democrats seek to use the state to help some people by means that require taking from others. The help that they seek ranges far and wide among sources of wellbeing. This use of the state is morally wrong unless it is impartial; it is wrong to force people to contribute to an endeavor in which they count for less than others. So, on philosophical reflection, the general goal of social democrats, in matters of domestic economic justice, ought to be, at least to a first approximation, the impartial promotion of the wellbeing of members of their society. Taking the failure of utilitarianism as a lesson already learned from powerful critics including John Rawls in their camp and Robert Nozick among libertarians, philosophical social democrats should regard the endeavor of impartial political promotion of wellbeing as appropriately monitored by some version of Rawls' device of "the original position." A variant of the original position of representatives that Rawls came to favor after *A Theory of Justice*[1] is well-suited to this task: A system of laws and policies that shapes people's lives throughout a society is relevantly impartial if one would choose it if one sought to advance the wellbeing of someone for whom one is responsible, among those who will be affected, but did not know who this is.

Of course, the general aspiration to laws that impartially promote wellbeing might not be effectively pursued by the social democratic political program. Its uses of the state might be pervasively self-defeating. This dependence on empirical facts is nothing to be ashamed of. To the contrary: only fanatics base political programs on moral principles alone. At the same time, in the division of labor that advances principled political argument, the philosophers whom I have just described have the distinctive task of finding sound moral foundations for social democracy, moral principles that yield social democracy when combined with empirically warranted claims about efficacy. So, they should be on the lookout for productive challenges from partisans of moral principles different from their own.

The challenges whose productivity I will celebrate come from libertarians. Who are they? In answering this question, one can take advantage of the universal opinion that Robert Nozick was a libertarian when he wrote *Anarchy, State and Utopia*. At the start of his book, he summarized his stance as the view that any state that goes beyond "the narrow functions of protection against force, theft, fraud, enforcement of contracts, and so on … will violate persons' rights not to be forced to do certain things, and is unjustified" (1974: ix). Unfortunately, "and so on" is vague, and the measurement of functions as "narrow" depends on shifting terms of political and philosophical combat. Many of those who regard themselves as libertarians and who look to *Anarchy, State and Utopia* as a central source of insight would locate in that "so on" governmental endeavors, coping with public goods problems, externalities and other obstacles to self-advancement, which include tax-funded fire protection, construction and maintenance of highways, elementary education, and the imposition of patent-protection and limits to liability for unpaid debts. The distinctive feature of the activities that they support, shared with those that Nozick names, is that these general endeavors advance the self-chosen projects of some and have expected net lifetime costs for no one on account of their expected benefits. (The absence of net costs for anyone, despite the imposition of some costs, is also the feature to which Nozick himself appeals in justifying the state that he countenances in the face of anarchist objections.) The crucial contrast with the general aspiration of social democracy is the "noteworthy implication" that Nozick immediately presents: "the state may not use its coercive apparatus for the purpose of getting some citizens to aid others." Someone who accepts this much breadth to Nozick's "and so on" will have a corresponding understanding of economic entitlement: holdings that result from noncoercive work, nonfraudulent exchange and voluntary transfer ought not to be interfered with in ways that can be expected to impose net costs on some who advance themselves through those processes.

Someone who endorses these views of just political coercion and morally protected self-advancement, for reasons that do not depend on empirical beliefs about further beneficent consequences, should be regarded as a libertarian. Since nothing is gained by stringent definitions of affiliation (least of all from someone who would not dream of affiliating), I will also include those who regard these views as much closer to the truth than current rival perspectives and derive insight from them to criticize those perspectives.

LESSON 1: THE LIMITS OF FAIRNESS

Few philosophical social democrats think that there is a general duty to choose as one would from a standpoint of impartial concern for everyone. Yet they have a political program based on impartial political concern, and they ask fellow citizens to join them as a matter of moral duty. What could be the grounds for this moral appeal? The reasons that they give have been reasons of fairness, presented or prefigured by Rawls in *A Theory of Justice*, where he labeled his theory "justice as fairness." Libertarians' criticisms of those reasons, presented or prefigured by Nozick in *Anarchy, State and Utopia*, have created cracks in these foundations for social democracy that have not been repaired.

It might seem that the requirement of impartiality in what a government does is all that is needed to sustain a requirement that political choice express impartial concern. But that quick inference would show a misunderstanding of the limits to the proper functions of government at the core of libertarianism. Within its proper sphere, government should be impartial. But what is this proper sphere? The issue is whether people have a duty to support the extension of political coercion beyond endeavors that improve the lives of some, with no significant risk of imposing net lifetime costs on others, into the endeavor of impartial political provision of help that does impose a significant risk of net lifetime costs on some. A rationale is needed for this further step, a rationale that a cluster of considerations that stand behind the label "justice as fairness" seeks to provide.

One rationale, suggested by several passages in *A Theory of Justice*, is that those who benefit from undeserved advantages, such as birth in a favorable situation, must ignore those benefits when they consider whether laws conforming to proposed distributive standards would treat them justly.[2] But it does not seem that people do something wrong in making good use of undeserved advantages so long as those advantages are not wrongly obtained. Why, then, should they ignore these benefits in considering whether laws treat them justly?[3]

Another rationale is suggested by Rawls' claim that reliance on the original position reconciles the imposition of a basic structure with the autonomy of those on whom it is imposed, so that "society … comes as close as a society can to being a voluntary scheme" (1999a: 12). Developing this theme, those who have joined Rawls in refusing to extrapolate his account of justice beyond national borders have emphasized the special moral challenge posed by political coercion. (See, for example, Miller 1998; Blake 2002; Nagel 2005.) The corresponding rationale would be that political coercion is unjust unless it has an adequate justification to those subject to it; the justification must be based on a standard for judging the total system of laws that each would choose as best promoting his or her interests as a whole in the course of his or her life if ignorant of the special features of those interests. But the need for impartiality in laws that can be justified to all citizens despite their coerciveness does not obviously require a general commitment to use government to impartially advance every citizen's interests as a whole. Laws protecting against theft, fraud, murder, and rape should be financed and administered impartially. But why should those on whom the laws are imposed take on further projects of redistribution?[4]

Another rationale appeals to everyone's profound dependence on a shared system of social cooperation. Since each would have hardly anything in the absence of a shared cooperative scheme, the right framework (the argument goes) must distribute benefits in a way that each would choose in seeking to advance his or her life prospects as a whole without knowing his or her actual advantages under the current scheme. (See, for example, Rawls 1999a: 4, 88.) However, the profound extent to which each of us depends on others' initiatives in production and exchange (including the contributions of the long dead) would seem to be appropriately acknowledged through participation in production and exchange, helping to continue progress without insisting on impartial distribution (as Schmidtz forcefully argues in 2006: 90–3). People invest their own energy, initiative, and ingenuity and take their own risks in making use of the facilities they share in order to advance their legitimate goals. If the facilities are fully and fairly paid for, why do the more successful users have an obligation – indeed, an enforceable obligation – to give up gains to help those with less?

The difficulties that I have described also make it difficult to justify other proposed foundations in fairness, such as the imperative to minimize burdens of inferior brute luck (see, for example, Arneson 1989; Cohen 1989) or Ronald Dworkin's conception of the sovereign virtue of economic equality (Dworkin 2000). A philosophical social democrat might hope that these cracks in the standard foundations in fairness of social democracy will be patched up. But this project of repair has not gotten very far in the course of four decades. Alternatively, she might concede that there is no duty of fairness to support the impartial political promotion of wellbeing. Indeed, she might concede that not everyone has a duty to support this endeavor (a concession that I will recommend). These concessions will transform the standard moral foundations for social democracy but will not, by themselves, force abandonment of the program as one conscientious political choice. However, if that political program is wrong, if it is unjustly oppressive, the social democrat must abandon it. Libertarians think that social democrats are unwitting oppressors because of their intrusions on property rights. Here too, they have much to teach, even if the intended lesson is too harsh.

LESSON 2: PROTECTING SELF-RELIANCE

Libertarians insist that it is wrong to take what someone has acquired through noncoercive, nondeceptive activities in order to help others even when the resulting holdings are morally preferable apart from their history. Social democrats should accept that such taking can be wrong. The mere fact that Friday's taking yams and dried fish from Crusoe's hut would lead to a better set of holdings (say, because Friday has a young child to take care of) does not make the taking all right. Granted, the fact that taking benefits of free enterprise to help others is sometimes wrong does not entail that it is always wrong. That extreme claim has always been a burden for libertarianism. If Friday Junior is drowning, and Crusoe refuses to let Friday toss a life preserver that he uses to ornament his hut toward the drowning child, since the waves might carry it off, it does not seem that Friday does wrong in taking and tossing. But social democrats cannot exclusively rely on convictions about such extreme cases. The program they support takes from some to help others to avoid deprivations that are not dire, such as merely uncomfortable illness and lack of affordable access to advanced education. If this were not so, they would be ordinary conservatives, not social democrats.

In general, because of the breadth of the needs it serves, political reliance on impartial concern evokes the specter of an intrusive Nanny State using the threat of forcible confinement to take from some to help others without proper regard for property rights. A partisan of social democracy has to absorb the libertarian lesson that property rights matter apart from beneficial effects on holdings without introducing constraints that rule out social democracy. This need is the second major challenge from which philosophical social democrats must learn. Nozick says as much in a footnote to his most celebrated example, the fable of Wilt Chamberlain, where he notes that "here and elsewhere …, a theory which incorporates elements of pure procedural justice might find what I say acceptable, *if* kept in its proper place" (1974: 162) but challenges theorists who would regulate the social consequences of free enterprise to justify their mixture of protections for free enterprise and constraints on its social outcome.

In fact, respect for property rights is essential to, not in tension with, impartial concern for persons. A Nanny State that takes greater material need to be enough to dictate transfers to those in greater need is negligent, not tender-hearted, blithely ignoring the need for self-reliance.

If I am concerned for someone, if I want her life to go well, I must be concerned that she form worthwhile goals, including long-term goals, expressing what she cares about in life, and that she pursue them through her own efforts, with sufficient success that these personal goals give point and value to her choices. This object of concern is what I mean by the need for self-reliance. Indifference as to whether people are helped to get ahead by handouts or by their own efforts shows contempt for them, not concern.

Of course, acquiring what one has in the right way is not the whole story of wellbeing. Concern for people is also a desire that they have access to a variety of successes in living, for example, the enjoyment, development, and expression of personal affection and friendship; inquiry whose complexity, content, and demands suits their curiosity, interests, temperament, and capacity for learning; meaningful work and reciprocation for others' contributions in cooperation; the fulfillment of responsibilities that grow with growing capacities; the enjoyment of beauty; having fun. These and other aspects of living well have independent value, sometimes overriding self-reliance. If someone resolves never to go to a publicly subsidized museum because of the loss of self-reliance, he has turned an important aspect of wellbeing into an obsession. A similar qualification about balance applies to any dimension of wellbeing. Just as the obsessive independent impoverishes his life by rejecting all help, the good-for-nothing who only cares about having fun without seeking to achieve anything, the lazy aesthete who relishes high culture without caring about doing anything in return for what she relishes, and the workaholic who can only engage with his work lead lives that are worse because they are ill-balanced.

For most of us, these judgments of what lives are better or worse are among our most secure convictions. Of course, diverse sets of emphases are good, and no one combination is perfect, because of tensions among the dimensions of wellbeing (accomplishment and having fun, for example). Appreciation of the diversity of both dimensions of wellbeing and of emphases among them in well-balanced lives will inform the choices of representatives in the original position of impartial concern.

Because self-reliance is an important need, the political expression of impartial concern favors a system of property rights. People only have access to lives shaped by their self-reliant pursuit of goals through which they express their temperaments and interests if they have a secure expectation that resources they could acquire through a broad range of activities that do not intrude on others' self-advancement will be available to them to pursue those goals, including goals involving long-term plans. Without this protection, they must be overly dependent on others to advance their interests, devote themselves to defensive maneuvers, or confine themselves to a limited range of activities that may not reflect their temperaments, interests, and talents.

The property rights expressing due concern for self-reliance will not protect the retention of all results of noncoercive production and voluntary nonfraudulent exchange from all taxation to help others. Anyone can pursue a suitably wide range of suitably self-expressive worthwhile goals despite knowledge that some portion of the gains from work and contract will be taken for use in public causes. Still, outside of isolated and extreme emergencies, taking the results of free enterprise must be done through laws, not freelance taking, with its tendency to destroy long-term plans, dictate self-defense, and replace aspiration with rational anxiety. When laws are the basis for taking from some to help others, this must be justifiable as an impartial way of advancing needs other than self-reliance that are sufficiently serious that wellbeing is promoted despite the reduction of self-reliance. Moreover, there must be strong reluctance to suddenly, sharply increase the legally required transfers, since uncertainty concerning such incursion makes it hard to pursue long-term plans.

Impartial political concern is, similarly, supportive of, not in tension with, other rights and liberties, including those that both libertarians and social democrats seek to protect. For example, if one cannot openly express what one thinks or feels or must do so in the face of publicly endorsed contempt, this stifling and exclusion profoundly worsen one's life. No one who properly values her life would put protection of these aspects of her life in jeopardy for mere material gains; so a representative in the relevant original position would not make this gamble, either. The protection would be especially stringent and absolute in spheres that are central to a self-directed life, such as religion and intimate relations among consenting adults.

Despite its similarity to Rawls' reliance on morally justified "fundamental interests" in his later years, this moral foundation for social democracy is not "political–liberal," since it relies on assessments of ways of living as worthwhile and appropriately balanced. These assessments are part of impartial concern for persons. Perhaps they are not needed for justice as fairness, but that foundation for social democracy seems best abandoned in the face of libertarian attacks. This does not mean that people should steer others toward better ways of life through criminal penalties or should support the public branding of ways of life as inferior just because the rating is correct. These activities typically worsen lives by thwarting important needs for self-development and inclusion. But due concern for these needs does not paralyze other concerns. For example, support for education that depends on valuing insightful enjoyment of cultural achievements or a preference for improving opportunities over increasing transfer payments can justifiably, to some extent, marginalize people who do not care about culture or contribution, weakening inclusion in order to avoid sufficiently serious nonfulfillment of other important needs. While this perfectionism will not be welcomed by libertarians, philosophical social democrats should be grateful to them for revealing its presence in the moral foundation with the greatest promise of surviving libertarian criticisms.

In exorcising the specter of the Nanny State, I have sketched an argument that the politics of impartial concern wrongs no one and supports appropriate restrictions of what a government may do to its citizens. But the fact that impartial political concern for people's wellbeing is morally legitimate, in this sense, does not entail that a morally conscientious citizen has a duty to support it. Other choices (perhaps including the minimal state or protection of civil and political liberties supplemented by a low safety net) could be morally permissible on her part, even if the different dictates of impartial concern are a morally permissible choice, as well. "Justice as fairness" might have filled this gap through appeal to a duty to treat others fairly. But the first lesson from libertarianism, the critique of "justice as fairness," stands in the way of this appeal. Haunted by the apparent failure of the foundations in fairness, social democrats have to ask whether they can continue, in good faith, to invite people to join their movement as a matter of moral duty. Perhaps self-interest is their only positive appeal.

This conclusion would not merely be disheartening in itself. It would cast in doubt the claim that the goals and demands of social democracy would be the outcome of impartial political concern. If social democracy achieves majority support, as its democratic aspiration requires, the minority who do not share the dominant interests would be excluded from significant political argument, a harm of exclusion that worsens their lives. For those in the dominant coalition of interests, political life would have less value because it strives for the imposition of laws on people with no reason to actively support them. While there is nothing incoherent in an appeal to shared interests among some that is qualified by a commitment to political impartiality toward all, this is, in practice, an unstable combination, encouraging pork-barrel politics in which competing interest groups strive for favoritism. From the perspective of impartial concern, such costs in the coarsening of political life could be justified by dramatic gains in liberation from poverty. But the broader aspirations of social democracy, extending well beyond relief from poverty, are seriously threatened if they would entail these costs.

Taking the defeat of justice as fairness to heart, social democrats can still base their movement on a moral appeal. Even though impartial beneficence is not a general dictate of morality, one ought to be concerned for others. A general principle of concern along the following lines would express appreciation of the equal moral worth of all: Everyone's underlying concern for others ought to be sufficiently great that greater concern would impose a significant risk of worsening his or her life, if he or she fulfilled all further responsibilities; but apart from special relationships or interactions, it does not have to be more demanding than this. By "a significant risk of worsening one's life," I mean a nontrivial chance that one's life as a whole will be worse than it would otherwise be. What is jeopardized is one's ability to pursue enjoyably and well-worthwhile goals with which one intelligently identifies and from which one cannot readily detach. Neither the goal of concern nor the proviso about nonworsening requires prevention or avoidance of every loss that might otherwise be encountered, regardless of scale. Ordinary rain on an ordinary picnic does not produce a worse life than a sunny stretch. (Those who disagree on the grounds that the rain makes a picnicker's life worse, but not significantly, should understand all relevant sentences in this essay as implicitly including their adverb.)[5]

Suppose that social democrats are right in their indispensable empirical claim that their program will, impartially, advance wellbeing. (Since self-reliance is an aspect of wellbeing and inadequately justified coercion reduces wellbeing, their program must, then, substantially improve on self-help and private charity.) Suppose, too, as I have argued, that such a political endeavor of social democracy does not wrong anyone by intruding on her rights to be left alone. Then, a moderate principle of concern such as I have sketched creates a duty to support social democracy among those who satisfy the nonworsening clause.

These will include people who have sufficient expected benefits from social democracy that they should expect no net lifetime costs from this political program when they compare lifetime expectations under political programs compatible with their commitment to political impartiality. In addition, there are many well-off people, with considerable resources for self-help, who can expect net lifetime costs but not costs that make their lives worse. Going to less wonderful restaurants, drinking less wonderful wines, and buying fewer antiques makes a way of living less expensive, but it does not follow that it makes a life worse. Granted, wellbeing requires commitment to specific goals, expressing and shaping one's identity and guiding one's choices, in attachments whose disruption can worsen one's life. Social democrats can and should reduce this disruption among those attached to worthwhile expensive goals through gradualism, which the proper valuing of self-reliance in any case requires. Further reducing the extent of such disruption, they can and should support policies that channel gains from increased productivity to those with more significant unmet needs, avoiding the production of new attachments to expensive goals through use of these gains by the best off.

At least in developed countries, this circle of shared concern and duty would include the vast majority, if social democracy impartially promotes wellbeing. Since those in the minority whose lives would be worsened are not wronged (or so I have argued), they should yield without resentment to a vast social democratic majority who are pursuing a legitimate political goal in response to relevant reasons and compelling moral demands. Indeed, it would be rational for someone in such a minority to embrace social democracy as a personal commitment, sufficiently important to him that the sacrifices its success entails do *not* worsen his life. In this way, he would overcome pointless political loneliness, converting reluctant sacrifices into sources of pride.

There may be countries in which the majority have no duty of concern to support social democracy because of a significant risk that their lives will be worsened. (These might be people living on the coast of a country with an impoverished inland province.) Still, if social democracy has the moral legitimacy for which I have argued, someone in this majority has a duty of concern to support measures that promote wellbeing beyond what self-help and private charity accomplish, to some extent—an extent that does not impose a significant risk of worsening her life. So, if social democracy accurately expresses impartial political concern for wellbeing, an appeal to moral duty can still sustain democratic movement in the direction of social democracy, partly implementing impartial political concern for wellbeing. Combined with economic progress, which makes it easier to meet needs through self-help and reduces the impact on wellbeing of paying a given amount in taxes, this movement will eventually widen the circle of duty-bound support for social democracy to include the vast majority.

Like the establishment of fundamental respect for property rights, this response to libertarian criticisms is not simply a means of fending off those criticisms. Philosophical social democrats have tended to dismiss significant economic losses to the more advantaged as being of no moral significance when they are necessary for improving the life prospects of the least advantaged. But if the effort to ground social democracy in a duty of fairness is abandoned in favor of a duty of concern, acknowledgment of the proviso about non-self-worsening makes significant losses of the best-off morally important, regardless of gains to the worst-off. This concession is a major lesson from libertarianism, even if its consequences are less prohibitive than libertarians suppose.

LESSON 3: VALUE (NONEXPLOITIVE) CAPITALISM

Social democrats are not Marxists. They believe that some form of capitalism is preferable to any feasible form of noncapitalism. In particular, they think that some form of capitalism is preferable to state socialism, which does a worse job of delivering goods to those who need them and is a bad basis for democracy. In all of this, philosophical social democrats agree with libertarians. But the terms in which capitalism is endorsed tend to be very different, and not just because different forms of capitalism are approved. Philosophical social democrats rarely celebrate commerce, including the buying and selling of labor, as an inherently valuable human relationship. While appreciating that Marx's proposal for replacing capitalism failed, they are often receptive to his writings as a source of moral insight. In particular, they are often receptive to the assessment of the buying and selling of labor under capitalism as exploitive in typical cases, not just in the cases of extreme misery and drudgery that are atypical in advanced capitalist economies. For their part, libertarians regard capitalist commerce as a relationship that merits protection apart from its special capacity to deliver the goods and sustain democracy. They celebrate capitalism as an economic way of life.

I believe that merely instrumental endorsement of capitalist commerce (which can seem tinged with old-fashioned aristocrats' disdain for those in trade) is inadequate. Social democrats should endorse capitalist commerce as a valuable relationship of mutual help, to the extent to which what each party gains reflects the desirability of what each party offers. In addition to properly valuing a form of success that people are rightly proud of, learning this lesson from libertarianism helps to extract a grain of truth from the critique of capitalist exploitation. In contrast to gains from commerce as mutual help, gains from unequal bargaining power are nothing to be proud of. Yet they are a typical (though not universal) feature of the buying and selling of labor. The contrast between the value of the one form of activity and the lack of value of the other should play a role in political choice. In this way, learning a lesson from libertarianism helps in learning a lesson from Marxism, a lesson that yields criticisms of actual capitalism that are stalwartly bourgeois.

As usual in the moral scrutiny of economic relationships, *The Wealth of Nations* is a good place to begin. In his celebration of the virtues of "the propensity to truck, barter, and exchange one thing for another," Adam Smith notes that it answers to everyone's need at all times "in civilized society … of the cooperation and assistance of great multitudes" (2000 [1776]: book I, ch.2, 14). Commerce is a way to gain help from a great many people by offering help, transcending the necessarily narrow circle of genuine friendship without seeking strangers' benevolent attention to one's needs. "Give me that which I want, and you shall have this that you want," which Smith describes as "the meaning of every such offer" (ibid.) is not a token of love or friendship. But it expresses a valuable relationship of economic interdependence, in which people sustain reciprocity while minding their own business, rather than cluttering their lives with constant inquiries into others' needs and constant efforts to gain others' benevolent attention.

The realization that commerce, including the purchase of labor, can be a valuable form of mutual aid is quite compatible with another thought, implicit in Smith's discussion of actual wage bargains, that gaining from commerce can lack inherent value and increase the burdens of others' deficiencies to the extent to which it derives from others' inferior bargaining power. By "inferior bargaining power," I mean lesser ability than another with whom one engages in selling or buying to use this process to advance one's interests, lesser ability that is not due to the other's degree of interest in what one offers. To the extent that someone gains from superior bargaining power, his benefit from exchange with another does not depend on how much he helps her achieve her goals but on her lesser capability as an exchanger to convert help to him to help by him.

In his discussion of labor markets, Smith argues that "masters" are typically superior to "workmen" in this way, on account of greater time pressure on workmen to reach an agreement and lesser competitive pressure on masters (2000 [1776]: book I, ch. 8, 76). Indeed, his praise of economic regimes is largely based on their tendency to reduce these advantages, without eliminating them, by creating strong incentives to expand employment. While he sometimes notes the impact of measures that do not burden workers now, such as legal prohibitions of strikes, his basic argument is plausible today.

A modern version of Smith's argument might begin with such facts as these. Apart from managers, professionals, and highly skilled workers, most of those who work or seek work in every capitalist economy have few reserves of liquid financial assets, not enough to live on for a substantial period of time. Labor market studies consistently report that in normal circumstances, "vacancy rates are low, that there are typically many applicants for vacancies, and that average vacancy durations are very short (particularly in comparison with the duration of spells of unemployment)" (Manning 2003: 271). The market entry that could create countervailing competitive pressure on the employers' side is pervasively limited by insiders' advantages such as innovations based on proprietary information (often protected by patents), established reputations (often based on brand names), a secure network of suppliers and distributors, economies of scale, and risks of entering a market when investments in production facilities can only be liquidated at a substantial loss in case of failure.

Suppose that a case can be made for the modern prevalence of the sort of inequality of bargaining power that Smith discerned in typical labor markets in Britain in his time.[6] What would be the moral consequence? While deriving benefit from another's inferior bargaining power is nothing to be proud of, neither does it seem wrong, as such, even when the role of superior bargaining power is clear. A snow-plow operator who cruises highways in a newly settled tract in Alaska, extracting higher fees on account of the absence of competition and the urgency of stranded motorists' needs for a tow, will do wrong if he charges very burdensome fees for uncostly rescues or leaves people in misery if they cannot afford his normal charge. But these are wrongs of callousness. If he avoids them, his mere profit from superior bargaining power does not seem wrong.[7]

Still, the contrast between gaining from superior bargaining power and the mutual self-advancement that Smith celebrates makes a moral difference. It makes a moral difference in the assessment of laws. Suppose that a law has been passed through appropriate procedures and that it takes due care to avoid unpredictable disruption. Someone's protest, "But this will make it harder for me to get ahead by providing others with what they want," deserves consideration as a relevant complaint. In contrast, someone's protest, "But this will make it harder for me to benefit from others' inferior bargaining power" seems absurdly inappropriate, like the complaint against a law requiring labels that identify ingredients: "This will make it harder for me to benefit from people's ignorance."

If the Smithian claim about typical workers' inferior bargaining power is right, then Smith's implicit distinction between two forms of commerce can help to justify laws protecting labor-union organizing and strengthening labor unions' power. While these laws impede noncoercive, nonfraudulent self-advancement by employers, what would be impeded is benefitting from bargaining superiority, an activity with no inherent value that increases the burdens of deficiencies rather than helping to relieve them. Similarly, arguments for a tax-and-transfer policy will be stronger if it transfers gains from superior bargaining power. For example, if the disproportionate economic gains of the top 1 percent in the United States in recent decades and the vastly disproportionate gains of the top tenth of 1 percent are due to bargaining advantages (such as collusion with like-minded boards of directors at the very top), the case for redistribution is strengthened, just as critics of the New Gilded Age suppose. This devaluing of gains from bargaining superiority moves far beyond criticisms of "corporate welfare" that libertarians press. But like the libertarian criticisms, it depends on a contrast with thoroughly capitalist commercial activities deserving respect, respect that is not as deep as it should be among many philosophical social democrats.

LESSON 4: JUSTICE HAS NO PATTERN

Most philosophical social democrats agree with libertarians that utilitarianism is wrong and that justice is not a maximizing project. Most of this majority seems to think that economic justice is, instead, shaped in its major features by a distributive principle, that is, a determinate general principle regulating differences in benefits from economic activity throughout any society as a whole. Reflecting this assumption, they often use "distributive justice" as an equivalent of "economic justice." Their major internal controversies concern the right pattern for the crucial distribution and the nature of what the pattern regulates. In contrast, libertarians deny that economic justice has any distributive pattern.

The question of what the distributive pattern ought to be has been a source of endless controversy among philosophical social democrats. Large gaps in their focal text, *A Theory of Justice*, were signs of troubles to come. There, distributive justice is regulated by two principles, to be realized so far as a prior principle of civil and political liberty allows. The first principle of economic justice, which has absolute priority over the second, requires fair equality of opportunity, which, Rawls writes, demands that "In all sectors of society there should be roughly equal prospects of culture and achievement for everyone similarly motivated and endowed" (1999a: 63). The permissible range of this roughness is not further specified, and the priority is asserted without significant justification.

The second principle, regulating "in the first approximation … the distribution of income and wealth" (53), is introduced as requiring an equal distribution unless inequality is to everyone's advantage. But this principle, the difference principle (the center of attention despite its secondary standing), turns out to be an injunction to "maximize the welfare of the worst off representative" individual, going up the ladder in maximization so far as maximization in the lower rungs allows (72). While much depends on how the worst-off representative individual is specified, Rawls only offers two tentative alternative specifications, confessing, "Any procedure [for setting a reasonable social minimum] is bound to be somewhat ad hoc" (84).

This reticent open-mindedness was a great virtue of Rawls, entirely appropriate in the pioneering endeavors of a great book. But in the decades since, his sketch has not become an adequate pattern. Improving opportunities afforded by education and early environment has special importance in the impartial promotion of wellbeing because of the importance of self-reliance. But strict priority for a principle of equal opportunity seems inappropriate. The commitment of labor time, skills, and facilities to education can divert too much from other forms of provision and sources of self-advancement and can create skills too far in excess of employment opportunities. At the same time, the proper valuing of relations among family, neighbors, and friends limits the governmental shaping of childhood environments. Concerning the question of "how to specify and weight the opportunity principle," Rawls himself eventually acknowledged, "I do not know what is best here and simply register my uncertainty" (2001: 163).

If they turn to the difference principle as a source of guidance, social democrats have to make a principled choice among different worst-off groups whose average wellbeing is identified with the lot of the worst-off representative individual—and there is no principled choice. If this is a small group burdened by a combination of stringent disadvantages, these disadvantages (say, of upbringing, neighborhood, and social networks) may be sufficiently resistant to the improvement of lifetime income and wealth that enacting laws and policies that maximize income and wealth among the worst off is a project that would be rejected from an impartial point of view. People in the rest of society may have too much to lose. Maximizing the income and wealth typical of a larger group, say, those with no more than unskilled workers, would not be as difficult. But perhaps not enough would be done, from the standpoint of impartial concern, for those in a smaller worst-off group.

Rawls' principles are not the only proposed distributive pattern. But the newer patterns have problems of their own. One tendency, to the left of Rawls, proposes that an extreme version of equality of opportunity is the central principle of distributive justice, a principle requiring maximization of access to advantage of those with inferior brute luck (see, for example, Cohen 1989). The apparent injunction to transfer cheering resources from cheerful people to somewhat grumpy people and the apparent approval of neglect of those who suffer from bad choices for which they are responsible strike many philosophical social democrats as defects in this pattern. Many worry that the elimination by political means of inferiority in brute luck (including the brute luck of early upbringing) could be excessively intrusive. To cope with such liabilities, first-person prerogatives are typically allowed, deprivation resulting from freely chosen options is accepted as a reason to help, and a possible need to restrict luck equalization in the name of liberty is admitted.[8] But nothing is done to show that the favored pattern of equality is of central importance once these and other considerations are given their proper scope.

In search of a more plausible pattern, some (for example, Anderson 1999: 321–6) propose that equality of status is the hallmark of economic justice. But this seems to entail that working people and their children need not be helped by government programs to have access to culture, interesting leisure, lessened physical discomfort, and work lives suiting their temperaments and aptitudes if deficiencies do not lead to condescension by the better off or expectations of servile deference. This thought is ill-suited to social democracy. Of course, the grit of those who work hard and do not earn much merits admiration, not condescension, but the currency of such appreciation would not make worries about how little they earn, how hard they work, and the difficulties of advancement for themselves and for their children irrelevant to political choice.

The continuing search for the pattern that shapes economic justice is due, in part, to the attempt to base social democracy on fairness. In Nozick's quip (1974: 198), those rationales often treat benefits due to the exercise of traits that no one deserves or the use of legal frameworks and technological legacies on which all are utterly dependent as if they were manna from heaven, of which everyone should get an equal share unless she has good reasons to accept an unequal arrangement because it gives her more absolutely. If social democrats should abandon justice as fairness in the face of libertarian criticisms, as I have proposed, they lack those reasons to continue their troubled search for the pattern of distributive justice.

Instead, they can absorb the libertarian lesson that justice has no pattern. In the practice of ordinary principled political argument, such patterns play no role. In this practice, social democrats argue that the projects of government help that they support, including but going well beyond help to the poor, promote the general welfare. Philosophical social democrats can explicate this goal as one of impartial concern, to be monitored by asking what one would chose if one sought to promote the wellbeing of a member of society one represented but did not know who he or she was. To this extent, they benefit from Rawls' legacy. But the choice of political measures as informed and rational ways of implementing impartial concern in current circumstances does not require the application of a determinate comprehensive distributive principle dictating the right choice in all circumstances when combined with empirical facts. In this respect, as in others, the lesson that philosophical social democrats should gratefully learn from the insights of libertarians is to be more like ordinary social democrats.

INSTRUCTION AND ILLUSION FROM PUBLIC CHOICE THEORY

Even if social democrats are right to argue that private enterprise and private charity are seriously deficient in meeting needs, there are systematic liabilities of the resort to government. Although such reasons for caution have often been described in work by social scientists who are social democrats, they are welcomed with special warmth by libertarians. In particular, they urge attention to liabilities exposed by the theory of public choice, the study of general mechanisms by which people's interests and resources tend to shape political outcomes, in which Mancur Olson and James Buchanan are seminal figures. These are valuable warnings against one-sided attention to the deficiencies of private choice, warnings that ought to inform political judgment.

Olson emphasizes the interaction of the costs and benefits to individuals of their own political initiatives with the effective political activity of groups in which their interests are shared. If a collective that would benefit from political influence is large and the impact of a policy choice on each member is not large, then, all else being equal, a typical member will not let political engagement distract her from private endeavors, since she will make hardly any difference in a process lacking major impact on her life. So, there is a tendency, all else being equal, for small groups with especially strong interests to be more effective, even when their success limits the impartial promotion of wellbeing in society as a whole. While this all-else-being-equal tendency is the central theme of *The Logic of Collective Action* (1965), Olson notes countervailing factors, as well. To some extent, the tendency can be countered by the leadership of large, politically active formal organizations, such as large labor unions or federations of unions, that favor members in the provision of special benefits, creating a special incentive to contribute to a strong collective (16, 43, 51, 68–9, 73, 140). Further countering the tendency favoring small special-interest groups, organizations and movements can be sustained by individuals' sense of "personal moral worth" derived from participation rather than their estimate of the difference they make (160; see also Buchanan 2000 [1975]: 138). Leaderships of political parties are a further counter, strongly motivated by the desire to be elected to public office on the basis of a platform with suitably broad support (Olson 1965: 165; see also Buchanan 2000: 198).

Buchanan emphasizes the impact of the self-interest of members of the electorate on votes determining legislation. If the rule is "majority wins," then trading of support for legislation among groups with distinct interests or their representatives may, over time, produce total expenditure that is excessive from the standpoint of most or even all. On the other hand, this "log rolling" can produce a better fit with impartial concern than its absence, since the trades reflect intensity of interest.[9]

Attention to the mechanisms that public choice theorists describe should and does inform social democrats' preferences among laws and strategies. For example, realism about public choice and special interests gives social democrats special reasons to integrate mandates to tax and spend in an overall budget whose fiscal burdens are transparent and readily debated; to favor broadly based labor organizations in which the breadth of membership gives the leadership cause for concern for the impact of political measures on the economy as a whole (see Olson 1982: 48, 90); and to prefer relatively simple regulations aimed at problems with extensive serious impact to microregulations that engage the intense attention and energy of small interest groups.

The mechanisms producing all-else-being-equal tendencies that public choice theorists describe must be distinguished from their guesses about the actual long-term course of politics, which often seem quaint in retrospect. In 1965 (162–5), Olson proposed that political parties will have weak organizational resources and limited financial resources, except for municipal political machines. In 1975, Buchanan asserted a continual powerful general tendency of politicians to support expansion of the fiscal budget's role in the economy and the government's role in society (2000: 199). In 1982 (40–1), Olson proposed that organizations and collusions for collective action that are strong—paradigmatically, labor unions—will remain strong indefinitely in the absence of new legal constraints or destructive disorder. Such guesses about the net impact of incentives and resources could support the rejection of social democratic advocacy from the standpoint of impartial concern. Without them, public choice theorists simply free social democrats from chains of naïve optimism.

A realistic appraisal of the role of people's interests and resources in the democratic political process does not just improve the efficacy of social democracy, it also strengthens the case for a social democratic political movement. There is always a significant political party or coalition of parties with great strength depending on appeals to citizens' desire to cut taxes and reduce government spending to help meet needs. This strength is ensured by many people's tendency to pay more attention to the immediate gain to their net income from tax cuts than to long-term consequences, their generalization from particular failures or excesses of government to typical incompetence (which the leaders of those parties have a vital interest in encouraging), and their reluctance to consider their own dependence on government benefits. Those with great wealth and income have disproportionate capacities to make political contributions and contribute to lobbying and advertisements influencing public opinion, while their potential losses from social democracy tend to encourage opposition to taxing-and-spending and regulation intended to help those worse off. Those at the commanding heights of the private economy, with special interests in reducing their tax and regulatory burdens, have reasons and resources for detailed attention to public policy making, while policy makers, whatever their political affiliations, must rely on them for advice and have reasons to fear the economic consequences of their distrust. If capitalism, along with its many benefits, leaves many serious needs unmet that could in principle be met without morally significant loss (a claim that public choice theory does not reject), then, on a realistic appraisal of mechanisms of public choice, a social democratic political movement is a beneficial countervailing force.

AN INVITATION

The lessons that social democrats should learn from libertarians can have an impact on libertarians as well. Those lessons strengthen the case for leaving libertarianism and joining social democracy.

Many libertarians carry a burden: consequences of their general commitments that they find hard to accept. If libertarianism is right, then Friday does wrong to gently yet firmly wrest the life preserver from selfish Crusoe's hands, and a government does wrong to impose any tax to finance any medical care for the destitute that does not serve the interests of billionaires. The minimal state's coercive protection of free enterprise extends both to the protection of wealth in the presence of dire need and to the enforcement of contracts by which people escape from dire need by selling themselves into slavery for life. The minimal state enforces clauses in deeds conveying property on the condition that it not be sold to Jews. Employers must be free not to hire African-Americans and restaurant owners must be free not to serve them, no matter how stringent the reduction of options by these racist associational preferences. If a selfish scientist using her own funds and brainpower finds a cure for cancer and holds out for 20 trillion dollars in compensation, the threat to the global economy must not be evaded by invading her hard drive to take the formula while presenting her with 50 billion instead (see Nozick 1974: 181).

Suppose that someone, initially a libertarian, finds these consequences hard to accept. She might, on the one hand, back away from full-fledged libertarianism by accepting that in these cases, the protection of the use of fruits of free enterprise by some is overridden by the seriousness of the competing needs of others. But then, she will be hard-pressed to find a principled reason to reject the distinctive goals of social democracy as inappropriate objectives for the use of state power. Lack of access to the productive exercise of one's talents in ways that suit one's temperament and interests, to insightful appreciation of cultural achievements, to achievable relief from persistent discomfort, to the enjoyable exercise of one's curiosity or one's love of nature; lack of an alternative to both drudgery and impoverished unemployment; lack of a realistic expectation of finding work in which one is not bossed around; and insecurity that interferes with long-term plans and current enjoyment are also deprivations. Once the extreme prohibitions of full-fledged libertarianism are rejected, it is hard to see why the burdens of being taxed or regulated by social democracy would not be justified as means of relieving those deprivations in a regime of impartial political concern.

Alternatively, the libertarian could stand fast on the ground that adequate side-constraints against coercion can only be based on the blanket prohibitions of libertarianism, despite a residue of unmet needs that she regrets. But, according to the argument that I previously sketched, impartial political concern is supportive of, not in tension with, the rights that are secure convictions of most who find it hard to accept the consequences of libertarianism noted at the start of this section. Through a commitment to impartial political concern, someone who is repelled by those consequences can preserve what is most plausible in her initial commitment to libertarianism, avoid those consequences, and avoid *ad hoc* distinctions.

She should, nonetheless, resist philosophical social democrats' appeals to fairness and distributive patterns and their inadequate appreciation of the moral significance of capitalist self-advancement. Here, the lessons from libertarianism are crucial. This resistance can and should be met by the reconstruction of the moral foundations of social democracy that learns from her resistance.

The additional, necessary empirical defense of social democracy as an informed expression of impartial concern, a project that would stretch beyond the limits of this essay, would, combined with the arguments of this essay, offer a basis for accepting an invitation to join social democracy. This should be a grateful invitation to join a non-libertarian movement whose moral basis is enriched by the challenge of libertarianism.

NOTES

1. See Rawls (1993: 24; 2001: 24; 1999b: 30–31).
2. See, for example, Rawls (1999a: 82, 86, 122). All passages to which I will refer occur in the original 1971 edition, as well.
3. See Nozick (1974: 215–25) for a classic elaboration of this challenge, and, for related doubts, extending to desert itself, Lomasky (1987) and Schmidtz (2002).
4. In the justification of state coercion in Part I of *Anarchy, State and Utopia*, Nozick's arguments about protection and compensation do not require more-than-libertarian political goals. Without endorsing Nozick's specific justifications of state coercion or his libertarianism, Arneson (2005) notes implausible features of the extrapolation of a special duty to uphold distributive justice from the enforcement of laws.
5. In a world as needy as ours, a principle of concern such as I have put forward is much less demanding than Peter Singer's requirement (e.g., in 1972: 235, 241) always to forgo purchase of a luxury or frill when there is the opportunity to use the money instead to prevent something very bad from happening.

Nearly all of us identify with worthwhile goals, giving point and value to our choices, that require the occasional purchase of a luxury or frill. Dressing in a way that expresses one's aesthetic judgment and engages in the fun of mutual aesthetic recognition is an obvious example. I have argued elsewhere (2004; 2010: ch.1) that my more moderate requirement expresses an appreciation of the equal moral worth of everyone and can account for the duties to rescue to which Singer appeals. Since stronger demands for beneficence will, if politically relevant, stray even farther from libertarianism than I recommend, I will not pursue this argument here.

6. This case would have Alfred Marshall as another distinguished procapitalist precursor and could include work of the most incisive critic of the economic failures of state socialism, Janos Kornai. See, for example, Marshall (1920: 567–72) and Kornai (2014: 88–105).
7. This is a variant of an example in Wertheimer (1996: 208, 218–9).
8. Such concessions are a recurrent theme in Cohen (2008), the most extensive defense of luck egalitarianism as correcting deficient egalitarianism in Rawls.
9. See Buchanan and Tullock (1962: ch.10). Buchanan would not approve of the assessment of the political process by social democracy's criterion of impartial concern. He thinks that a society's rules must not be subject to rational rejection by anyone advancing his interests through free enterprise and using advantages that do not depend on interference with the free enterprise of others. This assumed criterion shapes Buchanan's choice of what models and consequences to explore (ibid. 6). But it is an assumption for which he presents no significant justification, not a conclusion from his derivations of consequences of his models.

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Toward a Non-Lockean Libertarianism

Jacob T. Levy

LOCKE'S LIBERTARIAN LEGACY

Libertarian thought and antecedent forms of classical liberalism have often accorded centrality to a cluster of ideas derived from John Locke (1689): that individual rights in general and property rights in particular are moral or "natural," finding their justification and authority outside or prior to their recognition by political or legal actors; that political, coercive government derives its legitimacy from the (often tacit or imputed) consent of the governed; that such consent is given (if at all) for the purpose of the protection of those prior rights; and thus political governing bodies may therefore not violate individual rights without losing their legitimacy.

Lockean rights, and the impermissibility of their violation, were of course central to the canonical statement of libertarianism in academic political philosophy, Robert Nozick's *Anarchy, State, and Utopia*, although Nozick offered an alternative to contractarian theories of legitimacy. But Nozick has hardly been alone in seeing libertarian theory as founded on Lockean premises or in attempting to build a more complete and satisfactory theory on such premises. James Buchanan's (1975) effort to deploy social contract theory as a way to build a libertarian political philosophy "between anarchy and leviathan" treats Locke's own effort as unsuccessful but, it seems to me, offers an attempt to succeed at Locke's enterprise (not at Hobbes, Rousseau's, or Kant's, for example). Richard Epstein (1985) has sought to repair and rehabilitate Lockean theory as the cornerstone for property rights and a libertarian theory of the limits of state action. Jan Narveson (1988) explicitly sought to join Nozick's neo-Lockean theory of property rights to David Gauthier's adaptation of social contract theory in order to build a libertarianism with proper foundations. Randy Barnett (2000) puts the Lockean consent-contract theory along with natural-rights theory at the center of his justification of the authority of the constitutionally limited state. The economist Murray Rothbard, whose popularized systematic libertarian doctrine has been highly influential outside the academy, was a theorist of self-ownership and of natural property rights grounded in a labor theory of acquisition. He was clear that his doctrine built on, while radicalizing, Locke, calling the *Second Treatise* “one of the first systematic elaborations of libertarian, individualistic, natural-rights theory” and calling attention to “the similarity between Locke’ s view and the theory set forth below” in his book *The Ethics of Liberty* (1982: 20).[1]

Outside the academy, the Lockean combination has featured prominently in American liberal individualistic rights theory from the Declaration of Independence and Thomas Paine’s *Rights of Man* onward. The strand of rights theory that developed into anarchism, including Henry David Thoreau and Lysander Spooner in the nineteenth century through to Rothbard and his followers in the twentieth, often accepted the structure of these Lockean positions while denying that consent has ever actually been given or that coercive government is compatible with the non-violation of rights, thus concluding that government is illegitimate. Indeed, the idea that there is something distinctively friendly to libertarian thought in American intellectual and political culture is hard to distinguish from the idea that there is something especially Lockean about that culture. While Louis Hartz’s (1955) claim that American political thought was hopelessly mired in a Lockean liberal–individualistic consensus has by now been soundly rejected by decades of scholarship noting the importance of civic republican (Bailyn 1968; Wood 1969; Pocock 1995) and ascriptively nationalistic traditions, it is still generally accepted that there was a crucial Lockean liberal component to the political thought of the American Revolution and Founding (Zuckert 1996; Kramnick 1990), and that it has been an important source for American individualism, rights theory, and anti-statism in the centuries since.

The priority given to Lockean rights and consent theory in American liberalism, and its libertarian variant, is anomalous in some important ways compared with the classical liberal tradition elsewhere. In Britain, the Lockean ideas that did so much to legitimize the Glorious Revolution became gradually less central to Whig proto-liberal thought over the course of the eighteenth century. This was of course in part because the decades of Whig ascendancy in government discouraged Whig interest in revolutionary principles. To those who thought of the House of Commons as the manifestation of the people’s consent, its security and eventual primacy after 1688 meant that “consent” ceased to be a concept with any critical purchase; it could no longer ground limits on state power. None of the leading classical liberals of the eighteenth-century European Enlightenment—Montesquieu, Smith, and Hume among them—subscribed to any variant of social contract theory. Hume (1985 [1748]) mocked the lingering attachment to Lockeanism among unphilosophical Whigs. Adam Smith (1982 [1763]: 402) flatly denied that political obligation was grounded in Lockean consent—“this is not the case”—and drily noted that the doctrine was “peculiar to Great Britain” yet legitimate governments cover the world, ruling many who have no thought of having consented.

But Whig political thought in America had branched off from that in Britain. Without the push factors of political and religious turmoil that had characterized political life in the 1600s, migration from England to America slowed considerably in the 1700s, encouraging a political divergence. There were other reasons as well. American colonies really had been founded at discrete moments in recent historical time, with original charters, some of them compacts among original colonists. Moreover, the equation of pre-colonization America with the state of nature resonated, even beyond the ideological cover it provided for the expropriation of Indian lands (Tully 1993).

Much of the impetus for eighteenth-century social thought in Europe was provided by the rise of modern commercial society and the accompanying (so it was thought) increased politeness of manners. The English settler colonies in North America, while thoroughly enmeshed in Atlantic trade networks, were, in the language of the day, rude by comparison—not advanced in manufacturing, finance, dense local commerce, or politesse. Montesquieu and the thinkers of the Scottish Enlightenment also sought to understand "police": the vast array of everyday policymaking and administration that the British and French states were increasingly occupied with in their governance of large populations with complicated economies. To the American colonists, Locke's basically juridical account of government continued to seem sufficient. And, of course, Locke provided crucial intellectual support for the Revolution when it came, in a way that had lasting influence.

In the remainder of this essay, I will offer reasons why this pervasive Lockeanism is a problem for (both academic and popular) libertarianism. These are something much less than a refutation; the various configurations and adaptations of Lockean ideas in various versions of libertarian and classical liberal thought overlap but are far from identical, and it would be implausible that they could all be disproven in one fell swoop. And some of these adaptations of Lockean ideas are very sophisticated and rich accounts of political philosophy; I don't believe that such accounts tend to be susceptible to simple disproofs. Rather, I mean to offer broad reasons for worry about the dominance of these Lockean accounts and suggestions as to more promising directions for classical liberal theory to develop in. I do not suppose that these abbreviated arguments will persuade committed Lockeans, but I hope that they will open the door to other possibilities.

DISAGREEMENT, DEMOCRACY, AND REALISM

The first set of worries takes inspiration from the turn to what has been called *realism* in political theory (Williams 2005; Galston 2010) and closely allied attempts to take seriously disagreement about rights and justice as a basic feature of political life (Waldron 2000) and the crucial need for partisan contestation as a feature of democratic life (Rosenblum 2008). In overlapping ways, these theories have suggested the need to distinguish more sharply than is done in traditional rights theory and justice theory between one's normative theory of the better policies for a political society to pursue and one's normative theory of the range of policies that may legitimately be pursued by a political society characterized by deep and enduring disagreement over questions of rights. As Williams put it in an influential formulation, some have thought that only subordinating politics to morality was compatible with having serious normative views about right and wrong in political life. Against that "political moralism," he offers a "political realism." Realism's distinctive treatment of disagreement

> does not mean that we throw our political convictions away: we have no reason to end up with none, or with someone else's. Nor does it mean that we stare at our convictions with ironical amazement, as Rorty suggests. But we do treat them as political convictions which determine political positions, which means, for one thing, that we acknowledge that they have obscure causes and effects. It also means that we take certain kinds of view of our allies and opponents. Even if we were utopian

> monarchs, we would have to take into account others' disagreement as a mere fact. As democrats, we have to do more than that. But remembering the points about the historical conditions, we should not think that what we have to do is simply to argue with those who disagree: treating them as *opponents* can, oddly enough, show more respect for them as political actors than treating them simply as arguers—whether as arguers who are simply mistaken, or as fellow seekers after truth. A very important reason for thinking in terms of the political is that a political decision—the conclusion of a political deliberation which brings all sorts of considerations, considerations of principle along with others, to one focus of decision—is that such a decision does not in itself announce that the other party was morally wrong or, indeed, wrong at all. What it immediately announces is that *they have lost*.
>
> (2005:13, italics in original)

Lockean premises make it very difficult to treat libertarian conclusions as positions to be advocated for *within* ongoing political life. This is a charge that has been made against other liberal theories of justice as well (Walzer 1981; Honig 1993), but Lockean views seem especially vulnerable to it (Bellamy 2007: 147–8). The Lockean variant of libertarianism doesn't only offer a substantive theory of justice that stands apart from democratic political outcomes. It also seems to pose a stark choice: a political system that fully respects individual rights in a way that makes libertarianism politically triumphant from the outset; or a political system that is illegitimate, making contestation within it illegitimate as well. In its most austere versions, rights-based libertarianism treats very nearly all political decisions as either obligatory—the provision of affirmative protection for rights of life, limb, liberty, and property—or prohibited, because they rely on coercively extracted resources to support any activity *other* than morally mandatory rights protection and so violate rights. And since state legitimacy rests on the hypothetical agreement to *protect* rights of life, limb, liberty, and property, a state that violates them undermines its own legitimacy. What Williams terms the "Basic Legitimation Demand" is collapsed entirely into the moral category of preferred political outcomes.

Some critics (Mulholland 2012) have charged that bourgeois liberalism sociologically inclines toward authoritarianism; the imperative to protect property rights and to defend existing social orders against socialist threats has repeatedly inclined liberals further away from democracy than their principles would seem to dictate. This extends into a long-term diagnosis, a worry that Benjamin Constant (1819) expressed: that those who value the secure enjoyment of modern individual liberty will be all too willing to believe Caesarist or Bonapartist promises to maintain public order rather than take the risk of defending their values in competitive politics. This sociological worry is not quite the same thing as the anti-political temptations of liberal political philosophy described in the previous paragraph (Constant was hardly faced with a French middle class filled with Lockeans), but they overlap at the point of a desire to insulate questions of property ownership and economic policy from politics.

Now, Locke himself knew that ongoing politics couldn't really be a matter of doing nothing but enforcing pre-political rights. Depending on how one reads the *Second Treatise*, it can appear that such rights are supreme; or that the majoritarian elected legislature engaged in lawmaking is supreme; or that the prerogative-wielding executive able to act outside the law is supreme; or some combination of these, chasing each other around in an intellectual circle. His account of the legislature's juridical and interpretive task of assessing and specifying who has what rights does *not* suggest that the legislature thereby violates them. The executive's task of promoting the common good and public safety, even when it requires acting outside and against the law, likewise does not constitute a violation of rights. Rather, both legislative and executive action are the stuff of legitimate government to which the founding contractors consented or would have consented. This suggests that Locke envisions a great deal of normal politics that he does not detail.

That does not mean, however, that there is a simple mistake or misreading involved in libertarian uses of Locke as the foundation for a kind of liberal rights theory that is hard to reconcile with ongoing political disagreement and contestation. In his version of social contract theory, the decisive step is the formation of *a people.* Some subset of humanity unanimously agrees to do so, and that unified *people* is henceforth normatively fundamental. It chooses a government, and if the government exceeds its legitimate bounds, that unified people regains the authority to remove it and institute another. It is worth noting that Locke never envisions the people as being dissolved; there is no return to the initial state of nature of disunited individuals.

That image of peoplehood is, at least, proto-nationalistic. Locke never clearly tells us why or how *this* portion of humanity comes together as a people and knows that it is distinct from *that*, leaving a logical gap that would eventually be filled by Rousseau's explicit nationalism. Locke's offhand reference to when "the several communities settled the bounds of their distinct territories" (1988 [1689]: 299) cannot do the work; the "communities" must already exist as bounded peoples. Instead, he seems to take for granted that something "a people" is something like "England"—a community that could be governed by a modern state. And for his theory to cohere, that "people" must not only be unanimous at its founding but remain so morally and politically unified that it is capable of acting corporately in a spontaneous way. That can't help but be in tension with the reality of ongoing political disagreement. The generation of American intellectuals and politicians who had been most influenced by Locke at the time of the Revolution was deeply hostile to the emergence of organized ongoing political parties. The assertion that one speaks on behalf of an organic unified "people" remains a feature of the populist anti-statism that is sometimes conflated with libertarianism in American political culture. And the symbolic affirmation of contract and consent theory in official American life have much the same tone, from "we the people" to the "one nation, under God, indivisible" named in a ritual of supposed consent giving.

However we think of this impulse—organicist, nationalist, holistic, anti-political—it is a temptation faced by many political views. In many countries in the twentieth century, there was a hard and self-conscious process of learning among both social democrats and conservatives that stable decent constitutional democracy depended on both groups abandoning the idea that they were the one true voice of the one undifferentiated people. We now know what the American founders did not: There is *no* democratic government in a large society without organized partisan contestation. The belief in some organic pre-political unity is thus a barrier to enjoying the goods of constitutional democracy, giving rise to the urge to characterize dissent as treason, divergent views as (e.g.) "un-American."

Both intellectually sophisticated and American populist variants of libertarian liberalism have been slow to learn this, and I think that their background Lockeanism has something to do with the reason why. They have been slow to accept *losing*, to accept seeing policies enacted that are disagreeable on one's best account of liberty without giving in to an account of the existing state as an illegitimate band of armed thugs with which one is in a constant condition of undeclared war. There is something of course perverse about political movements that never win and yet, amidst all their theories and ideas of various levels of sophistication, find no way to understand losing. There is something well beyond perverse about responding to losing by insisting on the need for extraordinary victories: "Since we cannot win in ordinary politics, we must enact constitutions and constitutional rules that forbid any policy outcomes but ours"—as if constitutions are made outside of political life, as if the super-majority required for constitutional enactment or amendment is easier to come by than the plurality required to win some elections. These are, I think, among the perversities of a libertarianism founded on Locke and the Lockean social contract.

Relatedly: Contract or consent theory in general and Lockeanism in particular conflates questions of legitimacy, purpose, function, and origin in thinking about the state to the detriment of clear thought about any of them. States did not arise out of decisions to be governed and certainly not from all-at-once decisions. The variation across time and space in whether people are governed by states—say, the variation between early modern Europeans and either medieval Europeans or most non-Europeans prior to imperial colonization—has nothing to do with this kind of an act of will. Stateness ebbs and flows as a characteristic of social organization for reasons having to do with wealth and productive power, changes in financial, military, and organizational technology, and even local geography (e.g., mountainous regions resist stateness; Scott 2009).

Recognizing this should be attractive to libertarians for at least two reasons. One is that they are receptive to such social explanations in other domains, rejecting decisionism as a way to account of the origins of markets, industrial capitalism, law, language, and other complex phenomena. Libertarian social theory has been deeply influenced by the idea of "spontaneous order" associated most famously with the Scottish Enlightenment and with F. A. Hayek (about whom more will be said below). Such theories provide the intellectual resources with which to resist the common temptation to think that complex social phenomena must have been created and authorized by a decision-making state. The rejection of decisionism as a mode of *explanation* also allows its rejection as a mode of *legitimation.* The spontaneous order theorist needs no historical or hypothetical contract with which to explain the emergence of, say, property, and so also understands the mistake in asking whether those who created it had the right to do so. The asymmetry involved in continuing to treat the state itself in Lockean terms while understanding other social phenomena with Smithian tools is, to say the least, anomalous.

LIBERTY AND LEGITIMACY

Second and more important, that conflation among legitimacy, purpose, function, and origin encourages (and depends on) an unhealthy identification of the ruled person with the rules and rulers set over them. The contractarian thought "rule, in order to be morally permissible, must be done with the consent of the ruled and therefore in a sense cease to be rule at all" is logically compatible with the thought "and no rule is legitimate," which many libertarian anarchists have embraced. But when states do not vanish in a puff of logic upon their illegitimacy being demonstrated, a very different thought becomes almost irresistible to humans, social creatures that they are, deriving comfort from the existence of stable rules and structures. It is that we have consented to the rules set over us, and that there is therefore no loss of freedom in them. The ultimate function of social contract theory in the world, in the face of persistent political rule and of the natural human urge to make peace with it, is as Rousseau saw it:

> Man is born free, and everywhere he is in chains. One believes himself the others' master, and yet is more a slave there. How did this change come about? I do not know. *What can make it legitimate?* I believe I can solve this question.
> (1997 [1762]: 41, italics added)

These lines have become so familiar as to become almost invisible, but there is something remarkable about them. Rousseau does not even mention the possibility of *breaking* the chains, which is presumably what those who value freedom should want. His task is instead to make it—the fact that man is everywhere in chains—*legitimate*. That paradoxical accomplishment is precisely what social contract theory offers, and Rousseau's famously paradoxical ways of putting the solution—such as "forced to be free" 1997[1762]: 54)—are already implicit in Locke's account.

Social contracts offer answers to the questions "what authorizes a state to rule?" and "what grounds the obligation to obey states?" Given the rarity of voluntary and explicit consent and given that states rule everyone in a territory, voluntary and explicit consent can't suffice to provide those answers. Social contract as a doctrine of legitimation thus inevitably, one way or another, imputes consent to those who haven't given it. In its insistence that no one may be governed against his or her will, it ends by insisting to those governed that they have really willed it.

Contractarianism therefore forces us to choose between a fundamental illegitimacy of political rule—a contract once broken is *no contract at all*—and a generalized imputation of consent such that rule doesn't burden our liberty. If this is the choice, the contest is one that libertarianism, or liberal theories of freedom generally, cannot win. Of course it has not won in the intervening centuries. Instead, one fiction or another—a state's supposed identity with a nation that chooses it, or its supposed creation by popularly enacted constitutionalism, or its supposed organization by democratic elections—is generally used to impute generalized consent and to make dissent, disagreement, or resistance to laws appear illegitimate.

I mentioned above the difficulty in treating Lockean libertarianism as a position within ongoing political life. We now see why more clearly. The contractarian syllogism that concludes with "we have all consented to every law" tends to foreclose complaints against laws on grounds of freedom, and such complaints must form part of the core of a libertarian politics. The alternative "we have consented to *no* law, and thus are in a moral state of war with the state" is at least individualistic and free from the imputation of choices that haven't been made, but is difficult to sustain and impossible to reconcile with ordinary political life among fellow citizens who disagree. One way or another, the Lockean has great difficulty saying: "these laws violate my best understanding of liberty, and I have not consented to them; but such is the stuff of losing in politics, and I owe my fellow citizens with whom I disagree as well as the institutions of constitutional democracy enough respect to just keep arguing and contesting." Williams noted the political moralists' difficulty in treating one's opponents' loss in politics as meaning only that they have lost, not that they were wrong. What I am suggesting here is related: the difficulty in taking the view that *one's own side* can lose, with the possibility of contestation in a legitimate process surviving until another day.

Social-contract theory—Locke very much included—teaches us to think that it is the normatively normal condition of the world that my will is reflected in every rule I follow. The same is true for you and him and her. This must mean that our real wills are essentially united, if we are to live as neighbors under common rules; that alone should be enough to make an individualist nervous about the approach. But it seems to me that an individualist, and especially one who understands impersonal social phenomena that do not arise out of deliberate decision, ought to reject the thought even independently of the worry about unity. The state is a thing alien to me; politics is something that *happens* to us. Social life is like that; the market price for the goods or talents I have to sell is also something external to us. We can and do respond to these external facts, adjusting our lives to them and around them as best we can and sometimes seeking to change them. (I might seek to increase market demand and thus prices for what I have to sell by persuading others of its merits.) But we don't just insist on an identification between the individual will and the condition of the world. We morally and psychologically tolerate the friction, the gap between who I am and what world I inhabit. The insistence on eliminating that gap cannot ultimately be good for our sense of individuality.

I have argued elsewhere (Levy 2017) that the natural law tradition that eventually developed to include modern natural-rights theories such as Locke's is built on a sense that our moral, legal, and political lives tend toward a well-ordered harmony and so encourages a mindset in which we infuse political society with more moral meaning than we should. There I encourage a turning away from Aquinas and the natural-law tradition toward Augustine, who fits more comfortably with the ideas now associated with realism in political theory. He teaches that the disjuncture between our moral selves and political life is normal and to be expected; he serves as an antidote to the temptation to attribute deep moral legitimacy (such as that acquired through consent) to political life. We need not choose between anarchy and falsely imputed consent, on this account. We can reconcile ourselves to political societies that don't sit on some deep foundation of moral legitimacy but can be better or worse in their moral conduct.

COMMERCIAL SOCIETY AND THE HAYEKIAN ALTERNATIVE

Finally, there is a crucial difference between a Lockean emphasis on ownership and the kind of emphasis we find in Montesquieu, Hume, Smith, and Constant on commerce and exchange. At first glance, this might look like a merely semantic point; after all, I must own something before I can sell it, and once I buy something new, I own it. Hume gave stability of possession equal billing with just transfer among the basic elements of justice, and indeed, Locke's theory of property clearly allowed for its transfer and exchange.

But Locke was not fundamentally a theorist of commercial society in the way Montesquieu and his Scottish followers were, and ownership by itself has a static emphasis that is really alien to libertarianism, and liberalism more generally, at its best. As property law was liberalized in the late 18th and early 19th century, first in America and then elsewhere, the crucial change was not securing land ownership but something nearer the reverse: abolishing entail and primogeniture so that more land might enter commercial exchange more easily.

The difference in emphasis has always rhetorically favored liberalism's critics, and not only for the obvious (but true) reason that a politics of ownership sounds like a politics of owners. It has encouraged the unfair and confused idea that liberalism is an asocial or antisocial theory, an atomistic doctrine that is happiest when our lives most resemble that of (pre-Friday) Robinson Crusoe (Taylor 1985). Generations of attempts by those intellectually committed to commercial society to stress that it is an order of widespread interdependence, an order in which the division of labor demands cooperation on a massive scale, have been frustrated by the image of the rights-bearing individual standing alone on his well-fenced land (and, in the American case, protecting its boundaries with a shotgun and plenty of ammunition.)

The most important twentieth-century resource for a non-Lockean alternative remains the work of the resolutely anti-contractarian F. A. Hayek, who was precisely an advocate of this commercial society understanding. He self-consciously placed himself in intellectual descent from Montesquieu and the Scottish Enlightenment; he at first proposed to name what became the Mont Pelerin Society after the decidedly non-contractarian nineteenth-century liberals Tocqueville and Acton. Tellingly, his political theory is substantially unconcerned with the legitimation problem to which social contract theory is supposed to provide an answer. He asks what makes a political order better or worse, freer or less free, more or less conducive to desirable social features. There is a theory of sound law in Hayek, but there is not, I think, a theory of legitimate government—by which I mean also that there is no theory of illegitimate government. The choice between states legitimated by contractarian fictions of consent and a normative anarchism motivated by showing consent to be a fiction, and thus that states are illegitimate, is of no apparent interest to him, any more than it was to his heroes from Burke to Smith to Acton. He is not a theorist of consent, of natural property rights, or of the legitimacy of the state. Instead—like Smith—he is a theorist of social change over centuries, which includes the emergence of the modern Weberian state.

While aligning himself with Locke's Whig politics and his interest in the separation of powers and the rule of law, Hayek admits that "it is mostly in his wider speculations about the philosophical foundations of government that his original contribution lies." "Opinions," he drily continues, "may differ about their value" (2011 [1960]: 252).

Hayek's commitment to social explanations grounded in emergent phenomena of course grew over time, culminating in *The Fatal Conceit* (1988). Critics such as James Buchanan rightly saw that this entailed a rejection of the whole contractarian structure of argument and objected:

> Some of us who share much of Hayek's vision cannot take the ultimate step here, which seems to require a faith in the beneficent workings of the evolutionary process. Let us acknowledge, with Hayek, that our civil order may crumble from an over-extension of ill-advised attempts at rational reconstruction of our rules. But those of us who are what Hayek classifies as rule rationalists (along with John Locke) find our whole raison d'être, as political economists-cum-social

> philosophers, in the conviction that humankind can, indeed, construct, maintain, and improve the procedural framework within which the spontaneous order of the market can be allowed to emerge. (Buchanan 1988/89: 3)

I disagree, of course, and think that Hayek's consistent rejection of "rationalist constructivism" offers the beginning of a better foundation for libertarian social thought and politics. But it is only a beginning. Hayek remains committed to the Lockean–liberal unease with political contestation, indeed enough so as to occasionally slip toward its legitimation myth even as he firmly rejects contractarian explanations. In explaining that elected branches of government need not hold unlimited power even though they are institutionally superior—that is, in denying the Westminster theory of parliamentary sovereignty—he writes, "its power may be limited, not by another superior will but by the consent of the people on which all power and the coherence of the state rest. If that consent approves only of the laying down and enforcement of general rules of just conduct, and nobody is given power to coerce except for the violent enforcement of these … even the highest constituted power may be limited." Under such arrangements, "the consent on which the unity of the state and therefore the power of its organs are founded may only restrain power but not confer positive power to act" (1981: 3–4). The essential unity of the people acting as a *pouvoir constituant* is a story that even a committed anti-contractarian finds it difficult to do without altogether.

The work from which this passage is drawn, volume 3 of *Law, Legislation, and Liberty* (*LLL*), is as explicit an attempt as any in the modern classical liberal canon to prescribe a constitution in which liberal outcomes are mainly ensured *ex ante* by a properly written constitution, free from the rough and tumble of partisan contestation between coalitions of interest groups. The latter has its place in the selection of a government and in the delivery of an annual budget but not in legislation properly so-called, the articulation of general rules of just conduct. This distinction between lawmaking and governing is one of the key contributions of the three-volume *LLL* as a whole, and Hayek shows its importance. But the attempt to find an extra-political and constitutionalized secure foundation for the former, one that rests on a people allegedly willing in a unified way, leaves his theory still far too much in the grip of Lockean mistakes.

A hint toward a better path forward had been offered in Hayek's earlier *Constitution of Liberty*, which more strongly resisted the temptation to constitutionalize or settle in advance reasonable contestable political questions.

"There are many values of the conservative which appeal to me more than those of the socialists; yet for a liberal the importance he personally attaches to specific goals is no sufficient justification for forcing others to serve them. I have little doubt that some of my conservative friends will be shocked by what they will regard as 'concessions' to modern views that I have made in Part III of this book. But, though I may dislike some of the measures concerned as much as they do and might vote against them, I know of no general principles to which I could appeal to persuade those of a different view that those measures are not permissible in the general kind of society which we both desire. To live and work successfully with others requires more than faithfulness to one's concrete aims. It requires an intellectual commitment to a type of order in which, even on issues which to one are fundamental, others are allowed to pursue different ends" (2011 [1960]: 524).

To the tasks of freeing libertarianism from its Lockean baggage—of articulating a libertarianism or classical liberal political program that can embrace constitutional democracy while contesting within it, that can accept losing, that can see the difference between the individual consenting will and the reasonable requirements of living amongst people who disagree—Hayek made valuable initial contributions; but from them, he then turned aside. There, much more remains to be done.

NOTE

1. As an aside, I would not include the leading contemporary libertarian political philosopher David Schmidtz (1991) in this list; although he engages with Locke via Nozick, and part of his account of the justification of property rights uses the so-called Lockean proviso, the theory finally seems to me neither a natural-rights theory nor a contractarian one but something much more Humean in spirit.

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3

Hayekian "Classical" Liberalism

Gerald Gaus

1 IS THERE A "CLASSICAL LIBERAL" VIEW?

Political theories are structures of conceptual, normative and empirical commitments (Chapman 1965; Freeden 1996: part I; Gaus 2000: ch. 3). We seek to understand them by classifying instances according to families or allied approaches—socialism, conservatism, liberalism, feminism, libertarianism, and so on. These classificatory schemes are critical to understanding, but at the same time they run the danger of distorting a specific political view by stressing some features over others and perhaps employing categories that it abjures. These are unavoidable dangers of classification; we should be aware of them and always inquire whether our classificatory schemes are interfering with understanding a theory on its own terms and appreciating its insights. I believe that attempts at classification have been particularly distorting with respect to "classical liberalism." To be sure, some political philosophers describe their view as "classical liberal" (e.g., von Mises 2005 [1927]), yet the label is most often employed—perhaps originally devised—as a contrast class, designating liberal theories that are not "new," "high," or "egalitarian" forms of liberalism (Freeman 2011; Brennan and Tomasi 2012).[1] The "new liberalism" of the early twentieth century, which sought to reconcile elements of liberalism with socialism (Hobhouse 1911; Dewey 1931; 1935) was especially keen to distinguish its "renewed" and "progressive" version of liberalism from the "earlier" (Hobhouse 1911: 54) or "old" version (Dewey 1931), which was almost always equated with "laissez-faire" economics (Hobhouse 1911; ch. IV). Because throughout the twentieth century the classical political economists (including Smith, Ricardo, and John Stuart Mill) were widely thought to be advocates of "laissez-faire," this classical system of political economy was often assumed to be the heart of "classical liberalism," a perception that continues to this day (Rawls 2001: 137). The confusions that these associations have engendered are legion. The classical economists were not advocates, but indeed usually critics, of laissez-faire

(Robbins 1952: 34ff.; O'Brien 2004; Gray 1986: ch. 4); in fact, the only significant "classical liberal political economist" who sought to defend a weak version of laissez-faire was John Stuart Mill, and he is usually credited at being a paradoxical, transitional figure, bridging the "classical" and "modern" liberal views (Kors 2011; Gaus 2017).

The tendency to distort a sophisticated political theory by slotting it into a common view of "classical liberalism" is especially manifest with respect to the work of F. A. Hayek, who ultimately concluded that his view was best classified as "Old Whiggism" (Hayek 1960: 409). Samuel Freeman, holding that classical liberalism is intimately bound up with modern economic models, depicts Hayek as basing his liberalism on the pursuit of efficiency, yet he admits that Hayek was skeptical that we could know much about efficiency and equilibrium (Freeman 2011: 23n; compare Hayek 1978a). Freeman's, as have other attempts at classification, also depicts Hayek and the classical liberal tradition as essentially "indirect" or "rule-" utilitarian (Freeman 2011: 23n; Gray 1984: 59–60), yet utilitarianism is Hayek's *bête noire*, manifesting a constructivist delusion that we can have adequate knowledge of the overall consequences of our actions and so can design systems to optimize good consequences (Hayek 1973; 1978b).[2]

Hayek is a far deeper and more original thinker than these familiar efforts at categorization indicate. Indeed, in my estimation, he points the way forward to the most sophisticated and compelling account of the Open Society on offer—a line of analysis that is, I think, barely recognized in current political philosophy. Because it does not fit neatly into familiar classification systems, its distinctive character is largely ignored. My aim in this chapter is not simply to demonstrate the originality and power of Hayek's theory but also to extend and develop it in the light of more recent work. The present essay might well be described as a "Hayekian" analysis, not an explication of Hayek (compare Rawls 1999: 221–7). Rather than seeking to articulate a general account of classical liberalism, I shall outline an essentially Hayekian view of the Open Society.

Section 2 introduces the contrast between small, closed orders of cooperation and the extended rule-based "order of action," which Hayek calls the Great, or Open, Society. Section 3 sketches the "twin ideas" at the heart of Hayekian political theory: self-organization and social evolution. Section 4 then summarizes the idea of the Open Society and why Hayek thinks central themes in modern political thought are hostile to it. Section 5 takes up the question of normative justification. Given Hayek's stress on complexity and ignorance, is there any room left for normative evaluation in Hayekian liberalism?

2 EXTENDED COMPLEX ORDERS

2.1 Systems of Rules

Traditionally—to many, by definition—political philosophy focuses on political and legal institutions, their functioning, and their moral evaluation. On this orthodox understanding, the essence of a classical liberalism would be a theory about moral requirements regarding state institutions and their limits. Given the strong associations of classical liberalism with economic theory that we have noted, we also would expect it to be a theory that provides arguments in favor of market over political arrangements in a wide array of contexts. Thus we might expect a classical liberal view to be one that, say, upholds the values of economic liberty and private property (Brennan and Tomasi 2012; Freeman 2011).

While, of course, Hayek considers formal political institutions, constitutions, and legislation (1979)—and he certainly insists on the importance of liberty and property—his core concern is the basis of social order, especially the moral framework of society (1973; 1988).[3] In a Hayekian-inspired analysis, "classical liberalism" is first and foremost a theory about the basis of social order and its complicated dependence on systems of rules.

2.2 Complex Orders

Consider a small society such as that described by Russell Hardin:

> Axel Leijonhufvud … characterizes the village society of eleventh century France in which the villager Bodo lived. We have detailed knowledge of that society from the parish records of the church of St. Germaine. Today one would say that that church is in the center of Paris, but in Bodo's time it was a rural parish distant enough from Paris that many of its inhabitants may never have seen Paris. Virtually everything Bodo consumed was produced by about eighty people, all of whom he knew well. Indeed, most of what he consumed was most likely produced by his own family. If anyone other than these eighty people touched anything he consumed, it was salt, which would have come from the ocean and would have passed through many hands on the way to St. Germaine, or it was spices, which would have traveled enormous distances and passed through even more hands.
>
> (Hardin 1999: 401–2)

Bodo's village was comprised of a small number of fairly homogeneous agents—their preferences were not radically diverse. Moreover, they tended to share a common, accepted set of act-types: They categorized the available actions (being religious, being a father, trading) in similar ways (Hardin 2003: 98–99). Such a society still needs a system of social rules,[4] but the small number of rules, homogenous preferences, and shared categorizations implies that the rule system will be simple and the effects of changes predictable. Because there are only a small number of rules, there will not be complicated interactions among them; because individual preferences are homogenous, it is relatively easy to predict how people will respond to rules; and because they share similar, and rather limited, categorizations, they will understand their option sets in similar ways and so the rules can be relatively exhaustive in identifying what is permitted (Gaus and Nichols 2017).

As Hayek stressed, such groups share a thick set of "aims and perceptions," and this sharing guides social coordination and allows participants to agree on acceptable outcomes (Hayek 1988: 12). Moreover, predicting the social consequences of changes in the rules of cooperation is a relatively tractable problem. The rules of such an order can be understood as rules of regulation, designed to achieve certain common ends or values (Hayek 1973: 48–52).

Let us add more individuals, extending to hundreds of thousands. If the individuals share a rich set of common goals (say they are all devoted to living in accordance with the same principles of justice) and so have relatively homogeneous preferences (they have some different goals but share overarching regulative values), they could still be organized by rules of regulation that have a reasonable chance of securing their shared ends and common normative commitments (cf. Cohen 2008: 283ff.). Now, however, let us introduce a high level of heterogeneity of preferences (or aims) and ways of classifying actions and options. Depending far less on shared aims and goals to secure cooperation, this group will require a far more extensive system of rules. Hayek recognized that such rule systems—composed of a large number of highly heterogeneous individuals guided by a number of rules—quickly give rise to complex systems (Hayek 1967b; 1978a: 26–27; Saari 1995; Mitchell 2009: 12). In perhaps the earliest analysis of such systems, John Stuart Mill (2006 [1872]: 370–3, 438–40; Auyang 1998: 173–4) considered a system *S* composed of elements $\{e_1 \ldots e_n\}$ and an overall resulting outcome *O*. In his *System of Logic*, Mill proposes three features of property *O*:

1. *O* is not the sum of $\{e_1 \ldots e_n\}$;
2. *O* is of an entirely different character than $\{e_1 \ldots e_n\}$;
3. *O* cannot not be predicted or deduced from the behavior of the members of $\{e_1 \ldots e_n\}$ considered independently (i.e., apart from their interactions in *S*).

This is the idea of an emergent property recognized by Hayek.

> The "emergence" of "new" patterns that develop as a result in the number of elements between which simple relations exist means that this larger structure as a whole will possess certain general or abstract features that will recur independently of the particular values of the individual data, so long as the general structure (as described, e.g., by an algebraic equation) is preserved. Such "wholes," defined in terms of certain general properties of their structure, will constitute distinctive objects of explanation for a theory, even though such a theory may be merely a particular way of fitting together statements about the relation between individual elements.
>
> (1967b: 267; see also Vaughn 1999: 248)

Thus it is said that waves are an emergent property of H_2O. The properties studied by hydrology are not the sum of the properties of hydrogen and oxygen (as opposed to a mechanical force, which may be seen as the sum of its causes); waves have a very different character than a chemical compound, and the properties of an individual water molecule do not allow us to deduce the relevant laws concerning waves. Emergent properties are distinguished from mere "resultant" properties on the grounds that, while a resultant property is the expected outcome of *S*, an emergent property is novel and, given our understanding of $\{e_1 \ldots e_n\}$, often unexpected or surprising (Auyang 1999: 177).

The scientific study of complex orders cannot, Hayek insisted, aim at the prediction of the "specific" future states or values of the individual elements. To be sure, just how specific a specific prediction must be is context dependent; his claim, though, was that in many natural sciences (such as parts of physics), "it will generally be possible to specify all those aspects of the phenomenon in which we are interested with any degree of precision we may need for our purposes" (Hayek 1967a: 8). In contrast, when dealing with complex phenomena we are simply unable to specify the values (in contemporary terms, the system is modeled in nonlinear equations; Vaughn 1999: 245; Holland 2014: 4;

Mitchell 2009: 22ff.); we can only predict the "range of phenomena to expect" (Hayek 1967a: 11; 1967b). We can understand the general principles on which the system operates, and with this knowledge we can predict the parameters within which the system will settle. This is, as Hayek says, an idea of "great importance for the understanding of the theoretical methods of the social sciences" (Hayek 1955: 43). It is the failure to understand the limits of social prediction that leads to the ill-fated attempt to employ social science to engineer society.

2.3 The Order of Actions

Readers in political philosophy may perhaps already be dismayed; what can all this highly theoretical social science have to do with the case for "classical liberalism" and the Open Society? It is, however, absolutely central to Hayek's understanding of the rule-based extended orders, for his fundamental claim is that the "order of actions" that characterizes an extended society is a property that emerges from its underlying moral and social rules and the way heterogeneous agents act under them (see Mack 2006). Not only does Hayek insist on the basic importance of rules and institutions (§2.1), but he also stresses that an extended order of diverse agents cannot be identified with, or reduced to, these rules and institutions or its "basic structure." Our ultimate concern in social and political philosophy, Hayek stresses, is the sort of social order characteristic of a society. In an extended order composed of diverse agents guided by a large set of rules, this order is inherently complex—it emerges from the system of rules, yet it is neither equivalent to them nor can be it be predicted as a simple resultant of those rules.

2.4 How Complex?

Hayek was manifestly correct that the social order of a large and diverse society will display characteristics of a complex system (Page 2011). This in itself was a tremendous insight. As he recognized (1955; 1973), political philosophers often take up an engineering perspective on society, supposing that a society can construct a basic structure that will reach the social and moral goals set for it. Some seek a basic structure that will apportion holdings according to desert or that yields the greatest happiness for the greatest number. This is plausible if societies are simple orders like the village in which Bodo lived; the social rules can be understood simply as effective instruments to secure posited goals. However, complex systems are characterized by constant novelty. Their elements are coupled, so that a change in one variable can reverberate throughout the system (Hayek 1967b). Because of this, the emergent outcomes generated by their rules can be deeply surprising.

However, Hayek seldom took up the question of just how complex extended societies are, and we shall see in section 5 that a good deal turns on this issue. The strong Hayekian thesis is that diverse, extended, social orders are *maximally complex*. An order is maximally complex—indeed, chaotic—if any change in its underlying structure of social rules moves the system to a new state that is entirely uncorrelated with the present system state (Kauffman 1993: ch. 2; Gaus 2016: 61–74). Somewhat more formally, we can say that in such systems, emergent property *O* (an order of actions, a system state) emerges on rules $\{r_1 \ldots r_n\}$; any change in a rule r_i to its closest variant r_i^* (i.e. a slight change in r_i) produces an order O^* that is entirely uncorrelated with O—knowing state O does not provide one with any evidence as to what O^* would be like. In Stuart A. Kauffman's terms, such systems manifest "complexity catastrophe" (1993: 52). Such maximally complex systems occur in a large set of rules wherein each is interconnected with all others. That is, a change in any one rule, r_i, affects the functioning of all other rules, so that one change affects everything, and so O^* may be entirely unlike O.[5] In more familiar philosophic terms, such systems are characterized by "holism." For example, in thoroughly holistic theories of justification, the justification of every element of a system of values or beliefs is dependent on all others—such systems are often depicted as "webs," indicating a very high degree of interdependence among many variables. It is precisely such systems that give rise to complexity catastrophes; a small variation in one value can jump the system to a radically different state.

Hayek certainly embraced some form of holism: "systems of rules of conduct will develop as a whole" (1967c: 71). But systems can be holistic—the functioning and consequences of one rule can be dependent on others—without being maximally so. In a system that is *moderately complex*, the functioning and consequences of some rules will be dependent on others; in such systems, it still remains the case that a small variation in one rule from, say, r_i to r_i^* can move the system from O to O^*, where O^* differs far more greatly from O that r_i^* does from r_i. Still, in such moderately complex systems, the values of O and O^* will be correlated: knowing O is indicative of what O^* will be (Gaus 2016: 73–4). As we shall see, it matters a great deal whether we interpret Hayek's complexity analysis in the strong or moderate sense.

It is important to emphasize that the difficulty of predicting what the emergent property—in this case, the order of actions—will be does not mean that we are ignorant of the way the heterogeneous rule-based systems behave. It is sometimes claimed that Hayek's thought is, at bottom, contradictory: he insists on our ignorance of social processes but, out of his analysis of ignorance, he generates prescriptions about what we should do (Hodgson 1993: 183). If we know enough to say why, for example, socialism will not work, then we must have good enough insights into the economic order to intervene to promote social goals. This, though, is wrong. As we have seen, on a complex systems analysis, we can know quite a lot about the principles on which complex orders operate, and this theoretical knowledge allows us to say that some system states cannot be achieved and that some ways of organizing social cooperation are more efficient than others;[6] we also know that we are unable to predict the course of, or control, the complex order itself. As we shall see (§4), the analysis of complexity provides sound reasons against planning that seeks to control the emergent order. There is nothing contradictory about a mix of knowledge of principle and ignorance of what is a good plan or optimal policy.

3 THE TWIN IDEAS

3.1 Self-Organization

If we cannot organize such systems according to a deliberate plan—if they cannot be engineered—then how *are* they organized? Hayek repeatedly refers to "the twin ideas of evolution and spontaneous order."[7] Some commentators question whether these ideas are related (Hodgson 1993: 177ff.); however, more recent analyses have modeled relations between self-organization and evolution (Kauffman 1993; Mitchell 2009: ch.1; Holland 2014: ch. 3).

A system is self-organizing when its elements behave in such a way as to accommodate their behavior to each other so as to achieve a stable pattern of relatively dense interactions. In a physical system, the state space may exhibit basins of attractions in which elements gravitate over time to equilibria; it may be in principle impossible to predict on which equilibrium the system will settle, but it may well be extremely likely that the self-organizing system will gravitate to one of them (Kauffman 1993: 175ff.; Smith 1998). Complexity and self-organization are indeed intimately related ideas (Waldrop 1992: 300ff.). The Hayekian analysis is inspired by Hume's observation that coordination of a group on a social rule arises through "a slow progression, and by our repeated experience of the inconveniences of transgressing" it (Hume 1978: 490; Kukathas 1989: 88ff.; Hardin 2007: ch. 4). Over long series of iterated interactions, individuals adjust their actions to each other to secure stable patterns of interactions.

Yet not all self-organizing patterns are especially fruitful for the network of individuals. Although the pattern of interactions cannot be so dire that the constituent individuals expire, systems can get stuck at poor "local optima"—there are no marginal changes in their social rules that will produce better outcomes, yet overall, the individuals are not doing well in the system. (We can measure "doing well" in different ways—how well the diverse individuals satisfy their aims, their health, longevity, incidence of violence, wealth, and so on.) It is here that the second—and I think even less well understood—of the twin ideas, social evolution, enters.

3.2 Social Evolution: Macro and Micro

Hayek insisted that social evolution did not rely on Darwinian natural selection. Cultural evolution, says Hayek, "simulates" Lamarckian evolution because acquired characteristics—rules and institutions—are transmitted from earlier to later generations (1988: 25; cf. Mesoudi 2011: 43–4). This is accomplished, he argued, through individual-to-individual transmission of social–moral rules, crucially through imitation (1967c: 67; 1979: 156–7). The more recent, and much more sophisticated, work of scholars such as Peter Richerson and Robert Boyd (2005: ch. 3) has greatly added to our understanding of cultural transmission, distinguishing conformity bias (doing as most others do), prestige bias (copying high-status individuals), unbiased transmission, and various content biased transmissions (e.g., a bias toward rules that accord well with our sentiments; Gaus 2015). It is important to appreciate that the teaching and preaching of social–moral rules is an important form of transmission.

An evolutionary analysis requires, in addition to a *transmission* mechanism, sources of *variation* and *selection*. In cultural evolution, variation in social–moral rules can come from random changes, errors in transmission, drift, or explicit revision (Mesoudi 2011: ch.3; Richerson and Boyd 2005: 68ff). This last is especially important. There is no reason why a theory of cultural evolution cannot appeal to explicit efforts to improve social–moral rules; in this sense, cultural evolution is by no means simply "blind" (see §5). Some might decide that a current moral rule is objectionable and so, say, start preaching an alternative. Although Hayek's evolutionary account is often criticized as having no room for conscious attempts at innovation, an evolutionary analysis *requires* variation, and Hayek certainly accepts that rules can be consciously altered.

It would seem that what cannot be consciously determined on Hayek's social evolutionary account is whether a cultural innovation is adaptive. That requires competitive *selection* mechanisms. Hayek's account of selection is complicated, indeed more so than he often suggests. Selection occurs at both the macro and micro levels. At the macro level, "the selection process of evolution will operate on the order as a whole"; what is selected, Hayek (1967c: 71) argues, is the order of actions that arises from numerous interacting rules, other elements of the social system, and the wider environment. At the macro level, selection pressures operate directly on "the order of actions of a group" (1967c: 72). The distinction between a set of rules and the order of actions to which it gives rise (§2.3) allows Hayek to distinguish the *focus of selective pressure* (the order of actions) and the underlying rules, which are *transmitted from generation to generation* (§2.1). Recall that on Hayek's analysis, a group of individuals living under a set of social rules, $\{r_1 \ldots r_n\}$, will give rise to a certain emergent order of social interactions, O; it is this order on which macro selection operates (Hayek 1967b: 23–4).

On Hayek's analysis, macro social evolution is based on a form of group selection. "The rules of conduct have … evolved because the groups who practiced them were more successful and displaced others" (1973: 18, 1988: 25). Just what is meant by "group selection" is a vexed issue; models with very different dynamics are often categorized under this rather vague term.[8] Leaving nomenclature aside, a crucial claim is that if society S_1, characterized by order of actions O_1, is more productive than S_2 based on O_2, society S_1 will tend to win conflicts with S_2, a mechanism akin to natural selection (cf. Bowles and Gintis 2011). But perhaps more importantly, the members of S_2, seeing the better-off participants in S_1 characterized by O_1, may either immigrate to S_1 or seek to copy its underlying rules, thus inducing differential rates of reproduction between the two sets of underling rules (Hayek 1979: 26; 1973: 3, 17–18; 1988: 6, 25, 43).

Although in some statements, Hayek seems to suggest that all selection occurs at this macro level, his more nuanced view is that, while the macro level is the primary locus of selection, rule selection also takes place in the form of competition between rules within a society (1988: 23). For a rule r to be selected, it must be contributory to a selected order, O, but it must also attract allegiance within the group of individuals who coordinate via r. Individuals are constantly testing rules to determine whether conformity suits their overall concerns. We see here an especially intimate tie between self-organization and social evolution: The process by which self-organization occurs (individuals searching for rules that satisfy their aims) is also a process of evolutionary selection. Although in his discussions of social evolution, Hayek himself disparaged rule selection based on how well a rule conformed to one's social or moral ideals,[9] any plausible account of the selection of moral rules within a group must accord weight to how well those rules conform to the moral sense and judgment of different individuals. One of the factors that determine the within-group fitness of a moral rule is its ability to secure allegiance and be taught to the next generation. This is a case of content bias; rules that accord with people's moral sensibilities are more apt to be learned and transmitted.

4 THE OPEN SOCIETY AND ITS ENEMIES

4.1 The Evolution of the Extended, Open Society

Over the last 300–400 years, a self-organizing network of moral rules and institutions has evolved that has provided the basis for worldwide cooperation. As Hayek stresses, to say that this order has evolved is not to deny that large parts of it were deliberatively constructed (1988: 37), but the emergent order of actions was not itself so constructed. This network secures wide-scale cooperation under conditions of wide and deep diversity; indeed, not only does it allow cooperation in the face of diversity (itself no mean feat) but also draws on deep heterogeneity as a pillar of cooperation (Friedman 2008). It is hard to overestimate the revolutionary character of this development. Throughout human history, cooperative schemes were largely based on some form of homogeneity—some way in which "we," who were a distinct people who shared characteristics, engaged in a rich network of cooperation that, if not hostile to others, certainly was less concerned with maintaining relations of trust and beneficial interchange with them (Greene 2013: part I; Haidt 2012: part III). The tremendous scaling up of this order of cooperation, based on a moral order that extends trust and notions of fairness to massively extended networks of cooperative interactions (Rose 2011; Gaus 2015), leads to what Hayek called the Great, or Open, Society.

It is critical to stress that this order is not only distinctive because of its extent but also for the way it draws on deep and wide diversity of preferences, goals, and values (Gaus 2016: ch.4). It is because of this, perhaps, that some see a utilitarian idea lurking—the order of actions maximizes the satisfaction of diverse preferences. We can safely say that hitherto no human order of actions has been able to draw on, and in so doing satisfy, the diverse aims of so many people, but we cannot say that the satisfaction of preferences is maximized, assuming some sense can be made of that idea. More importantly, should we identify some way in which overall preference satisfaction is less than we wish or can imagine, this would not indicate a flaw in the order, for there is no engineering aim to successfully maximize.

4.2 Property, Markets and Order

As we have seen, networks with a large number of heterogeneous elements can be highly complex—in the extreme case, they are chaotic. Although we cannot eliminate complexity from networks of heterogeneous interactions, we have powerful reasons to seek to reduce complexity and secure a social order that provides a more predictable pattern of interactions. This can be done by partially decoupling the decisions of agents, lessening the complexity of the system, so that changes in one's agent's action do not automatically induce changes throughout. What I have elsewhere called "jurisdictional rights" serve this function (Gaus 2011: 199ff.). Rather than seeking to construct "a system of assessment that enables diverse interests to be brought together in a field of calculation," this method aims "to keep them apart, in order to simplify the basis for decision making" (D'Agostino 2003: 104).

> In effect, we say that in a society with *n* individual members, there are *n* separate spheres in which an answer … may be sought, each of which is, in theory, inviolable and particular to the individual who occupies it. A decides for himself what

> he should believe; B decides for herself; and so on.… In other words, we don't approach the matter of "basic belief" as one which … requires that individuals' judgments about this matter be aggregated.… We see it, rather, as one which is devolved to individuals whose rights to decide the matter for themselves are scrupulously protected.
>
> (D'Agostino 2003: 105)

Property rights and markets function in this way. As John Gray (1993: 314) once noted, "The importance of several [i.e., private] property for civil society is that it acts as an enabling device whereby rival and possibly incommensurable conceptions of the good may be implemented and realized without any recourse to any collective decision-procedure." Private-property rights are quintessentially jurisdictional. To own property is to have a sphere in which one is free to act on, and explore, one's own purposes, plans, and beliefs and yet, given markets, one is able to collaborate with others as one thinks best (Hayek 1988: 35). Because the very foundation of an extended order is to allocate firm jurisdictions to each participant, so that each has a socially recognized basis for planning and acting, it is no exaggeration to say that justice *is* the recognition of jurisdictions in such a society (Hayek 1988: 33).

Jurisdictional rights—most especially property rights—are critical because they provide a basis for each person to act on her or his heterogeneous preferences. We must always remember that diversity and heterogeneity are at the core of the complex Open Society. It is possible to organize on the basis of shared aims, but such organization is always homogenizing, taking us back toward simple orders. Any complex order must provide a basis for each person to undertake action based on her own goals. Markets—self-organizing systems of heterogeneous interactions—are the lynchpin, providing a way for innumerable heterogeneous agents to coordinate plans and share information (Hayek 1945).

4.3 Socialist Planning

A traditional aspiration of socialism was a large-scale social order guided by a collective plan, allocating resources and activities to secure the greatest collective benefit. As some communists put it, under socialism, "society will be transformed into a huge working organization for cooperative production. There will then be neither disintegration of production nor anarchy of production [i.e., competition and markets]. In such a social order, production will be organized" (Bukharin and Preobrazhensky 1969: ch. 3, §19). Society was to become one huge factory. To Hayek, this is perhaps the fundamental error of social theory—to treat a complex system as if it were an organization (1973: 36ff.). An organization may be complicated, but it is not complex; its aims are set by its global controller, and plans are designed to achieve them. As Hayek recognized, complex systems have no global controller (Rosser 1999: 176). Any attempt to treat them as organizations will spur an iteration of *ad hoc* interventions as the complex system responds in unexpected ways, leading to a decrease in the freedom of agents in the system to decide their own courses of actions. In the end, the system may become dysfunctional, failing to secure even the most basic ends of its participants (Hayek 1944). In contrast, systems based on property and markets allow each individual to adjust her plans to revisions in the plans of others, acting and reacting as she sees fit (and sometimes not reacting as all, say to the way a person chooses to use her property to worship her God), yet all these constant changes at the micro level are consistent with an order of actions.

4.4 Social Justice

Hayek (1976) famously insists that social justice is a mirage. In order to appreciate both the power and the limits of this claim, consider first what has been called a "patterned" theory of social justice, according to which a social state is just only if the holdings in that state correspond to a pattern such as "to each according to his deserts" (Nozick 1974: ch. 7). Hayek's argument against treating complex orders as organizations applies here. The particular array of outcomes produced by complex orders (person *A* receives *x*, person *B* receives *y*, person *C* receives *z*, and so on) is unpredictable: Holdings ultimately depend on an innumerable and unknowable range of factors. Thus Hayek (1976: ch. 7) insists that any government devoted to such a strong conception of social justice must constantly violate the rules (whatever they are) on which the complex order of actions depends, since the overall array of outcomes produced by *any system of rules* cannot be predicted. This is why "rule utilitarianism" is ultimately oxymoronic in a complex system: The system of rules cannot be designed to ensure the "correct outcome," and so devotion to producing this outcome must involve constant violation of the underlying rules. Recall that the ultimate order of actions is an emergent property on a set of rules, so no matter how much we refine a set of rules, we cannot ensure that it secures the desired outcome. So any theory that is devoted to an overall outcome must necessarily be one that constantly interferes with the operation of the rules on which the overall order depends.

Note that this analysis would not apply to a theory of justice that adopts institutions and then defines as justice whatever outcomes this scheme produces. This helps explain a remark of Hayek's that has so puzzled commentators. In the preface of a book dismissing social justice as a mirage (1976: xiii), he asserts that he has no deep objection to the most important work on social justice in the history of political philosophy—John Rawls's *A Theory of Justice*. Hayek's (1976: 100) point is that Rawls's proposal does not seek to select specific distributive outcomes but rather articulates principles that might ground complaints against a set of rules; if the rules withstand such complaints, then the distribution, whatever it might be, is just. Because Hayek reads Rawls's theory as insisting on a refinement of the rules underlying the order of actions and not one seeking to specify the overall outcome, he insists that it is consistent with the complex order of the Open Society.

5 THE PARADOX OF MORAL INQUIRY

5.1 Complexity and Moral Reform

The least developed aspect of the Hayekian project is the justification of the rules of the Open Society and the possibility of deliberate reform and justification. We have just observed that he seems friendly to (his understanding of) the Rawlsian project as one that seeks to determine whether free and equal citizens might have *bona fide* complaints against the rules of the Open Society. It would seem, though, that if a complaint is to make any sense, it must be possible to reform the order of actions in a way that mitigates the complaint by reforming and improving the nature of our cooperative arrangements. But given the complex nature of the order of actions, can we even make sense of this?

The distinction between high and moderate complexity (§2.4) is critical in answering this query. If the system is maximally complex, every feature of the overall order of actions emerges on the interactions of every rule. Change any one rule, and the order of actions can be entirely transformed. If so, it is quite useless to evaluate whether any specific rule is functioning adequately, for all rules are, as it were, implicated in everything. Moreover, attempts at experimental or incremental change are quite hopeless. Any change can take the system to any system state. Suppose we make a change in rule r_i and the system radically changes. Suppose further that everyone approves of the new system. Another small additional change in r_i can again move the system anywhere, so even the smallest additional change will undo our previous one. Essentially, we would only be able to move randomly and observe results. Under these conditions, interpreting Hayekian analysis as conservative has much to recommend it (Freeden 1996: 373ff.; cf. Hayek 1960: 397ff.). Given the utter unpredictability of change, we might as well try to stay where we are, where we might have some modicum of reasonable expectations.

However, even under extreme complexity, Hayek is not best understood as a conservative. Hayek avoids conservatism by placing great weight on principles that he deems to be the bedrock of the Open Society, such as personal liberty (1973: ch. 3); the right thing to do might be to simply demand the satisfaction of certain principles and live with the consequences. Thus, he chides the conservative for accepting whatever outcome has been produced by the latest intervention (1960: 397ff.) and so failing to stand up for the core principles (liberty, jurisdictions, and markets) on which the Open Society depends. "A commitment to principles presupposes an understanding of the general forces by which the efforts of society are co-ordinated, but it is such a theory of society and especially of the economic mechanism that conservatism conspicuously lacks" (1960: 401).

Things look different under moderate complexity, where the rule system is not so tightly coupled. Here, reform of the rules to improve the order of actions seems entirely possible. Small changes in the underlying rules will produce significant changes in the order of actions, but we have seen that these changes are correlated: the overall features of *S**, the state after the change, will have significant similarity to the previous system, *S*. While we can by no means predict the precise outcome of a change in the underlying rules, we will have reasonable confidence that—to put the matter roughly—they will be in the same neighborhood of the current order.[10] So incremental social experimentation looks plausible. Given this, we may interrogate rules with a prospect of improvement. A rule might strike us unfair or needlessly restrictive of freedom. In a maximally complex system, we would be most reluctant to experiment by altering it—the change would lead us to an entirely unpredictable outcome. But in a more moderately complex system, while global control is still out of the question, it is not reckless to incrementally alter rules with the aim of improvement. The society that results will not be radically different from our present one.

5.2 The Seeming Impossibility of Reasoned Moral Inquiry

Reform of a moderately complex system thus seems feasible. But while it is feasible to reform, decisions to reform presuppose that we have rationally examined our order of actions and have determined that it comes up short, and we have an idea what to do about this. Hayek (1988: 68ff.), though, is understandably skeptical of the very idea of rationally evaluating our order of actions and demanding a justification or coming to the conclusion that some rule *r* is unjustified. Given the essence of complexity, we do not understand the outcomes produced by *r*. In a complex system, *r* interacts with a large set of other rules to produce an order of actions, the features of which simply cannot be wholly known from the characteristics of the individual rules. This, as we have seen, is a fundamental feature of complex systems. Thus it would seem that Hayek is quite right to reject any demand for justification according to which "our morality is justified just to the extent, say, that it is directed towards the production of, or striving after, some specific goal such as happiness" (1988: 69). If we do not know the consequences of our rules, it is hard to see how we can evaluate their outcomes. Of course, insofar as the overall system supports the Open Society and there is no alternative structure for coordinating multitudes of heterogeneous agents for large-scale mutual benefit, we might think that is all the justification we need.

Hayek insists that individuals do not learn the moral rules of their society through reasoned inquiry but through cultural imitation (1988: 21ff.). Because we cannot really know the purposes or consequences of any given rule *r*, morality is learned by observing the behavior of others and imitating it. This converges with recent analysis of the evolution of culture, which put imitation and conformity bias at the very heart of cultural transmission (Richerson and Boyd 2005: 86ff.; Henrich and Henrich 2007: 22ff.). Because culture has evolved complex adaptive practices, humans typically do well by imitating the behavior of others around them. We often do not understand precisely the benefits of our cultural practices, but because culture is largely transmitted via imitation, people often do not have to know why something is done, only that it is the done thing around here. Whereas intelligent primates such as chimps tend to figure out problems for themselves, human infants have a much stronger tendency to simply copy what they observe being done, copying "stupid" acts that the chimp sees as pointless (Horner and Whitten 2005). Hayek, once again running against the current, insists that this general feature of culture applies to morality. Because the rules of morality are complex cultural adaptations, we do not really understand their functions or effects on the order of actions, and so simply imitating the rule-following behavior of others is not only sensible but also necessary (1988: ch. 5).

5.3 The Necessity of Reasoned Moral Inquiry

Yet cultural and moral innovation depends on innovators who employ their reasoning to question current rules and seek better alternatives. If cultural transmission requires conformity, improvement and adaptation require reasoned innovation (Boyd and Richerson 2005: ch. 2). New problems arise; experience points to possible flaws in current rules. As in culture, the spread of new moral ideas is often based on the innovator's or trendsetter's reasoning (Bicchieri 2016). Innovators provide reasons for endorsing the new rule and seek to persuade others to come on board. Nevertheless, given the complexity of the order of action, no innovator's reasoned inquiry will capture the full function or consequences of any rule.

Thus the paradox of moral inquiry: In some ways, it is bound to fail in its quest for understanding and evaluation, yet it is an ineliminable feature of morality. Because all reasoned investigation is incomplete, the process of moral reform should draw on the largest possible pool of information, as diverse individuals throughout society observe changes in moral rules and the new state of affairs that results. It must be stressed that not even the entire collectivity can fully appreciate all the effects of changes in the system of moral rules, but the wider the population participating in the process of change, the greater the chance that important changes in the order of actions will be observed, and this information will affect the process of change. Hayek thus envisages a decentralized testing of current rules by diverse individuals: "it is, in fact, desirable that the rules should be observed only in most instances and that the individual should be able to transgress them when it seems to him worthwhile to incur the odium this will cause.… It is this flexibility of voluntary rules which in the field of morals makes gradual evolution and spontaneous growth possible, which allows further modifications and improvements" (1960: 63).

We should distinguish rule abolition from rule replacement. Individual decisions to flout a moral rule can be very effective in undermining it. In many cases, as increasing numbers of individuals violate a current rule and others observe their behavior and approve of the results, the general expectation that the rule will be followed is undermined, and so the rule is apt to fade away. Such trendsetters can have great impact in undermining rules they see as morally objectionable, as they take the first steps, followed by others (Bicchieri 2016: ch. 5). Instituting new rules is more difficult; an innovator can do significant damage to an existing moral rule by flouting it and encouraging her network to follow her—it is more difficult to get groups to adopt and follow new rules. But here too, change can be from the bottom up. As small networks of people come to adopt a new rule, through persuasion or example, others may begin to adopt the new rule, first in neighboring networks; then, the new behavior can spread more widely. Changes in many rules about gender equality appear to have demonstrated this dynamic over the last 40 years: what were the norms of distinct subpopulations spread to the entire society, and they came to be endorsed by increasingly large social networks. And people often adopt new norms on the grounds of their reasons for them (Bicchieri and Mercier 2014). Yet Hayek is surely correct that too a great a faith in our ability to judge—insisting that our rules must be verified from the bar of reason in the sense that they must be fully understood and comprehensively evaluated—means that we cannot benefit from the evolution of our self-organizing order of actions. Morality requires conformity without full understanding while also requiring reason-giving and reasoned-innovation/reform. A paradox indeed.

5.4 Macro Justification of the Open Society?

Hayek's account of social evolution, I have argued, integrates micro-selection of social rules by the participants (§3.2); this opens up a path for content-based moral evaluation of social rules by diverse individuals to affect the evolution of the order of actions. This integration of moral evaluation into social evolution is a critical, and often overlooked, feature of his analysis. It is not simply that we can make moral evaluations (of course we do that); Hayekian analysis shows how these help shape a complex self-organizing adaptive system. For the Hayekian, that is the critical idea. Still, an orthodox political philosopher may press a demand for global justification. Thus, for example, G. A. Cohen (2009) presents a tale of a communal camping trip as a model of social relations and asks "Why not Socialism?" rather than the Open Society? Can a Hayekian-inspired analysis say anything in response?

The response most true to Hayek is, perhaps, the least satisfying to the orthodox political philosopher: There is no longer a viable alternative. The option of planning modern large-scale societies is an illusion. When sketching out their visions, political philosophers do not invent societies, they invent blueprints—or rather vague sketches of possible blueprints. Any attempt at implementation would, at best, yield totally surprising results—and probably disaster. Almost all utopian societies—be they socialist, environmentalist, or libertarian—imagined by philosophers are simply impossible under conditions of diversity and complexity, for they assume the very simplicity and predictability that complex orders of actions do not possess. To secure them would require a simplifying of human organization, a decreasing of diversity, and a controlling of innovation that would require…well, a cultural revolution and all that it involves.

As I said, this will be unsatisfying to most political philosophers, as it may simply be a cause for lamentation: justice is beyond the horizon of modern humans. We are too corrupt. And if the philosopher does view the Open Society as corrupt, constant disruption may even seem attractive—a sort of endless guerilla war with the diversity and complexity of the Open Society. A second response moves toward what, hopefully, the moral philosopher will see as normatively relevant: that the Open Society has provided the basis for tremendously more people to achieve freer, more interesting, less arduous, longer, healthier, and more enriched lives, recognizing a larger diversity of aims and ends—of both men and women—than was imaginable even 100 years ago. As Deirdre Nansen McCloskey (2016) demonstrates in her wonderful encyclopedic analysis of human betterment over the last 200 years, at its core has been the openness and creativity characteristic of the Open Society. Without openness and dense interactions among the mass of people and heterogeneous ideas, this astounding human betterment would not have occurred (McCloskey 2016: 40); but these are the very sources of Hayekian complexity.

Yet, the philosopher demanding the global justification may continue to press, what does this have to do with the *justice* of such a society? The Open Society, he may insist, is still unfair: it does not give us "true" equality or "fair" equality of opportunity; it does not undo the "accidents of birth" or track merit; it does not maximize utility, community, or liberty. Perhaps justice requires humans have less wealth, opportunities, and comforts but live in much fairer and very different ways. After all, says John Rawls, beyond some point, wealth "is more likely to be a positive hindrance, a meaningless distraction at best if not a temptation to indulgence and emptiness" (1999: 258). The Hayekian has one last response, drawing on a Millian idea. As I have recently tried to demonstrate (Gaus 2016), a highly diverse society, in which people have and develop deeply different views about ideal justice, provides the framework in which we stand the best chance of learning what ideal justice truly is. Let us admit that even for the political philosopher, knowing the ideally just social state is not easy, and even when we think we have a good idea of it, we always have something to learn. Scott Page (2007) has stressed the ways in which a wide diversity of perspectives is critical in helping a group solve its most pressing problems—over a large range of circumstances diverse groups and societies solve problems better than homogenous ones. And, the philosopher should acknowledge, one of our critical problems is figuring out what justice is. John Stuart Mill (1965 [1859]) was right; if we wish to progress in our understanding of justice, we need the diversity and complexity of the Open Society.

6 AN EVOLVED COMPLEX ORDER

Hayekian "classical liberalism" remains obscure to most political philosophers, as it denies most of their basic assumptions and rejects their methods. First and foremost, it is not a "moral theory," which formulates normative standards that are then used to evaluate and propose reforms of social orders. The Hayekian approach does not justify the Open Society in terms of efficiency, productivity, utility, utility-based rules, "evolutionary utilitarianism," social welfare, desert, merit, natural rights, autonomy, economic liberty, respect for persons, or progress. This is not to say that it is skeptical whether the Open Society has been a tremendous boon to humanity; having experienced it, the resulting human betterment is manifest to all who truly look. But it was not designed to produce that betterment, nor can it be controlled to secure it in ways that may seem most desirable to us. We know the general features of the Open Society, such as its endless inquiry and innovation, but it has no "maximand"—a value to be maximized, by which our version is to be rated. Hayek presents us with a comprehensive theory of the Open Society—how its complex order comes about, the type of morality that it engenders, the types of social relations it makes possible, and why our failure to understand it leads both friends and foes to treat it as a simple order that can be evaluated by ethics and controlled by politics. Ethics is not an Archimedean point that allows a person to stand outside a moral system and evaluate it, dictating the correct way to live together (cf. Gauthier 1986: 233); our ethical views are a product of the very social evolutionary process we are seeking to understand and improve.

NOTES

1. Both Freeman and Brennan and Tomasi contrast classical liberalism with the "high liberalism" of Rawls, but whereas Freeman (2001; 2011) insists on sharply distinguishing classical liberalism and libertarianism, Brennan and Tomasi propose a more complex classification of classical liberalism that includes libertarianism.
2. Because Hayek appeals to social evolution (see section 3 of this chapter), some seek to save the "utilitarian" designation by deeming him an "evolutionary utilitarian"—the outcome of social evolution somehow indicates what is, from the utilitarian point of view, best. Hayek was too sophisticated an evolutionary theorist to believe that social adaptation is a proxy for maximizing utility, much less that we could have any test of this claim. See further Kukathas 1989: 198ff.
3. Hayek (1973) is also critically concerned with common law, which shares much with informal social morality.
4. While direct reciprocity (for example, "tit-for-tat") can be effective in accounting for cooperation in very small groups (dyads, triads) its capacity to sustain cooperation dramatically decreases as group size increases (Henrich and Henrich 2007: 51). Bodo's group of 80 would be far too large for direct reciprocity to sustain cooperation (see Bowles and Gintis 2007: 64–8).
5. This is sometimes called "tight coupling." See Tanner 1996: 16.

6. The most our theories can do is tell us that the system moves toward equilibrium. Thus our theories of equilibrium (say, price theory) will not allow us to reliably predict actual prices. It is important to realize that Hayek accepted the legitimacy of mathematical modeling of the economy; what he dismissed was any claim that we could reliably estimate actual values and so employ our model to generate fine-grained (or even medium-grained) predictions (Hayek 1978: 27). Thus, while efficiency is a relevant feature, it cannot have the pride of place it has in many neo-classical static equilibrium theories.
7. Hayek 1967c: 77; 1978b: 250. Hayek writes of "the twin ideas of evolution and of the spontaneous formation of an order." See also Hayek 1973: 23, 158. In Hayek 1988: 146, he writes of "the twin concepts of the formation of spontaneous orders and selective evolution."
8. While the importance of forms of multi-level selection in biological evolution is still hotly disputed, I think there is conclusive reason to view multi-level selection as fundamental in cultural evolution. For a very helpful discussion, see Okasha 2006.
9. Hayek argues that the steps in cultural evolution toward large-scale coordination "were made possible by some individuals breaking some traditional rules and practising new forms of conduct—not because they understood them to be better, but because the groups which acted on them prospered more and grew" (1979: 161). For a general analysis of the role of conscious deliberation and choice of rules in Hayek, see Peart and Levy 2008.
10. I consider this idea of a "neighborhood" in much more detail in Gaus 2016: ch. 2.

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4

Democracy Versus Libertarianism

Richard Arneson

The ideals of democracy and equality have inspired progressive political movements throughout the nineteenth and twentieth centuries. The democratic egalitarian seeks a world in which political rulers are agents accountable to the majority will of the citizens; inequalities in income, wealth, and status are not extreme; and the members of society collectively take responsibility for assuring decent conditions of life for all, including the least advantaged, so that, so far as is feasible, each member of society has the opportunity and ability to choose sensibly among a wide array of valuable life options and live well.

The shining ideals of democracy and inequality are disparaged in the Lockean libertarian and classical liberal traditions of political thought, which have themselves become inspirations for many thinking people in modern times, perhaps especially in prosperous market-economy societies. Very roughly, according to libertarian and classical liberal thinking, what ought to be prized and defended above all is individual liberty, understood as inseparable from the respect for private ownership of property. Government by majority rule might encroach on individual liberty, and when this happens, the majoritarian pedigree confers no moral legitimacy on the encroachment. If the modern state can be justified at all—a doubtful proposition for the libertarian—the right form of governance in given circumstances is whatever form will be protective of liberty in those circumstances. From a liberty-first perspective, robbing the rich to aid the poor is just robbery, and such Robin Hood policies are still just robbery when perpetrated by an organized state in the name of justice and equality.

This simple statement of opposition needs to be qualified in various ways. Democratic and egalitarian liberalisms form a loose family of views, not a single monolith. On the other side, Lockean libertarianism and classical liberalism are still works in progress, not two single doctrines set in stone. This chapter introduces some complications and shadings in the simple picture just painted.

The stark, simple contrast is nonetheless of great interest. The ideals of democracy and equality can seem platitudinous and uncontroversial. Their dismissal, for broadly similar reasons, by libertarians and classical liberals provides an occasion for shaking up beliefs taken for granted and for rethinking, in a harsh critical light, what has seemed obviously true. From the other side, if some norms of democracy and equality should command our allegiance, the failure of libertarianism and classical liberal doctrines to affirm these norms registers as a sharp criticism of those doctrines. In this confrontation, whatever the verdict of the reader might be, the chapter will succeed if it brings to the table some unsettling food for thought.

1 PLAN OF THE CHAPTER

The topic of this chapter is large and ungainly. Addressing it, I make some simplifications, here flagged. Contemporary libertarianism is a set of views about liberty, property, and government, claimed to be justified in two very different ways. One appeals to the natural moral law tradition as reworked into a doctrine of individual moral rights by the seventeenth-century political theorist John Locke (Locke 1980 [1690]) and streamlined and given a succinct formulation by Robert Nozick in his canonical work *Anarchy, State, and Utopia* (Nozick 1971). The other path of justification is associated with the writings of Ayn Rand (Rand 1964), who believed that each person ought rationally to seek her own interest above all, and that rational egoism thought through consistently implies libertarian moral and political views. The attempt to derive libertarianism from egoism strikes me as hopeless, for reasons briskly stated by Robert Nozick (Nozick 1997 [1971]). At any rate, in this chapter, the Lockean libertarianism that is discussed is the position of Locke and Nozick. Here, it should be noted that Locke's own views differ, especially on the topics of property and consent to government, from Nozick's version of natural-rights doctrine (for Locke's positions, see Simmons 1992; Simmons 1993).

Classical liberalism encompasses a wide range of views united around the idea that the minimal state ought to confine its role, for the most part, to the protection of basic individual liberties and private ownership and the enforcement of contracts and protection of individuals against wrongful harm to their persons and property. This discussion focuses on the ideas of Friedrich Hayek (Hayek 1944; 1960; 1976; 1988) to illustrate the main themes of this tradition of thought.

Section 2 of this chapter introduces the Lockean libertarian position, and section 3 introduces classical liberalism. Section 4 discusses the libertarian response to the ideal of democracy, and section 5 discusses the classical liberal response. Section 6 examines the libertarian opposition to egalitarian liberal justice; section 7 examines the classical liberal dismissal of social-justice norms as a rationale for state action. Section 8 looks at the normative basis of the classical liberal critique of rent seeking (which libertarians can also embrace). Section 9 takes stock.

2 LOCKEAN LIBERTARIANISM

For the purposes of this discussion, *Lockean libertarianism* is a label for a cluster of claims about the moral law, the natural moral rights, and the moral basis of the private ownership of resources. The claim is that there is a moral law that is accessible to persons, beings with rational agency capacity at or above a threshold level. One gains access to the moral law by consulting one's conscience, using one's reason to figure out what we owe to each other by way of conduct and disposition. The moral law tells us that each adult person has moral rights, which everyone has a strict duty to respect. These are natural moral rights, which means that they hold true independently of people's opinions and beliefs, existing institutions and social practices, and cultural understandings.

The fundamental moral right is a right of each person to act in whatever way she chooses with whatever she legitimately owns, provided she does not thereby wrongfully harm others in certain ways. A companion moral right possessed by each person is not to be harmed by other persons in any of these certain ways. These ways are given by a list: forcing or coercing others, stealing what they legitimately own, fraudulent transactions, promise-breaking and breach of contract, physically harming the person or property of another or acting in ways that unduly create risk of such harm, and threatening to do any of the above.

Each adult person is the full rightful owner of herself. From this premise of self-ownership plus some further uncontroversial normative premises, the libertarian holds that one can derive the conclusion that an individual can acquire full, transferable, bequeathable ownership of unowned land and moveable resources. Full ownership of a thing is a bundle of rights over it, including the right to exclude others from using the thing, the right to use the thing as one chooses (so long as one does not thereby harm others wrongfully as specified just above), the right to allow another person or persons to use the thing on mutually agreed terms, and the right to transfer the entire bundle of rights just listed to another person or persons.

Rights on the Lockean view are forfeitable, transferable, and waivable. Pointing to my chin and saying to you "Give me your best shot," I waive my right, for here and now, that you not injure me by hitting me on the chin. You then lack a duty, here and now, to refrain from hitting me on the chin. By bad conduct that violates the moral rights and others, I open the door to be treated in certain ways, such as being forced to relinquish stolen goods or submit to criminal trial procedures or submit to punishment, that would be violations of my rights but for my wrongdoing. Any right I possess, I can transfer to another (who agrees to take it).

3 CLASSICAL LIBERALISM

Classical liberalism can be understood in terms of two contrasts. This doctrine differs from Lockean libertarianism by (1) eschewing any commitment to the idea that the foundation of morality is the principle that people have moral rights independently of social arrangements that each person must always and everywhere respect and (2) denying the existence of any principled *pro tanto* reasons to favor anarchism. A state that facilitates security of the private ownership of property and protects and respects the important human liberties in a manner consistent with the rule of law, and in these ways improves on the condition in which there is no functioning state, is thereby morally justified. The important liberties involve the freedom of each individual to do what she chooses with whatever she legitimately owns. (Legitimate ownership may have a conventional character and need not be understood in terms of natural moral rights. The conventions must tend to have beneficial consequences and must be consistent with the core notion of private ownership.)

The second contrast that illuminates the content of classical liberalism is between this doctrine and modern egalitarian liberalism, which regards the state as fundamentally bound to promote an ideal of social justice or the common good. If and when a market economy organized on a basis of private ownership becomes a hindrance to achieving these fundamental political values, the egalitarian liberal is prepared to advocate regulation, restrictions on ownership and expropriations of privately owned property, or, conceivably, the abolition of the market economy altogether. In contrast, the classical liberal favors the minimal state that limits its role to (1) protecting private ownership, (2) maintaining a rule of law that complements and stabilizes the market economy, and (3) making provision for a few uncontroversial public goods such as national defense and police protection.

What, according to the classical liberal, is the moral justification of this doctrine? What would be the best justification? Some think the classical liberal position rests on broadly utilitarian foundations (Freeman 2011; Gray 1984; but see Kukathas 1989). Hayek writes, "The recognition of the right of private property does not determine what exactly should be the content of this right in order that the market mechanism will work as efficiently and beneficently as possible" (Hayek 1960). Richard Epstein (1989) has written about "The Utilitarian Foundations of Natural Law."

The classical liberal is at most "broadly utilitarian." The classical liberal rejects the utilitarianisms of J. S. Mill (1978 [1859]; 1979 [1861]) and Henry Sidgwick (1907 [1874]), which presuppose that the happiness, well-being, or utility of different individuals can be added together and that morality bids us to maximize the aggregate sum. If the utility of different individuals cannot be added together, there is no coherent idea of maximizing an aggregate total. If well-informed individuals voluntarily make an exchange, each is better off according to his own lights, and provided the transaction does not impose physical harm on the persons or property of others, trade makes some better off and none worse off. To this approbation of voluntary exchange, the classical liberal adds a broad empirical surmise to the effect that free trade, in a setting in which the government provides rule of law facilitation of trade and blocks uncompensated negative externalities (costs imposed by the activity of some on others that do not register in the market prices the imposers face), over time tends to increase prosperity and improves almost everybody's condition by her own standards (Schmidtz 2012).

If one cannot create a greater amount of aggregate well-being by harming some to help others, there is no utilitarian case for harming some to help others. But nor is there a utilitarian case against doing that. The classical liberal breaks this impasse by affirming individual liberty and interpreting liberty as the condition in which one is not coerced or forced (except as necessary to prevent some from coercing or forcing others). So something like an appeal to moral right does enter the account.

4 DEMOCRACY THROUGH A LIBERTARIAN LENS

On the Lockean view, as interpreted by Nozick, no one has any moral duties to obey political rulers unless one has voluntarily undertaken a duty to obey by pledge or agreement. Nor do self-styled political rulers have rights to command others or force others to obey their will, even when this coercion would be instrumental to bringing conditions for civil order and cooperation. An individual has no right to coerce another individual, and a group of persons organized around a common plan has no more right to force bystanders to join the group and further the plan. John Locke plainly states that the natural condition we are in, prior to any agreement to submit to the authority of others, is "a state of perfect freedom to order their actions, and dispose of their possessions and persons, as they think fit, within the bounds of the law of nature, without asking leave, or depending upon the will of any other man."

Of course on Nozick's view, an adult person also is at liberty to give up this perfect freedom by voluntarily agreeing to obey one who offers to take up the role of clan leader or political ruler. One is not at liberty to join a criminal conspiracy, such as a political state dedicated to wrongful conquest, but one is free to agree to submit to political rule, for sound prudential reasons or bad reasons, and one then becomes bound to carry out one's agreements. Just inhabiting a territory that has a functioning state that protects one's rights would not trigger any enforceable duty of reciprocity to join the enterprise and fulfill the duties of members. Locke: "men being, as has been said, by nature, all free, equal, and independent, no one can be put out of this estate, and subjected to the political power of another, without his own consent."

Democracy has no special status compared to other forms of government. One might consent to be subject to the authority of nondemocratic elite rule, as well as one might consent to a majority-rule form of government. To be valid, the consent cannot be coerced. But so long as the persons offering to be one's political rulers have not made nonconsent options unviable by violations of one's rights, the choice one is offered to consent might be combined with no remotely acceptable alternative options. Absence of acceptable alternatives does not in itself, according to the Lockean, vitiate consent.

Nozick suggests that, starting with anarchy, we could expect individuals to behave in ways that would bring about the existence of a state-like entity, which we might as well call a state. Beset by bandits, people would seek protection services, and ultimately on each compact territory there would arise a dominant protection agency (DPA), a firm that enjoys a monopoly on the sale of such services on the territory. Nozick argues that this DPA, without necessarily violating anyone's rights, would successfully claim a monopoly on the legitimate use of force within the territory it controls. The DPA would view independents practicing self-help enforcement of rights as imposing undue risks on its clients, so would prohibit self-help enforcement of rights. However, doing this would only be permissible if the DPA compensated the independents for the severe loss involved in being denied the right to protect one's rights by defensive violence, so the DPA, in order to function without violating rights, would protect all residing on its territory. Its compensation to erstwhile independents would take the form of a free basic protection service.

Nozick tentatively suggests that we might view this hypothetical showing that a DPA arising under anarchy could become state-like as a justification of the minimal state. It is not clear that showing a DPA could appear state-like without violating rights would justify an ordinary state, which does enforce compliance with its rules and forces all members to pay for its upkeep. These seem like violations of libertarian natural rights. Also, Nozick's argument that the DPA could become state-like and must become that looks unsatisfactory. The independents he imagines are either following reasonable, nonreckless self-help enforcement procedures or not. If they are, the DPA has no moral right to prohibit them from engaging in self-help enforcement, so the rights-respecting DPA does not rightly claim a monopoly on the use of force and defensive violence. If the independents are following unreasonable procedures that impose undue risks of violating the rights of DPA customers, it is permissible to prohibit such self-help enforcement, and in this case, no compensation would be owed to reckless independents. Either way, the account of how the DPA could and must become state-like fails.

Were Nozick's hypothetical account successful as a justification of a minimal state, there would still be no requirement that the state, to be legitimate, must be democratic. Let us say a democratic state is one in which the laws and public policies that are enforced are selected by legislators, who, along with top public officials, are selected by voters via a majority-rule procedure, with each permanent adult member of society being a citizen with an equal vote, the majority rule process operating against a background of robust freedom of speech and association.

The failure of Nozick's account to maintain that a morally legitimate state, which has a right to enforce its commands on citizens, must be a democratic state, will register as a deep moral flaw in his libertarianism according to a wide array of liberal egalitarian theories of justice. One common liberal egalitarian view is that the state massively coerces its members and also claims to act in their name. Moreover, the state does not just happen to claim to act in the name of those it governs; it must do so, on pain of being illegitimate. It must claim to be authorized by those it governs, and this claim can only be made good if the state is accountable to its members via a majority-rule system of governance as already described. In the ideal of a democratic state, political rulers are not bosses who push people around; they are rather agents acting on behalf of a democratic public, to which they are accountable. Citizens have the obligation to vote for just laws and policies and for public officials who will respect and protect people's moral rights, and they in turn have the right that the laws and public policies imposed on them be authorized by a political process in which they have a fair opportunity to participate on equal terms with all other members of society.

The libertarian sees no special moral merit in democracy and holds that the equal moral status for all that we should accept is that each and every adult person equally possesses the same basic moral rights and all persons ought always, without exception, to respect the moral rights of every other.

5 DEMOCRACY THROUGH A CLASSICAL LIBERAL LENS

In contrast with the libertarian, for whom the basic moral legitimacy of the state is problematic, the classical liberal tradition does not flirt with anarchism. Except for would-be predators, we are all better off having a functioning government that maintains a monopoly over the use of force and maintains basic order, according to the classical liberal. But why democracy? The commitment of the classical liberal is to something close to the minimal state, the night-watchman state that provides uncontroversial public goods including national defense, police protection and criminal justice, and the enforcement of contracts and protection of private-property rights. The minimal state need not be a democracy in which legislators and top public officials are ultimately accountable to an electorate in which all citizens have an equal vote and decisions are by majority rule.

Committed to the rule of law and equal formal treatment of persons, the classical liberal opposes a feudal rule with a hereditary elite ruling class or twentieth-century authoritarian regimes. But this does not yet amount to a robust commitment to democracy. Insofar as the background classical liberal moral foundation, even if eclectic and hybrid, does include a utilitarian component, or better a quasi-utilitarian commitment in which any welfare maximizing norm is limited by skepticism regarding interpersonal comparisons of welfare, the position inclines toward viewing forms of political governance as properly to be assessed on instrumental grounds, as means or hindrances to other values. For any broadly utilitarian position, human welfare is primary, and power is a resource; it should be assigned to people in whatever way would do the most good.

Friedrich Hayek cautions that democratic political procedures, even if procedurally fair, do not guarantee substantively fair outcomes in terms of laws and public policies. He is mostly worried about incursions on private-property rights by a democratic electorate, but insofar as classical liberals take an instrumental approach to democracy, one wonders if there is any rock-bottom moral error in this stance. If assigning me an equal vote, and in this respect equal political power with others, would not tend to make the functioning of the regime likely to produce morally better results, what is my ground for supposing I have a fundamental moral right to an equal say?

Hayek comments that the reasons for supporting democracy underdetermine the type of political institutions that should be established and might be compatible in some circumstances with, for example, schemes that deviate from one-citizen-one-vote and assign extra votes to the more educated or otherwise competent. Another possibility is that a system of government might introduce checks and balances and divided powers to block immediate the implementation of majority-will populist whims and reduce the chances of some political officials gaining unchecked power. To this end, one might seek to make government less democratic in the sense of immediately responsive. (Along this dimension, a government structure is more democratic the shorter the time lag between a shift in majority opinion and a change of policies bringing them into accord with that shift.) A government structure might also be more or less democratic in terms of equal opportunity for influence, a government set-up being more democratic along this dimension the more it is the case that all those with equal political talent and equal political ambition have equal prospects of being politically influential.

Again, I take the democratic commitment of the classical liberal to be hedged and qualified and, perhaps, none the worse for that. Perhaps we should not take exception to the idea that democracy should be upheld not as an intrinsically fair procedure but rather insofar as, in actual circumstances, it is conducive to rights fulfillment and the common good. The classical liberal along with the libertarian will disagree with the egalitarian liberal about what constitute morally good consequences.

6 EQUALITY

In broad terms, the idea of equality that Lockean libertarians repudiate is any idea of distributive equality. This idea itself appears in various guises. Uniting them is the idea that we together have a moral responsibility to improve the condition of badly off people, bringing about some compression of the inequalities between better offs and worse offs.

In different egalitarian theories, the measure of inequality in people's condition gets construed in different ways—in income and wealth, or resource holdings, or opportunities for resource acquisition, or life prospects in terms of positive hedonic feeling, or objective well-being, or preference satisfaction, or opportunities for well-being understood subjectively or objectively.

Another distributive justice view that will in a variety of circumstances recommend equalizing transfers of resources without prizing equality of condition for its own sake is the idea that it is morally desirable that individuals should enjoy well-being in proportion to their deservingness. On this view, it is more fitting that saints end up faring better than sinners.

Natural-rights libertarianism need not deny the possible coherence and plausibility of some distributive justice views. In much the same way, the natural rights libertarian is not committed to denying the virtue of charity. The sticking point for her is that these types of considerations do not affect the morality of coercion and the proper uses of coercion along with the idea of liberty that is correlative to it. The natural moral rights are trumping values so far as justified coercion is concerned. Perhaps it would be morally nice for a property owner to give up her property to aid a needy person in the style of a good or splendid Samaritan. But since the property owner has legitimate ownership of her property, she is morally at liberty to dispose of it as she sees fit so long as she does not thereby wrongfully harm others (violating one of their spare natural moral rights). She is at liberty to be a good Samaritan or not as she chooses, and it would be morally forbidden, a violation of her rights, to force her to give up her property against her will to aid the needy.

By the same token it might be morally nice if equality of condition prevailed in society. Maybe so; maybe not. This does not matter. Individuals are at liberty to coordinate voluntary transfers of their resources to bring about greater equality of condition or, for that matter, to try to bring about any other distributive pattern they might fancy. But equally, they are morally at liberty to use their property as they choose within natural moral law constraints, so they are morally at liberty to pay no heed to supposed distributive justice values if they are so minded. Again, it would be morally wrong, a violation of the property owner's legitimate rights, to expropriate her property in order to advance distributive justice aims. This would be to upend the moral order, brushing aside the constraints of moral rights that have strict lexical priority over other values in the determination of what each person ought to do and favoring instead alleged moral values that are morally weightless by comparison.

From the standpoint of the egalitarian liberal, Nozick's claims pivot on an illicit slide between some and all. Even if each person has some moral right to live as she chooses, why think this right is a trump that overwhelms any other values to which it might be opposed? We might interpret moral rights of this sort as having some weight but not absolute priority over other concerns.

Nozick interprets the right to live as one chooses as the right to do whatever one chooses with whatever one legitimately owns provided one does not violate anyone's rights not to be wrongfully harmed. Freedom to move as one chooses arises from the fact that, according to Nozick, each person is the full rightful owner of herself. Self-ownership sounds like an appealing thought until you consider its implications. It rules out even minimal good-Samaritan duties (understood as enforceable). Suppose you can rescue a baby from drowning in the shallow end of a swimming pool on the side of which you alone are sitting. You could stretch out your arm and easily rescue the child at hardly any cost to yourself. Self-ownership says that you have no enforceable obligation to carry out this rescue and that it would be wrong to use coercion to induce you to undertake the rescue.

Nozick's argument for justifying his spare conception of natural moral rights is an appeal to reflective equilibrium. That is to say, if you assume that individuals have rights as Nozick characterizes them, you will be better able to explain and justify the ensemble of the moral judgments at all levels of generality that you will uphold after extended critical reflection. If we find ourselves unable to explain and justify our strongest moral judgments, those we most confidently affirm after extended critical reflection, except by rejecting Nozick's proposed doctrine of natural moral rights, Nozick has no further argument, except that he takes some shots against contrary views that we might uphold against his libertarianism.

One Nozickian objection against opposing views is that a coherent and plausible account of how a set of natural moral rights might impose exceptionless duties is forthcoming only by dismissing claimed rights to the aid of others. A reply is that we could construe natural moral rights not as holding without exception but as offering serious considerations, to be balanced against each other and maybe against other moral considerations in the determination of what ought, all things considered, to be done in any particular situation. One possibility is that any right gives way when the ratio of the costs to rightholders if the right is infringed to the costs to nonrightholders if the right is upheld is sufficiently unfavorable.

Nozick objects that any distributive justice ideal that insists that some pattern of holdings across people (such as equality) must be maintained ignores the moral significance of history. The legitimacy of one's holdings of property for the libertarian depends on how one acquired the holding. If one appropriated an unowned resource, or gained a resource by gift or exchange from someone who himself had a valid claim to it by obtaining it from someone else who had a valid claim to it, and so on, all the way back to legitimate initial appropriation of unowned stuff, one's holding is legitimate. How one's holdings compare to other individuals' legitimate holdings is neither here nor there.

Nozick sharpens this point into a famous objection (Nozick 1974). If resource holdings are arranged to satisfy your favorite conception of justice at any particular time, if people are then entitled to their fair resource holdings, they will use their holdings in many different ways, so that very soon the pattern that we are hypothetically treating as just will be undone. If maintenance of the favored pattern is required by justice, to sustain the pattern we must continuously redistribute resources, undoing the effects of acts people have voluntarily undertaken from an initial imposition stipulated to be fair. How can that be fair and just? Nozick concludes that the maintenance of any patterned conception of justice among individuals with diverse aims will require continuous, massive, and clearly unjustified restrictions of individual freedom.

One response is that Nozick must be making the assumption that ownership of a resource must be permanent not provisional. If ownership of (say) a car is provisionally assigned to me on condition my continued ownership of the car does not come to be part of an extremely unfair pattern of distribution (maybe I come to own all the cars there are), then taking away my ownership if the triggering condition for takeaway obtains will not be a violation of my rights. This response is not fully satisfactory. To have anything that looks like genuine freedom to do as one pleases with what one owns, one must have at least somewhat stable, reliable confidence that the thing one owns will not be snatched away as one comes to rely on it. Maybe this stable expectation condition allows some rejiggering of ownership entitlements, but surely not massive, continuous rejiggering. A further reply might propose that the sensible patterns required by distributive justice will be loose patterns—not that everyone has the same wealth, but that the wealth of the richest individual is no more than X times the wealth of the poorest, where X might be a sizeable number.

Another possible response to Nozick's objection to the enforcement of distributive justice principles is that the sensible principles might assign to individuals fair initial opportunities, including fair initial resource shares, and from then on let individuals do as they choose with their initial fair share provided a fair framework for transactions among individuals is sustained. On an initial-opportunity conception of distributive justice, if a set of individuals has fair initial opportunities on Friday afternoon, it is entirely a "don't care" from the standpoint of opportunity-oriented justice what people do with their fair shares, so a pattern of inequality popping up after the weekend, arising from the overall effect of the ensemble of people's weekend choices, would not in itself trigger distributive justice concern. On this view, roughly speaking, each person's distributive justice right is to have access to a fair share of opportunities at the onset of adulthood, regarded as the start of responsible life, in which one is free to choose the life one wants.

The initial-opportunity conception of distributive justice might be qualified in two ways, in the interest of plausibility. One qualification is disaster avoidance: A rider might be placed on the evolving pattern of individuals' holdings that if anyone's holdings drop too drastically subpar, justice requires relief from the threatening extreme poverty.

Another qualification is that upholding some patterns might be worth their cost in liberty restriction. After all, we accept large restrictions in the individual freedom to drive as one likes for the sake of smooth and safe traffic flow on public roadways. Nozick's objection then actually trades on the use of strict equality to illustrate how patterns crush desirable individual liberty. Strict equality of condition might not be a plausible distributive ideal, but its unattractiveness does not rule out that other ideals of distribution might be more reasonably appealing.

The opposition between the libertarian (and the classical liberal as well) and the egalitarian liberal on the moral urgency of equalizing people's condition is not best viewed as a dispute about whether or not everyone's having the same or getting the same by any metric is fundamentally morally important. Consider egalitarianism as a broad doctrine, not a sectarian creed. The egalitarian holds that, under a broad array of modern conditions, making people's prospects more equal is important for a wide variety of reasons, given different weight in different versions of the doctrine. The fundamental aim might be to ensure that everyone has enough for a genuinely good life. Moves toward distributive equality might be effective means to other valuable goals (even if equality in itself should be a "don't care"). Another possibility is that the worse off one is, in absolute terms, the more important it is to improve one's condition or prevent further losses to one. To reiterate, the libertarian need not dispute the worth, if any, of these equally varied ideals; she just insists that respect for spare Lockean rights takes strict priority over the lot. The classical liberal tends to take a more radically negative stance to the effect that distributive justice ideals are just hot air.

7 THE MIRAGE OF SOCIAL JUSTICE

Hayek writes of the "mirage" of social justice. The claim is not just that the social justice values are lesser lights, not sufficiently valuable to render rational some incursion into private property entitlements. The claim is that any perception of social justice values is an illusion, a case of seeing something when there is really nothing there to be observed.

The Hayekian holds that justice must be understood as conformity by members of society to a set of rules that facilitate coordination and mutual exchange and provide a framework for voluntary interaction. The rules must be impartial, not rigged to favor some individuals over others or some groups in society over others. The framework sustaining a rule of law is neutral between persons; it is not selected with a view to bringing about any particular outcomes, though of course, given the way circumstances actually unfold, the rules will end up producing winners and losers. But this is very different from state action intended to produce a particular mix of benefits and burdens falling on particular people.

The idea that justice is conformity to an established and accepted set of rules that facilitates trust and voluntary cooperation among persons and is impartial across persons leaves it open that various rules, within some broad range, might be acceptable for this purpose. There is not just one acceptable set of rules regulating exchange, contract, and tort. But the rules must be impartial in the sense of not being rigged to favor one group in society over others. Also, the rules must facilitate what reasonably qualifies as trust and voluntary cooperation. (A rule that every third set of people who make a contract will be summarily shot would not fall within the acceptable range.)

Perhaps more needs to be said to characterize the idea of impartiality as used here. If the law forbids employers to hire black-skinned individuals for skilled jobs, impartiality is violated. If the law stably and predictably results in talented and hard-working persons faring better, on the whole and on the average, than untalented individuals and those averse to work, is the law rigged against me if I am untalented and averse to work? Probably not. But a law that prohibited paying the talented less than the untalented, or the non-hard-working more than the hard-working, according to some assumed standards, would violate impartiality.

From Hayek's standpoint, any state establishment and enforcement of distributive justice standards violates the rule of law. In his words: "any policy aiming directly at a substantive ideal of distributive justice must lead to the destruction of the Rule of Law" (Hayek 1944: 79). The government just expropriates some people's property and hands that stolen property to others. This robbery is not morally justified by being dressed in pretty rhetoric such as egalitarian rhetoric. Nor would antiegalitarian rhetoric succeed at justifying such takings. The Hayekian rejection of distributive justice as a mirage sweeps away any standards that might operate to justify state redistribution. The Hayekian rejection of distributive justice rejects *ex post* takings that fail to respect rule-of-law property rights and also rejects *ex ante* restrictions or regulations on transactions that are designed to favor some identified group of persons deemed to be more deserving or more meritorious or for some other reason more worthy of being the beneficiaries of government's coercively pushing some people around.

What is not so clear is how Hayek, and classical liberalism adherents generally, will distinguish in a principled way between the government takings they accept or at least can tolerate and those they completely repudiate. Where should the line in the sand be drawn? Hayek does not find especially objectionable need-based aid that prevents people who lose in market endeavors or are left at the margin of market exchange from falling into utter destitution. Milton Friedman (1962) once suggested that a modest negative income tax (also known as a guaranteed annual income) might be preferable to a phalanx of welfare state initiatives that are costly to administer and in the ensemble tend to result in perverse incentives to avoid paid employment or self-employment that one could undertake. More recently, Richard Epstein (1995) has opined that governments might find it necessary on reasonable grounds to exercise eminent domain powers and take private property from individuals to make way for some government project. The sensible constraint on such takings is that the government must be required to compensate fully those whose property is taken in this way according to fair-minded estimates of the market value the land would have if the government project were not going forward.

The rule of law broadly enhances the security of private ownership and thus long-run prosperity. Acceptable government activities to this end include the enforcement of contracts and criminal law, building infrastructure such as roads and harbors, maintaining a stable currency, police protection, and national defense. Perhaps state relief to ease dire poverty works to the same end by preventing the disruptive actions to which the destitute might otherwise resort in the absence of relief.

Another distinction is between tinkering at the margins of the Hayekian rule of law in small and self-limiting ways that do not seriously undermine security of property and open-ended state action defended by appeal to "principles" that are not principles and that can be represented as justifying any expropriation or enforcement of special privilege that any group might calculate is in its interest.

8 THE CRITIQUE OF RENT SEEKING

Consider a government that is active and establishes many programs with a view to fulfilling aims that voters approve. The state legislates broadly for what is deemed to be the common good. The state taxes citizens and redistributes the proceeds, either directly by putting money into some citizens' pockets or indirectly by funding projects that are to the benefit of some citizens and not others. The government might fund national parks in some regions of the country and not others or might subsidize classical music but not rock or hip-hop. The government acts to benefit some cohorts of citizens and disfavor others. The government runs schools and businesses, offering their services for free or at subsidized rates to those the government declares to be eligible for benefits.

A government might also enact a host of regulations that constrain how persons shall carry on many types of affairs. For example, the government might decree that no one shall practice law, or medicine, or hairdressing, or real-estate brokering without having a license given out on terms the government specifies. The government might set pollution controls that limit the quantity of noxious fumes and smoke that cars and factory smokestacks are permitted to emit. The government might pass zoning regulations that limit how many businesses selling alcoholic beverages there may be in a given locale or set rules that restrict builders who seek to construct skyscrapers or erect new housing projects. A government might place special taxes some activities such as cigarette smoking or skiing.

Suppose that individuals on the whole and on the average tend to be self-interested and to seek effective means to advance their own interests. We might then expect that people will engage in lobbying activities broadly construed that aim to affect the policies that a government pursues so that those policies boost their interests. People and groups in society with opposed interests will seek ways to influence the legislative and administrative and executive decisions of government. There will be jockeying for influence.

Classical liberals have observed that much of this activity will be offsetting and thus counterproductive and wasteful from a society-wide standpoint even if rational from the perspective of each individual doing the influence-peddling.

Classical liberals and social scientists such as public-choice theorists inspired by their writings have also noted another pervasive phenomenon. An individual or small group may have a strong interest in obtaining a certain government policy or a certain feature in a government policy. The individual or small group has a concentrated interest in the feature of interest. On this matter, it might be the case that a broad diffuse set of individuals has opposed interests that, in aggregate, greatly outweigh the gains that the small group with concentrated interests can amass if it succeeds in obtaining the policy it favors. The prediction is that in many settings, the large diffuse group will fail to organize effectively, and the small group, each of whose members have a big stake in the outcome, will more easily organize for the purpose of influencing government policy choice.

The term *rent seeking* invokes the economic theory notion of rent as payment to a factor of production for its contribution in excess of what would be needed to induce the owner of the factor to make that contribution. More broadly, one might conceive of rent seeking as activity that aims to secure gain through activities that are unproductive and do not increase the total net value of goods and services produced in a society.

Rent-seeking activities can be expected to occur no matter what system of political governance is in place. We might hope that the requirement of majority rule under democratic governance might significantly check the misuse of governmental powers for the benefit of private interests, but first, majority rule offers no impediment to a majority voting to bring it about that legislatures squeeze the dissenting minority of voters for the benefit of majority-rule winners. Second, voters in a democratic political order will expectably be poorly informed and not highly watchful in arriving at their voting decisions, not only from antisocial motives but also as a reasonable response to the incentives that face any single voter in a large electorate. The chance that one's vote will make a difference to the electoral result may be miniscule, so the time and resources one expends on being a well-informed and conscientious voter might well be better spent in other pursuits. So by this argument, majority rule is predicted to be no reliable fence against the uncontroversial evils that rent seeking generates. This train of thought leads one to entertain remedies such as constitutional restrictions on the state's authority to redistribute wealth or at least a culture that militates against coercive redistribution.

In principle, the critique of rent seeking, to the extent that the problems it highlights prove empirically to be significant obstacles to good governance, can be acceptable to those of left-wing or right-wing persuasion, egalitarians and anti-egalitarians alike. But if one holds that social justice is a mirage and that justice notions are just rhetorical drapery over self-seeking, the problem of rent seeking will loom very large in one's political thinking and will tend to support a mind-set favoring small government and a suspicion of government regulations. If, on the other hand, one holds that a morally mandatory function of government is to improve the opportunities of those who have worse prospects than others and especially of those whose prospects are not merely comparatively bad but miserable in absolute terms, then in many circumstances one will, in a liberal egalitarian spirit, see a struggle for social justice, where the classical liberal or libertarian sees only rent seeking.

The egalitarian liberal seeks both to make the pie of economic benefits ever larger and to divide it fairly. The pure libertarian morality gives strict priority to the demand to respect each person's Lockean rights, whatever the consequences for growth or fair division. The classical liberal values growth and prosperity but sees the demand for fair division as a dead end.

9 LINGERING QUESTIONS

The Lockean libertarian is faced with the difficulty of showing it to be plausible that duties to help others in need and to ameliorate the predicament of those who are far worse off than others through no fault of their own should have zero weight against the spare moral rights to do as one wants with what one owns that the Lockean celebrates. Why think the latter always trump the former? A similar worry applies to the libertarian disparagement of democracy. Suppose we could have aristocratic or dictatorial government or instead a democratic political order in which people's rights (except the claimed right to a democratic say) are just slightly less fulfilled. Why isn't gaining democracy worth sacrificing some other values? (I have suggested that the first question might have greater bite than the second.)

The classical liberal also faces this second question about democracy. To the first question, as to why helping the needy and improving the condition of the worse off are never enforceable duties, the classical liberal, especially in Hayek's version, has a snappy reply. There are no coherent distributive justice values, so the question of how to balance them against the value of individual liberty and private ownership simply never arises.

This snappy reply invites the counterreply that there is nothing incoherent about the ideal of improving the lives of those whose lives would otherwise be bleak. If we had no way of comparing the life of a homeless beggar and the life of a wealthy and healthy banker and judging that the latter has more real freedom, greater opportunities to choose among valuable ways to live, the classical liberal dismissal would be compelling. But the egalitarian liberal finds this skepticism about such comparative assessments to be dubious to say the least.

One strand of classical liberal argument points out that there is not just one distributive justice conception; there are several competing conceptions, among which we cannot choose except on an arbitrary basis. The egalitarian liberal will try to cut this strand by arguments in favor of one true view. But suppose there turn out to be several alternative distributive justice conceptions, none obviously superior to the others but all more plausible than the denial that democracy and distributive justice matter. Then the egalitarian liberal can say it is better to implement any one of these rival conceptions than to scrap the entire lot.

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5

Kant's Liberalism

Chris W. Surprenant

When considering the list of great thinkers in the history of philosophy and political economy who espouse classically liberal or libertarian views, more often than not, Immanuel Kant is excluded from that list. For those of us working on Kant's practical philosophy, that he is excluded is surprising given the importance he places on individual freedom and his claim that the state generally possesses no coercive authority beyond what would be possessed by a regular citizen. So why are Kant's writings not more familiar to contemporary scholars with an interest in classically liberal or libertarian ideas? If you are familiar with Kant's practical philosophy, it is likely that your first encounter with it was through the writings of political philosopher John Rawls. Rawls argues that taking seriously the central tenets of Kant's moral theory requires a political philosophy that advocates, among other things, a significant redistribution of resources and a state entity that can facilitate this redistribution. Rawls takes the inspiration for his political theory from Kant's moral philosophy, and, as a result, many academics familiar with Kant via Rawls incorrectly assume that Kant himself advocated for, or was otherwise sympathetic to, these political solutions.

But Kant advances a political philosophy that is almost the opposite of what Rawls proposes, appearing to be more in line with the tenets of classical liberalism or libertarianism than with the views associated with contemporary political liberalism. Put differently, Kant's practical philosophy lends itself to a type of liberalism that recognizes the importance of individual freedom and self-determination but takes the promotion of these values to provide the justification of coercion within only a fairly narrow range of circumstances, both from state and non-state entities. I will show that the promotion of individual autonomy lies at the center of Kant's moral theory and that his political philosophy aims to establish and secure the external conditions that make individual freedom possible. My discussion is divided into four parts: (1) Kant's account of autonomy and its central role in his moral and political philosophy; (2) the connection between individual freedom and civil society, including the limited role of coercion in establishing and maintaining this rightful condition; (3) Kant's account of taxation as a specific instance of coercive action and the conditions under which taxation to support the poor is justified; and (4) some implications of this position, similarities between Kant's position and those more traditionally aligned with classical liberalism, and why classical liberals should embrace Kant.

KANT'S ACCOUNT OF FREEDOM

Individual freedom plays a central role in Kant's moral and political philosophy. Near the beginning of the *Metaphysics of Morals*, Kant provides a "general division of rights," where he separates "natural right, which rests only on *a priori* principles, [from] positive (statutory) right, which proceeds from the will of the legislator" (MM 6:237). Immediately below this division, he identifies the only innate right: freedom. Kant writes, "Freedom (independence from being constrained by another's choice), insofar as it can coexist with the freedom of every other in accordance with a universal law, is the only original right belonging to every man by virtue of his humanity" (ibid.). Kant's moral and political philosophy both center on freedom. In his moral philosophy, individual freedom or autonomy is the "supreme principle of morality" (Gr 4:440). In his political philosophy, the function of civil society and the state is to secure the external conditions that make autonomy possible.

For Kant, an individual is autonomous when he adopts principles for action consistent with the *categorical imperative* (Gr 4:421). The categorical imperative is Kant's formal principle against which we can test practical maxims to determine if they are consistent with the moral law. A principle fails when tested against the categorical imperative because it is contradictory: either it is not possible to conceive of the action that comes as a result of universalizing that maxim (i.e., a contradiction in conception), or the result of universalizing the maxim somehow is self-defeating (i.e., a contradiction in the will). Kant claims that the person who adopts contradictory maxims is not free, at least not in the fullest sense. For Kant, complete freedom requires what we might identify as positive and negative freedom or both (1) the capacity to adopt the kind of maxims that Kant identifies and (2) the absence of impulses external to an individual's will that influence him to the extent that they are the determining factor in why he adopted his maxim of action.

To see how a person can fail to meet this first condition of freedom, consider lying, behavior that Kant seems to believe is always wrong (Gr 4:403, CPr 5:21, MM 6:420, etc.). Lying fails when tested against the categorical imperative because adopting the relevant principle of action contains a contradiction in conception. An individual who lies acts on a maxim similar to the following: "When it is to my advantage to do so, I will make a false statement to someone else when he believes that this false statement is true." What makes lying wrong is not that I cannot conceive of a world in which this principle can be universalized but rather that universalizing this principle is self-defeating. That is, in a world in which everyone lies when it is convenient, lying serves no purpose because a lie is likely not to be believed. Lying is wrong, therefore, not because it is harmful to someone else but because it is behavior inconsistent with reason (i.e., adopting a principle of action that is self-defeating), and that I would act in such a way is a failure to respect my dignity as a rational being. Put differently, although the liar may possess the external freedom to act how he sees fit, he has chosen to act from a principle grounded in something other than reason. Thus, while the liar possesses negative freedom because he is not under significant influence from external factors and is able to adopt moral, immoral, or non-moral maxims, he is not completely free because he fails to display reason by choosing to adopt moral maxims.

The second component of complete freedom requires an individual to be free from external forces that could determine the maxims he adopts. Although autonomy is connected with an individual's ability to participate in the process of rational deliberation and to act on maxims that are not contradictory in nature, an individual's external circumstances, circumstances that are often beyond his control, can play a significant role in determining whether it is possible for him to be autonomous in practice. Consider life for someone living in a condition where he constantly fears sudden and violent death or, perhaps less violent but similarly difficult, someone who is in extreme poverty and lives with a real risk of death from starvation or exposure. It is not unreasonable to think that a person whose survival is threatened constantly may act from basic instincts and not reason in response to external pressures.

Kant's solution is for individuals to enter into conditions of civil society, the defining feature of which is "distributive justice" or a condition where what is yours and mine is secured by juridical law (MM 6:255, see also 6:306 and 6:312) and an arbiter who "could judge a dispute with rightful force" (PP 8:346). Such an arbiter is necessary for civil society even if the people living together in that condition lack malicious intent. Consider interactions for individuals living outside of a civil condition. Suppose I pick a bushel of apples from a tree in an open field, and then you come along and take those apples, claiming that I picked them from your tree. How do we resolve the dispute if we cannot come to an amicable resolution? Without the existence of a court or arbiter whose decision either we agree to abide by or who possesses the appropriate amount of force to enforce the decision, the physically stronger party is able to use his strength to impose his will on the other individual.

Since (1) individuals are under a moral obligation to act autonomously; (2) autonomous action is possible in practice only if an individual's life, health, liberty, and possessions are secured; and (3) the only mechanism to realize this security is by living in civil society; therefore, (4) individuals "do wrong in the highest degree" by failing to enter or remain in this condition (MM 6:308). As a result, Kant claims that individuals are under a moral obligation to enter civil society. That this obligation for Kant is moral and not merely practical distinguishes his position from that of someone like Thomas Hobbes, who argued that the reason an individual ought to leave the state of nature and enter civil society is practical and connected to an individual's desire to preserve his life.

FREEDOM AND COERCION

Individuals are obligated to enter civil society with one another. Since entering into this condition requires mutual recognition through actions, Kant claims that individuals are authorized to coerce anyone who refuses to enter into this condition with them. That is, they are authorized to use force to compel other individuals to perform the acts consistent with mutual recognition. Although coercion violates individual freedom and is wrong as a general rule, if an individual's use of freedom "is itself a hindrance to freedom in accordance with universal laws (i.e., wrong), coercion that is opposed to this (as a *hindering of a hindrance to freedom*) is consistent with freedom in accordance with universal laws, that is, it is right" (MM 6:231). The person who refuses to enter into civil society with me uses his freedom to hinder my freedom, and so I may justly coerce him in a way that respects both my freedom and his own. Assume once again that we have a legitimate rights dispute. A claimant who uses superior force to impose his will on another claimant is exercising unilateral coercion, and the use of unilateral coercion is unjust. But suppose that when threatened with force, the second claimant pulled out a gun and compelled the first to appear with him before a designated magistrate who was widely recognized as being fair and impartial. Although the second claimant used coercive force as well, this use was just because it was in response to an already occurring unjust use of force and was aimed at ensuring reciprocal external freedom.

For scholars interested in the connection between Kant and classically liberalism or libertarian thought, their interest is in seeing how Kant applies this discussion of justified coercion to third parties, including the state. Kant's justification of state authority and the grounding for his justification of state coercion is found in the following passage from the *Metaphysics of Morals*:

> The legislative authority can belong only to the united will of the people. For since all right is to proceed from it, it cannot do anyone wrong by its law. Now when someone makes arrangements about another, it is always possible for him to do the other wrong; but he can never do wrong in what he decides upon with regard to himself (for *volenti non fit iniuria* [no wrong is done to someone who consents]). Therefore only the concurring and united will of all, insofar as each decides the same thing for all and all for each, and so only the general united will of the people, can be legislative.
>
> (MM 6:313–14)

Here, Kant claims legislative authority extends from the united will of the people. Whatever laws are implemented under those conditions are consistent with right because everyone has consented to them, and no wrong is done to an individual by an action that he consents to (even if it harms him or otherwise makes him worse off).

But what is the "united will of the people" and how do we identify it? Kant does not believe that the united will is equivalent to unanimous agreement or that every citizen must directly voice support for a particular law in order for that law to be legitimate. How, then, is it possible to arrive at a "concurring and united will of all" when there is disagreement, perhaps unresolvable, between individual members of a community?

Jean-Jacques Rousseau's influence on Kant plays a significant role in his discussion of the "concurring united will of all." For Rousseau, individuals living in the state of nature inevitably encounter natural obstacles that they cannot overcome alone. When they encounter these obstacles, they are presented with the following problem: perish, or "find a form of association that may defend and protect with the whole force of the community the person and property of every associate, and by means of which each, joining together with all, may nevertheless obey only himself, and remain as free as before" (SC vi.4, p. 54). Rousseau's solution represents the core of his social contract theory:

> Each of us puts in common his person and all his power under the supreme direction of the general will; and in return each member becomes an indivisible part of the whole … [So what is created] is a public person, which is thus formed by the union of all the individual members, and each member has an equal voice (i.e., vote) in determining the actions of this public person. Since this entity is nothing other than the collected will of the people, and since each individual joined this whole to overcome freedom-limiting problems that they could not overcome alone and which could be overcome only through coordinated action, whoever refuses to obey the general will shall be constrained to do so by the whole body: which means nothing else than that he shall be forced to be free.
>
> (SC vii.8, p. 58)

Setting aside various practical problems with social-contract theory, such as how individuals contract in and whether or not tacit consent counts, there is still something unsatisfying about a position that claims to maximize individual freedom by considering individual persons as "an indivisible part of the whole" and that individuals who "refuse to obey the general will shall be constrained to do so." Perhaps it makes sense when it comes to practical, coordination matters (e.g., driving on the right side of the road), but it seems to run inconsistent with human freedom on moral, cultural, or religious issues (e.g., mandatory church attendance).

Kant seems to have recognized these concerns. Although his position appears similar to Rousseau's as to what counts as "the united will of the people" and how it is represented, Kant places severe restrictions on the justification of the use of coercive force by a sovereign against the citizens. In his "Theory and Practice" essay, Kant claims that inside civil society, only the head of state maintains the right to use coercive force: "[W]hoever is *subject* to laws is a subject within a state and is thus subjected to coercive right equally with all the other members of the commonwealth; only one (physical or moral person), the head of state, by whom alone any rightful coercion can be exercised, is excepted" (TP 8:291). But Kant limits this use of rightful coercive force only to instances where coercion is used to hinder a hindrance to freedom (MM 6:231). Put differently, the use of coercion against an individual is justified only as a defensive mechanism against that individual when he is acting in a manner that unjustly limits the freedom of other individuals and is justified only to the extent that it prevents that interference.

KANT ON JUSTIFIED TAXATION

Thus far, this article has examined the central role of autonomy in Kant's moral and political philosophy and that an individual has a moral obligation to enter into civil society as a practical prerequisite for acting autonomously. It has also shown why Kant believes coercion is justified when used to establish and maintain this civil condition. But for anyone who wants to construct an internally consistent account of Kant's political philosophy, one challenge is reconciling this discussion of coercion with his comments on taxation. Kant writes that the state has "the right to impose taxes on the people for its own preservation, such as taxes to support organizations providing for the poor, foundling homes, and church organizations" (MM 6:236), and that a citizen "cannot refuse to pay taxes imposed upon him" (E 8:37). These passages raise at least three questions: (1) Why does the state possesses "the right to impose taxes on people for its own preservation"? (2) How is the implementation of taxes for the purpose of supporting "the poor, foundling homes, and church organizations" consistent with this objective? (3) Why does Kant believe that taxation to support the poor is a form of legitimate coercion? His argument rests on his (perhaps flawed) position concerning ownership of land, the relationship between land and other external things that can become private property, and the role of the state in promoting individual freedom. Resolving this apparent inconsistency can provide important insight into Kant's justification of coercion and his account of state authority.

Most of Kant's comments on taxation can be found in a small section of his *Metaphysics of Morals* (MM 6:323–28). His justification of some forms of taxation to support some appropriate state functions follows from his (perhaps antiquated or odd) account of property rights. Kant claims that the sovereign is the original proprietor of the land under his jurisdiction, and the property rights of individual citizens are derived from the sovereign. Kant writes:

> On this originally acquired ownership of land rests, again, the right of the supreme commander, as supreme proprietor (lord of the land), to *tax* private owners of land, that is, to require payment of taxes on land, excise taxes and import duties, or to require the performance of services (such as providing troops for military service).
> (MM 6:325)

So, for Kant, the sovereign is justified in taxing private landowners to provide for the preservation of the state, either by paying for necessary services (e.g., military defense), helping individuals who are worse off due to no fault of their own (e.g., orphans), or supporting organizations that help these individuals and the community (e.g., the church).

But why does Kant single out just the landowners to pay taxes and not all of the citizens equally or proportionally based on their income, wealth, or consumption? His answer to this question is practical:

> The general will of the people has united itself into a society which is to maintain itself perpetually; and for this end it has submitted itself to the internal authority of the state in order to maintain those members of the society who are unable to maintain themselves. For reasons of state the government is therefore authorized to constrain the wealthy to provide the means of sustenance to those who are unable to provide for even their most necessary natural needs. The wealthy have acquired an obligation to the commonwealth, since they owe their existence to an act of submitting to its protection and care, which they need in order to live; on this obligation the state now bases its right to contribute what is theirs to maintaining their fellow citizens. This can be done either by imposing a tax on the property or commerce of citizens, or by establishing funds and using the interest from them, not for the needs of the state (for it is rich), but for the needs of the people.
> (MM 6:326)

The poor would be under a similar obligation, but they are poor. They have nothing to contribute, and having the means to do something is a necessary precondition for being obligated to do it.

At this point, Kant moves away from this theoretical discussion of taxation to a practical discussion of how best to take care of the poor and destitute, as well as how much public funding these individuals should receive. He argues that the state should use coercive taxation to support the poor, but that the poor should be supported only at a very basic level (ibid.). Put differently, taxation to support the poor is justified only to the extent that the state redistributes the minimum amount necessary in order to secure the external conditions that allow for the possibility of autonomous action. His reasoning? "[T]his arrangement does not make poverty a means of acquisition for the lazy … and so does not become an *unjust* burdening of the people by government" (ibid.).

Consider the following scenario: Three people inhabit a small island. The island has more than enough supplies to keep all three alive until the end of their natural lives. But due to a combination of ingenuity, work ethic, intelligence, and fortune, those supplies are not distributed equally. One person, call him Rich, is recognized as the rightful owner of the vast majority of the supplies. The second person, call him Poor, possesses nothing but the shirt on his back. While he may be able to acquire enough to sustain himself in the short term (collecting water, catching fish, etc.), his long-term prospects are poor and he always worries about where his next meal will come from, if he will have appropriate shelter during the next storm, and so forth. The third person, call him Rex, possesses just enough to sustain himself. He also possesses a monopoly of force (has the only gun, is the strongest, etc.).

Under these circumstances, if Rich does not give to Poor voluntarily, Rex would be justified in using coercive force to take some of Rich's resources and give them to Poor. The amount of resources that Rex would be justified in taking from Rich would be equal to the amount needed by Poor to get him up to the level of subsistence and provide a safety net so that Poor is not afraid of starving, going without shelter, or lacking other basic necessities. But what would justify Rex's coercion of Rich must be rooted the same principle that justifies any act of coercion—hindering a hindrance to freedom. And there lies the apparently difficulty. If hindering a hindrance to freedom is thought to be a response to a particular act, it may not obvious how Rich's failure to provide assistance to Poor (i.e., his lack of action) hinders a hindrance to freedom in the manner that Kant requires to justify the use of coercive force. In this case of Rich, Poor, and Rex, coercion is justified using similar reasoning that justified its use in the previously referenced discussion of an individual looking to leave the state of nature. In both cases, coercion is justified as response to inaction that prevented the establishment of a condition that secured the conditions of coexistent freedom and distributive justice, a necessary precondition for the possibility of autonomous action.

KANT'S LIBERALISM

That Kant would take this position on taxation is not surprising given his discussion of autonomy and the role of the state in securing an external condition that makes autonomous action possible. Autonomy is connected with an individual's ability to participate in the process of rational deliberation, but an individual's external circumstances, circumstances which are often beyond his control, play a significant role in determining whether it is possible for him to be autonomous in practice. One function of Kant's political philosophy is to examine how these external conditions can be established such that all individuals have the opportunity to be free.

If state authority is justified because it helps to secure the external conditions that make autonomy possible, then some degree of taxing the rich in order to support the poor is legitimate. What is at issue is not fairness but the freedom of the individuals who are destitute. Without state support to provide the basic necessities, these individuals would be in constant fear of lacking what is necessary to survive. For Kant, no-one can be autonomous when living in this condition. Looking back, coercion was justified when it hindered a hindrance to freedom. While taxation is a form of coercion, it is justified coercion when the funds are used to remove individuals from an external condition that hinders their ability to be free by providing them with basic necessities. But providing anything beyond these basic necessities allow poverty to become "a means of acquisition for the lazy" and an "unjust burdening of the people by government."

This position is not unique to Kant, although the justification may be. Support for similar positions can be found in the writings of John Stuart Mill, Frederich Hayek, and Milton Friedman, all of whom are generally recognized as either classical liberals or as espousing the tenets central to classical liberalism. Although Mill advanced what we now recognize as the harm principle—"The only purpose for which power can rightly be exercised over any member of a civilized community, against his will, is to prevent harm to others" (L I.9)—at the beginning of *On Liberty*, towards the end of the book he provides an example of justified coercion that is inconsistent with this principle. He claims that an individual can be coerced legitimately for his own benefit:

> [I]t is a proper office of public authority to guard against accidents. If either a public officer or any one else saw a person attempting to cross a bridge which had been ascertained to be unsafe, and there were no time to warn him of his danger, they might seize him and turn him back, without any real infringement of his liberty; for liberty consists in doing what one desires, and he does not desire to fall into the river.
>
> (L V.5)

While it is not surprising for someone to take the position that a public authority should guard against accidents of this nature, it does show that Mill believed there to be some flexibility with the harm principle and that there were additional conditions under which coercion is justified in civil society.

Similarly, Friedman and Hayek's support for certain types of coercive action within civil society seems to be based in a line of reasoning that is similar to Kant's. They argue for minimal wealth-redistribution measures as a way of combatting poverty. Friedman argues for a negative income tax (1962: 191ff.) and Hayek for a guaranteed minimum income (1979: 55), but neither provides a principled justification beyond their being distressed by poverty and how the poor would benefit from its alleviation (presumably by removing this thing that distresses them). But we are all distressed by abject poverty, especially when it affects those around us, and Friedman's observation that public charity alone is insufficient to take care of the most destitute seems correct.

The benefit for liberals in adopting a position like Kant's is that it provides a principled argument for arriving at a desirable conclusion. Although we can question the merit of working back from outcomes to principles in order to arrive at our preferred political philosophy, one virtue of Kant's account is that it provides a principled justification for the reasonable conclusion that, when private charity fails, the state should redistribute resources when necessary to ensure that no citizens face the type of abject poverty that jeopardizes the possibility of autonomous actions. There is, therefore, much to love in Kant's practical philosophy for liberals who share economic and political views similar to Friedman and Hayek. Kant presents a liberalism that recognizes the importance of individual freedom and self-determination but takes the promotion of these values to provide the justification for state authority and the use of coercive force within a fairly narrow range of circumstances.

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6

What's Wrong with Libertarianism: A Meritocratic Diagnosis

Thomas Mulligan

I suspect that for most people, the terms *libertarian* and *meritocratic* suggest two approaches to justice that have much in common. Some may even think that the meritocrat's ideal world and the libertarian's ideal world are one and the same. This is not so. Meritocratic justice and libertarian justice are incompatible, in concept and in application. The meritocratic ethos is not the libertarian ethos. And if we want to live in a meritocracy, we must implement public policies that cannot possibly be justified under libertarianism. In short, one can be a meritocrat, or one can be a libertarian, but one cannot be both. My primary purpose in this essay is to explain why.

My secondary purpose is to be an evangelist for the meritocratic cause, exhorting those who have been led astray by the false god of (negative) liberty to come to the truth and the light. Meritocracy can do what other theories of justice cannot: appeal to the intuitions that drive people to libertarianism—intuitions about the value of personal responsibility, the benefits of markets, and the importance of giving people their just deserts. Insofar as people believe that a just political arrangement responds to these virtues, they should be meritocrats, not libertarians.

I must admit up front that my opinion here—that a just political system is a meritocracy—is a minority one; truth be told, I am the only practicing philosopher who endorses it.[1] With a handful of exceptions, political philosophers are either egalitarians of some stripe (strict, Rawlsian, luck, *etc.*) or libertarians (of the left or right varieties), and the few exceptions that do exist fall elsewhere (*e.g.*, anarchism). But my theory of meritocracy (Mulligan 2015, Forthcoming) is a natural development of the limited work that has been done, and it coheres with the intuitive notion of a meritocracy. In other words, there is nothing idiosyncratic in the comparison between meritocracy and libertarianism that I make here.

I have organized this essay as follows. In §1, I describe the conceptual foundations of meritocracy and libertarianism and give an example of their incompatibility. I then, in §2, explain the essential relevance of equal opportunity to meritocracy and argue that the value of personal responsibility is better promoted in a meritocracy than in a libertarian state. §3 is devoted to matters of economic distribution; among other things, I discuss how libertarian markets fail to respond to merit and the injurious economic effects thereof. I conclude in §4 with a few thoughts on public policy.

1 LIBERTARIANISM AND MERITOCRACY: THEIR CORE HOLDINGS

Since I devote the rest of this essay to explaining how they are different, a few words about what libertarianism and meritocracy have in common are in order. First, both theories reject the moral relevance of equality to economic distribution.[2] The libertarian and the meritocrat agree that a world in which strict equality (of resources, welfare, *etc.*) prevails is an unjust world (except in the special case in which the equality came about through free market exchanges, or everyone is equally deserving, respectively). And any theory of justice that is guided by a desire for equality or takes equality as presumptive (*e.g.*, Rawls's [1971] theory), is misguided in the eyes of both.

Second, both political cultures put a premium on personal responsibility. As I will explain, this is the *core value* of meritocratic society. And while personal responsibility is not conceptually necessitated by libertarian principles, libertarianism is often, and fairly, supported on the grounds that it takes personal responsibility seriously. We find this codified, for example, in the American Libertarian Party platform: "Individuals should be free to make choices for themselves and *must accept responsibility for the consequences of the choices they make*."[3] While that is correct—we should hold people to account for their choices—libertarianism fails to do this (§2).

Third, both the meritocrat and the libertarian justify their theories (or at least can justify their theories) by appealing to economic realities. It is a core insight of neoclassical economic theory, verified by history, that markets tend to be the best way for societies to organize economic activity. Roughly speaking, we stand to prosper, collectively and as individuals, if we let the invisible hand of the market work. Theories of justices that are conceptually incompatible with markets, or that require inefficient intervention into markets, beget poverty.

The relevance here is that we use facts about prosperity *to decide*, in part, whether a theory of justice is true or not. We ask questions like: "What would per capita GDP be if such-and-such theory were implemented?" Facts like these play a *justificatory* role in our theorizing; that a theory promotes prosperity is a point in its favor.

On these grounds, libertarianism and meritocracy do two things better than their competitors. First, they make clear the public policies (or lack thereof in the case of libertarianism) that their principles require. In contrast, a theory of justice that provides no guidance for its implementation illegitimately dodges an important step in the justificatory process. Second, libertarianism and meritocracy promote prosperity by endorsing markets. These are two reasons—although not dispositive ones—to believe that they are onto something.[4]

It is also a core holding of neoclassical theory, and a fact of economic history, that markets can and do fail, and that governments can promote and have promoted prosperity through sensible intervention. While some libertarians attempt to accommodate these potential gains, doing so can pose a theoretical challenge. Because meritocracy views markets as a mere instrument for giving people what they deserve, it can incorporate efficiency-enhancing regulation (§§3–4) without difficulty.

So much for the similarities. I turn to describe the conceptual foundations of the two theories, which are utterly distinct. In doing so, a problem arises straightaway, since many distinct theories of justice march behind the libertarian banner.

For the purposes of this essay, when I talk about "libertarianism," I shall largely be focused on the class of deontological theories that are founded in the philosophy of John Locke. For this camp, liberty is an emanation of our natural rights, which we necessarily possess and which are immitigable. As Robert Nozick famously puts it, "individuals have rights, and there are things no person or group may do to them (without violating their rights)" (1974, ix). This is why affection for free markets is a necessary, not a contingent, feature of libertarianism: Any interference in market exchanges would violate economic agents' categorical liberty to exchange (properly acquired) goods as they see fit.

The libertarian justification for markets is therefore distinct from what might be called the "classical liberal" justification, which has its roots in the writings of eighteenth and nineteenth-century philosophers and political economists—men like Adam Smith, John Stuart Mill, and David Ricardo. These thinkers' arguments for liberty are consequentialist in character; the general utility, or the economic surplus, or some other normative goal is promoted through market economies, in which citizens make their own decisions about how to satisfy their preferences and the invisible hand of the market determines prices, coordinating the interaction of buyers and sellers.[5] For the classical liberal, interference in the market is immoral only to the extent to which it introduces inefficiency into the pursuit of the independent normative goal. For reasons that I hope shall become clear over the course of this essay, these thinkers and their descendants have more in common with meritocracy than libertarianism.[6]

Meritocracy, on the other hand, is a theory of justice based on the idea that *people ought to get the things that they deserve*. Like all desert-based theories, meritocracy holds that the question of whether economic justice prevails or not is answered by looking at facts about economic agents' character and contributions. The goal of desert-based theories, which have their roots in Aristotle's philosophy, is to provide a systematic way of thinking about, and a justification for, claims like "the best-qualified applicant deserves the job," "the most productive employee deserves the highest salary," and "the fastest runner deserves the medal." The key idea here is that justice is *intrinsically* connected to individuals' character and actions.[7]

To illustrate the conceptual differences involved: Just about everyone agrees that the fastest runner ought, morally, to receive the medal. But why is this so? One possible justification is consequentialist: The world will be made happiest (or some other good will be maximized) if we award the medal in that way. Another justification—the libertarian justification—is proceduralist: If it's true that the fastest runner ought to receive the medal, it's because he freely agreed to participate in a race, the rules of which provided that the fastest runner would receive the medal.

For the desert theorist, neither of these justifications holds water. Imagine a 100m dash held in a racist society. The rules of this race require that 5 seconds be added to the finishing times of all black runners. Brian, who is black, finishes the race 2 seconds ahead of William, who is white. But, under the rules, William wins the medal.

The consequentialist requires that we give the medal to William; society enjoys seeing white people receive prizes and dislikes seeing black people receive prizes. The libertarian also requires that we give the medal to William, since Brian was aware of the rules when he agreed to participate in the race. The desert theorist disagrees: The fastest runner, Brian, ought to get the medal *because he was best*. And that is all there is to it.

Meritocracy, like any desert-based theory of justice, requires significant conceptual elaboration. Providing that is outside of the scope of this essay. It shall suffice to understand meritocracy as consisting in two core principles. In a meritocracy, (1) jobs are distributed strictly on the basis of merit (because the most meritorious applicant deserves the job), and (2) income is distributed on the basis of productivity (because those who contribute more to our shared economic life deserve more in return). There are complexities related to both of these principles ((2) especially), but they do not affect the arguments I give here.

2 ON FAIR EQUALITY OF OPPORTUNITY AND PERSONAL RESPONSIBILITY

When *merit*, and only merit, is the criterion used to discriminate between those competing for a good (a job, a prize), it is sometimes said that *formal equality of opportunity* (formal EO) prevails. In the above example, formal EO was lacking because Brian was not judged strictly on the basis of his merit (*i.e.* his athletic performance). He was judged, in part, on the basis of his race.

Formal equality of opportunity is thus tantamount to the meritocratic distributive rule. There is, however, a deeper notion of equal opportunity that meritocracy requires, sometimes called *fair equality of opportunity* (fair EO). Suppose that the rules of the race are changed so that the runner who crosses the finish line first receives the medal. Formal EO is satisfied. Yet it is still the case that the black runners are at a *de facto* social disadvantage owing to racism: They don't have equal access to trainers and facilities; they live in poverty and face substandard nutrition; and so on. Then, it is not really true that each runner has an equal opportunity to win the race—no matter what the rules say. And if a white runner is victorious under such circumstances, his moral claim to the medal—his claim to *deserve* the medal—is weakened, if not nullified.

A society that lacks equal opportunity is morally troubling for two reasons. First, some citizens are arbitrarily put at a disadvantage in the various competitions for scarce social goods. Second, it undermines the cultural value of merit and denigrates the accomplishments and character of those who *are* victorious: There is reasonable skepticism about whether they succeeded as a result of merit or of social advantage (an epistemological consideration), and there are cases in which less meritorious people prosper at the expense of their more meritorious peers (a metaphysical consideration).

Establishing the conditions of fair EO requires significant economic redistribution, aimed at providing education, healthcare, and other forms of social support to the children of the poor (§4).[8] These expenditures tend to be efficiency enhancing (§3), but that is a secondary concern for the meritocrat, who argues for fair EO, transcendentally, as follows: (1) A just society gives people what they deserve; (2) economic desert does not exist without fair EO; therefore, (3) society ought to establish conditions of fair EO.[9]

The single best measure of the extent to which equal opportunity prevails in the actual world is the intergenerational elasticity of earnings (IEE): the percentage change in a person's income that is associated with a 1% change in his parents' income. A rigid, aristocratic society, with no socioeconomic mobility between generations, has an elasticity of 1; a meritocratic society has an elasticity much closer to 0.[10]

Estimates of the current IEE in the United States vary, with a mean value around 0.6 (see, *e.g.*, Mazumder, 2005)—which is among the highest in the developed world. For the meritocrat, this is a serious moral problem. A just economy responds to merit, but in the United States today, one's economic prospects are determined, to a commanding and increasing extent, on one's family circumstances: access to early developmental support and elite colleges, connections with persons of influence, and brute inheritance.

For the libertarian, that fair EO is lacking is no cause for moral concern. Indeed, because its implementation requires redistribution on an unprecedented scale (§4), and because that redistribution would tread upon citizens' putative rights, the necessary policies cannot be justified. Friedrich Hayek, for example, explicitly rejects both formal and fair EO: "Attractive as the phrase of equality of opportunity at first sounds, once the idea is extended beyond the facilities which for other reasons have to be provided by government, it becomes a wholly illusory ideal, and any attempt concretely to realize it apt to produce a nightmare" (1976: 85).

Set aside the efficiency gains of equal opportunity, which Hayek failed to appreciate.[11] Do we really regard anti-discrimination laws, public education, and government-provided healthcare for poor children with horror? I leave that to the reader to decide. To my mind, these are great moral victories, of which the United States, and the West, should be proud.

Rejecting equal opportunity also poses a problem for the personal responsibility–inclined libertarian. Just as an egalitarian society is one in which a person does not command her own destiny, the same is true, to a disturbing degree, in the United States today, and it would be true to the extreme under libertarianism. When family wealth, class, and race matter more than character, effort, and choice in determining economic outcomes, personal responsibility is an absent concept.

Moreover, everyone, regardless of ideology, has reason to fret about the potential economic danger of abandoning the meritocratic ethos of personal responsibility. As Joshua Preiss (2016) says,

> In a society where material welfare and social position increasingly reflect social connections, access to capital, and political power, rather than virtues such as hard work, prudence and honesty, it is only natural that an ethic of money-making will come to replace an ethic of personal responsibility. Such a state of affairs is bound to erode the very sentiments, including personal accountability, necessary for a high functioning economy.

These issues are intimately bound up with debates—hot ones among libertarians—about positive and negative liberty. For some libertarians (see, *e.g.*, Schmidtz and Brennan, 2010), liberty is about more than just non-interference (*i.e.* negative liberty)—it's also about the power to create one's own ends and pursue them as one sees fit (positive liberty). This is the common sense construal of liberty; as Jason Brennan puts it, "when we talk about being 'free as a bird,' we mean that the bird has the *power* or ability to fly. We do not mean to say that people rarely interfere with birds" (2012, 26).

I take it as uncontroversial that many people lack positive liberty today, even in a prosperous country like the United States—and not because they were irresponsible. A child born black in the inner city, raised without a father and amidst a culture of violence, is hugely limited in his prospects—no matter what his natural merits. The same is true for the children of the white rural poor, who face underfunded schools and broken local economies. And their positive liberty is further limited by the extraordinary privilege that other children, black and white, enjoy (resources like jobs and university slots are scarce, and so competition is inevitable.) In short, there is no level playing field.

In a meritocracy, positive liberty is maximized. This is not to say that it is unlimited; I could not have been a jockey, or a basketball star, or a fashion model—no matter how much opportunity I was provided. But in a meritocracy, each citizen has the positive liberty to develop a plan of life as he sees fit, in accordance with his interests and character. He is neither aided nor disadvantaged by social circumstances (*i.e.* neither aided nor disadvantaged by others' successes or failures). And in his pursuit of that plan of life, he is judged strictly on the basis of merit. No other non-ideal framework, including libertarianism, can provide more positive liberty.

In this way, the libertarian and the meritocrat differ on where to make the "responsibility cut", that is, where to mark the boundary between the factors that justify unequal economic outcomes and those that do not. For the libertarian, no cut need be made, since justice is a procedural notion. If stupid, lazy, non-contributing, and wicked Dudley is richer than brilliant, sedulous, productive, and virtuous Rudolph because Dudley's parents were rich and Rudolph's were poor, well, so long as the relevant bequests were freely given, there is no injustice.

The meritocrat disagrees. Dudley's wealth is a result of fortunate social circumstance and is, thus, unjustly held. However, the meritocrat does not go as far as the egalitarian, following Rawls (1971), does, regarding *all* features of a person's character as matters of luck and thus being unable to justify inequality. The meritocratic view is that genetic advantages are legitimate, but that social advantages, like Dudley's, are not. The argument, which is a metaphysical one, is somewhat technical, so I will not explain it here.[12]

Two more things. First, although I give my own response to Rawls's attack on the moral relevance of genetic advantages, powerful objections have already been lodged by Sher (1987) and Zaitchik (1977),[13] and some desert-friendly pluralists, like Schmidtz (2002, 2006), have proposed ways to evade the Rawlsian worry.

Second, the meritocratic view of the responsibility cut accords with human intuition; we find economic inequalities that derive from the social advantages the libertarian protects as deeply unjust, but we are not disturbed by inequalities that result from genetic differences (see Goya-Tocchetto *et al.*, 2016). The reason is that our natural traits provide the basis upon which we form our plan of life and are essential parts of our identity. Social advantages, which we have by virtue of the choices of others, are not.

3 ON JUSTICE IN ECONOMIC LIFE

The principle that that the most meritorious applicant deserves the job is unacceptable to the libertarian, who maintains that business owners and their agents are free to hire and fire as they see fit (see, *e.g.*, Narveson, 1993.) If owners/agents wish to favor family, friends, or members of their preferred race, they are morally permitted to do so. The job belongs to them.

The meritocrat disagrees on principle, adding that deviations from merit-based hiring are economically undesirable. In turn, the libertarian (*e.g.*, Narveson [1995]) typically replies that deviations from merit-based hiring do not in fact arise, since free markets push out employers that fail to hire with an eye towards merit. But there are two problems with this reply.

First, only some forms of anti-meritocratic discrimination can be eliminated by market forces. If employers have a "taste for discrimination" (Becker, 1957) then it is true that, given sufficient competition, those tastes will doom them. But consider *statistical discrimination* (Arrow, 1973 and Phelps, 1972)—the use of facts about the distribution of ability within an applicant's race (*e.g.*) to assess a particular applicant's ability. Statistical discrimination cannot be competed out of the market, and it is an inefficiency (see, *e.g.*, Lundberg and Startz, 1983) that could, in principle, be eliminated through regulation. Meritocracy leaves open the possibility of such regulation, which libertarianism cannot do. As an example of the potential gains involved, Hsieh *et al.* (2013) estimate that 15–20% of the growth in per capita output since 1960 is attributable to the reduction of anti-meritocratic discrimination against blacks and women.

Second, the libertarian's reply masks the more important, underlying challenge: Isn't it simply immoral *in itself* to hire anyone less than the best? The meritocrat thinks so, and this challenge cannot be evaded by appealing to the mere possibility that unfettered liberty will, as a contingent matter, result in meritocratic hiring. The libertarian must come down on the matter one way or another, insisting on the total moral dominance of ownership, or paying mind to merit itself.

When it comes to distribution of income and wealth in a meritocracy, it is "patterned," to use Nozick's term—it is distributed on the basis of desert—and as such is unacceptable to the libertarian. But, like libertarianism, meritocratic distribution is "historical" (and in that way unlike utilitarianism and Rawlsian egalitarianism)—one cannot know how to give people what they deserve unless one has historical information about their desert bases.

Now, the degree to which desert-based income distribution differs from that of a *laissez-faire* market economy depends on the particular desert basis chosen. If, for example, people's economic deserts were grounded in their efforts (as, *e.g.*, Sadurski (1985) thinks), then radical redistribution would be necessary, and the resultant society unclear. But the meritocratic approach—rewards in proportion to productivity—is *roughly* akin to what a worker's total compensation would be in a competitive market: the value of his marginal output.[14]

But the meritocrat does not fetishize the free market as the libertarian does, thus leaving open the possibility of intervening into markets that fail to respond to merit. And there is no shortage of contemporary examples of such failures: exorbitant golden parachutes given to executives who drive their businesses into the ground; talented young people unable to find jobs because they lack family connections; the now-ubiquitous importance of "networking" (*i.e.* nepotism) over substantive self-improvement; and the growing obsession with pedigree in its various forms.

As just one example of divergence, let us contrast the meritocratic approach to economic rents with the libertarian approach. Classically defined, economic rents are "free gifts of nature"—payments to owners of scarce factors of production, independent of their merit or effort. This definition is not completely satisfactory (rent-seeking can be hard work!), but neither is the neoclassical definition (under which rent is factor income above and beyond opportunity cost), and it will suffice here.

Consider a plain case of rent extraction: A corporate executive who gains control over her own pay-setting process. Her influence here may be obvious and morally blameworthy: She promises her directors lucrative contracting fees if they increase her salary. Or it may be subtle and unknown to all parties: Personal relationships between executives and directors lead to the latter paying more than a purely disinterested, profit-maximizing board would provide.

For the meritocrat, that distinction is irrelevant for the purposes of answering whether the rent is deserved. It is not, since it is a payment to an executive in excess of her productivity (or expected productivity.) Because she has no claim of justice on that portion of her compensation, it can be confiscated without moral worry (and without deadweight loss, I hasten to add, because it is a rent.)

And indeed there is abundant evidence that today's sky-high corporate incomes are the result of rent extraction and do not reflect increases in underlying productivity. Bebchuk and Fried (2004) find that CEOs are able to set their own pay as described: by exerting influence over their boards generally and compensation matters specifically. Bertrand and Mullainathan (2001), in their analysis of CEO pay, find that performance and luck play equal roles in determining compensation. Baker (2016) argues that four classes of rents (copyright/patent protection, the finance industry, corporate executive compensation, and anti-competitive practices in professional sectors), not exhaustive of all possible economic rents, comprise between 6.2 and 8.5 percent of GDP, and that these are the principal cause of the redistribution of income to the top 1 percent of earners that we have seen over the past 35 years. Bell and Van Reenan (2013) find that the majority of gains the top 1 percent has enjoyed since 1999 have gone to bankers, and that a large part of these are rents. Bivens and Mishel (2013) conclude the same.

The libertarian addresses rents in one of two ways. First, he sometimes insists that there is nothing morally problematic about their extraction. Nozick himself provides an example with his famous "Wilt Chamberlain" case: Wilt earns his high income not purely on the basis of his merit (his athletic talent) but also his monopoly power. With respect to the above examples of corporate officer pay, the libertarian believes that so long as owners freely chose their company's directors, and so long as the directors and the corporate officers freely contracted to the pay package, no injustice can be done—no matter how incompetent the officers were or turn out to be. The meritocrat disagrees.

A second typical libertarian strategy is to insist that these rents are *caused* by government: Regulation generates the potential for rent-seeking. Of course, this is true to some extent—but it is naïve to think that most, let alone all, rent extraction comes via this mechanism. Consider, for example, the "beauty premium," first investigated by Hamermesh and Biddle (1994). They found that "homely men" incur a 9 percent penalty in hourly earnings while handsome men enjoy a 5 percent premium, all else equal. But, obviously, for virtually all jobs, appearance is not a productive characteristic—and so beauty premiums are rents. Do homely men deserve the penalty and handsome men the premium? The meritocrat says "no"; when we think about what a surgeon (*e.g.*) ought, morally, to be paid, that should turn on his surgical skill and not irrelevant facts about his appearance.

Libertarians have long been aware that markets may not track merit or desert. Some, like Hayek (1960, 1974), are frank about this and think it desirable: "We do not wish people to earn a maximum of merit but to achieve a *maximum of usefulness* at a minimum of pain and sacrifice and therefore a minimum of merit" (1960: 96). That is, according to Hayek, giving a person what she deserved would come at the cost of her "usefulness" —that is, her ability to create value for others in the marketplace.

There is something oddly collectivist about this common libertarian position. Observe how, under *laissez-faire*, individual merit gets subordinated to the tastes of others. Rather than enjoying prosperity by developing a plan of life and then pursuing excellence within that plan, under *laissez-faire*, prosperity comes by catering as efficiently as possible to the tastes of others. Ayn Rand laments that "the man at the bottom…contributes nothing to those above him, but receives the bonus of all of their brains" (1961: 186), but in fact just the opposite is true: In the Randian paradise, those "men at the bottom" determine demand and thereby wield control over the social and economic fortunes of those at the top. Meritorious men and women who desire prosperity must utterly conform their plans of life to popular opinion.

Now to be sure, we do not want an economy that cares not a whit for the creation of value. But it seems to me, and *pace* the libertarian, that we also do not want an economy that is blind to merit. Maybe the fact that Justin Bieber makes $80 million a year, roughly 150 times more than the concertmaster of the New York Philharmonic, should give us pause.

At this point, the libertarian may reply in one of two ways. First, he may say that the government could not possibly distribute income on the basis of merit effectively, since it lacks information that only the market can access. This is probably so, but it is not a normative objection to rewarding merit; it is a positive objection to central planning (*cf.* Schmidtz 2016). The meritocrat agrees; if central planning does a bad job of tracking merit, then we should not use it.

A more powerful libertarian reply is that any argument along these lines requires understanding economic value in objective terms, at odds with the neoclassical conception of the market. However, this is not true. One can insist that goods have value only to the extent to which they satisfy consumers' preferences while at the same time holding that market interactions can fail to produce value in this way owing to inattention to merit.

Consider the anti-vaccination movement. When these parents make decisions about their children's medical care in the market, what is the preference they are trying to satisfy? The answer is that they are trying to maintain the health of their children. But observe that, because they hold false beliefs about the efficacy and safety of vaccines, they do not act in accordance with this preference.[15] This suggests that something may be awry with a theory like libertarianism that puts all the moral weight in the exchange itself. There is a case to be made to market defenders that the world would be a better place if intervention into the market could help individual preferences be better satisfied.

Let me mention two other reasons why merit matters. First, note that in a meritocracy, capital accrues to those best able to make economic use of it—people of merit. Capital is not distributed among citizens equally; that would give some citizens more capital than they could make efficient use of and some less (as it gives some citizens more than they deserve, and some less than they deserve). At the same time, unrestricted capital transfers, permitted under *laissez-faire*, are undesirable. Some capital transfers that the libertarian finds unproblematic—for example, intergenerational transfers in the form of inheritance (§4) and the enormous salaries of corporate executives, which are gotten through cronyism rather than performance—put capital in the hands of those with the "right" family or friends rather than in the hands of those who can invest it wisely. Whatever we might want to say about how justly egalitarianism or libertarianism treats individual citizens, both theories lead to suboptimal investment.

Second, meritocracy can deal with the problem of *endogenous preferences*.[16] Even assuming that markets do in fact satisfy economic agents' preferences, there is a circularity

involved in valuing markets on these grounds. Why? Because those preferences are created, to a hefty extent, by the market itself. Affinity for Justin Bieber's music is not God-given—that preference is inculcated in consumers by the market.

If we do think that satisfying consumers' preferences is valuable, we must break this circularity. We must either appeal to a fiducial standard of goodness or provide some guidance to the market on how preferences ought to be shaped. One way to do so is to vest the resources that generate demand in those who have displayed merit. Even if we cannot enumerate the "correct" preferences, it is reasonable to think that they may be pursued indirectly by attending to merit.

4 REMARKS ON PUBLIC POLICY

That the libertarian and meritocrat are hopelessly at odds is obvious when one considers the public policies (or lack thereof) that each demands in the name of justice.

Consider again the Libertarian Party platform. Among other things, it calls for a "repeal of the income tax, the abolishment of the Internal Revenue Service and all federal programs and services not required under the U.S. Constitution"; unlimited freedom of contract, without regard for differentials in bargaining power; an end to universal healthcare; no public assistance to the poor, including poor children; and no public spending on education. These are typical libertarian demands.

In contrast, if there were a Meritocratic Party, these would be the first items on its agenda:

1. Establishing a new, confiscatory top marginal income tax rate (say, a 75 percent tax on all income over $5 million). Why? Because these incomes are mostly rents: undeserved and inefficient.
2. Reforming the current estate tax, rejiggering rates and closing the loopholes that have rendered it so toothless (the stepped-up property basis is particularly problematic). The rate would be set no lower than that determined by optimal tax theory—50–60 percent or perhaps higher (Piketty and Saez, 2013)—and could well be much higher than this, since any intergenerational passage of wealth or influence can undermine the fair, meritocratic framework for society.
3. Proscribing the use of sex, race, religion, sexual practice, political opinion, eyebrow size, and all other features irrelevant from the point of view of merit in hiring. (Small American firms can still legally discriminate on the basis of sex, race, and religion.)
4. Proscribing nepotism (now perfectly legal in the U.S. private sector.)
5. Implementing new affirmative action programs aimed at combating anti-meritocratic implicit bias against blacks and women.

6. Ending the many affirmative-action programs that provide unjust advantage to less qualified black or female applicants (*e.g.* programs justified on grounds of "diversity").
7. Most important, embarking on a social megaproject for the twenty-first century, aimed at providing equal opportunity to each young American. There is no justice unless people get what they deserve, and there is no (economic) desert without equal opportunity. Hundreds of billions of dollars would be raised via taxation in order to enrich the human capital of children born into disadvantage. Education, and especially early education, would be the largest expense, but other determinants of human capital, like healthcare, would be attended to as well. This social spending would charge economic growth, given the direct returns to human capital formation and the concomitant positive externalities. (As one example of a consumption side positive externality, Lochner and Moretti (2004) estimate that a 1 percent increase in the high-school graduation rate for men saves, conservatively, $1.4 billion in social costs—property loss, incarceration expenses, *etc.*)

Of course, there are complexities associated with all of these policies (how far should the government intrude on the family in the name of establishing equal opportunity?), which I cannot explore here. I hope only to give the reader a sense of what would be required of us in practice were we to commit ourselves to the meritocratic ideal.

While I doubt that I have convinced many Hayekian or Nozickian libertarians here, I hope that some supporters of liberty, especially those in the classical liberal tradition, find the ideal described in this essay appealing. And I do suspect that there are readers of this type.

Indeed, it seems to me that something like the following has happened within the distributive justice debate: (1) People pretheoretically like the "meritocratic ideal"—unequal outcomes, achievement based on merit, an emphasis on personal responsibility; (2) they seek a principled justification for this sentiment; (3) they believe that libertarianism provides it, in part because they judge, correctly, that egalitarianism is hopelessly at odds with the ideal; and so (4) they endorse libertarian public policies—even as these are precisely the wrong ones for pursuing the ideal they found compelling in the first place.

This is by no means a hard mistake to make; consider what Gregory Mankiw, Harvard economist and former chairman of the Council of Economic Advisers, has to say about these matters:

> My sense is that people are rarely outraged when high incomes go to those who obviously earned them. When we see Steven Spielberg make blockbuster movies, Steve Jobs introduce the iPod, David Letterman crack funny jokes, and J. K. Rowling excite countless young readers with her Harry Potter books, we don't object to the many millions of dollars they earn in the process. The high incomes that generate anger are those that come from manipulating the system. The CEO who pads the corporate board with his cronies and the banker whose firm survives only by virtue of a government bailout do not seem to deserve their multimillion dollar bonuses. The public perceives them (correctly or incorrectly) as getting more than they contributed to society.
>
> (2010, 295)

The general intuition is correct here (although note that Spielberg *et al.* enjoy enormous rents), and Mankiw's assessment of popular sentiment is spot-on. But his normative diagnosis is wrong:

> Let me propose the following principle: *People should get what they deserve*. A person who contributes more to society deserves a higher income that reflects those greater contributions. Society permits him that higher income not just to incentivize him, as it does according to utilitarian theory, but because that income is rightfully his. This perspective is, I believe, what Robert Nozick, Milton Friedman, and other classically liberal writers have in mind.
>
> (2010, 295)

It's true that Nozick thinks that Steven Spielberg's wealth is rightfully his, but that has nothing to do with Spielberg's merits, deserts, or contributions—as I have explained. Were we to look to libertarianism for moral guidance, we would be led to a world very different than the one that I, Mankiw, and so many others find compelling.

Upon rejecting egalitarianism, a person faces a choice. He may, on the one hand, become a full-throated advocate for negative liberty and seek to protect market exchanges at all costs. Or he can exalt personal responsibility, insist on equal opportunity, and pursue an economy that gives people what they deserve on the basis of their merits. And this choice—between meritocracy and libertarianism—is as stark as any other in the distributive justice debate.

NOTES

1. Miller (1999), in his pluralist theory of justice, is willing to give "two cheers" to meritocracy.
2. This is not to say that meritocracy and libertarianism reject the moral relevance of equality *in toto*. Meritocracy requires equal opportunity, which is a form of equality, and Lockean libertarians hold that people possess equal natural rights.
3. My emphasis. See <https://www.lp.org/platform/>, retrieved 22 January 2017.
4. I discuss the justificatory relevance of economic efficiency, and the need for theories of justice to detail their public policies, in my Forthcoming. These issues are connected to debate about "ideal" versus "non-ideal theory," which has been a hot one in political philosophy in recent years (for a summary of the debate, see Valentini, 2012).
5. It is unclear whether Mill's liberalism was in fact grounded in consequentialist considerations—namely, maximizing the general welfare—or whether his respect for liberty, concretized in the harm principle, was meant to apply categorically. See Brink (2014) for a discussion of this issue.
6. I stress that I use these terms—*classical liberal* and *libertarian*—in the ways just described for conceptual clarity. Their natural language connotation is quite different (everyone agrees, e.g., that Locke is a "classical liberal.") Note also that there are some scholars in the tradition of liberty, such as Gaus (2012) and Tomasi (2012), who do not neatly fit within the conceptual boundaries given. For a full exposition of the tradition of liberty—its history and contemporary state—see Mack and Gaus, 2004.
7. The most important conceptual analyses of desert are Feinberg, 1963; Kleinig, 1971; and Sher, 1987.
8. Roemer (1998) provides the best framework for turning these relatively imprecise demands into concrete policy proposals.
9. For the reader looking for more detail on how this argument gets justified, consider the "aboutness principle" (Feinberg, 1963): Desert bases must be *about* the desert subject. Joe cannot deserve a prize on the basis of someone else's performance; Cindy cannot deserve punishment on the basis of someone else's crimes; and so on. Now consider a case in which fair EO is lacking, and the most meritorious competitor for some good—call him Jones—has his merit, in part, as a result of family wealth (*e.g.* it's a result of

attending an elite private school). Jones can take no credit for that part of his merit, as it is not the result of *his* character or *his* choices; it is a causal result of his *ancestor's* merit.

10. Even for the proponent of equal opportunity, it is not obvious what the optimal elasticity is. This depends on normative judgments about the acceptability of genetics, family values, inheritance, and so on, playing a role in economic outcomes. Roughly speaking, the meritocrat hopes to limit the influence of family circumstances to genetics, which are morally relevant (n. 12); thus, the optimal elasticity is maybe about 0.2 (for a discussion of the intergenerational passage of earnings-relevant traits, see, *e.g.*, Bowles, Gintis, and Groves, 2005).
11. Micro-economic models (*e.g.* Fernández and Rogerson, 1998) show how public education can remedy imperfections in credit markets, and macroeconomic growth regressions (Barro, 1991) suggest a strong, causal relationship between educational investment and economic growth.
12. Rawls holds that we cannot deserve anything because our putative desert bases are merely matters of "fortunate family and social circumstances" (1971, 104). While social circumstances can indeed be matters of fortune as Rawls describes, this is not true of natural traits. We have these traits as a matter of *metaphysical necessity*; there is no possible world in which I exist but yet do not have the natural traits—*i.e.* the genes—that I actually do. Biological origin is an *essential property* (Kripke, 1972).
13. Lamont and Favor (2016) regard the "strong form" of Rawls's argument as "clearly refuted" by Sher and Zaitchik.
14. Just one example of the difficulties here: Real-world employers do not pay workers in accordance with their contributions; workers are paid in accordance with the contribution of the *marginal worker*. All workers, save the marginal one, are underpaid *modulo* their contributions.
15. On this problem—the relevance of imperfect information to preference satisfaction—see, for example, Cowen, 1993; Hausman and McPherson, 1994; and Sen, 1977.
16. See, for example, Bowles, 1998; Gintis, 1972; and McPherson, 1982.

BIOGRAPHICAL NOTE

Thomas Mulligan, a faculty fellow at Georgetown University's Institute for the Study of Markets and Ethics, is the author of *Justice and the Meritocratic State*. Before coming to academia, he served in the U.S. Navy and the Central Intelligence Agency.

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7

Liberal Libertarianism

Peter J. Boettke and Rosolino A. Candela

1 INTRODUCTION[1]

The unifying aim of modern political theory, and liberalism in particular, has been its attempt to discover solutions to the problem of securing peaceful cooperation amongst individuals pursuing diverse plans and goals without engaging in violent conflict with one other. This is, we argue, an *institutional* problem in need of an *institutional* solution. Liberalism as a political theory has attempted to resolve this problem by establishing clear social boundary rules, and historically this entailed restricting the role of the state to securing individuals' rights. As Rasmussen and Den Uyl state, "the language of rights is the language of liberalism, and liberals" (2005: 76). How individual rights have been defined and their relationship with other liberal institutions, such as the rule of law, freedom of association, and freedom of contract has not been settled among liberals of a classical, "high,"[2] or libertarian stripe.

The right to private property and contract are arguably the most controversial institutional features of liberalism; they are also perhaps the most misunderstood. According to philosopher Samuel Freeman, "It is a fundamental libertarian precept that people ought to have nearly unrestricted liberty to accumulate, control, and transfer rights in things (property), whatever the consequences may be for other people" (2001: 127, emphasis in original). This fundamental precept, according to Freeman, is what fundamentally distinguishes libertarianism from liberalism and why libertarianism is not a liberal view. Pushing this precept to its logical conclusion, Freeman contends, libertarianism must have illiberal implications, namely the violation of individual liberties and their political status as free and equal individuals.

For libertarian readers, it seems almost natural to dismiss Freeman's critique out of hand as an exercise built on a combination of uncharitable reading, strawman arguments, and leaps of logic. But this, we argue, would be the wrong way to engage Freeman's argument and would reflect a critically missed opportunity. Instead of seeking to dismiss

Freeman's argument out of hand, we should be willing to ask what, in certain canonical libertarian writings, could plausibly result in such a reading of libertarianism as fundamentally illiberal. By asking this question, we believe we can improve the presentation of the libertarian position and reassert the essential liberalism of the libertarian project.

The case for the right to private property since the Scottish Enlightenment has rested not only on its normative weight but on the positive consequences for economic development and thus human flourishing which it engenders. An analysis of modern economic growth throughout the world since the early nineteenth century indicates that those countries with an institutional environment of secure property rights have achieved higher levels of various measures of human well-being, including not only higher GDP per capita and greater political freedom but also lower infant mortality rates, higher rates of education, greater respect for civil liberties (including religious toleration), improvements in the treatment of women, and longer life expectancy (see Gwartney, Lawson, and Hall 2015). Where property rights have been well-defined and enforced, individuals have been able to satisfy their individual wants and desires, both material and non-material, not through violent conflict and theft but through productive specialization and exchange. Property rights constitute the critical part of the institutional package that *enable* individuals to realize the gains from social cooperation and to overcome the harsh reality of subsistence existence that had plagued mankind through much of its history (see Boettke and Candela forthcoming).

Despite this fact, the *normative defense* of private property rights provided by libertarians, according to Freeman, is antithetical to liberalism. However, what should be made clear is that the debate among liberals about what rights are paramount for a liberal and open society has been one of disagreement over means and not of ends, namely the definition and utilization of rights as a means of securing peaceful cooperation.[3] Moreover, our understanding of the nature of rights also generates disagreement over the meaning of peaceful cooperation itself. Are we to define peaceful cooperation merely as non-interference in the exercise of autonomy among individuals, or is peace to be interpreted more broadly as individuals engaging in human flourishing, exchange, and productive specialization under the division of labor? Understood differently, the debate among liberals is about what it means to have secured peace: is it merely to have prevented the violation of the non-aggression axiom or to have secured the possibility of human flourishing and cooperation under the division of labor? For liberals of a libertarian stripe, the terms in which we frame the case for securing peace has implications for its reception as being either an illiberal or liberal political view.

Our contribution in this chapter is to address the argument made by Freeman (2001) that libertarianism is not a liberal view. Our purpose in this chapter is not to provide an indictment of Freeman's critique but to argue that, though indicative of a particular account of libertarianism, Freeman's critique is not fundamentally characteristic of libertarianism in general. Fundamentally, Freeman's argument is based on the claim that full alienability of property rights is antithetical to liberal political institutions. We address Freeman's argument by arguing twofold. First, although he derives a logically valid theory of libertarianism, which indeed has illiberal implications, Freeman's account of libertarianism mistakenly conflates an absolute notion of private property and contract with liberty itself. Second, we argue that private property and freedom of contract are necessary but not sufficient for a liberal view of libertarianism. Sufficient for a liberal view of libertarianism is a framework of general and universally applicable rules that exhibit neither discrimination nor dominion over individuals before the law, that is, liberty. The right to private property and contract are normatively laden principles yet are contextual and endogenous to a political framework that gives space to exchange and human flourishing. Ultimately, what Freeman is criticizing is an illiberal view of libertarianism that structures atomistic interaction, one where human interaction is passively based on a logical derivation of the non-aggression axiom. Our account is that libertarianism, properly understood, is a liberal view that structures social interaction, one where human interaction is open-ended and exchange is initiated by individuals' purposive plans.

2 THE FREEMAN CRITIQUE OF LIBERTARIANISM

The political philosophy known today as libertarianism is a twentieth-century sociological construct that has evolved by historical accident, not a designed philosophical construct independent of the liberal political tradition. What had been known simply as liberalism before the mid-twentieth century embodied those principles upheld by political economists who have come to be known as classical liberals, such as Adam Smith, David Hume, and John Stuart Mill as well as Ludwig von Mises, Friedrich Hayek, and James Buchanan.

All liberals, whether they are described as classical liberals, libertarians, or what Samuel Freeman calls "high liberals," which include John Rawls and Ronald Dworkin, claim that the end of the state, or the political/legal order, is to secure peace, not to make men moral. In other words, "statecraft is not soulcraft." The means by which the political/legal order achieves this end is by establishing an institutional framework that upholds a set of liberal principles, including the rule of law, the right to private property, freedom of contract, and religious toleration. However, as H. L. A. Hart argues, after the mid-twentieth century, liberals grew increasingly divided between a defense of individual rights based on utilitarian grounds, which had been characteristic of classical liberals of the nineteenth and early twentieth century, such as Bentham, Mises, and Hayek, and a defense of rights based on *deontological* grounds. Among those liberal philosophers taking up the deontological defense of rights, a further split emerged between "high liberals" (as Freeman dubs them), who emphasize "the duty of governments to treat their subjects as equals, with equal concern and respect," and libertarians, such as Robert Nozick, who emphasize the duty of governments to recognize the "*separateness* or *distinctiveness*" of persons with respect to their goals (Hart 1979: 828). While the focus of our chapter is not to focus on this distinction between rights and utility, our point here, and that of Freeman, is that illiberal readings of libertarianism are unnecessarily based on a defense of individual rights independent of attention to economic consequences as well as to human flourishing (see Boettke 1995).

Although "high liberals" and libertarians share a respect for individual rights, Freeman argues that libertarianism is not a liberal view. As he states, "Libertarianism's resemblance to liberalism is superficial; in the end, libertarians reject liberal institutions" (2001: 107) because "what is fundamentally important to libertarians is maintaining a system of historically generated property rights, whatever the consequences for individuals' freedom, independence, and interests" (2001: 133). Freeman's critique of libertarianism is not only about the means of securing peaceful cooperation, namely the rights that people hold; it is also about what it means to have achieved peaceful cooperation. Freeman's critique of libertarianism as being illiberal is based ultimately on the claim that libertarians give primacy to a *normative* principle that individuals ought not to violate private-property rights, including the right to contract oneself into slavery. By engaging in an argumentative strategy of *reductio ad absurdum*, Freeman attempts to establish that an absolute notion of private property undermines liberal political institutions. Freeman concludes that libertarianism is illiberal because "it is not so much about liberty as it is about protecting and enforcing absolute property and contract rights" (Freeman 2001: 133).

According to Freeman, "The most characteristic feature of a liberal society is its toleration of beliefs and diverse ways of life. Dissent, nonconformity, and assured space of independence are accepted as normal in social life" (2001: 108). Ludwig von Mises has also stressed that liberals demand tolerance as a matter of principle since "only tolerance can create and preserve the conditions of social peace without which humanity must relapse into the barbarism and penury of centuries long past" (2005 [1927]: 34). Because liberalism "limits its concerns to earthly life and earthly endeavor" (Mises 2005 [1927]: 33), human beings have neither omniscience nor access to divine truth. Due to our scarcity of knowledge, both of earthly and religious matters, toleration is a *competitive* means toward the fulfillment of peace. It is a form of competition in which individuals are striving to meet their goals of religious and personal expression, not through violence but through peaceful cooperation. Liberalism as a political theory cannot achieve peace by eliminating competition; it can only offer institutional solutions that channel human action from forms of competition that are violent and illiberal to those that are peaceful and liberal in nature.

Freeman recognizes that securing the conditions for peaceful cooperation is a common good to all individuals, but "central to the liberal public good is maintaining the civic status of persons as free and as equals. Basic rights are the primary means for securing this status" (2001: 113, fn. 19). Saying that rights are "basic" means that they are both fundamental and inalienable. By *fundamental*, Freeman means that basic rights or liberties "have absolute priority over other political values; they cannot be sacrificed or weighed off against non-basic rights or other political values in ordinary political procedures" (2001: 109). By *inalienable*, "a person cannot contractually transfer basic liberties or give them up voluntarily" (2001: 110); that a person has the right to exit at any time an essentially private relationship. Although Freeman acknowledges that there are differing accounts of libertarianism among libertarians, such as Robert Nozick and Murray Rothbard, crucial to his illiberal account of libertarianism is that the right to liberty is non-basic whereas "rights of property are both plenary and fundamental … Absolute property is perhaps *the* most significant right in a libertarian view" (2001: 115, emphasis in original).

Building from this underlying premise, Freeman constructs a logically valid though unsound argument that libertarianism does in fact have illiberal implications, "taking the view outside the boundaries of a liberal conception" (2001: 123). Before engaging this underlying claim in Freeman's critique, it is important to understand what these implications are. First, the primacy of absolute private property, according to Freeman's conception of the libertarian view, means that individuals can contract themselves into slavery, which "conflicts with the public interest in maintaining the status of persons as free and equal, and the moral quality of civic relations" (2001: 113) and therefore should not be legally recognized.

A second implication of Freeman's criticism of libertarianism rejects the liberal principle that "political power is a public power, to impartially issue and enforce uniform public rules that apply to everyone and that promote the common good" (2001: 120). He further states that the "liberal idea of the rule of law evolved to reject this claim that anyone's conduct can be beyond legal restriction" (2001: 122). By upholding a notion of libertarianism that upholds an absolute notion of private property and freedom of contract, Freeman is led to conclude that "libertarianism resembles feudalism in that it establishes political power in a web of bilateral individual contracts" (2001: 149), negating any notion of the rule of law.

3 LIBERTARIANISM RECONSIDERED

An exhaustive summary of all of Freeman's criticisms of libertarianism is beyond the scope of this chapter. Suffice it to say, for the purposes of building a case for a liberal view of libertarianism that will contrast with Freeman's critique later in this chapter, Freeman's argument can be summarized as follows: Libertarianism is based on *normative* claim that individuals ought to have an absolute right to private property and to contract with other individuals so long as they do interfere or violate other individuals' rights. Moreover, an absolute right to private property provides a *direct* or *isomorphic* link between morality and legality. As Freeman states, "liberty is property" (2001: 128). Therefore, if the legal system is nothing more than a sum of private contractual relations made amongst individuals, then liberal institutions that uphold individuals' "equal rights to basic liberties" have no role in a libertarian order. As long as such transactions are made amongst consenting adults, the enforcement of private-property rights is both morally and legally binding, independent of the consequences that follow (Freeman 2001: 133), including the emergence of slavery and feudalism based on consensual contractual arrangements.

It is important to first point out that the among the libertarians he mentions in his article, such as Robert Nozick, Jan Narveson, Ayn Rand, Murray Rothbard, and John Hospers, *only* Nozick made the claim that an institutional framework of private property may, though not necessarily so, allow an individual to contract themselves voluntarily into slavery:

> The comparable question about an individual is whether a free system will allow him to sell himself into slavery. I believe that it would. (Other writers disagree.) It would also allow him permanently to commit himself never to enter into such a transaction.
>
> (1974: 331)

Among those libertarians mentioned above, Rothbard is explicit in arguing against the notion of a voluntary slave contract based on absolute freedom of contract. Rothbard argues that voluntary slave contracts cannot be enforced under libertarian law, despite what Freeman claims, because "a person cannot alienate his will, more particularly his control over his own mind and body. Each man has control over his own mind and body. Each man has control over his own will and person, and he is, if you wish, 'stuck' with that inherent and inalienable ownership" (2002 [1982]: 135).[4]

It is indeed the case that the right to private property and the right to contract are both important normative principles among libertarians, in which individuals *ought* to have the right to be able to acquire, transfer, and dispose of things. However, property rights are best understood as "*the sanctioned behavioral relations among men that arise from the existence of things and pertain to their use*" (Furubotn and Pejovich 1972: 1139, emphasis in original). To say that property rights are "sanctioned" means that they do not rise *ex nihilo* from the mental state of an individual; they cannot be understood outside a social context of legal norms, which must be consistent or congruent to the prevailing informal norms and customs of a particular society for them to be well-enforced (Boettke [2001] 1996: 257; see also Boettke, Leeson, and Coyne 2008).

These legal norms are not to be understood simply as normative principles but also as what Rasmussen and Den Uyl refer to as "metanormative principles," which are "concerned with the creation, interpretation, and justification of a political/legal context in which the possibility of the pursuit of flourishing is secured" (2005: 78). The metanormative principle paramount to liberalism is the basic[5] right to liberty, not the individual right to private property. In other words, the right to liberty is not the right to private property itself; rather, the right to private property is *corollary* to the right to liberty and arises in a context in which individuals are free to self-direct their lives according to their own purposive plans, but one in which the autonomy to self-direct their lives is in concert with enabling and contributing to the self-direction of others' purposive plans.

Freeman's claim, however, is that libertarianism is a political theory of individual rights "independent of social interaction" (2001: 125). Moreover, he also claims that that "libertarianism assigns far less importance than does liberalism to freedom as individual independence and autonomy, the degree to which people are self-sufficient and can control their options and important aspects of their lives" (2001: 127). However, a liberal view of libertarianism, we argue, is both radically individualized and radically social. In other words, the ethical underpinning of a liberal political framework is not one in which the "the personal, the interpersonal, and the social stand as separate spheres, independently regulated, but as concentric circles of the same figure" (Norton 1976: 241). To understand how individual autonomy, independence, and the common good are compatible and reinforce one another, we borrow the distinction made by philosopher David Norton between "antecedent and consequent sociality":

> Every human being is social in the beginning and social in the end, but the two socialities are radically different in kind in virtue of the intervening attainment to individuality. The first is a received sociality to which the person (as child and adolescent) is responsible; the second is a constituted sociality for which he shares responsibility. The sociality that follows the choice of oneself in no way compromises this choice but extends and fulfills it. It asks for no sacrifice of individuality to the collective interest but exemplifies the principle of the complementarity of true individuals. The normative principles of sociality implicit in principles of self-actualization pertain exclusively to consequent sociality. But consequent sociality should be viewed in developmental context, hence we must sketch the antecedent sociality from which it is emergent.
>
> (1976: 253–4)

It is uncontested that in the sphere of human action, social entities have real existence. Nobody ventures to deny that the historical, geographical, and cultural context into which we are born are real factors influencing the course of an individual's life. However, as James Buchanan states in his famous article entitled "Natural and Artifactual Man," "*man wants liberty to become the man he wants to become*" (1999: 259, italics original). Norton also echoes this point that within every human being resides a constellation of human possibilities, one of which must be discovered and actualized by the individual as a unique potentiality (Norton 1976: 248).

It is in the following ways that a liberal view of libertarianism is both radically individual and radically social. First, individuals are not passive integers within the social; it is not the case that their identities are identical and therefore derive no benefit from social interaction. Second, it does not take the Hobbesian view that individuals are entirely unique and atomistic and therefore concludes that individuals are self-sufficient and naturally exist independent of social interaction (Machan 1998: 4). Rather, "every person is a universal-particular; he is both a unique destiny and 'humanity' in the form of the total constellation of human possibilities" (Norton 1976: 248). This has important implications for how we define the common good, individual independence, and autonomy in contrast to Freeman.

The way in which to distinguish the liberal constitution that Freeman is outlining and that which we are outlining can be framed in terms of the relationship between rights and justice. For Freeman, questions about justice are about particular distributions of resources that secure individuals with independence and autonomy *from* others. By our own account, questions about justice are not about particular distributions of resources; rather, they are about choices over the rules of the game, which generate a pattern of exchange, production, and thus distribution as a result of individuals securing individual autonomy and independence in cooperation *with* others (see Boettke 2012: 50; Rasmussen 1974: 308).

Our account of a liberal view of libertarianism sees the possibility of social cooperation under the division of labor as crucial to securing the autonomy and independence of individuals. "Thus, community life not only does not change the need to be the author one's own actions, it intensifies it" (Rasmussen and Den Uyl 1991: 134). The right to liberty not only liberates individuals from material poverty by allowing individuals to specialize in their own natural talents and capacities; it also liberating by affording individuals the opportunity to differentiate themselves and realize their uniqueness through association with others. This self-discovery process cannot be realized and achieved outside the context of voluntary social interaction.

The common good is defined by a framework of general and universally applicable rules that exhibit neither discrimination nor dominion over individuals before the law. Given, as we said previously, following Norton, that individuals represent a composite of human potentialities, individuals can only flourish and actualize their own unique personhood in a context of voluntary social interaction. The common good of a liberal political order, which is to secure the right to liberty, allows for the possibility of a self-discovery process in consequent sociality with others to emerge. The creative powers of a free society are unleashed when individuals are at liberty to realize their own self-worth and uniqueness through their own effort and active pursuit in sociality with others. Consequent sociality emerges out of human action but not of human design from this self-discovery process, "and the division of labor within consequent sociality derives not from abstract assignment of integers by an impersonal agency, but from choices by persons according to the unique persons they are" (Norton 1976: 274). Within an institutional context of rules that protect the right to liberty, autonomy arises directly out of human action and the pursuit of one's goals, but the independence (i.e., self-sufficiency) of each individual emerges indirectly as the unintended consequence of each individual's participation in productive specialization under the division of labor. Thus, "the moral propriety of individualism and the need for sociality are reconciled" (Rasmussen and Den Uyl 2005: 78).

However, Freeman casts doubt on whether a libertarian legal order could discover and implement the institutional preconditions required for liberty to be preserved. Freeman goes on to state that without "institutions to publicly identify the principles of libertarian natural law and to specify their rules under existing circumstances, it is difficult to see how the countless sophisticated rules that make up the modern institutions of property, contract, securities, negotiable instruments, patents and copyrights, and so on, could effectively evolve by the Invisible Hand" (2001: 142). This point brings us back to Freeman's claim that libertarianism, based on an absolute notion of private property and freedom of contract, resembles feudalism, and that such a "system of personal political dependence that is based in a network of private contractual agreements" (Freeman 2001: 147–8) runs analogous to a system of Nozickian private firms offering different packages of protection services.

Freeman's analogy is an important point, but it is one that we believe is fully applicable and consistent with a liberal rendering of libertarianism and yet not fully developed and appreciated by Freeman himself. Ludwig von Mises famously stated that "The Idea of Liberty is and always has been peculiar to the West" (1990 [1950]: 303) but not because of any racial, genetic, or other behavioral superiority unique to Westerners. Rather, the liberal institutions that fostered liberty and economic growth in Western Europe "*grew out of a politically decentralized feudal society*" (Rosenberg and Birdzell 1986: 138, emphasis added). The politically fragmented nature of Western Europe was an institutional prerequisite for *freedom of competition* (Boettke 1993: 108) among alternative governance structures for the development of peaceful cooperation and economic development. Freeman recognizes that the "allocative role of markets is basic precept in all liberal views" (Freeman 2001: 117), but by casting markets in terms of perfect competition, he underappreciates the role that competition plays as a discovery procedure (Hayek 1978: 179–90), both in markets as well as in politics.

Whereas Freeman views libertarianism as resembling feudalism and therefore inconsistent with liberal institutions, we regard the divided structure of feudal governance in Europe as having sowed the seeds of its own destruction, from which liberal institutions would emerge as an unintended consequence of political competition. Given the absence of any centralized political author in medieval Europe, political leaders competing with each other had to offer more liberties to their subjects at the expense of their political discretion. Their political privilege to exercise dominion or discrimination over their subjects for their own private ends was increasingly eroded for fear of migration to areas that offered greater political, economic, and religious liberty. Political competition between emerging nation-states in Western Europe set in motion a discovery process that enabled the emergence of a set of political institutions that constrained, rather than unleashed, the political privilege and discretion of feudal aristocrats, creating a situation in which laws were increasingly applied impartially to all individuals. Such a discovery process also revealed information about the legitimate role of the state and the level of public services demanded by citizens of a particular jurisdiction.

4 HOW SOME LIBERTARIANS CAN BE READ AS ILLIBERAL

In the previous section, we outlined Freeman's critique of libertarianism as an illiberal political theory. Freeman's critique is not without merit and is in fact a view held by several self-proclaimed libertarians, who use an absolute notion of private property rights as a litmus test to illustrate the validity of a "pure" notion of libertarianism as analytically different from other "impure" notions masquerading as libertarianism, such as classical liberalism. The point of this section is to illustrate how libertarianism can be read as illiberal by examining the arguments of two self-proclaimed libertarians, Walter Block and Hans-Hermann Hoppe.

What these two particular authors illustrate is how a particular defense of libertarianism, based on the same premises utilized by Freeman, is a plausible, yet mistaken, understanding of an "institutionless" libertarianism, one that is based on *a priori* defense of the non-aggression axiom. As Freeman states, "Libertarians of course deny the *institutional* conception of property. Fundamental to their arguments are ideas of *noncooperative* natural property and *pre-social* ownership" (2001: 130, emphasis added). This is a crucial and important criticism of an illiberal reading of libertarianism, one that captures the problem with equating private property rights as a *moral* concept with a *political/legal* (i.e. institutional) concept: It takes property rights out of social and political context and provides an atomistic rather than a social articulation of rights. Any conception of private property rights defined independently of social interaction and exchange renders them unnecessary, redundant, and inapplicable to the possibility of peaceful social cooperation under the division of labor and human flourishing.

To understand this fundamental criticism of Freeman's, let us turn to the arguments made by libertarians such as Walter Block and Hans Hermann-Hoppe. In his essay responding to Freeman's critical account of libertarianism, Walter Block not only agrees with Freeman that libertarianism is not a liberal view but further argues why this is in fact "a good thing too" (2011: 539). Block not only claims that libertarianism is a more logically consistent philosophy but also that it is a more encompassing philosophy than liberalism (2011: 540). While Block's essay is quite thorough in countering each of Freeman's points section by section, we shall discuss his rejoinder in terms of Freeman's primary claim, which was discussed in section II: If libertarians take the right to private property and contract to be basic, absolute, and fundamental rights rather than the right to liberty, then individuals are allowed to contract away their liberty and sell themselves into slavery.

Block does not dispute Freeman's claim. Rather, he confirms Freeman's claim regarding libertarianism that the right to liberty is the right to property by stating that "[t]he two, of course, are but opposite sides of the very same coin" (2011: 564). In fact, not only does he argue that in a libertarian society, slave contracts would be enforced, but also that individuals would be under a "legal and moral duty" to turn in runaway slaves (2011: 551). Block justifies this claim by illustrating an example in which the poor parent of a sick child sells himself into slavery in order to obtain $5 million for their child's cure. Moreover, because "Freeman type liberals" would not allow such a contract to be legally sanctioned, they are not only "heartless" but also "against allowing the mother her self actualization" (2011: 552).

There are two problems with Block's arguments. First, the claim that individuals have both a moral and a legal duty to uphold individual rights, so long as they are entered into voluntarily, runs in direct contradiction to Block's claim that libertarianism is a more encompassing philosophy than liberalism, in the sense that "for the libertarian, *any* act between consenting adults, sexual, social and even commercial, should be legal. Thus libertarianism in this case accepts the basic premise of liberalism, but applies it far more widely, fully and consistently" (2011: 540). Contrary to his claim, Block's account of libertarianism implicitly narrows, rather than widens, the notion of individual rights into an ethics of non-aggression writ large. Secondly, Block strait-jackets himself into an illiberal view of libertarianism by taking the concept of rights outside of the context of liberalism, one in which property rights are a means to achieve peaceful cooperation defined by voluntary exchange and human flourishing. Instead, Block conceives of rights as being derived *a priori* to uphold peaceful relations but defined by the non-aggression axiom, providing a "litmus test" to distinguish a "pure" libertarianism based on negative liberty from liberalism, which is contaminated by positive liberties.

Distinctions between negative and positive liberties, while conceptually useful, do not perform the clean split that Block wishes to draw. Who cares if we can conceptually distinguish between negative and positive liberties when if by sticking to negative liberties we entrap individuals in poverty and eliminate each individual's ability to self-direct their lives? The fact that in many modern libertarian writings, the institutionalization of negative liberties leads to favorable consequences appears as a happy coincidence. But this type of reasoning simply reinforces the artificial split between morality and consequentialism that must be rejected (see Boettke 1995).

Individual rights must be understood as a link between the ethical order and the legal/political order, not as an "amorphous or direct link" between the two (Rasmussen 1989: 99). Rights, properly understood, set the preconditions for moral activity and human flourishing to take place; they do not determine a one-to-one mapping between what is moral and what is legal (Boettke 2003: 153). Choices defined by emergency situations, such as the choice between selling one into slavery or condemning one's child to death by illness, are taken out of the context of political and social life. To this point, Rasmussen and Den Uyl elaborate:

> Without attempting to determine what the ethically proper course of action would be in such a situation, if there is one, this is a situation in which the flourishing of both parties cannot be attained—*social and political life* is impossible—and individual rights, the very social and political principles which exist to guarantee the possibility that each and every person might flourish, have no point. Such a situation by its very nature precludes the possibility that both parties will flourish. We may say, then, that when social and political life is not possible, namely, when it is in principle impossible for human beings to live among each other and pursue their well-being, consideration of individual rights are out of place, they do not apply.
> (1991: 145–6, emphasis in original)

A libertarian order, properly understood as a liberal view, not only sets the institutional preconditions for freedom of choice, but also *tolerates* the freedom to engage in choices that may be considered immoral but are not necessarily legally prohibited just because they are regarded as immoral (Rasmussen and Den Uyl 2005: 85).

Although Block is careful to distinguish between what is moral and legal, his concept of rights is both, in the words of Freeman, asocial and noncooperative because he defends rights independent of a context in which individuals are in fact free to choose (i.e. not constrained by only one choice, namely between the choice of saving one's child or condemning him to death) as well as independent of the consequences for human flourishing and human cooperation under the division of labor. Indeed, in Block's "consistent and all encompassing" conception of libertarianism, it would be neither immoral nor illegal for all individuals to contract themselves into slavery to one single person who remains free and owns every individual (see Freeman 2001: 133). However, by taking the non-aggression axiom (which is in fact a political principle) and failing to distinguish the latter from human flourishing as the normative premise upon which individual rights and peaceful social cooperation ought to be based, libertarianism will in fact have illiberal conclusions. Pushing Block's argument to its logical conclusion, such a legal outcome would still be, according to his account, consistent with everyone's pursuit of their human flourishing, even though it might result in an entire society's enslavement to one individual.

Such a *reductio ad absurdum* is not the "litmus test" with which liberal libertarians want to identify. The preservation of peace by means of an absolute right to contract as an absolute ethics are incoherent to each other, rendering such a set of means inimical to liberalism; such an institutional set of means to achieve peace must viewed as intolerant, antisocial, and noncooperative if it includes the possibility that voluntary exchange, productive specialization, and human flourishing can be eliminated by those very means and yet accepts this possibility independent of those consequences.

So far, we have established that Freeman's claim, one in which the right to property is equivalent to the right to liberty, is indeed indicative of an illiberal understanding of libertarianism. However, should we dismiss Freeman's claim that libertarianism resembles feudalism, in which political power is privately exercised? In answering this question, let us consider some additional arguments held by Block and Hoppe. According to Mises, "Democracy is that form of political constitution which makes possible the adaptation of the government to the wishes of the governed without violent struggles" (Mises 2005 [1927]: 21). Mises, like all liberals, including Freeman, advocate democracy but within the context of the rule of law, one in which political authority is, above all, non-personal and impartial (Freeman 2001: 143).

Block, however, regards democracy as a "snare and a delusion" (2011: 560). Instead, Block would instead favor a form of long-term political dictatorship, since a political leader in such a situation would govern his or her domain much like private property. Reinforcing this point, Hoppe argues that monarchical rule would be preferable to democratic rule because a democratically elected official "is a temporary caretaker and thus tries to maximize current government income of all sorts at the expense of capital values, and thus wastes." In addition, democracy has diminished the position of "natural elites" from their positions of natural authority that they had before the democratic age (Hoppe 2006). However, this comparison presumes that monarchical rulers will always have full residual claimancy over their decision-making and that a "natural aristocracy" will have better knowledge in governing the rest of society. Not only are both notions inherently undemocratic and illiberal, they also take miss the crucial point of *contestability* in governance that is also crucial to market competition. Returning to our discussion of competitive governance institutions in Section II, what we said there was that the decentralized nature of political rule in Europe gave rise to liberal institutions and constrained competing states from utilizing political power for private ends. If political authority is centralized and faces little threat of exit, then *contestability* of political authority will erode the political privilege of monarchy just as it constrains the despotic nature of democratic majority. By overlooking this point of competitive institutions for governance, one that is crucial for liberalism as well, Block and Hoppe only lend weight to Freeman's critique that libertarianism is in fact illiberal.

It is important to note, however, that such "in extremis examples are regularly abused in philosophical debate", as philosopher David Norton states, and what is of "immensely more interest is how a given theory handles common situations" (1976: 318), namely how liberal political theory delivers an institutional solution to problems associated with toleration of cultural, racial, and religious diversity. Traditionally, liberals have regarded the case for toleration, freedom of association, and free trade to be complementary and inherently linked by private property. The ability for goods, services, ideas, and people reinforces the principles of toleration, liberty of conscience, and freedom of association to which all liberals are beholden.

Hans Hermann Hoppe, however, argues that the case for free trade is inconsistent with free immigration. According to Hoppe, free trade is consistent with restrictions on immigration when it is contractual and regarded as mutually beneficial. In a society based on private property, "[f]ree trade and markets mean that private property owners may receive or send goods from and to other owners without government interference" (1998: 227). Just as individuals voluntarily buy and abstain from buying goods and services without government interference in a free market, Hoppe regards free trade simply as a subset of "the absolute voluntariness of human association *and* separation—the absence of any forced integration—which makes peaceful relationships—free trade—between racially, ethnically, linguistically, religiously, or culturally distinct people possible" (Hoppe 1998: 224, italics in original). When individuals migrate without the voluntary consent of other individuals, then "immigrants are foreign invaders, and immigration represents an act of invasion" (1998: 227). Whereas *invited immigration* (Hoppe 1998: 228, emphasis in original) is consistent with free trade, uninvited immigration must be regarded as a violation of one's private property according to the non-aggression axiom.

From a logical point of view, Hoppe's conception of the relationship between free trade, migration, and private property represents a "litmus test libertarianism" that demonstrates the pure logic and the starting point of analysis for understanding a libertarian world in order to distinguish it from an "impure" notion of libertarianism. For example, Hoppe regards the "relationship between trade and migration is one of elastic substitutability (rather than rigid exclusivity): the more (or less) you have of one, the less (or more) you need of the other" (1998: 224). By this logic, if there are lower transaction costs of trading goods and services, then there will be less incentive for individuals to migrate from low-wage to high-wage areas, such as between Mexico and the United States. In addition, the smaller the quantity of public property, the less acute the problem of immigration. However, "as long as there exists *any* public property, it cannot be entirely escaped" (Hoppe 1998: 230). Following the logic of the Coase Theorem (1960), if property rights are well-defined and transactions costs are insignificant, private bargaining between individuals will generate an efficient allocation of resources independent of the initial assignment of property rights (Coase 1960). In a zero-transaction-costs world, the situational logic that Hoppe depicts would define uninvited immigration out of existence. However, in a world of positive transaction costs, where private rights would not be perfectly defined and the trade and migration are not perfect substitutes, Hoppe is led to the conclusion that "civilization" in the developed parts of the world, such as the United States and Switzerland, "would vanish, just as it once did from Rome and Greece" (1998: 226).

Our point here is not to establish how Hoppe's theory would handle an emergency situation such as Jewish refugees "invading" the United States in refuge from Nazi persecution. Such a question is difficult and perhaps unfair to ask of any political or social theory. Rather, what we are trying to illustrate is that in the context in which Hoppe argues that free trade and immigration are consistent with the non-aggression axiom, liberal institutions, or any institutions for that matter are completely unnecessary. Outside this context, Hoppe must conclude as a *reductio ad absurdum* that human relations, including immigration, are coercive and involuntary; therefore, they must not be tolerated when private-property rights and contracts are not perfectly defined. But as Adam Martin states, "the relevant question is not whether there is an ultimate guarantee against conflict, but which sort of governance regime makes conflict less likely" (2015: 84). Hoppe's theory tries to provide clear social boundary rules *a priori* to define social conflict out of existence. However, by doing so, he provides no endogenous institutional solution to the problem of immigration nor, more importantly, any account of how private-property rights emerge and change to ameliorate social conflict.

5 CONCLUSION

In this chapter, we have developed the case for a liberal view of libertarianism. We have attempted to do so by engaging two claims Freeman has made about an illiberal view of libertarianism: First, that people possess an absolute right to private property independent of social interaction; and second, that libertarianism neglects the importance of individual independence and autonomy.

While liberty is a concept that is generally regarded as negative, as Hayek states, "[t]his is true in the sense that peace is also a negative concept." However, liberty "*becomes* positive only through what we make of it" by leaving it "to us to decide what use we shall make of the circumstances in which we find ourselves" (1960: 19, emphasis in original). Autonomy and individual independence are not atomistic and generic ends that are passively received by individuals as mere receptacles according to some notion of distributive justice but are open-ended and unique to our particular purposive plans discovered and realized in our relationship with others. However, any distinctions between negative and positive liberties, while conceptually useful, do not perform the necessary task of understanding what liberalism is *for*.

Rather than facilitating a particular normative principle, namely adherence to the non-aggression axiom, libertarianism seeks out a set of institutions that provide the preconditions for non-aggression but manifest themselves in society as peaceful cooperation under the division of labor. Thus, what moral duties and obligations individuals have to each other are not derived *a priori* and collapsed into the political/legal obligations that individuals have to each other. Given that our liberal account of libertarianism is grounded in a set of general and universally applicable rules rather a particular moral duty to engage in non-aggression, "*the actual social and cultural implications of its principles remain to be worked out, and indeed cannot be developed except in practice*" (Rasmussen and Den Uyl 2005: 40, italics original).

A liberal view of libertarianism is not one in which the right to property is protected for its own sake. Rather, a libertarian defense of private-property rights, properly understood, is based on the fact that such an institutional framework incentivizes individuals to substitute peaceful competition for violent competition. Free markets and private property rights are the means to facilitating the common good sought by a liberal society: the preservation of peace among individuals against the threat of violence and coercion. But man does not live by non-coercion alone. In order to live *well*, liberalism requires a deeper understanding of what non-coercion is for, namely human flourishing and productive specialization under the division of labor. As Mises states, "The preservation of society is an essential condition of any plans an individual may want to realize by any action whatever" (Mises 1949: 165).

What a liberal view of libertarianism must emphasize, we argue, is not any absolute notion of particular institutional arrangement, such as freedom of contract, but freedom of competition among alternative institutional arrangements in order to discover what are the institutional prerequisites necessary that make social cooperation and human flourishing possible. A liberal account of libertarianism cannot derive *a priori* the set of political institutions as a litmus test to distinguish it from other "illiberal" political theories. Libertarianism draws no bright lines in the sand against other political theories; it is not a theoretical conclusion in search of justification. Rather, it takes peaceful cooperation as its unifying principle and utilizes freedom of competition to discover those institutional arrangements most conducive to peaceful cooperation under the division of labor.

NOTES

1. We wish to thank Bas van der Vossen and Ennio Piano for providing very helpful suggestions on an earlier draft of this chapter.
2. *High liberalism* is a term used by philosopher Samuel Freeman to mean "the set of institutions and ideas associated philosophical liberalism" to distinguish from classical liberalism and libertarianism. Philosophical liberalism, as he defines it, states that (1) there are "different ways of living worth affirming for their own sake"; (2) that freedom is essential for individuals to pursue their conception of the good life; and (3) that freely adopted conceptions of what is good by individuals must be consistent with respect for an individual's basic rights (2001: 106).
3. Freeman rules out classical liberals from this analysis, defining the libertarian as one who believes that the state has no legitimate role. In making this statement, we are blending once again classical liberalism with what could be termed *radical liberalism* and engaging with modern liberalism. All three forms of liberalism, we contend, share similar goals, namely to achieve peaceful cooperation among diverse individuals and groups, to eliminate wretched poverty, and to free individuals from the tyranny of others over their lives. In our rendering, the radical liberal is essentially an updated classical liberal who, on the basis of social science and history, is more pessimistic about the constitutional project to constrain public predation and more optimistic about mediating institutions of civil society to ward off private predation (see Boettke and Leeson 2015).
4. See also Rothbard's *Man, Economy, and State* (2009 [1962]: 82n2), where he also makes this argument against voluntary slave contracts.
5. We define "basic" here in the same manner as Freeman (2001).

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8

Liberal and Illiberal Libertarianism

Samuel Freeman

1 LIBERALISM AND ILLIBERAL LIBERTARIANS

I appreciate the attention that Professors Boettke and Candela give in their article to my earlier essay, “Illiberal Libertarians: Why Libertarianism is not a Liberal View” (Freeman 2001). In that paper, I distinguish three positions that are commonly regarded as liberal in contemporary philosophical discussions: classical liberalism, libertarianism, and the left-liberal position that I term “the high liberal tradition.” The main argument of the paper, as its title suggests, is that, in spite of superficial resemblances, libertarianism is not a liberal view but instead closely approximates the doctrine of private political power that is feudalism. I used the term *libertarianism* in a narrow sense, one that Boettke and Candela, and most contributors to this volume, regard as too narrow: namely as representing the type of position defended, most notably, by Robert Nozick in *Anarchy, State, and Utopia* (*ASU*) and by others.

Nozick’s book is, after John Rawls’s *A Theory of Justice*, the most influential book in political philosophy in the last century. The two books, published within three years of each other, rejuvenated political philosophy. Nozick’s book contains one of the most sustained, sophisticated, and, for all its flaws, still powerful criticisms of Rawls’s theory. His arguments have been repeated and elaborated upon many times over by critics of Rawls. But the main accomplishment of *ASU* is that Nozick’s “entitlement theory” and argument for the minimal state made libertarianism academically respectable by brilliantly developing the philosophical intuitions in their favor. *ASU* appeared in 1974, at a time when there were few voices in philosophy, law, economics, and other social sciences that even argued against the welfare state and hardly anyone who defended libertarianism. Milton Friedman’s *Capitalism and Freedom* had appeared 10 years earlier, and the “new classical economics” defense of laissez-faire had begun to reassert itself within the “Chicago School.” But while Friedman and his followers argued for deregulation of all parts of the economy, like Hayek, he still supported government funding of public goods and even social insurance programs, arguing that the latter should be replaced by a negative income tax. This was a far cry from Nozick's and similar libertarian accounts of the minimal state, which reject coercive taxation, the idea of the public good, and all that goes with it.

My paper, first drafted in 1990, was largely a response to Nozick's position, though it also addressed similar claims made by Rothbard, Jan Narveson, John Hospers, Eric Mack, Tibor Machan, and others. To review briefly the main line of argument: I associate classical liberalism with Locke's account of robust property rights and the economic liberalism that grew out of Adam Smith and others in the eighteenth century, which was more fully developed by David Ricardo, Thomas Malthus, the young J. S. Mill, J. B. Say in France, and other classical economists in the nineteenth century. Classical liberalism was then, and still is, to a large degree associated with the doctrine of laissez-faire (Schumpeter 1996: 395). Hayek and Friedman were major twentieth-century representatives of classical liberalism, along with James Buchanan and the "Virginia School" of public choice theory, Gary Becker and other members of the "Chicago School," Ludwig von Mises of the Austrian School of Economics, David Gauthier among philosophers, and Richard Posner and Richard Epstein among legal scholars. Most if not all of these thinkers were utilitarians or at least welfarists of some variety.[1] Of course, they all put a great deal of emphasis on liberty, especially economic liberty, but this normally was justified by appeals to the "invisible hand," the "spontaneous order," and related historical processes, the indirect benefits of which are purported to be economic efficiency and greater individual and overall welfare.

My phrase "the high liberal tradition" is intended to cover a range of positions that argue for and incorporate positions variously known as *new liberalism*, *modern liberalism*, *progressive liberalism*, and *left-liberalism*. High liberalism evolved out of J. S. Mill's account of 'individuality' and related idealist accounts of autonomy; arguments for social equality and for democracy in Rousseau, Mill, and others; and Mill's and similar liberal responses to the socialist critique of laissez-faire capitalism.[2] High liberalism's major philosophical representatives in the twentieth century are John Dewey and John Rawls. Ronald Dworkin, Joseph Raz, Thomas Nagel, T. M. Scanlon, Bruce Ackerman, and many others also work within this tradition. High liberals endorse political equality and more economic regulation, public goods, and social-insurance programs than classical liberals do; they argue that economic liberties and property rights are to be qualified by the public good, and that society has a duty to guarantee as a matter of right and justice everyone's basic needs and the material conditions of their well-being. Perhaps the most distinctive claim of the high liberal tradition distinguishing it from classical liberalism is that there are not only standards of *economic justice* that govern markets and the specification of private property but also standards of *distributive justice* that determine the fair distribution of income and wealth. Rawls's difference principle, Dworkin's equality of resources, van Parijs's basic minimum income, and "prioritarian" accounts by restricted utilitarians and other consequentialists are notable among contemporary liberal accounts of distributive justice.

Still, in spite of their very significant differences, classical liberals and high liberals agree on a wide range of basic social institutions that comprise a liberal constitution and society. These include a political constitution that guarantees the rule of law and equal basic rights and liberties that are inalienable and that maintain the free and equal status of citizens; some conception of equality of opportunity, to compete for and occupy open positions; free and efficient markets, to allocate productive resources and distribute consumer goods; a governmental role in the provision of public goods; a social minimum that at least meets individuals' basic needs; and implementation of a public conception of political power, the duty of which is to impartially promote the public good.

Of course there is much disagreement about how to interpret and specify these basic liberal institutions. Classical liberals, unlike high liberals, regard full economic liberties and robust rights of private property in productive resources to be on a par with basic rights and liberties of the person, such as freedoms of conscience, speech, and association; freedom and integrity of the person and of tastes and pursuits; freedom of occupation; and the right to hold personal property. They also normally conceive of equality of opportunity in formal terms as an absence of legal discrimination on grounds of race, religion, gender, and so on. Classical liberals further regard capitalist markets as not only essential to the efficient allocation of productive resources and labor but also as the fundamental criterion for the just distribution of income and wealth. Finally, the classical liberal "safety net" is normally regarded not as an individual right or social duty of justice but as either a prudential measure to maintain order and stability (Hayek), or as public good (Friedman), or as a charitable public duty to provide a decent level of subsistence to those who, because of disability or other misfortune, are unable to provide for themselves.

High liberals, by contrast, regard most economic liberties, other than freedom of occupation and choice of careers, as non-basic liberties that can be restricted for reasons other than protecting basic liberties and maintaining conditions for their effective exercise. They are prepared to regulate and restrict economic rights and liberties not just to maintain the fluidity and efficiency of markets but also to reduce inequalities of real political power and concentrations of wealth, to achieve greater equality of opportunities, and to promote a broader conception of the public good and a larger social minimum. And while high liberals endorse free markets and the price system as normally essential to the efficient allocation of productive resources and labor, they do not regard market outcomes and other consensual transfers of property as the fundamental criteria for the just distribution of income and wealth.

I argued in my paper that libertarianism, for all its superficial resemblance to liberalism, in fact rejects each of the basic social institutions that are characteristic of the classical and high liberal traditions. Because libertarianism endorses absolute property rights and unrestricted freedom to contract and transfer away any and all rights in one's person and possessions, including personal and political rights that liberals regard as basic, it rejects the inalienability of the basic equal liberties that secure the freedom and equality of persons and citizens. Once these rights have been alienated, libertarianism is willing to coercively enforce inequalities of the basic rights and liberties that define the moral equality of persons at a fundamental level. Moreover, the libertarian minimal state (insofar as it exists at all) has no authority to guarantee equal opportunities and non-discrimination on grounds of race, religion, gender, and so on as a matter of law. Similarly, nothing requires businesses to serve or employers to even consider despised minorities for employment, and (in Nozick's account) the minimal state is not required by justice to even sell them political protection services. Libertarian absolute property and contract rights also mean that government cannot protect markets against gross inefficiencies, such as price fixing and other forms of collusion or monopolies in crucial resources. Other than protecting libertarian property rights and enforcing contracts, the minimal state has no role in providing public goods—libertarians reject the idea. Of course there is no provision for a social safety net or any other public assistance for the destitute and disabled. Finally, a consequence of absolute property and unrestricted contract rights is that political power is regarded as a private economic good, to be sold in "protection packages" with different "political services" as people are willing and able to pay for them.[3] In this regard, libertarianism is, I argue, a kind of feudalism. It is not feudal because it permits coercive serfdom (though it does not forbid it, just as it does not forbid slavery if contracted into). Rather, libertarianism is a kind of feudalism in that, in treating political power as an economic good, it regards it as a private power that is to be bargained for and exchanged for compensating benefits—whether that be fealty with military service, or a share of one's harvest for one's lord in medieval or Japanese feudalism, or payment for protection services dispensed by a minimal state acting as dominant protection agency in libertarian feudalism. Political power is not then a public power as it is for liberals, a fiduciary power that is held in trust and that is to be impartially exercised only for the public good and the benefit of every citizen. [4] It is rather dispensed like any other private good, depending on a person's willingness and ability to pay for the political services he or she can afford.

2 LIBERAL LIBERTARIANS

I turn now to address Professors Boettke's and Candela's article. They say, "Freeman's critique is not fundamentally characteristic of libertarianism in general" (2016: 5). They do not take issue with my characterization of libertarianism but rather they see it instead as addressing an extreme position that they themselves call "illiberal." [5] They do not claim that my depiction of this illiberal version is inaccurate or even that my criticisms are in error. Instead, they argue that I mistakenly believe that libertarianism in general must be grounded in an idea of absolute property, and that I ignore the fact that there is an alternative libertarian position, "liberal libertarianism." As a form of liberalism, this alternative form of libertarianism, they say, is not based on absolute property rights or on a principle of non-aggression. It is rather grounded in a "basic right to liberty," which (by implication) is inalienable. ("We define 'basic' here in the same manner as Freeman.") In response to my claims that libertarianism is fundamentally about absolute property and that liberty is simply one among the property rights we have, Boettke and Candela say:

> The metanormative principle paramount to liberalism is the basic[6] right to liberty, not the individual right to private property. In other words, the right to liberty is not the right to private property itself; rather, the right to private property is *corollary* to the right to liberty and arises in a context in which individuals are free to self-direct their lives according to their own purposive plans.

To reply: I do not deny that there could be a form of libertarianism that is called *liberal*, so long as it is understood that it differs substantially from Nozick's and similar views. What I am less sure of is whether and if so how it differs in significant respects from what I call *classical liberalism*. Nothing the authors say about liberal libertarianism seems to deny any of the basic institutions that I argued are characteristic of both the classical and high liberal traditions. (But then, other than basic liberty and perhaps efficient market systems, they do not seem to directly address the remaining institutions I discussed—equality of opportunity, public goods, the social minimum, and the public nature of political power.) Assuming they are amenable to incorporating these institutions also into a liberal libertarian society, it seems that we may be simply stipulating different definitions of *libertarianism* and disagreeing over the extension and use of the term—which means there is no substantive disagreement between us.

For purposes of this discussion, I'll distinguish "orthodox libertarianism," represented by Nozick's and similar views and which was the subject of my initial paper,[7] from the "liberal libertarian" position that Beottke, Candela, and perhaps other contributors to this volume advocate or are sympathetic to. Assuming that liberal libertarianism endorses all the basic institutions that are characteristic of the classical and high liberal traditions, what might be the point of conflating two such fundamentally different positions (in my view)—liberalism and orthodox libertarianism—which disagree so profoundly about basic social institutions and their philosophical rationale? I argued in my 2001 paper that the classical and high liberal traditions, for all their differences, agree at a fundamental level on the outline of basic social and political institutions, and that *none* of these basic institutions are endorsed by orthodox libertarianism. The point of the argument is not so much a *reductio ad absurdum* (as Beottke and Candela contend) as it is to map the political landscape and encourage those liberals on the right who think of themselves as both liberal and libertarian to consider where their real philosophical and moral commitments lie—with liberalism or with orthodox libertarianism.

An intriguing question and test of classical liberals' intellectual commitments and moral sentiments is this: If they had to choose between the lesser of the two evils, how many classical liberals would choose orthodox libertarianism over high liberalism? I believe many would. Many classical liberals, forced to choose a "second best," would be willing to compromise and even abandon all of the basic social institutions that have characterized liberalism since the eighteenth century in order to defend something that they regard as even more essential to justice than liberalism itself. What might this be? It is not "basic liberty," for classical and high liberals generally all agree on basic liberties with one very important exception. It is that exception—namely, the laissez-faire conception of robust private property, contract rights, and other economic liberties—that fundamentally distinguishes the classical and high liberal positions. Their refusal to surrender laissez-faire rights and liberties for a more qualified conception of property and the distributive role of markets, one that guarantees a basic income or otherwise imposes limits on the economic disparities, would lead many classical liberals to choose the orthodox libertarian account of absolute property and contract rights over the qualified conception endorsed by high liberalism. But as we've seen, absolute property and contract rights require the rejection of basic liberal institutions.[8]

One way to understand liberal libertarianism that perhaps renders the term nonredundant is that it represents the position of those classical liberal philosophers who, if given the choice, would endorse orthodox libertarianism as a second best arrangement of society, ranking it above high liberalism. Classical liberal libertarians in this sense might be distinguished from what can be called *orthodox classical liberals*, who would decline to give up the basic institutions I've argued are central to liberalism and who would rank high liberalism over libertarianism as their second choice. These facts might explain why some philosophers who are classical liberals (in the sense I've suggested) acquiesce in being recognized as both liberals and libertarians, as opposed to those classical liberals who would decline or object to having the term applied to them. It's a matter of whom one would rather associate and be associated with.

A different way to characterize liberal libertarians is that it is a *hybrid position*, as its name suggests, lying somewhere between orthodox libertarianism and classical liberalism in that it rejects one or more though not all basic liberal institutions. Clearly, the most objectionable feature of orthodox libertarianism, for Boettke, Candela, and most others, is the complete alienability of basic rights and liberties that is a consequence of absolute property and unrestricted contract rights. Especially troublesome is the complete alienation and forfeiture of freedom and integrity of the person that results in slavery or other forms of involuntary servitude. Liberal libertarians, as Boettke and Candela define them, reject the alienability of basic rights and liberties.[9] But with respect to other liberal institutions, liberal libertarians may not be so adamant. (I leave aside for now the question whether a liberal libertarian must reject the alienation of all or only most basic liberties. The alienation of political rights and liberties by those who do not meet property qualifications or who are on public assistance may not be regarded as such a bad thing by many liberal libertarians, or even by some classical liberals.[10] What is more likely is that liberal libertarians would not regard the political liberties as basic rights or liberties at all[11]—which is one way to answer in the negative the question of whether any basic liberties should be alienable.)

The first liberal institution that most liberal libertarians seem ready to discard is the social minimum, even in the meager form of the classical liberal safety net inherited from the English Poor Laws. Hobbes (not a classical liberal) argued for Poor Relief on grounds that no one should be made dependent on the charity of others for their means of subsistence—not because it is undignified to be put in that position, but because most people are indifferent to the welfare of the destitute, who threaten peace and social stability if not provided for. Classical liberals of the nineteenth and twentieth centuries endorsed the Poor Laws for similar or additional reasons. From a classical utilitarian perspective, one can see how provision of at least means of subsistence would be justified. Early on, Hume noted that the poor derive far greater utility from an extra shilling or dollar than do the wealthy. Friedman regarded poverty relief as a public good that all benefit from, and Hayek defended the safety net on the Hobbesian prudential grounds just mentioned—without it, the destitute would be driven to crime in order to survive (Friedman 1962: 191; Hayek 1979: 55, 187).

Most who endorse both liberalism and libertarianism do not regard themselves as utilitarians, welfarists, or liberal Hobbesians—or if they do, it is only in the most indirect sense, where direct public appeals to welfare play little or no role in political decisions. Instead, most contend that their fundamental moral commitment is to liberty and individual freedom, or to non-coercion and non-interference, or respect for persons, or moral desert, or similar deontic concepts. On one or more of these grounds, they argue that public assistance is not a right of individuals or even a duty for governments to provide. To justify their rejection of the safety net, some appeal to the idea that no-one has a claim upon others' largesse unless they deserve it.[12] Or they may argue (as has

Speaker of the House Paul Ryan) that to have self-esteem and be worthy of the respect of others, the poor must be self-sufficient "makers," not "takers" dependent on food stamps, housing allowances, subsidized school lunches, and other undeserved handouts (unless of course such handouts are gifts freely bestowed by family members).[13] The rejection of anti-poverty programs has come to be a familiar position among many Republicans (especially the Tea Party). A similar position is endorsed by a large number of Americans who believe that the poor are "undeserving" because they do not work. Systemic economic unemployment is not an excuse, even for those with children.

From a high liberal and orthodox classical liberal perspective, this position, however well intentioned, is unreasonable, especially as applied to children in poverty, people with serious physical and mental disabilities, orphans, and other vulnerable populations unable to care for themselves. It violates a basic tenet of minimal reciprocity: Those who are legally required to comply with a system of social rules that imposes stringent obligations to respect the property rights and claims of those far better off cannot reasonably be expected to do so when their basic subsistence needs are not met by a society that enforces such obligations.

Opponents of government anti-poverty programs (those who are not social Darwinians) think that programs are unnecessary; they contend that once government eliminates the safety net, private charity will step in to fill the void. This is an odd position for those liberal–libertarians who think that individuals act on self-interested motives in interactions with unfamiliar persons in both market relations and in political settings. Why should we expect people to be charitable to the poor and voluntarily contribute to adequately meet their basic needs when there is no historical evidence for this, especially during economic depressions and recessions before government programs ever existed (Konczal 2014)? Only 12 percent of charitable contributions now go to the poor, with the vast majority going to contributors' universities, churches, their children's local schools, or nature conservancies, cultural institutions, and similar organizations that contributors have direct interests in (Kenny 2014). It is unrealistic to expect that their private contributions would increase manyfold to fill the void left by the elimination of all poverty programs, social security, Medicare, and Medicaid. Hobbes was right: People are generally indifferent towards the poor; hence those who "by accident inevitable, become unable to maintain themselves by their labor; they ought not to be left to the Charity of private persons; but to be provided for (as far-forth as the necessities of Nature require), by the Laws of the Commonwealth" (Hobbes 1991: 239).

Another basic feature of liberalism that liberal libertarians are prone to compromise, even if not entirely surrender, is the public nature of political authority. "Private governance" is a popular idea among many libertarians.[14] This is not simply "outsourcing" public goods and services to private providers who are paid with public funds, such as school vouchers for private schools or privately run prisons, water and sewer works, sanitation services, and so on. Friedman argued for privatizing the supply of public goods on grounds of the benefits of competition, and this has become a successful political movement since the Reagan era. Private governance is rather the elimination of public participation, provision, regulation, and perhaps even oversight of many public goods and services altogether. One example is the substantial increase in the private arbitration of disputes between businesses and consumers, pursuant to consumers' contractual waivers their right to a civil trial. Another example is exclusive reliance on restricted covenants, instead of zoning laws, to regulate or curtail uses of real estate (allowing structures only for residential use, for example).

In defense of the privatization of public functions, advocates draw on public-choice theory and contend that government is misguided and grossly inefficient, that political officials are often corrupt and normally driven by self-interest and by the private interests of lobbyists and contributors, and that markets and private associations perform the same functions better than government.[15] They might also contend that, even if government were more efficient and less costly than private provision of services (as advocates for the "public option" claim Medicare is), the basic right to liberty itself requires minimizing governments' role in the provision of services. The aim purportedly is to minimize the role of government in most aspects of peoples' lives, except those that are regarded as most crucial to liberty. This would include primarily the protection and enforcement of individuals' rights, liberties, and the rule of law, and the adjudication of disputes—the same essential services provided by Nozick's privatized state. Also included may be other essential public goods, such as public-health measures for the prevention of epidemics and serious disease; and building ports, canals, highways, streets, tunnels, bridges, and other infrastructure in areas where economic demand is insufficient to pay for and sustain them, all of which are essential to freedom of movement and travel, economic prosperity, and so on.

The downside to "private governance" and the privatization of government functions in essential public goods and services is its exclusionary nature—only those who are able to pay for privatized public services obtain them, and some who are willing to pay will be excluded on racial, religious, and other grounds by providers who want to serve only homogenous group members. For example, racially segregated neighborhoods historically have been the inevitable outcome of politically unregulated reliance on restrictive covenants. But for courts to uphold racial covenants makes it complicit in enforcing segregation.[16] Moreover, without government oversight, there is the danger of the often-biased administration of services and settlement of claims, which is normally in favor of those with economic power. The privatization of public goods and functions, most orthodox liberals would say, means the loss of impartiality in making, applying and enforcing laws and other social rules, greater favoritism for those with economic power, and the loss of enforceable protections and services for the weak and the poor. Exclusion and partiality in the administration of what liberals regard as public goods and services seriously undermine fundamental liberal values and institutions that guarantee equal protection of laws and equality of opportunity. These are among the liabilities of private governance in the domains it covers, especially as it increasingly approaches the point of completely privatized political power that is feudalism.

A position that eliminates the safety net and leaves to private governance many of the less crucial public functions and provision of goods and services provided by the liberal state might still be called *liberal* in a qualified sense. This is a good way to understand what "liberal-libertarianism" is about and how it differs from orthodox liberal positions. Any further serious compromise of basic liberal institutions—especially to one or more inalienable basic liberties, formal equality of opportunity, or the provision of more essential public goods—would further impoverish the liberal element within liberal libertarianism, perhaps beyond recognition, and result in a non-liberal qualified libertarian view. It is hard to conceive of any liberal government today enforcing contracts that alienate any of the equal basic liberties or formally equal opportunities, or the constitutional rights that specify them, that define the equal status of citizens. This is implicit in the Equal Protection Clause of the 14th Amendment. Once upon a time, of course, women, Blacks, and those who did not meet property qualifications did not have the right to vote or hold office, but classical liberals today would say that such civic inequality was a failure to realize the promise of liberal institutions, which guarantee the equal civic status of citizens. For liberal libertarians who denigrate government, equal political rights may be most susceptible to alienation if not elimination; in either case, they would not recognize equal political rights and liberties as basic.[17] When equal political rights and liberties are no longer basic, then groups of people can be deprived of their rights to vote and hold office for trivial or even unjust reasons (because they do not meet property qualifications, cannot pay a poll tax or pass literacy tests, or because of their race, religion, or political affiliation). In that event, *civic equality* is lost and the liberal element in liberal libertarianism is seriously impoverished if not abandoned. Moreover, surely the basic personal liberties of conscience, association, expression, tastes and pursuits, freedom of the person, freedom of occupation, the right to hold property, protections guaranteed by the rule of law, and formal equality of opportunity are all essential to anything that pretends to be a liberal view. Without protection for those equal basic rights and liberties, *social equality* is eliminated and with it, public recognition of the moral equality of persons. Finally, a government that protected these basic rights, liberties, and formal opportunities and adjudicated disputes but failed to maintain a semblance of competitive markets or provide any other public goods or services (public-health and sanitation measures, water and sewer works, ports, highways, etc.) or any social minimum would be hard to regard as liberal and is a qualified orthodox libertarian position.

Here I think it is notable that liberal–libertarian arguments for non-government involvement in basic liberal institutions is normally grounded largely in considerations of greater efficiency of the private sphere in providing these same goods. Thus it is argued that anti-poverty programs create dependency, and that the poor are better off without them. Or that private arbitration of legal disputes is more efficient and equally impartial as judicial procedures and saves the public money. These are largely empirical arguments (not a great strength of philosophers), and they imply that, if false, then liberal libertarians might be willing to allow government to fulfill the same roles left to markets and private benevolence. These are not the same kinds of arguments that orthodox libertarians make against liberal institutions. No amount of dire poverty unalleviated by private charity could convince an orthodox libertarian to enact coercive taxation to pay for public assistance, since it would violate absolute property rights. This suggests that many liberal libertarians may be simply classical liberals who are willing but skeptical that government can successfully perform the functions assigned to it by the basic liberal institutions, and that it is better to leave these up to private enterprise and charity.

This is one sense in which liberal libertarianism is a hybrid view. Unlike orthodox libertarianism, its rejection of certain basic liberal institutions is not grounded in philosophical principles of absolute property but in empirical conjectures regarding the greater efficiency of markets to achieve aims of classical liberal political institutions. And if they are wrong about the effectiveness of markets to do what they promise, then liberal libertarians have a choice to make—whether to endorse orthodox classical liberalism or give up their impoverished liberalism altogether and become orthodox libertarians.

Finally, liberal libertarianism—like orthodox libertarianism—is distinctly American. It reflects the naïve individualism of nineteenth-century rural and small-town life, where people of the same race and religion knew almost everyone else and would help their neighbors and take care of the vulnerable among themselves through tight-knit families, neighborhoods, and religious organizations. This ideal still plays well in the same white middle-class milieus (which many of us grew up in). As a political ideal, it is hard to imagine it gaining much popularity, or credibility, in large cities and especially in North Philadelphia, Southside Chicago, the Bronx, Detroit, and other impoverished areas, where unemployment is at depression levels, many people survive on less than $2000 per year, and, given our mottled safety net, some have no reliable source of income at all.

3 REMARKS ON LIBERTY AND PROPERTY

The primary difference between orthodox libertarian and liberal views is the conception of absolute property and unrestricted contract rights grounding the former. Often if not always this stems from the libertarian claim of self-ownership: Each person has absolute ownership and control over his or her own person, to act and dispose of themselves as they will, so long as others' rights are not violated. Absolute ownership of one's person transmits to absolute property rights in un-owned things appropriated from nature and/or that one invests one's labor with. We may exclusively use, consume, transfer, impose conditions on others' future use of, and dispose of rights in things and in ourselves as we will, without encumbrance and limited only by others' similar rights in themselves and their holdings. The orthodox libertarian ideal of absolute property pushes to the limit the classical liberal laissez-faire view: All rights are in effect property rights, including rights to basic liberty, opportunity, and human rights to the integrity of the person.[18] Absolute property envelops everything within its reach.

Professors Boettke and Candela invert the priority that orthodox libertarianism assigns to absolute property over basic liberty, restoring the latter's priority: Property rights are "corollary" to basic liberty, they say, not vice versa. This raises the complex question of the relationship between liberty on the one hand and the laissez-faire or similarly robust private-property rights they endorse on the other. One of the ostensible benefits of orthodox libertarian self-ownership is that it seems to provide an unambiguous way to address the problem of justifying absolute private property in external things; it emanates from the absolute ownership we have in our own persons. But if basic liberty is inalienable and we no longer "own ourselves" in the absolute way orthodox libertarians claim—("But then who does?" libertarians ask; the answer is surely "No-one."[19])—then how can we come to have robust laissez-faire private rights in things?

The traditional classical liberal argument for laissez-faire property and contract rights is the indirect utilitarian argument from the invisible hand: The private self-interested pursuit of economic advantage within competitive markets with laissez-faire property rights and complete rights to income results in greater aggregate wealth and greater overall economic satisfaction for members of society as a whole. But this is an empirical claim that is readily challenged by liberal utilitarians, among others, who advocate the capitalist welfare state, arguing that transfers from the more to the less advantaged can further increase greater overall welfare in society. Classical liberals' insistence that, to maximize welfare, market income has to remain in control of economic agents who "produce" it (or whose property produces it) comes across as flat-footed and unconvincing to many.[20] So the natural move, made by Hayek, Friedman, and other classical liberals, is to add that liberty, including economic liberty, is "an end in itself,"[21] an intrinsic as well as instrumental value that justifies owners' complete property rights in the income and wealth created by their market activity and obtained by consensual transfers.

To show convincingly that liberty and its cognates—liberty as such, basic liberty, non-interference, non-aggression, maximum liberty, minimal coercion, and so on—justifies laissez-faire property and contract rights is fraught with serious difficulties. For unlike personal liberties of religion, speech, association, and so on, exclusive property rights, and especially extensive rights afforded by laissez faire, impose enormous constraints on and interfere with everyone else's "natural" freedom, and this interference is only multiplied by coercive enforcement. No-one's expression of an idea, or faith in and practice of a religion, by itself interferes with anyone else's personal freedom to express the same idea or believe and associate with the same religion. But ownership of external things excludes "all the world" and interferes with everyone's freedom to occupy the same space or use or consume the same objects and resources.[22]

Of course, laissez-faire private property gives to *owners* greater economic freedom to use, consume, transfer, and dispose of their holdings than more qualified property rights do. But this is trivial; it's simply what laissez faire means. Laissez-faire rights and liberties do *not* mean that everyone's liberty or freedom, in anything but this purely formal sense, is on the whole increased, maximized, or better realized. Depending on the distribution of property, and especially in a grossly unequal society where many reject laissez-faire property norms, all that really may be increased is the sum total of interference with and coercion required to enforce the laissez-faire property system against those who oppose it.

These are of course complex issues requiring far more discussion than can be given here. But my view is that ideas such as maximizing liberty or basic liberty, or non-coercion, non-aggression, and similar cognates mentioned above, cannot by themselves make a convincing case for laissez-faire economic rights and liberties or, for that matter, any conception of property. We need some antecedent theory of individual rights that justifies laissez-faire property as somehow essential to individuals' free pursuit of their legitimate purposes and projects. Only then is content given to the ideas of not illegitimately coercing others, or not interfering with them as they legitimately exercise these rights, or having the liberty to exercise one's rights as one chooses, and so on.

Boettke and Candela make suggestive comments along these lines. They say on several occasions that libertarian rights, including property rights, are justified since they enable "human flourishing" and "cooperation under the division of labor."[23] Part of human flourishing, they suggest, is individual independence and autonomy.[24] This and related lines of argument that appeal to an ideal of persons as flourishing, autonomous, or as free, equal, and independent seem far more promising as non-utilitarian arguments for the laissez-faire economic rights and liberties than do appeals to liberty as such, non-coercion, non-interference, and others mentioned above.

But arguments for laissez-faire rights that rely on human flourishing, autonomy, independence, being a project pursuer, and so on make it difficult to avoid the guarantee of a liberal social minimum. Surely meeting one's basic needs is a minimum condition for the effective pursuit of one's purposes and projects, or for human flourishing, autonomy, individual independence, and so on. As one philosopher who identifies with classical liberalism (perhaps liberal libertarianism too) says:

> If a person is otherwise unable to secure that which is necessary for his ability to live as a project pursuer, then he has a rightful claim to provision by others who have a surplus beyond what they require to live as project pursuers. In that strictly limited but crucial respect, basic rights extend beyond liberty rights to welfare rights.
> (Lomasky 1987: 126)

Basic welfare rights may be more than liberal libertarianism can bear. They go beyond the charitable classical liberal safety net and come perilously close to, if they do not cross the border into, high liberal terrain.

Still, conceding a duty to provide or even a right to a social minimum does not imply an account of distributive justice, which is one of the most distinctive features of high liberal views. Classical liberalism and libertarianism resemble each other in that they endorse such extensive property rights and economic liberties that there is no room left for a required pattern of distribution, other than one accidently generated by consensual exchanges and transfers. The classical liberal and libertarian conception of extensive property rights and economic liberties preempts the need for a separate account of economic or distributive justice.[25] Distributive justice, assuming there is such a thing, is whatever distribution results from the consensual transfer and exchange of these rights and entitlements.

Unlike high liberal views, classical liberals and libertarians, in determining individuals' entitlements, pay no heed to the effects of the accidental contingencies of nature, society or (mis)fortune—including the talents a person is born with or without, the family circumstances and social class he/she is born into, and the accidents of fate that befall a person throughout life. There is no attempt to neutralize the effects of these "arbitrary contingencies" on individuals' life prospects, as Rawls's difference principle does, nor to equalize the effects of "brute luck," as Dworkin's equality of resources does. This is perhaps the major similarity between classical liberal and libertarian views of all kinds, and it helps explain their advocates' affinity for one another, in spite of their otherwise fundamental differences: It is the idea that starting with the appropriate specification of extensive property rights and economic liberties, just distributions consist in the outcome of a historical process of transfers and exchanges of entitlements among economic agents within an entirely or largely free (but for classical liberals, also competitive) market system. All the difficult argumentative work has to be done up front, in justifying the complex system of laissez-faire (or absolute) property rights and economic liberties that underwrite eventual distributions of entitlements. Once that system is in place, then any distribution of entitlements that results from the historical process is just, regardless of the amount of "brute" or "option" luck that goes into it or the degree of inequality that results. Economic justice is about the enforcement of extensive property rights and the fair execution of a fair process, not about adjusting the outcomes that result from this process to meet some pattern or other requirement external to it. Economic justice is then an unadulterated example of "pure procedural justice."[26]

4 CONCLUDING REMARKS ON INALIENABILITY

Boettke and Candela claim that I engage in an argumentative strategy of *reductio ad absurdum* by arguing that libertarianism is ultimately committed to "the right to contract oneself into slavery" (p.8). They note that some libertarians, such as Rothbard, do not recognize this right. My claim was not that the right to contract oneself into slavery is essential to libertarianism. Instead, my argument was that absolute property with unrestricted freedom of contract is essential to libertarianism, and that a consequence of this, as Nozick concedes, is a right to sell oneself into slavery. Even if some orthodox libertarians do not recognize this specific right, the general problem of the unrestricted right to alienate all other basic rights and liberties remains.

The general problem is this: How much freedom should we have to enable others to enlist the power of the state or private persons to coerce us to do things we do not want to do and that we may even strongly object to on religious or moral grounds? In any liberal society, people can give others the freedom to legally coerce them to pay their debts, or repossess autos or real estate they have not fully paid for, or vacate premises they reside in. But they cannot give others the legal power to force them to practice a particular religion, or take away their right to own property, or decide their occupation, or give up any other basic right or liberty they enjoy.[27] But given the absolute or near-absolute status assigned to unrestricted freedom of contract by orthodox libertarianism, the question is: what are the limits, if any, on our right to give the state or anyone else the legitimate power to coercively force us to act against our will and conscientious convictions, once we have agreed to give someone that power at some time in the past? Self-inflicted slavery, or transforming oneself into someone else's property for legal purposes, is just an extreme example of this more general problem with orthodox libertarianism.

The primary problem with unrestricted freedom of contract is that it puts almost no political or moral check on outcomes—not simply economic outcomes that libertarians regard as unfortunate but not unjust, such as economic destitution in a wealthy society, but also outcomes that the vast majority of reasonable people would regard as grossly unjust or even evil. People, if desperate enough, will contract themselves into virtually anything in order to salvage that which they most value, love, and cherish (most notably their children, parents, or other loved ones). Depending upon the magnitude of the evil motives of those they contract with, they can acquire an enforceable legal obligation to do horrible things to themselves and other unfortunate contractors, and government and the rest of us would have a moral duty to stand by and permit this. There's a moral compass missing in a view that puts no moral limits on outcomes and what people coercively can do to a person once he has agreed to it at some point in the past, no matter how remote. It is one thing to voluntarily act as another's slave or enter and voluntarily execute a suicide pact; it is quite another for the state or anyone else to coercively enforce, or stand by and allow coercive enforcement of, slavery contracts or suicide pacts or similar violations of basic human rights in the face of a person's objections.

In response, it's been said that libertarianism in this regard does not differ from democracy, which high liberals especially value; there are no limits on the evils that democratic majorities can agree to and coercively enforce either, as is shown by the democratic authorization of Nazism in Germany, or slavery, legalized segregation and Jim Crow laws in the United States. But the difference is that democracy, so conceived, is a voting procedure, a political institution argued for by most modern accounts of justice, including some liberal libertarian accounts.[28] It is but one among several social institutions that are to be designed to achieve the moral ends and principles of theories of justice. According to liberal theories of justice, a *constitutional* democracy imposes moral limits on the genuinely bad outcomes that majoritarian consent can result in when it goes morally awry. But unlike a liberal constitutional democracy, orthodox libertarianism and its institutions put no moral limits on what people can consent and be coercively forced to do by the exercise of (private) political power.

For liberals, it is precisely because political power is a public fiduciary power that is not to be exercised contrary to the public good that liberal governments refuse to coercively enforce or permit the private enforcement of unconscionable contracts, especially those that violate individuals' fundamental moral rights and liberties. The fact that someone has willingly consented that his basic rights and liberties may be coercively violated by the state or others against his future will is of no more moral significance than the fact that democratic majorities have sought to permanently alienate their own basic rights and liberties and accept dictatorship or totalitarianism.

Some orthodox libertarians may try to avoid this outcome (as Boettke and Candela say in noting that Rothbard declined to make slavery contracts enforceable). They recognize that some contracts are morally "unconscionable" (as the common law says) and hence unenforceable and legally void. But which contracts are void, and for what reason? Surely the moral intuition that rejects the enforcement of slavery contracts would also apply to coercively enforcing mutual "suicide" pacts or permission to kill or cannibalize contracts as well. But then what other fundamental norms of human decency should be included in the class of void contracts; the non-violation of basic human rights, such as the right not to be tortured, imprisoned without trial, or forced to have sex with others? But now it seems we've entered a different moral domain that says that respect for persons as such requires that certain wrongs cannot be inflicted upon them, even with their prior consent. To reply that this is paternalism suggests that one has a misguided sense of what paternalism is or why limits on it are morally important.

NOTES

1. Buchanan and Gauthier, though contractarians who argued against utilitarianism, are still welfarists and rely heavily on economic efficiency in arguing for classical liberalism.
2. See Mill 1871, especially book II, 'Distribution', chs.1–2 on property and socialism; book IV, chs.5–6 on the stationary state and the future of the laboring classes, and book V on government.
3. Nozick provides "minimal protection packages" for the poor who are unable to pay for political services, but it only covers aggression by "clients" of the "Dominant Protection Agency." He argues that the fee charged to clients to pay for this is not a coercive tax on them but simply is part of the cost of protecting clients against non-clients' aggression. In Nozick's account, there is no political protection for "non-clients" of the minimal state against aggression by other non-clients. There is in this and other respects no impartial administration or equal protection of the laws.
4. This is essentially John Locke's definition of political power, *2d Treatise*, ¶3) and *A Letter Concerning Toleration*, and it is one of the most fundamental features of liberalism.
5. "Freeman's claim, one in which the right to property is equivalent to the right to liberty, is indeed indicative of an illiberal understanding of libertarianism." Boettke and Candela (2016).
6. Here appears a footnote: "We define 'basic' here in the same manner as Freeman (2001)."

7. I prefer the term *orthodox* to the terms *extreme* or *hard* or *radical* libertarianism, largely because I see it as an ideal that many liberal libertarians wish could be true, were it not for some of its unfortunate implications. Rawls at one point called Nozick's position "ideal libertarianism." His reason, I believe, is that he saw Nozick's libertarianism as ideal theory, an idealized "historical process view," that assumes full compliance among individuals initially situated within a hypothetical state of nature. Nozick's entitlement theory implies that existing holdings in our non-ideal circumstances are just only to the degree that they were arrived at by an actual historical process of consensual transfers that approximates the ideal historical process set forth in his view. Since other orthodox libertarians may not endorse ideal theory, I will not apply Rawls's term to their position.
8. The distinction between absolute and qualified property is Mill's. For my purposes, to say a right is 'absolute' means that it is unencumbered by any duties, disabilities (in Hohfield's sense), encumbrances, or deficiencies, and that its legitimate exercise is incapable of being overridden by any other obligations except to respect others' rights. To use Joel Feinberg's well-known wilderness case: The absolute property rights of the owner of an unoccupied cabin in the wilderness have been violated when campers break into the cabin in order to save their lives from a blizzard, or from grizzly bears, or for whatever reason. Or a person who jumps into my yard to avoid being hit by a car, in spite of No Trespassing signs, has violated my property rights. Even if these violations may be morally and legally excused because of extreme emergency, my rights are not overridden and the violation is not morally or legally justified, simply excused. Both trespassers must pay for any damage they cause, and even if none, they can be fined a nominal amount ($1) for their trespass at common law. My auto example responds to Jason Brennan's claim that most libertarians do not endorse absolute property rights since it would not be wrong for the pedestrian to dodge the car by coming onto my land. See Brennan 2012: §67. Whether or not it's "wrong," it's still a trespass, even if there is a legal excuse for it. See also Steiner 2013 for this use of Feinberg's wilderness example and his claim that the owner's rights are not overridden.
9. Again, as implied by their claim that basic liberty in my sense of 'basic' is the foundation of their view.
10. See Friedman's seeming approval of A. V. Dicey's claim in 1914 (194) that those on public pensions and other forms of "poor relief" should not be allowed to vote for members of parliament.
11. See Brennan 2012: §38: "Libertarians usually do not believe that the political liberties—the rights to run for office, hold positions of power, or vote—are the same kind of thing as the civil and economic liberties." This downgrading of political rights is perhaps related to Brennan's claim that "democracy, like all forms of government, is inherently repugnant," but that *constitutional* democracy is still superior to all others since it is the least likely to abuse its (limited) powers.
12. Cf. Gaus 2016: 363–4, who argues that a "strong duty of assistance" is not justifiable since it "is not stable under full justification." Some citizens' "strong devotion to principles of desert," he says, is a "defeater [of] the argument for a positive right to assistance." Whether this apparent rejection of both a right to assistance and even a public charitable duty of assistance also means that Gaus would reject Hayek's Hobbesian argument for a safety net on grounds of maintaining social order and stability is unclear. Aside from apparently rejecting a social minimum, Gaus otherwise seems to endorse the remaining basic liberal institutions I have discussed.
13. See *Media Matters* 2016 for a list of references to Ryan's proposals to eliminate anti-poverty programs, including school lunch programs, and his remarks on the poor. Congressman Ryan seems to experience no loss of self-respect, moral shame, or work initiative as a result of his and his wife's inheritance of several million dollars from his grandfather and her parents. Having inherited it, he no doubt thinks they now morally deserve it. See *Los Angeles Times* 2012. See also *New York Times* 2012.
14. I take the term from the book by Edward Stringham (2015). In the foreword, Peter Boettke gave high praise to the book and the idea of private governance.
15. See again, Jason Brennan, sections 35–36, "Libertarians believe that in politics, the worst often get on top" and that many "politicians are inept, counterproductive do-gooders." It's an interesting question whether the widespread self-interest, corruption, and ineptness that government officials are allegedly prone to also includes those common-law and federal judges, legislators, and governors who in the nineteenth and early twentieth centuries shaped and enforced the laissez-faire property and contract rights that ground classical liberalism and liberal libertarianism.
16. As was suggested in *Shelley v. Kramer*, 334 U.S. 1, (1948), which held that the judicial enforcement of racial covenants on real estate is unconstitutional on Equal Protection grounds. Such covenants were almost universal in many regions of the United States prior to this decision.

17. Cf. Jason Brennan, who in *The Ethics of Voting* (2012) holds that people should be allowed to buy and sell the right to vote on particular occasions if not to completely alienate the right on a permanent basis.
18. See Rothbard, who says, "In the profoundest sense there *are* no rights but property rights" (1977: 238). Jan Narveson says: "Liberty is Property...the libertarian thesis is really the thesis that a right to our persons as our property is the sole fundamental right there is" (2001: 66).
19. The idea of absolute ownership—that someone, either government or private persons, has to "own" all the rights in a person or thing—is related to the idea of absolute sovereignty—that someone ultimately must possess absolute political power with no limits. As the history of constitutional governments shows, absolute sovereignty is unnecessary and a mistake. The same is true of absolute ownership.
20. Cf. Hayek (1960: 95–8), who argues that unless a person gets "all the credit or gain," or the full value of his marginal contribution, he would have no basis for deciding whether a pursuit is worth the effort and risks. This allegedly would destroy incentives and he would have to be told what to do.
21. Friedman (1962: 8).
22. Loren Lomasky (1987: 116–8) makes the point well that property rights are "uniquely exclusionary" in a way that personal liberties are not.
23. See Boettke's and Candela's reference, p.102 in this volume, to "human flourishing as the normative premise upon which individual rights and peaceful social cooperation ought to be based" as an alternative basis for libertarianism instead of the "non-aggression axiom."
24. Boettke and Candela, p. 98 of this volume.
25. See David Schmidtz (2006: Part 6, 183–227).
26. Rawls says that his difference principle is also an instance of pure procedural justice, which perhaps explains why Hayek says of Rawls that "we agree on what is to me the essential point" (1973–79: xiii, see also 100). But in fact for Rawls, economic outcomes reached via markets, gifts, bequests, and other consensual transfers are subject to adjustment according to redistributive property rules, which Hayek presumably would not endorse given his allegiance to laissez-faire property with complete rights to income and wealth.
27. Indeed, the remedy of specific performance is rare as a remedy for the breach of most contracts and is used only in limited cases like real-estate contracts, unlike the far more common remedies of paying damages for loss or restitution.
28. See Brennan 2012, pp. 62–63, who endorses constitutional democracy.

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II

Questioning Libertarian Principles

9

Feminism and Libertarian Self-Ownership[1]

Ann E. Cudd

1 INTRODUCTION

Liberal feminists have an ambivalent attraction to libertarianism. On the one hand, libertarian political theory offers the prospect of freedom from lopsided, unchosen obligations, such as the majority of family responsibilities, that have been unfairly laid upon women. On the other hand, libertarian economic freedoms place few obligations on the state to care for those who cannot care for themselves, which leaves many women with a bad set of options. Women's traditional upbringing puts them in a poor bargaining position when it comes to dividing up shares of otherwise unmet needs by dependent others. Women have been conditioned to see and respond to needs and often find it difficult not to respond when the state or someone else does not fulfill those needs. But by offering care in the breach, so to speak, it seems (or can be made to seem) to be voluntary and uncoerced. Furthermore, women are themselves sometimes in need of care, and in the libertarian state would not be able to receive it as a matter of right.

The normative foundation for asserting this radical freedom from the claims of others is the idea that individuals are sovereign over their own bodies and therefore cannot be made to use their bodies for any purpose that they do not choose. Eric Mack defines self-ownership as "the thesis that each individual possesses original moral rights over her own body, faculties, talents, and energies." He explains that it is a moral thesis about "the moral inviolability of persons—an inviolability that is manifested in the wrongfulness of unprovoked acts of killing, maiming, imprisoning, enslaving, and extracting labor from other individuals. … the rights of self-ownership provide individuals with the moral immunities appropriate to beings whose lives and well-being are of separate and irreplaceable moral importance" (Mack 2002: 76).

Libertarians assert the thesis of self-ownership as both a moral and political ideal. The self-ownership thesis connects persons to property rights, asserting that agents have, initially, all of the rights over themselves—their bodies, ideas, and thoughts—that one can have over external things. Such rights include the right to use, control, and benefit from one's self, as well as the right to transfer and enforce these rights. Beginning from the right of self-ownership, along with some other assumptions about our rights to the common stock of goods in the world, libertarians then claim to be able to derive exclusive rights to property in other things as well as negative rights against interference by government. While so-called left and right libertarians differ on how the goods will be shared, most agree with the thesis of self-ownership.

The self-ownership thesis thus described has been criticized for not allowing trivial infringements (e.g., minor pollution) or infringements that produce great moral good for very small sacrifices (Sobel 2012; Wall 2009). These objections question the strength of the rights involved with ownership in a world in which there are vulnerable others in need of temporary assistance. Although there are many things to say about property rights and especially property rights in persons, I am not going to wade into debates about ownership here, because I believe that both sides grant a more fundamental assumption that has not been sufficiently interrogated, of which feminists are most skeptical. In particular, I want to examine the metaphysics of the *self* that is being assumed in the libertarian concept of self-ownership. Namely, I want to examine the claim that the self is metaphysically separable from others completely and throughout its life. I will argue that the self is essentially, metaphysically constituted by its connections with other selves. If the human self cannot be neatly separated from other selves, what implications would that have for the thesis of self-ownership and libertarianism?

The metaphysics of the person that is assumed by libertarians is an atomistic individual. Take Murray Rothbard's (1998) discussion of the Robinson Crusoe model of the self in the *Ethics of Liberty*. Crusoe is imagined to have landed on an island with amnesia, so that he has to learn or relearn everything completely on his own (Rothbard 1998: ch.6). Such a view portrays individuals as if, in Hobbes's colorful metaphor, "sprung up like mushrooms": born from spores flung off by ancestor mushrooms, independent of any efforts of other beings. Human individuals are also seen as rational without any training, complete and competent to survive in themselves, and able to enter voluntary relations on a footing of relative equality. All of their relations with others are treated as if consciously chosen. But persons and relationships are not really like that; we come into the world through the great effort and pain of others, utterly dependent, and as we develop, we find ourselves enmeshed in relations with others that we cannot choose to have nor readily leave. Now the libertarian will grant these facts and yet hold that this model of the atomistic self, while it is literally false, makes the individual person the proper subject of moral theory. But I do not see how this can be done in a non-question-begging way. Furthermore, by assuming persons are or can be that atomistic individual, we dismiss a significant portion of our lives in which we are dependent on others and undervalue the great efforts of those who have mothered and nurtured us. We undermine the freedom and dignity of those whose lives cannot achieve such independence and the obligations we have to them.

In this chapter, I critique the libertarian self of the self-ownership thesis and offer a feminist and relational understanding of the metaphysics of the self that recognizes our dependence on and connection with others. I argue that self-ownership, as a basic concept, need not reject unchosen obligations to others. Finally, I propose a version of self-ownership that accepts these obligations and also clarifies our ability to consciously reject attributed identities that we wish to abjure. This version of self-ownership, which might be called "connected self-ownership," is, I argue, a version that could ground a libertarianism that is plausibly feminist.

2 LIBERTARIAN SELF-OWNERSHIP: WHAT IS OWNERSHIP?

Work on libertarian understandings of self-ownership has focused on clarifying the ownership rights that an individual must be granted. In their *Stanford Encyclopedia of Philosophy* article on libertarianism, Peter Vallentyne and Bas van der Vossen specify what they call full ownership rights. They write:

> Full ownership of an entity consists of a full set of the following ownership rights: (1) *control rights* over the use of the entity: both a liberty-right to use it and a claim-right that others not use it, (2) *rights to compensation* if someone uses the entity without one's permission, (3) *enforcement rights* (e.g., rights of prior restraint if someone is about to violate these rights), (4) *rights to transfer* these rights to others (by sale, rental, gift, or loan), and (5) *immunities to the non-consensual loss* of these rights.
>
> (Vallentyne and van der Vossen 2014)

By granting all of these rights, they claim that we can be sure that individuals thereby have the maximal set of rights over whatever they own. Vallentyne and van der Vossen go on to list a number of objections that have been raised to libertarianism that they claim follow from the understanding of ownership and the strictness of the idea that self-ownership entails the maximal set of ownership rights. Although ownership and maximal ownership is not the concept I will focus on, it is worth considering a few of these objections here in order to see what might be gained by rejecting the libertarian self-ownership thesis.

The libertarian self-ownership thesis asserts this maximal set of rights by a self over, as G. A. Cohen (1995: 214) puts it, "a particular body, by the person whose body (in the natural sense) it is." The self thus by right controls its body and has a claim right against others using it. It has compensation rights if anyone uses the self's body against her permission and enforcement rights to protect and defend these rights against incursion. The self has the right to transfer these rights to others by sale, rent, gift, or transfer and immunities to the non-consensual loss of these rights. Many would argue that these are too extensive and that, for example, a self ought not have the right to transfer ownership rights to others, to enslave itself. But the libertarian who wishes to uphold the maximal set of rights is hard pressed to reject the right to enslave oneself without having to make *ad hoc* restrictions on the set of rights.

Steven Wall (2009) objects to self-ownership on the grounds that it does not permit very plausibly allowable violations of the strict boundaries it draws around the self. He explains that libertarian self-ownership asserts rights that are both stringent and extensive and cannot be overridden by welfarist or perfectionist considerations. "Libertarians hold that self-ownership rights are stringent in that they are never (or only rarely) overrideable by these considerations." Furthermore, "the rights included in the self-ownership set might cover just a few aspects of the person or a mere sampling of his powers.

By contrast, libertarians hold that the set of self-ownership rights to which they are committed is very extensive" (Wall 2009: 400). He then offers the example of the drowning child, who is in shallow water where a passerby could easily wade in to save it. According to the strict libertarian self-ownership thesis, the passerby could not have an enforceable moral obligation to save the child. Even if one is willing to bite the bullet to accept this outcome, the stringency of self-ownership entails that even very small inadvertent trespasses against someone would be ruled out, regardless of the benefits that might be attained. As Vallentyne, Steiner, and Otsuka point out, "strict full ownership of my body is violated, if, in the process of putting out a dangerous fire, you inadvertently send a small bit of stone one hundred yards away, where it lightly flicks my hand" (Vallentyne, Steiner, and Otsuka 2005: 211). Worse, Wall argues, the self-ownership thesis does not permit even soft paternalism, the sort that works to move persons in the direction of their own best interests through sub-intentional nudges by well-meaning others. Self-ownership, as interpreted by the libertarian, is subject to these plausible objections because of its stringent and extensive understanding of ownership rights.

Although the above-mentioned list of rights constitutes the maximal set of negative rights, it is not necessarily the maximal set of rights or freedoms if positive rights or capabilities are considered to be equally important aspects of freedom. Differences in abilities, disabilities, talents, and starting endowments of many kinds will confer different sets of things or opportunities that one has a right to access. There will be those selves who need assistance if they are to be able to exercise any of their rights, even the basic right of control over their bodies, much less the right of enforcement. Unless there are persons who will gift the uses of their bodies to such vulnerable persons, they will have no ability to survive, let alone thrive as a member of a community.

The libertarian may well say that such is the price of liberty. Given that we are separate selves who have abilities to choose our actions and obligations, to have that power taken away from us is to enslave us against our wills; our liberty depends on our being able to enforce our separate boundaries. In other words, the libertarian is forced to bite some ill-tasting and dangerous bullets to withstand the pain of these objections, because the self and its rights are the moral fixed points for this theory. But if libertarianism has the wrong conception of the self, then this may also be the wrong conception of liberty.

3 LIBERTARIAN SELF-OWNERSHIP: WHAT IS THE SELF THAT OWNS?

In the libertarian literature, there is little discussion of the ontology of the self within the community of other selves. The question of what is the self that owns has been taken up from the perspective of standard metaphysical theories of personal identity in Feser (2005). His examination still takes for granted that there is an individual self that can be isolated from its community, the assumption that I will bring into question here. The self is taken for granted to be a separable individual with no essential ties to other things, including other selves. That is, it is a thing that thinks and acts in and of itself. The self is understood as a primitive ontological entity, whose attributes and boundaries have a naturalistic interpretation: "the person whose body (in the natural sense) it is" (Cohen 1995: 214). But this is question-begging. Why should we understand the self as constituted by "its" (itself a question-begging possessive) body?

In their article "Self-Ownership," Douglas Den Uyl and Douglas Rasmussen offer the closest thing to an argument for this atomistic constitution of the self. They offer three statements for the reader to "consider":

- "This is my body."
- "These are my faculties, talents, and energies. I possess them."
- "This body, these faculties, talents, and energies are mine, not yours."

They infer: "It is evident that one has *de facto* possession and, to some extent, control over one's body, faculties, talents, and energies—that is to say, 'one's constitutive ontological properties'" (Den Uyl and Rasmussen 2003: 50). The argument is not entirely clear. One interpretation is that *because* the self "has *de facto* possession, and to some extent, control" over the self's "body, faculties, talents, and energies," these latter things are the constitutive ontological properties of the self. But one could also have *de facto* possession and to some extent control over a house, and that does not make the house ontologically constitutive of the self. Another interpretation is that the argument hangs on the consideration of the statements themselves. In that case, the argument for what the self is rests on the use of the possessive "my" and "mine" to name the self that possesses. But this is either unhelpful because it may not be the atomistic self that is being named, or question-begging because merely offering a name is not to answer the question of what the thing is. So we cannot take this to be a valid argument for the atomistic ontology of the self but rather a mere description of it.

The atomistic self is seen as complete and whole in itself, with boundaries that separate it from its social and natural environment. This atomistic separation has at least two distinct aspects: causal and definitional. By *causal*, I mean self-sufficient without the need for other selves to feed or otherwise nurture it. This is important for the atomistic conception that supports the libertarian self-owner because of the connection with labor and ownership. If the self is not self-sufficient, and it relies on the labor of others, then it does not self-evidently own itself. By *definitional* I mean that the self's body can be delineated as a unique thing with its own traceable boundary. This is important simply to be able to name a self that is separate from other selves. If its boundary is vague and bleeds over onto the territory of other selves, then there is at least part of it that is shared with other selves. Thus the self of the libertarian self-ownership thesis requires a clear, delineatable boundary.

While there are points in the life of the individual body that make it appear self-contained and self-sufficient, there are many other points in the life of that individual that are neither causally nor definitionally separable. The self comes about through a process that intimately involves other selves and is enmeshed in a social world and socially constructed environment that combines with a person's genetic makeup to create their specific attributes. At any given point, a body cannot be neatly and uniquely picked out as separate from its surroundings. It is in constant interaction and negotiation with its environment in ways that change and constitute it as a living and continuously changing being.

Naturalistically, a human individual body begins to take a definite identity in the bodies of others as a sperm and an ovum that come together and attach to the body of another individual who is already a self. The development of this embryonic self is determined not only partially by the genetic code inside it, but also partially epigenetically. The developing self is determined by the epigenetic expressions caused by its somewhat plastic genetic makeup as it reacts to the exterior environment it faces, first as it develops in utero within the body of a person who is living, breathing, facing social and emotional challenges, and taking in nutrition in a social world, and then independently in the external, socially effected world. Thus, even the natural genetic makeup of the human individual is in part socially constituted.

The self who can be a self-owner is a person, not a mere thing. Persons come into being through natural and social processes of development, the completion point of which is not precisely determinate but is socially influenced. The point at which this developing individual is said to be a person, complete in itself as an identifiable person, is also socially determined. Some communities identify personhood at the point at which there is a complete human genetic code, which means that the ability to think or even move, let alone labor, is inessential to persons, and its being inside and completely dependent on others is inconsequential for its ontological existence. Other communities identify the point at which a human individual is physically viable outside of another body, and still others the point at which it has learned attributes such as the ability to respond to others intentionally. Given the fundamental, ontological changes to the being at each of these points, it makes little sense to argue that there is one that must be chosen as the necessary beginning of personhood: it is a socially determined point for social purposes of defining the morally significant self. The point of personhood, at which ownership rights are attributable to it, is thus socially determined. Therefore, we must inevitably choose how to define the self to whom we assign ownership.

The libertarian self of self-ownership emerges only when it is possible to distinguish and define it clearly, and when it can be causally self-sufficient in at least the most minimal sense. This comes at a later point of human development than the three points just mentioned. Selves are not reducible to or even definable by the naturalistic definition of their bodies. Persons have mental states, including ideas that could also be said to at least partially constitute their personal identity, and these ideas can conflict with aspects of the bodily reality. Transgender persons, for instance, self-identify as a gender different from what has been attributed to them by a naturalistic understanding of their bodies. Thus, their ideas or mental states contradict their natural bodily identities. While we once privileged the latter in identifying these persons, now it is commonplace and, many would argue, morally required that we privilege the former. Gender is a socially defined attribute, connected no doubt to natural attributes of bodies and natural reproductive functions but not reducible to or determined by those natural attributes. This means that there is a mentally and socially determined aspect of the self in addition to the bodily aspect of the self. If we say veridically of some person that she owns herself, we are necessarily invoking both mental and social aspects of her self in addition to bodily ones. A self is not only her naturalistic body but also a socially determined and mentally encoded understanding of that body.

Even setting aside self-identification issues, like gender or race, that are necessarily social, there is more to the sociality of the self than just the fact that its body needs others to help care for and nourish it, though those are socially and morally important facts. There is a more ontologically important aspect of the embeddedness of selves who can be choosing subjects. Because the self is in part constituted by its mental states, social connection is fundamental to its constitution. Families and communities provide the structure within which we understand the world through the language, institutions, and social norms they provide for us. Although individuals respond to these structures in individual and unique ways, those reactions make sense only within and through the senses and meanings that these structures allow. To put it another way, our choices only become choices rather than just random behaviors through the meanings that social structures provide (Heidegger 1962; Winch 1958; Taylor 1989). Social institutions are always already there; we then take them and make our individual contributions to the norms and institutions we live with that alter them for our collective future, but we are not subjects without them.

There is much philosophical work on what a person is, what a self is, and this work should be brought to bear in understanding the self-ownership thesis just as the work on ownership has been. Feminist thought offers alternative theories of the human self as ontologically connected rather than separate (Willett, Anderson, and Meyers 2015). Feminists have pointed to the importance of considering central and defining experiences of human life involve being dependent on others for physical care and mental and emotional development and, reciprocally, giving this kind of care to others. Thinking about dependency and care shows us that atomistic individualism is a mistaken ontology of the self. Dependence is a basic fact of human life at least in the beginning and often in the end and at points in the middle (Kittay 1999). For most of us, much of our lives are spent in empathic connection with others, taking and giving help and care in a symbiotic relationship. The independence depicted in the libertarian self-ownership thesis is at best a temporary achievement.

Self-ownership is a socially privileged identity that is not achievable by all. The self-owner must own some things aside from a body and have some skills or abilities in order to live as an owner. Those who do not are not able to exercise their rights of ownership over their bodies. Those who are weak or disabled cannot exercise their right of enforcement over incursions against their rights. The independent self-owner needs to be free of charges who lay claim upon them and disrupt their ability to choose a course of action. One cannot be the cause of one's own life if one is constantly having to change course midstream to respond to the needs of others. Those who are vulnerable to being pregnant can have their ability to define their own identities taken away. Libertarians have rarely considered this as an affront to self-ownership, but surely it is, and the neglect of enforced pregnancy by libertarians belies an androcentric privilege.[2]

The ideal life of the self-owners contrasts sharply with the lives of the oppressed. Oppressed persons uphold the self-ownership of the privileged by appearing inferior or doing their bidding. The oppressed do not own their bodies but rather must make their bodies available for the privileged at a cost much less than if they were social equals. The oppressed make the privileged feel like self-owners who control their own bodies and guide their own lives. Oppression often involves labor that upholds the self-ownership of the privileged, whether in the form of physical or emotional labor.

In addition to being androcentric and privileged, the ideal of self-ownership is illusory. Thinking of oneself as owning oneself or authoring one's own life is a *false belief* of the privileged. No-one comes into the world as a complete and capable self or even as a person at all. As we have seen, there is a physical and material aspect and a linguistic and metaphysical aspect to this claim. Everyone needs both great personal care and constant attention in order to survive childhood to become a thinking, choosing, investing being. Everyone needs others to learn a language, even to have a language to learn. There can be no thinking, choosing, trading, or investing without meaningful choices that are rendered such only by a language and social norms. There is no person or human self without others. The self-owner cannot own the self without owing others a great debt for its very existence as well as for its choices.

The libertarian might respond that while the atomistic individual is a literal falsehood, we can take it to be an ideal concept for our theory of justice. But in what sense is the atomistic individual an ideal? We can take this idealization in either an epistemic sense, in which the ideal is a kind of model or simplified theory that aids explanation; or in a moral sense, in which the ideal is something to be aimed for. Some epistemic ideals provide us with simpler forms that are literally false but allow tractable models to be constructed, and their value is to be seen in the explanations that the resulting theory allows. Interpreted in this way, the value of the atomistic individual ideal is to be seen in the value of the overall picture it provides for us to understand social and political life. But since the falsity of the atomistic individual is precisely that it ignores connections to others, we cannot take the resulting libertarian theory's rejection of the importance of unchosen connections to the understanding of the self. The moral sense of the ideal is even more question-begging when applied to the atomistic self of the self-ownership thesis, since it is precisely the atomism that is appealed to in justifying the rejection of unchosen obligations to others.

The libertarian might also reject the idea that the self can owe a debt when the self did not voluntarily choose to come into being. But this voluntarist model relies on a liability model of responsibility, which holds that we are only responsible for those events that we caused in the past. On a voluntarist model of obligation, we only owe a debt for those actions for which we are responsible in this way. It is necessarily backwards looking. Since the self did not cause the actions that gave rise to it, the self cannot be responsible for them and therefore owes no obligation to those who created them. The social connection model of responsibility, developed by Iris Young (2003; 2006), recognizes that we live in an interconnected social world, in which individuals are constrained but also constituted by social and structural forces that no one of us can construct or alter. As we become acting selves, our actions contribute to these forces, in the sense that if enough of us acted differently, they would change. Since collectively we will inevitably create these forces going forward, we ground responsibilities for individuals to act collectively. In this way, the social connection model becomes forward looking, obligating us to take shared responsibility for collective action to create a just future for the current and future selves that will come into existence.

The ground for responsibility on the liability model is causal efficacy. The liability model requires the actor held responsible to have been a necessary link in the causal chain from action to harm. It requires that the counterfactual—that had the actor not so acted, the precise harm would not have occurred—be true. The social connection model grounds responsibility on the contribution that our actions inevitably and even involuntarily make to existing conditions and social norms as a result of our social connections to each other. Contribution is quite a bit weaker than causation, since the individual contribution is not necessary for the injustice to occur. But there is a connection to causation in the sense that the contributions of the collective of individuals cause the injustice.

We could say that a contributing action is an individually insufficient and unnecessary part of a necessary and jointly sufficient set of conditions for the injustice to occur. The relevant aspect of causation involved in social connection is the hypothetical and forward-looking aspect: the insight that by working collectively, we could change conditions. Thus, we could say that one is responsible on the social connection model when one could act collectively with others to create just conditions or halt a social injustice.

The self who owns is a self in debt to its family and community, but it is a prospective debt to be paid looking forward. One could not bargain, trade, or even ask for the care one needs as an embryo or an infant to become a self, yet this care makes possible everything that comes after. Selves are enmeshed in their social world from the beginning, owing debts to their families or community who created the conditions that physically nurtured them and to the larger society that gives their actions and desires meaning. It may be suggested that if we all owe such debts, perhaps we can collectively forgive them. Each individual who pays it forward to the next generation is the one who must forgive the debt of its offspring, and this can be done collectively. While this is perhaps a good idea for moving forward, it is not the libertarian starting point of the atomistic self-owner.

4 A FEMINIST CONCEPTION OF SELF-OWNERSHIP: CONNECTED SELF OWNERSHIP

Despite the androcentrism and metaphysical confusion surrounding the ideals of self-ownership, liberal feminists are still somewhat attracted to this ideal because of its implications for bodily autonomy. After all, if one owns one's natural body, then at the very least one has a right not to have it violated against one's will or to be subjected involuntarily to violence and trauma. For women, who reasonably fear rape and domestic violence, or men who are members of vulnerable social groups, bodily integrity and autonomy are paramount concerns. Bodily autonomy implies at a minimum the ability to avoid invasion of or violence to one's body. Women are too often the victims of violence, rape, and sexual harassment, all of which violate bodily autonomy at a fundamental level. For women and therefore also for feminists, a political philosophy must respect bodily autonomy as a fundamental value.

One of the most immediately appealing aspects of libertarian self-ownership is that it appears to enshrine bodily autonomy as a fundamental value (McElwee 2010). However, taking bodily autonomy to be a type of ownership right that is the same kind of rights that we have over things can serve to reduce the strictness of rights to bodily integrity that feminists demand. Libertarian debates over what self-ownership entails do not seem to uphold bodily autonomy as a bright line when, for example, the strategy of cross and compensate is contemplated (Nozick 1974; Sobel 2012). Cross and compensate is the strategy of violating some right and compensating for the trespass afterwards. Allowing the trespasser to cross one's field and then compensate one for the damage or use makes sense in order to increase freedom and allow for someone in urgent need to preserve themselves. This strategy makes sense when we are talking about a cabin in the wilderness but not when we are talking about a person's body. While a cabin can be cleaned up, restocked, and repaired (or even rebuilt) without loss, a person may not be able to be compensated for a violation of bodily integrity. This is most obvious if the person is killed or violated so grievously that they lose consciousness. For another thing, a forcible violation of one's body can so damage one's psyche that the future is diminished in quality. We each have only one life, and within that life, the moments are irreplaceable. Although some might choose to sell or give away some of those moments, having them forcibly taken away is not something that the trespasser can assume anyone would allow or could be fully compensated for at any price. Finally, forcible violations of bodily autonomy can make it difficult or impossible to maintain the social connections that partly constitute the self. Given the importance of bodily autonomy, the ownership rights of self-ownership that permit after-the-fact compensation may not be stringent enough to protect a basic need of a connected self, that is, to be able to feel secure in one's body.

Guarantee of bodily autonomy is an important protection for a self that is connected because it is crucial for persons to be free of violence in order to trust in others. Trust is foundational to being able to connect with others, for without trust one cannot fully engage empathically with others; every interaction becomes strategic. Furthermore, the self's body cannot be equated with other objects that are owned—there is a special relation that one holds to one's body, as we have seen, which makes possible the connected self. A connected self realizes its identity in and through its engagement with others. In social interaction, we act according to norms that give our actions meaning, and in turn we hold others to these norms by agreeing, endorsing, and supporting their actions or disagreeing with, criticizing, or cajoling them for what we see as wrong, inapt, discordant. Such interaction, to be affirming, requires trusting relations. We must assume that others are basically reacting authentically, truthfully, and non-violently.

The thesis of connected self-ownership is the claim that the individuals, who are inevitably enmeshed in their social relations, have the maximal set of rights over their bodies that is consistent with maintaining social connection, and with other selves having like rights over their bodies. This thesis puts the connected self at the center of moral and political legitimacy, and protects bodily autonomy in a way that a feminist can support. It also places mutual obligations on each other to create community and share in the burden of care for other selves.

5 A PLAUSIBLY FEMINIST LIBERTARIANISM

If we begin with this interpretation of self-ownership as involving a connected self as the self who owns its body and assert the thesis of connected self-ownership, then we can devise a libertarianism that is plausibly feminist. Maximal connected self-ownership rights look somewhat different, however, from the standard libertarian version of maximal atomistic self-ownership. The basic strategy for delimiting the rights of a connected self-owner is to find the minimum constraints on a person's bodily autonomy consistent with there being a community that upholds the norms necessary for connection. And these rights must be consistent with similar rights for others.

The connected self must control its body in the sense that it must be able to preserve its bodily integrity against all forcible incursions; it must have the right but also the means to do so. But the debts that the connected self owes for its physical development means that it cannot have an unassailable claim right against others using it. While the connected self must be permitted to choose how to contribute, it owes a contribution. To maintain social connection, the connected self must be seen to do its part, but it has latitude in choosing how to do its part, because its bodily autonomy must be respected, too. The connected self thus has non-voluntary imperfect obligations to contribute. Such obligations are difficult to enforce, but I would not say it is impossible or impermissible to do so. A long period of free-riding on the contributions of others should garner one social opprobrium at the least, and quite possibly taxes or fines, though perhaps not directly forced labor out of respect for bodily autonomy.

It might be objected that if these non-voluntary obligations are enforceable, then bodily autonomy is being sacrificed to community whenever the obligation is enforced. Social opprobrium is coercive, after all, and so are taxes and fines. While this level of violation of bodily autonomy does seem inevitable, there are two reasons that connected self-ownership is nonetheless still to be preferred to atomistic self-ownership on this point: first, because atomistic self-ownership maintains a false metaphysical theory of the self; and second, because the atomistic self-ownership theory leads also to violations of bodily autonomy by omission rather than commission. That is, some persons in need of care will either be neglected or coercion will play a role in determining who will provide care. Where no-one will provide care, it falls to the one whose oppressive upbringing and social power makes her the most subservient and dutiful. Caregivers who thus step into the breach when no-one else will provide care are doing so under duress, not voluntarily. While the atomistic self-owner theory will call this voluntary care, feminist work has enabled us to see that it is in fact a non-voluntary response to an unequal, socially created sense of duty (Folbre 1994).

Other aspects of the maximal set of rights are similar to those of the self-owner ideal. The connected self has compensation rights if anyone violates the self's bodily autonomy against her permission and enforcement rights to protect and defend these rights against incursion. The connected self has the right to transfer these rights to others by sale, rent, gift, or transfer and immunities to the non-consensual loss of these rights. The connected self will incur greater obligation to help others in their protection and enforcement of these rights, however, since the connection to others means that the loss of rights for one means a loss of rights for others as well.

Such a libertarianism of connected selves, if generally accepted, will give up the apparent freedom of isolation but in return will gain the ability to count on the help of others by motivating in the community a broader-based sense of obligation and desire to uphold a community as essential for the connected self's very existence. So it could avoid the problem of the drowning child, because there are affirmative obligations that a connected self must perform. To leave the drowning child to drown destroys trust within a community and undermines the connections that constitute selves within it. This obligation to uphold trust must have its limits, which are set by the imperative to uphold bodily autonomy. But exploring those limits is beyond the scope of what I can do here.

The problem of trivial infringements likewise could be solved with the libertarianism of connected selves because of this balancing of right and obligation. Trivial infringements do not seriously undermine bodily autonomy, and yet it is arguably necessary to tolerate them in order for there to be a workable social order. Take the example of putting out a fire that sends a small bit of stone 100 yards away, where it lightly flicks my hand. This is a minor infringement of my bodily autonomy that must be tolerated in order for there to be people willing to help or even interact with each other.

My goal in this chapter has not been to argue for or against libertarianism but rather to critique the atomistic self of the libertarian self-ownership thesis and to ask whether there is a conception of self-ownership that could be metaphysically sound, acceptable to a feminist, and still support libertarianism. This final section of the paper has merely gestured in the direction of the latter task. I have argued that a metaphysically sound, feminist conception of self requires that we see the self as inevitably and essentially connected to others rather than as an atomistic, complete individual free of all debts to any others or society. A libertarianism of connected selves needs further consideration to decide whether this could be a form of libertarianism at all or whether it is better viewed as a negation of libertarianism. However, it may be the case that accepting the thesis of connected self-ownership not only fulfills the first two goals but also could have benefits in defending libertarianism against some of its common objections.

NOTES

1. An early version of this paper was presented at the Central States Philosophical Association meeting in Lexington, KY on 6 November 2015. I am grateful for comments from the audience and especially to Anita Superson for the opportunity to present the paper as the keynote. I am also grateful to Rafael Martin for help with the initial research for this paper.
2. It is telling, I think, that Vallentyne and van der Vossen (2014) list compulsory military service but not rape or enforced pregnancy as kinds of slavery that self-ownership rights protect against. Rothbard is an exception to this rule. He argues that the right to abort is implied by self-ownership (1998: 98).

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10

Self-Love, Social Cooperation, and Justice

Eric Mack

1 INTRODUCTION

This essay is more an excursion into the history of ideas than into intense philosophical argumentation. Still, it has an overarching philosophical theme. That theme involves a contrast between two conceptions of cooperation – especially economic cooperation. This contrast is intended to cast a very favorable light upon one of these conceptions and a very unfavorable light upon the other.

On one conception cooperation does not at all require – indeed, characteristically does not involve – a shared end or a unity of purpose among the cooperating parties. On this conception, the fact that the respective parties are each moved by self-interest or the prospect of personal advantage or some other highly individualized end, such as benefits for their own family and friends, does not at all inhibit cooperation among those parties. On this conception, individuals do not have to override or transcend their partiality on behalf of their separate and distinct ends for cooperation among them to flourish. Nevertheless, within this conception, some motivational element beyond the parties' pursuit of their separate and distinct ends is needed for cooperation to thrive. That further element is general and reciprocal compliance with constraining norms, which, to use the common metaphor, constitute the rules of the economic cooperation game. It is the expectation of reciprocal compliance with these rules of the game that enables parties who do not share ultimate ends to play the game with one another to mutual advantage. Friends of this conception of cooperation characteristically take these rules to be basic principles of justice. I will refer to this as *the separateness of ends conception* of cooperation or, for short, *the separateness conception*.

On the other conception, cooperation – or at least stable and ongoing economic cooperation – requires that the parties to cooperative interaction share some unifying end. There must be some common goal that they all seek to achieve, some guiding unity of purpose. If parties only bring their own separate and distinct ends to the table, cooperation among them will not really be possible. Assuming that we start out as individuals with separate and distinct ends, on this conception, cooperation requires a fundamental transformation of our motivational structure. Each party must come to care about the other party's attainment of her ends as much as he cares about his attainment of his own ends; or in some other way they must move toward unity of purpose. The sort of constraining rules or principles of justice that play so central a role according to the separateness conception can at most play a secondary, heuristic role according to this second conception. I will call this second conception *the unity of purpose conception* – or, for short, *the unity conception*.

These two conceptions of cooperation adhere to two radically different ways of dealing with the separateness of the interests and ends of prospective cooperators. Friends of the separateness conception envision the *addition* of constraining principles or rules (of the interaction game) that channel individuals with their separate interests and ends away from conflictual interaction and toward cooperative interaction. In contrast, friends of the unity conception envision the *substitution* of some common goal for the separate interests and ends with which the parties approach opportunities for interaction.

Section II of this essay describes the articulation of the separateness conception in Hugo Grotius' *The Rights of War and Peace* and David Hume's *A Treatise of Human Nature*. Section III points to John Stuart Mill's subscription to the unity conception in *Utilitarianism*. In my concluding section IV, I tip my hat to F. A. Hayek, who did more in the twentieth century than anyone else to renew appreciation for the separation conception and many kindred ideas.

2 THE SEPARATENESS CONCEPTION

In his enormously influential 1625 work *The Rights of War and Peace*,[1] the Dutch moral and legal theorist Hugo Grotius set out to create a new theory of natural law and natural justice, a new theory of property rights, a new account of state authority and its limits, and a new account of just war and justice in the conduct of war. At the beginning of this massive work, Grotius takes note of the doctrine that individuals seek and have reason to seek only their own personal advantage. He says that, if this doctrine is correct, his entire project – especially his advocacy of certain principles of justice – will be undermined. Hence, he must rebut the view that individuals only go for and only rationally go for their personal advantage.

Grotius focuses on the Greek skeptic, Carneades, who held (in Grotius' words) that,

> Nature prompts all Men … to seek their own particular Advantage: So that either there is no Justice at all, or if there is any, it is extreme Folly, because it engages us to procure the Good of others, to our own Prejudice.
>
> (Grotius 2005: 79)

According to Carneades, either there is no justice because all human action necessarily is simply a matter of people pursuing their own interests, or there is such a thing as justice – which sometimes calls for one not to pursue one's own advantage; but to pursue such justice rather than personal advantage is folly.

Grotius rejects Carneades' conclusion by pointing to a further and different type of motivation that Grotius takes to be unique to human beings.[2] Grotius calls this motivation the "Desire of Society." He says that this desire is

> a certain inclination to live with those of his own Kind, not in any Manner whatsoever, but peacefully, and in a community regulated according to the best of his Understanding … Therefore the Saying, that every Creature is led by Nature to seek its own private Advantage, expressed thus universally, must not be granted.
> (Grotius 79–81)[3]

Moreover, in human beings, the satisfaction of this "exquisite Desire of Society" is attained through "a Faculty of knowing and acting, according to general Principles; so that what relates to this Faculty is not common to all Animals, but properly and peculiarly agrees to Mankind (Grotius 84–5).

So, Grotius is *not* saying that the Desire of Society is a counterbalancing or even overriding altruistic desire to promote the well-being of other people. Grotius' response to Carneades is not that everyone or nearly everyone cares deeply about everyone else or nearly everyone else. Instead, Grotius broadly *accepts* the pervasiveness and the rationality of individuals pursuing their own interests and ends. Carneades' claim, *"expressed thus universally,"* is not granted because, a*side from* being moved directly by considerations of self-interest, individuals are moved by a "Disposition to Society" (Grotius 86n2) which is *an inclination to live peacefully with others in accord with principles that our Understanding recommends to us as societal norms*. Our Understanding can detect certain norms which will provide a framework for a peaceful and desirable community; and the Desire of Society is the inclination in us to abide by these principles which our Reason can detect. This is the way in which "a Disposition to Society" and "Reason" *combine* to make peaceful and desirable community possible (Grotius 86n2).

What norms does Reason especially commend to us? Grotius' answer seems to be that Reason recommends principles compliance with which it creates a social environment that is conducive to everyone's pursuit of their particular good. Grotius refers to this social environment in a number of different ways, for example, as the "Union of Mankind" or as the "Maintenance of Society." Grotius cites Seneca's remark, "Take away the Disposition to Society, and you will at the same Time destroy the Union of Mankind, on which the Preservation and Happiness of Life depend" (Grotius 86n2). Grotius refers to the principles that we are inclined to obey because of our Desire of Society as "Laws of Nature," and he asserts that "People which violate the Laws of Nature break down the Bulwarks of their future Happiness and Tranquillity" (Grotius 95). According to Grotius, it is "Folly" to act contrary to these Laws of Nature because, in seeking some "present Advantage," a man "saps the Foundation of his own perpetual Interest," (Grotius 95) which is "the Maintenance of Society" (Grotius 91).[4]

We are rationally disposed to abide by these Laws of Nature even though a short-sighted calculation of our interests might lead us to violate those principles. According to Grotius, we are subject to "Temptations" – "from Avarice, or Lust, or Anger, or imprudent Pity, or Ambition." Succumbing to these temptations leads us into "the greatest Injuries," for such submission undermines "Human Society," which is crucial to the well-being of each of us. In contrast, compliance with Natural Right or the principles of justice preserves "Human Society inviolable" (Grotius 121):

> it must … be agreeable to human Nature, that according to the Measure of our Understanding we should … follow the Dictates of a right and sound Judgment, and not be corrupted either by Fear, or the Allurements of present Pleasure, nor be carried away violently by blind Passion. And whatsoever is contrary to such a Judgment is likewise understood to be contrary to Natural Right, that is, the Law of our Nature.
> (Grotius 87)

So, Reason detects principles, compliance with which creates a structure of interaction among human beings that benefits each of us in terms of our likely attainment of our particular ends.

However, our desire for our own particular ends does not directly motivate us to comply with the principles that sustain this social structure. If we were motivated only by such direct considerations of private advantage, we would often act contrary to these principles and thereby undermine our own preservation, happiness, and tranquility. Fortunately for all of us, we also have the Desire of Society, which directly motivates us to abide by principles that Reason understands must be abided by if the background framework for our personal well-being, "Human Society," is to obtain.

What are these norms of "Natural Right" that are the "Bulwarks" of our happiness and tranquility? According to Grotius, the "Foundation of Right properly so called" consists in

> the Abstaining from that which is another's, and the Restitution of what we have of another's, or the Profit we made by it, the Obligation of fulfilling Promises, the Reparation of a Damage done through our own Default, and the Merit of Punishment among Men.
> (Grotius 86)

"Right properly so called" forbids infringements upon others' property, mandates the payment of restitution for such infringements, forbids non-fulfillment of agreements, and mandates the payment of reparations for damages done through violations of agreements; it also upholds the punishment of blameworthy violators of rights. Putting aside punishment, "Right properly so called" affirms the rights of property and contract and the obligations correlative to those rights. Compliance with this Right "consists in leaving others in quiet possession of what is already their own, or in doing for them what in Strictness others may demand" (Grotius 88–9). Grotius' editor, Jean Barbeyrac, supplies the following accurate expansion of Grotius' stance:

> When we forbear striking, wounding, robbing, injuring or defaming any one, we only *leave him in quiet Possession of what was his own*; for the good Condition of his Limbs, His Goods, and Reputation, are actually his own, and no Man has a Right to dispossess him of them, while he has done nothing to deserve such Treatment. When we repair the Damage he has sustained in his Person, Goods, or Reputation, whether designedly or through Inadvertency, we restore what we had taken from him, and what was his own, *which he had a strict Right to demand*. When we keep our Word to him, when we perform our Promise, or make good

> an Engagement, we do not indeed restore, what he was once in actual Possession of; but we perform *what he might strictly require at our hands*.
>
> (Grotius 88–9n7)

Justice limits the *range* of actions through which individuals may engage in the pursuit of their personal advantage while leaving considerable scope for persons to pursue their private interests. Grotius cites the Greek philosopher Chrysippus (c. 280–227 BC) who concludes that "*There is no Injustice in seeking one's own advantage; but it is contrary to Equity to take away from another*" (Grotius 156n8). The principles of justice are like traffic rules. They limit the ways one can go about getting one's vehicle from one point to another, but they do not tell anyone where she must go. Moreover, each driver gains greatly in her ability to get wherever she wants to go by all other drivers being constrained in how they can go about getting to their own particular destinations.

So, for Grotius, the reconciliation of self-love on the one hand and cooperation and justice on the other is provided by the fact that each agent's personal advantage is best served by that agent's strict compliance with the norms that underwrite cooperation and are the principles of justice. However, that strict compliance will not obtain if agents are only motivated by the prospect of personal advantage; personal advantage will only be attained if individuals are also steadily motivated by the Desire of Society. Were it not for the Desire of Society, we would make each decision about whether to abide by the principles of justice or defect for the sake of personal gain purely on the basis of our perceived self-interest, and we would expect others to approach their decisions between compliance and defection in the same way. And then compliance would fall away and, along with it, each agent's attainment of his personal interests.

Thus, it is crucial for Grotius to maintain that individuals have reason to comply with the principles of justice above and beyond strategic calculations of personal advantage. And this is exactly Grotius' claim. It is an error to "regard nothing in Right but the Profit arising from the Practice of its Rules." And "Right has not Interest merely for its End." (Grotius 97) According to Grotius, this is because "though there were no Profit to be expected from the Observation of Right, yet it would be a Point of Wisdom, not of Folly, to obey the Impulse and Direction of our own Nature" (Grotius 95), that is to say, to obey our Desire of Society. Grotius appeals to the proto-Lockean idea that our fundamental moral equality precludes our acting to the prejudice of one another.[5] It is a Point of Wisdom to be circumspect in one's conduct toward others because "Nature has made us all akin: Whence it follows, that it is a Crime for one Man to act to the Prejudice of another" (Grotius 92).

Grotius does not offer a full account of how compliance with one another's property and contractual rights underwrites a Union of Mankind that is advantageous to everyone. Still, it is clear that he thinks that a crucial part of such an account is the fact that respect for property and contractual rights is crucial to the existence and expansion of commerce. Since "every Man in particular [is] weak in himself; and in Want of many Things necessary for living commodiously" (Grotius 93–4), Reason advises us to seek out mutually beneficial interactions and exchanges. Commodious life requires many different sorts of goods produced out of many different sorts of natural materials. However, in each particular region of the world, only relatively few of the natural materials and relatively few of the specialized skills needed to acquire and enrich those materials for commodious life are present. Hence, for everyone, trade – especially among nations – is of crucial importance for the attainment of their particular interests. Grotius repeatedly cites the Church Father, Saint Chrysostrom,[6] who held that the existence of the Mediterranean Sea as an avenue for trade among the many nations around that sea was a sure sign of God's benevolence. For the Mediterranean provides the physical pre-condition of commerce. The Desire of Society – combined with the Understanding's grasp of the norms that make human society possible – provides the motivational and moral pre-condition for commerce.

Finally, according to Grotius, what drives trade is "Profit," not friendship. Individuals (or nations) develop and improve upon the natural materials that they find at hand in order to profit from exchange with others who are likewise developing and improving upon the natural materials they find at hand in order to profit from exchange . . . and so on. Friendship *does* enter into Grotius' story. However, friendship comes in not as the motivation that engenders mutually advantageous trade but, rather, as the consequence of commerce. Grotius cites the second-century Jewish philosopher, Philo, according to whom

> Under a good Government, Merchant Ships sail securely on every Sea, in Order to carry on Trade whereby different Countries from the natural Desire of Society mutually communicate what each affords peculiar to itself. . . . [The Sea] furnishes [all nations] with the Means of supplying one another's Wants; and forming Acquaintances and Friendships by the Exchanges they make.
>
> (Grotius bk. II, 443–4)

Let us move on to David Hume's much better known – but highly Grotian – account of cooperation and justice in Book III ("Of Morals") of his *A Treatise of Human Nature* (1740).[7] In a very famous passage in the *Treatise*, Hume argues that, compared to all other species of animals, human beings are very poorly endowed by nature with the means to satisfy their natural needs and passions.[8] According to Hume, all other species fall into two categories. There are species that have very elaborate needs – such as lions, who need to consume large amounts of meat to stay alive – but who also have very elaborate natural means to satisfy these needs, for example, in the case of lions, great speed, sharp claws, and powerful jaws. And there are species that have very modest natural means to satisfy their needs – such as sheep, who can only ramble along and get their mouths down to the ground – but who only have modest needs, for example in this case, for mouthfuls of grass. For species in both of these categories, there is a nice fit between the natural needs of the species and the natural means possessed by members of the species for satisfying those needs.

Human beings are the exception. We have highly elaborate natural needs – needs for all sorts of food, shelter and clothing and for security against rampaging lions. And we have few natural features or powers to provide for these needs. We do not have nice thick fur or sturdy shells or sharp claws or teeth or great speed. "In man alone, this unnatural conjunction of infirmity, and of necessity, may be observ'd in its greatest perfection" (Hume 312).

Fortunately, human beings can overcome their individual natural weaknesses and satisfy their individual needs in a way that is not much available to non-human animals. The human route to the fulfillment of our respective interests is cooperative interaction.

"'Tis by society alone he is able to supply his defect, and raise himself up to an equality with his fellow-creatures, and even acquire a superiority over them" (Hume 312). By "society," Hume has in mind the sort of network of cooperative interaction that Grotius had in mind when he presents commerce as our means of satisfying one another's wants. Also, Hume follows Grotius in thinking that such a cooperative network depends upon people generally complying with certain rules – certain principles of justice – and on people generally expecting such compliance from others. This expected general compliance with the principles of justice is the social environment out of which cooperation arises.

However, according to Hume, there are severe motivational barriers to our acting justly and to our expecting just actions from others. (There is no Desire of Society that *itself* prompts us to abide by norms that our Understanding identifies as essential to Human Society.) These barriers to our cooperatively satisfying our *natural* needs consist in our *natural* motives for action. According to Hume, our two fundamental natural motivations are selfishness and limited generosity. Each of us has a very strong concern for our own private well-being, and each of us also has a strong concern for a limited number of other individuals who are close to us – for example, our friends and family members – but progressively less concern for more distant people.

Hume maintains that *both* our natural self-love *and* our natural localized benevolence are barriers to cooperative relationships with others. It is by seeing what we need in order to overcome these barriers to cooperative interaction that we discover what the principles of justice are. To begin with, Ben's natural selfishness and Jen's natural selfishness will dispose each to grab whatever possessions of the other tickle his or her fancy. Further, Ben and Jen's recognition that each is so disposed will lead each of them to expect to be unable to hold on to and enjoy the possessions they might briefly acquire. The more individuals there are rampaging around with this disposition to grab whatever possessions of others tickle their fancy, the more everyone will expect to be unable to hold on to and enjoy what he or she comes briefly to possess. The society constituted by these people – if we can call it a society – will lack what Hume calls "stability of possession." And, according to Hume, the chief consequence of there being little or no stability of possession is that individuals will have little or no incentive to invest their time, talent, or effort in the production of goods that might tickle their own or other people's fancy.

In addition, the natural selfishness of Ben and Jen makes each of them totally unreliable as trading parties. For each will be disposed to cunningly extract a service or transfer from the other party without himself or herself providing the agreed upon reciprocal service or transfer. When fancying a meal, each will be disposed to grab that cheeseburger at the fast food drive-through window and drive away without paying. When fancying some cash, each will be disposed first to collect the payment for the cheeseburger through the drive-through window and then slam the window shut. All or almost all possible mutually beneficial exchanges of cheeseburgers for cash will go unrealized because each party knows about the other's unreliability. So, no one will plant or sow or cook or manufacture cheeseburgers or drive-through windows.

What about our second natural appetite, viz., our localized generosity? Hume points out that our special concern for those close to us – our beloved family members and friends – will similarly undermine cooperative non-predation and exchange. If you cultivate some beautiful flowers, I will be disposed to make off with them so that I can present them to my flower-loving spouse. If I assiduously raise a nice meaty pig, you will be disposed to make off with it to feed your pork chop–loving daughter. I will be disposed to drive off without paying for that cheeseburger so that I can still afford diapers for my infant child. You will be disposed to slam the drive-through window shut if I have been so foolish as to hand over the money first so that you can pass the cheeseburger over to your infant child. And, of course, the fact that we each anticipate that the other will attempt to welch on the deal will lead each of us not even to come to the bargaining table and not even to produce the goods or services that we would bring to the table if we thought honest exchange was available. Thus, according to Hume, all (or nearly all) of the mutually advantageous face-to-face exchanges that might take place among human beings will not arise as long as we merely act in accord with our natural selfishness or natural localized benevolence. And, of course, mutually beneficial exchanges that would extend over time – exchanges in which Ben would deliver some service to Jen today in exchange for Jen delivering some good to Ben in six months – are even more obviously undercut.

Notice that, with a nice extra twist, Hume has *restated* the problem posed by Carneades. The special twist is that even – *or especially* – if we add localized benevolence to self-love, cooperative and just conduct are undermined. How, then, does Hume answer this restated challenge from Carneades? Hume, like Grotius, seeks to supplement our immediate goal-oriented desires with some further, rule-oriented motivation that is activated by our Understanding. However, Hume does not appeal to a distinct *natural* motivational structure – like Grotius' Desire of Society – that is informed by rules supplied by the Understanding. Rather, at least in the first stage of Hume's account, rules supplied by the Understanding *better inform* the natural passions of self-love and localized benevolence. In their better informed condition, these passions will foster cooperative compliance rather than anti-cooperative defection.

Things go very badly for people when they act only on their uninformed natural sentiments of self-love and localized benevolence precisely because these people are not compliant with the rules that make human cooperation possible. Since cooperation is our best means to advance our personal interests and the interests of those near to us, we can best satisfy our natural desires by adopting rules that limit the ways in which we may seek to satisfy those desires. Recall how we are each better able to get to our respective personal destinations if we generally abide by certain constraints in our driving, for example, stopping at red lights.

Suppose everyone complies with the rule "don't seize the fruits of other people's labor." General compliance with this "stability of possessions" rule both assures individuals that they will enjoy the fruits of their own labor *and* that they had better engage in productive labor because the option of seizing the fruits of others' labor is not available. The result of the expectation of such compliance is that everyone has an enormously increased incentive to sow and to reap and to discover better and better methods of sowing and reaping and to invest in those better methods. As a further consequence, everyone is likely to be better off and to have friends and relatives who are better off than they would be absent general compliance with the stability of possessions rule.

However, our understanding reveals that we will all be even better off with the addition of two further rules. Hume observes that, if each person labors fruitfully on the material resources immediately at hand to her, "persons and possessions must often be very ill adjusted" (Hume 330). One person (or nation) will produce lots of corn – much more than she (or it) can consume – while another person (or nation) will produce lots of herring – much more than he (or it) can consume. Unalterable stability of these possessions will be mutually disadvantageous. Thus, in another passage highly reminiscent of Grotius, Hume maintains that stability of possession must be supplemented with "the translation of property by consent."

> Different parts of the earth produce different commodities; and not only so, but different men both are by nature fitted for different employments, and attain to greater perfection in any one, when they confine themselves to it alone. All this requires a mutual exchange and commerce; for which reason the translation of property by consent is founded on a law of nature, as well as its stability without such consent.
>
> (Hume 330)

However, the rules of the stability of possession and the transference of property – even if strictly observed – "are not sufficient to render [men] as serviceable to each other, as by nature they are fitted to become" (Hume 334). The reason for this is that many mutually beneficial exchanges cannot take place at one point in time because the goods or services to be exchanged will not be available or needed at the same time. This problem is overcome by the addition of a third rule, "the obligation of promises," which requires that each agent fulfill her promises or contracts. If there is an expectation of general compliance with this rule, I will help you harvest your crop in June because of my assured expectation that you will fulfill your promise to help me with my crop in August. And, through this, we will each be serviceable to the other.

Compliance with these three rules is not natural in the sense of springing immediately from our natural and original passions. Rather, according to Hume, our understanding reveals to each of us that our separate and partial ends will best be advanced in a world in which there is general compliance with all three of these rules. Neither moralists nor politicians can "give a new direction to those natural passions," but they can "teach us that we can better satisfy our appetites in an oblique and artificial manner, than by their headlong and impetuous motion" (Hume 334). We each come to value general compliance with these rules – including our own compliance – because we each come to see that such a social environment is conducive to our own good and to the good of those we especially care about. We each at least tend to abstain from plundering the fruits of our neighbor's labor, to hand over the cheeseburger after the cash has been passed through the drive-through window, and even to abide by our long-term agreements. In these ways, we each become enormously serviceable to others.

This increase in our cooperative conduct does not depend upon any alteration in our basic, personal motivation. When I appreciate the mutual benefits of general compliance with the principles of justice and proceed to act in compliance with them,

> I learn to do a service to another, without bearing him any real kindness; because I foresee, that he will return my service, in expectation of another of the same kind, and in order to maintain the same correspondence of good offices with me or with others. And accordingly, after I have serv'd him, and he is in possession of the advantage arising from my action, he is induc'd to perform his part, as foreseeing the consequences of his refusal.
>
> (Hume 334–5)

For Hume (as for Grotius), our vital need for cooperation does not require "correcting the selfishness and ingratitude of men." It does not require that we "new-mould the human mind, and change its character in such fundamental articles" (Hume 334). Rather, the principles of justice enable us to live at peace and positively to cooperate to mutual advantage with a significant range of people who do not share our pleasures or passions or plans of life. Single acts of injustice – such a retaining a wallet not voluntarily transferred to one or violating a particular contractual agreement – may appear to advance public or private interests. But, according to Hume, this is only if one focuses on the action's momentary effects. Viewed more broadly,

> this momentary ill [from acting justly and thereby forgoing some momentary gain] is amply compensated by the steady prosecution of the rule, and by the peace and order, which establishes society. And even every individual person must find himself a gainer, on ballancing the account; since without justice, society must immediately dissolve, and every one must fall into that savage and solitary condition, which is infinitely worse than the worst situation that can possibly be suppos'd in society.
>
> (Hume 319)

Recall here Grotius' claim that it is always "Folly" for an individual to act contrary to the Laws of Nature, that is contrary to the promptings of the Desire of Society, at least in part because, in seeking some "present Advantage," a man "saps the Foundation of his own perpetual Interest" (Grotius 95).

Still, for Hume, our motivating sentiments do evolve in a certain way. Through sympathy, we acquire an artificial sentiment on behalf of justice and against injustice. This evolution is necessary because the combination of our natural passions and our understanding may not suffice to generate compliance with the cooperative rules when the circle of people with whom we interact grows larger.

> To the imposition, then, and observance of these rules, both in general, and in every particular instance, [people] are at first mov'd only by a regard to interest; and this motive, on the first formation of society, is sufficiently strong and forcible. But when society has become numerous, and has encreas'd to a tribe or nation, this interest is more remote; nor do men so readily perceive, that disorder and confusion follow upon every breach of these rules, as in a more narrow and contracted society.
>
> (Hume 320)

Hume seems to hold that, even within an extended social order, one's self-love and localized benevolence will in fact always be best served by reciprocal compliance with the principles of justice. No unilateral defection from these principles ever actually serves these passions. However, in many particular cases, the gains to one's interests that will derive from one's compliance and the losses to one's interests that will derive from the "disorder and confusion" occasioned by one's non-compliance will not be readily perceived. Thus, in a more extended social order, these passions may combine with our short-sightedness to induce counter-productive defections.

For Hume, this short-sightedness is counter-balanced by sympathy

> when the injustice is so distant from us, as no way to affect our interest, it still displeases us; because we consider it prejudicial to human society, and pernicious to every one that approaches the person guilty of it. We partake of their uneasiness by *sympathy*.… Thus *self-interest* is the original motive to the *establishment* of justice: But *sympathy* with *public* interest is the source of the *moral* approbation, which attends that virtue.
>
> (Hume 320–1)

Our partaking of the uneasiness of those subject to injustice yields a generalized disapprobation of unjust actions. This disapprobation makes injustice – or the disposition toward injustice – a *vice*, while approbation of justice makes justice – or the disposition toward justice – a *virtue*. And the perception of injustice as a vice and justice as a virtue reinforces our disposition to abide by the principles of justice and sustains our expectation of reciprocal compliance with these norms in more extended social orders. Nevertheless, Hume's appeal to sympathy involves no shift at all in the view that fostering cooperation depends upon fellow-feeling, empathy, or commonality of purpose *among the cooperating parties*.[9]

3 THE UNITY CONCEPTION

The separateness conception stands in stark contrast to the surprisingly common view that cooperation among human beings requires shared ends and unity of purpose. The renowned nineteenth-century philosopher John Stuart Mill is one of many thinkers who believed that, in order for people to cooperate, they have to have shared ends and to perceive their actions as being directed toward those shared ends.[10] Mill's stance here seems to be an application on the micro level of his conviction that desirable social order depends upon our identification of a *summum bonum* to which each member of society will be devoted (Mill 3–5).[11]

Mill held that all cooperative interaction – that is, not a matter of a master ordering around his slaves – depends upon the cooperating parties having "the desire to be in unity with [their] fellow creatures" (Mill 40). For Mill, this unity with our fellow creatures takes the form of each of us according equal importance to each other individual's interests. "Society between equals can only exist on the understanding that the interests of all are to be regarded equally" (Mill 40). Cooperation will be achieved insofar and only insofar as "each individual … never conceives himself otherwise than as a member of a body; and this association is riveted more and more, as mankind are further removed from the state of savage independence" (Mill 40).

According to Mill, if Ben and Jen each focus on his or her own interests, they will enjoy a type of independence, but it will be a *savage* independence, not a cooperative independence.

> So long as they are cooperating, their ends are identified with those of others; there is at least a temporary feeling that the interests of others are their own interests. . . . [The cooperative agent] comes, as though instinctively, to be conscious of himself as a being who of course pays regard to others. The good of others

> becomes to him a thing naturally and necessarily to be attended to, like any of the physical conditions of our existence.
>
> (Mill 41)

According to Mill, there will be "discordance in the general direction of their conduct in life" as long as individuals do not acquire an "entireness of sympathy with all others" (Mill 42). In Mill's mind, the alternative to the cooperation grounded in sympathy and unity of purpose is zero-sum rivalry. The alternative to unity of purpose based on everyone having an equal regard for everyone else's interests is each individual "think[ing] of the rest of his fellow creatures as struggling rivals with him for the means of happiness, whom he must desire to see defeated in their object in order that he may succeed in his" (Mill 42).

Mill is so taken with the idea that cooperation among human beings requires unity of purpose that he is attracted by the proposal that 'this feeling of unity . . . be taught as a religion" – that "the whole force of education, of institutions, and of opinion [be] directed to giving to the service of humanity . . . both the psychological power and the social efficacy of a religion" (Mill 42). Mill was attracted to the idea – articulated but rejected by Hume – of invoking prestige of "omnipotence" to enable society to "new-mould the human mind, and change its character in [its] fundamental articles" (Hume 334). However, on reflection, Mill does not endorse this proposal out of concern that the systematic inculcation of a religion of humanity would "interfere unduly with human freedom and individuality" (Mill 42).[12]

4 CONCLUSION

In the twentieth century, the theorist who most synthesized and extended the insights of Grotius and Hume (and Adam Smith) was F. A. Hayek. Hayek held that we cannot identify a *summum bonum* that we should all coordinate to promote.[13] There is no common purpose – no social purpose – in the service of which individuals should be organized. One important implication of this is that there is no overarching societal outcome toward which central economic planning should aim.[14] How, then, can economic coordination to mutual advantage arise among diverse individuals who neither have had their minds "new-moulded" nor have been assigned specific tasks or a role within a central plan? Hayek's Grotian–Humean answer is that economic coordination to mutual advantage will arise to the extent that these individuals expect reciprocal compliance with certain constraining rules – in particular, Grotian–Humean principles of justice that recognize and require respect for property and contractual rights. Such rules

> create an order even among people who do not pursue a common purpose. The observance of the rules by all will be important for each because the achievement of his purposes depends on it, but the respective purposes of different persons may be wholly different.
>
> (Hayek 1973: 99)

Observance of such rules is not a matter of individuals adopting a unifying purpose. For individuals are not aiming at that convergence any more than individuals who are abiding by the rules of the road are aiming at convergence upon compliance with those rules as they proceed on their journeys. Moreover, compliance with such constraining norms is not in any ordinary sense a means to the respective diverse ends of the compliant agents. It is not a means in the way that pressing on the gas pedal is a means of getting to one's vehicular destination. Rather, general rule compliance establishes a social setting – a framework – within which individuals are free to employ selected means toward the attainment of their diverse ends. Thus, Hayek asserts that "In the ordinary sense of purpose law [he means the fundamental rules of just conduct] is not a means to any purpose, but merely a condition for the successful pursuit of most purposes" (Hayek 1973: 113).

Were we purely purpose-seeking beings – beings who act solely for the sake of our ultimate (and distinct) ends or our perceived means to those ends – we would not (sufficiently) converge on compliance with the norms that facilitate cooperation to mutual advantage. And we would have to conclude that either there really is no such thing as justice or, if there is, compliance with the norms of justice is folly. However, according to Hayek, we are not purely purpose-seeking beings because we have a disposition toward rule-compliance. "Man is as much a rule-following animal as a purpose-seeking one" (Hayek 1973: 11). Indeed, as Hayek sees it, we have evolved as beings with this disposition – this Desire of Society – precisely because this rule-following disposition is so crucial for cooperation to mutual advantage.

The primary point for this essay is Hayek's convergence with Grotius and Hume in recognizing that what we need for economic cooperation is mutual compliance and rules that are protective of property, trade, and contract rather than unity on substantive ends. This means that cooperation is possible with any other agent who is willing to abide by the rules of the game, no matter what particular goals that agent hopes to achieve. According to Hayek, pluralist, liberal, inclusive society

> arose through the discovery that men can live together in peace and mutual benefitting each other without agreeing on the particular aims which they severally pursue. The discovery [was] that . . . substituting abstract rules of conduct for obligatory concrete ends made it possible to extend the order of peace beyond the small groups pursuing the same ends, because it [that substitution] enabled each individual to gain from the skill and knowledge of others whom he need not even know and whose aims could be wholly different from his own.
>
> (Hayek 1976: 109)

In a society of increasing diversity of ends, it is vital to recognize that pluralism of ends does not threaten cooperation as long as we avoid conceptions of justice that demand that we march in lockstep toward some particular party's conception of what the sanctified ends are. Only insofar as we recognize that cooperation does not require unity of purpose can we avoid Mill's terrifying conclusion that people with their own distinct and divergent purposes are our enemies.

NOTES

1. Except where otherwise noted, all page citations to Grotius are to Book I of Grotius 2005.
2. Lots of animals show some degree of sympathy for, example, their young. Nevertheless, Grotius strongly ties the Desire of Society to the unique human capacity to use speech and to act on general principles.

> *Man* . . . [has] . . . *an exquisite Desire of Society, for the Satisfaction of which he along of all Animals has received from Nature a peculiar Instrument, viz., the use of Speech; I say, that he has, besides that, a Faculty of knowing and acting, according to general Principles, so that what relates to this Faculty is not common to all Animals, but properly and peculiarly agrees to Mankind*.
>
> (Grotius 84–5)

3. Our "Sociability" is our "care of maintaining Society in a Manner conformable to the Light of human Understanding" (Grotius 85–6).
4. Grotius' basic answer to the fool who denies the rationality of justice – in particular, the rationality of one's abiding by one's agreements – is that one's failing to abide by one's agreements when defection seems conducive to "some present Advantage" will exclude one from needed confederations of mutual support (Grotius 94–5, 97).
5. As Locke puts it,

> creatures of the same species and rank, promiscuously born to all the same advantages of nature, and the use of the same faculties, should also be equal one among another without subordination or subjection. . . . being all equal and independent, no one ought to harm another in his life, health, liberty or possessions.
>
> (Locke 1980: §4, §6)

6. According to Saint Chrysostom,

> Can we sufficiently express our great Facility of trading one with another?…God has given us a shorter Road, the Sea, which lies near every Country; that the whole World being considered as one House, we may frequently visit one another, and mutually and easily communicate what each Country affords peculiar to itself; so that each Man who inhabits a small Portion of the Earth, enjoys whatever is produced elsewhere, as freely as if he were Master of the Whole.
>
> (Grotius bk. II, 443n19)

7. All page citations are to Hume 2000.
8. Hume's remarks are strikingly similar to those in a long passage from Seneca's *De Beneficiis* that Grotius cites. Seneca says, "How miserable would Mankind be, if every one lived apart, and had no Resource, but himself" (Grotius 86n2).
9. A fuller explication of the separateness conception would now turn to Adam Smith's further articulation along Grotian and Humean lines in *The Wealth of Nations* (Smith 1981).
10. One finds a similar view in Karl Marx's early essay "On the Jewish Question" (Tucker 1978). In that essay, Marx attacks the idea of individual rights because such rights sanctify individuals' pursuit of their own personal ends. These rights of man are nothing but the rights of egoism. And the pursuit of personal ends that are protected by the rights of egoism necessarily puts people at odds with one another. Only if people see themselves as components of a collectivity, the species-being, and act for the sake of the species-being, will they be able to live together harmoniously.
11. All citations in the text are to Mill 1957.
12. A fuller exposition would examine Rawls' view in *A Theory of Justice* that principles of justice are crucial to social cooperation *not to govern the interaction of the cooperating parties* but, rather, to specify the distribution of the total cooperative social product.
13. See, especially, Hayek's early essay "Freedom and the Economic System" (Hayek 1997 [1939]).
14. Also see Hayek's essays on the socialist calculation debate for his contention that, even if central planners knew what common end planning should serve, they would not be able rationally allocate economic resources to that end (Hayek 1948).

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11

Libertarianism and Exception Rights

Nicolás Maloberti

Within the philosophical literature, libertarianism is typically understood as a theory of justice based on the allocation of two sets of robust individual rights. Ownership rights, both over the self and external resources, constitute the first and most basic set of libertarian rights. Enforcement rights constitute the second set. Their aim is to prevent and rectify violations to individuals' ownership rights. These two basic sets of rights, and the difficulties involved in their specification, have been widely discussed by proponents and critics of libertarianism alike. The purpose of this article is to explore a third set of rights that is not typically understood to constitute an essential element of the libertarian theory of justice: exception rights.[1]

As is the case with individuals' ownership and enforcement rights, exception rights are enforceable moral prerogatives. Exception rights, however, are only supposed to arise under certain types of extraordinary circumstance. Under normal circumstances, the particular ways in which exception rights allow their holders to act are simply blocked by the basic rights of others. Thus, essentially, exception rights are permissions to infringe upon the basic rights of others. Exception rights allow their holders to infringe on others' basic rights only when the circumstances are such that the infringements in question are both necessary for the alleged exception-right holders to overcome a perilous situation for which they are not responsible and not unreasonably costly to others. In this manner, exception rights qualify the robustness of individuals' most basic rights.[2]

It is argued that the recognition of exception rights is necessary for avoiding what are usually perceived as the two main weakness of libertarianism: its distribution insensitivity and its consequence insensitivity. Critically, it is also argued that the recognition of exception rights is grounded on the same commitment to individual sovereignty that is behind the libertarian recognition of both ownership and enforcement rights. The corresponding exceptions to the usual guarantees provided by such basic rights should thus not be understood as an *ad hoc* moderation on the fundamental libertarian commitment to individual sovereignty. Rather, those exceptions should be understood as a different nomological articulation of that same commitment, an articulation that is required due to the special nature of certain types of extraordinary circumstance.

Eric Mack (2015) has provided a similar line of argument in regards to the permissibility of what we would take as trivial rights violations. If libertarian rights were to be regarded as blocking minor intrusions that involve virtually non-existent costs to the holders of those rights and significant benefits for everybody else, libertarian rights would fail to secure the benefits that they are meant to promote. Here, it is argued that the same reasoning applies to certain extraordinary circumstances that are not properly characterized as involving trivial rights violations. Mack argues, however, that the permissibility of trivial intrusions is explained on the basis of a refinement in the location of the boundaries of individual's libertarian rights rather than on an attenuation of them, as it is claimed here in regards to certain kind of non-trivial intrusions.

The merits of Mack's alternative conceptualization of the qualification on the robustness of libertarian rights, as well as whether it is substantively important or not, will be left unexplored in this essay. Initially, however, it would seem that these two different forms of qualifying the robustness of libertarian basic rights are both appropriate to the respective cases to which they are supposed to apply. Exception rights only arise under special circumstances, and the costs that they imposed on others, although small, might not be trivial. Thus it seems natural to refer to the actions they allow as infringing, justifiably, on the rights of others. In contrast, when the alleged infringements involve only trivial intrusions, and since such intrusions are extremely common and virtually unavoidable, it is more natural to hold that no real infringement takes place, as Mack's proposed refinement in the location of the boundaries of individuals' basic rights suggests.

1 FROM MORAL ANARCHY TO LIBERTARIAN RIGHTS

In order to understand the central features of libertarianism, we might think about a situation of "moral anarchy," that is, a situation where individuals do not observe any sort of moral constraint on their self-interested behavior. In moral anarchy, individuals are free to treat others as mere resources for the satisfaction of their own personal goals.[3] Moral anarchy could result in a state of affairs in which a great number of individuals are powerless to arrange their lives in the way they want. Having different goals and preferences regarding how best to achieve those goals, and having a natural tendency to care more strongly about the satisfaction of their own goals than the goals of others, individuals under moral anarchy might constantly interfere with one another in their corresponding pursuits.

It is not unusual to treat moral theories as specifying the conditions under which individuals must constrain their self-interested pursuit of goals. Thus, a natural way of characterizing moral theories is to consider them as providing alternative blueprints to escape from the potential consequences of moral anarchy. Basically, these blueprints state what each person should do and why it makes sense for everybody taken collectively, and perhaps even for each person taken individually, to follow those instructions. To be sure, the state of mutual frustration in which moral anarchy might result would tend to generate its own corrective mechanisms through the assistance either of individual prudence or evolutionary pressures. For this reason, the blueprints provided by moral theories might not be actually necessary, in the sense that individuals may be able to escape from moral anarchy even if there were no moral theories that tell them how. The blueprints provided by moral theories are thus best understood as standards of evaluation against which social conventions can be assessed and rectifications proposed.

The blueprint provided by classical forms of utilitarianism would state that, facing moral anarchy, it makes more sense for everybody to adopt the same overall goal: the maximization of total happiness. Alternatively, it might be held that individuals should adopt whatever goal has the maximization of total happiness as a consequence. For it might be the case that by directly aiming at that goal, individuals would fail to achieve it. In any event, if individuals would follow the classical utilitarian blueprint, the conflict that we fear to be ubiquitous in moral anarchy would just dissolve. Yet we might wonder whether classical utilitarianism would fail to address an aspect of the conflict of moral anarchy that is particularly worrisome.

The problem is that the all-consuming conflict we might expect in moral anarchy is replaced by the all-consuming demands of the greatest happiness. While in the former, individuals might be used as resources for the satisfaction of the desires of those who are stronger, in the latter, individuals might be used as resources for the satisfaction of the desires of whoever are those who happen to bring more happiness into the world. Either way, factors that would seem to be ultimately beyond individuals' control would determine whether they would be able to lead their own lives. It is in response to this intuitive failure of classical utilitarianism that rights theories in general, and libertarianism in particular, is best understood.

In contrast to classical versions of utilitarianism, rights theories do not propose to escape from moral anarchy by means of providing a unique goal that all must serve either directly or indirectly. Instead, they propose to protect individuals' pursuits of their own personal goals regardless of their optimality in the maximization of aggregative value. In order to accomplish this, rights theories allocate control to each individual over a specific set or range of actions. These allocations of control allow the individual to perform or refrain from performing the corresponding actions, and they impose on others the obligations not to interfere.[4] Those ranges of actions might then be understood as configuring areas of freedom. Within those areas, the individual is taken to be fully sovereign in terms of what may be done.

Within libertarian theory, individuals' most basic areas of moral freedom are generally specified in terms of ownership rights, that is, in terms of the material objects that those individuals are entitled to control.

That the use and control of our own body is a necessary condition for our agency would seem to be indisputable. If there is a clear case in which we are not able to lead our own lives, it is when we are deprived of control over the bodies in which we are actually embodied. This is the fundamental and uncontroversial sense in which libertarianism sees individuals as self-owners. The precise scope of individuals' self-ownership rights, however, is a more controversial matter.[5]

That individuals' capacity to lead their own lives requires some form of control over objects beyond individuals' own bodies would seem as clear as that it requires significant control over those bodies. For example, under a robust scheme of joint ownership of external resources, each individual would be assigned a claim right against every other, against the use and possessions of those resources. No individual would thus have the liberty to use or possess such resources without the approval of everybody else. As is the case with classical utilitarianism when dealing with moral anarchy, we might then wonder whether joint ownership addresses the conflict that will be generated by a situation of open access to external resources without addressing an aspect of that conflict that is especially worrisome. If the rules of joint ownership were respected, no actual conflict would ever arise. Yet, since everyone has a power to veto another's use of external resources, everyone would have the power to preclude the agency of every other individual. Again, whether individuals are capable of leading their own lives will depend on factors that are ultimately beyond their control. Under a robust scheme of joint ownership of external resources, self-ownership becomes purely formal (Cohen 1995).

Following Locke, libertarian theorists tend to argue that appropriations of natural resources are illegitimate if they do not leave "enough and as good" for others (1967: section 27). The proper understanding of such a proviso is the subject of much disagreement. Its importance, however, would seem to be well-grounded. The reason why individual ownership rights are favored over joint ownership is the idea that an individual's capacity to control external resources should not depend on the approval of others. Some form of guarantee must then exist against the possibility that the appropriating activities of others would put an individual into a similar situation, that is, a situation in which the very possibility of interacting with the external world would be contingent on the approval of others.

Individual sovereignty certainly requires an extensive right to control the uses of our bodies, and for such control to be more than merely formal, it is also necessary that we have unilateral access and control over external resources. "Real," rather than formal, self-ownership, however, only requires exclusive access and control over enough external resources. This is why the commitment to individual sovereignty might not be determinate enough to adjudicate disputes regarding the limits of individuals' ownership rights over external resources. Other types of considerations might have to enter into the discussion as a way of justifying any particular allocation of those limits.

If there are reasons why individuals should be assigned certain areas of moral freedom that others should not interfere with, areas that libertarianism holds are best understood in terms of robust ownership rights, there would certainly be reasons why the corresponding interfering actions should not be given immunity against obstruction. In particular, it would seem that if the assignment of those areas of moral freedom is as important as libertarianism takes it to be, the immunity the infringing actions must lack is the immunity against the use of coercion. Anything short of that will fail to provide the holders of basic rights with a sphere of moral freedom that is not contingent on others' willingness to respect it.

Thus, libertarianism holds that in addition to being assigned robust ownership rights, individuals should be assigned enforcement rights, that is, rights of control over a range of actions, the purpose of which is to deter the infringing actions of others and over which the individual is as sovereign as he is over the area defined by his ownership rights. Those actions included in an individual's enforcement rights can be performed without the individual having to secure the approval of anybody else and with everybody else having a duty not to interfere with their performance so long as they violate nobody else's rights.

The first sort of enforcement right is the right to issue retaliatory threats. Retaliatory threats are threats of harm that are made conditional on the violation of individuals' ownership rights. Thus, the exercise of this enforcement right is supposed to precede the commission of the offense. The second basic enforcement right, the exercise of which is taken to accompany the commission of the offense, is the right to self-defense. The third basic enforcement right is the right to seek restitution, the exercise of which is supposed to follow the commission of the offense. The right to seek restitution involves the right to be compensated for all the damages committed by the offense. Finally, and the most controversial of all, is the right to punish.

2 TWO INSENSITIVITIES OF LIBERTARIANISM

The most fundamental criticisms of libertarianism are related to two forms of insensitivity: distribution insensitivity and consequence insensitivity. Both forms of insensitivity arise from libertarianism's emphasis on voluntary agreement as the exclusive normative mechanism to alter the set of enforceable obligations that arise from the original allocation of basic rights.

In order to appreciate the force of the insensitivity objections, it is useful to draw an analogy with the fundamental line of objection against classical forms of utilitarianism. Classical utilitarianism holds that an act is morally right if, and only if, that act maximizes aggregate welfare. Under certain conditions, however, slavery could bring about a state of affairs in which aggregate welfare is maximized. The important point to note is that whether or not this is a genuine possibility is not really what matters. For our assessment of the correctness of the standard of evaluation itself, what matters is that we can conceive of such a possibility, and that we tend to think that there are things that cannot be done to people no matter how good the consequences are from the point of view of those who would benefit or, for that matter, from an impersonal point of view.

Similarly, we could conceive that the respect of a system of libertarian rights could, under the specification of certain contingent facts, lead to a situation of dreadful misery for a great proportion of individuals. This was Marx's understanding of capitalism. At one pole, capital accumulation produces wealth for the shrinking class of owners of the means of production. At the opposite pole, it produces "accumulation of misery, agony of toil, slavery, ignorance, brutality, mental degradation" (2011: 79). Marx was clearly mistaken in his descriptive analysis of capitalism. His analysis, however, provides the sort of thought experiment that any theory of justice must face. If all exchanges are demanded to be consensual, libertarian ownership rights would block the possibility of altering the institutional environment as a way of mitigating any of the undesirable distributive consequences of Marx's imagined scenario.

This line of criticism against libertarianism has been recently highlighted by John Tomasi (2012). Tomasi believes that when classical liberal and libertarian authors predict that their preferred institutions will produce distribution patterns that benefit the poor, they implicitly accept an important normative idea: "that a system of social and economic institutions is rightly applauded only if that system works to the benefit of the least well-off members of society. A system that does not work to the benefit of the working poor is defective from a moral point of view" (2012: 125). Tomasi calls this "the distributional adequacy condition": "a defense of any version of liberalism is adequate only if it includes the claim that the institutions being endorsed are deemed likely to bring about some desired distribution of material and social goods" (2012: 126).

What matters, it must be noted, is not that libertarian authors implicitly accept Tomasi's distributional adequacy condition. What matters is that a theory of justice would lack plausibility if it did not recognize such a condition. The fact that libertarian authors make sure to address the concern, on empirical grounds, regarding the potential distributive conditions of their preferred institutions might show us that they implicitly accept the normative force of the objection.

If Marx's imagined scenario provides a useful description to highlight the distribution insensitivity of libertarianism, the more plausible public-good problem provides a useful theoretical model to highlight libertarianism's consequence-insensitivity. The most basic of all public-good problems is the provision of justice and security, a problem for which the very existence of the state is typically understood as the solution.

Typically, however, the state coerces its subjects by threatening them with the infliction of harm should they perform certain actions. From a libertarian perspective, this is a legitimate way of treating individuals when the actions to which the expectation of harm is attached are actions that would interfere with individuals' assigned spaces of moral freedom. Typically, however, the state will coerce individuals to stay away from performing actions that would seem to be included in the areas of freedoms protected by individuals' ownership and enforcement rights, such as inflicting justified punishments to offenders, and allocating any chosen portion, if any, of their own resources for those protective purposes. Precisely for this reason, some libertarian authors conclude that the state is illegitimate.[6]

The problem with this assessment of the illegitimacy of the state is its disconnection from any consideration regarding the state of affairs that we would expect to be materialized in a stateless society. Under this view, the state could never be a morally acceptable remedy for any of the alleged problematic features of such a society. It would matter neither how serious such problematic features are, nor how easily the state would be able to rectify them.

Libertarian authors who endorse this implication of libertarianism tend to predict that a market for protection could successfully provide for all the same sorts of benefits provided by the state. Yet this criticism is not avoided by merely denying the existence or the severity of the many alleged challenges that will ensue in the absence of the state. The point is, precisely, that the illegitimacy of the state is established by means that are completely independent of those types of considerations. In other words, the inquiry into the nature of a stateless condition does not have any moral significance when it comes to the moral evaluation of the state. However, it is difficult to accept that the findings of such an inquiry, whatever those are, should be irrelevant in this matter. The fact that libertarian anarchists address these types of concern might show us, as it is the case with the distribution-insensitivity objection, that they also implicitly accept the normative force of the concerns behind the consequence-insensitivity objection.

The problem of the justification of the state is merely an example of the sort of consequence insensitivity presented by libertarianism. The possibilities of grave financial crises due to unregulated consensual businesses practices and some forms of environmental degradation that do not necessarily imply any direct violation of property rights could provide alternative illustrations of the same problem. The issue of mass immigration, and of its potential consequences on institutional settings, could also be thought of as belonging to this category of problem.

Both insensitivity objections to libertarianism raise a significant challenge. A plausible political philosophy would seem to demand the recognition of the potential legitimacy of coercive government action oriented to remedying either serious distributional issues or addressing more general serious consequentialist concerns. The challenge is to offer an account of the potential legitimacy of such coercive actions that is compatible with the rationale for those individuals' basic libertarian rights that are infringed upon by those very same actions.

It must be noted, however, that the challenge that arises from the insensitivity objections is located at the level of principles. The objection is, roughly, that a plausible political philosophy must recognize the existence of certain conceivable conditions under which coercive government action of a particular sort is regarded as legitimate. As a matter of practice, however, libertarians could still be perfectly entitled to deny the legitimacy of the corresponding coercive actions based on empirical considerations. In other words, they could deny that such a set of conceivable conditions are descriptively accurate of the situation at hand. Thus, the mere fact that libertarians might reject the legitimacy of a safety net, most financial and environmental regulation, immigration restrictions, or the very existence of the state are not the grounds upon which the insensitivity objections are based. Such policy conclusions could still be properly grounded on considerations that recognize and accept the concerns behind the sensitivity objections.

3 THE CASE FOR EXCEPTION RIGHTS

Within libertarian theory, a basic reason why a system of individual ownership rights is preferred over a system of joint ownership of external resources is that such an alternative arrangement leaves individuals at the mercy of others' wills. As it was noted, the need for some sort of Lockean proviso, that is, for a constraint on the unilateral appropriation of natural resources, might be thought of as arising from this type of concern. Lacking any proviso in that regard, individuals might face a situation that is morally equivalent to the situation that they would face under a system of joint ownership.

Now we must note that by no fault of their own, individuals might face situations in which, despite having exclusive control over their own body and over a certain portion of external resources, they would need the approval of others regarding the performance of certain actions that would be necessary for securing the benefit that such rights typically provide. If individuals would indeed have to secure other individuals' approval under those circumstances, individuals' ownership rights, both over their own bodies and over external resources, could lose their worth under those circumstances in the same way in which a right of self-ownership loses its worth under circumstances of joint ownership of external resources.

Thus, while individuals' basic rights are necessary for the protection of individuals' capacity to lead their own lives, in certain situations, those rights themselves might restrict that very same capacity in other individuals without providing a significant benefit to anybody else. Exception rights block this possibility. Exception rights might then be understood as imposing constraints on the exercise of the most basic libertarian rights. With our own axe, we might do as we wish, as long as the use of our axe is not necessary for someone to save a stranger from a burning car, and as long we do not have to use it for something relatively important at the time. By implying this form of restriction, exception rights provide their potential holders a form of moral insurance against the faultless loss of the fundamental value that the most basic rights provide: a sphere of sovereignty that obviates the need to secure the approval of others to pursue our own ends and projects.

Rights always entail restrictions on others' behavior. The question about the plausibility of any given right is the question of the worth of the restriction, or set of restrictions, it entails. A system of rights that has no room for exception rights imposes restrictions that, if we are committed to individual sovereignty, might not be worth having. The final assessment of this worth, however, must not be grounded on a static comparison between the interpersonal benefits and costs of each particular situation wherein exception rights are supposed to arise. This is because it is conceivable that the worth of the overall system of moral restrictions implied by the set of basic libertarian rights could only ensue when no exceptions are allowed, regardless of how negative our assessment could be of the distribution of benefits and costs in any particular situation.

It is precisely for this reason that a careful specification of the conditions under which individuals' exception rights arise is in order. The conditions in question must guarantee that the effort to rectify moral imbalances in particular situations do not have a negative impact on the overall worth of the system of libertarian rights. In other words, they must guarantee that the gross moral insurance premiums entailed by the granting of exception rights, that is, the net premium entailed by the infringements that individuals could be forced to bear for the sake of others plus all the additional costs entailed by the mere recognition of exception rights, are not greater than the expected value of their own unexpected losses.

In light of those general considerations, the conditions under which individuals acquire exception rights would seem to have to include: (1) the gravity of the peril faced by the alleged exception-right holder, (2) the fact that such a perilous situation is not the fault of the alleged right bearer (in the sense of not being due to a neglected reasonable opportunity for avoiding the situation), (3) the necessary character of the corresponding infringement to overcome the peril, and (4) the reasonable cost of compliance imposed on others.

The notion of peril included in the first condition denotes serious unfortunate circumstances or dire straits that would place the individual under a utility or well-being threshold. What exactly that threshold is, of course, cannot be established with any degree of accuracy. Difficult questions will surely arise when dealing with borderline cases. Acknowledging this, however, would not seem to entail that we should ignore the clear normative significance between different classes of adversity that people might encounter. The risks of some of those adversities can typically be borne by those who suffer them, while the risks of other adversities are simply too great. The notion of peril that informs an exception-rights approach must include only the latter so as to limit the scope of our moral, non-voluntary interconnectedness.

The notion of responsibility alluded to in the second condition is best understood as referring to the existence of a neglected, reasonable opportunity that the agent might have taken to avoid the peril in question. It is not difficult to see the types of considerations that could be advanced as a rationale for this condition: from basic claims of desert to insights regarding the social advantages of internalizing the costs of personal decisions. This condition is especially important in dealing with what Buchanan (1975) refers to as the "Samaritan's Dilemma," that is, the alteration of incentives on the part of the aid recipients due to the very expectations of aid. Buchanan's "Samaritan Dilemma" is simply a special case of the moral hazard problem that all insurance schemes must face.

The third condition implies, first of all, that the peril in question must be of a remediable nature. It also implies that exception rights emerge only when voluntary solutions are unavailable. The sense in which the rights infringement must be necessary is then the sense in which it could be understood as a necessary condition for the instantiation of a particular state of affairs, in which the alleged exception-right holder enjoys a utility level that is higher than the threshold of peril.

This third condition also implies a limitation on the costs of compliance that it is permissible to impose on others, since those costs must not be greater than what it is necessary. However, as implied by the fourth condition, one has no right to secure coercively aid from others just because it is the case that the costs of such aid are smaller than the costs the peril imposes on others. The aid that may be coercively secured must not impose more than a reasonable cost on others, where this cost is the difference in utility between the state of affairs resulting from the performance of the infringing action and the state of affairs resulting from the non-performance of such an action.

Compensation by the holder of the exception right might be due to the individual whose basic ownership rights have been infringed upon. However, the compensation requirement might be best understood as a mere corollary of the requirement to limit to a minimum the costs that could be permissibly imposed onto others. In other words, an incapacity to pay what otherwise would be due in compensation might not invalidate the permissibility of acting as the principle of exception allows if the costs imposed fall below the appropriate level.[7]

How should the notion of utility be understood in the interpretation of the previous conditions? One possibility is to consider some sort of psychological measure along hedonistic lines. Under this understanding, what matters is whether an individual faces a circumstance under which some psychic magnitude is lower or greater than certain parameters. Such an understanding, however, would seem to be biased against individuals of collected characters. An alternative is to adopt a conception of utility in terms of the degree in which individuals' preferences are satisfied, regardless of what psychological state is taken to accompany that degree of satisfaction. A better option, in order to mitigate knowledge problems, might rely on the degree of satisfaction of the individual's preferences that would withstand some form of epistemic idealization. What would matter are the preferences an individual would have if he had all the relevant information about the available alternatives. Those preferences themselves, however, must not be morally objectionable.

Despite what the specifications of the previous conditions suggest, our actions are rarely performed under conditions of certainty. When it comes to taking into account the role of uncertainty, the problem becomes that of analyzing the choice between two alternative prospects: the infringement prospect and the non-infringement prospect.

Each of those prospects is constituted by a set of possible outcomes. Each outcome has a certain probability of being the one that is instantiated. For the right infringement to be justified, that is, for the potential holder of an exception right to effectively obtain such a right, we must first have reasons to believe that the expected utility of the non-infringement prospect for such an alleged right holder is lower than the appropriate threshold of peril. We reach this judgement by estimating the individual's utility for each of the possible outcomes of the prospect, weighted by the probability of their instantiation conditional on the non-performance of the infringing actions. Secondly, we must have reasons to believe that the expected utility of the infringement prospect for that same individual is higher that such threshold. Finally, the difference in expected utility between both prospects for the basic-right holder that would suffer the infringement must be regarded as lower than the cost limit.

4 EXCEPTION RIGHTS AND THE INSENSITIVITY OBJECTIONS

The fundamental virtue of the proposed moderation of libertarianism is its responsiveness to the normative significance of certain empirical issues that, intuitively, we tend to think are quite central to discussions about the legitimacy of state action. These are issues dealing with the properties of those states of affairs that would obtain should the state not act in specific manners and how such properties compare to those corresponding to the states of affairs resulting from the state's actions.

As a matter of principle, the recognition of exception rights allows for the establishment of a safety net, or perhaps of even more extensive redistributive programs in order to deal with distributive concerns of the most serious type. Although it might not be necessary to infringe upon the rights of everybody to provide such benefits, there might be reasons of fairness to do so (Wellman 2001: 734). A concern for minimizing the cost that each individual must face would also seem to support the universal nature of such redistributive programs. However, exception rights authorize us to secure aid effectively for some without imposing more than certain costs on others. If the consequence of saving an individual is to put many more in peril, the circumstances demanded by the granting of exception rights do not obtain.

An important feature of so-called "lifeboat" situations, mainly due to its extraordinary nature, is the unlikelihood that whatever action is taken under such conditions will have a significant effect in terms of altering people's future behavior. The state's actions, however, are usually institutionalized in terms of laws and regulations. Individuals can easily form expectations about how the state will act in the future and change their own future behavior because of those expectations. In this regard, as libertarians typically argue, it might be the case that even minimal welfare programs create the wrong type of incentives, and that the political pressures that tend to accompany their institutionalization might end up recreating the conditions that they are supposed to remedy.

Also, it might not be true that the recipients of such programs would be unable to overcome their perilous conditions in a non-coercive form. Acknowledging the existence of exception rights, when they are qualified as we have done it, will entail that to the extent that charitable contributions are forthcoming, coercive redistribution is not permissible (Lomasky 2000: 113).

Thus, the endorsement of exception rights need not amount to an endorsement of the legitimacy of any redistributive program, including a minimal safety net. Such an endorsement will be contingent on the validity of certain empirical claims. Again, it is a clear virtue of an exception-rights approach that moves such empirical claims to the center of the discussion.

It is also instructive to consider the example of the legitimacy or the justification of the state in this context. The question of political legitimacy is, basically, the question of the conditions, if any, under which the state could act as it typically does. Under what conditions could a group of individuals prohibit others from exercising their enforcement rights, and coerce them to allocate a portion of their resources to finance the collective provision of enforcement services? A group of individuals could infringe upon others' rights in such a way when their actions can be understood as enforcing the exception rights of themselves, or of other individuals. For such to be the case two conditions must be satisfied:

1. There must be at least some individuals for whom it is true that, through no fault of their own, $EU(\sim I) < P < EU(I)$, where $EU(\sim I)$ is the expected utility of the non-infringement prospect, $EU(I)$ is the expected utility of the infringement prospect, and P is the threshold of peril.
2. For those individuals whose basic rights are infringed upon it is true that $EU(I) - EU(\sim I) < C$, where C is the limit on the cost that is permissible to impose on others.

An exception rights approach to political legitimacy would then conceive the legitimate state as a mere enforcer of individuals' exception rights. The mythical story of the social contract needs to be modified only slightly. Rather than assuming that everyone consents to the existence of the state, we must assume, more realistically, that only some do. These consenters may infringe the rights of the dissenters if that is necessary to overcome the consenters' expected perils and the dissenters' losses are not significant.

Thus, for an exception rights approach, it matters greatly whether or not the state actually produces some important social benefits that are otherwise unavailable. The state's actions would be morally permissible only if whatever the benefits that the state provides cannot be secured by voluntary cooperation, that is, by not infringing upon individuals' basic ownership and enforcement rights. Endorsing an exception rights approach would entail, therefore, that the inquiry into the properties of a private market for protection and security acquires full moral significance. If it is indeed the case that there is a decentralized solution to the problem of social order, the state would not be morally allowed to perform its characteristic actions.

Acknowledging the existence of exception rights provides a moral ground upon which comparative judgments between the minimal state and the welfare state, and between the state and the stateless condition, can be significantly made. According to an exception-rights approach, the coercion the state engages in must be a genuine expected remedy for any of the alleged perils of the stateless condition or of the minimal state. Anarchists might rightly remind us that in assessing the stateless society's capacities, we must not assess them against only one of the multiple outcomes involved in the prospect of establishing a state, that is, a well-functioning state that is respectful of individual's rights. We must assess them against the entire set of outcomes of such prospect, which include less desirable ones. The same point applies to discussion regarding the scope of the state, as public-choice theory stresses. The existence of market failures is not a sufficient condition to establish the legitimacy of government programs oriented to resolve them, since government failures could be equally pernicious. Recognizing the importance of exception rights allows us to fully capture the normative relevance of this sort of insight.

The case for exception rights is mainly motivated by the recognition of the force of the insensitivity objections. Exception rights allow, as a matter of principle, infringements upon individuals' basic rights when certain circumstances ensue. Those circumstances coincide with the most significant subset of circumstances that could be conceived under a specification of either one of the two insensitivity objections. Not all distributive concerns give rise to the recognition of exception rights. Similarly, not all consequentialist concerns give rise to that recognition. Such recognition is grounded on the perilous circumstances that some individuals would otherwise face. Several distributive and consequentialist concerns will fall short of such qualification. This is not, however, a failing on the part of the exception-rights approach. It represents, rather, the deontological commitments of libertarianism.

Exception rights do not sanction the permissibility of any infringement of basic rights that yields a greater gain in impersonal value. Exception rights only sanction the permissibility of a limited subset of potential infringements. The magnitude of those infringements is also strictly limited. Acknowledging the existence of exception rights does not commit us to acknowledging the sort of general aggregative moral perspective that underlies consequentialist theories.

5 CONCLUSION

The central purpose of a libertarian assignment of ownership and enforcement rights is to provide individuals with a space of moral freedom to lead their own lives. Such moral freedom implies that the permissibility of their actions is not contingent on the approval of others. This essay has suggested that, while libertarian basic rights are necessary for the protection of individuals' capacity to lead their own lives, in certain situations those rights themselves might restrict that very same capacity in other individuals without providing a significant benefit to their holders or anybody else. Exception rights provide an ultimate guarantee that individuals would not need to secure the approval of anybody to lead their own lives in circumstances in which, by no fault of their own, they would otherwise require that approval.

Although the recognition of exception rights and the sort of interpersonal comparisons they entail would seem to constitute a radical departure from libertarianism, this is not so. The robustness of the basic libertarian rights remains unchanged within the set of normal circumstances. Equally important, exception rights allow libertarianism to offer principled answers to the insensitivity objections without retracting its deontological nature.

Recognizing the existence of exception rights as an integral part of libertarianism does not only address the concerns behind some recurrent criticisms of libertarianism. Feasibility concerns have always been an important element in the libertarian and classical liberal critique of extensive institutional arrangements characteristic of the modern welfare state. Such feasibility concerns, however, do not seem to find a coherent foundation within the most philosophically oriented defenses of libertarianism due to their strict voluntarist nature. Exception rights weaken the voluntarist elements of libertarianism, and by doing so they allow libertarianism to better capture the moral significance of their own feasibility concerns as well. As a matter of practice, the institutional recommendations that traditional forms of libertarianism imply might also remain unchanged if we assume the correctness of the empirical considerations that are typically advanced in their support.

The recognition of exception rights would thus not seem to entail a radical departure from traditional forms of libertarianism but rather a more accurate representation of what libertarians ultimately care about.

NOTES

1. See, however, Lomasky (1987; 2000) and Mack (2006).
2. This essay has been influenced by Christopher Wellman's reflections on the importance of Samaritanism for questions of political legitimacy and obligation (1996; 2001; 2005).
3. For the idea of moral anarchy, see Buchanan (1981).
4. This characterization of rights theories is not supposed to exclude so-called "positive" rights. In the case of positive rights, the relevant actions that others should not interfere with might be thought of as those compromising the enjoyment, or use, of whatever resources it is claimed that individuals have a positive right to.
5. While individuals' capacity to lead their own lives requires individuals' having control over many uses of their bodies, it might not require control over some particular parts of it, such as, for example, the total amount of blood that the body has at any given time. In this way, some authors argue that coerced distribution of body parts is compatible with a liberal concern for individual autonomy. See, for example, Cecile Fabre (2006).
6. For classical statements of this position, see Rothbard (1996: 45–69; 1998: 161–73).
7. Mack (2006) claims that a person's inability to pay compensation modifies the person's "moral latitude." According to Mack, a person would still be at liberty to secure aid, but those from whom the aid may be coercively secured would not have an obligation to refrain from preventing his actions. Mack acknowledges, however, that at least certain duties of non-interference, violent interference for example, are due even when compensation is not payable (127).

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12

The Sufficiency Proviso

Fabian Wendt

A libertarian theory of justice conceives justice in terms of property rights. It holds that persons are self-owners and have the moral power to acquire property rights in initially unowned external resources. Different variants of libertarianism can be distinguished according to their stance on the famous (or infamous) Lockean proviso. The proviso requires, in John Locke's words, to leave "enough and as good" for others (Locke 1960 [1689]: §§27, 33, 36) and thus specifies limits on the acquisition of property in external resources. Left libertarians like Hillel Steiner, Peter Vallentyne, and Michael Otsuka provide an egalitarian interpretation of the proviso. Many "right libertarians" reject any kind of proviso.[1] Robert Nozick and Eric Mack are prominent exceptions and defend rather weak versions of the proviso. In between, there is room for moderate interpretations of the proviso, and in particular for a sufficientarian interpretation: a "sufficiency proviso." It is remarkable that this option has rarely been defended.[2] The resulting theory of justice can be called *moderate libertarianism*.

In this article, I make a case for moderate libertarianism, so understood. I argue that moderate libertarianism has advantages over both left and right libertarianism because it better coheres with the most plausible rationale for endorsing a libertarian theory of justice in the first place. The article proceeds in five steps. First, I outline what I take to be the most plausible rationale for a libertarian theory of justice. Second, I argue that this rationale also provides a rationale for a sufficiency proviso, and I elaborate the specifics of that proviso. Third, I try to show that the sufficiency proviso has decisive advantages compared to an egalitarian proviso and—fourth and fifth—compared to the provisos proposed by Nozick and Mack.

It should be noted that I am not going to discuss what John Locke really had in mind with his "enough and as good" proviso. The provisos discussed here can be read as the most plausible interpretations or as new elaborations of Locke's proviso.

It should also be noted that libertarianism need not be understood as a distinct theory of justice. It can also be conceived as (more or less radical) advocacy of free markets.

So understood, libertarianism is compatible with many different theories of justice: One can advocate free markets as the best implementation of Rawlsian justice (Tomasi 2012) or as required by utilitarianism (Epstein 1998), for example. Yet in this article, I understand libertarianism as a distinct theory of justice, one that focuses on property rights. (To live up to its name, a libertarian theory of justice should also draw some close connection between property rights and liberty, but I will not discuss this connection here).

1 LIBERTARIAN JUSTICE

Libertarianism is not the only theory of justice that takes private-property rights seriously. But it takes them more seriously than other theories of justice. In John Rawls's theory of justice, for example, personal private property is granted by his first principle of social justice (1971: 61; 1996 [1993]: 298; 2001: 114), while property rights in the means of production are discussed at a later stage, when the two principles of social justice are institutionalized (1971: 270–4, 280–1; 1996 [1993]: 338; 2001: 135–40, 158–62). Hence, on a Rawlsian view, property rights cannot function as a moral constraint on attempts to realize social justice, because social justice is morally prior to property rights.[3] Property rights are themselves merely conceded by principles of social justice or by the institutions that are designed to realize social justice. Of course, once such institutions are implemented, they do grant legitimate, including property, rights (1971: 84, 103; 1996 [1993]: 284; 2001: 50–2, 72). But the institutional basic structure of a society has to be adjusted if it turns out to not adequately realize social justice. One then has to restore "background justice," and property rights do not have much of a moral standing in that situation (1996 [1993]: 281, 284; 2001: 53–4).

Libertarianism, on the other hand, gives property rights a more prominent place. Because it takes property rights as morally basic, property rights indeed constrain morally legitimate redistribution in the name of social justice. Libertarians have thus been keen to show how theories of social justice are incompatible with property rights and a market order (Nozick 1974: 160–1; Hayek 1998 [1976]: ch. 9; Schmidtz 2010). But libertarians are not opposed to all kinds of redistribution, of course. Redistribution can be required to redress past injustices (although some may not want to call this "redistribution"). What counts as a past injustice depends on the specifics of the libertarian theory of justice. All libertarians believe that redress for violations of self-ownership rights and of property rights in external resources is warranted, of course. The Lockean proviso, depending on its interpretation, can justify further redistribution as some kind of redress or compensation.

What speaks in favor of a libertarian theory of justice? Of course, I cannot develop a fully fleshed-out vindication of a libertarian theory of justice here. But at least I would like to sketch one powerful (type of) argument.[4] Persons are purposive beings. They have the capacity to pursue all kinds of projects, including mid- or long-term projects like learning to play an instrument, studying medicine, opening a restaurant, traveling around the world, or founding a family. Trivially, all such projects require the use of one's body and mind, and so persons should be conceived as self-owners. But almost all such projects of course also require external resources, in one way or another, and they require being able to *count on* one's resources. Hence, persons as project pursuers also need the opportunity to acquire private property in external resources (Fressola 1981: 320–1; Lomasky 1987: 120–1; Mack 1990: 532–4; 2010: 60–4; Sanders 2002: 52–3; Tomasi 2012: 76–8; Brennan 2014: 78–82, 92–4; van der Vossen 2015: 77–8).

The argument is obviously a very rough sketch, but I think it is familiar and plausible enough. Note that it does not rely on the moral force of Lockean labor mixing (Locke 1960 [1689]: §§27–30). Rather, private property *as a practice* is justified as being responsive to persons as project pursuers. The argument leaves open what kind of specific actions should be taken to signify initial appropriation. It vindicates what Eric Mack calls a "practice conception" of private property, not an "inherent-feature conception" (Mack 2010: 54–5; see 1990: 520).

The paradigmatic inherent-feature conception of private property grounds property rights in external resources in labor mixing: The mixing of labor is seen as the inherent feature of an action that confers property rights on the laborer. In Hohfeldian terms (see Hohfeld 2001 [1913, 1917]; Thomson 1990: 37–60; Kramer 1998: 7–60), persons are conceived as having the moral power to acquire external resources via labor mixing. In general, a Hohfeldian power is a second-order capacity to change one's own or other people's first-order moral status or, in other contexts, legal status. A Hohfeldian power to acquire property is the capacity to acquire the bundle of Hohfeldian claim rights, liberties, powers, and immunities that defines property rights. This labor-mixing account assumes only one natural right: self-ownership. (A natural right can simply be understood as a nonconventional moral right that all beings with certain properties have). Labor mixing then extends self-ownership rights to external resources, and thus property rights in external resources are grounded in self-ownership.

According to Mack's practice conception of private property, in contrast, people have at least two natural rights. One is self-ownership; the other is a natural right to the practice of private property or, as he sometimes calls it, a natural right of property. This natural right implies the Hohfeldian moral claim-right "not to be precluded from engaging in the acquisition and discretionary disposition of extrapersonal objects" and the Hohfeldian moral power to appropriate objects in line with the conventions of a justifiable practice of private property (2010: 54). Labor mixing is but one such convention; there are many other ways to let people acquire private property. The natural right to the practice of private property thus allows persons to acquire property rights in external resources that are not grounded in self-ownership (1990: 524–35; 2010: 54–5). Of course, a practice should be suitable for its purpose; not all kinds of acts could plausibly serve as indicators of initial appropriation. Mack argues that a practice of private property is justifiable if it is coherent, comprehensive (allowing appropriation of all kinds of things), transparent, and inclusive (not discriminating against any groups of persons) (1990: 535–7; 2010: 63; see Lomasky 1987: 123; van der Vossen 2009: 363–4).[5] In a practice conception of private property, it is not specific appropriative acts that do the moral work of justifying specific property claims but the natural right to the practice of private property. As Bas van der Vossen puts it, a wider theory of private property serves to *justify* private property, while specific acts of appropriation serve to *individuate* private property (2009: 362).

One clarification is in order at this point: Some readers may concede that one should endorse the idea of a natural right to the practice of private property (together with natural self-ownership rights) yet deny that this is sufficient to establish a libertarian theory of justice. A libertarian theory of justice, they may say, not only grants everyone these two natural rights but also denies that there are any considerations of justice *beyond* that. In reply, I would insist that a theory of justice should count as an overall "libertarian" one when it gives considerable weight to self-ownership and the natural right to the practice of private property, even if it combines them with some additional principles of justice. In this article, I will not try to demonstrate that there are no considerations of justice beyond self-ownership and the natural right to the practice of private property. Neither will I try to fully defend the project pursuit rationale for libertarianism. What I aim to show is that if one embraces a libertarian theory of justice due to the project pursuit rationale—that is, if one embraces self-ownership and the natural right to the practice of private property and gives them considerable weight—then one should also embrace a sufficientarian proviso.

2 THE SUFFICIENCY PROVISO

In the previous section, I argued that there is a good rationale for endorsing a libertarian theory of justice. In this section, I would like to argue that the same rationale also speaks in favor of incorporating a proviso into that theory.[6] In particular, it speaks in favor of incorporating a sufficiency proviso. The rationale for granting persons a Hohfeldian moral power to acquire property in external resources in accordance with conventional practices of private property is that it allows them to securely pursue personal projects. But without actually succeeding in having sufficient resources for pursuing projects beyond mere survival, this power is not of much help. If caring about people as project pursuers is the rationale for advancing a libertarian theory of justice that allows people to acquire property in accordance with conventional practices, it must also require that people indeed *have* sufficient resources for project pursuit. Without sufficient resources, one simply is unable to live a life as a project pursuer. This is why some sort of sufficientarian proviso should be incorporated into a libertarian theory of justice, requiring that everyone should have sufficient resources for living a life as a project pursuer.[7]

To put the same point somewhat differently, one could follow G. A. Cohen and distinguish between mere formal self-ownership and "effective" self-ownership. Persons without sufficient resources for project pursuit may formally be self-owners, but they lack effective self-ownership (Cohen 1995: 99–102; see Kymlicka 2002 [1990]: 122–5; Otsuka 2003: 32; Olsaretti 2013; Widerquist 2013: ch. 2). Their property in their bodies and minds lacks any point without sufficient external resources for being able to pursue personal projects. This is why a libertarian theory of justice, with its focus on self-ownership, should also incorporate a natural right to the practice of private property and a sufficientarian proviso.

But how should the sufficientarian proviso be construed, more specifically? In the rest of this section, I develop a more precise conception of the sufficientarian proviso. First of all, the proviso does not apply to specific acts of appropriation but to the practice of private property as a whole. Private property is justified because private property is necessary for project pursuit, but practices of private property should work for all. They should enable everyone to actually live as a project pursuer. Hence, a practice of private property should be designed in a way that makes sure that everyone has sufficient resources to live as a project pursuer. This is the basic idea behind the sufficiency proviso. Of course, the proviso does not say that everyone is to have sufficient resources to succeed in the specific projects he or she actually pursues; these projects may be very expensive or risky, and justice cannot require that everyone succeeds in his or her projects. The proviso merely requires that everyone is to have enough to live as a project pursuer, to be able to pursue projects beyond mere survival. (Survival itself is not to count as a "project"). Thus Jeremy Waldron suggests a proviso that makes entitlements "continually sensitive to the needs of others. [...] An adequate Lockean proviso must require that the effect of the [principle of just acquisition] it qualifies is *never* to require those whom it constrains to choose between compliance and the exigencies of their own survival" (1988: 281). To be able to live as a project pursuer, *at least* one's basic human needs have to be met, that is, the needs one shares with all other human beings. These are, quite obviously, needs for food, clothing, shelter, and so on. Some persons, for example, severely disabled or sick persons, may need more resources than others in order to have their basic human needs satisfied. What is needed to be able to live as a project pursuer may also partly depend on the kind of society in which one is living. For example, educational needs will vary from time to time and from place to place.

The sufficiency proviso cannot *unconditionally* require that everyone be brought above the sufficiency threshold, though. Unfortunately, there are times and places where the economy is too weak to be able to bring everyone above the sufficiency threshold. For that reason, the proviso can only prescribe that the practice of private property should be designed in a way that makes sure that everyone has sufficient resources to live as a project pursuer, *if* this is possible. But this is still too radical. There are also times and places where it would be possible to bring everyone above the sufficiency threshold but only at a very high price. Bringing everyone above the threshold cannot require undermining the very point of having a practice of private property in the first place. The practice of private property should leave everyone generous space to pursue projects, and this sets limits to what the sufficiency proviso can require. So the proviso can only prescribe that the practice of private property should be designed in a way that makes sure that everyone has sufficient resources to live as a project pursuer, *if* this is possible without undermining the point of having a practice of private property in the first place. This admittedly does leave quite some room for disagreement about *when* the point of having a practice of private property is undermined, yet I think this is unavoidable. To ask for more precise boundaries is to ask too much from political philosophy. When the proviso cannot be met without undermining the point of having a practice of private property, then the proviso still applies as a future aspiration and as a goal that a practice should at least try to approximate.

The proviso does not require that everyone has sufficient resources left for initial appropriation (Nozick 1974: 176; Schmidtz 1990: 512; Mack 2002: 247). What counts, from the point of view of the project-pursuit rationale for libertarianism, is not that everyone can initially acquire things but that everyone can come to own and use sufficient things. It does not matter whether someone gets property via free exchange, gift, or initial appropriation or whether he rents or leases things from owners.

The proviso does not ask about the reasons why someone is below the sufficiency threshold. It does not require showing, for example, that someone is below the sufficiency threshold without any fault of his own or because a practice of private property is in place. From the perspective of the project-pursuit rationale for libertarianism, someone not having enough to be a project pursuer is always a concern, no matter what its cause is. Considerations about responsibility are certainly important for designing the institutions that are to implement the proviso, but they do not matter at the level of a theory of justice.

It is most convenient to see the sufficiency proviso as a part of the natural right to the practice of private property (see also van der Vossen 2015: 81–2). The natural right to the practice of private property, recall, includes the Hohfeldian moral power to acquire property rights in external resources in accordance with the conventions of a justifiable practice of private property, and a Hohfeldian moral claim right not to be excluded from such practices. The sufficiency proviso co-determines what a "justifiable" practice of private property is—namely a practice that satisfies the sufficiency proviso. Conceptualized this way, the sufficiency proviso does not assign positive rights or welfare rights to persons.[8]

But although the proviso does not assign positive rights or welfare rights, persons who benefit from an unjustifiable practice of private property (i.e. from a practice that does not satisfy the sufficiency proviso) have to compensate those who suffered under that practice and had to live below the sufficiency threshold. Those who managed to gain more and better resources than they would have under a justifiable practice of private property that meets the sufficiency proviso can be regarded as "over-appropriators" (Steiner 1994: 268). Yet the main point of the sufficiency proviso is not to vindicate duties of compensation. It is to provide stringent reasons to reform an unjustifiable practice of private property. In that sense, the proviso is both forward looking and backward looking.

Libertarianism as a theory of justice is silent on the institutions that are most appropriate to meet the proviso. It seems natural to think that the proviso speaks for some welfare-state institutions, maybe in the form of a guaranteed basic income, maybe in some other form (Stick 1987: 387–415; Daskal 2010; Friedman 2011: 137–41; Wündisch 2013: 216–9; Zwolinski 2015). But the sufficiency proviso need not vindicate welfare-state institutions. Need-based distribution may not be what persons need (Schmidtz 1997: 9). One could reject welfare-state institutions because one is skeptical about their long-term effectiveness or because one thinks that state institutions are deeply problematic for other reasons, for example because the state's claims to political authority cannot be vindicated (Huemer 2013; see also Wendt 2015; 2016a). I here stay agnostic on the institutions that best implement the sufficiency proviso.

There are some other difficult issues that I cannot discuss here. One is whether the sufficiency proviso refers to contemporary persons only or whether it also refers to future persons. Another is how practices of private property should be individuated. As practices of private property will usually be partly constituted by laws, it seems plausible to say that we should individuate practices of private property in the same way as we individuate legal systems. But this does not make individuation an easier task, of course. In any case, I assume that one can make a case for the claim that there is not just one worldwide practice of private property.

As the proviso applies to practices of private property and not to individual acts of appropriation, one may ask what it says about appropriations in the absence of a practice of private property. Can a Robinson Crusoe acquire legitimate property titles in his hut, for example? As the sufficiency proviso applies to practices, it certainly does not forbid appropriation in the absence of a practice of private property. But is appropriation even possible in the Robinson Crusoe scenario, on my account? The right to the practice of private property cannot help, since a single person cannot have a practice of private property. Only an inherent-feature conception of private property could justify Robinson's property rights. I cannot discuss how promising it is to combine an inherent-feature conception and a practice conception of private property.[9] But in any case, Robinson's property titles would be practically irrelevant until other persons show up. Once other persons show up, a justifiable practice of private property is needed, and certainly Robinson's efforts should count as relevant in specifying property titles within that practice. But the practice also has to satisfy the sufficiency proviso.

I would like to end this section with a brief discussion of an objection to the line of argument I developed so far. I argued that the rationale for endorsing a libertarian theory of justice also is a rationale for endorsing a sufficiency proviso. The objection is that I have misrepresented the rationale for a libertarian theory of justice: Project pursuit should not be taken as a value to be promoted but as a value to be respected. (On this distinction, see Pettit 2002 [1991]: 97.) Because project pursuit is a value to be respected, not promoted, one may not interfere with someone's project pursuit in order to help someone else to become a project pursuer. But the sufficiency proviso requires exactly this: to interfere with the project pursuit of some in order to help others to become project pursuers. A reply to this objection is that it misunderstands the theoretical place of the project-pursuit rationale. Rights indeed function as "side-constraints," as Nozick has famously pointed out (1974: 28–9), and thus they are something persons have to respect, not promote. But project pursuit is neither something persons should promote nor respect. It is on a higher theoretical level, justifying and giving shape to people's rights (that function as side-constraints). To accommodate this point, one could rephrase the objection: The rationale for endorsing a libertarian theory of justice is not to enable everyone to actually live a life as a project pursuer but to formally allow everyone to live a life as a project pursuer. That is why it does not vindicate a sufficiency proviso. The problem with this rephrased objection is that the proposed rationale for libertarianism is hardly convincing. Someone who cares merely about people being formally allowed to live as project pursuers implies that he does not care about the life of poor people who do not have sufficient resources to live as project pursuers. There is nothing very attractive about being formally allowed to live a life as a project pursuer when one is actually unable to live a life as a project pursuer. I conclude that the objection is unconvincing.

3 THE SUFFICIENCY PROVISO VS. EGALITARIAN PROVISOS

In the previous section, I argued that the rationale for a libertarian theory of justice also is a rationale to include a sufficiency proviso. I will now spell out the advantages of the sufficiency proviso compared to stronger, egalitarian provisos. A left-libertarian theory of justice claims that every person has self-ownership rights and the Hohfeldian moral power to acquire property rights in external resources, subject to an egalitarian proviso.[10] Left libertarians differ in their interpretation of the egalitarian proviso. In Hillel Steiner's version, persons have a claim right that others do not appropriate more than an equal share of external resources (1994: 235);[11] in Michael Otsuka's and Peter Vallentyne's version, persons have a claim right that others do not appropriate more than is compatible with equality of opportunity for welfare (Otsuka 2003: 27; Vallentyne 2007: 200). These egalitarian provisos seem to be thought to apply to specific acts of appropriation, but this is not important for our purposes. The same arguments hold if we think of an egalitarian proviso applied to the whole practice of private property, analogous to the sufficiency proviso as introduced in the previous section. So the question is: Why should we prefer a sufficientarian proviso over an egalitarian proviso?

First, the rationale for a libertarian theory of justice does not speak in favor of an egalitarian proviso. In order to be able to securely pursue personal projects, one need not have equal opportunities for welfare or equal resources. One needs to have sufficient opportunities and sufficient resources. The rationale for a libertarian theory of justice that allows the appropriation of private property does speak for a proviso that makes sure that everyone can in fact pursue projects—but not for an egalitarian proviso.

Second, not only does the rationale for a libertarian theory of justice not support an egalitarian proviso. To the contrary, an egalitarian proviso does not cohere well with the rationale for a libertarian theory of justice. It imposes unnecessary harsh restrictions on legitimate project pursuit. As Loren Lomasky puts it, to "insist that persons are morally obliged to bring about equal allocations of material goods is to ignore that each person has primary reason to supply for himself those goods which are needed for the advancement of his own projects" (1987: 122). Otsuka's proviso is particularly restricting. Under certain conditions, it may not allow some persons to initially appropriate *anything*, even if there is no scarcity, if an initial appropriation would undermine equality of opportunity for welfare (Arneson 2010: 173–6).[12] Otsuka is quite clear about this: He emphasizes that his egalitarian proviso "places no constraints upon the achievement of equality of opportunity for welfare by means of a distribution of worldly resources that leaves the able-bodied with so few resources that they would be forced, on pain of starvation, to come to the assistance of the less talented" (2003: 31). He argues that his proviso nonetheless *need* not force people to help others on pain of starvation (2003: 32–4), but the problem is that it *can*. This does not fit well with the idea of giving people space to pursue their projects. Hence, I agree with Richard Arneson when he says that "the spirit (or the underlying rationale) of self-ownership puts constraints on acceptable doctrines of world ownership" (2010: 176).[13] The point of a libertarian theory of justice is to give every person generous space to pursue personal projects and hence to have effective self-ownership (see above), and an egalitarian proviso heavily restricts that space. To be sure, a sufficientarian proviso does restrict that space as well. But it does to a much lesser extent, and it is formulated conditionally to make sure that the point of having a practice of private property is not undermined. Moreover, it restricts that space for a reason that coheres with the point of a libertarian theory of justice: to make sure that all persons can live as project pursuers.

4 THE SUFFICIENCY PROVISO VS. NOZICK'S PROVISO

I now come to weaker interpretations of the proviso, those advocated by Robert Nozick and—in the next section—Eric Mack. Again, I will argue that the sufficiency proviso has advantages compared to these provisos. According to Nozick's proviso, every person has a claim right that others do not make her worse off by acquiring external resources (1974: 175–9). The relevant baseline for comparison apparently is the state of nature without the appropriation. Note that an appropriation that once was legitimate can later come to violate the proviso, according to Nozick, when it turns out to have worsened the situation of others. Each owner's "title to his holding includes the historical shadow of the Lockean proviso on appropriation" (1974: 180). Nozick also applies the proviso to transfers of property: "If the proviso excludes someone's appropriating all the drinkable water in the world, it also excludes purchasing it all" (1974: 179).[14] Moreover, Nozick also applies the proviso to the whole practice of private property. He asks whether "a system allowing appropriation" worsens the situation of persons who are unable to appropriate anything and points at the "various familiar social considerations favoring private property" (1974: 177).

Some commenters think that the proviso should better be applied to specific appropriative acts (and transfers) only (Attas 2003: 359–60; Varden 2012: 427–8), some think that it should better be applied to the system allowing appropriation (Rose 1987; Thomson 1990: 331–2; Wenar 1998: 813–4; Wündisch 2013: 208–16), and some think that Nozick must in any case decide between a proviso applied to specific appropriative acts (and to transfers) and a proviso applied to the system allowing appropriation (Wolff 1991: 112). Without being able to engage the relevant arguments here, I will presuppose that it is possible and coherent to advocate two provisos, one applied to specific acts of appropriation and transfer and one to the whole system that allows initial appropriation. What I would like to do is to show that the sufficiency proviso—which applies to the whole practice of private property—has great advantages over Nozick's proviso(s).

First, if the rationale for a libertarian theory of justice is to enable persons to live as project pursuers, then Nozick's proviso is too weak. That one's situation is not worsened by an appropriation or by the system allowing initial appropriation is simply not enough to grant the necessary external preconditions for living one's life as a project pursuer. This speaks against Nozick's proviso and in favor of the sufficiency proviso. A defender of Nozick's proviso may reply that non-worsening is all a proviso can ask for, because, from a libertarian point of view, no person can be required to better the situation of others. The sufficiency proviso would amount to "forced labor," the defender may add. Yet the sufficiency proviso does not require any particular person to better the situation of others or to work for others. It is a proviso on practices of private property, saying that a practice should be designed in a way that makes sure that everyone has sufficient resources to be able to live a life as a project pursuer if that is possible without undermining the point of having a practice of private property. If one really cares about everyone being able to live as a project pursuer (and regards this as the rationale to endorse libertarianism), then nothing less than the sufficiency proviso is adequate. Now the defender of Nozick's proviso may argue that one should not care about everyone being able to live as a project pursuer but about everyone being formally allowed to live as a project pursuer. This brings us back to the objection from the end of section two. There, I argued that the objection fails because the proposed alternative rationale for libertarianism is unconvincing.

Second, an advantage of the sufficiency proviso is that it avoids a common objection to Nozick's proviso that goes back to G. A. Cohen. That objection says that the relevant baseline for "worsening"—the state of nature without appropriation—is set too low (Cohen 1995: 78–83, 87; Arthur 1987; Stick 1987: 402–7; Kymlicka 2002 [1990]: 117–20; Wolff 1991: 112–3; Christman 1994: 61–2; Wenar 1998: 814–5; Attas 2003: 363–8). Why not compare a specific appropriation to other situations, for example, to the situation where other people make the appropriation or where some sort of group ownership is established? Why not compare the current system allowing appropriation to different systems allowing appropriation, for example those that engage in some redistribution? These questions are pressing for Nozick's proviso, but not for the sufficiency proviso, because the sufficiency proviso is not comparative and hence does not invoke any baseline at all.

Third, avoiding a state-of-nature baseline is also helpful for another reason. To compare a specific person's specific current situation with an imagined state of nature seems odd. Eric Mack writes: "The sorts of things available for use in advanced stages of market economies are likely to be quite different from the things that were (or would be) available in some pre-property state of nature. How many microchips equal a hectare of rice paddy? How many cargo containers equal a fishing spear?" (1995: 209; see 2002: 248.) Because the sufficiency proviso does not work with any baseline at all, it is immune to these worries.

Fourth, the sufficiency proviso avoids another objection to any proviso that applies to initial appropriation and leaves a shadow into the future. Preston Werner argues that such a proviso can require a person to give a kidney to compensate for a non-culpable proviso violation, when the proviso's shadow all of a sudden makes one's appropriations illegitimate, and when the person has no other means for compensation (2015: 71–2). This does not fit well with libertarians' strong emphasis on self-ownership as an inviolable or at least highly stringent natural right. While there may well be other ways to respond to this objection—for example, dropping the idea of the shadow or just declaring body parts as immune for claims of compensation—it is an advantage of the sufficiency proviso that it avoids the objection. It avoids the objection because it does not apply to specific acts of initial acquisition, but to the whole system allowing initial appropriation. I have to concede, though, that the whole practice of private property can indeed become illegitimate all of a sudden, when it no longer satisfies the sufficiency proviso. While this primarily constitutes an urgent reason to reform the practice of private property, it may also justify duties of compensation. But this compensation will have to be paid by those who actually gained a great amount of external resources from the unjustifiable practice of private property ("over-appropriators"; see above). Over-appropriators will not have to give away their kidneys to provide the compensation.

5 THE SUFFICIENCY PROVISO VS. MACK'S PROVISO

I now come to Eric Mack's proviso, which he calls the "self-ownership proviso." Mack starts with the core intuition that someone who owns an island must not let a castaway drown at sea. The owner of the island has to let the castaway get on his island (1995: 187–8; 2002: 246). This intuition cannot be explained with direct reference to property rights, because letting the castaway drown at sea would not be a violation of the castaway's property rights. Yet the owner of the island would nonetheless act impermissibly, says Mack, because he would severely disable the castaway's "world-interactive powers." The self-ownership proviso thus "requires that persons not deploy their legitimate holdings, i.e., their extrapersonal property, in ways that severely, albeit noninvasively, disable any person's world-interactive powers" (1995: 187). Why should a libertarian theory of justice incorporate the self-ownership proviso? Mack refers to the rationale for granting people self-ownership rights, which is to let them use their world-interactive powers to pursue their own good (or their projects). Self-ownership and the self-ownership proviso have the same rationale (1995: 198–202).

Mack's proviso is immune to some of the worries regarding Nozick's proviso. It is immune to the objection that the state-of-nature baseline is set too low. As Mack puts it, the objection misfires because it misunderstands the proper role of a proviso, which is not to limit appropriation but to set limits on the *use* of one's property (1995: 216–8; 2002: 100). Mack's proviso is also not vulnerable to the charge that comparisons with a state-of-nature baseline are odd with regards to specific persons living in advanced societies. No such comparison is needed to show that somebody's world-interactive powers are severely disabled by some other person. Finally, Mack's proviso is immune to Werner's worry that a proviso can require giving a kidney to compensate for a proviso violation, because this worry is based on a proviso conception that applies to initial appropriation and leaves a shadow. As Mack's self-ownership proviso is no proviso on initial appropriation, the worry does not come up.

So why should one prefer the sufficiency proviso to Mack's self-ownership proviso? Because the self-ownership proviso is too weak from the perspective of the rationale for a libertarian theory of justice. The first reason for its weakness is that it only applies to the use of people's property. It does not apply to the whole practice of private property that allows initial appropriation. Mack wants to presuppose that the practice of private property in general is highly enabling for people's world-interactive powers. He supports, "as a reasonable albeit defeasible presumption, the proposition that the development of liberal private property regimes, by introducing new and expanded forms of receptivity to human powers, are on net enabling of those powers" (1995: 190; see 1995: 212–4; 2002: 249). Only in special cases, where some person or group of persons uses their property in a way that severely disables someone else's world-interactive powers, does the proviso apply. But this leaves out all cases where someone's world-interactive powers are severely limited but not due to other persons, or not due to their uses of their property. This is unfortunate if one cares about people actually being able to live their lives as project pursuers. The second reason for the weakness of Mack's proviso is that persons whose world-interactive powers are not severely disabled can still lack sufficient resources for being able to live their lives as project pursuers. For both reasons, the self-ownership proviso is too weak. The sufficiency proviso better fits the rationale for a libertarian theory of justice.

Interestingly, one could use a different tool from Mack's theoretical tool box to argue for the sufficiency proviso. This tool is his so-called *anti-paralysis postulate*. The anti-paralysis postulate determines when and how rights are to be attenuated to permit intrusions of these rights. The anti-paralysis postulate says that we are to specify rights in a way that the very point of having rights is preserved—which is to let individuals pursue their own good (or their projects) (Mack 2011: 112; see my discussion in Wendt 2016a: 102–7). This can justify attenuating rights in order to make room, for example, for self-defense, taxation, or minor forms of pollution. Roughly, then, the self-ownership proviso and the anti-paralysis postulate have opposite tasks: The self-ownership proviso says that some actions are unjust although not intruding on anyone's rights; the anti-paralysis postulate implies that some actions are not unjust although intruding on someone's rights. Now Mack does grant, in line with the anti-paralysis postulate, that it is morally permissible for people in dire straits to infringe upon other people's property rights if necessary to survive, and he tentatively suggests that a social safety net might be appropriate to institutionalize these permissible infringements (2006). But the anti-paralysis postulate could also be used to justify a sufficiency proviso on the practice of private property. To preserve the point of rights, every person needs to have sufficient resources for project pursuit; thus the practice of private property should, if possible, be arranged such that everyone has sufficient resources—and this can mean attenuating rights within the practice of private property.

I should mention two other provisos that apply to the use of one's property and have been advocated by libertarians. Frank van Dun proposes a free-movement proviso "to the effect that the rights of a property owner do not include the right to deprive others of the possibility of moving between their own property and any place where they are welcome" (2009: 230). Walter Block argues that an owner of a donut-shaped piece of land has to allow others to cross his property to access the land he is blockading (2004: 278). This is sometimes called the "Blockian proviso." Like Mack's self-ownership proviso, both the free-movement proviso and the Blockian proviso apply to use, not to initial appropriation. Both are weaker than Mack's. As I argued that Mack's self-ownership proviso is too weak already, the free-movement proviso and the Blockian proviso have to be considered too weak as well.

Mack's self-ownership proviso is too weak. But maybe we should endorse both the sufficiency proviso *and* Mack's self-ownership proviso? (And maybe also van Dun's free movement proviso and the Blockian proviso?) Is it not possible that some person has sufficient resources but still has her world-interactive powers severely disabled by other persons? It is, and so I agree with Mack that there are moral limits on how to use one's property. I would contend, though, that the self-ownership proviso does not exhaust these moral limits. One should, for example, not severely damage the environment in using one's property; one should not destroy pieces of great art and important historical monuments, if one should come to own them; and one should not discriminate against people on the basis of sex or race when offering jobs on one's property. These are just examples. Some of them—perhaps all of them—may not determine enforceable bounds of justice but weaker moral considerations. But they all apply to the use of one's property. Yet they also apply to cases where no property rights are at stake. One should not severely disable someone's world-interactive powers or damage the environment by *other* means than using one's property. That is why I am inclined to deny that there is a specific proviso on the use of one's property. There simply are moral considerations beyond a libertarian theory of property rights.[15]

NOTES

1. Most "right libertarians" prefer to be called "libertarians" without any qualification. I discuss their arguments against Lockean provisos in Wendt 2016b.
2. Simmons suggests something like a sufficientarian proviso as an interpretation of Locke's "enough and as good" proviso (1992: 292–8). For a discussion, see Wendt 2016b.
3. Relatedly, Nagel and Murphy argue that property rights cannot morally constrain taxation (2002: 32–3).
4. Another powerful (type of) argument is consequentialist (e.g. Hayek 1945; Schmidtz 1994). In the end, the project-pursuit rationale and consequentialist arguments may well be interwoven.
5. On the common law practice of private property, see Rose 1985.
6. Mack pursues a similar strategy (1995: 198–202). See also van der Vossen 2009: 365–7.
7. On non-libertarian sufficientarianism see, e.g., Frankfurt 1988; Crisp 2003; Casal 2007. I discuss the idea of combining a proviso-free libertarianism with an independent sufficiency principle in Wendt 2016b.

8. For a libertarian theory of justice that endorses moderate welfare rights see Lomasky 1987: 125–9, 96–7. I discuss his theory in Wendt 2016b.
9. Mack, although advocating a practice conception, also endorses some inherent-feature conception (1990: 528).
10. "Left libertarianism" is used in a different sense in Chartier and Johnson 2011.
11. More precisely, every person *originally* owns an equal share of external resources and in that sense, the earth is not initially unowned, but no specific bundle of external resources is ascribed to specific persons and so there is a place for something like initial appropriation (Steiner 1994: 235n11).
12. In that sense, an egalitarian proviso will regularly clash with "effective" self-ownership (Cohen 1995: 102–5; Quong 2011: 66–77).
13. For an argument that Steiner's views on ownership in external resources also undermine self-ownership, see Mack 2009: 116–26.
14. Roark argues that any proviso on initial appropriation has to be applied to the use of *un*appropriated resources as well (2012).
15. I presented earlier versions of this paper at a conference of the Association for Social and Political Philosophy in Amsterdam in June 2015, at a MANCEPT workshop on "Lockean libertarianism" in Manchester in September 2015, at a paper workshop at Bielefeld University in February 2016, and in a submitted symposium session at the Central Division Meeting of the American Philosophical Association (APA) in Chicago in March 2016. I thank all audiences for invaluable feedback, I thank Bas van der Vossen for his excellent commentary at the APA in Chicago, and I thank the three editors for their very helpful written comments.

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13

Liberty: A PPE Approach

Geoffrey Brennan

I

The object of this chapter is to put into explicit contrast the way in which political scientists and philosophers, on the one hand, and economists on the other, tend to view liberty—or at least, frame the idea of liberty. I regard this exercise as one in "PPE scholarship"—which explains the subtitle to this paper.

To claim that there is this kind of disciplinary contrast might seem to imply that all political philosophers/theorists think of liberty in the same way but in a different way from that in which all economists think of liberty. That is an implication I do not intend; I do not think there is any consensus in either discipline—but I do think there is a sense in which there *are* rival camps (or at least there would be if economists were inclined to think much about liberty[1] at all, at least at the relevant level of abstraction.)

One such difference that I will *not* be discussing here is that economists tend to think about liberty *instrumentally*. They tend to think that liberty is a good (if it *is* a good) because it allows greater material well-being or greater preference satisfaction.[2] Political philosophers/theorists by contrast tend to think of liberty as an *intrinsic* good. In cases where liberty conflicts with well-being (or preference satisfaction, to the extent that philosophers think preference satisfaction is a good), political philosophers/theorists may be prepared to make trade-offs between liberty and other valued things, but liberty will remain independently valuable. Perhaps this underlying normative difference has some influence on exactly how liberty is understood across the disciplinary divide that is relevant here. But in the first instance, I am taking it that the concept of liberty need not be affected by such normative considerations. The kinds of issues I seek to explore do not, I think, entirely collapse to matters of how and why liberty is valued. They relate much more centrally to how exactly liberty is to be understood.

If there is a single central issue that I am concerned with here, it revolves around the question: What is the difference between "interference" and "interdependence"? That question is important, as I see it, because unless one can plausibly make such a distinction—if all negative interdependencies are treated as interferences—then understanding liberty as non-interference (as almost everyone does) commits one to a conception of liberty as *independence*. And that is a conception that I think ought to be rejected.

Or to put the central question in another way: What is the difference between a harm and a loss? Interdependencies of the kind that economists are centrally concerned with involve a liability to endure losses. In market transactions, it is very frequently the case that *someone* loses—even if most of the parties make gains and even if the aggregate of those gains exceeds the aggregate of any losses endured. If those losses are treated as "harms"—treated, that is, as normatively relevant "interferences" and hence violations of the losers' liberty—then the only way to maintain one's liberty intact is to refrain from participation in the market order. Any economist is likely to regard that conclusion as a *reductio ad absurdum*. Perhaps, when that implication is made salient, so are most political philosophers/theorists. Yet there are certain presumptions within political philosophy that tend to occlude the distinction between harms and losses. My aim here is to expose those presumptions and call them into question.

A third aspect of the same family of concerns relates to how the disciplinary approaches tend to conceptualize rights. In the political philosophy/theory tradition, rights are conceived primarily as protections. If rights are understood as *moral* constructs, then A's possession of a right means that when B does something that violates that right, B is doing something wrong and incurs an obligation to set that wrong thing right. If rights are understood *legally*, then a rights violation will incur the force of law in rectification and perhaps the mobilization of state protections to prevent violations *ex ante*. In the economist's lexicon, however, rights tend to be construed as permissions—permissions first and foremost to engage in exchange with other rights holders but also permissions to impose losses on any third parties who might happen to be made worse off by such exchanges. On this view, rights become just the point of departure in an enterprise for the creation of what Adam Smith refers to as "general plenty." Of course, rights usually do double duty here—they are simultaneously protections and permissions. But as a general rule, political philosophy emphasizes the protective aspect and economics the permission-giving aspect.[3] This permission-giving aspect arises only under exchange, so "inalienable" rights do not have this double-sided feature. But inalienability can arise either from feasibility or desirability considerations; if it is impossible to alienate a right, then the issue of alienability as a normative category doesn't arise. But if inalienability is a normative consideration, then economists are likely to be skeptical as to its desirability—largely on liberty grounds. If an agent seeks to make a right the object of exchange with another agent, it looks like an invasion of her liberty to be refused permission to pursue that exchange.

One thing we have learned from so-called "behavioral economics" (and the intersection between economics and psychology) is the importance of framing. Here, I want to make the claim that most political philosophers (and political theorists from the political-science side) frame their understanding of liberty through Hobbes (or at least a folk version of Hobbes); economists, by contrast, frame their understanding of liberty through Adam Smith. The way in which this framing makes a difference lies, I think, in the presumed connection between liberty and independence. Political theorists tend to think that there is a close (positive) connection. Economists, at least if they took the central messages of Adam Smith seriously, would be led to think that there is no connection at all; or, if there is, that the relation between liberty and independence is almost certainly negative.

II

The Hobbesian picture has two aspects. The first is a physicalist definition of liberty. So when liberty is defined by "absence of interference," the interference in question is understood in physical terms. So a river is "*free*" to run downhill if its path is not blocked by a rock or a dam or some other "obstruction." What is "free" here is understood as that which is established by nature (the laws of gravity, perhaps). Accordingly, and this is the second aspect of the Hobbesian picture, people in the "state of nature" are by stipulation maximally free. A central property of people in the Hobbesian conception of the state of nature is that they are *solitary*. And they have reason to avoid one another because there are no artificial laws to restrain their interactions. All interactions between individuals, whatever else those interactions do, involve restrictions on the liberty of those who interact. Each agent is conceived as an independent locus of movement; and whenever those loci intersect—whenever the independent atoms bounce off each other, as it were—there is an instance of each restraining the liberty of the other. To use a road analogy, the driver is only completely free to use the road when there are no other cars to "interfere" with her progress. Once other cars appear, each has to negotiate the road space with others; they "interfere" with each other whenever they inhibit one another's "freedom" of movement. So the smaller the degree of interdependence, the freer the road users are.

Of course, life in the Hobbesian state of nature is, as well as being solitary, "nasty, brutish and short": it is a "war of all against all." On this basis, each will have reason to submit to an arrangement that allows exit from the state of nature—to submit, that is, to the rule of a king (or ruling group). However, the material and civic gains that each accrues from submitting to that rule are *by definition* bought at the cost of the individual's liberty. Freedom is sacrificed for civilization. This is, Hobbes thinks, an excellent bargain, one that all have reason to make. But in that bargain, freedom is necessarily diminished.

The implication is that Crusoe on his island[4] is, whatever else, maximally free. He cannot be the object of interference by any other person. And as Crusoe enters more fully into society, his freedom is compromised.

And something of the same spirit infuses Locke (to say nothing of Rousseau). Is there not a suggestion within the Lockean scheme that the "self-reliant" small land-holder enjoys more freedom (because more "independence") than his city-dwelling counterpart? Is there not a suggestion that a society of such "independent" landowners represents some kind of libertarian ideal?[5]

Such thoughts may not survive detailed exegesis, but they do seem to me to set a tone—one that establishes the broad frame within which a predominant tradition in political theory comes to understand liberty. The spirit of the framing is that entrance into ordered society is a bargain in which liberty is sacrificed for things more highly valued. The only truly free man in this intellectual scheme is Robinson Crusoe. And the reason is that any interdependence with another individual is framed as interference and has a resultant negative valence. Relations between individuals within the state of nature are essentially negative; the role of law is to place *limits* on such relations.

Philip Pettit seems to me entirely correct when he characterizes this conception of liberty as "the liberty of the heath," and right too to insist (as I shall argue below) that any useful concept of liberty has to be consistent with "liberty *within society*"—that is, it has to be able to distinguish relationships that are more or less free in a manner that does not frame any relationship at all as presumptively freedom diminishing.

III

Suppose instead one were to consider the understanding of interdependence through the lens of the first few chapters of the *Wealth of Nations* (*WN*). It might come as a surprise to many (including many economists) that the central notion in Smith's version of economics is not "scarcity", not "competition", but *cooperation*! Yet such it is. Recall Smith's observation as he concludes his first chapter:

> If we examine … and observe …, we shall be sensible that without the assistance and co-operation of many thousands, the very meanest person in a civilized country could not be provided, even according to what we very falsely imagine, the easy and simple manner in which he is commonly accommodated.
>
> [WN I.i.11]

The point of departure for Smith is *not* with a kind of natural competition that arises from the limited availability of goods that are essentially "rival" (in the sense that more for you means less *ceteris paribus* for me). Instead, the central point is Smith's observation of extensive *cooperation* between members of the human species. For Smith, this is a brute fact, from which his account of social relations must take off.

And for Smith, such cooperation is constituted by the "mutual advantages"[6] that emerge in commercial society. After all, the point of Smith's deployment of the pin factory example—an "*example of a very trifling manufacture*"—is precisely to underline just how large these mutual advantages are, increasing productivity by a factor of at least 240, and perhaps of 4800!

Mobilizing these huge advantages depends on the capacity to *exchange*: man does not, after all, live by pins alone! And accordingly, exchange is the topic of Smith's second chapter. However, it is important to recognize that the gains from exchange *as such* are not the central source of general benefit in the Smithian scheme. There are such gains, to be sure. The brewer and I both gain when I exchange my money for his product. But the chief advantage of such transactions arises from the vast increase in the amount of beer available when the brewer specializes.[7] The gains from exchange as such—from *exchange* as distinct from *specialization*—are, as we might put it, small beer! Put another way, there is point in Smith's ordering of his chapters!

Nevertheless, the "propensity to truck and barter" is sufficient, Smith thinks, as well as necessary for the particular division of labour that we observe. That division of labour emerges gradually as individuals begin to depend systematically on one another for different goods. Different professions emerge, and the skills associated with specialization become more pronounced. Even in primitive societies, there is some minimal division of labour, and Smith sketches a conjectural history of how, from that primitive base, commercial society may have emerged.

The upshot is that:

> the different produces of … respective talents, by the general disposition to truck, barter, and exchange, [are] brought, as it were, into a common stock, where every man may purchase whatever part of the produce of other men's talents he has occasion for.

Smith's references to "cooperation" in this connection should not be misread. He does not have in mind (at least here) any particular psychological propensities towards cooperativeness of spirit. On the contrary, as he emphasizes:

> In civilized society [man] stands at all times in need of the cooperation and assistance of great multitudes, while his whole life is scarce sufficient to gain the friendship of a few persons.

In other words, the cooperation of which Smith speaks is first and foremost a property of the outcomes that commercial society produces: It is an observation relating to the fact (as Smith sees it) of general advantage. There is no implication that any agent has some kind of prior disposition to be "cooperative."

IV

Now for all that we have said so far, it might be possible for the Hobbesian to concede to Smith that there are huge advantages to social order and still maintain that such advantages are purchased at the cost of individual liberty. When things are such that we stand at all times in need of the cooperation of great multitudes of others, then we depend on those others—and so lose our "independence." The thought would be that when men enter society (even Smithian society) they are selling themselves into slavery and should be recognized as doing so even if the rewards they get from doing so are spectacularly high.

There are, though, as I see it, two problems associated with carving up categories in this kind of way. The first is that the capacity to truck and barter is, as well as a "propensity," also a *freedom*. Recall that Robinson Crusoe is on his island not from preference but by shipwreck. And Alexander Selkirk (Crusoe's real-world counterpart) was on *his* island as a result of being deliberately marooned. Neither Selkirk nor Crusoe was isolated voluntarily! If they were thereby made "free," it was certainly not as a result of consent freely given; we would have to conclude that they had their freedom thrust unwillingly upon them!

Second, if we took the Hobbesian view, we would have to deny that there was any such thing as a "free market." Equally, we would have to exclude any such category as "voluntary exchange"—since exchange itself is an exercise in interdependence. Within the market order, people are "interfering" with each other all the time. Most of those interferences are positive in terms of the interferee's interests/well-being. But they remain, I take it, interferences none the less. If we are to establish a category of "interferences" that does not reduce to mere interdependence, then we have to stipulate what the difference is. Of course, one obvious thought in this connection is that an interference is an interdependence that imposes losses on the interferee. And since market exchanges make the parties to it better off (at least in the subjective *ex ante* sense), market independencies do not count as interferences. That thought is one that I shall want to interrogate in the next section. At this point, I simply want to underline what I take to be Pettit's central point—namely, that what is a required is an account of freedom *in relationship*—something that the account of freedom as independence rules out!

Before we leave Smith, there are two questions that it might be worthwhile registering. One involves what Smith saw as arising "by nature"—and in particular whether Smith saw the emergence of commercial society as itself a "natural" phenomenon. Certainly to truck and barter is treated by Smith as a natural propensity. And he refers extensively to the contrast between the rest of nature and humankind. The latter he thinks utterly distinctive in that the human species more or less self-organizes into a structure that maximizes symbiosis[8] between individual members. Moreover, the differences in "talents" (the basis for such symbiosis) that emerge in commercial society are endogenous to the process. Smith is skeptical about purely "natural" differences in productive capacities, and in any event, the gains from the division of labour that Smith describes do not logically depend on any such.[9] But it is not a central part of Smith's project to conceive of what society would look like in the absence of a governmental structure and thereby to try to trace the "value-added" by introducing the force of law. Smith treats the law essentially as a fact. And his project (in *WN* at least) is to explain how, with the law as background, it is possible that man comes to enjoy the condition of "universal opulence" that he identified with commercial society.

The second issue relates to Smith's notion of freedom. Smith surely denied that the idea of a "free market" is a contradiction in terms. He made quite explicitly reference to the "system of natural [sic] liberty." Among other things, it is characterized by:

> a society where things are left to follow their natural course, where there is perfect liberty, and where every man is perfectly free both to choose what occupation he thinks proper, and to change it as often as he thinks proper.
>
> [WN I.x.10]

V

Seen through the eyes of Adam Smith, interdependencies between agents are not to be thought of in terms of "interferences"—not occasions in which one or other or both must be made worse off or, for that matter, diverted from a "natural path." Rather they are opportunities for "cooperation"—for triumphing over natural scarcity by exploiting the division of labor. They are opportunities for each to attain the "general opulence" to which interdependence in commercial society gives rise.

Moreover, rising to this state of general opulence involves no sacrifice of liberty. Smith is perfectly explicit that "perfect liberty" is totally consistent with a market order, notwithstanding that the market order is one of very extensive (and possibly unimaginably extensive) interdependence. Indeed, any restriction on any individual's capacity to truck and barter would, for Smith it seems, be precisely the sort of thing that would make perfect liberty less than perfect.

Someone who frames liberty through a Hobbesian lens is inclined to think of human interactions negatively; someone who frames liberty through a Smithian lens is inclined to think of those interactions positively. But, one might think, this difference invites a basis for distinguishing between interdependence and interference—namely, "interference" involves losses/harms while interdependence of the kind associated with markets involves general gains.

But this idea fails on two grounds. The first is that it precludes the logical possibility of paternalism. For I take it that all genuine acts of paternalism have two characteristic features: a) they constitute an interference; and b) that the interferee is made better off, all things considered. If either feature is absent, then the category of "paternalism" is misapplied.

But the second problem (and the more important one for my purposes here) is that many of the interdependencies that arise in the market serve to make some individuals *worse* off. The network of interdependencies that constitutes the market entails the feature that each action undertaken by each agent stands to affect vast numbers of others (often to a minimal extent, to be sure), and not all of those effects are positive. To think otherwise is just a mistake.

I associate this mistake with Nozick, but in a sense, it might also be associated with John Rawls.[10] The mistake is the thought that the inter-dependencies characteristic of market exchanges factor themselves down into bilateral relations, in which the only parties affected by any exchange are those who are parties to it. So Nozick refers to market contracts as "commercial relations between consenting adults" as if all the parties *affected by* the contract were parties to it. And Rawls speaks of society as a "cooperative venture for mutual advantage" as if the advantages were entirely "mutual" (that is, to the advantage of both parties to any exchanges that occur).

This seems important in the Nozickean scheme because the basis of his critique of utilitarianism depends on individuals having rights that are associated with their rational attachment to their individual projects. Mack summarizes, with direct quotation:

> the key "moral content gotten by this argument which focuses upon the fact that there are distinct individuals each with his own life to lead" *is that* "sacrificing one person to benefit another" is morally prohibited.
>
> [ASU p. 34]

It is somewhat unclear in Nozick whether exchange must involve the prior consent of the other rights holder or merely the payment of compensation—but either way, it seems to be just a brute fact about the manner in which markets operate that the market does not treat "rights" in this way. That is, *when A and B enter into a contract, it is more or less routine that there will be others affected by that contract; and that at least some of those others will suffer losses; and that the losers in question will do so entirely involuntarily and without compensation*. This conclusion is, as I say, just a direct upshot of the Smithian picture of commercial society as a complex network of interdependencies.

An example I like to give to my Duke University students will make the point. As I understand the history, the fortune acquired by James Buchanan Duke (Buck)—and on the basis of which Duke University was founded—got its first start when Buck did a deal with James Bonsack, inventor and patent–owner of a machine for the making of pre-rolled cigarettes. Up until that time, such cigarettes were hand-made by skilled workers (many of them women). Bonsack's machine, quite apart from its capacity to make cigarettes that were totally uniform, could produce cigarettes at the rate of 200 per minute—about the same number that a skilled worker could make in an hour! Armed with the resultant productivity increase, a special deal with Bonsack (one that included a resident Bonsack engineer who could keep Duke's two machines running) and an aggressive advertising campaign, Buck, reasonably soon, rendered his competitors vulnerable for takeover, and eventually he formed the American Tobacco Company, an entity which at its peak supplied 90 percent of the US market.

Clearly, the contract between Mr Duke and Mr Bonsack was highly mutually agreeable: Neither sustained any loss in the value of his market right—on the contrary. But equally clearly, this was very bad news for the skilled workers who had previously been making hand-rolled cigarettes. Their "human capital" sustained a very substantial loss in value—a loss that nothing in the logic of market operations would compensate them for. And this sort of outcome is not by any means uncommon. To deploy an expression coined by Joseph Schumpeter, the market system operates by "creative destruction," and the things "destroyed" are attached to people with interests and projects no different in kind from Mr Duke's or Mr Bonsack's.

(As a matter of interest, Schumpeter was rather deprecatory about Smith: He thought the division of labour a cliché in economic analysis and not worth much attention. But Schumpeter's idea of creative destruction is, like so much else, a pretty direct extrapolation from arguments in Smith. The basis of the gains from specialization lies in the acquisition of human capital—skills both in substantive activities and in the making of machines—and as the division of labour becomes more extensive, certain skills are liable to be rendered obsolete or at least have their market value very substantially diminished. The shift to a more refined division of labour will almost certainly involve "losers," and some of those losers may lose a great deal.)[11]

The point of this story is just to underline a general point—that the rights which in the market setting are the basis for making "mutually advantageous" contracts are not just protections against certain kinds of losses (against theft or property destruction or [uncompensated] personal injury). *Those rights are also entitlements to impose losses on others*. That is how the market system works, and it almost certainly could not work any other way.

Now I am not claiming here that the existence of such losses vitiates the case for the market order. There remains a perfectly good utilitarian case for the market, and if one follows Harsanyi and Buchanan (rather than Rawls) in predicting what individuals would rationally consent to behind the veil of ignorance, there may be a broadly contractarian case for markets as well. There is no necessary presumption that if Bonsack and Duke had had to compensate the makers of hand-crafted cigarettes who suffered from Bonsack's invention for losses endured, they could not have done so and still been better off.[12] Overall, it seems plausible that most of those who lost were nevertheless better off than they would have been in Hobbesian (or even Lockean) anarchy. My point here is just this: If one is to argue for the market system as an instantiation of voluntariness, one has to do more work than establish that the *parties to an exchange* are both made better off in an expected sense. In a system of extended interdependence, parties to the exchange are rarely the only parties affected by that exchange!

VI

To complete the thought at stake here, we might ask: What provisions would be necessary to ensure that the market order was indeed a site of totally voluntary transactions between consenting adults? One possible answer might seem to be that each member of the trading nexus would have to be given a veto over any and all transactions, so that she could exercise that veto in any case where she faced losses. That is, the strictly bilateral exchange relations, characteristic of markets, would have to be effectively replaced by collective decision making governed by unanimity.

This possibility relates directly to the analysis that Buchanan and Tullock (1962) offer in relation to explicitly collective ("political") decision making. In the Wicksellian (1896) version of the argument, from which Buchanan takes inspiration, the unanimous decision procedure is made to operate on the basis of a prior determination of the "just distribution." In the Nozickean version, the "initial endowments" on the basis of which the possibility of approved exchanges would proceed would have to be set by the "natural rights" structure.

But let us rehearse the Buchanan and Tullock analysis in relation to collective decision-making rules. What they observe is that unanimity as a case-by-case decision rule is self-defeating. That is, behind the "veil of ignorance" that such general abstract reflection is taken to impose on individuals, there would be unanimous consent to dispense with unanimity as the decision-making rule. There would be a recognition that under unanimity, each would have an incentive to hold out against allowing any collective deals, even ones that left the objector otherwise unaffected. Each can make a grab for the general surplus that the supply of public goods makes possible; that surplus becomes, under this scheme, a collectively owned good. And this means that almost no deals will be consummated. So individuals will rationally (and unanimously) retreat from unanimity to a collective decision-making rule that has lower "decision-making" costs, even though they may stand to lose by collective deals that are approved of by others. Buchanan and Tullock claim that there is nothing special about simple majority rule in such a setting; there is no particular reason to suspect that the optimal compromise between expected gains (from decisions supported by a decisive coalition of which you are a member) and expected losses (from decisions supported by coalitions of which you are not a member) will happen to fall where the required coalition size is 50 percent +1. And for many kinds of decisions, Buchanan/Tullock predict that much more restrictive decision rules will be required than simple majority (though the restrictions might be implemented not so much by supra-majority rules as through the creation of veto players—presidents, supreme courts, upper houses, etc.). In this process, the decision rule that is decided upon will predictably leave some players worse off in its operation in any instance and some, rather smaller, number worse off over the whole set of instances taken together. The status of the decision rule is not that it rules out the imposition of losses in its operation but rather that it has been endorsed by a non-coercive (i.e. unanimous) decision procedure. Put another way, the losses that individuals endure as a result of less-than-unanimous political decisions are not to be construed as *harms* because everyone consents to them; everyone (in a Harsanyi-like constitutional bargain) enters into a risky venture in which expected gains are very significantly positive but where none can rule out a small chance of being made worse off (that is, of being undercompensated for rights violations).

Buchanan nowhere, as far as I know, pursues the analogy with the market case directly, but it seems to me that such extension is simple and straightforward. In the market analogy, the contrast is between collective ownership of the possible total exchange surplus and assigning that surplus in a particular way across the set of possible claimants. It is not the case that parties to the exchange have full entitlement to any surplus that is generated, because it is often the case that exchanges between A and B generate incidental benefits to C and D (as well as losses to E and F) compared with the pre-exchange benchmark. So, for example, in the Duke/Bonsack case, engineers in Bonsack's factory and specific factors in the manufacture of cigarette papers and tobacco growers may all benefit to some extent. Those incidental benefits, as well as the incidental losses, fall where they will. The pattern of gains and losses simply reflects the multiple interdependencies that are characteristic of a complex division of labour. Mr Duke and Mr Bonsack can no more make claim to appropriate those benefits as the hand-rollers can make claim against Duke and Bonsack when those hand-rollers sustain losses. The idea is that contracting individuals behind the veil of ignorance (would) consent to the operation of the market based on standard rules concerning market transactions, not because in every instance market exchanges are expected to provide universal benefits but because insistence on full compensation of any losers in any change is judged unworkable.

But of course, possession of a right of veto is possession of a right to share in the fruits of any and all transactions. The idea that rights owners might truck and barter to mutual advantage depends on others *not* having the right to make claims on the fruits of those transactions. Put another way, the right to truck and barter is meaningless if every exchange must secure unanimous consent.

The Buchanan/Tullock prediction is of course that all rights holders would rationally consent to an arrangement in which they can "truck and barter"—an arrangement in which certain things count as harms or wrongs or crimes and certain others as mere losses. Individuals would rationally consent, partly because engaging in exchange involves the exercise of a freedom and partly because the gains on offer are huge—perhaps of the order of a 4800-fold increase in well-being, if we can extrapolate from Smith's "*example of a trifling manufacture*". Of course, in any transaction to which one is not party, there is always a risk of loss. And any such losses are involuntary. They are not, however, to be understood as harms because the structure of markets is such that such losses do not count as rights violations.

VII

If all this is accepted, it has one important implication. Markets are, at least conceptually, exactly like in-period politics. They are both justified by virtue of the voluntary consent of participants to the rules by which they operate; the *content* of those rules, we might predict, will be such as to make due allowance for expected losses—the likelihood, under different institutional arrangements, of uncompensated acts of mine (yours) that leave you (me) worse off. But voluntary participation doesn't rule out the possibility of such losses, and if we were to rule that possibility out, then there would be negligible participation!

There are a couple of things we might say about this. One is that there is an important difference of degree between markets and political processes. An individual could, in principle, opt out of markets: she could choose to subsist on what she could forage and/or catch naturally; she could wear only clothes of her own manufacture using only naturally available material, and so on. So she might plausibly sign on to allowing others to participate in markets on the agreed terms in full knowledge that this would not require her (or others who had her tastes) to participate. She could not so readily opt out of politics. If the political community required her to vote or do jury duty or refrain from lighting fires in the forest, she could be forced to do so. And if she were murdered, then the law would pursue her killer, and would-be murderers know this and so are discouraged from the attempt; she would enjoy the protection of the law willy nilly. So if she were disposed to find such things distasteful, she could veto the construction of a state in the first place (at least on the Buchanan logic). Put another way, mere participation in markets can be seen as constituting some kind of consent to its terms. Participation in politics (in the sense of being subject to collectively imposed regulations) cannot carry the same penumbra of consent. Still, market non-participation is not much of an option for most of us; Smith's treatment, for example, has the implication that most of us could not survive it!

The second comment is that the argument is, in one way, back where it started. The only concept of a "free market" that we have so far admitted here is simply a market that is freely entered into (whatever its precise terms). But surely we do not want to be so limited in our vocabulary. It seems right to insist that voluntary consent to general rules might be one element in establishing whether the terms of interaction are "free," but that does not seem to be a sufficient test. Certainly, Smith's notion of a free market—one that exhibits "perfect liberty"—makes no reference to the arrangements that people consent to. We know, for example, that people do not refuse to participate in market transactions just because they are regulated in various ways—so the tacit agreement test is fulfilled where the market is not "perfectly free" in Smith's sense. Of course, one might say that the market is "free" if the restrictions to which it is subject were endorsed under collective decision-making procedures that themselves were more or less unanimously approved. (In that event, to call the provisions "restrictions" might be viewed as tendentious. The thought might go that markets are by their nature "systems of regulation," and so we should not second guess exactly what regulatory provisions citizens would choose to impose.) It seems to me that there is a clear tension between process and substantive criteria for what makes a market "free" (a distinction between what Buchanan would term "constitutional" and "in-period" requirements). But in any case, I reckon that ordinary linguistic conventions would not be consistent with defining any arrangement freely entered into as a "free arrangement." I have been insistent that we want to call some systems of interdependence "freer" than others, and I don't think we should want to reduce that idea of free relations to "relations freely entered into."

In other words, I cannot see any case, within the analytic vocabulary of constitutional contractarian scheme, why we should think that a "freely chosen" market would be one that operated without any further restrictions. Nothing in the Buchanan framework suggests that Smith's own definition of a "free market" would survive: a market "*where things were left to follow their natural course*" would not necessarily be the same as one in which *"there was perfect liberty"* if liberty is understood in its contractarian sense. That conclusion is just an upshot of the observation that markets and collective decision procedures have equal status in the constitutional calculus: They both stand or fall to the extent that they are subject to the requisite (unanimous) consent behind the veil of ignorance. I see no other way of making sense of the contractarian position.

VIII

I want to elaborate the argument given so far by two illustrative examples. One invokes Coase (1961). The other invokes an elaboration of the Buchanan and Tullock (1962) argument applied to collective decision procedures.

In "The Problem of Social Cost," Coase asks: How should rights be defined when transactions costs are significant? As Coase points out, when transactions costs are insignificant, it does not matter much how rights are allocated; rights can be allocated in such a way that any and all losses imposed on any and all market participants must be fully compensated so as to ensure that any "natural rights" allocation is not upset by market transactions. (The low transactions costs assumption just means that working out who such people are and how much they require for compensation is a minor exercise.) But Coase does not think that transactions costs are invariably negligible, and all sorts of market phenomena—like the existence of firms, most specifically[13]—are testament to the fact that transactions costs are significant.

Coase's answer to his own question concerning rights allocations when transactions costs are significant is that courts should follow the Learned Hand rule: allocate rights to the party so as to minimize social costs. (In effect, that rule requires judges to speculate as to who would end up owning the right if transactions costs were indeed insignificant). This rule pays no attention to any prior considerations of "natural rights theory." The Learned Hand rule is at base a simple application of the hypothetical compensation rule of welfare economics for the relevant case. And as Sen (1970)[14] has emphasized, that kind of rule can be at odds with what "liberal principles" imply; there can be no general expectation that the Coasian rule will generate an allocation in accord with natural rights.[15] Of course, such natural rights are not necessarily inalienable; in the market, they become the *basis* for exchange, not in general a reason why exchange should not occur. But by Coase's lights, the central function of the rights structure is to facilitate (or simulate) exchange, whereas a concern with liberty (at least as I see it) entails a prior specification of the liberal rights structure and a decision procedure (carried out by an appropriately "liberal" judge) that includes the normative weight of that structure.[16]

The second example comes from the "optimal constitution" calculus in Buchanan and Tullock's *Calculus of Consent* (1962). It will be recalled that the core consideration in the determination of the optimal decision-making rule is the minimization of total expected costs associated with alternative decision rules (so in that sense, somewhat Coasian in spirit). These expected costs are made up of two components. One is the decision-making costs associated with securing consensus across successively higher proportions of the citizenry. These costs are taken to be increasing in the proportion of the citizenry that is required for a proposal to be enacted (N) with the maximum of such costs being at unanimity. The other element is termed *external costs*—which refers to the net losses that one can expect to endure when one is not part of the decision-making coalition. Buchanan and Tullock suppose that such losses are zero under unanimity (N = 100 percent) because each can veto policies that make her worse off. But as N falls, the likelihood increases that policies will be enacted that leave you worse off. The optimal N, according to Buchanan and Tullock, will be set where the sum of these two costs is minimized; rational constitutional participants behind an appropriately thick veil of ignorance are supposed to trade off the two elements of cost, one increasing and the other falling as N increases. But what one might note here is that, while these two elements of cost have equal status as costs, they do not seem to have equal status as far as liberty is concerned. After all, decision-making costs are costs that each enters into voluntarily as she attempts to make collective deals of which she approves. By contrast, external costs are thrust upon each involuntarily; they involve departures from the entitlements that the liberal rights structure assigns. To be sure, some such costs are the price that the rational agent is prepared to pay in order to secure the benefits of collective decisions—but the agent who is properly averse to rights violations will weigh those external costs more highly than she will weigh decision-making costs. In that sense, the "optimal" decision rule that will emerge from a constitutional calculus among individuals who value liberty as such will be more restrictive than the one Buchanan and Tullock isolate as "optimal." To say this is not to suggest that the optimal decision rule for liberty valuers will collapse to unanimity. The point is not that such individuals will necessarily treat rights as trumps. To do so almost certainly would, for example, exclude any reliance on markets at all. The Buchanan/Tullock constitutional analysis surely gets something right—that, as an in-period decision rule, unanimity is self-defeating. But to concede this is not to concede that rights violations have no status at the in-period level at all. And if one thinks, as I am inclined to do, that decision-making costs and external costs have a different implication with respect to rights violations, then a classical liberal will weigh the latter costs more heavily.

One important implication of the Buchanan/Tullock approach is that it is just a mistake to treat all government action as intrinsically "coercive"—and no less a mistake to treat the size of the fiscal take (as a share of GDP, say) as inversely related to the amount of liberty that the citizens of a polity enjoy. Both political processes and market processes involve winners and losers, and the losers in both cases are involuntary victims of the decisions of others. As far as I can see, that is just a necessary feature of the fact that individuals in any tolerably well-functioning institutional order are interdependent, and interdependent, moreover, in a way that is extremely beneficial in general expected terms. But of course in any individual transaction (whether in the market or the polity), some individuals are likely to lose something. And perhaps some individuals would end up being better off if market transactions were heavily restricted. This fact is, however, not sufficient to establish that independence as such is to be prized—and any intellectual scheme that suggests that that is so seems to me to be not worth taking seriously.

IX

Time to summarize. The object of this exercise has been to examine the idea of liberty taking a PPE approach. What I have taken from the E-aspect is the general framing idea that interdependence between individuals is presumptively good—that such interdependence spectacularly increases individual well-being on average. Accordingly, any account of liberty that identifies liberty with independence has to be misguided. But interdependence does carry the possibility that others might do things that impose losses on you. Certainly that is true within the marketplace, and it is even more evident in relation to the directly collective decision making characteristic of "politics."

Now, few political theorists define liberty as absence of interdependence. The standard definition invokes the concept of "interference." But that means that we have to distinguish between "interferences" (the imposition, as we might put it, of "harms") and interdependencies (including the imposition of "losses"). The necessity of making that distinction is occluded by the casual assumption that markets are arenas of voluntariness—as if the only parties *affected* by any exchange are those who are party to it. So, when Rawls refers to society as a "cooperative venture for mutual advantage," it would be better (because more careful) to refer to a venture for *general* advantage; mutuality, in implying that each must be made better off, assumes too much.[17]

I have not here indicated exactly how the distinction between "harms" and "losses" should be drawn. I am inclined to the view that no such distinction can be drawn without a prior specification of rights. My only contribution to that exercise has been to raise doubts on two fronts. First, I do not see how the Coasian idea—that rights are appropriately to be defined in terms of what arrangements maximize the benefits from exchange—can do the necessary work. That move seems to me just to deny the distinction between harms and losses; or, better put, it just wipes the notion of interference (and hence liberty) off the table. Second, I do not see how one might claim—apart from a mere stipulation—that losses are something endured in the market while harms are something imposed by governments. If, for example, one appeals to the framework of constitutional analysis set out by Buchanan and Tullock (1962), it seems clear to me that both markets and political processes enjoy the same status and by virtue of the same procedure—namely quasi-unanimous agreement behind a veil of ignorance that is assumed to be appropriately thick. However, I have suggested one "liberty-based" modification to that constitutional contractarian scheme. I have suggested how a concern for a prior rights determination might influence the Buchanan and Tullock "calculus" in favour of a more restrictive decision-making rule than the one they derive.

Although I do not think Coase or Buchanan and Tullock get the distinction between interference and interdependence right, I think there is something in the idea that the "right" to participate in processes that stand to significantly increase the agent's well-being is a genuine right. So to characterize the Hobbesian state of nature—or Crusoe's situation on his island—as one of maximal freedom strikes me as hopelessly counter-intuitive. I cannot see that denying individuals the option to enter society because it would render them susceptible to enduring losses can be plausibly represented as defending their freedom.

NOTES

1. Economists' preoccupations with "preference satisfaction" and related notions such as Pareto optimality are well known. One element in the PPE agenda is to broaden the normative framework that might be deployed in the areas of application economists are interested in.
2. For purposes here, I am taking it that well-being and preference satisfaction are distinct concepts. Some economists seem to want to deny that distinction. But I think they are wrong to do so, and in any case, the issue is not central here.
3. It is an insight of Sen's (1970) that these roles may be in conflict—that the rights structure that best instantiates liberty may differ from that which allows maximal exchange.
4. At least before the cannibals arrive with their intended lunch!
5. This same spirit plays out in much of the English literature of a century or so later—in the poetry of William Wordsworth and the novels of Jane Austen (think for example of how in *Mansfield Park*, London and its ways are cast as the apotheosis of all that is brazen and unrefined). It is perhaps not until Elizabeth

Gaskell's *North and South* that one sees a serious attempt within the novel to paint a more sympathetic picture of life in close proximity with others!

6. To use John Rawls's phrase.
7. In a paper sometimes given to students in Economics Principles classes, R. A. Radford describes how a market arises in a prisoner-of-war camp for the different products that arrive periodically in Red Cross packages and "parcels from home." He describes how there is mutually beneficial exchange according to differences in preferences for cigarettes versus toiletries versus chocolate (and for that matter in attitudes to risk and time). But such gains are not the primary point of Smith's observations; there is no *production* in the prisoner-of-war case and so negligible specialization. (There is *some* limited specialization in terms of entrepreneurial functions—buying cheap and selling high!)
8. James Buchanan (1964), siding with Richard Whateley (1832) in his desire to change the name of *economics* (with its connotation of "economizing" on scarcity), suggests as one alternative, *symbiotics*—though he also expresses support for Whateley's preferred title, *catallaxy* (or the science of exchange).
9. In this respect, Smith is quite different from Aristotle—and for that matter, Ricardo—for whom natural differences (in climate in the Ricardian case) are absolutely necessary for gains from exchange.
10. Nozick and Rawls may be represented as similar in other ways—in particular in the Kantian spirit of their respective points of departure and in their similar lines of critique of utilitarianism. See Eric Mack's (2014) entry in the *Stanford Encyclopedia of Philosophy* on Nozick's political philosophy.
11. A related point is that specialization increases risk. If product prices are stochastically determined, then product-specific capital is rendered more liable to larger losses (and also larger gains).
12. People who acquired lung cancer because they smoked more cigarettes because cigarettes became cheaper might perhaps tell a different story.
13. See Coase (1937) on the explanation for firms; and the related literature on 'transactions costs', for example, Williamson (1996).
14. See also Buchanan (1974) in an extended review of Posner (1972).
15. The relation between Coase and Sen is taken up in greater detail in Brennan (2015).
16. Sen seems to suppose (wrongly, in my view) that the liberal rights structure should trump "social cost" ("Paretian" in Sen's terms) considerations entirely.
17. Of course, the Rawlsian project is to ensure that society *is* an engine of universal advantage. But society becomes that not by stipulation but by various institutional provisions, of which policies governed by maximin would be an example.

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14

The Myths of the Self-Ownership Thesis

Jason Brennan and Bas van der Vossen

The idea of self-ownership lies close to the heart of libertarianism. The view affirms that each person, no matter their background, ethnicity, gender, or social or economic status has a right to live their own life as they see fit, consistent with the same rights for others. As self-owners, we do not need permission to take a certain job. As self-owners, we do not need permission to move to a different place. As self-owners, we can say no to those who want to touch us or use our bodies in ways we do not want.

Perhaps because the idea is so central, many commentators treat self-ownership as the foundation or starting point of libertarian theories. Most famously (or infamously), Robert Nozick's *Anarchy, State, and Utopia* (1974) is said to heavily rely on this idea. The principle of self-ownership is supposed to move us to accept Nozick's libertarian outlook. For Nozick, it is said, self-ownership is the premise, libertarianism the conclusion (see Cohen 1995; Taylor, 2004; Mack, 2002; Vallentyne and Steiner, 2002).

Critics of Nozick, and of libertarianism in general, thus take their task to be simply the undermining of the idea of self-ownership. Consider Dave Sobel's recent comments:

> Because property rights in this tradition have been understood to create such powerful moral side constraints on permissible action, such libertarians have been able to offer a very simple, intuitive, principled, and not very hostage to empirical fortune rationale for the central conclusions we associate with libertarianism. Why may the state not forcibly take some of my money or blood and give it to others who need it more badly than I do? Because to do so would be to violate my morally very powerful property rights. Why may the state not act paternalistically toward its citizens? Again, because doing so would wrongly suppose that you rather than I may decide what will happen to things I own. Why may the state not regulate what kind of sex I may have with consenting competent adults or what I may smoke in ways that infringe on no one else's rights? Ditto.
>
> (Sobel 2012, pp. 33–4)

Similar sentiments can be found in Thomas Nagel (1975) and G. A. Cohen (1995).

We disagree. On our reading, Nozick is not best understood in this way. And, more importantly, libertarianism as a theory is not best understood in this way. Contrary to the critics' popular view, self-ownership is the conclusion at which libertarian theories aim. It's the idea that results, or arises, once we take seriously the arguments that libertarians, including Nozick, have to offer. In part, then, self-ownership is an attractive moral ideal because its denial is morally very unattractive.

As a result, every reasonable or remotely plausible theory of justice will have to recognize some role for the self-ownership thesis. And disputes between libertarians and left liberals are not really about whether individuals are self-owners but rather about *which* conception of self-ownership is the correct one. So, self-ownership is not a myth. But there are a number of myths about it, including A) that it is a foundational premise in libertarian, especially Robert Nozick's, thought; and B) that left liberals deny it while libertarians accept it.

RE-READING NOZICK

Many read Nozick as making the following kind of argument, the Self-Ownership Implies Libertarianism Argument:

1. Every moral agent is a self-owner.
2. To be a self-owner implies very weighty rights over one's own body, as well as (under the right circumstances) weighty rights to acquire, hold, and transfer property at one's will.
3. For the modern nation-state to produce (most) regulation, paternalistic laws, public goods, and social insurance, it has to violate these rights.
4. Therefore, the modern nation-state is to that extent unjust.

We suspect Nozick, at least as of writing *Anarchy, State, and Utopia*, did accept each of the premises of this argument. As a result, he would have to say the argument is sound.

But at the same time, it seems that Nozick recognizes that that the premises, especially premise 2, is controversial. For, aside from a remark in the preface that summarizes the puzzle he intends to engage with (Nozick 1974, p. ix), he nowhere appears to actually *make* this argument. In fact, throughout the book, Nozick doesn't make much use of the concept of self-ownership at all. If anything, it seems like Nozick thinks of the self-ownership thesis as a conclusion, not a premise.

The term *self-ownership* appears only once in *Anarchy, State and Utopia*, on p. 172. In that passage, Nozick says that certain conceptions of distributive justice do seem to represent a shift from the classical liberal thought that people own themselves to a view that people have partial ownership rights in one another. You could delete this short paragraph from the book, and it would have no effect on the overall argument.

Anarchy, State and Utopia is divided into three parts. Part I argues that a minimal state is compatible with the strong libertarian rights that certain anarcho-capitalist libertarians believe all people have. That is, Part I tries to show that a commitment to a very strong view of rights does not lead to anarchism. Part II argues that a more-than-minimal state is not defensible. Part III argues that a minimal state can be inspiring—that it can lead to something we might consider a kind of utopia. (See Brennan 2014 for a further defense of Nozick's utopia using G. A. Cohen's premises.)

Nozick begins *Anarchy, State and Utopia* as follows: "Individuals have rights, and there are things no person or group may do to them (without violating their rights). So strong and far-reaching are these rights that they raise the question of what, if anything, the state and its officials may do" (Nozick 1974, p. ix.). In the next paragraph, Nozick says that his main conclusions will be that a minimal state can be justified but that a more-than-minimal state cannot. A more-than-minimal state will violate people's rights. The state may not use coercion to get some citizens to aid others, nor may the state engage in any paternalistic activities. These opening paragraphs are misleading—they seem to cause most readers to misunderstand Nozick's argument.

Part I is primarily addressed to a subset of libertarians. It starts with the idea—which Nozick defends only very briefly—that people have very strong rights against coercive interference. One reason that Nozick takes this starting point is to avoid begging the question on his own behalf. The people he wants to criticize (in particular the anarcho-capitalist Murray Rothbard) believe that we have strong rights and that these rights prohibit any sort of state. And Nozick wants to show that at least a minimal state can be justified, *even if* people like Rothbard are correct that we have such strong and extensive rights. Nozick's strategy here is to argue that a minimal state could, and indeed predictably would, arise naturally without violating anyone's rights. While much of what happens in Part I, such as his critique of utilitarianism, is addressed to everyone, Part I is not an argument against the defenders of the more-than-minimal state.

If Part I is primarily meant to convince the anarcho-capitalist libertarian that the minimal state is justifiable, Part II is addressed to everyone else who would like the state to be more than minimal. Following Thomas Nagel (1975), many readers complain that *Anarchy, State and Utopia* lacks foundations. They complain that Nozick simply assumes—without much argument—that people have very strong and extensive rights (including property rights) against coercive interference. Philosophers worry that this makes his argument against the more-than-minimal state too easy. If we have a nearly absolute right to our rightfully acquired property—a right that can presumably be overridden only in order to prevent "catastrophic moral horror" (Nozick 1974, p.30)—then of course we cannot be taxed to provide a social minimum or public education.

Nozick does, of course, argue that such a more extensive state cannot be justified. But he crucially does not do this in the same way he argued in Part I. He does not simply appeal again to the rights he's invoked in Part I and argue that the more-than-minimal state is incompatible with them. Instead, he goes through a lengthy and complex set of arguments to show that the most popular defenses of the more-than-minimal state are untenable. Thus, Nozick constructs lengthy internal critiques of Marx, Rawls, and others. He also draws out what sees as the undesirable implications of the more-than-minimal state, arguing that it is incompatible with the liberal ideas Rawlsians and others espouse. If Nozick's argument in Part II were just that the minimal state is incompatible with Rothbard's view of rights, then Part II would only need to be about three pages long.

The first two paragraphs of *Anarchy, State and Utopia* mislead critics. However, the remainder of the book, and especially the last paragraph on p. xi, could have made them realize their mistake. Here's Nozick summarizing Part II again:

> Part II contends that no more extensive state can be justified. I proceed by arguing that a diversity of reasons which purport to justify a more extensive state, don't… [Nozick then discusses his internal critique of Rawls at great length] … Other reasons that some might think justify a more extensive state are criticized, including equality, envy, workers' control, and Marxian theories of exploitation.
>
> (Nozick 1974, p. xi)

Nozick argues against the more-than-minimal state not by showing that it is incompatible with self-ownership but by trying to show that a wide range of arguments for the more-than-minimal state fail. He tries to point out flaws in each of these arguments, usually by showing how these arguments clash with commonsense and widely shared moral beliefs or by showing that these arguments, if taken seriously, would not only show that the state can regulate the economy but should severely curtail civil rights as well.

For instance, in Chapter 8, Nozick considers a left-liberal argument on behalf of the claim that the government should regulate the economy and redistribute wealth in order to produce equal opportunity. His response is to note that the appeal of such arguments seems to rely on the metaphor of society being a race, a zero-sum game, and that they claim that winners should compensate losers. And because the metaphor is problematic and misleading in its own right (as society is *not* like a race), these arguments are not compelling. Society is a cooperative venture for mutual gain, not a race. It is a positive-sum game, not a zero-sum game. The arguments are not so much mistaken as they are *irrelevant*; egalitarians are giving us theories of justice for societies that work differently from actual commercial societies.

One reason the race metaphor is problematic is because of its implications in related contexts. Nozick asks us to suppose that his wife married him for his keen intelligence and good looks (Nozick 1974, p. 237–8). Suppose that he beat other suitors who were dumber and uglier. Should he or society as a whole have to compensate those other suitors for their loss? Should they pay for the suitors' plastic surgery or for classes to improve their intelligence? Should we consider handicapping smart, good-looking men in order to prevent them from having unfair and unearned advantages on the dating market? Nozick expects that the left liberals against whom he argues would consider such suggestions evil and absurd. And so, by extension, they should abandon their arguments for equality of opportunity in other contexts as well, unless they can somehow identify a principled reason why these arguments apply in some cases and not others.

Similar remarks apply to question of "having a say over what affects you" (Nozick 1974, 268–71). Nozick notes that many on the Left say that because individuals should have "a right to a say in important decisions that affect their lives," the state government should have extensive control over the economy (Nozick 1974, 168). But, Nozick notes, at least at first glance, this argument applies equally well for allowing the state to submit personal decisions about whom to marry to democratic control. He asks us to imagine a woman has four suitors. We would never think that these five people, or their friends and family, should get to vote on her decision, even though they "should have a right to say in important decisions that affect their lives." She has the right to say no, even if saying no devastates the suitors and their families.

Nozick uses arguments like this to point out something odd about how some left liberals (and others) think. They often maintain that certain arguments or reasons justify restricting economic liberty, or, more weakly, justify forcing those who do better under freedom to compensate those who do worse. For instance, someone on the Left might say, "Allowing competition on the market can hurt competitors, so we should restrict economic freedom or require winners to compensate losers." But, Nozick points out, none of them would *also* say, "Allowing competition for friends and lovers can hurt competitors, so we should restrict freedom of association or require winners to compensate losers." Or, a left liberal might say, "Asymmetric information in auto markets means that some people can exploit others, so the government ought to heavily regulate auto markets." A Nozickian response might be, "There's even more asymmetric information in dating markets, and the effects of bad relationships are even more devastating than paying too much for a used car. Should the government thus heavily regulate dating?" A left-liberal would probably say that of course it shouldn't, but, Nozick might say, this tells us that the asymmetric information argument isn't doing the real work for that left liberal.

A NOZICKIAN REJOINDER TO NAGEL AND MURPHY'S MYTH OF OWNERSHIP

One of Nozick's main moves in Part II is to show the left typically *assumes*, rather than *proves*, that economic liberty is of lower status and importance than civil liberty. Leftist philosophers offer some argument for restricting personal economic liberty. Nozick asks whether this argument isn't also an argument for restricting the civil liberties we all agree people ought to have? If an argument for regulating the market applies equally well as an argument for regulating friendship, then why think it only "works" as an argument for state control of the economy? Unless we're offered a principled, non-question-begging reason to distinguish the two, the argument is again to be rejected.

We can see the force of this style of argument by considering Liam Murphy and Thomas Nagel's recent attack on a certain conception of property rights in *The Myth of Ownership* (2002). Murphy and Nagel appear to have a quick, decisive objection to natural-rights libertarianism, as well as what they called "everyday libertarianism" (Murphy and Nagel 2002, p. 37). But if their argument succeeds, we might say, following Nozick, that it doesn't just show libertarianism to be false but causes trouble for their own brand of left liberalism as well.

Most people are so-called everyday libertarians. That is, they believe they have at least a *prima facie* claim or defeasible right to their pre-tax income. Murphy and Nagel want to argue that people have no such claims. Pre-tax income, they say, is an accounting fiction. What is properly ours is whatever remains after taxes.

Let's call Murphy and Nagel's argument against libertarianism the Institutional Dependence Argument (IDA). It goes like this. The current scheme of income and patterns of property holdings would not exist without government and the taxes that support it. Therefore, I cannot be said to have a natural right to my income, because my income results from social convention. In the state of nature, I have no income to have a natural right to.

Suppose Jason makes $300K a year pre-tax. Without the scheme of taxation that supports government and public goods, Jason would not be making $300K a year. Everyday libertarians talk as if the government is taking people's income when it taxes them, but citizens would have little or no income if the government were not providing the background institutions needed to sustain the market system.

On Murphy and Nagel's view, government and the taxes supporting it *create* a set of property holdings and an income distribution. Some of this creation comes about directly, through subsidies and government employment, but most of it comes indirectly, through market forces operating against the background of the government-provided rule of law. From this, Murphy and Nagel conclude that we cannot evaluate the justice of taxes separately, as if taxes were an intrusion onto our rightful holdings, but must instead evaluate the justice of the system as a whole. Murphy and Nagel claim that a person's level of benefit from the system can roughly be measured by the difference between her earnings in that system versus her expected earnings in the state of nature or in pre-civilized society (Murphy and Nagel 2002, p. 16). For a $300K/year earner, this is nearly all of her income. They conclude that people have no entitlement to their pre-tax income (Murphy and Nagel 2002, p. 32).

Murphy and Nagel use the IDA to block objections to taxation. However, the IDA generalizes to block *other* objections to other government actions. In particular, the IDA can be used to generate a large range of illiberal conclusions that egalitarian liberals (such as Murphy and Nagel) would want to reject. It's a dangerous argument for liberals to advance.

For example, consider we might could call "everyday liberalism." Everyday liberalism holds that people have a special claim to their bodies and deciding what to do with their time. Why can't the government set up a corvée—a tax paid by labor—or labor armies in lieu of or in addition to monetary taxes? On the reasoning of the IDA, we do not own our pre-corvée time any more than we own our pre-tax income. After all, in the state of nature (which Murphy and Nagel use as a baseline to judge our benefit from government), we would not have 85 years of expected life; we'd maybe have 25 years, if even that. So, we receive at least 60 years of expected life from government action. Government and the taxes supporting it *create* our longevity and the distribution of life expectancies. (Some of this creation comes about directly, through health provisions, but most of it comes about indirectly, through market forces operating against the background of the rule of law.) Accordingly, according to the IDA, people have no entitlement to their pre-corvée time. Most of (or at least a big chunk of) our lifetime results from social convention or government action. So, we cannot be said to have a natural right to choose how to spend our time. In the state of nature, we have no time to spend. We cannot evaluate the justice of the corvée separately, as if the corvée were an intrusion onto our time, but must instead evaluate the justice of the social system as a whole. (Similar arguments could be made concerning other purported liberal rights.)

On its face, the IDA works equally well against liberalism as it does against libertarianism. It undermines equally well A) the view that we have a special, non-conventional claim to our pre-corvée time and B) the view that we have a special, non-conventional claim to pre-tax income received from labor. Yet, despite this, we would not accept that the IDA succeeds in defeating liberal objections to the corvée. Accordingly, Murphy and Nagel must think the IDA does not show that we lack at least a *prima facie* right over our time. Why is this? Why would the IDA work to block a libertarian's objection to income taxation but not a liberal's objection to the corvée? What's the difference?

Murphy and Nagel anticipate something similar to this objection and give the following as an response: "Egalitarian liberals simply see no moral similarity between the right to speak one's mind, to practice one's religion…and the right to enter into a labor contract…unencumbered by a tax bite" (Murphy and Nagel 2002, p. 65). Murphy and Nagel say that some liberties are at "the core of the self" and must be protected against the state; others are not at the core. They believe that this holds even though, by their own logic, they must admit that their favored kinds of liberties would have little worth (or would not exist) outside of the state's protection, and so the state makes these rights possible.

As far as we can tell, this is why Murphy and Nagel would think that the corvée violates our rights in a way that income taxes do not. They would object to the corvée because it violates what they consider our independently determined rightful liberties, but they would accept income taxes because they believe that income taxes do not violate our independently determined rightful liberties. That is, the corvée violates something like Rawls's first principle of justice, while the income tax does not. Rawls's first principle—the liberty principle—guarantees every citizen an equal, fully adequate scheme of basic liberties. Murphy and Nagel, like Rawls, but unlike natural-rights libertarians and so-called "everyday libertarians," do not think that a right to contract, to untaxed income, or to hold private property in the means of production are among the liberties in this scheme.

Fair enough. But this suggests they believe the IDA is *irrelevant* to determining whether a government action violates our rightful liberties or holdings. Rather, in the debate between Murphy and Nagel and libertarians, the action is over which liberties are basic and non-conventional. And this, Murphy and Nagel more or less admit, is *not* decided by the IDA. Otherwise, they have no principled reason to reject the corvée.

Perhaps Murphy and Nagel are right, that is, perhaps for some reason not offered in their book, economic liberty does not merit a high degree of protection while civil liberty does. However, notice how this response just neuters their entire book. Murphy and Nagel's book doesn't *prove* natural rights libertarianism is false; it *presupposes* that natural-rights libertarianism is false and their view of liberalism is right. Their argument against libertarianism or even "everyday libertarianism" doesn't actually appear in *The Myth of Ownership*.

In summary, they offered the IDA as an argument against libertarianism. The libertarian can respond, Nozick-style, by asking, "Doesn't the IDA undermine left-liberalism as well, not just libertarianism?" They respond by saying, "Oh, no, because civil liberties, unlike economic liberties, are *special*, for reasons we haven't articulated here."

THE (SUPPOSED) TRIVIAL INCURSION PROBLEM

Some left liberals claim to find the idea of self-ownership perplexing. For instance, David Sobel argues that the idea of self-ownership is untenable because of what we might call the trivial-incursion problem. As Sobel sees it, and summarizing very quickly, we must back away from self-ownership because such rights would give people absolute protection against unwanted incursions. However, such a right would prohibit both severe and very minor (or trivial) incursions, and many ordinary human activities lead to such incursions. Self-ownership is unacceptable, then, because it would mean that people wouldn't be able to drive a car for fear of having even a speckle of dust land on someone's person, say. Self-ownership paralyzes humanity.

According to Sobel, once we move away from self-ownership in this way, the door is open to all other sorts of weakening of our rights over our persons as well. It becomes an open question whether the state may forcibly take some of our blood and give it to others who need it more badly. It becomes an open question whether the state may regulate what kind of sex we may have with consenting competent adults. It becomes an open question whether the state may prohibit us from eating or drinking certain substances in ways that infringe on no one else's rights. And so on.

Sobel is perplexed about self-ownership, but we are perplexed about this argument. Perhaps we think differently about property. In fact, upon reflection, we believe that pretty much all liberals accept some version of a self-ownership thesis. What they disagree about is what that self-ownership amounts to.

To explain why, let us sketch out a way of understanding self-ownership. Let's begin with thinking about ownership more generally. Property rights are bundles of rights. The strength and nature of these rights can vary from owned item to owned item. Even a relatively simple form of ownership, such as the possession of a car, can be violated or negated in a variety of ways. Your car can be stolen or damaged, you can be prevented from using it, you can be prohibited from selling it or giving it away, your car can be wrongfully expropriated by the government, and so on. Each of these violates or negates your property rights. But they affect your ownership in very different ways.

We can put this in more technical terms, using the Hohfeldian analysis of rights (Hohfeld 1919).[1] When someone steals or damages your car, they thereby deny your claim-right to exclude them from your possessions. When you are wrongfully prevented from using your car, this denies your liberty to use what you own. When the law prohibits a sale, it thereby denies your power to transfer your rightful possessions to others. And when the government wrongfully expropriates you, it thereby violates your immunity against having your rights unilaterally altered or extinguished.

Systems of private property standardly recognize all these elements of ownership. However, this analysis masks a still greater complexity. Property rights confer different kinds of liberties, claims, powers, and immunities on owners. We can have rights to possess, use, or manage our property; rights to the income we can garner using it; rights to the capital that the property represents; and so on (Honore 1961). These rights will involve several kinds of Hohfeldian incidents. The right to possess, for example, will typically involve both the claim-right to exclude and the immunity against expropriation. A right to the income one can make using property will typically involve the power to (temporarily) transfer the property to others or the right to use the property in exchange for payment, as well as other rights protecting this power (such as, again, the claim-right to exclude and the immunity against having these rights annulled).

There is great variation among different legal regimes in how rights to property are organized. The law can recognize, alter, or abridge various claim-rights, liberties, powers, and immunities with respect to different parts and aspects of ownership. One might thus have the liberty to grow crops on one's land but lack the liberty to build a structure without a permit. An owner may have a claim that others not trespass on his property but also be subject to an easement that gives others the liberty to walk across the property in designated places. One may have the power to transfer but not be immune from government expropriation through eminent domain. One can be a partial or shared owner, as a shareholder in a firm. One can be a conditional owner, as the holder of a mortgage-backed security. The list goes on.

Some philosophers have concluded from this complexity that there is no "core" to property rights. Instead, it is said, property rights are like a bundle of sticks, with each stick representing one of these many possible incidents. But the bundle can be put together in many different ways, and none of the sticks is really essential. As long as the bundle is recognizable as a property right, any one incident (or stick) may be present or absent (Grey 1980).

Others have challenged this thought. Some say that, while no particular incident is essential, at least the presence of certain incidents requires the presence of others (Attas 2006). Others maintain a stronger view and say that some incidents really are the "core" of property. Perhaps, for example, the right to exclude is practically unavoidable if property rights are to function as they should (Schmidtz 2011). As John Locke famously writes in section 138 of *The Second Treatise*: "I have truly no *Property* in that, which another can by right take from me, when he pleases, against my consent" (Locke 1988 [1698]).

It plausible that for a system of property to be acceptable or justified, it will have to contain a number of regularly occurring features, including the claim-right to exclude. But even at the conceptual level, it is true that any recognizable system of property will have certain regularly occurring features. A society that generally abolishes or even heavily curtails people's rights to exclude others, their rights to use their possessions, and their powers to enter into economic exchange has not just changed one form of property into another. It will have effectively abolished it altogether. And, by extension, a theory of the self that seriously undercuts people's ability to control their own lives and bodies, or gives others (including the government) a standing permission to use their lives and bodies for their own purposes, will do violence to the idea of self-ownership.

None of this, however, means that self-ownership, like other forms of ownership, must be absolute or must be construed in such a way that any encroachment counts as a violation. When Bas drives his car past Jason's parked car, and his tires fling a small rock against Jason's tires, no system of property would consider this a violation of Jason's property right. Jason's property right is consistent with such a tiny incursion; it wasn't meant to protect people against *that*. Or, more mildly, if Bas sheds some skin cells on Jason's car when walking by, no-one would consider that a trespass, and no-one thinks that this thereby shows that the concept of car ownership is untenable or should be backed away from. Or, even more trivially, when Bas walks by Jason's car and slightly distorts its shape through gravity, no-one would consider that a violation of Jason's property right in his car, and no-one thinks this means this concept of car ownership is untenable and must be backed away from.

Jason's property right in his car is meant to protect him against theft, vandalism, and so on. The fact that tiny incursions are not protected by Jason's rights make us doubt that he genuinely *owns* his car. It doesn't make us think again about whether Bas can take it for a spin without asking first. It doesn't make us think again about whether Bas can crash his car into Jason's. And it doesn't make us think that the government could simply confiscate Jason's car and give it to someone else.

The kind of infractions to which Sobel refers are consistent with ownership in general, then. But if that's the case, then they are *a fortiori* consistent with self-ownership in particular. Self-ownership rights were never meant to protect us from speckles of dust that might fly up or from the gravitational distortion of passers-by. They're meant to protect us from coercion, violence, and the need to ask leave of the socially or politically more privileged before we can live our own lives.

Sobel's point about minor incursions not only fails to undercut the idea that people really are self-owners; his arguments also suffer from the same problem that plagued

Murphy and Nagel's IDA argument above. Suppose we grant that having an ownership-like right over one's body means (contrary to the facts) that one is protected against trivial incursions in a way that paralyzes humanity. And suppose that this is good enough reason to reject the idea that we have ownership-like rights over our bodies. Perhaps, then, the state really can regulate our personal affairs, as long as doing so doesn't incur on other values too much. Perhaps the state really can take our money and give it to others, even though we used our own bodies and time to produce it.

Is there any principled or non-question-begging reason to stop there? Nozick asks why we should think that people aren't allowed to opt out of the welfare state while continuing to live within a country but are allowed to opt out of the welfare state by leaving. Or, similarly, why would it be acceptable for the state to forcibly take 40 percent of the money we make using our bodies and time and give it to others, say, and not okay for the state to force us to work 40 percent of our time for the sake of those who need to be taken care of. These questions come running back in. If we are to follow Sobel and be open to supporting the former, it seems we also ought to be open to supporting the latter. And that, *pace* Sobel, remains simply unacceptable.

Note that it will *not* do here to resist Nozick's challenge by saying that the state doing the latter would interfere with our ability to live our own life, choose freely, or be autonomous. For those are exactly the kind of reasons that support the self-ownership thesis in the first place. If *our* choices are what matters, and it's important to protect our freedom to make them, then the state (or anyone else) doesn't get to choose what's important and what's not. The state (or anyone else) doesn't get to choose that for it to take your time is not okay, but for it to take the money to which you dedicated your time is.

Indeed, the Sobel-style argument threatens to obliterate rights, *tout court*. Consider a treasured liberal right like freedom of speech. It's true, of course, that our free-speech rights protect us from things that deny us the ability to speak our mind. Does it protect us from trivial incursions on that ability? Suppose we say yes and point out that this would paralyze people's ability to speak. Surely the correct conclusion to draw from this is *not* that there are no real free-speech rights at all. The correct conclusion is that our rights to free speech were never meant to protect us against this. They are meant to protect one against censorship and the like. The trivial infringement argument, then, fails.

SELF-OWNERSHIP: ALMOST UNCONTROVERSIAL

We own different things in different ways. The bundle of rights that constitutes ownership varies from thing owned to thing owned. The strength of these rights also varies. We can own a cat and a car, but our ownership of the cat—which is *real* ownership—doesn't allow us to do as much with it as with our ownership of a car. The way we own cats is different from how we own cars, which is different from how we own a guitar, which is different from how we own a plot of land, and so on.

Morally speaking, not just legally speaking, the kinds of rights we have over these various things varies. But we really can own each of them. If you prefer to say that ownership is "more extensive" when we have the full bundle of rights with no moral constraints on use, that's fine. But even if there is more or less extensive ownership, it's still ownership. Your cat is *your* cat. You are not allowed to torture it, neglect it, or have sex with it, but that's not because the cat is partially society's or anyone else's. Nor is it because you don't really own it.

Different kinds of moral arguments—such as Kantian deontological principles, or claims about what it takes to realize certain moral powers, or arguments from a privileged "original position," or reflections on Strawsonian reactive attitudes, or sophisticated Millian consequentialism, or whatnot—lead us to believe that people have certain rights of exclusion and use over themselves as well as some other rights over themselves. And once you see how these rights shape up, you notice that people's rights over themselves amount to the bundle of rights—to exclude, to use, to modify, and so on—that just so happens to look like what we call "property rights." It is in this sense, then, that we call people *self-owners*.

More precisely, we can think of self-ownership as being made up of two variables. On the one hand, self-ownership offers protections (in the form of Hohfeldian claim-rights) against unwanted incursions on one's person. On the other hand, self-ownership offers the freedom (in the form of Hohfeldian liberties) to use one's person. Since liberties logically entail the absence of duties (including duties correlating to claim-rights), it follows that the two variables (internal to the idea of self-ownership) can be traded off against each other.

The real question, then, is what *mix* of the two variables internal to the idea of self-ownership (the claim to exclude and the freedom to use) is morally most desirable. This should be obvious, of course. Bas is a self-owner with the freedom to use his person, but this does not license him to punch Jason in the face. Self-ownership is not best understood by completely maximizing on the freedom variable to the complete denial of the exclusion variable. And, again *pace* Sobel, self-ownership is also not best understood by maximizing on the exclusion variable to the complete denial of the freedom variable.[2]

Every liberal thinks we each have strong rights to freely use our persons and to exclude others from them. Every liberal thinks that a woman has the right to say no to a demand for sex, on the grounds that it's her body. In this sense, then, all liberals accept some version of a self-ownership thesis, though many of them would not describe their beliefs as such. (On this point, note that G. A. Cohen thought the self-ownership thesis was the essence of liberalism, not libertarian liberalism specifically [Cohen 2000, p. 252].)

However, in this kind of story, the concept of self-ownership can do almost no work in *resolving* disputes among liberals. What liberals—both left liberals and libertarians—disagree about is *how* people own themselves, not *that* they own themselves. Our dispute is about how to best trade off the two variables internal to that very idea. Criticizing someone's preferred conception of self-ownership, in other words, is like denying their conclusion. It's a way of registering disagreement but not an actual argument against their view.

For instance, consider a variation of Peter Singer's famous thought experiment (Singer 1972). Imagine you see a toddler drowning in a puddle. Suppose you had bad legs and can't save the child. Suppose also there is a healthy bystander nearby who could save the child but who says, "I can't be bothered. I don't want my shoes to get muddy." Now, finally, suppose you have a weapon and so can *force* the bystander to save the toddler. May you do so? (Are you justified, or at least excused, in doing so?[3])

Perhaps you think the answer is yes. Does this somehow invalidate or make trouble for the self-ownership thesis? Consider a somewhat related thought experiment. Suppose a car is barreling toward your child, and the only way to rescue him is to push him out of the way onto someone's lawn. Or suppose your child is injured, and the only way to get her to the hospital and prevent her death is to hotwire a car. Or suppose you're stuck in the woods when an unexpected, freak blizzard hits in May, and the only way to survive is to break into someone's cabin. May you do any of these things? (Are you justified, or at least excused, in doing so?)

These are interesting questions, and virtually everyone agrees that the answer to these questions should be some kind of yes. (They disagree on what precise form that yes takes.) But we've never met anyone who, upon saying that because, in cases like this, you may be excused or justified in temporarily overriding others' property rights (with the stipulation that you might owe them compensation in some cases), that property is an inherently problematic concept and that private property doesn't exist. On the contrary, there are hundreds of years' worth of common-law cases dealing with such issues, which are meant to show just what property amounts to, not that property doesn't exist.

Again, something strange is going on with the critics of the self-ownership thesis. In order to show the thesis is incoherent or problematic, they have to make the position out to be something that no-one would sensibly defend and must use arguments that no-one would find compelling against other forms of property. The compliment they pay to libertarians is that they straw man the position in order to critique it.

CONCLUSION

One myth is that what distinguishes libertarians from left liberals is that libertarians endorse self-ownership but liberals do not. That's false. At most, what distinguishes them is how they understand self-ownership or what they think it implies. Another myth is that Robert Nozick, or libertarians more generally, ground their views on a problematic and question-begging conception of self-ownership. This isn't true—it's based on a misreading of Nozick, one that fails to make sense of his book and one that goes against his own explicit outline of his book. On the contrary, it's mostly the so-called "left libertarians" who make heavy use of self-ownership as a foundational premise. For run-of-the-mill libertarians, self-ownership is more of a conclusion than a premise.

It's an attractive conclusion at that. For once we understand what self-ownership is—a bundle of rights—we see that denying it comes at a heavy cost. Anti-liberal, authoritarian philosophies of course deny it, and that's part of what makes their views unappealing. Whether the best conception of self-ownership turns out to be compatible with an extensive welfare and regulatory state is an interesting question, but to settle that question, we probably won't spend much time reflecting on the concept of self-ownership as such. Nozick sure didn't, and if he'd ever written a follow-up to *Anarchy, State, and Utopia*, he might well have started by asking, "What's all this fuss about?"

NOTES

1. Hohfeld proposed an analytical understanding of rights as relations between parties. On this analysis, one party's liberty right (sometimes called a *privilege*) to something entails the absence of a claim right in another to the same thing. A claim right to something, further, entails a duty for another party to that thing. (Consequently, a party's liberty right to do something entails that the same party does not have a duty not to do it.) Third, a power right denotes a party's ability to change a juridical or moral relation in some party. When one party has a power, this entails a liability for another party (a liability to have their

juridical or moral position changed by the power holder). Finally, an immunity right protects one against the use of a power. When one has an immunity, some party has a disability (i.e. the absence of a power to change the immunity holder's juridical or moral relation).

2. For good discussion of this point, see Mack (2015).
3. The difference between justification and excuse is as follows: When a person is justified in doing X, the action is *right*. When a person is excused, the action is wrong, but her blameworthiness is reduced as a result of duress. So, for instance, killing a murderous intruder in self-defense is justified, while killing another person because a gunman coerced you into doing it on pain of your own death may be excusable.

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15

Social Contractarianism

John Thrasher

It is a curious accident of history that libertarianism has been principally defined by its greatest enemies rather than its friends. In academic philosophy, this was accomplished by G. A. Cohen in his attacks on Robert Nozick's *Anarchy, State, and Utopia* (1974), which culminated in his *Self-Ownership, Freedom, and Equality* (1995). Cohen identified the central elements of libertarianism as the self-ownership thesis, which is crucial for justifying strong private-property rights and, subsequently, substantial limitations on state power to interfere with those rights. This definition was continued by the so-called "left-libertarians" who followed him (Steiner 1994; Vallentyne & Steiner 2000; Vallentyne *et al*. 2005; Otsuka 2005).[1] These thinkers combine a commitment to self-ownership and rights with a Marxist and egalitarian views about property. On this view, libertarianism is held to be fundamentally a doctrine about property rights and self-ownership. This is, I will argue, a serious mistake that has hobbled libertarian theory and practice by entrenching two dominant antinomies in libertarian theory.

Libertarianism is and should be, I will argue, a doctrine about individual freedom and rights. The proper emphasis of libertarian theory should be on voluntary interaction and beneficial cooperation, not, in the first instance, on property rights. This may seem like a distinction without a difference, but the focus on one Lockean strain of thought (natural rights) while ignoring another (contractarianism) highlights one important aspect of libertarianism at the expense of the other. To reorient libertarianism on firmer theoretical and practical ground, libertarians should embrace their contractarian roots.

Contractarianism provides libertarian theory with a foundation in the rational choice of individuals. By understanding libertarianism contractually, it becomes clear that libertarianism is indeed a form of liberalism, perhaps the most coherent and consistent form of liberalism.[2] It is not my intention to argue either that all contractarians must be libertarians or that all libertarians should be contractarians. Instead, I argue that the connection between contractarianism and libertarianism is a natural and fruitful one.

The contractarian approach can provide a coherent and plausible explanation of the libertarian emphasis on strong individual rights, voluntary association, and a limited state. Further, the contractarian approach can help to adjudicate between two core disputes in libertarian theory: (1) rights-based versus consequences-based libertarianism and (2) anarchist versus non-anarchist libertarianism.

1 LIBERTARIANISM

It is difficult to define libertarianism in a way that reflects its use in both political theory and practice. Doing so, however, is crucial in order to remain true to both the unity and diversity in libertarian thought. If a thousand flowers are blooming, it is a mistake to draw the boundaries of the garden too narrowly. That said, we need a way to distinguish between the flowers and the weeds. Although libertarianism has many forms, there is distinct family resemblance despite its variety. Libertarianism is a covering term for a broad mix of theories that value strong individual rights that substantially constrain the scope of public or collective action. Importantly, on this taxonomic approach, libertarianism does not require any particular conclusion about a variety of important topics: important disagreements about the foundations of libertarian theory (e.g., intuitionistic, consequentialist, contractarian); its methodological starting point (e.g., economic, philosophical, political); and its political implications (e.g., anarchist, limited government, safety net).

These can be combined in a variety of ways. For instance, Murray Rothbard (1977; 2003) used an intuitionistic foundation and an economic method to develop his odd combination of strong natural rights and Austrian economic theory into a defense of anarchism. Taking a different approach, Michael Huemer (2013) develops a defense of anarchism based the incompatibility of the state with basic, intuitionistic, moral principles. These theories differ in important respects, despite the fact that they both employ a form of intuitionism to argue that anarchism is the only justifiable social system. David Friedman (1989) uses a different foundation (consequentialism) and method (economic) to also arrive at anarchism. His father, Milton Friedman (2002), used the same foundation and approach but instead defended a minimal state.

Other libertarians have employed consequentialist, intuitionist, and contractarian foundations to generate a defense of some form of a social safety net or welfare state. Many of the philosophers in this group were influenced by John Tomasi's (2012) defense of a form of Rawlsian libertarianism. His approach created more space for markets and individual rights, while at the same time defending a more expansive role for "social justice" in political life. The exact role the government should play in achieving social justice, however, is a matter of dispute. Jason Brennan, for instance, has argued that even if one accepts the Rawlsian conception of social justice, the market is a much better mechanism for achieving social justice than the state (2007). Brennan (2016) has also bucked the trend among liberal and libertarian thinkers by vigorously arguing against democracy. Other libertarians, such as Charles Murray (2016) and Matt Zwolinski (2015), follow Philippe Van Parijs (1998) in endorsing a universal basic income or basic income guarantee. Other libertarians have argued that anything like a welfare state is indefensible (Schmidtz & Goodin 1998; Gaus 1998).

These differences indicate considerable diversity within libertarianism (see Table 15.1), so much so that one might reasonably ask whether there is any commonality between all of these disparate views. It is hard to see, for instance, how Michael Huemer's intuitionistic anarchism is related to Matt Zwolinski's defense of an expanded social safety net. The common elements, however, are

1. a commitment to normative and methodological individualism;
2. a general skepticism of political power as well as a faith in market solutions;
3. a strong presumption against coercion.

Marxist and nationalist forms of collectivism reject individualism, while traditional forms of conservatism and social democracy are both skeptical of markets and generally comfortable with an expansive role for government power. All versions of liberalism, however, share a commitment to these three elements in some sense.[3] Libertarianism is distinctive in that each of these elements is pushed to the extreme; how far, and why, will determine the shape of the particular libertarian theory. The more faith in markets and the greater the presumption against coercion, the more likely one will be drawn to anarchism. A concern with coercion can also push against anarchism, however. If one believes that coercion at the hands of one's fellows is just as worrying as coercion by the government, a minimal government may seem more likely to defend than to endanger rights (Nozick 1974; Buchanan 2000; Buchanan 2001). While there are important strands of communitarian and non-individualistic versions of liberalism, for instance in the work of John Dewey, T. H. Green, and Bernard Bosanquet (Gaus 1983), there is no version of libertarianism that rejects individualism.

Libertarianism, then, is a family of views defined by a commitment to strong individualism, a presumption against coercion, and skepticism about government power combined with a belief in the efficacy of markets. This conception differs from the common understanding of libertarianism in political philosophy as a doctrine committed to strong self-ownership rights that justify strong property rights (Vallentyne *et al.* 2005; Otsuka 2005). Neither doctrine seems to be a necessary or sufficient condition for libertarianism,

Table 15.1 The diversity of libertarianisms.

Theorist	Foundation	Method	Political implications
Ayn Rand	Intuitionistic (natural law)	Philosophical	Minimal state
Murray Rothbard	Intuitionistic (natural law)	Economic	Anarchism
Robert Nozick	Intuitionistic	Philosophical	Minimal state
Michael Huemer	Intuitionistic	Philosophical	Anarchism
Milton Friedman	Consequentialist	Economic	Minimal state
David Friedman	Consequentialist	Economic	Anarchism
James Buchanan	Contractarian	Economic	Minimal state
Loren Lomasky	Contractarian	Philosophical	Minimal state
John Tomasi	Contractarian	Political	Safety net
F. A. Hayek	Consequentialist	Economic/political	Safety net

however, if we think that libertarianism is primarily concerned with liberty rather than property. In addition, most notable libertarians (e.g., Milton Friedman, F. A. Hayek, Richard Epstein, etc.) do not share the view of libertarianism attributed to them by the philosophical libertarians. They do, however, fit into the general definition of libertarianism presented here. Besides being more extensionally adequate, this more ecumenical account of libertarianism does not beg any of the important philosophical or political questions that typically animate libertarians.

2 THE IDEA OF THE SOCIAL CONTRACT

The idea of a social contract is an ancient one, going back at least to the sophists and Epicurus in classical Greece (Thrasher 2013). The social-contract approach of Epicurus and Lucretius was lost during the Middle Ages, however, and only reappears in the early modern period with the writing of Hugo Grotius and Thomas Hobbes.[4] Inspired by Hobbes, the social-contract theorists of the early modern period were primarily concerned with providing a justification for political obligation by consent (Gough 1957, chap.6). But, in so doing, they also articulated a skepticism about political and moral coercion more generally. These views became increasingly radical in the work of Hobbes (Gauthier 1979b), Spinoza (Israel 2001; Nadler 2011), and Locke (Simmons 1993). The very fact that the obligation to obey political rules, on pain of coercive enforcement, requires rational justification introduces a strong presumption against coercion. During this period, this idea alone was a radical break with tradition. This presumption against coercion is shared by libertarianism. Another feature of contractarianism that overlaps with libertarianism is the commitment to normative and methodological individualism. To see the connection between these elements of both theories, however, we need to look more closely at contractarianism in general, before looking at the unique advantage of contractarianism as a foundational justification for libertarianism.

In its modern form, social-contract theory is a way of modeling the reasons individuals in a society have for endorsing and complying with social rules (Thrasher & Gaus 2017a).[5] Defined this way, the social contract is a justificatory rather than an explanatory tool. As many have noted, the state of nature and contractual consent are not accurate descriptions of the historical of political organization. This criticism, however, misunderstands the basic idea behind social contract theory: to model how a genuinely voluntary and mutually beneficial society would be structured (Gauthier 1979a; Thrasher 2015). If rational individuals have reason to endorse and comply with the rules in a contractual society, we can then use the contractual test to evaluate the rules and institutions of our own society. As Gauthier describes the contractual approach, "the theory itself concerns the rationale of relationships among persons, and between society and its members, rather than the cause of those relationships" (1977, p.135). The social contract acts as a tool to evaluate existing and possible social rules and institutions.

Various social and legal norms govern our collective life. If we agree with Buchanan (2000, p.xv) that "precepts for living together are not going to be handed down from on high" and that even if they were, we would presumably interpret them in multiple and inconsistent ways, we need some way of evaluating those norms. Gauthier (2013, p.617) describes the situation we face:

> The recognition that norms are not found in or fixed by nature, and that social norms do not reveal an invariant order, opens the door to the possibility of norms different from those in place, and thereby introduces the need for a justification of existing norms not previously envisaged—why these norms, these requirements and expectations, rather than others? There are of course a host of proposed answers to this question—including an appeal to the gods. But I find no gods, and the answer that I shall defend rests on the individual evaluations with which I began, and introduces only one fiction—the social contract. We shall need that fiction to distinguish the norms that should be accepted, whether or not they in fact are.

Like the fiction of the invisible hand, the social contract points to a larger truth. The only way to guarantee that social life will be genuinely beneficial to everyone involved is show that the rules of social life would command voluntary assent. Although voluntariness in the form of unanimous consent may seem like an impossibly high standard to meet, Buchanan and Tullock (1999) argued in the *Calculus of Consent* that by focusing on institutional orders of norms and constitutional structures, we can have unanimous reason to endorse institutions that are themselves non-unanimous (Thrasher & Gaus 2017b). Taking something like this approach allows us to unanimously endorse higher-order structures and institutions that then justify non-unanimous lower-level institutions.

Contractarian theory, pursued this way, aims to bring the mutually beneficial power of market exchange to social governance. But simply substituting the market for social norms and political organization will not usually be enough. As Gauthier (1986, p.85) notes, "before Smith's invisible hand can do its beneficent work, Hobbes's war of every man against every man must first be exorcized." Markets require a foundation in basic norms of trust and the assurance that one's rights are secure. This requires, at least initially, credible enforcement and governance mechanisms (Ostrom 1990; North *et al.* 2009; North 2010; Acemoglu & Robinson 2012). This governance can be achieved in any number of ways, not all of which, however, require explicit political institutions. The making and enforcing of social norms does not always require the existence of a leviathan state (Ostrom 1990). Because of this, contractarianism is not committed to statism in the customary sense. The test of mutual benefit is just as relevant to informal governance institutions and social norms as it is to formal political institutions (Thrasher 2014). Indeed, the long-term project of the libertarian contractarian should be to investigate how forms of genuine self-government can realize, in modern societies, the contractarian goals of voluntariness and mutual benefit.

From this rough sketch of contractarianism, it should be clear that there are broad similarities between the interests and approaches of the libertarian and the contract theorist. I have not shown, however, that contractarianism leads directly to libertarianism.[6] While I think there is certainly a libertarian tilt to contractarianism, there is no deduction from one to the other. That said, there are good reasons for libertarians to also be contractarians and good reasons to defend libertarianism along contractarian lines. In the next two sections, I will argue that the contractarian approach helps to solve two perennial problems in libertarian theory. The first is the foundational problem of whether to base libertarian conclusions on some deontological basis (e.g., natural rights) or to adopt a consequentialist justification. The second is how to square a strong presumption against coercion with any system of collective choice and governance, that is, how to adjudicate between the anarchist and minimal government strands in libertarian thought. Contractarianism provides an elegant solution to both of these problems; or so I will argue.

3 RIGHTS AND CONSEQUENCES

Although there are many paths to libertarianism, most of these paths begin at one of two starting points. We can think of these as *rights-based* and *consequences-based* justifications for libertarianism. These are not strictly mutually exclusive; instead they tend to differ in what they prioritize. Rights-based theories, like those of Robert Nozick (1974) or Murray Rothbard (2003), are not blind to consequences. Rothbard, especially, is at great pains to show that libertarianism will be more economically beneficial than alternative approaches. Even so, Rothbard argues that libertarianism is ultimately justified because it is the only system that can respect the extensive rights of individuals.

Nozick begins *Anarchy, State, and Utopia* (1974, p.ix) with an invocation of rights, claiming that "individuals have rights and there are things no person or group may do to them (without violating their rights)." He then spends the rest of book rigorously following the implications of those rights. Along the way, however, he does little to justify the conception of rights he has invoked, leading commentators like Thomas Nagel (1975) to declare that Nozick had defended a "libertarianism without foundations." But, of course, Nagel is wrong. Nozick does provide a foundation for his theory precisely in the conception of rights that he begins with. Nozick (1974, p.33) argues that rights "reflect the fact of our separate existences" and that the respect for rights is necessary in order to acknowledge the value of each person's life. One may ask for a *further* foundation for rights, but to claim that rights are incapable of foundations is merely to reject all rights-based theories on principle. Nozick's rights-based theory, like Rothbard's, is intuitionistic in the sense that they both argue there is a strong intuitive reason to believe in certain foundational rights. We may think that this intuitive base of rights is not compelling, but this is to argue with the foundations of rights-based theories, not to reject them for lacking foundations.

Consequences-based theories typically hold that rights-based theories lack foundations or are implausible. Whereas rights-based theories claim the advantage of having a strong intuitive base, consequences-based theories can claim the advantage of being closely connected to standard conceptions of rationality in decision theory and economics (Friedman 1989). In the same way that we evaluate and choose actions most likely to benefit us when we choose rationally as individuals, we should also make our moral and political decisions on the basis of what we expect to produce the best consequences. Regardless of whether we ask "what should *I* do?" or "what should *we* do?" the answer is the same: do what is likely to generate the best consequences. To do otherwise, argues the consequences-based theorist, would be act in a paradigmatically irrational way on the individual as well as on the collective level. What we should do and, in turn, what our rights are, depends crucially on what actions and rules are likely to generate the best results.

In moral philosophy, consequences-based views are often criticized for being too demanding, that is, for requiring that individuals dedicate all of their time, money, and energy to achieving the best consequences and for adopting an impersonal and abstract notion of the good (Nozick 1974; Williams 1973; Williams 1981). This is not the most compelling argument against consequences-based justifications for libertarianism, however, since the libertarian is already committed to a system of institutions and rights that carve out a significant role for individual freedom and values. Insofar as the libertarian uses a consequences-based justification, they will tend to do so in a way that preserves most traditional libertarian conclusions. Many consequences-based libertarians also claim that freedom contributes to the overall value in the world. As David Friedman argues, "the value to individuals of being able to run their own lives is typically greater than the value to anyone else of being able to control them—or in other words, that increases in liberty tend to increase total utility" (1989, chap.42). If liberty is inherently beneficial, it is no surprise that the consequentialist will also be a libertarian.

An additional practical political benefit of the consequences-based approach is that it may be able to appeal to a wider range of people than a rights-based approach. There may be significant disagreement about the nature and justification of rights, but everyone can presumably see the positive benefits that liberty has in world. This argument is initially very appealing. There is a strong correlation, for instance, between measures of economic freedom, the protection of rights, and human happiness (Bavetta *et al*. 2016; Bavetta & Navarra 2012; Deaton 2013). The problem, however, is that general agreement about the importance of these various values is lacking. Egalitarians, for instance, may value material equality above everything else, including overall happiness. Communitarians or traditionalists may value stability and social order over growth and the creative destruction that comes with it. While the effects of freedom may be clear in one sense, the way people values those effects will differ. It is an open question, then, whether the consequence-based approach will be more generally appealing than the rights-based approach.

Some have argued that the tension between these two approaches is necessary and even beneficial. Each approach highlights a different, though equally important, strand in liberal and libertarian thought. As Randy Barnett (2004, p.6) argues:

> The creative tension between moral rights and consequentialist analysis reflects a tension that is central to the classical liberal core of the modern libertarian project. … Liberalism always lay betwixt and between these two great concerns, a position that has led some critics of liberalism to complain of its internal dialectic, inherent tensions, or fundamental contradictions.

There is no doubt that part of the appeal of liberalism generally and libertarianism in particular is its attempt to respect the separateness and dignity of individuals while also protecting the conditions for individuals to lead meaningful and fulfilling lives. The question is whether these two strands are irreconcilable and contingently connected or whether there is some deeper unity in the rights-based and consequences-based approaches to libertarianism.

I propose that contractarianism can unify these two strands of libertarian thought, incorporating the benefits of each without their drawbacks. Contractarianism, as we saw in the last section, justifies social rules and rights by showing that rational individuals, from their own points of view, have reason to endorse and comply with those rules. As Rawls argued, in contractarian theory, "the question of justification is settled by working out a problem of deliberation … This connects the theory of justice with the theory of rational choice" (1999, p.16). Like consequences-based theories, then, contractarianism is an application of rationality to the choice of social rules and rights. Unlike consequences-based theories, however, there is no privileged point of view from which those consequences are evaluated. In consequences-based theories, the values and interest of everyone in society are aggregated into some representative set of values or, in the case of many forms of utilitarianism, a representation of the average person. As Jan Narveson notes (1989, p.153), in the case of some social policies, the average will be the appropriate evaluative point of view, but this is not true across the board. It is a special rather than a general case. In many cases, the average person will not be the relevant point of view from which to evaluate social rules; for instance, in the case of rules relating to minority groups. Further, this aggregation of points of views and values does not, as Rawls (1999, p.163) put it, "take seriously the distinction between persons" and does not, as Gauthier (1986, pp.244–245) argues, "take seriously the individuality of persons." The problem is that by not taking seriously the individuality and differences between persons, there is no clear reason that individuals will endorse or comply with the requirements of the consequences-based theory. Unless they happened to inhabit the privileged point of view of that theory, it is hard to know why individuals should be motivated by the conclusions of consequences-based theories. Contract-based theories avoid this by appealing to the reasons of each person from their own point of view and values.

Similarly, the contract approach is able to both defend a strong conception of individual rights, while also providing a foundation for those rights in the social contract. The contractual approach creates a multi-level theory of justification for rights. In the initial contract, fundamental rights are justified. The justification of the system of rights is contractual, but the rights themselves function in everyday life as "side-constraints" on action in Nozick's sense (1974, p.33). It is not necessary or appropriate to make reference to the ultimate justification of those rights in everyday life, though it is essential to the contractarian approach that such a justification could ultimately be given (Gauthier 1991). In this way, contractarianism acts as a rights-based theory, which is justified by an individualistic, consequences-based method. As such, it should capture the benefits of both approaches while avoiding the traditional problems associated with each. Of course, contractarianism has its own problems, mostly to do with the reconciling of agreement and diversity as well as how to individuate and distribute rights. These problems, however, are more central to the core concerns of liberal and libertarian interests than the problems with rights-based and consequences-based theories more generally. Because of this, working through the problems of contractarian forms of libertarianism would, I suspect, prove to be more fruitful overall than continuing to debate the relative merits of rights versus consequences.

4 ANARCHISM AND SELF-GOVERNMENT

In addition to the debate over rights versus consequences, the other great libertarian divide is between those who think that libertarianism is only compatible with anarchism and those who do not. Again, this dispute is inherent in liberalism and is thrust to the surface by the radicalism of libertarianism. It is a fundamental paradox between the need for stable order in a society and the desire for personal freedom. Or, as James Buchanan (2000, pp.xv–xvii), describes it, the "paradox of being governed":

> Men want freedom from constraints, while at the same time they recognize the necessity of order. This paradox of being governed becomes more intense as the politicized share in life increases, as the state takes on more power over personal affairs [. . .] 'Ordered anarchy' remains the objective, but 'ordered' by whom? Neither the state nor the savage is noble, and this reality must be squarely faced.

If Buchanan is right and "neither the state nor the savage is noble," how is the libertarian to proceed? Traditionally, there have been two solutions to the paradox of being governed within the libertarian tradition; the first is anarchism and the second is constitutionally constrained limited government. Contractarianism, I will argue, is a way to accept the basic appeal of anarchism while recognizing that governance institutions are valuable and necessary. In this way, as in the last section, contractarianism offers the libertarian the best of both worlds, capturing the appealing aspects of anarchism and limited government.

Before showing the benefits of contractarianism, it is necessary to acknowledge the appeal of anarchism. As noted above, libertarians are skeptical of government power and believe that coercion is difficult to justify. The more skeptical one is of governmental power and the ability to justify coercion, the more one will be led to anarchism, which is the rejection of all possible means of justifying political coercion. The strongest form of anarchism is what we can call "philosophical anarchism." This is the view that government can never be justified. Proponents include Robert Paul Wolff (1970), Murray Rothbard (1977; 2003), and, more recently, Michael Huemer (2013). Their general argument requires several assumptions about the nature of government. These include:

1. Governments require/claim authority.
2. Authority requires an obligation for individuals to obey the government.
3. Obligations to obey severally limit the freedom to act (and/or autonomy).
4. These limitations interfere with the sphere of legitimate freedom (rights).

These assumptions alone do not, on their own, rule out the possibility of government. An additional premise is required that no justification can be given for the authority to create said obligations. The full argument then can be reconstructed as:

1. Governments require/claim authority.
2. Authority requires an obligation for individuals to obey the government.
3. Obligations to obey severally limit the freedom to act (and/or autonomy).
4. These limitations interfere with the sphere of legitimate freedom (rights).
5. There is no possible justification for government authority.
6. ∴ Governments have no authority to issue obligations that must be obeyed.

The conclusion (6) is the main claim of the philosophical anarchist. The anarchist is claiming that government is *impossible* since there is no way to justify its claim to authority.

Notice what premises are doing the work in this argument. Premise 5 is plausible because premises 1–4 are so powerful. Government authority, under this formulation, is a context-free and perhaps unlimited ability to create obligations. It is true that most, if not all, governments have *claimed* this authority, but it is equally true that claiming is one thing and possessing another. Is it really true that governments have this kind of authority? Also, do they really need authority of this form to count as governments? Max Weber (2004) defined the state as having a monopoly on the legitimate use of violence in a given territory, but this "definition" is in many ways aspirational. States cannot allow competitors, but this doesn't mean that the state needs the authority that the above argument requires. Most states are, as James Buchanan claimed (2001), cases of "ordered anarchy" rather than models of stable control.

In any case, this is the typical argument in favor of *philosophical anarchism*. According to this view, no state has the authority to rule, and no-one has a general obligation to obey. Philosophical anarchism claims that *all* states necessarily violate rights, and that therefore a legitimate state is *impossible*. We can contrast this view, however, with political anarchism, which holds that whether the state has authority or not, that is, whether philosophical anarchism is true, there is no reason to have a state and/or good reason to not have one. These two claims are conceptually independent of one another. That is, one can be a philosophical anarchist without being a political anarchist and vice versa. For most actual anarchists, however, the two claims go together.

Importantly, even if we accept that the philosophical anarchist is right, there is conceptual space for a view that is philosophically anarchist (no state has or can have authority) while not being politically anarchist. That is, there may be some good reasons to have a collective choice mechanism in some circumstances, regardless of whether philosophical anarchism is true. The state may lack general authority, but there may still be reasons to endorse and comply with certain states or governance institutions. If even existing states are forms of "ordered anarchy" rather than legitimate monopolies of violence, the question is not whether to have a state or not but rather how, why, and to what extent to order anarchy (Thrasher 2014). James Buchanan held a contractarian and libertarian position of this form (2001). He described himself as a "two-level utopian," whose ideal was peaceful anarchy between individuals that respect one another's basic rights on terms of mutual cooperation. Recognizing that peaceful anarchy would not be a stable system, he advocated the next best thing as he saw it: constitutional contractarianism. Contractarianism provides a basis for thinking about government that goes beyond authority and obligation by focusing on mutual benefit as the only plausible justification for governance institutions.

Contractarianism of this form provides something like a compatibilist alternative to the debate between anarchist and non-anarchist libertarians. Regardless of the truth of philosophical anarchism, governance mechanism and social norms still require justification. The only form of justification consistent with central libertarian beliefs is on the basis of unanimous rational consent. It is neither necessary nor beneficial to generate consent for every rule or norm, however. Rather, what need to be justified are orders or institutions of rules and norms that govern the higher-level functioning of the social system. This is the contractarian constitutional analysis of the sort that is developed by Buchanan (Thrasher & Gaus 2017b; Buchanan & Tullock 1999; Buchanan 2000). It, combined with the other general contractarian approach, provides a basis for evaluating existing and proposed political institutions from a point of view that is compatible with anarchism and respects the rational consent of all involved.

5 WHY NOT CONTRACTARIANISM?

I have argued, all too briefly, that a contractarian version of libertarianism has the resources to solve two key antinomies in libertarian theory. Certainly more needs to be said about the exact form that such a version of contractarianism would take, and no existing variants combine all of these elements in exactly the ways required. Even so, the possibility of a general approach to solving these problems is there.

The great appeal of libertarianism and of liberalism more generally is its commitment to respecting the choices of individuals to live their lives in ways they see fit. There is always some social goal justified by the will of a god, the people, or a moral/historical imperative that demands obedience and claims the prerogative to direct the energies and actions of men and women. Liberalism, and especially libertarianism, is unique because it posits no social goal and claims no prerogative to decide how and why we should live our lives. The metaphor of a social contract is a radical and evocative image of this basic idea. To organize ourselves while preserving our freedom and equality, we must contract. Agreement is the only basis of a free society. These agreements must be voluntary and reflect our perceived interests. A society built on this model would be as close to a truly voluntary society as we could ever hope. The real benefit of contractarianism for the libertarian, who already embraces the vision of a voluntary society, is that it provides a framework for moving away from the traditional antinomies of libertarian thought into a progressive program for developing and analyzing the institutions and orders of a free and open society.

NOTES

1. Interestingly, this characterization of libertarianism also accords with the version defended by Murray Rothbard (1977; 2003), who played an important role in developing the modern political libertarian movement.
2. Freeman (2001) argues that libertarianism is an "illiberal" doctrine, though he does not specifically consider the type of contractual libertarianism I am proposing here. In contrast, Jason Brennan (2007) and John Tomasi (2012), among others, defend libertarianism as a liberal view. Gerald Gaus (2000), although he does not cite the Freeman piece, helps to articulate this dispute by pointing out that the austerity of the liberal doctrine has led to liberalism as a political ideology, adopting political allies on the left and right to make the doctrine palatable and, in turn, creating different "flavors" of liberalism.
3. It is not clear that "left-libertarians" like Michael Otsuka and Peter Vallentyne would necessarily share all three of these elements. Although there is a commitment to individual rights in their theories, they do not seem to share the skepticism of government power and the faith in markets that is so common in other libertarians. There is more to be said about the distinctiveness of "left-libertarianism," and it is not my intention to write them out of libertarian theory. That said, their philosophical influence is out of all proportion to their numbers (perhaps as few as five) and they have, as of yet, had no impact on contemporary political practice, with the notable exception being van Parijs's support and popularization of the universal basic income.
4. The ideas of Epicurus, as collected in Lucretius's epic poem De *Rerum Natura*, were lost for centuries before being found by the enterprising papal secretary Poggio Bracciolini in an obscure German abbey in 1417. This improbable story is told with verve by Stephen Greenblatt (2012).
5. T. M. Scanlon's formulation of contractualism is slightly different since he is concerned with whether individuals have a reason to reject rather than to endorse various social principles (Scanlon 1982; Scanlon 1998).
6. This difference is an important one between the approach here and Jan Narveson's (1989) defense of a libertarian version of contractarianism in *The Libertarian Idea*. That work is admirable in many ways, but he argues that there is a direct route from contractarianism to libertarianism, something I have not attempted here.

FURTHER READING

Buchanan, J. (1975/2000) *The Limits of Liberty: Between Anarchy and Leviathan*, Indianapolis: Liberty Fund. (A version of contractarianism that focuses on rights and institutions in interesting ways and differs from several of Gauthier's conclusions, while sharing many of his basic views.)

Gauthier, D. (1986) *Morals by Agreement*, Oxford: Oxford University Press. (Still the best and most thorough contemporary philosophical treatment of social contract theory.)

Narveson, J. (1988) *The Libertarian Idea*, Philadelphia: Temple University Press. (An attempt to show that Gauthier-style contractarianism naturally leads to libertarianism.)

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III

The Role of Property and the Market

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What Can Be for Sale?

Peter Martin Jaworski

Most of the literature on the moral limits of markets has defended the view that there are some things that ought to be, in Margaret Jane Radin's (1996) words, "market-inalienable." That, to use titles from two separate and recent works, there are some things that "money should not buy." Ravi Kanbur calls these markets "obnoxious markets," while Debra Satz (2012: 4) prefers to call them "noxious markets." Alvin E. Roth calls them "repugnant markets." Radin (1996) prefers to focus on the objects of sale, describing them as "contested commodities." Michael Walzer thinks that there ought to be a sphere of things immune from the market on the basis of the social meaning of those objects or practices.

A wide range of objects and services are offered as examples of the kinds of things that ought not to be for sale. Kidneys are frequently listed, with the United States banning the sale and purchase of kidneys through the National Organ Transplantation Act of 1984. Prostitution is frequently considered a noxious or repugnant market, warranting a ban. The selling of votes for political office is everywhere illegal. Certain kinds of drugs are and have been illegal, like cocaine, marijuana, and heroin, amongst others. Some object to surrogacy arrangements and the use of consideration for adoption services. Richard Titmuss' landmark 1970 book *The Gift Relationship: From Human Blood to Social Policy* argued that we ought not to pay people for blood.

Meanwhile, a number of different arguments have been offered for why something or other ought not to be bought or sold. Jason Brennan and I have tried to offer an exhaustive categorization of these arguments. In what follows, however, I will focus on the four most popular objections to markets:

1. Corruption: the worry that markets, either in some specific goods or services or just in general, will make us worse people. So, for example, some express the concern that we need to limit the extent of markets since markets have a tendency to make us more selfish and callous, more interested in financial profit rather than spiritual profit.

2. Allocation/distribution: the worry that markets in general will generate a distribution of goods that is, for example, unequal and therefore wrongful. Alternatively, we might believe that some goods ought to go to certain people independent of their ability or willingness to pay, as may be the case with kidneys.
3. Exploitation (or "desperate exchange"): the worry that buyers of some good or service will be able to unjustly exploit vendors. So, for example, some worry that permitting a market in kidneys will mean that first-world patients needing kidneys will be able to get kidneys from third-world and other poor and desperate vendors.
4. Finally, semiotic or symbolic: the worry that permitting the sale of something, like sex, undermines or fails to account for the proper "meaning" of that good.

Some objections are not objections to a market in this or that specific good or service but are, instead, objections grounded in empirical claims about the systemic effects markets have on us. So, for example, one kind of corruption objection to markets tells us that markets promote selfishness and valuing things purely for their use. The more market-oriented a society, they say, the more selfish and crass we become. The same is true of objections to markets based on inequality, which is a kind of allocation or distribution objection to markets. The claim is that markets have a tendency to create a few very rich people with very many very poor people.

Other objections are about the systemic effects of markets with respect to some specific good or service. So, for example, some complain that permitting a market in kidneys has a *tendency* to make us think of other people as mere use-objects, rather than as ends-in-themselves with a dignity. So even if an instance of a kidney sale may not have this corrosive effect, permitting the institution of kidney vending would. Other objections do not rely on systemic effects but are objections based on the clash between what markets are seen to embody or communicate and the nature or meaning of certain specific goods or services. This is so for semiotic or symbolic objections. When people complain that selling sex is a way of failing to understand the meaning, purpose, or nature of sex, they are highlighting this clash of understandings. We can also object to the sale of sex in cases where the sex seller is abjectly poor and in desperate circumstances. Here, the concern is wrongful exploitation and is about a specific service.

Libertarians are often described as advocates of the view that markets ought to be unlimited. We can call this the *markets-without-limits* view. Libertarians might respond to the above by denying the moral premises. They might deny the normative standing of equality of resources or wrongful exploitation, dismissing each of these as being irrelevant in the face of consent. Alternatively, they might argue that other considerations—consent, again, or self-ownership—trump these considerations, even if they grant that they do count as genuine considerations. They might attack the right of others to prohibit certain markets because of, for example, the non-aggression principle or axiom. And so on.

1 DEFENDING LIBERTARIAN POLITICAL MORALITY

One approach to the question of what can be for sale is to begin by defending libertarian political morality and then demonstrating how markets in all sorts of things deductively follow once we embrace that political morality. This is the strategy of, for example, Walter Block in his book *Defending the Indefensible*.

The strategy goes like this. We begin with a definition of a market like "an institutional setting that facilitates the voluntary exchange of goods or services for consideration." An individual market exchange would just be the voluntary exchange of a good or service for consideration, but for there to be a market in a good or a service, we need an institutional context that facilitates individual market exchanges.

Next, we defend one or another libertarian political morality. When it comes to social relationships, for example, we are moral equals, and any consensual activity between one or more adults is morally permissible. The slogan is "If it's consensual, it's permissible." The bumper sticker for this libertarian view is "we are pro-choice on everything!" (which is an actual bumper sticker used by the American Libertarian Party).

A variation on this argument is to focus on the legitimacy, authority, or right of another individual, or a group of them, to coercively prevent you from doing whatever it is you want to do with your property or with adult consenting others. We can say that no person has the right or authority to interfere with the activities of other adults. Perhaps we might be justified in telling children what to do, but it is illegitimate, or contrary to right, to presume to have the standing to coerce you into doing what you do not choose to do. So, provided you are not stepping on anyone else's toes or yards, for one person to force you to do other than what you choose to do is for them to assert a moral authority they do not possess. And if they do not possess it individually, they cannot get together with three or four or a thousand others and legitimate collectively what it would be impermissible for them to do individually.

Whatever variant of the above we choose, we can then move to demonstrate that, by the very definition of what a market exchange is, there can be no impermissible market exchange. So as long as an exchange is voluntary, it is permissible.

This is not the only strategy available to us to defend the markets-without-limits view. This should be obvious once we recognize that not all libertarians are libertarians in the political morality sense. Some are libertarians in the public policy sense. The latter embrace libertarian conclusions about what public policies we ought to endorse and what political institutions ought to exist, but they do so for non-libertarian political morality reasons.[1]

Recall that the markets-without-limits thesis tells us that anything we may do, or have, or exchange for free, we can exchange on a market. That slogan does not tell us what it is permissible for us to do or have or exchange. It is the contrapositive of the anti-commodification thesis, which tells us that there are some things that we may do or have or exchange or share for free, but not on markets. We can try to defend the same conclusion that a libertarian political morality would entail by looking at the particular objections to markets in this or that good or service and then demonstrating that, by the objector's own moral views, it does not follow that we ought not have a market in the specific good or service he is objecting to. Alternatively, we can adopt common sense morality and try to show that the markets-without-limits view follows as well.

2 OBJECTIONS TO MARKETS

Let's return to the categories of objections to markets mentioned above and see what response we can make on behalf of the markets-without-limits view.

2.1 Semiotic Objections

Semiotic, or symbolic, objections to markets are supposed to be, in principle, objections to the buying and selling of specific goods or services. They tell us that markets and the instruments associated with markets, especially money, communicate something, and that sometimes, we ought not to communicate the meaning expressed by markets or money.

Michael Walzer (2008: 21), for example, argues in *Spheres of Justice* that there are some goods and services that ought to be market inalienable because market alienability of these goods and services conflicts with their social meaning. "Every exchange is a revelation of social meaning," he tells us. "[T]he words *prostitution* and *bribery*, like *simony*, describe the sale and purchase of goods that, given certain understandings of their meaning, ought never to be sold or purchased" (2008: 9).

Michael Sandel also occasionally uses symbolic objections to markets to ground his case against the buying and selling of certain things. "Markets don't only allocate goods," he writes, "they also express and promote certain attitudes toward the goods being exchanged" (2012: 27). To sell something on the market is to express the attitude that this is a "commodity."[2] There are three features or elements of what we mean by *commodity*. The first feature is a *denial of subjectivity*: the commodified "thing" either lacks consciousness (like a rock or table) or is, as Martha Nussbaum (1998: 693–723) puts it, "something whose experience and feelings … need not be taken into account." The second element is *instrumentality*: the commodified "thing" has only (or mainly) instrumental value; while the third is *fungibility*: the commodified "thing," as Radin puts it, "is replaceable with money or other objects; in fact, possessing [this] fungible object is the same as possessing money" (1987: 1880). So the first symbolic argument can be called the *mere commodity* objection:

Mere Commodity:

1. Some x is not a mere commodity.
2. To buy or sell x *necessarily* means you regard x as a commodity.
3. It is wrong to regard x as a commodity.
4. Therefore, it is wrong to buy or sell those things.

It might be wrongful to think of certain things as "mere commodities." So, for example, we might object that kidneys ought not to be sold because we ought not to conceive of parts of our bodies, like kidneys, as merely instrumental. Or dogs, for that matter, which have an inner life, and a perspective on the world, ought not to be conceived of as a commodity. Some might think that significant works of art or cultural artefacts ought not to be so conceived, since it would be wrongful to treat these as equivalent to currency. And so on. But many purchase great art at art auctions, and at least some of the buyers consider the works of art as having intrinsic value. Consider also the common fact, noted by Ed Soule (2003), that very many of us purchase our pets but think of our dogs and cats like we do of family members. There does not appear to be any necessary connection between buying and selling anything and having the attitudes constitutive of thinking of it as a commodity.

There may be a contingent connection between some symbol, like buying and selling something on markets, and some meaning. An anti-commodification theorist can still insist that, even if a particular buyer does not have the wrong attitudes, she nevertheless expresses disrespectful attitudes to others. We can call this the *wrong signal* objection:

Wrong Signal:

1. Buying and selling certain objects tends to express certain morally deplorable attitudes or tends to fail to communicate proper respect for something that deserves respect.
2. This expression occurs independently of any attitudes that the person commodifying the object may happen to have.
3. If so, then commodifying certain objects is wrong.
4. Therefore, commodifying certain objects is wrong.

Even if an art buyer at auction might be purchasing a Monet with the right attitudes, she may communicate the attitude that she thinks of the Monet as fungible with money, or as a mere investment, like a stock or bond. Part of why a market in Monets might communicate this to others is because money itself has a symbolic meaning. Terrence R. Mitchell and Amy E. Mickel (1999: 55) write that "[i]n the conventional economic perspective, money is viewed as a utilitarian commodity that is ordinary, mundane, impersonal, and neutral. It is profane, with only quantitative meanings." The use of money and markets may communicate disrespect even if none of the participants have the wrong attitudes or intend to communicate disrespect. Why might we be obligated to avoid the use of markets or money in such contexts? Debra Satz (2010) offers an argument in favor of the view that, sometimes, we are obligated not to use some admittedly contingent and merely customary symbols in order to avoid signaling civil disrespect.

Civil Respect:

1. Around here, markets in x communicate disrespect.
2. Civil respect is morally obligatory.
3. Civil respect partly consists in communicating respect for one another.
4. Communicating respect depends upon the social meaning conventions operating around here, including abiding by etiquette.
5. If so, then markets in x undermine civil respect around here.
6. Therefore, markets in x are wrong around here.

Of course it seems right to suggest that we ought not to communicate disrespect. And it seems right to suggest that we need to be sensitive to what symbols tend, around here, to communicate disrespect. To say that we ought not to communicate disrespect to someone, we are saying that we ought not to use the socially recognized symbol or symbols that (contingently) communicate disrespect around here. So if it is true that, for example, offering to pay your friend for the dinner he has made for you will make him think that you do not respect him, then you ought not to offer him money.

However, there is nothing preventing you and your friend from creating an understanding between the two of you that goes against the generally accepted convention. This is a widespread custom. Friends frequently make use of verbal symbols and nonverbal gestures that conventionally communicate disrespect but do not do so in their case. So, for example, some friends curse at each other playfully. Some say "I hate you so much," but mean to communicate, and are understood as communicating, something friendly. They create a private convention. In these cases, the conventional symbols carry with them not their ordinary meaning but a special and different meaning. There is no reason why two friends cannot pay each other for dinner, provided they have a private convention where doing so does not communicate disrespect.

So it is possible to have a private convention where the use of money or markets in special relationships does not communicate disrespect. Overall, it should be clear that all symbolic objections to markets have very little going for them.

Debra Satz (2010: 81) thinks Walzer's view in particular, but any theory that attempts to limit markets on the basis of social meaning, is "pretty much hopeless." For, she says, many social meanings are contested, and there is no clear reason for why we ought to prefer one social meaning over another. Even if we had a clear idea of the social meaning of some good, like health care or kidneys, there is no obvious connection between that and markets. Satz uses the example of a religious person buying a Bible without thereby thinking that the price somehow captures the worth of the Bible to the religious person. Apart from the above considerations, and perhaps most importantly, there is no reason to think of symbolic meaning as being immune from criticism. In one culture, eating the brain of deceased loved ones communicated respect. It "communicated," rather than communicates, respect because this culture no longer exists, the practice of eating brains having contributed to diseases that wiped these people out. We can say of a symbolic practice like that that it is a bad cultural practice; that they shouldn't attach this symbolic meaning to that act. If a member of the culture, familiar with prion disease, refused to eat the brain of his father, we ought to applaud him rather than think him a bad son. So, too, with innumerable other practices, like the practice of female genital mutilation. This practice is associated, in part, with a deeply important symbolic element—mutilating the genitals is a way of respecting God. But it is a terrible practice, and we ought not to approve of it.

2.2 Exploitation

Symbolic objections are in-principle objections to markets in everything. Let us turn to in-practice objections, beginning with the wrongful exploitation objection to markets in goods like kidneys, sex, and surrogacy. To use the example of kidneys again, we can set out the objection as follows:

Wrongful Exploitation:

1. If we permit a market in kidneys, poor people in developing nations will sell to the rich in developed nations.
2. Poor people will sell because they are forced by their poverty to do so.
3. It is wrong to accept a kidney when the donor is forced (at gunpoint or by poverty).
4. Therefore, we ought not to have a market in kidneys.

Exploitation objections to markets in specific goods, like kidneys (but we can substitute sex or commercial surrogacy or other things as well), are common. In arguing for a law prohibiting the sale of kidneys, then-senator Al Gore was quoted as saying that markets in kidneys could "make the poor a source of spare parts for the rich and it would auction off life to the highest bidder" (quoted in *Gadsden Times* 1983).

While there is something undeniably uncomfortable and disquieting about the sale of anything under desperate circumstances, we should recognize that we do not improve the lot of the desperate by prohibiting the sale of kidneys or sex. Prohibiting kidney vending and prostitution does not thereby give the poor who would otherwise sell their kidney or sex a living wage, a house, and a picket fence. All we have done is removed an option from a very restricted choice set, and it is hard to see how removing an option can improve the lives of the desperately poor.

Even if we ignore this objection to exploitation in general, we should notice that this argument does not demonstrate that a market in any particular good or service is essentially or inherently exploitative. We could always construct thought experiments about markets in anything where the exchange is not exploitative. Take prostitution, for example. We can imagine a "happy hooker" not coerced by poverty or by a pimp, who sells sex for fun and profit and who has high self-esteem and many options. There is nothing incoherent about this thought experiment. If Warren Buffet were to sell his kidney to Bill Gates, no one would object that Buffet was exploited. It might turn out to be the case that many or even most exchanges of kidneys or sex for money are exploitative, but that would still leave at least some such exchanges that are not subject to the exploitation objection.

There are contingent facts that might make one or another market in certain goods tend to be exploitative. But even so, the market can be designed differently. We could have businesses that sell sex but only hire prostitutes who have an advanced degree in philosophy or sociology or psychology. Perhaps they might require their employees to go through a psych evaluation and to have a good relationship with his or her parents. And so on. So even if it is wrong to permit exploitative markets, and even if certain kinds of markets—like markets in kidneys or sex or commercial surrogacy—are likely to be exploitative, there is nothing preventing entrepreneurs from designing business models that take extra steps to avoid wrongful exploitation. Wrongful exploitation, in short, is at best a concern about features of markets, not of markets as such. In principle, we could design our way around this concern.

2.3 The Misallocation Objection

The exploitation objection focuses our gaze on the prospects of the badly off. It tells us that, when it comes to certain goods, we ought not to have markets in them because poor or otherwise desperate people may be taken advantage of. The misallocation objection, on the other hand, can be understood as focusing our gaze on both the badly off as well as the very well off. The argument here is that we ought not to have markets because, if we permit it, the very well off will end up with all the good things in life, while the badly off will get the scraps. So one way of understanding the misallocation objection is as follows:

Inequality:

1. If our society is primarily a market society, then we will see inequalities of wealth.
2. Inequalities of wealth are wrongful.
3. If so, then we ought not to permit a market society.

But *inequality* is a worry about the systemic effects of allocating goods and services via markets. It is not an objection to a market in this or that specific good or service. After all, it is perfectly possible to have markets in everything, while also having a very progressive income-tax system and a robust welfare state. Of course, libertarians are going to object to both of these, but that is a separate issue from the question of what can be for sale.

We can adjust the above objection to make it relevant to this chapter's thesis. Instead of worrying about inequality, we can worry about the mechanism underlying the allocation of certain specific goods and services. We might think that while it's perfectly appropriate to allocate widgets based on ability and willingness to pay, it is inappropriate to do so for a subset of special things. Again, let's use kidneys to spell out this objection:

Needs:

1. If we permit a market in kidneys, rich people will be able to afford kidneys, while poor people will not.
2. People ought to receive kidneys based on need, not wealth.
3. It is wrong to allocate life-saving kidneys based on wealth.
4. Therefore, we ought not to have a market in kidneys.

Suppose we grant that kidneys ought to be allocated based on need, not on wealth, we should ask a further question: at what price? Every year in the United States, about 3,300 people die on the waiting list for organs. In Canada, that number is around 250. The overwhelming majority of needed organs are kidneys. We have tried a wide variety of things to try to boost the organ donation rate, with few of them generating anything other than a minor blip. Everyone agrees that a market in kidneys would be effective at significantly reducing the number of deaths from a needed kidney. So the price of preserving our conviction that kidneys ought to be distributed based on need, not wealth, is 250 lives in Canada and 3,300 lives in the United States. It is hard to believe that the price is worth it. Premise 2 in the argument appears to be outweighed by the consideration that we ought not to permit so many deaths when it is in our power to stop it.

A different response is to insist on a market design that overcomes this particular misallocation objection. There is no reason why the market in kidneys needs to have the structure assumed by the needs objection. The needs objection assumes that we have a buyer who pays the cost of a kidney and a vendor who sells her kidney to a buyer. But of course we could have a third party—a charity, say, or an insurance company—pay for kidneys from the vendors, while allocating the kidneys based on need or based on the need of those who have purchased this insurance. This market design would overcome the needs objection, since the allocation of these kidneys would not be done on the basis of wealth but on the basis of need. In principle, then, a market in kidneys is not ruled out by this objection.

2.4 The Corruption Objection

The *corruption objection* is the worry that markets make us worse—that they can corrode our character and corrupt our relationships. Sometimes, the worry is that markets make us more selfish. People on Wall Street are relentlessly pursuing the bottom line and care only about upticks or downticks on the stock market because it makes them money. Markets, some insist, make us think of not only goods, but also people, as being of merely instrumental value. Stock brokers don't care about the products or the people that are made or work at a company that they are shorting, for example; they just want their wallets to be fatter. Anti-commodification theorists worry that being paid to do something can eliminate our intrinsic motivation to do that thing for its own sake. We might play baseball because we love the sport, but if we get paid to play, we may stop doing it for the love of the game, and start doing it only for the money. Similarly, the introduction of money may make us less likely to do things for the sake of others, doing it for the sake of lucre instead. Alternatively, anti-commodification theorists may worry that if we do not restrict the scope of the market in general, we will have a corrupt social life. This latter worry is not about specific goods or specific services. Instead, it focuses on our social activities in general and insists that there be space enough for non-market-based relationships and interactions.

Adam Smith (1776]: I.10.28) wrote that "[t]here are some very agreeable and beautiful talents of which the possession commands a certain sort of admiration; but of which the exercise for the sake of gain is considered, whether from reason or prejudice, as a sort of public prostitution." There is stigma attached to paying people for performing certain activities—in Smith's day, these included singing, acting, and dancing. This, according to Smith, explains why they were paid as much as they were. The additional payment was, in his mind, a way of compensating people for the stigma they confronted.

That stigma, meanwhile, is explained by a purported psychological fact—the thought that, once a financial incentive or reward is introduced, people no longer engage in the activity for the sake of the activity but for the sake of that financial gain. People who endorse this view rely on the following argument, which we can call *publick prostitution*.

Publick Prostitution:

1. It is morally important that x be performed for its own sake, not for the sake of (financial) gain.
2. A financial payment for x will crowd out intrinsic motivation to x.
3. Therefore, we ought not to financially compensate for x.

Margaret Jane Radin offers a similar argument, which she calls the *domino theory*:

Domino Theory:

1. Altruistic behavior is desirable/good.
2. If we permit selling of x, then selling of x will crowd out altruistic donation of x.
3. Banning the sale of x will preserve altruism with respect to x.
4. Therefore, x ought not to be sold on a market.

She explains (1989: 173): "The domino theory implicitly makes two claims: First, as a normative claim, that it is important for a nonmarket regime to exist; and second, as an empirical premise, that a nonmarket regime cannot coexist with a market regime."

Both of these worries are related in the following way. Each of them is a worry that markets and financial compensation will crowd out valuable or desirable things. They crowd out our willingness to engage in an activity for the sake of the activity itself (like singing, dancing, and engaging in sports) or for the sake of other persons.

There is empirical support for these views. Psychologists working in this neighborhood call the effect the *over-justification effect*, while economists call the very same thing the *crowding effect*. According to this effect, we sometimes see less of an activity or service when we add compensation (see, e.g., Deci, Koestner, and Ryan: 627–68). This was part of Richard Titmuss' argument against permitting payment for blood donation. According to Titmuss (1971), if we pay people for blood, the people offered the money will shift their motivation from a focus on donating from an altruistic motive to a focus on whether or not the financial compensation is sufficient for the pain and the discomfort of donating blood.

If we have two reasons to give blood—compensation, plus our intrinsic motivation to engage in the activity or to help others—the over-justification effect tells us that, sometimes, our intrinsic motivation is eliminated by the compensation. Rather than being complementary and giving us an extra reason to donate ("it's the right thing to do plus I get paid for it!"), it functions as a substitute reason for donation ("I get paid for it").

Suppose you see a sign at your workplace asking you to donate blood. The sign tells you that there is a shortage of blood, and that many people needlessly suffer for want of something that, as the Canadian Blood Services put it in a recent marketing campaign, "is in you to give." You put some thought into it, reflect on the good that you might do, and decide to make the trip to the local blood bank. At the blood bank, you notice that the staff is handing out checks for $25 to the people who donate blood.

"That's great!" some economists might say. You now have two reasons to give blood—you want to help, and you get $25. If the first reason isn't good enough for some people, maybe the second reason will be.

"That may be bad," some psychologists might say. When we have two reasons to do something, sometimes, instead of the two reasons adding up, we get one reason *replacing* the other. Instead of more people giving blood, we might see fewer. If $25 is not enough to move you to donate blood, then you won't. This is so even if, prior to the offer of money, you were inclined to donate blood for altruistic reasons.

How could that be?

Imagine having the following internal monologue. "Why am I planning to give blood?" you might ask yourself. The answer you want to give is "because I'm moved by the plight of others, because I want to help, and because I've decided that this is a good thing to do." You're not being pushed or prodded into doing it; you're acting of your own free will. But now you see someone waving a $25 check in front of your nose. You reason that that someone must think that they can push and prod you into giving blood. "If they think they can control me," you say to yourself, "they've got another thing coming!" And you get back in your Infiniti and drive off without giving blood.

This kind of internal monologue is what self-determination theorists offer as an explanation for the over-justification effect. Self-determination theorists are so called because they believe that each of us place a high value on being self-determined or self-directed. We value our autonomy, and we get prickly when others try to control our behavior by offering rewards or doling out punishments. The external reward can be perceived as *controlling* our behavior. If we were to maintain our intrinsic motivation in the face of an external reward, we would be overjustified, and so we adjust by lowering or eliminating our intrinsic motivation. If the value of the $25 check is not enough to overcome the value to you of being self-determined, then you won't donate blood, even if you would have but for the offer of $25.

One way of responding to the domino theory is to deny the first premise. Ayn Rand (1964), for example, famously argues that altruism is a vice rather than a virtue. Rand's position, however, is deeply controversial and will not persuade many.

An alternative approach is to accept the first premise but question the general strength of the domino theory. According to the domino theory, what matters is that we preserve space for altruism. It is neutral between the objects or things that ought to be market inalienable. The domino theory is as much an argument for making a commodity—any commodity—into a market-inalienable non-commodity as it is an argument for keeping a currently market-inalienable item off the shelves. If we believe that having a market in kidneys would save a lot of lives, we might make the following kind of deal with supporters of the domino theory: Let's make pencils or oranges or food in general market inalienable, so that you can only get a pencil or an orange through gift, but make kidneys market alienable. We thereby create a space for altruism.

The domino theory is neutral about what is and what is not market alienable, since all that matters is permitting space for altruism. Why not ban the market in food and require altruistic gifts of food? We'd leave a lot of space for altruism. The answer, however, is that many people will die for want of food. If that's a good response for why we don't move from a world with a market in food to a world without a market in food, then it should, in principle, be a good answer for the reverse: Moving from a world without kidney sales to a world with kidney sales. We'll sacrifice space for altruism but save many lives.

The domino theory is not an argument against making kidneys into commodities; it is an argument for leaving some space for altruism. It will require a separate argument to suggest that that space must come in the form of market-inalienable kidneys and blood, rather than making oranges or pencils market inalienable. The domino theory is especially poor at making the case for keeping kidneys off the market. If we were to permit kidney vending, it would eliminate about 1 in 10,000 opportunities for altruism,[3] so the "volume of altruism" we would give up is exceedingly small. We would preserve this opportunity at the price of roughly 7,000 lives.[4] Are 7,000 lives worth it to permit about 30,000 people to realize this form of altruism? What if it turns out to be the case that, as some research has shown, there are significant differences in the brains of people who donate a kidney to strangers, suggesting that it is "wired-in" (Marsh *et al*. 2014)?

As with the domino theory, we can also respond to publick prostitution by denying the first premise—we can deny that there is anything the matter with engaging in certain activities for the sake of financial compensation in the first place. Martha Nussbaum has taken this approach. She thinks it is prejudicial for us to stigmatize the pursuit of an activity for financial gain. She thinks this is especially true of financially compensating activities related to a woman's body, like prostitution and surrogacy. She convincingly argues that there are far too many similarities between prostitution and other deeply intimate services that make use of a woman's body for us to decry the commodification of the former but not the latter. She also thinks there is some sort of special pleading going on—why do we focus so much on sex, for example, when being a teacher similarly involves one's whole person, one's identity, in the act of expressing deeply personal, intimate, and private convictions and beliefs? The philosophy professor, she says, "makes money for thinking and writing about what she thinks—about morality, emotion … all parts of a human being's intimate search for understanding of the world and self-understanding." In short, "there is no reason to think that a prostitute's acceptance of money for her services necessarily involves a baneful conversion of an intimate act into a commodity" (Nussbaum 1998).

Nussbaum does not think that we have sufficient reason to elevate sex and giving birth to an untouchable realm of non-commodification. But this view is not very widely shared, except, perhaps, amongst academic philosophers. We'll need a different argument to persuade those who think sex and giving birth really are extra-special kinds of things. So, instead of challenging the worry that financial gain is not an unreasonable reason to engage in an activity, we can instead challenge the connection between being paid for something and losing our intrinsic motivation to perform that activity. We can challenge the second premise in the argument.

Suppose it turns out that there are activities we ought to perform for their own sake, rather than for the sake of gain, and it turns out that the introduction of payment automatically crowded out intrinsic motivation; then, we might be justified in calling it publick prostitution. But if it's possible for us to pay people in a way that did not crowd out intrinsic motivation, then it would be prejudicial for us to think that others are engaging in something for the sake of gain when, in fact, it's possible for them to maintain intrinsic motivation even while getting paid for engaging in the activity.

While there are ways of paying people that might or is likely to crowd out intrinsic motivation, there are always other ways of paying them that preserves intrinsic motivation. Most of us will think that this is so when we consider professors or elementary-school teachers. Michael Sandel, for example, is a professor who gets paid for his work. I have no doubt that he is in academia not for the sake of the financial payment but also (or maybe primarily) for intrinsic reasons.

Richard Titmuss argued in *The Gift Relationship* that paying for blood donations would sometimes result in fewer willing donors, and would, at other times, result in worse-quality blood. Titmuss argued that compensating for blood donations would substitute our altruistic motives for selfish financial ones. But subsequent research has found holes in his argument. In particular, while women are sometimes less inclined to donate blood, as soon as we introduce the option of "paying" for the donation by offering the option of making a charitable contribution on the donator's behalf, women donate blood again. Similarly, in a study conducted in Italy, researchers found that giving people a day off work in order to donate blood increased blood donations (and there was no effect on thinking that people were doing this just to get a day off work). All we need to do is change the form the payment takes, and we get more donations.

Grades can be "controlling" when a student perceives herself as studying and reading purely or primarily for the sake of the grade. But it is not a necessary feature of the fact that grades are awarded that intrinsic motivation is crowded out. In classroom contexts where autonomy is supported and emphasized, students can internalize the reward system and thereby maintain or enhance their intrinsic motivation[xi]. Grades can be regarded as a symbol of achievement or competence, or they can be regarded as part and parcel of the activity itself. Rosenfield, Folger, and Adelman found that intrinsic motivation declined when presented with an external reward, unless the reward was seen to reflect competence[xii]. It is not an external reward as such that generates the crowding-out effect but only rewards given in a context where we either perceive ourselves to be motivated by that reward or believe that we will be perceived by others as being so moved.

In the context of a labor market, Amy Mickel and Lisa Barron identify four variables for the creation of "symbolic meaning" that can generate more "bang for the buck"[xvii]. According to them, "who distributes the monetary reward, why the reward is distributed, how the reward is distributed, and who receives it" all matter in creating symbolic meanings that can further motivate employees and give them greater job satisfaction. Receiving a bonus from the president of the company, for example, rather than your manager, confers a significance on the bonus that is worth more than the financial sum of the check. Importantly, Mickel and Barron demonstrate that it is possible to preserve intrinsic motivation in the face of an external reward by means of ritualizing the payment.

There is a whole host of research supporting the view that intrinsic motivation can be preserved by paying strategically. The over-justification effect is not a reason to stop grading students, to avoid paying bonuses, or not to compensate blood donors. At best, it's a compelling argument to grade students in ways that are sensitive to the effect, to pay bonuses in this way but not that, to compensate blood donors in certain kinds of ways rather than others. Unless there is no way of compensating someone without generating the crowding effect, this effect is merely a matter of business ethics, not a matter of the moral limits of markets.

There is also a possible framing explanation for the crowding effect. Radin offers one such frame-based argument against markets using the mechanism of market rhetoric. We can use kidneys as the example:

Market Rhetoric*:*

1. Kidneys should not be thought of in the way that homo economicus would.
2. Homo economicus is part of market rhetoric.
3. There is a necessary connection between markets and market rhetoric.
4. Therefore, kidneys ought not to be market alienable.

Markets and commercial exchange in general makes use of certain concepts and ideas. When we explain market behavior, we do so by appealing to those concepts. Our conceptual apparatus is not neutral; it has an effect on how we regard the objects of sale and the people we buy objects from.

This objection finds empirical support in the work of Ann Tenbrunsel and David Messick. They distinguish "Moral Frames" from "Business Frames" (Tenbrunsel and Messick 1999). The former include cues or ways of discussing an issue that make it more likely that we consider other people's interests, and that they figure in our decisions. The latter include cues or ways of discussing an issue that highlights profitability, making money, and self-interested behavior.

The framing objections to markets seem to suffer from the fact that there is no metaphysical necessity for us to frame commercial exchanges in any particular way. If market rhetoric makes us think more like homo economicus, then we ought not to use market rhetoric in that context. It's not an argument against buying or selling kidneys; it's an argument for talking about the exchange in certain ways but not others.

Separately, it is just not true that you and I are self-consciously (or even unconsciously) engaging in the right kind of market rhetoric at the grocery store or the department store. Market rhetoric is what economists and technical professionals engage in, not ordinary buyers and sellers in markets. So even if market rhetoric did have this corrupting effect on us, it would not affect ordinary market exchanges but the people who study market exchanges and wield the concepts constitutive of market exchange. Indeed, the market-rhetoric objection may help explain why economists tend to become a little bit more like homo economicus, but it does not affect ordinary market exchanges.

Despite the popularity of the corruption objection, all of these objections will have to account for empirical findings that suggest that markets and commerce have the very opposite effect. There is significant evidence that, rather than corrupt us, markets make us better people. Empirical findings appear to show that market-integrated people are more trusting, share more, are less selfish, and are willing to cooperate more than non-market-integrated people. Rather than corrupt us, markets appear to ennoble us.

Patrick Francois and Tanguy van Ypersele, for example, have found that the more competitive a market, the more, rather than less, trusting people express being (Francois and Van Ypersele 2009). When Joseph Henrich and his colleagues went out into the field to search for homo economicus, they found him. They found him, unexpectedly, not amongst the more market-integrated peoples and societies, but amongst the less market-integrated ones. The relationship between fairness and capitalism was the reverse of the one predicted by the markets-corrupt-us thesis: "group-level differences in economic organization and the degree of market integration explain a substantial portion of the behavioral variation across societies: *the higher the degree of market integration and the higher the payoffs to cooperation, the greater the level of cooperation in experimental games*" (Henrich *et al*. 2001).

Paul Zak summarizes the findings of Henrich *et al*. as follows: "market exchange itself may lead to a society where individuals have stronger character values. The clearest evidence for this is the studies of fairness in small-scale societies conducted by Henrich and his colleagues. They showed that *the likelihood of making fair offers to a stranger in one's society is more strongly predicted by the extent of trade in markets than any other factor they have found*. Exchange is inherently other-regarding—both you and I must benefit if exchange is to occur" (Zak 2010: xv).

These recent empirical findings are consistent with a long-standing thesis that was popular until the nineteenth century. Called the *doux commerce* thesis, it suggested that commerce had a civilizing and ennobling effect on us; that the positive-sum nature of market exchanges encourages us to put down our guns and to take up a trade. So if we want to present an argument against the sale of kidneys or sex or some other specific good, we will have to explain why, in that special case, markets have a tendency to make us more like homo economicus, even though markets, generally, do not.

WHAT CAN BE FOR SALE?

Anything that we can permissibly have, use, be, or exchange, for free, we can do so for consideration, through markets. That is the markets-without-limits thesis. In general, libertarians endorse voluntary interactions. That includes the consensual exchange of almost any good or service on the market, including sex, drugs, and rock and roll (as well as kidneys, blood, and endangered species). Anything that you have a property right in, you can exchange for money.

But even if we reject political morality libertarianism, we can still endorse the markets-without-limits thesis. The burden of proof is on the anti-commodification theorist. The default is liberty or permission; if anyone seeks to limit that liberty or permission, the burden is on her to defend the restriction.

Of course, prohibiting a market in this or that stops the law abiding from engaging in that market, but it does not stop everyone. One thing we should always keep in mind is that while a market in kidneys may not be ideal, the real-world options are between above-board markets and black markets. And if there is one market we should want to avoid, the market that is worst of all, it's the black market.

NOTES

1. Consequentialist libertarians, to take just one example, embrace libertarian conclusions without accepting self-ownership, the non-aggression axiom, any variety of contractarianism (including Jan Narveson's version), or any natural-rights theory.
2. Sandel (2012: 27) writes, "When we decide that certain goods may be bought and sold, we decide, at least implicitly, that it is appropriate to treat them as commodities, as instruments of profit and use. But not all goods are properly valued in this way."
3. This is the proportion of people who currently donate a kidney in the United States.
4. In the United States, roughly 7,000 people die each year for want of a kidney.

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17

Property Rights: Natural or Conventional?

Anna Stilz

One distinctive feature of libertarianism is its position on property rights. In addition to the natural right to control and dispose of one's own person and powers (which they construe as *self-ownership*), libertarians typically also hold that individuals have natural rights to property (Nozick 1974, Cohen 1995, Vallentyne and van der Vossen 2014, Narveson 2001). Natural property rights are prior to rule-governed legal or social practices of property and constrain those practices. Libertarians differ amongst themselves on the extensiveness of natural property rights: While left-libertarians hold that external resources may only be appropriated on an egalitarian basis, right-libertarians typically adopt a weaker construal of the constraints on appropriation, for example, Nozick's view that, to be justified, appropriation must not worsen the situation of others.

Both these libertarian views differ from a contrasting account, more popular among contemporary philosophers. This standard view instead sees property as a *conventional right* conferred by legal institutions or social practices. Here, the right to property is held to depend on background social rules. Hume, for example, argues that property is determined by conventions that assign ownership of objects and define the conditions for valid contracts and transfers. These conventions develop because humans have needs that can only be met through social cooperation, and because the scarcity and instability of goods poses an obstacle to cooperative enterprises (Hume 1978: 484–513). For conventionalists, a moral duty to respect others' property does not arise until a system of background practices is in place, and the conventions themselves are not to be explained by appeal to any natural moral principle (Mack 2010: 57).

Most left-liberals today take a conventionalist approach. Rawls, for instance, sees property rights as appropriately determined by just background institutions, including a competitive market set within a basic structure that guarantees (1) the fair value of political liberty, (2) fair equality of opportunity, and (3) the difference principle.[1] Property rights, for him, are nothing more than the legitimate expectations acquired by agents as they comply with the rules of such distributively just institutions (Rawls 1999: 268).

I am not a libertarian. But unlike other left-liberals, I see a grain of truth in the idea of natural property rights. I believe individuals can acquire some kinds of property outside a framework of social institutions, and that other people would have a natural duty to respect these acquisitions. However, my construal of natural property rights is much weaker that of libertarians, who typically conceive these as rights to property in the "full liberal sense." Instead, I believe our natural property claims are limited, essentially consisting in secure rights of use and possession. Other aspects of liberal private ownership—like the right to alienate, to bequeath, to draw income, and to possess apart from use (incidents fundamental to the development of inequalities in modern societies)—are fully conventional, on my view. I do not believe that contemporary legal institutions are constrained by prior natural rights in defining and regulating these incidents. Thus, I take a *hybrid* view of property: While some limited forms of ownership obtain outside shared social institutions and constrain how these institutions should be designed, not all aspects of property are similarly preinstitutional. My purpose in this essay is to set out a case for the hybrid view against its competitors, especially the libertarian and pure conventionalist approaches. In doing so, I will draw on arguments from the modern natural-law tradition, where I find precedent for the hybrid view.

A couple of preliminary clarifications: first, I use the term *natural right* to refer to a right that could be recognized by persons existing in a "state of nature," independently of any social or legal institutions. Natural rights are possessed by persons simply in virtue of their humanity and regardless of their spatial or historical location (Simmons 2001: 185, Beitz 2009: 49). The binding force of natural rights is moral, not legal or conventional.

Second, I take for granted the claim, widely accepted by lawyers, that property is a concept that admits of an enormous variety of forms. Following Honoré, it is a commonplace that property comprises a bundle of specific incidents, which may vary from case to case (Honoré 1987a: 161). Thus, people may hold property in a more restricted sense than that captured by "full liberal ownership." Someone may have, say, rights to use and manage a thing without also having the right to alienate, destroy, or alter it. In this case, it is still correct to say that this person has a kind of (limited) property in the thing. This clarification will turn out to be important for expounding my hybrid view, since the forms of preinstitutional property I endorse fall short of ownership in the full liberal sense.

1 WHY NATURAL PROPERTY RIGHTS?

Suppose we deny that there are any natural property rights, holding instead that *all* rights over material goods depend on conventions. Then I believe we are led to some repugnant conclusions. This is easiest to see with respect to *legal conventionalism*. This view, most clearly endorsed by Hobbes and Bentham, holds that all property depends on a background system of positive law (Hobbes 1996: 171; Bentham 1962: 309).[2] Hobbes and Bentham argue that positive law is necessary to generate rules with sufficient publicity, determinacy, and probability of enforcement for property to exist. If we accept legal conventionalism, however, a problem arises: What are we to say about cases where people lack legal institutions? Consider the inhabitants of failed states or non-state groups; on the legal conventionalist approach, these people must lack valid property rights, since they are without the institutions of positive law that would ground them. If all rights to material goods are given a legal conventionalist analysis, then it would seem that stateless people are morally free to force each other off their land or to take away one another's goods (van der Vossen 2013). Intuitively, though, these acts seem clearly wrong.

Adopting a more informal, Humean view—which holds that property rights depend on *social*, not legal, conventions—might enable us to avoid this repugnant conclusion. After all, it seems quite likely that a group of stateless people would develop some informal rules regarding their possession of material goods. But the informal conventionalist approach still faces a problem. Though it can explain why members of the relevant society might have a duty to respect one another's property, it cannot explain why an *outsider* is bound to respect their practices. Think of Christopher Columbus sailing up to the island of Hispaniola in 1492; it certainly seems that he and his sailors wronged the inhabitants by forcing them off their land (at least absent any compelling justification of necessity). Yet the Humean approach cannot account for this wrong; since Columbus had never previously interacted with the Hispaniolans, the two groups lacked the shared conventions that might have generated a duty to respect property. (Recall that the hallmark of the informal conventionalist approach is the claim that duties to respect rights in material goods do not arise until a system of conventions comes to be generally recognized and respected within a given population).

Reflection on cases like these, I think, places the doctrine of natural property rights on its strongest footing. Unlike the conventionalist, the proponent of natural property rights can argue that the duty to respect others' possession of material goods is a *moral* duty, the force of which does not depend on the prior existence of established background practices and which holds even in a "state of nature." On a natural-rights view, the minimal elements of human morality encompass a duty to respect at least some claims to external goods.

How should we conceive natural property rights? Here I invoke a traditional method: the imagined transition from *common ownership*. This method—found in the work of Grotius, Pufendorf, Locke, and Kant—begins by postulating a primordial scenario in which goods are commonly held and asks why it would be justifiable to move away from that scenario to one in which people held exclusive rights in material things. There are important questions about how to interpret common ownership. Dating back to Samuel Pufendorf, it has been traditional to distinguish two ways of understanding this scenario. A *negative common* is unowned by anyone and equally open to all persons, each of whom has a liberty-right to use the world though no exclusive claim-right to anything. A *positive common* is one in which all persons jointly own the world, in the sense of holding some "undivided proportional share" in it (Simmons 1992: 238). The nature of this moral right to a proportional share is open to further specification, as (1) a liberty to use the undivided common, surrounded by a "protective perimeter" of claim-rights imposing duties on others to refrain from interfering with our permitted use (Hart 1982); (2) equal influence in decision-making about the undivided common; or (3) an equal share in the (to-be-divided) common, and so on.

Starting from the common ownership scenario might be thought to undermine the legitimacy of unilateral appropriation, however. As G. A. Cohen puts it, why is the original appropriation of goods "not a theft of what rightly should (have continued to be) held in common" (Cohen 1995: 73)? In a negative common, appropriation deprives others—without their agreement—of the option of using a particular good. In a positive common, appropriation might be thought to deprive co-owners of their undivided proportional share. Yet how can someone's unilateral appropriation have this effect? Samuel Pufendorf powerfully presses this worry; he objects that taking is not the same as "*acquiring*, since the former is a mere physical act, whereas the latter involves a moral effect" (Pufendorf 1934, 4.6.7), and he holds that "assuming an original equal faculty of men over things, it is impossible to conceive how the mere corporal act of one person can prejudice the faculty of others, unless their consent is given, that is, unless a pact intervenes" (Pufendorf 1934, 4.4.5). Pufendorf's worry is that by appropriating, the property holder seeks to act as a kind of *legislator* for others, imposing new obligations on them that they did not previously have (van der Vossen 2013: 66–67). How could a single individual have the authority to change others' moral situation in this way?

Contra Pufendorf and following Grotius and Locke—at least on one, possibly heterodox, interpretation of the latter (Scanlon 1981; Tully 1980)—I argue that individuals can bring about limited moral rights to external things through unilateral appropriation and that they can do so *compatibly* with common ownership. Why should this be so? Recognizing some moral rights to external things, I believe, is instrumental to protecting other, more familiar, rights. Notice that on most accounts of justice, we have pre-existing natural duties to respect other people's self-preservation and freedom. Every plausible moral theory holds that we are bound by a number of general duties that we have done nothing voluntarily to incur. Yet it is difficult to see how we could fulfill these duties without at least sometimes respecting others' possession of material goods, when these are currently serving as essential supports for those same basic rights. Clearly it is necessary to appropriate some material goods (at the very least, food and drink, clothing, shelter, and the means of producing them) in order to guarantee self-preservation. Further, it also seems necessary to appropriate external things in order to exercise freedom. Nearly any complex plan or project we might wish to pursue requires material goods. Imagine, for example, that I want to paint a landscape. In order to carry out this project, I need to claim rights over the paint, brushes, and canvas sufficient to enable me to execute it without fear of someone else coming in and undoing what I have done (Stilz 2009: 42). If allowing certain exclusive uses of material goods by other people is instrumental to fulfilling our general background duties to respect their self-preservation and freedom, then, it seems we ought to be obliged not to interfere with at least these particular uses of external things. Moreover, these duties to respect exclusive use, I believe, are consistent with at least one interpretation of common ownership canvassed above: the "protected liberty" interpretation. On that interpretation, a positive common *already implies* a protected liberty to engage in permissible uses of it, which imposes a duty on others to respect our use.

Let me illustrate this idea by expounding the views of Hugo Grotius, whom I interpret as adopting a similar approach. Grotius holds that even prior to the invention of (full liberal) private property, we would have had weaker—yet still exclusive—rights over material resources. As Grotius puts it, "a certain form of ownership did exist" prior to the institution of private property, "but it was ownership in a universal and indefinite sense" (Grotius 2006: 317), which he further glosses as "the power to make use rightfully of common property" (Grotius 2006: 315). "[T]o have made use of Things that were then in common, and to have consumed them, as far as Nature required, had been the Right of the first Possessor: and if any one had attempted to hinder him from so doing, he had been guilty of a real Injury" (Grotius 2005, 1.2.1). Grotius's limited natural right over material goods—which I call the *primitive right*—is a preinstitutional claim, not a human creation. It is a rightful power to make exclusive use of commonly owned things.

How extensive are Grotian primitive rights? Grotius says that this right gives us a claim to use and consume things "as far as Nature required." Since each human being has a natural right to self-preservation, she also has the right to the necessary means for it. Some interpreters have read Grotius as limiting the primitive right to basic survival needs, but he speaks more expansively of it; some external goods, he says, "are necessary to being, while others are necessary only to well-being; or, one might say that they relate respectively to safety and comfort" (Grotius 2006: 23). He refers to many uses of things that are not directly tied to survival, for example, our right to use the sea to sail from place to place. Grotius does stress that there are limits to the primitive right, although these remain rather vaguely defined in his work: "there was an equality to be observed in that state, where all things were common, that one as well as another might have the liberty of using what was common" (Grotius 2005, 2.10.1.2). This expresses the idea—familiar from Locke—that to be justified, our appropriation must leave "enough, and as good" for others. No one should be prohibited, prevented, or excluded from using the common as a necessary material support to secure her own moral claims. That is, a justified appropriation must comply with a fair-share constraint in order to be respectful of others.

Does the primitive right impose correlative duties? Grotius suggests so: "no Man could justly take from another, what he had thus first taken to himself" (Grotius 2005, 2.2.2). As long as it is consistent with the fair-share constraint, our use of a thing places others under a moral duty to respect that use. Grotius illustrates this with a famous analogy from Cicero: "though the theater is common for anybody that comes, yet the place that everyone sits in is properly his own" (Grotius 2005, 2.2.2). The theater remains common, but each theatergoer has a right against the others to his seat for as long as he is using it. Like the theater, the world in "early times" is common, according to Grotius, but anyone who has laid hold of a particular good may properly claim it as his for the period of his own use. This holds at least so long as he dispossesses no one and respects the fair-share constraint.

Is the primitive right reducible to a simple duty to respect someone else's body? Kant argues, in this vein, that some material objects fall within the compass of our duty not to assault others, when they are physically attached to those objects. He calls this a title to "empirical possession." But Grotian primitive rights seem more extensive than this, as the analogy to the theater suggests. In the theater, you may get up to get a drink or void your bladder and return to your seat without losing your claim—your "use" does not cease as soon as you are no longer physically attached to the space. That seems appropriate, for otherwise our claims to external things would be too limited to guarantee self-preservation and freedom. Consider shelter; under an "empirical possession" system, one could claim only as much space as one's body currently physically occupied. Others could come and share other bits of your cave, say, so long as they could do so without touching you. Were our claims to material things as minimal as this—constrained to what we could physically touch or hold, for the time we were holding it—it is unlikely we could secure our essential moral rights in a preinstitutional scenario.

I find Grotius's primitive right plausible. The basic argument, as I see it, is that even absent the social institution of (full liberal) private property or an act of collective consent, we can acquire limited moral rights over material goods when those goods serve as essential supports for our other natural rights by playing an integral role in our self-preservation and projects—so long as we confine our use within reciprocally justifiable limits (see also Simmons 1992: 273–5). Suppose I come across a plot of land where you have built a hut, are tending a small garden, and have built various art projects. Does the fact that these goods are necessary to your sustenance and plans give me reason to refrain from interfering with them? I believe so. The fact that a material good is an essential support for someone else's preservation and projects, I think, grounds a *pro tanto* moral duty on me to respect her use of it, even if I did not consent to her possession. If I have (or can procure) a place to live and food to eat somewhere else, then I ought to leave your hut, garden, and art projects alone. On the other hand, the strength of these *pro tanto* duties depends greatly on the background situation. If I am starving or lack any space in which to pursue my own projects, then I may be justified in interfering with "your" goods in order to obtain sufficient resources for myself. In this situation, interference is not a failure to respect your personality but a justified attempt to appropriate the resources necessary for my own.

How does Grotius's primitive right fare against the objections from Cohen and Pufendorf canvassed above? I think it can survive these objections. Notice that on the Grotian account, it is not the *appropriator* who legislates the duty to respect others' possession of material goods; instead—so long as possession helps secure background moral rights—pre-existing moral principles legislate that duty. Of course, by taking up a particular good, the appropriator does *trigger* these background moral duties, but this is unproblematic. We trigger particular "applications" of others' moral duties all the time: when I cross the street, I trigger a requirement that drivers slow down to stop, thus "applying" their general duty not to unjustly threaten my life; when I post a flyer on a common message board, I trigger a duty on others not to post their flyers on top of mine, thus "applying" their general duty to respect my legitimate projects; and so on (Estlund 2008: 143; for a careful discussion of these issues, see van der Vossen 2013). Likewise, by taking up and using part of the world, an appropriator activates a particular application of others' background duties of justice, namely the duty to respect his self-preservation and freedom. But he does not claim any moral power to create *sui generis* duties for other people that they wouldn't already have had. This allows us to circumvent Pufendorf's authority worry.

Nor should we think, with Cohen, that the appropriator commits a kind of theft. For the appropriator to commit theft, we would have to conceive the initial common ownership scenario in such a way that all exclusive use of goods without others' consent was ruled out. But that would leave people unable to secure their most basic rights. So we should not conceive the initial common ownership scenario that way. Everyday examples support this: At a family-style meal—where all the food is the common possession of all the guests—we do not ask the consent of the other guests before serving ourselves a portion, so long as we leave enough for others to eat; at the movie theater, we do not ask the consent of all moviegoers before sitting down, so long as there are enough seats. Instead, so long as an appropriator respects reciprocally justifiable limits on appropriation, he simply *particularizes* the common in a way that is already morally permissible (Tully 1980: 3). In the primordial scenario, the division of the common may not yet have *historically* occurred, but nothing in the morality of the situation *prohibits* its occurrence.

2 HOW EXTENSIVE IS THE PRIMITIVE RIGHT?

Thus far, I expect my argument to be relatively congenial to libertarians. But now a new question arises: What is the relation between the rights it is permissible to claim in the state of nature and liberal private ownership? Are these full private-property rights?

Following Honoré, let me define full liberal ownership (which I use synonymously with the Roman law term *dominium*) as "the greatest possible interest in a thing which a mature legal system recognizes" (Honoré 1987: 62). Nozick glosses ownership, in this vein, as involving "a permanent bequeathable property right" (Nozick 1975: 178). I believe the interest acquired through appropriation in the state of nature would fall short of a full liberal ownership right. There are two relevant differences: first, primitive rights confer more limited claims to exclude; and second, primitive rights do not extend to contractual transfer.

Let me first consider exclusion. Full liberal ownership specifies criteria for acquiring permanent legal title to things regardless of the role those things play in the owner's life, and it allows the title-holder to exclude others from the good at will (Scanlon 1981: 125). If you enjoy full liberal ownership of a theater seat, you may keep others out of it even when you are not sitting there and even if you don't like seeing plays. You may simply be an investor who buys theater tickets to sell them at a profit. As Pufendorf puts it, "such is the force of dominion that we are able to dispose of things, which belong to us as our own, at our pleasure, and to keep all others from using them" (Pufendorf 1934, 4.4.2).

Yet primitive rights, as I interpret them, confer a claim to exclude others from objects only insofar as those objects serve as essential material supports for a person's normal life activities. Recall our earlier example in which I come across a plot of land where you have built a hut, a small garden, and art projects. The purpose of that example was to suggest that I ought morally to recognize a duty not to trespass on your land, because you are clearly occupying it and it is essential to your life. The signs of your ongoing use of the area allow me to recognize its centrality to your plans and pursuits. Primitive rights, as I understand them, thus comprise (1) a claim not to be interfered with in our uses of commonly owned things, so long as we confine that use to a fair share; and (2) a claim to ongoing possession of those goods that can be brought under our physical control (for example, through enclosure) and that are essential for our temporally extended plans and projects. This gives individuals a right, for example, to exclude others from personal dwellings and the moveables kept therein.

Why shouldn't natural property extend to exclusion apart from use, as full liberal ownership does? Consider a revised "state of nature" case: Suppose I come across a hut and plot of land where someone once lived but which has gone unused for some time. It is clear, however, that the would-be "owner" wishes me to refrain from "his" land, as is evident from the "No Trespassing!" signs. Is it self-evident that I am morally obliged to refrain from trespass—say, that I have a duty not to shelter in the hut for the night? I deny that it is. The "natural" duty not to trespass, as I interpret it, is based on a prior moral requirement to respect someone's self-preservation and life projects, so long as these are compatible with the reciprocal claims of others. In this case, however, it is not clear how my use of the area would constitute an interference with anyone's legitimate life activities. Of course, my use may contravene the would-be owner's *intentions*, but natural morality does not require me to respect anyone's intentions.

It is of interest here that even Locke stresses the ways in which property in the state of nature is limited by the requirement of ongoing use. He holds that individuals may not appropriate in order to waste goods or allow them to spoil, and he comments that most useful natural products are of "short duration" (Locke 1980, §46). For this reason, Locke concludes that an appropriator in the state of nature "had *no right, farther than his use* called for any of them, and they might serve to afford him conveniences of life" (Locke 1980, §37, see also §31). Locke also stresses that this requirement, in the state of nature, "did confine every man's *possession* to a very moderate proportion" (Locke 1980, §36) such as not to "prejudice the rest of mankind." As Scanlon notes, this use-requirement is essential to Locke's case for natural property rights; limiting natural property to what can be included within the compass of a normal life helps to ensure that an appropriator does not "entrench" upon others (Scanlon 1981: 126). Full liberal ownership, however, removes this limit, conferring on people expansive rights over things they do not use.

Full liberal ownership also differs from the primitive right in a second way: It involves powers of transfer, including rights to alienate, loan, rent, bequeath, and to derive income, all of which enable the possibility of market exchange (Tully 1980: 88). Grotius sees alienability as essentially differentiating full property from primitive rights: "the law of nature gave indeed a right to use things; as for instance, to eat or keep them, which are natural acts, but not to alienate them. This power was introduced by the fact of men, and therefore it is by that we must judge of its extent" (Grotius 2005, 2.6.6).

Should our conception of natural property extend to transfer? Return to our "state of nature" case: Suppose that some years ago, I built a hut, a garden, and art projects on my plot of land, and then on my deathbed I said, "This all must go to Arthur" (see Scanlon 1981: 125, for a similar example). Yet as it turns out, Arthur already has a large and abundant farm of his own—indeed, more than he and his family can use—while Beatrice has nowhere to live. Are Beatrice and third parties now under a moral duty to recognize my bequest, ceding "my" land to Arthur in accordance with my wishes? I deny that they are. How could the natural moral requirement to respect the self-preservation and legitimate life projects of others license a duty to allow the dead to control the disposition of objects that are needed by the living?

One might object here that while bequest may be problematic, prepolitical morality can at least account for *inter vivos* transfers. Even in a state of nature, one might promise one's goods to someone, and morality might require one to follow through on that promise. But the institution of contractual transfer differs significantly from the prepolitical morality of promise-keeping. Not all promises are legally enforceable contracts, and the rules of contract are quite distinct from the rules of promising (e.g., most contracts do not require specific performance, so long as one pays monetary damages). Most importantly, the institution of legal contract requires the participation of the community in securing and enforcing the agreement (Shiffrin 2000; 2007). Yet I doubt persons in a state of nature would have any parallel obligation to enforce other people's promises. If by promising Bernard your apples in exchange for his oranges, you could place me and others under an obligation to risk our lives to guarantee your agreement, and you would wield an unacceptable amount of power over us. So in the state of nature, I conclude that if you and Bernard fail to keep your promises, you have no remedy apart from self-help. Securely enforceable contracts depend on legal institutions created by the state. Moreover, the state may permissibly attach conditions—including taxation—to its provision of this valuable service.

So I agree with libertarians that even in a state of nature and as a matter of minimal human morality, we would recognize a general interest in forms of property that allow us to meet our needs and to engage in important personal plans and projects. But I doubt that our recognition of this interest would extend to recognition of full liberal ownership. The key question is how far background morality can take us. In my view, it would be consistent with background morality for the state of nature to be organized around a weaker system of entitlements than full liberal ownership; for example, a system that limited our powers to exclude others from objects apart from use, that required a person's possessions to revert to the community at her death, or that did not include an enforceable claim to *inter vivos* transfer. While some might protest that these weaker entitlements do not amount to *property* as that term is normally used, we should recall my guiding assumption—mentioned at the start—that property is a concept that admits of a wide variety of forms, some of which fall short of full liberal ownership. The fact that many societies have, in fact, declined to recognize the full panoply of liberal ownership rights—by allowing for public, cooperative, or social ownership of the means of production; the existence of common pool resources; or the progressive taxation of income or capital gains—should lead us to look skeptically upon the thesis that natural morality self-evidently requires liberal private property (Honoré 1987b: 218–220).

Libertarians might object here that these more extensive liberal ownership rights are morally justified, because any system that does not include such rights will be less productive and efficient. After all, we are not able to find everything we need for ourselves, so rights of transfer are required to adjust possessions to individuals' needs and interests. A conception of natural property that limits our power to transfer seems to rule out Pareto-optimal exchanges that would make everyone better off. Further, a society that allowed for permanent, exclusive, transmissible property could increase productivity, favor innovation, and boost the social product. The economic output of modern market societies, which depends on these more extended rights, dwarfs that of the premodern world (Brennan 2014: 107). So how could anyone object to including these additional claims?

I grant that market exchange is a beneficial social practice that societies often have reason to institute (though, as I will argue in a moment, the more extensive rights that enable exchange should be regulated). But I doubt that this shows full liberal ownership to be a natural right. Again, the key question is how far prepolitical morality can get us. Not everything that makes life richer, more commodious, or more productive is a natural right. Natural rights, as I understand them, are claims that could be recognized by any competent moral agent in a preinstitutional state of nature. Many beneficial practices do not count as natural rights in this sense. Analogously, I think there is a good moral case in favor of guaranteed elementary education in modern societies. But I deny there is a *natural* right to elementary education, since the applicability of this right depends on institutional preconditions—such a modern labor market and the infrastructure to provide public goods—that do not always obtain. So even if recognizing full liberal ownership enhances productivity and efficiency in many societies today, if full liberal ownership has significant institutional preconditions—as I have held it does—this line of argument would show only that it is a morally justified conventional right, not a natural one.

Indeed, both Grotius and Locke, on my reading, interpret full liberal ownership, in this vein, as a morally justified conventional right. Grotius suggests that the primitive right might have been sufficient, "had men persisted in their primitive Simplicity, or lived together in perfect Friendship" (Grotius 2005, 2.2.2.1). But instead, humans began to want "to live in a more commodious and agreeable manner," which led them to institute a division of labor (Grotius 2005, 2.2.2.3). Once a division of labor was in place, common use became impossible, "first by Reason of the Distance of Places where each was settled, and afterwards because of the Defect of Equity and Love, whereby a just Equality would not have been observed, either in their Labor, or in the Consumption of their Fruits and Revenues" (Grotius 2005, 2.2.2.3).

While brief, Grotius's view seems to go as follows: At some point, humans were no longer content to live on what each person could produce independently. So they decided to divide their labor and to specialize economically, which facilitates the creation of a social surplus. A division of labor, however, requires some system of exchange, and to work well, exchange requires people to have more extensive rights to goods than the primitive right allows. If people are entitled to benefit from a good only while they are actually using it, they have no incentive to produce anything beyond what they can personally use. Otherwise, their neighbors would simply "free ride" on their efforts, consuming the extra value they have created, and the laborer would receive no benefit from his pains. Incentives for greater productivity thus tell in favor of instituting more robust and more permanent rights over material things, that is, the kind of rights characteristic of full liberal ownership. Otherwise, the cooperative benefit of a more extensive social surplus could not be sustained.

Grotius stresses, however, that while there is reason to introduce these more extended rights, the binding force of full liberal ownership derives from a human agreement (Grotius 2005, 2.2.2.5):

> Thus also we see what was the original of property, which … resulted from a certain compact and agreement, either expressly, as by a division; or else tacitly, as by a seizure. For as soon as living in common was no longer approved of, all Men were supposed, and ought to be supposed to have consented, that each should appropriate to himself, by right of first possession, what could not have been divided.
> (Grotius 2005, 2.2.2.5)

In Grotius's account, full liberal ownership is introduced in a collective choice to create new institutions necessary for more commodious living. Once full liberal ownership is introduced, as James Tully puts it, "there is a new definition of what is one's own, and one's rights over it" (Tully 1980: 83).

Like Grotius, Locke too highlights a shift away from natural property that occurs with the advent of an exchange economy. Unlike primitive natural rights, for Locke, modern private-property rights are determined by two conventions. The first is the agreement to the use of money: "the *invention of money*, and the tacit agreement of men to put a value on it, introduced (by consent) larger possessions, and a right to them" (Locke 1980, §36). Once money arises, land becomes scarce and it becomes necessary to form political societies and "*by compact* and agreement…[to settle] *the property* which labor and industry began" (Locke 1980, §45). The positive property laws instituted by governments, and the additional layer of treaties made between those governments, form the second conventional basis for property: "in governments, the laws regulate the right of property, and the possession of land is determined by positive constitutions" (Locke 1980, §50, see also

§30 and Schlatter 1951: 158). Locke further notes that these more extensive conventional rights, once instituted, bring new inequalities: "different degrees of industry were apt to give men possessions in different proportions." Market exchange gives people an incentive to "enlarge their possessions" beyond what they can easily include in their own life activities (Locke 1980, §48). This leads to "disproportionate and unequal *possession of the earth*" (Locke 1980, §50).

In response to these considerations, a libertarian might grant that full liberal ownership is a conventional right, because the establishment of permanent, transmissible titles has elaborate institutional preconditions. Still, he might reply that even if full liberal ownership would not obtain in a preinstitutional scenario, it is a right that ought to be *universally recognized*, because it is part of the ideally best *institutional* definition of property. This line of argument concedes that full liberal ownership depends on a relatively complex system of rules and regulations—like a formal system of title, valid definitions for wills and contracts, and legal remedies for breach—that would not obtain in a "state of nature." Yet perhaps moral reflection can show that the institution of full liberal ownership can and should be established by all modern societies. All humans here-and-now should have strong private-property rights.

Does moral reflection tell in favor of the institution of liberal private property? To decide the question, one must compare libertarians' favored strong definitions of ownership—including absolute rights to income and unfettered transfer—against possible alternative definitions of these rights. What needs to be shown is that everyone has reason to accept the rules that govern an exchange economy. Moreover, one must also define the social values in terms of which this hypothetical agreement should proceed. As libertarians stress, aggregate well-being is one relevant social value. But it is not the only one. If a property institution is to be justified, we must also expect that its operation "as a going concern" will not undermine any individual's equal natural claims to freedom and self-preservation. Yet, as Locke highlights, liberal private property brings with it new inequalities that may threaten these natural claims.

I believe that if left unregulated, absolute property and contract rights will often undermine equal freedom by generating significant inequalities that become attached to social positions into which people are born. As Rawls stresses, the accumulated results of many separate market transactions may, over time, have the unintended consequence of undermining the preconditions for transactions among free and independent persons (Rawls 2005: 266–7). An important precondition for fair wage agreements, for example, is that they be made in a scenario where both parties have an acceptable degree of bargaining power. Yet absent regulation, firms may accumulate monopolistic or oligopolistic control of the labor market, imposing exploitative terms that their vulnerable employees lack a reasonable option to refuse. Similarly, one or a few wealthy families may come to control all a society's land, enabling them to impose arbitrary conditions on others' access to food or housing. Finally, unregulated bequest may, over time, bring about a class-stratified society, in which the privileged can purchase more advantageous educational opportunities for their children, providing them an overall better start in life. At the limit, one group may come to control nearly all of a society's powerful and highly regarded positions, undermining fair opportunity, and may also wield unequal influence over its political decision-making mechanisms. This jeopardizes freedom for those from less favored backgrounds to shape their own lives.

This worry is not based on some "external" value—like equality of outcome—that goes beyond the moral considerations of self-preservation and freedom I have already appealed to. Instead, I believe the best justification for recognizing some "natural" rights to material goods also requires that the conventional right of full liberal property be regulated, over time, to ensure that everyone owns something and no one owns too much.

If full private-property rights are not compatible with equal freedom (or cannot be made compatible without ongoing regulation), then we ought not to recognize them (in the absence of that regulation). Like Rousseau, I believe that full private property is legitimate only when it is brought under the general will. Rights to exclude others apart from use and to transfer one's property must be regulated—through taxation and state policies designed to ensure the wide dispersal of capital and wealth—so that the new inequalities they create do not undermine our other basic claims. As Rousseau puts it, a legitimate state must ensure that "all have something and none have too much of anything," substituting "a moral and legitimate equality for whatever physical inequality nature may have placed between men" (Rousseau 1987, 1.9).

Of course, I expect that few libertarian readers will agree with me about this. Most will think that an ideally justified property institution would include much stronger definitions of ownership. Still, at any rate, this is the terrain on which the debate should proceed: What conventional rights of property do we all have reason to accept? To defend strong ownership, one must show that everyone can endorse an institution that includes these more robust claims on the basis of important social values—including not just efficiency and productivity, but also the equal claim to freedom and independence. One cannot argue for strong ownership rights by holding that they would have obviously obtained in some preinstitutional scenario and therefore stand as insuperable moral barriers against any state's proposed redistributive policies.

While most left-liberals assume that a commitment to such redistributive policies depends upon pure conventionalism about property, I have argued that this is not the case. Absent a legitimate state or a social convention, primitive rights to possession and use could still arise along with natural duties among individuals to respect them. I believe we can grant this plausible thesis without undermining a theory that is significantly based on standards of distributive justice.

To sum up, then, I think we should eschew the libertarian view of property in favor of the hybrid view. The hybrid view grants that there are some natural property rights. But it sees these as limited to securing rights of possession and use in moderate proportions. In particular, these natural rights do not say anything about the terms on which people are entitled to exclude others from material goods when those goods do not directly support their own life activities. Natural property also leaves open the terms on which people might be entitled to contractually transfer their rights to others and, therefore, the rules that should govern a market economy.

3 WHY NOT PURE CONVENTIONALISM?

While libertarians will surely find the hybrid theory's conception of natural property too weak, those left-liberals who endorse pure conventionalism will press a different kind of objection. They will likely argue that the hybrid theory of property—while philosophically intriguing—is devoid of any practical interest. Surely the conditions under which primitive natural rights might be claimed are highly remote from our contemporary situation (Simmons 2001: 209). We do not live in a world in which there are large reserves of commonly owned goods waiting to be appropriated. Perhaps if someone in a primordial scenario made something central to her life activities, she would acquire a primitive right to it. But that truth is not germane to any practical problems that matter to us today. *We* live under well-established positive property conventions, and the problems we face have principally to do with how to structure or reform these conventions. What kinds of rules about contract, tort, corporate and inheritance law, fiscal and monetary policy, zoning, and environmental regulation should we recognize? How extensive should the protections for intellectual property be? Since different conventions will have different distributive consequences, these choices are consequential for social justice. Faced with the hybrid view, the conventionalist might simply reply: How does this theory matter for any property claims we might reasonably want to recognize today?

I believe that natural property rights do matter for some claims we may want to recognize today. One such claim is what I call the right to *occupy* geographical space. I believe that the moral foundation of a state's territorial sovereignty rests, in part, on preinstitutional claims to occupancy held by its inhabitants. To see why, consider the following case:

> *Forced removal*. Suppose a group of settlers gets together, overthrows the state of Chad, and drives out all the inhabitants, who become refugees in neighboring states. This group then sets up a perfect state on the territory. It rules legitimately, implements a fair distribution of property, and enjoys the unanimous consent of all its inhabitants.
>
> (Stilz 2011)

We will still want to say that this perfect state does not have a right to its territory, at least not at its founding. This is because the settlers lacked any claim to construct a state there in the first place; they had no right to occupy the area.

An occupancy right, as I conceive it, comprises two main elements:

> First, a liberty to reside permanently in a particular geographical space and to make use of that space for social, cultural, and economic practices. This extends to the liberty to travel freely through the area in order to access the places in civil society where those practices occur.
>
> Second, a claim-right against others not to remove one from that area, to allow one to return to it, and not to interfere with one's use of the space in ways that undermine the shared social practices in which one is engaged.

While less robust than a private ownership right, the right to occupy geographical space does have some "property-like" qualities: It confers the incidents of secure access, use, and possession. Yet occupancy is quite distinct from liberal private ownership. Occupancy rights are not exclusive; many people can share occupancy of the same area, and occupancy does not confer rights to alienate, to derive income, and so on.

I believe that the Grotian theory of primitive rights remains useful for theorizing occupancy, and—further—that we must suppose that individuals have natural occupancy rights if we are to understand the foundations of state territorial claims and, particularly, why actions like removal, exile, and settler colonialism are wrong. Pure conventionalists, however, face problems in theorizing these issues. They tend to begin from the assumption that the world is stably divided into territorially bounded societies, each of which has a system of positive property laws or conventions that determine the property rights of its members. This assumption is fine for some practical purposes, including the questions about corporate and inheritance law, zoning, and environmental regulation mentioned above. But it does not help us with another important issue: What makes the division of the globe *itself* legitimate? How might a particular group of people, and the state that represents them, come to have a claim to a particular area? And what if the legal institution that now legislates property rules in an area came to exist *wrongly*, through the dispossession of a prior state or group?

It is in answering these questions that I believe the primitive natural property rights postulated by the hybrid theory remains relevant today. Like Rousseau, I believe that sovereign states acquire their rights to land from the "right of the first occupant which it derives from individuals" (Rousseau 1987, 1. 9). Much along the lines sketched by the Grotius, I construe this occupancy right as a natural right to secure use and possession of geographical space. While I cannot fully elaborate or defend this view of occupancy here (though see Stilz 2013 and Stilz forthcoming), its relation to the hybrid theory of property should be clear enough. If I am correct, then the modern natural-law tradition—and the hybrid view of property rights it has bequeathed to us—remains important for understanding contemporary problems. Indeed, we cannot understand the moral foundations of territorial sovereignty without it.

NOTES

1. One important exception to Rawls's conventionalism is the basic liberty of personal property (Rawls 2001, 114), which he says "would include certain forms of real property, such as dwellings and private grounds."
2. Kant is often interpreted as endorsing a similar view. But unlike Hobbes or Bentham, he allows for "provisional" property rights in the state of nature.

FURTHER READING

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18

Is Wealth Redistribution a Rights Violation?

Michael Huemer

1 THE PRIMA FACIE CASE

Most theories of distributive justice call for coercive redistribution of wealth on the part of the state—on these views, the state should take money from the relatively wealthy, presumably via taxation, to enrich the relatively poor.[1] On its face, such redistribution would seem to be a violation of the property rights of the relatively wealthy. Suppose that an ordinary person, say, you, were to coercively extract wealth from person A in order to give it to person B. There is no unusual relationship between A and B—A did not steal the money from B, nor did A do anything special to incur a debt to B; your sole reason for targeting A is that A has much more wealth than B. You threaten A with kidnaping and imprisonment to induce A to hand over the money, which you then give to B. We would normally consider your action to be wrongful and a violation of A's property rights. So at least on its face, it would seem that it would also be a wrongful violation of property rights for the state to forcibly redistribute money from A to B.[2]

In what follows, I am interested in addressing one kind of response to this argument. I shall not address views according to which the wealth redistribution is not a rights violation because there are no private property rights. Nor shall I consider views on which the redistribution is permissible because those who are expropriated are guilty of some wrong that calls for either punishment or restitution. Nor, finally, shall I consider views on which redistribution is a *justified* rights violation, perhaps because the property rights of the wealthy are *outweighed* by more important moral considerations.[3]

The type of response I am interested in maintains, rather, that even if private property in general is legitimate, and even if the wealthy as a class are not guilty of wrongdoing, coercive redistribution from the wealthy as a class to the poor as a class is nevertheless *not a violation of the rights of the wealthy*. I shall address three ways of defending that view, each of which fails. My conclusion will be that the initial appearance that large-scale wealth-redistribution programs are rights violations remains undefeated.

2 HOW THE INDIVIDUAL'S PRODUCTION DEPENDS ON OTHERS

2.1 You Didn't Build That

During a 2012 campaign speech, President Barack Obama explained part of the rationale behind his belief that wealthy Americans should pay higher taxes:

> If you were successful, somebody along the line gave you some help. There was a great teacher somewhere in your life. Somebody helped to create this unbelievable American system that we have that allowed you to thrive. Somebody invested in roads and bridges. If you've got a business—you didn't build that. Somebody else made that happen.[4]

Though the "you didn't build that" remark became fodder for negative campaign ads from his opponent, Obama's remarks nevertheless point toward an interesting argument.

Leave aside the question of what exactly President Obama was getting at. The question that concerns me is whether some argument in this neighborhood could be used to defend wealth redistribution against the charge of violating property rights. Suppose, in accordance with a broadly Lockean account, that property rights in material goods are founded ultimately on the individual's ownership of his own labor (perhaps because one comes to own that with which one "mixes one's labor" or simply because one deserves to profit from the value one's labor produces).[5] The observation that, for example, an individual business owner does not build a business solely through his own work would then seem at least to weaken his ownership claim on that business. If the business was also produced in part by the labor of others, then it would seem that those others, too, would have *some* claim on the business. This, in turn, would give those others some claim on the profits produced by the business. Whatever claims on those profits others might have, it might be thought that the government may approximate to satisfying those claims through wealth redistribution programs.

What about the case of individuals who, despite owning no physical capital, become wealthy simply because their labor is highly economically valuable, for instance, doctors and lawyers? One might argue that the individual's capacity to perform economically valuable labor is itself partly a product of the beneficial actions of others, thus giving those others some claim to the fruits of that labor. Be that as it may, I shall focus on the initially stronger case for redistributing (some of) the wealth of business owners.

2.2 Individual Contributors

Assume that I run a business manufacturing iPods. An iPod comes off the assembly line. Who made it? A great many people contributed: the person who runs the business (me), the investors who provided the capital to start it, the employees who wrote the software for the iPod and operated the machinery to produce it, the suppliers from whom I bought the components, *their* suppliers, the truck drivers who brought the components to my factory, the road workers who built the roads on which those trucks drove, the farmers who grew the food to feed the truck drivers, and so on. In the end, when any economic good is produced, an enormous number of individuals will typically have contributed to it.

What claims do these contributors have on the final product? Presumably not everyone has an *equal* claim on it. Is there some way of measuring the contribution made by each, so as to assign each contributor her fair share of the profit? More to the point, is there reason to believe that the low-income contributors have been systematically shortchanged (paid less than proportionately to their contribution), such that general redistribution from high-income to low-income individuals would be justified in terms of Lockean or quasi-Lockean norms governing property rights? There are two reasons to doubt that:

(*i*) First, ordinary market mechanisms tend toward distribution approximately in accordance with an approximately fair principle, namely, the principle that individuals be rewarded according to their marginal contribution to the economic value of the finished product.

Why does the market tend to distribute rewards in this way? In standard price theory, buyers buy a good up until the point at which the buyer's marginal utility from acquisition of the good equals the price to be paid. This applies as well to such productive factors as labor and financing as to material products. Thus, in theory, the salary received by an individual worker (plus other employment costs such as payroll taxes and benefits costs) should equal the marginal value of the worker to the employer. Roughly, the reason for this is that (a) labor has diminishing marginal value; (b) if the marginal value to the employer of an individual worker is *less* than the price paid by the employer, then the employer increases his profit by firing one or more workers; and (c) if the marginal value of the worker is *greater* than the price paid by the employer, then the employer increases his profit by hiring more workers. Thus, in equilibrium, the worker receives his marginal economic product.

Why is this kind of distribution fair? For concreteness, suppose that Sam belongs to a company that takes in $1,050,000 in revenues per year. Without Sam, the company would only take in $1,000,000 per year. So Sam's marginal economic product is $50,000. But suppose Sam's annual salary is $60,000 (assume this includes all the costs involved in employing Sam). Then Sam's presence is a net cost to the rest of the participants; the others could all be made better off by expelling Sam and dividing the extra $10,000 that would then be available among themselves.[6] But it is not reasonable for Sam to expect to be included in a joint venture for economic profit under such conditions. For this sort of reason, in general, no person can reasonably ask for more than their marginal economic product when engaged in cooperative economic activity with others.

Thus, market distribution, which approximates to distribution in accordance with marginal economic product, gives each participant, approximately, the most that they could reasonably ask for (given who the other participants are and given an economic purpose for the cooperation).

(*ii*) More importantly, we should question the need for some agent outside the production process to evaluate each individual's contribution. Individuals involved in economic activities are normally compensated for their contributions by the other participants at a rate mutually agreed upon. These agreements obviate any property claims that individuals might otherwise have to the products that (partially) result from their activities.

For example, suppose that I hire a truck driver, at a rate mutually agreed upon in advance, to bring supplies to my factory. I then use these supplies to create highly valuable iPods, which I sell for a large profit. The truck driver, despite having causally contributed to producing the iPods, has no ownership stake in them, because no such stake was specified in our agreement. That is, the driver agreed to sell his labor to me in return for a certain sum of money, which, we assume, I have paid. Whatever benefit I subsequently derive from that labor is then mine alone. The driver *could* have insisted, in exchange for his labor, on receiving a percentage of the profits from my business. But assume he did not do so. In that case, the driver's ownership of his own labor gives him no claim on the profits of the business, since the driver already sold his labor to the business owner.

Compare a similar case: Susan sells a painting to Jack, who then resells the painting at a profit. Jack does not then have any obligation to split the profits with Susan. The profits are entirely his, because Susan, in the original sale, transferred all claim on the painting; that is what it meant to sell the painting.

Similar observations would apply to other individuals involved in the production process; provided that they received that for which they agreed to sell their labor, no additional compensation is owed.

2.3 The Contribution of the State

The preceding discussion may seem to miss the point. The main emphasis in Obama's "you didn't make that" speech was on the contributions to productivity by *the state*. He mentions teachers, roads, and bridges before explicitly ascribing the creation of the internet to the government.[7] Others would emphasize the role of the state in providing law and order and, especially, in protecting property rights, which are essential to economic productivity.[8] In return for its contributions to economic productivity and to the welfare of society in general, the state is entitled to demand a certain payment.

One might object that, on this reasoning, the state is entitled to demand payment for the specific services mentioned—for instance, the state may require payment for the hiring of police officers, judges, and prosecutors; the construction of roads; and other expenses necessary to the provision of goods that benefit all citizens. But no considerations about the contribution of roads, schools, and law and order to economic productivity could explain why the state is entitled, in addition, to charge the wealthy for "services" that they do not want and do not benefit from, such as social welfare programs for the poor.

In response, it might be held that the entire tax bill paid by a wealthy individual is the charge for the services received by that taxpayer. This may be true even if some of the tax revenues will be used to provide other services. Compare this case: I sell you a book for $30. After the exchange, I donate $10 of the $30 to the Against Malaria Foundation (AMF). You complain that you didn't want to support AMF, and that I had no right to charge you for malaria prevention. You request a $10 refund. My response: "I charged you $30 for the book, which you received. What I did with the money subsequently was my business." Similarly, the state might say to wealthy taxpayers: "Your tax bill is what we are charging you for the provision of law and order, which you have received. What else we do with the money is our business."

There is, however, an important disanalogy between my book sale and the state's "sale" of law and order. When I sell my book, so we assume, I do not *compel* you to buy it, nor do I coercively prevent you from buying other books from other authors. The state, however, compels its customers to buy its services at a price set by the state, and it coercively prevents individuals from obtaining those services from any other providers (if someone tries to set up a competing government or government-like entity, the existing government will shut it down with prejudice).

Assume for the sake of argument that the state's coercive, monopolistic behavior here is justified, perhaps because the behavior is necessary to prevent consequences sufficiently dire as to outweigh individuals' *prima facie* rights against coercion. The point is that the coercive source of the state's revenues nevertheless imposes restrictions on how those revenues may be used, restrictions that would not apply to revenues gained by voluntary trade. If one's entire revenue stream is coercively collected, then any decision that necessitates an increase in revenue collection entails an additional *prima facie* rights violation or an increment in the seriousness of existing rights violations. By contrast, no such increment in rights violation is implied in a mere raising of the price of a product that is voluntarily purchased.

Compare the following pair of cases:

> *Hotwired Car:* Jon suffers a medical emergency, which requires him to be immediately driven to the local hospital. The only available person who can drive Jon to the hospital is Sue, and the only available vehicle is a car belonging to someone else, who cannot presently be contacted for permission. Sue hotwires the car and takes Jon to the hospital. Then, for entertainment, she takes the car for a spin up in the mountains before returning it.
>
> *Rented Car:* As above, except that Sue has rented a car from Avis, which she uses to drive Jon to the hospital. After delivering Jon, she takes the car for a spin up in the mountains.

In the first case but not the second, Sue's drive up in the mountains is a violation of the property rights of the car owner, regardless of whether her use of the car to take Jon to the hospital was justified and regardless of whether the latter was a rights violation. This is because the drive in the mountains constitutes an additional unauthorized use of the car owner's property.

Similarly, regardless of whether the state is justified in taxing citizens to pay for provision of law and order, the additional seizures of funds required for wealth redistribution would be rights violations, even though similar revenue collections would *not* violate rights if the state's services were sold voluntarily.

2.4 The Counterfactual Test

In determining whether an action on the part of A has violated B's property rights, we might apply a counterfactual test: What property would B have had if A had not acted as he did? If A has violated B's property rights, specifically by stealing from B, it ought to be true that if A had not performed the action in question, B would have possessed some property that he does not in fact possess—we might think this a *necessary* (though of course not sufficient) condition for there to have been a theft.

In the case of taxation, the question would become: If there were no taxation, what would our incomes be? But if there were no taxation, the government would collapse, at which point (allegedly) all social order would break down. Then no one would have any income (or at least, almost everyone would have much less income and perhaps none in the form of money). So we would not have more money if not for taxation; therefore, taxation does not violate our property rights in our money.[9]

One problem with the preceding argument is that it applies the counterfactual test very broadly, asking what one's income would be if *no one* had paid *any* taxes. Compare this scenario: I run a security company that specializes in preventing burglaries. Ironically, someone breaks into my company's office and takes $500, which came from the company's profits. When I catch up with the alleged thief, he offers this defense: "If there were no burglaries, your anti-burglary company would never have gotten off the ground; as a result, you would never have had that $500 in the first place. Therefore, my burglary does not violate your property rights in that money." Presumably, if some counterfactual test is correct, the correct reply would be that the burglary violated my property rights because I would have the $500 if *that specific* burglary had not occurred; it does not matter what would have happened if burglary in general did not exist.

Similarly, then, if we want to know whether a specific individual's property rights are violated when that individual is taxed, the appropriate question seems to be what that individual's income would be if that particular instance of taxation had not occurred—that is, if that individual were not subject to that tax on that occasion. The answer is typically that the individual would have more money; thus, individual instances of taxation pass the counterfactual test for constituting property-rights violations.

But the more important problem is with the counterfactual test itself. An agent can be guilty of a property-rights violation even if the rights violator renders his victim better off and, indeed, even if the rights violator enables the victim to obtain the very resources that the rights violator subsequently seizes. Suppose, for example, that I force you to buy some yarn from me. This is a rights violation; specifically, it is a (rather odd) form of theft. But suppose you subsequently knit the yarn into a sweater, which you sell for a profit. My earlier extortion does not cease to be a rights violation, nor does the money I hold cease to be stolen money, merely because you subsequently made good use of the yarn. Now assume that I continue to extort you in the same manner over a period of time; that you continue to make the yarn into colorful sweaters and scarves, which you sell for a profit; and that you use the proceeds from these sales to satisfy my extortionary demands (which still leaves you with a net profit). Still—even though the money I take from you is money you would not have earned but for the yarn I provide you[10]—no one would deny that I am violating your rights.

Why is this a rights violation? It is not the case that it is a rights violation because some counterfactual conditional is true—for instance, that you would be better off, or that you would have more money, if I did not act as I do. It is a rights violation because it is a coerced transfer of a possession (your money) in which you have a property right. The reason you have a property right in the money is that you acquired it in a legitimate manner without violating anyone else's rights.[11]

Likewise, what makes taxation a property-rights violation is not that we would have more money if there were no taxes. What makes taxation a property-rights violation is that it is a coerced transfer of goods that (in most cases) individuals acquired in legitimate ways. Taxation does not cease to be a violation of taxpayers' property rights merely because the state provides services necessary to economic productivity, even if these services enable individuals to earn the very funds that the state takes.

3 A *REDUCTIO* OF THE LIBERTARIAN ARGUMENT?

The preceding argument turns on the state's coercive manner of collecting revenues. Thus, the conclusion would seem to be not merely that *redistribution* violates property rights but also that *taxation* violates property rights. But taxation is used to fund virtually all functions of government, including the functions that most libertarians accept as legitimate, such as police, courts, and the military (the minimal state). One might therefore be tempted by the following *modus tollens* argument:

1. If taxation to fund wealth redistribution is a rights violation, then taxation to fund even a minimal state is a rights violation.
2. But taxation to fund a minimal state is not a rights violation.
3. Therefore, taxation to fund wealth redistribution is not a rights violation either.[12]

Since libertarians seemingly accept premise (2), and the central argument to show that redistribution violates rights would seem to support (1), the libertarian argument is in trouble.

Libertarians should respond by rejecting (2). Taxation is a rights violation, even if the revenues are used solely to finance a minimal state. Taxation is a non-voluntary transfer of property that initially belongs to the taxpayer—anyone who accepts the libertarian critique of wealth redistribution should agree with that statement. And this makes taxation a violation of property rights, whatever the state does with the money subsequently.

How, then, could a minimal state legitimately fund itself? There are at least three reasonable libertarian replies to this. First, one could join the anarchists in denying that even a minimal state is justified. Libertarian anarchists propose, instead, that the traditional functions of the state should be privatized, that is, taken over by protection agencies and arbitration agencies operating in a competitive market.[13] Second, for those uncomfortable with anarchism, one could propose voluntary methods of financing the minimal state, such as user fees. Third, if one considers both anarchism and voluntary financing of government unfeasible, one might argue that although taxation is a rights violation, it is a *justified* rights violation since it is necessary to prevent something *much* worse from happening. On this last view, the justification of taxation will depend upon what the tax revenues are to be used for. It may be, for example, that violating property rights is justified to prevent the complete breakdown of social order but not justified to prevent a small percentage of society from living in poverty. I shall not pursue these ideas here, however; for present purposes, I rest with the conclusion that taxation, whether justified or not, is a rights violation.

4 THE ROLE OF THE STATE IN DEFINING PROPERTY RIGHTS

Thomas Nagel and Liam Murphy hold that property rights are created by the state and, therefore, that the state may simply choose to define property rights in such a way that the money taken from taxpayers never really belonged to them in the first place—that a certain portion of one's income, for example, is the property of the state from the beginning. In that case, tax collection, rather than violating the property rights of individuals, would actually serve only to enforce the property rights of the state.[14]

There are at least three broad views one might take concerning the foundation of property rights:

a. *The Pure Natural Rights View:* Property rights are moral rights that are, in every aspect and detail, independent of social conventions, laws, and the state.
b. *The Extreme Legalist View:* Property rights are in every aspect and detail *dependent* on government-created laws.[15] (NB, property rights are not only legal but also moral rights; this is why theft is not just illegal but unethical. The Legalist View is not merely that certain *legal* rights are dependent on laws but also that the relevant *moral* rights are dependent on laws.)
c. *The Moderate View:* Certain broad aspects of property rights are natural, that is, independent of conventions and laws; however, other aspects and details of property rights must be settled by conventions or laws.

Which of these views are plausible, and which might be used to support the Nagel–Murphy argument in defense of taxation?

Begin with the Pure Natural Rights View. This view obviously conflicts with the Nagel–Murphy argument. The Pure Natural Rights View, however, is also highly implausible on reflection. Consider an example from David Friedman: If I fire a 1,000-megawatt laser at my neighbor's house, I thereby violate his property rights. On the other hand, if I turn on a lamp in my house, knowing that some photons will go out the window and hit my neighbor's house, I do not thereby violate his property rights. The only physical difference between these two actions lies in the number and energy levels of the photons that I send my neighbor's way.[16] So there must be some principle governing the number and energy levels of photons that one may send onto another person's property (of course, the principle need not be formulated in those terms); there is some amount of light at which it first becomes a rights violation. But it is not plausible that this is determined purely by natural law. We need some sort of convention or man-made law to settle the matter.

For a second example, I have the right to demand that United Airlines not fly commercial jets 500 feet over my home; thus, some rights over the overlaying airspace seem to be included with one's ownership of a piece of real estate. But I do not have the right to enjoin United from flying airplanes *20,000* feet above my home. Exactly how high, then, must an airplane be for it to not be violating my property rights? Again, it is not plausible that this is settled purely by non-conventional, objective moral principles.

We might be tempted, then, by the Extreme Legalist View; perhaps *all* questions about property rights are to be settled by government-made laws. Again, the claim here would not be the trivial one that the legal questions are settled by laws but the ambitious claim that the *moral* questions as to one's property rights are entirely settled by laws. This view can be broken into two component theses:

i. Laws that recognize a particular set of property rights are *necessary* for the existence of moral property rights; without legal rules governing property, there would be no property rights.

ii. Laws that recognize a particular set of property rights are *sufficient* for the existence of moral property rights; for example, the existence of such conventions or laws makes it *pro tanto* morally wrong to take, damage, or use an item that, according to the conventions, belongs to another person without that person's permission.

Nagel and Murphy need *both* theses: They need thesis (*i*) to argue that individuals have no moral right to the money that the state takes in taxes, and they need thesis (*ii*) to argue that the state *has* a right to that money (otherwise, it won't be wrong to fail to pay one's taxes).

Both theses are implausible. Begin with (*i*), the idea that laws are *necessary* for property rights. Suppose you are exploring a remote wilderness region outside the jurisdiction of any government when you come upon a clearing containing a rude hut. The hut appears to have been built by a hermit, who is its only inhabitant. Since property rights depend entirely upon governmental laws, and none are in force here, you determine that the hermit does not own the hut. Over his vociferous protestations, you decide to spend the night in the hut, eat some of the food that the hermit has grown and gathered, and then paint the hut lime green. You don't need to do any of these things; you just do them for fun. If there really are no property rights in this situation, you have just as much right to do these things as the hermit does.[17] Notice that my claim is not that in this scenario, the hermit has the full set of property rights exactly as they would be if a US citizen bought some land in the United States and built a house on it. My claim, in accordance with the Moderate View of property rights, is only that there is at least some elementary, core notion of property that applies in the scenario.

Next, consider thesis (*ii*): that certain kinds of laws are *sufficient* for property rights to exist. In the pre-Civil War United States, ownership of human beings was recognized in the southern states, both conventionally and legally. Thus, thesis (*ii*) would imply that a slave was the genuine property of his master, in a morally loaded sense. This need not preclude the possibility of arguing that some other distribution of property would be preferable (perhaps one in which no one were assigned a property right in another human being). But, *given the laws as they were*, one would have to say that a master in fact had the moral rights regarding his slaves that go along with property—the right to determine how his slaves were used, to sell them, bequeath them, and so on—and that for a slave to escape from his master, or for a third party to help a slave to do so, was an act of theft. I find this implausible. I do not think merely that the rights of the master would be *outweighed* by other moral values, such that the theft would be justified all things considered; I think it implausible to view runaway slaves and those who helped them as violating any moral rights at all.

Perhaps Nagel and Murphy would wish to qualify thesis (*ii*); perhaps legal recognition suffices for generating genuine (moral) property rights *only* if the system as a whole is overall reasonably just, beneficial, or satisfies some other norms (where these are norms that are independent of property rights). This would be in keeping with their frequent insistence that questions about tax policy must be addressed by evaluating the justice of the overall distribution that results from the political system as a whole, including both tax policy and all the various government programs. Perhaps during the slavery era, the overall system was sufficiently unjust, due to its violating some independent norms,[18] that it failed to generate genuine property rights. But while this would explain why helping runaway slaves to escape was not a rights violation, it fails to explain why, in that same society, stealing somebody's money (where the money had been obtained through honest work and not from the use of slaves) *was* a rights violation.

We might be tempted to simply postulate that there are certain moral constraints, independent of the actual laws, that the state must respect in order for its establishment of a given class of property rights to be legitimate; one of these constraints would be that a person may not be the property of another person. But this is precisely to abandon thesis (*ii*) of the Extreme Legalist View. Once we abandon (*ii*), we are left with no reason for recognizing the state's ownership claim on tax revenues. The state's revenue-collection method is not one that would normally be taken, intuitively, as a legitimate way of acquiring property. That is why Murphy and Nagel introduced the Extreme Legalist View of property to begin with.

The upshot is that only the moderate view of property rights is plausible. On this view, the objective moral principles governing property leave certain matters unsettled—how much light one may shine at a neighbor's property, how high above someone else's land one may fly, and so on. It is for laws and conventions to settle those matters. But the laws and conventions are not completely unconstrained; they must respect certain broad normative truths about property. There is room for disagreement as to precisely which aspects of property rights are natural and which are conventional. The success of the Nagel–Murphy argument depends upon how extensive the role of law is in shaping the contours of property rights. Can the state legitimately define property rights such that the state owns precisely the funds that it wishes to collect as taxes?

There is reason to believe that the answer is no. The funding methods used by actual states, and likely to be used for the foreseeable future, do not merely judiciously define property rights in some unsettled area. Nor does the state limit itself to infringing upon certain controversial alleged property rights, such as copyrights, rights to control airspace, or the right to bequeath property. Rather, the standard revenue-collection methods used by the state infringe upon *core* property claims in *paradigmatic* ways. Suppose that I use threats of kidnaping and imprisonment to coerce my neighbors into giving me 10 percent of their income. I am not merely laying claim to a portion of certain unusual, controversial forms of income; I lay claim to a portion of *every* neighbor's income, *from whatever source derived*. It is not *indeterminate* whether this is a rights violation or not; this is not one of those matters, like the amount of airspace one may claim above one's home, that is left unsettled by our ethical intuitions. This is just a clear case of a property-rights violation (and this would remain true even if my action violated no law). There is room for disagreement as to what are the legitimate ways of acquiring property, but on any normal (not radically revisionary) conception, there will be *some* legitimate ways of acquiring goods, such that one who acquires goods in one of those ways has a property right in them. Since I am coercively transferring goods from my neighbors regardless of how they acquired those goods, I am violating any normal conception of property rights.

Property rights are not absolute; if I had some urgent use for the money, the rights violation might be justified. So defenders of taxation could argue that the state must resort to taxation to fund its operations and thus to prevent a general breakdown of social order. Whether this is true or not is open to debate,[19] but that is not my concern here. Here, I am addressing only views according to which taxation is not even a rights violation at all.

5 CONCLUSION

Wealth redistribution financed by taxation is a violation of the property rights of taxpayers. In response to recent objections to this thesis, I have argued:

a. The fact that one produces wealth through cooperation with other members of society, rather than through entirely solitary efforts, does not prevent one from acquiring an unencumbered property right in the money one receives from market transactions, given that the others on whom one relies make their contributions voluntarily and receive the compensation in exchange for which they agree to make those contributions.
b. The fact that the state provides valuable services, even services that are necessary to one's productivity (if indeed this is the case), does not prevent taxation from constituting a rights violation. It is possible for a rights violation to have beneficial consequences; it is also possible for a person to steal money that he (the thief) helped the victim to obtain in the first place.
c. There is a tension in any libertarian position that countenances taxation to fund the minimal state while criticizing taxation used to fund wealth redistribution. Libertarians should resolve the tension by holding that the minimal state is unjustified, or that the minimal state can be financed voluntarily, or that the harms averted by the minimal state are sufficiently dire to justify the violation of property rights.
d. It is plausible to hold that (provided that the state is legitimate in general) the state has a legitimate role in defining property rights. However, the state's definition of property rights is not morally unconstrained; it must respect certain broad, pre-political moral norms governing ownership. These broad norms establish certain kinds of behavior as paradigmatic property-rights violations, including the sort of behavior in which the state is engaged when it taxes citizens.

None of this proves that wealth redistribution could not be ethically justified, all things considered. What it shows is that there is an important consideration against redistribution. It remains possible that humanitarian or other values outweigh the property rights of taxpayers. The preceding reasoning has practical importance nonetheless, because it raises the threshold for the justification of redistributive taxation. Theft can be justified, but this requires fairly serious reasons; theft is not justified, for example, merely because the thief has a somewhat better use for some property than the original owner. Similarly, taxation might be justified, but this would require fairly serious reasons, something stronger than merely that the state has a somewhat better use for the money than the taxpayers.[20]

NOTES

1. Rawls 1999; Murphy and Nagel 2002; Holmes and Sunstein 1999. The intended sense of *redistribution* here is descriptive rather than normative; thus, taking wealth that A possesses and giving that wealth to B counts as redistribution, regardless of whether A is or ever was justly entitled to that wealth. For different senses of *redistribution*, see Barry 2014.
2. Nozick 1974: 167–74.
3. For this last view, see Nagel 1981: 196; Wellman 2005: 21–2; Scanlon 1981: 115–6. In truth, I find this sort of view the most plausible way of defending wealth redistribution. For discussion, see Huemer 2013: 148–60.

4. C-SPAN 2012.
5. Locke 1980: section 27, 19.
6. That is, a proposal to expel Sam and redistribute revenues could be made, such that every other person in the company would be made economically better off under that proposal.
7. Immediately following the remarks quoted earlier, Obama continued, "The Internet didn't get invented on its own. Government research created the Internet so that all the companies could make money off the Internet."
8. Murphy and Nagel 2002: 32–3; Holmes and Sunstein 1999: ch. 3.
9. Murphy and Nagel 2002: 32; Zelenak 2003: 2261–2.
10. Of course, the money I take at a given time is money that you have because of my *past* extortionary activities, not because of my *present* act of extortion. This does not falsify the analogy, since the analogous point also holds for the case of taxation by the state.
11. Nozick 1974: 150–5.
12. Cf. the argument of Holmes and Sunstein (1999).
13. See Huemer 2013, especially chs. 10–12.
14. Murphy and Nagel 2002: 58. Murphy and Nagel describe the conventionalist view of property as "perfectly obvious" (p. 8) and "common sense" (p. 74), though they find that ordinary people (including, presumably, Lockean rights theorists) suffer from the "illusion" (p. 74) of natural property rights. Though Murphy and Nagel speak of conventions, their argument requires that property rights depend not merely on *conventions* but also, more specifically, on *government-created laws*.
15. Holmes and Sunstein 1999: 59–60.
16. Friedman 1989: 168.
17. Cf. Scanlon 1981: 124. Unlike Scanlon's example, my example does not involve serious harm to the hermit (and there is no general norm independent of property rights against causing small harms of the sort in my example), so the wrongness of the action cannot be said to derive from a general norm against harming others. It seems to derive from something like a valid property claim on the part of the hermit.
18. Of course, Murphy and Nagel could not, on pain of begging the question, claim that the system was unjust due to its violating the norms governing property rights. It could not be said, for example, that slavery was unjust because everyone necessarily owns themselves.
19. See Huemer 2013.
20. I would like to thank Bas van der Vossen for his helpful and insightful remarks on the draft of this paper.

FURTHER READING

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Free Trade: A Principle for All Seasons

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Free trade is central to libertarian philosophy. Libertarians endorse free trade among individuals within nations as well as among nations. But the endorsement of free trade is not the province of libertarians only. As we shall see, free trade is mandated by *any* minimally plausible political theory.

This essay addresses international trade. A variety of factors support free trade:

1. Free trade is a powerful engine of national and global prosperity. Trade increases wealth at both the global and national levels. While trade, as such, has no obvious distributional implications, theory and evidence show that, in virtually all cases, it helps lift people out of poverty.
2. Protectionist barriers (the opposite of free trade) reward undeserving persons (those that can enlist the coercive power of the state to protect them against foreign competition) and also punish undeserving persons (local consumers, foreign producers, and unprotected local entrepreneurs and their workers).
3. Protectionism leads to absurd results. The same reasons given in favor of international trade barriers justify internal trade barriers, which everyone concedes are absurd.

THE ECONOMICS OF TRADE: COMPARATIVE ADVANTAGE

International trade is governed by the economic *law of comparative advantages*. This law has been elaborated and refined in the 200 years since David Ricardo first formulated it. After all this time, the law of comparative advantages remains "one of the crown jewels of the economic profession" (Rodrik 1998: 3), the one proposition from which virtually no serious economist dissents. Nations trade because technological differences lead each to specialize in the production of the good in which it has a comparative advantage (Ricardo 1812). Country 1 has a comparative advantage in the production of good A relative to

Country 2 if its opportunity cost of producing good A (i.e., how many units of good B it can no longer produce if it produces an additional unit of good A for a given stock of resources) is lower than Country 2's opportunity cost of producing good A. Comparative advantage applies across the board; it is simply the ability of a firm, an individual, or a nation to produce goods and services at a lower *opportunity* cost than other firms, individuals, or nations. This is very important, because it leads to the amazing conclusion that *everyone always has a comparative advantage at something* (Landsburg 2007). Imagine a medical clinic that has a neurosurgeon and a nurse. The clinic performs only two activities: neurosurgery and medical shots. The easy case is where the doctor is better at surgery than the nurse and the nurse is better at administering shots than the doctor; each one to their task. But what if the doctor is better at *both* activities? If the doctor's surgical skills are vastly better than the nurse's while his shot-administering skills are only slightly better than the nurse's, then it still makes sense for the doctor to devote all his energies to surgery and leave the shots to the nurse. This is because the *opportunity cost* for the doctor in forgoing surgery is high. Notice that the nurse, who is less efficient at *both* tasks, still can contribute his shot-administering skills to the common enterprise. Comparative advantage is about the party for whom it is less expensive to produce the good doing so. The total output of the clinic is maximized by specialization. That is why everyone stands to gain from trade.

In international trade, while the exact split of the surplus will depend on the relative demands for the respective products in the two countries, both countries have the potential to expand their consumption of both goods without using more resources. Joint consumption of both goods across the two countries is guaranteed to rise, even though one country can produce both goods more cheaply than the other. If the United States can produce both computers and soybeans more efficiently than Argentina can, but the American advantage in soybean production is only slight, it makes sense for the United States to specialize in computers and leave the soybeans to Argentina. By specializing in the good in which its comparative advantage lies, trade effectively allows both countries to shift their production possibility frontiers outward. Extensions of the Ricardian model increase the number of countries and the number of goods traded and include transportation costs and tariffs (Dornbusch *et al.* 1977). In general, for all of these extensions, the theory's predictions are robust: Trade continues to increase welfare among the trading partners.

Comparative advantage models imply an aggregate gain from trade liberalization. In the more refined versions, there are important distributional consequences. Given the aggregate gains, however, if a country has well-functioning institutions, everyone could be made better off as a result of trade through some form of redistribution. Even in the absence of redistributive institutions, many of the refined models actually imply that the poor are the most likely to benefit from trade (Dollar and Kray 2004; 2005). Because the poor are most likely to be the owners of the abundant resource in developing countries (labor), liberalizing trade will increase the return to the poor in those countries. [2]

The finding that trade is a positive-sum game when nations are considered as units is of great importance, because it contradicts the claim that the country that erects trade barriers helps itself and hurts other countries. We routinely hear this claim from politicians and others not trained in economics, and it is based on a serious economic mistake: that exports are good and imports are bad. The view is known as mercantilism. Mercantilism views trade as a zero-sum game where one country's gains come at the expense of other countries. It rests on the false assumption that a surplus in international trade must be a deficit for other countries. Mercantilists claim that exports, believed to benefit domestic producers, should be encouraged, while imports, believed to hurt domestic producers, should be discouraged. But national well-being is based on present and future increased consumption. Exports are valuable only indirectly; they provide the income to buy products to consume. Another popular mercantilist fallacy is the belief that foreign subsidies are bad and that our government should impose tariffs on subsidized imported goods. But subsidized imported goods are really a *gift*. Surely consumers will welcome cheaper imported goods subsidized by hapless foreign taxpayers.

In sum, trade liberalization (1) increases the sum of wealth measured in all trade partners, (2) increases wealth in *each* of the trade partners, and (3) at the very least, within each trade partner, such growth is most often shared by the poor in various ways. This should be good news for egalitarians and not just for libertarians, because economic growth is a precondition for successfully implementing social policies, even non-libertarian ones. In other words, non-libertarians should be libertarians with respect to trade.

THE MORALITY OF FREE TRADE

Protectionist laws assume various forms: tariffs, import licenses, export licenses, import quotas, subsidies, government procurement rules, sanitary rules, voluntary export restraints, local content requirements, national security requirements, and embargoes. All these trade barriers, while different in a number of respects, raise the cost (sometimes prohibitively) of importing goods and services. Protectionist laws are artificial, coercive obstacles placed by governments on voluntary transactions across borders. The first objection to protectionist laws, then, is that they interfere with voluntary transactions.

Now suppose that we concede, for the sake of argument, that the government can coercively interfere with voluntary transactions for a variety of reasons. Let us encapsulate those reasons in the notion of *common good*. The government, on this view, can interfere with contract when the common good (in some form) so requires. For example, the government can refuse to enforce unconscionable or immoral contracts, or the government may interfere with contract in order to transfer resources toward the needy, or the deserving, or the weak. Thus the vast regulation of business in modern democracies can be seen (charitably) as an effort to correct the perceived injustice of market outcomes.

Protectionist barriers, however, are unjust because they cannot be justified under anything even resembling the common good. Consider the protectionist barriers enacted by developed countries for targeted sectors—in particular agriculture. The United States periodically reenacts the Farm Bill, which obligates the government to buy surplus from farmers in order to keep prices artificially high. The European Union has long maintained the Common Agricultural Policy, a euphemism denoting, too, a vast system of subsidies that keeps inefficient European farmers in business (*Economist* 2005). In addition to these subsidies, rich nations have enacted a host of mostly phony regulations, such as quality control, sanitary rules, government procurement rules, and so on, the effect of which is often virtually to ban imported agricultural products.

These restrictions cause triple harm. First, they harm *consumers*, who have to pay more for agricultural products. Without these barriers, consumers would simply buy the cheaper (and usually better) agricultural products from developing nations, while the resources now artificially channeled toward agricultural protection would be freed to produce goods and services where the rich nations are comparatively efficient.

Second, these laws also harm *producers* in foreign nations (often poor nations), because they lose wealthy markets for their products· (Pogge 2010: 17–19). Farmers in developing countries experience catastrophic losses as a result of Northern subsidies.[3] They inflict an injustice on the world's poor by coercively interfering with their means of subsistence and growth.

Third and most important, protectionist laws have *unseen* harmful consequences as a result of their opportunity cost. For example, when an industry gets protection capital and labor flow to that industry. Technically, the protected industry enjoys a local monopoly, and so it can extract supra-competitive prices. This feature causes an artificial channeling of capital and labor to the industry. However, this *prevents the creation of new industries*, those who need capital and labor to grow. Governmental intervention has aborted the growth and diversification of the economy by preventing the economic forces from operating in accordance with the society's comparative advantages. What this means is that protectionist laws have caused a new harm: by artificially inducing capital and labor to flow to inefficient industries, they have obstructed the creation of wealth represented by new, efficient industries. As a result, protectionist laws create unemployment by killing new businesses that could have hired persons who are now unemployed. This is not a case of the state's failing to bestow benefits on people, but of the state's actively harming people.

This harm, the opportunity cost of protectionist laws, is very difficult for the public to see. Tragically, the unemployed person in suburban Buenos Aires cannot *see* that a main reason for his predicament is that inefficient producers and their powerful unionized workers have successfully lobbied the Argentine government to get protection against foreign competition. In this way, the labor unions have *caused* this person's unemployment, because the industry that could have employed him was *aborted* by the perverse incentives created by protectionist laws. Because understanding this requires not only knowing the complex and counter-intuitive law of comparative advantages but also positing a *counterfactual* that is itself hard to grasp, the victim of this governmental depredation does not see himself as such and, sadly, continues to support the populist demagogues in the hope that he, too, will benefit from some subsidy or other.

Can protectionist barriers be nonetheless justified? Perhaps protectionists can argue that trade barriers redistribute resources in favor of deserving persons. In our example of agriculture, farmers would be the deserving beneficiaries. This is dubious on its face; surely, on any theory of social justice, being a farmer cannot be the characteristic that makes a person deserving of redistribution in her favor. But let us grant, heroically, that there is some reason to consider the local farmer as deserving. The protectionist proposal faces a powerful objection. In rich countries, agricultural subsidies are redistributive: They transfer wealth from domestic consumers and foreign farmers to supposedly deserving domestic farmers. Still, those subsidies hurt *foreign* farmers and, in particular, farmers in developing nations. This means that even if the protectionist could successfully argue that the transfer is *domestically* justified, he cannot possibly maintain that the protectionist laws meet any test of global justice that focuses on alleviating world poverty.

For protectionist laws interfere with voluntary transactions between consenting sellers and buyers in such a way as to hurt the most vulnerable. By enacting these laws, rich countries actively *worsen* the situation of the world's poor.

This is a serious problem for mainstream theories of distributive justice, for they were originally designed to evaluate a basic *domestic* institutional structure, the goal of which is to benefit the *domestic* worst-off groups in society.[4] Yet when those theories add global reach, it turns out that the domestic redistributive policies they favor often hurt the distant poor, who almost always are considerably worse off than the domestic poor. The startling conclusion is that enforcing redistributive programs in the name of *domestic* justice may well violate *international* justice or, at least, international duties of humanity or charity toward persons elsewhere that are struggling for survival. For example, in the United States, some sectors propose a tax on corporations who move their operations to developing countries. They defend this tax by proclaiming the need to "keep jobs at home." Yet, should this policy succeed, it will deny significant employment opportunities to poor persons in developing countries.

The protectionist can then make the *nationalist* move. She may claim that justice mandates redistribution of resources only within state borders. Preferring compatriots is morally acceptable as long as we do not violate the rights of foreigners. Our farmers (farmers in rich countries) hurt by foreign competition are entitled to our solicitude and help; distant others are not. The Farm Bill is simply an instance of moral solicitude toward those who are closest to us and share a common project. As long as our government doesn't *directly* harm foreigners, it is empowered to enact policies in accordance with its best understanding of domestic distributive justice. The government (this argument goes) is not a global charity agency. It has been appointed by the citizens of the state to serve their needs and advance their interests as long as in doing so, it does not violate the rights of foreigners. Raising the cost of imported goods is not a violation of a right that the foreign producer holds. True, foreign farmers suffer an indirect harm because their clientele has been reduced, but no one has a vested right in a clientele. If one is willing to export goods, one has to expect that foreign governments will sometimes intervene in markets in order to realize (domestic) social justice. On this view, given the fact that governments are the normal agents for realizing justice in their own societies, this is a risk that exporters in developing countries should assume. So, the argument concludes, we must concede that compatriots are entitled to our help, and that therefore we cannot condemn protectionist laws just because they harm the distant poor.

Even conceding the dubious nationalist premise, this superficially attractive move fails for several reasons. First, trade barriers *actively interfere* with the rights of persons, namely the rights of buyers (domestic consumers) and sellers (foreign producers). So it is incorrect to describe the situation as remote or indirect harm. A protectionist law coercively interferes with contract and directly harms the parties. The innocent description of a protectionist law as mere help to local producers misses the coercive nature of those laws. They help the producer by coercively interfering with a contract between the foreign exporter and the domestic importer, thus harming both. If the protectionist concedes that our duty toward foreigners is a negative duty of non-interference (as opposed to aid), then protectionist laws violate that duty. Particularly significant is the fact that a protectionist barrier violates the rights of producers in developing nations: their right to freely dispose of their property, a right that is very important because it is intimately tied to their subsistence. Moreover, if people wanted to act on nationalist motives, they would do it voluntarily. They could choose to "buy American." State coercion is entirely unnecessary and, for that reason, suspect.

Second, the state should not be in the business of preventing competitive harm. If enough consumers decide to buy Apple computers because they judge them better, makers of PCs will be harmed. If two persons compete for the same job, the one who is not chosen will be harmed. Perhaps a necessary condition for legitimate state intervention is that the setting back of an interest be wrongful. That is, A unjustly harms B when (1) A sets back B's interest, and (2) A does this in a manner that violates B's rights (Feinberg 1987: 65). Since in the above examples, no rights are violated, those harms ought not to be compensated. As John Stuart Mill said:

> In the first place, it must by no means be supposed, because damage, or probability of damage, to the interests of others, can alone justify the interference of society, that therefore it always does justify such interference. In many cases, an individual, in pursuing a legitimate object, necessarily and therefore legitimately causes pain or loss to others, or intercepts a good which they had a reasonable hope of obtaining. …Whoever succeeds in an overcrowded profession, or in a competitive examination; whoever is preferred to another in any contest for an object which both desire, reaps benefit from the loss of others, from their wasted exertion and their disappointment. But it is, by common admission, better for the general interest of mankind, that persons should pursue their objects undeterred by this sort of consequences. In other words, society admits no right, either legal or moral, in the disappointed competitors, to immunity from this kind of suffering; and feels called on to interfere, only when means of success have been employed which it is contrary to the general interest to permit—namely, fraud or treachery, and force.
>
> (Mill 1971 [1859]: 72)

Competitive harms do not violate rights. A free society should allow them not only because competition creates wealth and benefits society as a whole, but also because the attempt to *redress* the competitive harm in turn seriously harms others (usually the most vulnerable) by coercively interfering with their voluntary transactions. Whatever the general justification the government may have for interfering with contracts, surely harming the poor to benefit the rich persons cannot be part of it. In a rich nation, protectionist laws usually harm the most vulnerable: the foreign poor and the domestic consumers, many of whom are poor. Mill's rationale should be extended to our present globalized economy. A global system of free trade benefits everyone in the long run and should be preserved, and this can only be done by disallowing redress for competitive harm.[5] The inefficient local producer does not have a right to foist his products on a public who no longer wants them. If consumers no longer demand the product, it is hard to see what principle of justice, or any other principle, authorizes the producer to enlist the government in force-feeding his products to consumers. A law that grants the producer a monopoly can hardly be justified with public reasons. Nor do the workers in that industry retain a right to their job, given that their employer does not need them anymore. I cannot identify any principle that can justify state coercion to help people produce things that consumers no longer want.

The protectionist could reply that workers have acquired certain expectations that the government must try to preserve. It is not the worker's fault, he may argue, that his industry is now inefficient. He got this job, started a family, bought a home; in short, he made life plans that are now frustrated by events he cannot control. For that reason, the worker harmed by foreign competition is a proper beneficiary of societal help. On this view, trade barriers are justified, not so much to enrich the local employer (although they do that) but to preserve jobs. And it is appropriate for consumers to pay for this; the public subsidizes fellow citizens (the workers of the affected industries) who are suffering hardship. This is no different from other forms of wealth redistribution.

This argument fails because, simply put, protectionist measures do not and cannot effect just redistribution of wealth.[6] To see why, recall that when a government protects an industry, it *aborts the creation of jobs in other industries.* This occurs because, as the economy is unable to adjust to the efficiencies of production, resources are artificially directed to the less efficient endeavors. The government assists workers in those inefficient industries by erecting trade barriers but, in doing so, harms persons who are now unemployed *because new industries* that would have employed him have been aborted by the strangling effect of those laws. Seen in this light, producers and workers who benefit from protection are *not* deserving of transfers of wealth in their favor, because protection is harming *other* persons in that society. Since those persons are often the unemployed, they are worse off than the protected workers. Just as the firms obtaining protection get rich at the expense of foreign firms, so the workers in protected industries keep their jobs at the expense of the poor, *in their own countries*. Because this harm really consists of the opportunity costs of inefficient laws, it can only be gauged by asserting counterfactuals and is, for that reason, opaque. The public cannot easily see it.

So protectionist laws are morally objectionable because: (1) they violate the rights of foreign producers by interfering with their voluntary transactions; (2) they do not benefit persons or groups that, on any plausible theory of justice, are entitled to a transfer of wealth in their favor; (3) they hurt the domestic poor (by aborting the establishment of efficient industries); and (4) they hurt domestic consumers by raising prices of the desired foreign goods. When we add the fact that protectionist policies, far from being the outcome of a quest for justice, are ordinarily the reaction to political rent-seeking and other forms of predatory behavior, the argument from domestic justice vanishes. Well-organized protected industries hire powerful lobbyists who essentially buy the protectionist legislation from politicians interested in incumbency (Grossman and Helpman 1994; McGinnis and Movsesian 200).

I used the example of agricultural protection in developed nations. Contrary to much popular writing, the argument for free trade applies with equal strength to developing countries. In those societies, powerful local monopolies enlist the coercive power of the government to shield them from foreign competition, thus hampering economic growth and perpetuating economic stagnation. The debate, once again, suffers from a fatal rhetorical glitch caused by the public's failure to understand the economics of trade. Critics of rich-country protectionist barriers correctly see that they hurt producers in developing nations, thus hampering those nations' growth. But they do not believe that poor-country protectionist laws will hurt producers in rich countries much, and even if they did, it wouldn't matter much, since the critics' moral concern is to alleviate the plight of the world's poor. Protectionism in developing countries, they claim, is at worst morally neutral because it doesn't unjustly harm foreign persons; producers in rich countries have vast markets at their disposal, in particular their own wealthy domestic markets. In fact, some have gone further and insisted that protectionism by developing countries benefits those countries.[7]

The view that protectionism by poor countries is benign ignores the central premise of international economics, which bears repetition: *the government that erects trade barriers hurts its own citizens*.[8] Protectionism is self-destructive. In developing countries, the problem is not only that these laws hurt producers in rich countries but also that they prey on domestic consumers in the ways already indicated. Those laws force them to forgo the economic choices generated by international trade and abort the creation of new local industries by redirecting resources toward inefficient activities. When we think about who benefits from these laws in developing nations, we realize that the redistribution of wealth resulting from protectionist laws cannot possibly be supported by moral reasons. The crude reality is that the industries that benefit are close allies of the regime in place, who, in exchange for protection, help the rulers remain in power by helping them win elections or enabling them to persist in their undemocratic ways. But even ignoring this political reality, even assuming that trade protection is not a corrupt deal between government and industry, the redistribution of resources is a reverse subsidy in favor of the better-off members of society. No political theory I know of can justify these transfers.

WHY PROTECTIONISM CONTINUES TO BE POPULAR

Protectionism is so obviously wrong that we may wonder why it continues to enjoy political and, in some circles, even academic success. The reasons are found in the discursive pathologies of politics. First, as I indicated, Ricardian trade theory is opaque and counterintuitive.[9] The public has trouble seeing that the country that protects hurts its own citizens; instead, it grasps much more easily zero-sum explanations of social outcomes. Second, protectionists use the imagery of nationalism. We need to protect ourselves against them; our local industries against the invading products; our culture against immigrant invasion. People, especially politicians, use vivid imagery for political gain. To see the advantages of trade, the public needs to see that the country that protects hurts its own people. This is concealed by the notion of protecting something that is ours, in our country, against something that comes from the outside. Because that "something" is alien, external, politicians and others can easily portray it as a threat. All one can say is a trivial truth: that the government can protect specific producers and workers by protecting the industry from foreign competition. But trade barriers do not protect the employment rate in one's country because of their high opportunity costs (they artificially divest resources toward inefficient endeavors), nor do trade barriers protect the real value of wages. Conversely, trade barriers positively harm all consumers, which means everyone. Two further facts explain the political success of protectionism, notwithstanding the well-known fact that open trade benefits the great majority of the population. The groups that benefit from free trade, such as consumers, are diffuse and have high organizational costs. In contrast, the groups that benefit from protectionist barriers are concentrated and have low organizational costs. Further, while trade theory predicts that, in the long run, many of the workers and firms now hurt by foreign competition will be better off because free trade creates higher-paying jobs and higher returns to capital, workers and owners have trouble grasping these benefits. The truth is that when the rhetorical smoke clears, trade barriers benefit inefficient producers who prey on defenseless consumers.

Nor is the fact that other nations erect trade barriers a justification for enacting ours. Mercantilists sometimes see protectionism as an unsuccessful coordination game: "Our country must protect because we know they will protect. If only they made a credible commitment to repeal their protectionist laws, we would do the same." However, protectionism is best characterized as a successful rent-seeking game: Industries affected by foreign competition seek and obtain protection from their governments in exchange for political support and other benefits.

THE ABSURDITY OF PROTECTIONISM

The logic of protectionism necessarily leads to restricting *all* trade, not just international trade. Protectionists claim that these laws are needed to shield local industries and their workers from foreign competition. But this logic also justifies *internal* barriers to trade. In the United States, a state could justify trade barriers (currently prohibited by the constitution) by attempting to protect its industries against imports from other states. If protecting the California farm industry from Mexican imports is justified to save jobs, so is protecting the same industry from Florida farm imports. And there is no reason to stop there; cities should be entitled to protect their inefficient industries from other cities. As Walter Block put it:

> Consider the importation of a baseball glove into the city of Billings, Montana. The production of this item could have created employment for an inhabitant of Billings, but it did not. Rather, it created jobs, say, for the citizens of Roundup, Montana, where it was manufactured. The city fathers of Billings could "patriotically" declare a moratorium on trade between the citizens of their city and the foreign economic aggressors in Roundup. This tariff, like those of the larger political subdivisions, would be designed to save the jobs of the [local] citizens.
>
> (Block 2008: 170)

And protectionism need not stop there. Why not protect Elm Street jobs from Maple Street imports, while we are at it?

This *reductio ad absurdum* discloses an important feature of protectionism: Its logic contains a hidden nationalistic premise. We are justified in protecting industries and their workers against foreign competition because they are *our* industries and *our* workers. But of course, this position cannot withstand analysis for many reasons. One set of reasons we already discussed: Protectionism hurts a host of other fellow citizens, such as consumers and those harmed by the abortion of new industries. But more to the point, the citizens of Billings also see local industries and workers as *theirs*, and they may have a communal attachment to them that may be stronger than the communal attachment that they may feel for fellow Americans. If it is justified for Americans to care for their own, then it is also justified for Floridians to care for their own, Chicagoans to care for their own, and so on. This is, of course, absurd.

CONCLUSION

The empirical correlation between the liberalization of global markets, on one hand, and prosperity and poverty alleviation, on the other, is undeniable.[10] Free trade is a crucial component of market liberalization. However, freeing international trade alone will not by itself lift developing nations from stagnation. Liberalizing *internal* markets and establishing the rule of law are also crucial. Poverty and stagnation result from deficient institutions. Protectionist laws are a staple of deficient institutional structures. Governments who really care about the common good, their citizens' welfare, have a moral obligation to abolish trade barriers. Finally, it is worth noting that free trade is not only justified under a libertarian theory of justice; it is justified under *any* (but the craziest) theory of justice. All theories of justice presumably favor economic growth. Free trade does exactly that and on a grand, widely shared scale.

NOTES

1. Tobias Simon Eminent Scholar, Florida State University College of Law. Copyright © 2016 Fernando R. Tesón. All rights reserved.
2. The only serious challenge to Ricardian theory is the endogenous-growth model. It holds, in essence, that sometimes infant industries need protection to develop high-tech technology, which they can only learn "by doing" (Aghion and Howitt 1997: 392). This theory has been questioned in its own terms, but even assuming that it can it can be sound in theory, it assumes, unrealistically, that government will have the keen foresight and acumen to accurately identify deserving industries, and that they will be strong enough to resist rent-seeking pressures (Tesón and Klick 2012).
3. See "The Farmers Ruined by Subsidies," *The Times Online*, www.timesonline.co.uk/tol/news/world/africa/article1629405.ece
4. This issue is discussed in depth in Lomasky and Tesón 2015: ch.6.
5. A useful discussion of competitive harm can be found in Epstein 1995. The consequentialist position Mill provides may be restated in non-consequentialist terms. Arthur Ripstein offers a Kantian justification for disallowing compensation for competitive harm (Ripstein 2006).
6. Mill makes exactly the same point: "Restrictions on trade, or on production for purposes of trade, are indeed restraints; and all restraint, *qua* restraint, is an evil: but the restraints in question affect only that part of conduct which society is competent to restrain, and are wrong solely because they do not really produce the results which it is desired to produce by them" (Mill 1859: section V).
7. This approach enjoyed considerable vogue during the 1960s and 1970s mainly as a result of the promotion by the United Nations agency CEPAL. It recommended a nationalist economic policy based on import substitution and massive public spending as prescriptions for growth and development. This policy ("Cepalism") was implemented in Latin America and Africa with disastrous results. Vastly discredited today, this theory is still sporadically invoked by populist demagogues to justify nationalist policies.
8. As Jagdish Bhagwati (2007) writes: "The fact that trade protection hurts the economy of the country that imposes it is one of the oldest but still most startling insights economics has to offer."
9. Guido Pincione and I examine at length this phenomenon, which we call *discourse failure*, in Pincione and Tesón 2006.
10. See Heritage Foundation (2015). The correlation between increased globalization and reduction of poverty is also stunning. See also National Bureau of Economic Research (2016).

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20

Are Economic Liberties Basic Rights?*

Jahel Queralt

1 INTRODUCTION

Economic liberties, such as the freedom to start and run a business, to enter into market competition, and to profit from transactions, are in jeopardy in many parts of the world. For example, in Zimbabwe, the police may and often use force to evict street vendors from their market stalls and to confiscate their goods. In Venezuela, there are laws allowing the government to seize oil companies, supermarkets, telecommunications, and other kinds of businesses if they are considered to be unproductive. And, despite recent reforms, Cuba still has in place serious restrictions on the kinds of economic activity citizens are allowed to pursue.

Libertarians have been concerned about the status and protection of economic liberties—high liberals, not so often.[1] The latter tend to be suspicious of such liberties precisely because they often see them as libertarian. Martha Nussbaum, for instance, admits that her reluctance to recognize the importance of private property in her account of justice can be explained by the fact that "when one teaches in a modern American law school one hears constant reference to the central importance of property rights in connection with a libertarian attack on the redistribution of wealth and income. So I came to associate the appeal to property rights with that position, one that is indifferent to the interest of poor people in having some property in their own names" (Nussbaum 2001: 156).

The disdain that high liberals seem to have toward libertarian arguments is partly motivated by the fact that they take Nozick's (1974) entitlement theory as the paradigmatic statement of libertarianism—which they often rule out, *a limine*, by relying on Thomas Nagel's (1975) claim that it lacks foundations. There may be a kernel of truth in *Anarchy, State and Utopia*, however. As Scanlon pointed out in his review of the book, one of its virtues is that it shows that "questions of economic liberty must be considered, along with political and civil liberty and fair distribution, as conditions for the legitimacy of social institutions" (Scanlon 1976: 24). He wishes that "this will have an impact on contemporary moral and political philosophy, where economic rights and liberties have generally been neglected in favor of political and civil liberties and rights of other sorts" (ibid.). Things have not changed much since Scanlon wrote this. Thirty years later, high liberals still fail to acknowledge the significance of economic liberties. Their accounts of justice often assume what John Tomasi (2012) has called *economic exceptionalism*—the thesis according to which economic liberties deserve lesser protection than other liberties deemed more fundamental and should therefore be subordinated to the latter.

This chapter claims that high liberals have good reasons to put an end to economic exceptionalism. It argues that some of the reasons they often employ to recognize other liberties as basic rights also imply that economic liberties should be considered basic. As we shall see, economic liberties a) help individuals to develop and exercise their rationality; b) are instrumentally valuable to realize certain individual liberties; c) protect a range of choices that are central to personal identity; d) improve individuals' bargaining power by creating paths to economic self-sustenance; and c) allow individuals to avoid serious forms of arbitrary interference. I am writing this because I think there's genuinely something important in having the opportunity to engage in independent economic activity. On reflection, I am not a libertarian myself. But those who hold views similar to mine have done themselves a disservice in neglecting the libertarian insight about the value of individual economic freedom.

The exposition proceeds as follows. Section 2 examines in more detail what would imply for economic liberties to be considered basic. Section 3 analyzes the reasons why the main strands of high liberalism—liberal egalitarianism, capability theory, and liberal republicanism—have refused to do so. Section 4 examines various arguments why the high-liberal views examined in the previous section should nonetheless consider a range of economic liberties basic. A conclusion closes the chapter.

2 ECONOMIC LIBERTIES AS BASIC RIGHTS

Before turning to the various high-liberal accounts and their views on economic liberties, some preliminary remarks will help us to understand the implications of recognizing economic liberties as basic rights. Economic liberties can be defined as those liberties that protect individuals' capacity to manage their own economic affairs—both at the household level and by engaging in productive activities—or, in other words, their economic agency. It is possible to classify economic liberties[2] in three broad areas corresponding to the three main dimensions of economic agency they protect. Each area is secured by a specific subset of rights (Nickel 2007; Platz 2014; and Platz and Tomasi 2015):

1. liberties of the individual as property owner (secured by property rights): liberties of acquiring, holding, using, developing, transferring, and transacting property (whether personal or productive);
2. liberties of the individual as laborer (secured by labor rights): liberties of selling, buying, donating, and trading labor under the conditions that one has chosen or accepted;
3. liberties of the individual as entrepreneur (secured by entrepreneurial rights): liberties of starting and operating a business, individually or with others—including the

> liberties to sell and buy goods, to save and invest, to enter into market competition, and to profit from transactions.

As it happens with other basic liberties, economic liberties generate both negative and positive obligations. That economic liberties require governments to abstain from certain forms of economic intervention is self-evident. The most serious violations of these liberties have occurred and still occur in communist countries whose governments have pervasively interfered in their citizens' economic lives by seizing their private property without fair compensation, by forcing them to take certain jobs, or by preventing them from using their property for commercial and productive purposes. However, it is also true that economic liberties cannot be adequately fulfilled without certain forms of government intervention. Ensuring these liberties requires that governments take the necessary steps to create mechanisms for defining and securing property rights and for establishing adequate labor and business regulations. The kind of onerous and redundant business regulations that exist in most developing countries are a blatant violation of the positive obligations entailed by economic liberties. These regulations significantly increase the regulatory costs of starting and operating a business—and, in so doing, they importantly inhibit entrepreneurship. For example, while starting a business in New Zealand takes only one step, half a day, and nearly nothing in fees, in Venezuela, it takes 10 procedures, 144 days, and 49 percent of the average citizen's annual income (World Bank 2016).[3]

If economic liberties qualify as basic rights, then the gross violations of such liberties that I have just described should be regarded as a serious form of injustice. But, before drawing this conclusion, I would like to stress two important implications of recognizing economic liberties as basic rights.

First, affirming that economic liberties ought to be recognized as basic or fundamental implies that we have a moral duty to grant such liberties—and their fulfillment—*special priority.* This should not be understood as immunity from regulation. Basic rights are not absolute. They can be regulated for the sake of ensuring an adequate scheme of basic rights for all. That is, they can be traded off against other basic rights, but not against non-basic rights or other social considerations such as efficiency or social welfare. Thus, an implication of recognizing economic liberties among the list of basic rights is that they can only be limited for the sake of protecting other basic rights. For example, a fundamental right to education might justify limits on entrepreneurial rights if it is the case that the only way to provide an education to all children is by requiring private schools to accept students with vouchers.

Second, basic rights deserve special priority because they protect choices that are *highly significant* to the life of normal human beings. This is not incompatible with some individuals finding the exercise of some rights useless, because they do not need them to realize their own conception of the good—for example, cloistered nuns can do without freedom of movement and freedom of communication. But, typically, the rights that qualify as basic are highly significant across a wide range of conceptions of the good. For example, the freedoms of movement, speech, and religion are valuable in this respect because they secure choices and opportunities that are highly useful to engage in core social activities, namely, travelling, communicating, and worshiping.

High liberals tend to think that economic liberties fail this test. They refer to them as if they were the rights of the Bill Gates and Wilt Chamberlains of the world. Being able to hold productive property, to profit from transactions, and to enter into market competition may be highly valuable to successful entrepreneurs and tycoons, so high liberals tend to think, but these liberties are of little worth to most people and, in particular, to the worst-off members of society, who often lack marketable talents and business ideas. Surely, Nozick's famous Wilt Chamberlain example has importantly contributed to this idea.[4] But this one-sidedly negative picture of economic liberties is incomplete. It does not take into account that the poor have a strong interest in having their economic liberties respected. Indeed, in developing countries, approximately half of the workforce is self-employed (Wiego 2017). This includes pushcart vendors, itinerant barbers, shoemakers, and other entrepreneurs that run small businesses through the kind of institutional obstacles described above (Vanek *et al*. 2014; De Soto 1989, 2000). Such obstacles not only make it extremely difficult for these entrepreneurs to succeed in the market and to earn a livelihood; they also create a division between them and wealthy individuals who can handle regulatory costs and are able to hire legal aid in navigating the maze of red tape. To put it bluntly, infringements of economic liberties can perpetuate poverty and deepen inequalities in the marketplace. When that happens, economic unfreedom harms the poor even more than it harms the rich.

2.1 High Liberals' Blind Spot

Even though high liberals disagree on which principles of justice are correct, they all concur on this one point: Economic liberties are not basic rights. They are subordinated to those rights that qualify as basic and can thus be regulated for the sake of advancing them and other social goals. In other words, governments may or may not protect economic liberties and, if they fail to do so, they are not acting unjustly. This position, described by John Tomasi as *economic exceptionalism*, makes high-liberal accounts ill equipped to diagnose and address the violations of such liberties that I have described in the previous section as forms of injustice. In what follows, I examine the ways in which the main strands of the high liberal family—namely, liberal egalitarianism, capability theory, and liberal republicanism—embrace some form of economic exceptionalism. In each case, I pay attention to what I take to be canonical statements of the different views. As we shall see, they all concur in recognizing as basic the rights to personal property and occupational freedom but not other economic liberties. In the next section, I develop the reasons why they should also include economic liberties other than these two among basic rights.

The first place to look at is John Rawls' conception of justice, which has clearly set the agenda for political theorists working on distributive justice (Rawls 1999). Rawls draws up a list of basic liberties by considering which guarantees provide the "political and social conditions essential for the adequate development and full exercise of the two moral powers of free and equal persons," namely, the capacity for a sense of justice and the capacity for a conception of the good (Rawls 2001: 45). This procedure leads him to identify as basic a bundle of freedoms that includes two economic liberties, namely, the rights to (hold) personal property and to freely choose an occupation. Rawls makes clear that the rights to "private property in natural resources and means of production generally, including rights of acquisition and bequest" are not basic in the sense that personal property and freedom of occupation are (Rawls 2001: 114). The reason for this is that they "are not necessary for the adequate development and full exercise of the moral powers, and so are not an essential social basis of self-respect" (ibid.).

Rawls does not explain why the connection between economic liberties (other than personal property and freedom of occupation) and his conception of the person is not strong enough for such liberties to count as basic. As Tomasi (2012) points out, these liberties can be as crucial for developing and exercising the two moral powers as those that Rawls recognizes as basic. However, it is not this connection to which I wish to draw attention here but rather to the way in which freedom of occupation may be constrained when entrepreneurial rights and rights to productive property are not secured.

Rawls famously claims that his account of justice could be fully realized under a system of liberal socialism, which excludes private initiative. Such a system would forbid individuals from using their personal property for commercial and productive purposes, hence leaving them with only two options—either to work as public employees or to associate with others to create co-operatives with publicly owned resources.[5] Now, it may be argued that such a system does not constrain freedom of occupational choice, for it may constrain the formal aspects of one's economic activity but not its content. For example, it may mandate worker participation in the governance of the firm while allowing workers to choose their occupation as well as the specific firm for which they wish to work. Hence, someone who wants to be a baker would be able to work in a public bakery or to persuade other would-be bakers to start a co-operative bakery. While she would not be able to exercise managerial authority over others, her freedom of occupation would remain intact, unless we implausibly claim that one should be able to exercise such authority as an occupation.

However, this objection misses an important way in which the absence of private initiative constrains individuals' occupational choice. Democratic corporate governance not only affects how people relate to each other within the firm. It also affects the firm's goals as well as the means by which such goals should be achieved. By making democratic governance mandatory, market socialism compels workers—who may otherwise pursue alternative goals by setting their own firm—to submit to the will of their fellow co-operative members, who may constrain each particular worker's occupational goals. For example, the would-be baker above may want to produce some particular form of patisserie and bake it in an innovative way. Yet she may not be able to do so if a majority of workers in the co-operative bakery in which she works disagree. She may, in short, not be able to become the particular type of baker that, absent the ban on private initiative, she would be able to be by setting her own business and by directing it.

The second high-liberal approach we now consider is the capability approach primarily advanced by Amartya Sen (1980, 1990, 1992, 1995, 1999) and Martha Nussbaum (1988, 2000, 2003, 2006, 2011). The main tenet of this approach is that justice requires securing that each individual enjoys a bundle of basic capabilities, understood as *real opportunities* to achieve functionings, that is, beings and doings that everyone has reason to value. Even though capability theorists do not use the language of rights, individuals' basic capabilities should be understood as pre-political entitlements that ought to be institutionalized by means of legal rights. Unlike Sen, who has explicitly refused to specify the relevant capabilities, Nussbaum has put forward a list of basic capabilities based on an Aristotelian conception the good. Hence, I will focus on her account.

Nussbaum's initial list of capabilities included no economic capability at all—not even the capability to hold personal property or to freely choose an occupation. She saw property as merely instrumental to ensure individuals' various essential functionings. "[T]he question about property must simply be, what form or forms of ownership best promote this situation [the sustenance of essential functioning]" (Nussbaum, 1990: 231). In this respect, Nussbaum embraced a stronger form of economic exceptionalism than Rawls.

In her later work, Nussbaum offers a revised list of capabilities that includes the capability "to hold property (both land and moveable goods), not just formally but in terms of real opportunity; and having property rights on an equal basis with others; having the right to seek employment on an equal basis with others; having the freedom from unwarranted search and seizure" (Nussbaum 2000: 80). Nussbaum's more recent list may be used to justify basic rights to freely choose an occupation and to (some form of) private property. She goes beyond Rawls in justifying private property not just as a civil right—that is, a right to be eligible to hold property and peacefully enjoy it—but also as a social right—that is, as a right to actually own some property. She explicitly says that, "all citizens should have some property, real or movable, in their own names. The amount requisite will be properly deliberated by each state in the light of its economic situation" (ibid.). Beyond this, however, Nussbaum says very little about the content of property rights. She remains silent about whether the amount of property to which all citizens are entitled may be used for productive and commercial purposes or just for personal ones (Freeman 2006: 409–410).

Her decision to add the capability to hold property to the list of basic capabilities is motivated by her concern about those legal systems, such as those in India and in other developing countries, that discriminate on grounds of gender in the allocation of property rights (Nussbaum 2000). While putting an end to this discrimination requires securing equal property rights to all, this is compatible with various degrees of protection of private property—including no protection at all. Hence, her motivation is a poor guide to interpreting the content of private property.

Nussbaum's neglect of economic liberties is clearly in tension with the core idea of the capability approach. The emphasis on capabilities—real opportunities—as opposed to achieved functionings suggests that free agency is constitutive of wellbeing and not merely instrumental to it. If that is the case, the list of basic capabilities should include abilities that protect free agency. Nussbaum seems aware of this when she recognizes that practical reason, understood as "the ability to form a conception of the good life and to engage in critical reflection about the planning of one's life," has a "special importance" among the basic capabilities (Nussbaum 2000, 82). As we shall see later, economic liberties provide the material basis that is necessary for the exercise of individual agency. On the one hand, economic liberties provide a path to subsistence and, therefore, give access to the basic means without which deliberating and choosing between alternative functionings is simply impossible. Second, these liberties secure economic independence and thus protect individuals from the manipulation they might experience when they have to rely on someone else—for example, a relative or the government.

Let us finally turn to liberal republicanism. The core idea that has informed republican political thought, both classic and contemporary, is the idea of liberty as non-domination. On this view, the main difference between free and unfree persons is that the former "are in their own power," whereas the latter are "subject to the law of another."[6] Although not all the republican approaches are members of the high-liberal family, Philip Pettit's (1997, 2012, 2014) neo-Roman account clearly is.[7] He takes the notion of the *liber*, the undominated person in the republican tradition, as a heuristic device to identify the content and the degree of protection of basic liberties. Basic liberties are those that are required for living the life of a liber and, according to Pettit, they should be as numerous as possible with the only constraint being that they are co-enjoyable. That is, they should protect choices that people can enjoy at the same time without having to compete with each other to exercise them.[8]

In an earlier statement, Pettit's account included the right to own personal property among the basic liberties that are necessary to enable people "to perform as equal citizens of the society" (Pettit 2008: 220). He made no further mention of any other economic liberty. Later, he offers a larger list that includes "the freedom to change occupation and employment" and the "liberty to own certain things and to trade in their exchange" (Pettit 2012: 103). Like Nussbaum, Pettit leaves the content of ownership rights unspecified. However, the comparison he draws between his proposal and Rawls' is illuminating in that respect. If his neo-Roman approach were protective of entrepreneurial and productive property rights, he would stress this as a major difference with Rawls' account. He does not, however. Instead, he suggests that the two approaches concur with regard to the list of liberties that qualify as basic (Pettit 2012: 107). Thus, we should assume that the liberty to own certain things and to trade in their exchange does not extend to productive and commercial uses of private property.

It might be thought that the reason why economic liberties do not qualify as basic in Pettit's account is because they are not equally co-enjoyable by all citizens. Unlike other liberties such as freedom of expression, economic liberties have a zero-sum dimension. My decision to always dress in black clothes does not prevent you from dressing the way you like. Contrariwise, given that productive resources are limited, my decision to acquire productive property diminishes your opportunities to do the same thing. Hence, productive property fails the co-enjoyability test. Two rejoinders are in order here.

The first is that if this were a sufficient reason to exclude economic liberties from the list of basic liberties, then personal property should also be excluded, as it also has this competitive character. However, Pettit reckons that the trouble that personal property faces to satisfy the co-enjoyability test may be fixed by means of regulation (Pettit 2012: 97). For instance, the right to personal property can be co-enjoyable if it is understood as a right to actually own a certain amount of property distributed by the state—the specific amount will vary depending on the economic circumstances of each society. *Mutatis mutandis*, then, it could be argued that it is possible to regulate the exercise of economic liberties in order to make them co-enjoyable. For example, we might want to establish regulations that protect small business for the sake of securing that all citizens—and not just the wealthy and powerful—can engage in entrepreneurial activities without losing their shirt. Pettit's co-enjoyability test justifies, at most, the regulation of economic liberties. This, however, is compatible with treating them as basic.

The second is that economic liberties are not zero-sum. In a society where production occurs, there will be more productive resources to own, more jobs to take, and more business opportunities to enjoy. In this way, one person exercising her economic liberties need not have a negative impact on other's enjoyment of such liberties. Indeed, quite the opposite: It can bring her opportunities to exercise them.[9]

3 THREE HIGH-LIBERAL ROUTES TO BASIC ECONOMIC LIBERTIES

Having shown that high liberals' accounts of justice have embraced economic exceptionalism, I now examine the main arguments—internal to each account—why they should abandon such exceptionalism and expand the list of basic economic liberties beyond the right to personal property and freedom of occupation.

3.1 The Liberal Egalitarian Route

One way to defend economic liberties as basic rights within the Rawlsian framework consists in showing that the system that maximizes the economic expectations of the worst off—as such a conception of justice requires—is a market economy that recognizes the freedoms to hold productive property and to conduct a business. Under present circumstances, this is not difficult. There is a broad consensus in development economics that entrepreneurial and productive property rights are key drivers of economic growth and thus crucial to improve the wellbeing of the poor (Acemoglu and Robinson 2012, North 2012, De Soto 1989). However, I do not pursue this line of argument here. Instead, I focus on the Rawlsian arguments that justify the priority of liberty and show how such arguments support basic economic liberties.

Rawls' most compelling defense of the priority of liberty is based on the hierarchy of interests that characterizes his account of moral psychology. Free persons have a highest interest in rationality—that is, in being able to choose, revise, and alter their ends under the conditions of freedom—that cannot be sacrificed for the sake of advancing those ends (Rawls 1999: 131–132; Rawls 2005: 312–314, 335). Parties in the original position are guided by this motivational structure. "They must first secure their highest-order interest … and this fact is reflected in the precedence they give to liberty; the acquisition of means that enable them to advance their other desires and ends has a subordinate place" (Rawls 1999: 476). In short, the priority of our highest order interest over any other interest justifies the lexical priority of a bundle of liberties that support the development and exercise of rationality over other goods. For example, freedoms from torture and arbitrary detention give individuals a sense of security that is necessary to think and act freely. Likewise, freedoms of expression and association allow individuals to discover and exchange ideas that help them to form and revise their conception of the good. But can we say that economic liberties are supportive of rationality in these or other ways?

Initially, it might be thought that economic liberties are means to advance specific conceptions of the good—not instruments for the development and exercise of our rationality. If that is the case, the hierarchy argument justifies their subordination to other liberties and thus supports Rawls' economic exceptionalism. Nevertheless, this answer ignores the potential positive effects the exercise of these liberties can have on individual rationality. Markets provide incentives for developing certain faculties—the *bourgeois virtues*—that can be very useful to carry on a wide range of worthwhile ends (Adam Smith 1976 [1776]; Hirschman 1977; Herzog 2013; McCloskey 2006). One of these virtues is self-command, or the ability to overcome one's passions and to act on long-term interests. The prospect of material gain may lead individuals to strive and delay gratification in order to make their business thrive or to keep their jobs. Similarly, markets may also foster prudence, understood as the ability to choose the right means to achieve a specific purpose. Economic success in the marketplace depends on the ability to establish good commercial relationships, which induces individuals to find the best ways to satisfy the specific needs of customers, partners, and suppliers. The educational role of the market regarding these two virtues may be reinforced by the fact those who fail to master them put themselves at the risk of suffering serious losses in economic wellbeing.

An alternative way to defend economic liberties as basic rights within a Rawlsian framework is to offer a linkage argument showing the instrumental value of these liberties for the exercise of other basic liberties (Nickel 2000, Nickel 2007). This linkage argument may be presented as an extension of the hierarchy argument (Taylor 2014). Economic liberties deserve special priority because they are *highly supportive* of the conditions—that is, other basic liberties—that allow the development and exercise of rationality. The strength of the linkage argument depends, of course, on the kind of connection between specific economic liberties and other liberties. Indeed, we have a more compelling reason to recognize as basic an economic liberty that is necessary for the adequate exercise of other basic liberties than another economic liberty that is only useful.

Now, the significance of economic liberties in the exercise of other basic liberties is formidable. Many basic liberties have an economic and commercial dimension that cannot be exercised unless we give individuals the opportunity to engage in market activities (Nickel 2007; Van der Vossen 2017). Consider, for example, the right to associate. Associations usually engage in economic and commercial activities. They collect fees, manage, save, and spend funds—and they provide different sorts of goods and services, such as leisure activities, education, and sport facilities. The same may be said about political and religious freedoms. Many of the activities carried out by religious groups and political parties require the possession and control of productive property and the enjoyment of entrepreneurial rights. Religious groups often engage in economic activities such as offering religious education, producing booklets, and hiring teachers, priests, and administrative employees. Similarly, political parties need to be able to buy or rent spaces to celebrate their meetings and assemblies; to administrate donations and memberships; to employ accountants, managers, and advisers; and so on.

As these examples show, given the pervasiveness of economic activity in our societies, restrictions of economic liberties translate into restrictions of freedoms of association, religion, and political participation. This is a powerful reason to recognize the former—and not just the latter—as basic rights.

3.2 The Capability Theory Route

As pointed out above, the question of identifying the main criteria to select the relevant capabilities is one of the key issues of the capability approach. In this regard, we can distinguish between Nussbaum's earlier and later proposals.

In her earlier formulation, Nussbaum justifies her list by trying to show that the capabilities included in it are necessary to lead a "truly human life"—as opposed to both animal and godlike life. Although she tries to identify the essence of humanity by reflecting on classical texts and Greek myths, her method is no different to Rawls' reflective equilibrium, in the sense that it involves testing our beliefs against our intuitions (Nussbaum 2000: 101–102).

Taking this route to justify basic economic liberties requires that we show that productive and commercial activities are *distinctively human* practices. One way to do this is to look at different societies and find out the extent to which these practices are present and reiterated across cultures (Miller 2007). It is indeed hard to find contexts in which individuals do not engage in economic and commercial activities. Moreover, when individuals face serious restrictions in doing so—as they do in socialist regimes—black markets burgeon. We can imagine a society with abundant resources in which people's needs are fully covered, to the extent that they do not have to engage in economic activities except as consumers. But it would not resemble the kind of societies we know so far. Human societies—both past and present—are productive and commercial.

In a later formulation, Nussbaum substitutes humanity for dignity as the main grounds for basic capabilities. Far from offering a full account of dignity, Nussbaum suggests the use of this notion in connection with others concepts. We must, she reckons, "show that a given liberty is implicated in the idea of human dignity" by making arguments that connect that liberty with other entitlements and areas of human choice (Nussbaum 2000: 102; cf 2011: 32). Even though economic liberties may have an impact on multiples areas of human choice, let us focus on those that Nussbaum mentions as most relevant in connection to these liberties. When she adds the ability to hold property to her list of basic capabilities, she emphasizes the significance of property rights "in self-definition, in bargaining, and in developing a sense of self" (Nussbaum 2000: 156). The specific connection between private property and these areas is left up to our imagination, but it is not difficult to see how the liberty to hold productive—not just personal—property and the rest of the economic liberties might be relevant in each case.

I take it that "self-definition" and "developing a sense of self" both refer to processes of creating and developing one's identity. Economic liberties are instrumental to these processes because they protect individual's freedom to choose and develop the professional path that best suits one's own personal needs and aspirations. There are two reasons why this freedom is of pivotal importance in building individual identity.

First, major decisions concerning one's professional career are *structural*. Like decisions concerning whether or not to have children or where to live, their effects on people's lives are both long-term and pervasive (Raz 1986; Nickel 2007). Major professional choices set life paths, and in so doing they shape the range of alternatives available to individuals in other areas of their life—the people they meet, the places they explore, and so on.

Second, the decisions to engage in specific economic activities such as becoming a teacher, running a farm, or opening a restaurant are *constitutive* in two different ways. On the one hand, these decisions require the development of particular talents and abilities. People identify with their talents and abilities as much as they do with their values and personalities (Hurley 2005: 140). Moreover, talents and abilities influence people's tastes and ambitions throughout their lives. On the other hand, participation in the market encourages a kind of self-esteem that comes from others' appreciation of one's contribution to the social product (Lane 1991).

Let us now consider individuals' bargaining power. One of the most obvious principles in bargaining theory is that someone's bargaining power vis-à-vis someone else is determined by her vulnerability in the breakdown position—that is, by her outcome in the absence of co-operation with that agent. The worse her outcome, the weaker the bargaining power she has and the worse the deal she likely obtains from co-operation. Although an individual's bargaining position is heavily influenced by many factors, insufficient access to goods that are basic for survival is a particularly salient one. Lack of economic sustenance leads individuals to take exploitative contracts and—typically in the case of women—to stay in abusive marriages. Economic liberties are of crucial importance in this respect. They enable people to engage in productive activities that allow them to acquire these goods by themselves, with neither having to take degrading offers nor to rely on someone else. In other words, these liberties improve individuals' bargaining power by offering them a path to self-sustenance. This is particularly important in contexts where social rights are not effectively implemented and governments fail to secure basic goods and services for their citizens. For example, there is growing evidence showing that protecting the economic liberties of poor women improves their economic status and independence (CLEP 2008). Women that can manage their own economic affairs are less likely to suffer violence at home than those who have to rely on their husbands (Bhattacharya *et al.* 2009; Panda and Agarwal 2005).

3.3 The Republican Route

Finally, let me examine the republican route to basic economic liberties. Republicans have traditionally highlighted two institutional means that are relevant to protect liberty understood as independence from arbitrary power. The first is the rule of law to ensure that, as Livy reckoned, "laws supreme over all … citizens." The second is property ownership as a material means to avoid depending on others to make a living. Here is why, in order to achieve the kind of liberty that Pettit and other republicans aim at, the rule of law should protect productive—not just personal—property and other economic liberties.

The first reason is that these liberties allow workers to engage in independent economic activity and establish themselves as self-employed producers, hence providing an alternative to wage work. Not all contemporary republicans see the latter as intrinsically problematic (though some do) (Ellerman 2005; Pateman 2002). However, it is common to all classic republicans that they envisaged self-employment as crucially distinct from salaried work, which they defined as a form of unfree labor. This is so because wage workers agree to subordinate themselves to a managerial authority that can arbitrarily interfere with them by, for example, discriminating among them in promotion and compensation, distributing tasks and rescheduling hours capriciously, and using verbal and physical abuse in supervision (Hsieh 2008; Gonzalez-Ricoy 2014). Self-employed workers, by contrast, can decide how to organize themselves—how to use their talents, how to distribute their time between work and leisure, and so on—and are free thus from arbitrary managerial interference. Now, engaging in independent economic activity is only possible if economic liberties are in place.

A second reason is that, in the absence of an efficient system of the rule of law that recognizes basic economic liberties, the opportunity for independent economic activity becomes meaningless. If such activity, whilst legally permitted, is not considered fundamental and is poorly protected as a result, independent producers cannot easily set up their own businesses or run them without fear of being arbitrarily interfered with or expropriated by the state. Inadequate business regulations, such as those that exist nowadays in most developing countries, create opportunities for corrupt public officials to extract rents and collect bribes (De Soto 1989). In several sub-Saharan countries such as Cameroon, Liberia, and Madagascar, approximately half of the firms are expected to give gifts to get an operating license (World Bank 2016). This pushes many poor people toward the informal sector, where they have no access whatsoever to legal and social protection and are thus more vulnerable to capricious interference from private and public actors alike.

A third reason why economic liberties are fundamental to avoid domination in the economic realm is that they provide a way out of dominating relationships where market failures are pervasive. Consider two instances of this. First, where labor markets are monopsonistic or quasi-monopsonistic—for example, when the state is the main employer—the right to quit and to find an alternative job becomes meaningless, and employment relationships become dominating as a result. Even for republicans who do not assume that salaried work is intrinsically dominating, employment without meaningful exit rights is. For workers, legally protected economic liberties become crucial to provide an alternative to such relationships. Second, where goods and services markets become monopolistic, firms become price makers rather than price takers, and may dominate consumers as a result. When this occurs, economic liberties help preventing domination, albeit indirectly, for consumers. When new businesses can be easily set up and run with legal certainty of no arbitrary interference, entry barriers to competition are lower and consumers can be less easily dominated.

4 CONCLUSION

This chapter has defended the idea that economic liberties ought to be considered basic rights. Libertarians have traditionally defended the fundamental character of these liberties. High liberals, by contrast, have ignored or opposed most of them. The main currents of high liberalism, namely, liberal egalitarianism, capability theory, and liberal republicanism, only recognize as basic the right to own personal property and the freedom to choose an occupation. In this chapter, I have presented different ways to defend a range of economic liberties as basic from within each of these high-liberal strands. I have made no claim that these liberties are immune to regulation and taxation. Just like any other basic liberty, economic liberties are subject to limits. If, as argued here, they are considered basic, the content of such limits will (only) depend on which other rights are included on that list. Virtually every existing international and national bill of rights recognizes as basic certain social rights, such as rights to health care, education, and subsistence. Conflicts between economic liberties and social rights are likely to occur. In order to minimize them and to define a coherent scheme of basic rights, we will have to adjust the extensions of these rights. In that sense, it is important to distinguish between essential and non-essential extensions of a right, because only the former have special priority. Although this is a task for another occasion, I would venture that the scope of basic economic liberties is likely to be smaller than libertarians think.

NOTES

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1. In the present context, the term *libertarianism* is used in a broad sense to describe those political conceptions that endorse free markets, extensive property rights, and full self-ownership. The term *high liberalism* was coined by Samuel Freeman (2011) to refer to a family of egalitarian views that share a commitment to equal liberty and substantive redistribution.
2. For the present purposes, a liberty to do X—run a business, acquire productive property, enter the market, and so on—is not understood in the technical Hohfeldian sense, as the absence of a duty not to do X; rather it is used in the ordinary sense of a claim to non-interference from others—government and private persons alike—in one's doing X.
3. To be sure, operating a formal business always entails some regulatory costs—e.g. license fees, compliance with bureaucratic procedures, payments for public utilities, and taxes. When adequately designed, regulatory costs ensure that commercial activities meet minimum standards to provide a good or a service. The excessive and rigid bureaucratic systems that most developing countries have do not correlate with higher quality of goods but with larger informal sectors (Djankov *et al*. 2002).
4. In order to show that equality—or any other patterned distribution—is against liberty, Nozick uses the example of Wilt Chamberlain, a very popular basketball player who becomes very rich through the voluntary transfers of his fans (Nozick 1974: 160–162).
5. Rawls does not develop the model but see Roemer (1994) and Schweickart (1993).
6. Justinian Digest 1985: I, 17 (1.6.1): Quaedam personae sui iuris sunt, quaedam alieno iuri subiectae sun…in potestae sunt servi dominorum.
7. Pettit (2000) himself admits that his account can be described as liberal republicanism.
8. Pettit specifies this condition in two further conditions: co-exercisability and co-satisfiability (Pettit 2012).
9. I thank Bas van der Vossen for drawing my attention to this point.

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IV

What Is the Role of the State?

21

Ideal Theory[1]

Christopher Freiman

Ideal theory means different things to different philosophers. Some take ideal theorizing to be theorizing about utopia: What would a perfectly just society look like, regardless of whether it's achievable? On a different view, ideal theory asks what principles of justice are justified if we assume that society fully complies with those principles.[2]

John Rawls also makes use of an institutional version of ideal theory. He evaluates different institutions on the assumption that they operate under conditions of "strict compliance" with justice—conditions in which everyone accepts and abides by the principles of justice (Rawls 2001: 13). In the later stages of his work, Rawls appealed to the idea of a political regime's "ideal institutional description," that is, "the description of how it works when it is working well, that is, in accordance with its public aims and principles of design" (Rawls 2001: 137). An ideal description of an institution is a largely *a priori* one; it requires us to "abstract from its political sociology, that is, from an account of the political, economic, and social elements that determine its effectiveness in achieving its public aims" (Rawls 2001: 137). The central question for this sort of ideal institutional theory is, "What kind of regime and basic structure would be right and just, could it be effectively and workably maintained?" (Rawls 2001: 137). Put simply, ideal institutional theory (hereafter *ideal theory*) assumes that individuals fully comply with justice and states work exactly as designed.

As Rawls himself recognizes, many of his opponents reject his favored institutions precisely because they worry about "the ineffectiveness of the welfare state and its tendencies toward waste and corruption" and therefore doubt that these institutions can "be effectively and workable maintained" (Rawls 2001: 137). Rawls, however, sets these concerns aside as problems for *nonideal* theory in which we assume that people are only partially compliant with justice (Rawls 2001: 137).

Our decision to theorize for ideal or nonideal conditions has serious implications for our institutional analysis. If, like Rawls, we theorize for ideal conditions where people are perfectly just and states always work well, it's natural to think that we'll want an active state with lots of power to do good. If, like many classical liberals and libertarians, we theorize for nonideal conditions where people are less than fully just and governments often fail, we'll want a subdued state that won't do too much damage when things go wrong. [3]

In what follows, I'll argue against Rawls's ideal theoretical approach to institutional analysis. Our analysis of political institutions should take place entirely within nonideal theory, in which case we may not set aside classical liberal and libertarian concerns about government failure. Although the shift to nonideal theory does not in itself vindicate libertarianism, it ensures that the view gets a fair hearing.

The basic problem for Rawls's ideal theory is not that it's unrealistic. In that regard, the assumptions of ideal theory in political philosophy seem no more objectionable than idealizing assumptions made in other fields. For example, economic models that assume away transaction costs can be illuminating despite being literally false.[4] The basic problem for ideal theory is that it cannot consistently apply its own assumptions. Assuming away injustice isn't analogous to assuming away transaction costs in economics. Rather, as Jacob Levy has argued, assuming away injustice in political philosophy is analogous to assuming away *scarcity* in economics (Levy 2016: 314). The problem with an economic theory that assumes away scarcity isn't that it's unrealistic (although it is); it's that the very point of economic organization is to ameliorate the effects of scarcity. Questions of efficient economic organization don't arise at all in a world without scarcity. Similarly, the very point of the state is to ameliorate the effects of injustice. As several theorists have noted, questions of justified state coercion don't arise at all in a world without injustice.[5] Rather than favoring an active and powerful state, ideal theory favors anarchy.

This is a sweeping and controversial claim, so I'll need to do some work to substantiate it. But as a first pass, consider that the defining feature of a state is its monopoly on (legitimate) coercion. If people fully comply with justice as a matter of conscience, they wouldn't need the state to *force* them to act justly. Levy writes, "Taking 'strict compliance' seriously would mean assuming away the crime that justifies the state's control of the means of violence, the limited beneficence that sits at the base of theories of justice in property and in the coercive provision of social welfare, and more generally the failings that make politics and justice unavoidable" (Levy 2016: 319). We need laws against, say, shoplifting—and not simply polite suggestions—because some people would be tempted to shoplift if not for the threat of imprisonment. The state's function is essentially remedial. But in a fully just society, there's nothing to remediate. A fully just person doesn't *want* to shoplift.

Ideal theory, then, contains an internal inconsistency. On the one hand, we must assume that people are *not* fully just to generate a need for the state in the first place. On the other hand, if people are not fully just, the state itself won't be fully just either (it's an institution run by people, after all).[6] In short, the assumption that generates a need for the state—that people aren't fully just—at the same time undermines the assumption that the state is fully just. What this means is that the only coherent theory of the state is a *nonideal* one.

PUBLIC GOODS

To illustrate the inconsistency within ideal theories of the state, consider the public-goods argument. People will free ride on a public good like a clean atmosphere because they can benefit from it without contributing to it. Mimi will enjoy more breathable air when others switch to a Prius even if she doesn't drive one herself. As Rawls puts it, "Where the public is large and includes many individuals, there is a temptation for each person to try to avoid doing his share. This is because whatever one man does his action will not significantly affect the amount produced" (Rawls 1999: 236). Thus, the state is needed to *force* people like Mimi to contribute; for instance, it can create laws that penalize pollution. Rawls writes, "The provision of public goods must be arranged for through the political process and not through the market" (Rawls 1999: 236).

The trouble is, a state that efficiently provides public goods is itself a public good: Mimi will still breathe easy thanks to clean air laws even if she doesn't bother to pay the cost of voting for candidates that pass those laws. A good vote seems cheap, but the full price is surprisingly steep. To vote well, we need to research candidates, study their platforms, and inspect their legislation's fine print for hidden sellouts to special interests (the Clean Planet Act won't clean the planet if it smuggles in subsidies to Big Coal). To make competent judgments about policies, we need to brush up on our economics, environmental science, and political philosophy. We also have to suffer the hedonic costs of suppressing our political biases.[7] After all, we could be mistaken about the environmental impact of, say, nuclear power. But it hurts—a lot, it turns out—to admit that we've spent our adult lives voting for the wrong policies and people.

Free riders won't pay the costs of good government for the same reason they won't pay the costs of clean air: They don't have to. They'll profit from the good votes of others even if they vote badly or not at all.[8] So the public-goods argument implies that people will free ride on the state that is meant to solve the free-rider problem; the argument ultimately defeats itself. The assumption that generates the need for the state in the first place—in this case, that people free ride—is at odds with the assumption that the state will work.

G. A. Cohen notices that Rawls tries to wriggle out of this bind by assuming that people act unjustly in the market and civil society—thereby creating a role for the state—but justly in politics—thereby ensuring the justness of the state itself. (I should note that policy analyst Will Wilkinson scooped Cohen on this point by several years.)[9] Cohen characterizes the view this way: "Pile up your earthly goods on the mundane plane of civil society but be a saint in the heaven of politics" (Cohen 2008: 2).

However, this Jekyll-and-Hyde personality split stacks the deck against classical liberals and libertarians. Perfect states beat imperfect markets, but that doesn't establish the superiority of state solutions any more than finding that omnivorous nonsmokers have lower rates of cancer than vegan smokers establishes the superiority of an omnivorous diet. We should compare like to like, which means comparing different institutional types on the assumption that they're run by the same sorts of people following the same sorts of principles.

Historically, an important feature of libertarian institutional analysis has been the insistence that we use the same assumptions about human behavior when thinking about economics and politics, instead of modeling people as sinners in the market and saints in politics.[10] What Geoffrey Brennan and James Buchanan call *behavioral symmetry* involves consistently applying your behavioral models across different institutions (Brennan and Buchanan 2008: 48–50). If we're making all-else-equal comparisons of institutional types, then we need to make sure that all else is really equal (Brennan and Buchanan 2008: 48). But as Jason Brennan points out, Rawls (among others) fails to make apples-to-apples institutional comparisons and is thus guilty of "the fallacy of concluding that if an idealized version of system X is better than a realistic, flawed version of system Y, this proves that X is inherently superior to Y" (Brennan 2014: 60).

In what follows, I'll look at three of the most central policy disagreements between egalitarian liberals and libertarians. I'll show that the *consistent* application of an ideal behavioral model obviates the need for the egalitarians' policies. On the other hand, a consistent application of a *nonideal* behavioral model undermines the Rawlsian assumption that these policies will "be effectively and workably maintained" (Rawls 2001: 137).

POLITICAL EQUALITY

Although the rich don't have more votes than the poor, they have more money to spend on lobbying, campaign contributions, and so on. As a result, the rich enjoy greater *substantive* political power even when formal political power is equalized. Thus, Rawls and other egalitarian liberals argue that the state should (*i*) equalize the distribution of money generally and (*ii*) equalize the money that makes its way into politics with electoral regulation. Rawls argues that laissez-faire capitalism is incompatible with justice partly because it fails to include these sorts of equalizing measures (Rawls 2001: 137).

Here's Rawls's dilemma. Either (*i*) we are theorizing for ideal conditions such that the rich *aren't* buying up state power, in which case economic equalization isn't necessary; or (*ii*) we are theorizing for nonideal conditions such that the rich *are* buying up state power, in which case the rich can subvert equalization by buying up the state power unleashed to do the equalizing. Neither option permits Rawls to rule out libertarianism on the grounds that it fails to include his favored equalizing measures. In a consistently ideal theory, these measures aren't needed. In nonideal theory, it's an open question whether these measures will *work*.

Take the first horn of the dilemma. A truly ideal theory struggles to explain why redistribution and electoral regulation are needed at all. Ideally just citizens won't buy political power for their selfish purposes any more than ideally just baseball players would bribe the umpire to cheat their way out of competing on a level playing field. As Jason Brennan writes, Rawls's analysis of his disfavored regimes points to the possibility that "they might encourage people of great wealth to buy government power for their own ends. But, by Rawls's ground rules, we're supposed to be doing ideal theory, and imagining the people have a perfect sense of justice. And if people had a perfect sense of justice, they would not buy government power for their own selfish ends, since by hypothesis this is unjust" (Brennan 2014: 62). Since an ideal society will achieve political equality without redistribution and regulation, Rawls shouldn't fault an ideal libertarian society for going without that redistribution and regulation.

For Rawls to get his objection to laissez-faire capitalism off the ground, he must assume nonideal conditions. And that's what he does, at least implicitly. To motivate the need for economic equalization, Rawls assumes "that those with greater wealth and position usually control political life and enact legislation and social policies that advance their interests" (Rawls 2001: 148). Here Rawls is clearly describing *unjust* people—people who subvert fair, mutually agreeable institutions for private gain. But if we follow through on the assumption that the rich *aren't* fully compliant with justice, we see that there's a live possibility that the rich will misappropriate the very government machinery that's been empowered to keep them in check.

First, consider the redistribution strategy for equalizing political power (Rawls 1999: 245; Nagel 1991: 69). The higher taxes brought about by a redistributive scheme will create a perverse incentive to capture state power—the higher the tax burden, the more valuable the tax loophole. To make things concrete, suppose some billionaires are thinking about hiring a million-dollar team of lobbyists to carve out a tax loophole. Whether they do so depends on the level of tax savings they can expect from the loophole. They won't pay a million dollars for a loophole that only saves them half a million. But they will if the loophole saves them *two* million. Redistribution, then, makes control over the political apparatus *more* valuable and thus more likely to be pursued by the selfish rich. In this case, redistribution would produce the opposite of its intended effect.

Now consider a second strategy: regulate the ways in which money can enter politics. Rawls and other philosophers recommend regulations to ensure open political competition (Rawls 2005: 359–63; Dworkin 2002: 355ff; Satz 2010: 103). Rawls proposes measures to regulate electoral procedures, limit private contributions to politicians, perhaps to altogether replace private contributions with public financing, and so on (Rawls 2005: 359–63; Rawls 1999: 198; Rawls 2001: 149).

Here's the problem. The reason why electoral regulation is needed is also a reason why it won't work. The regulation is needed because the rich dominate the democratic process; the regulation won't work because, well, the rich dominate the democratic process. Suppose Senator Fairbanks proposes regulations on election spending to lessen the political influence of the rich. She doesn't want the rich to buy state power and (e.g.) the tax loopholes that come with it. Fair enough. But shouldn't we expect wealthy concentrated interests to smuggle a loophole into this electoral regulation just as they smuggled the original loophole into the tax code? If, as Rawls thinks, the rich unduly influence the political process, then we should expect them to unduly influence the electoral regulation produced by the political process. That is, we should expect a loophole in the electoral legislation to pass on the basis of the very same assumptions used to generate the need for that legislation in the first place.

ECONOMIC SUFFICIENCY

Libertarians and egalitarian liberals also disagree about the state's role in supplying a social minimum. Rawls says that justice requires "a guarantee of sufficient all-purpose means (primary goods) for citizens to make intelligent and effective use of their freedoms" (Rawls 2005: xli). Other egalitarian liberals like Thomas Nagel, Elizabeth Anderson, and Samuel Freeman argue for similar proposals (Nagel 1991: 87; Anderson 1999: 327; Freeman 2007: 235). Rawls admonishes the "system of natural liberty" (roughly, libertarianism) because it fails to make robust economic guarantees; it ensures only "a rather low social minimum" (Rawls 2001: 137).

Once again, Rawls faces a dilemma. If people are fully committed to distributive justice, there's no need to *tax* them because they'll donate their fair share. On the other hand, if people are *not* fully committed to distributive justice, we cannot assume the success of economic guarantees. These guarantees create perverse incentives for unjust citizens to act in ways that subvert the guarantees (e.g.) by substituting leisure for labor or misappropriating the machinery of redistribution for rent-seeking purposes.

Let's look at the first horn of the dilemma: If people are fully committed to distributive justice, there's no need for tax-and-transfer programs like economic guarantees. To motivate this claim, take an example adapted from Robert Nozick (1974: 265). Imagine an organization that sends rich people an email that enables them to directly transfer a fair share from their paycheck to an anonymous poor recipient. The system is voluntary but, since we're in ideal conditions, everyone supports the redistribution. So why *wouldn't* an ideally just person voluntarily transfer her fair share?

She might be troubled by the public-goods problem, thinking that her contribution is inconsequential. But Nozick explains that this reply won't do, since "each person's contribution will be having a separate effect" (Nozick 1974: 268). The rich person's money is transferred directly to a *particular* poor person, so her contribution makes a difference.

Maybe there's an assurance problem. Rawls thinks that ideally just people are conditional cooperators, so the ideally just citizen might withhold her donation without assurance that others will donate too (Rawls 2005: 86). But people could solve this problem by signing an assurance contract; that is, they pledge to donate only when a threshold number of donations are pledged—at which point the pledged donations are triggered (Nozick 1974: 268). If insufficient donations are pledged, then none of the pledged donations are made. Because ideally just people *prefer* to cooperate so long as others reciprocate, we can expect them to sign the assurance contract and thus provide an adequate social minimum without state involvement.

The best explanation for why coercive taxation is needed is probably the simplest: At some margin, even just people care more about advancing their personal projects than advancing distributive justice further. So, the state must *force* them to transfer a sufficient amount. This is roughly Rawls's explanation for why coercion is needed even in a just society: "The theory of justice assumes a definite limit on the strength of social and altruistic motivation. It supposes that individuals and groups put forward competing claims, and while they are willing to act justly, they are not prepared to abandon their interests" (Rawls 1999: 249). What's more, Rawls's insistence on our "limited altruism" is part of his justification for his favored tax structure. Rawls permits economic inequalities as a means of coaxing more production from the rich because he's worried about the substitution effect caused by excessive taxation. As taxes on market activity rise, the opportunity cost of nonmarket activity declines, causing people to drop out of market activity on the margin.

Now for the second horn of the dilemma. If we assume limits on people's altruistic motivations, then we cannot assume that robust economic guarantees will work. In nonideal conditions, a guarantee of sufficient resources may *worsen* the prospects for supplying everyone with sufficient resources.

A simple example suggests why. Imagine a two-person, two-commodity economy. Baker bakes bread; Buddy churns butter. Let's say that consuming one loaf of bread and one stick of butter each week is sufficient for each to get his fill. And suppose that a work week for both Baker and Buddy yields two loaves of bread and two sticks of butter, respectively.

Economic sufficiency for both parties can be met here without a guarantee. Baker has an economic incentive to bake two loaves of bread each week. He will consume one loaf himself and trade the other to Buddy for a stick of butter. Similarly, Buddy has an economic incentive to churn two sticks of butter each week. He will consume one stick himself and trade the other to Baker for a loaf of bread. At the week's end, both Baker and Buddy have enough without a guarantee that they will have enough. Although no individual here deliberately aims at ensuring sufficiency for the other and no guarantee is enforced, economic sufficiency is nevertheless achieved. To put the point in Adam Smith's terms, although Baker and Buddy each "intends only his own gain," each is "led by an invisible hand to promote an end which was no part of his intention" (Smith 2000: 485). In nonideal conditions where people are willing to serve their personal projects at the expense of the public interest, we ought to favor, as Smith does, institutions that channel self-interest toward the common good.

Now let's revise the example so that Baker and Buddy are guaranteed sufficient bread and butter for the week. This system of entitlements can decrease the likelihood of their receiving sufficient bread and butter by decreasing the supply of bread and butter.[11] Consider two ways a guarantee can decrease production. First, the guarantee disincentivizes labor by decreasing the expected costs of leisure. Before the guarantee, the only way for Baker to receive butter was to bake bread to trade with Buddy. Now that Baker is guaranteed a stick of butter each week, however, he elects not to bake a second loaf of bread for exchange. He expects to get his butter regardless of whether he bakes bread—after all, his butter is guaranteed. Baker thus calculates the marginal utility of nonmarket activity to exceed the marginal utility of labor. He concludes that his time is better spent in pursuits other than baking.

Buddy's production is curtailed for another reason: The guarantee disincentivizes labor by directly decreasing its expected utility. Without the guarantee, Buddy would receive bread in exchange for his second stick of butter. Now Buddy's second stick of butter is transferred to Baker to make good on the guarantee. So, Buddy chooses not to churn any surplus butter because he doesn't expect to benefit from the additional labor.

As the example suggests, issuing legal guarantees of sufficiency can decrease the labor supply in at least two ways. First, such guarantees decrease the marginal utility of labor for individuals at or below the threshold of sufficiency by decoupling their receipt of sufficient resources from their labor (Baker bakes fewer loaves because he receives enough butter regardless of how much bread he bakes). Second, the guarantees decrease the marginal utility of labor for individuals above the threshold by externalizing the benefits of their labor (Buddy churns fewer sticks of butter because surplus sticks are transferred to Baker).

In the second scenario, neither Baker nor Buddy receives sufficient bread and butter. Neither achieves economic sufficiency even though a guarantee of sufficiency is in place; indeed, neither achieves sufficiency *because* a guarantee of sufficiency is in place. The lost loaf of bread and stick of butter represent the *distortionary cost* of the guarantee; the entitlement didn't simply transfer bread and butter—it decreased the supply of bread and butter. Institutionalizing an entitlement to some resource can therefore make it less likely that people receive it. As Rawls himself stresses, redistribution can reduce the total amount of resources available because it reduces the incentives for labor and capital investment. Over time, redistribution can hurt the poor more than it helps due to its adverse effects on production and economic growth (Cowen 2002).

EQUAL OPPORTUNITY

Consider one final objection to libertarianism: Open competition for jobs in a free market doesn't take the ideal of equal opportunity far enough. Children born into the Walton family will have better opportunities than children born into, say, my family. It's not because baby Walton *earned* her inheritance—she just got lucky. And thanks to her lucky break, she's more likely to win a spot at Harvard and have connections at Goldman Sachs. But your parent's checking account shouldn't dictate your chances of landing a good job.

Some egalitarians go even further. Just as you don't have a say in your parent's wealth, you don't have a say in your natural talents and how marketable they happen to be. No matter how much blood, sweat, and tears I shed while practicing my jump shot, no one will part with a dime to watch me play basketball. My natural talents better suit me for the chalkboard than the hardwood. LeBron James, on the other hand, checks in at 6'8" and 260 lb. As a result, he earns tens of millions of dollars while I earn…less than that. But why, egalitarians ask, should LeBron rake in so much more money than me simply because he was dealt a better genetic hand? Even if I possess *sufficient* resources, the inequality remains an injustice.

A libertarian regime fails to live up to the ideal of equal opportunity because it fails to include redistributive and regulatory measures designed to even out the effects of people's socioeconomic backgrounds and their unchosen natural talents. Here's Rawls with a representative statement: "Free market arrangements must be set within a framework of political and legal institutions which regulates the overall trends of economic events and preserves the social conditions necessary for fair equality of opportunity" (Rawls 1999: 63). Later, Rawls seems to double down on his skepticism about private ownership of productive property and free markets, arguing that a commitment to fair opportunity takes capitalism off the table altogether (Rawls 2001: 137).

Time for one final dilemma. Do ideally just citizens, in Rawls's terms, voluntarily abstain "from the exploitation of the contingencies of nature and social circumstance" to preserve equal opportunity or not (Rawls 1999: 156)? If they do, then the redistributive and regulatory state isn't needed. If they don't, then the redistributive and regulatory state cannot be assumed to work.

Suppose the fortunate *do* voluntarily abstain from exploiting their good fortune. On this alternative, ideally just citizens wouldn't need the stick of taxation and regulation to ensure that all enjoy equal opportunities; the carrot of doing the right thing would be incentive enough. As G. A. Cohen writes, those who have internalized "a social *ethos* that inspires uncoerced equality-supporting choices" will neutralize the effects of social contingencies and natural fortune on the distribution of opportunities and life prospects through their private choices (Cohen 1997: 13). Microsoft will choose to pay its COO and its window washers the same hourly wage (if you think egalitarianism needs to take it that far; scale back the example as you see fit), and fancy private prep schools will choose to admit students on a need-blind basis. As Jason Brennan notes, in ideal conditions, egalitarian criticisms of capitalism disappear. An ideal capitalist "would never exploit anyone, because she is too nice…[and she] would never allow objectionable inequalities or a lack of opportunity because she and others like her would just choose to give the deserving poor what they need" (Brennan 2014: 86).

To give the state a job to do, egalitarians must assume that the fortunate *will* exploit their good fortune. The Waltons aren't going to donate their heirs' would-be inheritance to underfunded schools. LeBron James isn't going to split his Nike endorsement check with hard-working philosophers who were dealt a lesser genetic hand. So the regulatory and redistributive state must step in to correct unfair market inequalities.

By now, you can probably see where I'm headed with this. The behavioral model egalitarians invoke to carve out a role for the regulatory and redistributive state at the same time undercuts their right to assume that such a state will do its job correctly. If the fortunate exploit their good fortune, then we may not rule out the possibility that they will exploit their good fortune in the realm of politics. If the fortunate expropriate the redistributive and regulatory functions of the state, then the result would be *greater* inequality in opportunity. Empowering the state to regulate the market is pouring gasoline on a fire.

To take just one example, consider occupational licensing. It costs time and money to acquire government approval to (e.g.) sell caskets, thread eyebrows, give massages, arrange flowers professionally, work as an interior decorator, or shampoo hair (note, though, that my own daily self-shampooing remains dangerously unregulated).[12] Restrictions on the activities of nurses and dental hygienists create work for wealthier doctors and dentists even though the former may be competent to perform the work, for example, routine teeth cleaning without a dentist's supervision (U.S. Executive Office of the President: 2015). Wealthy and politically connected groups stand to benefit from occupational licensing requirements because they reduce labor market competition.

While occupational licensing can help the rich get richer, it harms the poor in two ways. First, by artificially raising the prices of (e.g.) flower arrangements, licensing can hurt the poor as consumers because their dollars don't stretch as far as they otherwise would. Second, licensing can hurt the poor as producers by making it harder for them to work in certain industries. Many other kinds of state intervention exhibit the same pattern of worsening the economic opportunities of the poor for the benefit of the rich.[13]

CONCLUSION

To be clear, conclusively establishing that libertarian regimes satisfy broadly Rawlsian standards of justice would require extensive empirical inquiry. My point is that Rawls is wrong to rule out these regimes on the grounds that he is doing ideal theory and is thus entitled to assume away libertarian concerns about government failure. The Rawlsian rejection of libertarianism flirts with question-begging. Think of it like this. Suppose Milton Friedman and Rawls disagree about the right shoes to wear:

Friedman: "John, we should wear boots today."
Rawls: "Oh Milton, stop being so cautious—let's put on flip-flops."
Friedman: "We'll freeze! I think it's snowing outside."
Rawls: "Well, let's just *assume* it's warm and sunny, in which case heavy boots are a bad idea."

Clearly Rawls earns a hollow victory here. Merely *stipulating* the snow away fails to take Friedman's concern seriously. Similarly, stipulating government failure away doesn't take the political concerns of people like Friedman seriously. Indeed, as I've argued, Rawls's own assumptions do not permit him to rule out the possibility of government failure. And if we may not assume away government failure, then we may not dismiss the libertarian worry that the state tends to hurt, rather than help, the cause of justice.

NOTES

1. My argument in this chapter is developed in greater detail in my forthcoming book, *Unequivocal Justice*. Portions of this chapter previously appeared in (Freiman 2017), reprinted with permission.
2. This taxonomy follows (Huemer 2016, 215–6), who refers to (Rawls 1999: 8) and (1999: 126). For different ways of distinguishing between types of ideal theory, see (Simmons 2010) and (Valentini 2012).
3. For a discussion of classical liberal and libertarian skepticism about ideal theory, see (Tomasi 2012: 207–210). For two notable cases of libertarian *ideal* theory, see (Nozick 1974) and (Brennan 2014).
4. For similar points, see (Valentini 2009: 354); (Schmidtz 2011: 777).
5. In addition to Levy, see (Wilkinson 2004) and (Cohen 2008: 75). See also (Brennan 2014) on why an ideal society is an anarchist one.
6. On this inconsistency, see (Wilkinson 2004).
7. For evidence of that we enjoy confirming our political biases, see (Westen *et al*. 2006).
8. For evidence of widespread voter ignorance, see (Somin 2013: chapter 1).
9. For Wilkinson's discussion of Rawls's inconsistency, see (Wilkinson 2004). (Brennan 2014: 60–2) also points out Rawls's inconsistent idealization.
10. Indeed, this insistence is at the core of public-choice economics. For more on the general idea that our analysis should apply its behavioral assumptions across institutional contexts, see (Demsetz 1969); (Brennan and Lomasky 1993); (Buchanan and Tullock 1999); (Friedman 2002); (Shapiro 2007: 6); (Brennan and Buchanan 2008); (Brennan 2014); (Pennington, forthcoming).
11. For relevant discussion, see (Schmidtz 1997).
12. For an overview, see (Carpenter *et al*., 2012).
13. On the inegalitarian effects of housing regulations, see (White 2015). On the inegalitarian distribution of agricultural subsidies, see (Environmental Working Group, 2016). For an argument that teachers' unions capture local school boards to advance their professional interests rather than the interests of children in their district, see (Moe 2011).

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22

Private Governance

Edward Peter Stringham*

1 INTRODUCTION

To what extent do contracts and private property depend on the state? Most authors take it as a given that government, not the private sector, makes markets possible. To L. V. Mises (1927, p.39), "The state is an absolute necessity, since the most important tasks are incumbent upon it: the protection not only of private property, but also of peace, for in the absence of the latter the full benefits of private property cannot be reaped."[1] Starting with this assumption, Robert Reich (2013) argues, "Governments don't 'intrude' on free markets; governments organize and maintain them," and Robert Frank (2016) argues that individuals are in no way entitled to pre-tax income because what they think of as their income would be zero without government.

In many cases, however, government officials have interests other than protecting markets, and despite this, markets nevertheless persist and often thrive. In *The Stealth of Nations: The Global Rise of the Informal Economy*, Neuwirth (2012) estimates that half of all workers worldwide work in the informal economy or, in other words, outside the scope of the law. The fact that half of all people do business outside the scope of formal law is a strong indicator that business is not a creation of government. Even in the developed world, government frequently tries to prohibit or rein in certain markets, such as advanced financial derivatives.[2] Likewise, online commerce takes place across political jurisdictions and in highly complex markets that government has difficulty keeping up with. How are all these contracts possible?

Buchanan's (1965) economic theory of clubs asks one to not assume that goods are either purely public and shared by everyone or purely private and consumed by one person. Instead, Buchanan suggests that all goods can be analyzed as club goods for which the optimal size of the club varies based on the characteristics of the good. In the theory, the optimal size of a club to consume a piece of chewing gum is one person, and the optimal size of a club to use a lighthouse is infinite (a pure public good).[3] Most goods fit somewhere in between. A country club of 1,000 people shares a golf course, and an apartment complex serving 100 people might share a swimming pool. The members of a country club or an apartment complex share not only their golf course or swimming pool but also the rules of the course or pool. Most apartment complexes have rules about when residents can use the pool and what time of the night one's voice has to be lowered. These rules are not set by government but are set by a type of private club. In contrast to a government that applies to all people nationwide or in a particular jurisdiction, a club's jurisdiction covers only willing members.[4] So in contrast to government enforcement, I refer to private governance as the various forms of private enforcement, self-governance, self-regulation, or informal mechanisms that private individuals, companies, or clubs use to create order, facilitate exchange, and protect property rights.

Providers of private governance can be geographically based and have a comprehensive set of rules for many aspects of life (as in a boarding school or a kibbutz), or they can be made for solving very specific problems within one's life (as in shopping malls, apartment complexes, or stock exchanges). Although they often work behind the scenes, right now and throughout history, clubs have in fact provided various types of rule enforcement, contract enforcement, and protection of private property. As Marc Galanter (1981, pp.19–20) states, "Societies contain a multitude of partially self-regulating spheres or sectors, organized along special, transactional or ethnic-familial lines ranging from primary groups in which relations are direct, immediate and diffuse to settings (e.g., business networks) in which relations are indirect, mediated and specialized." Moving beyond the dichotomy of government provision or no provision reveals that many private organizations already create and enforce rules. Private governance often works behind the scenes, so many people miss it. But as Thomas Paine (1791, p.84) writes:

> Great part of that order which reigns among mankind is not the effect of government. It has its origin in the principles of society and the natural constitution of man. It existed prior to government, and would exist if the formality of government was abolished. The mutual dependence and reciprocal interest which man has upon man, and all the parts of civilised community upon each other, create that great chain of connection which holds it together.

2 WHY PRIVATE GOVERNANCE IS SO COMMON: BEYOND LEGAL CENTRALISM AND THE DEUS EX MACHINA THEORY OF LAW

How should we think about how society deals with attempts to steal or cheat? Consider the plight of Ulysses, his wife Penelope, and his son Telemachus in *The Odyssey.* Years after the Trojan War, Ulysses is still trying to get back home and rumors spread that he has died. That encourages dozens of suitors to court Penelope, overrun Ulysses's property, and live off his land. Without Ulysses, Penelope and Telemachus are powerless to expel the unwanted guests. Goddess Athena disguises herself as Mentor and helps Telemachus search for Ulysses. After being away from home for 20 years, Ulysses finally returns home. It turns out that even with Ulysses' strength and ability to expel some of the unwanted guests, others in Ithaca conspire to kill Ulysses and they are too numerous to fend off. Just when all hope is lost, Athena comes in and stops the conflict. The end.

Such a deus ex machina (god of the machine) plot device gets its name from Greek plays that would wheel a crane (the machine) holding up an actor playing a deity who would solve all the characters' problems at the end. One sees such a device in critically acclaimed movies like *Jurassic Park III*, where at the last minute the characters are saved by the US Navy; or *The Matrix III*, where Keanu Reeves is saved by a mysterious supercomputer creatively named Deus Ex Machina. I will not decide here whether the deus ex machina indicates poorly written plot,[5] but it is sloppy thinking when people imagine deus ex machina solutions in philosophy, politics, and economics. Quite often a theorist will come up with a list of potential problems and then simply assume that government, like a deus ex machina, can and will come in to solve them (Demsetz, 1969).

Robert Ellickson (1991, p.138) describes such a perspective as *legal centralism*, "the belief that governments are the chief sources of rules and enforcement efforts." To Oliver Williamson (1983, p.520): "Most studies of exchange assume that efficacious rules of law regarding contract disputes are in place and that these are applied by courts in an informed, sophisticated, and low-cost way.… The 'legal centralism' tradition reflects this orientation." Legal centralism takes various forms, but it always depicts markets as unable to function without government and government as capable of and interested in solving the problem.

But one of the most important lessons from economics is that one should not assume away the problem that one is trying to solve. Whenever a problem exists, rather than positing a deus ex machina solution, one should ask the following questions: First, does government have the ability to solve the problem in a low-cost way? Second, does government have the knowledge to solve the problem? And third, does government have an incentive to solve the problem? According to some theories, government will always be flawless, but in reality, if government is deficient in any of the above ways, then private parties will have unmet needs.

First, government officials may be aware of and interested in solving private parties' problems but be unable to do so in a low-cost way. Consider, for example, the problem of bank robberies, from the most traditional heists to modern cyberheists. Even if government officials know something is a threat and wants to stop it, they simply lack the resources to watch over all bank vaults or to constantly protect banks against hackers. Any bank that accepted a deus ex machina theory of government would soon find itself without any money, so instead, banks spend resources on vaults, armed guards, and cybersecurity.

Second, government officials may lack the knowledge to solve private parties' problems. As Mises (1927) and Hayek (1945) pointed out, government central planners are not omniscient. It seems reasonable to apply such thinking to the individuals supposedly working to protect wrongdoers. If Hillary Clinton's presidential campaign staff cannot keep hackers out of their email, should we assume her employees would have been able to keep hackers out of everybody's systems once she took office?

Third, government officials may have other priorities and lack incentives to solve private parties' problems. Even the most vocal supporters of government police recognize that police often choose not to police certain neighborhoods (Mac Donald, 2016). And the Department of Justice (2015) conducted an investigation of the Ferguson Police

Department and found much more sinister actions. They found police-department promotions and pay tied to how much revenue officers could extract from the public (what the police department called “citation productivity”) and found outright collusion between city hall, police, and allegedly independent courts to raise more money for the government.[6] For readers who believe such practices are impossible and that 100 percent of American government officials are beyond reproach, at least consider the possibility that some government officials such as those in Venezuela and Rwanda do not put protecting private property and market exchange high on their list of priorities.

Whenever government officials lack the interest, knowledge, or ability to protect property rights or facilitate exchange in a low-cost way, then private parties will have certain unmet needs. Ideal theorizing that assumes deus ex machina solutions is a nonstarter. Private parties either have to live with the problems or take their own steps to solve them.

3 FACILITATING COOPERATION AS A PROFIT OPPORTUNITY

Noncooperation can be characterized as a prisoners’ dilemma, where two parties would be better off working together but each has an incentive to cheat (Hardin, 1997). In the classic story, two partners in crime are apprehended and independently interrogated, and although each would be better off if they both kept their mouths shut, each has an incentive to pin the blame on their colleague. The result is that both prisoners now have evidence against them and they are both worse off. Prisoners’ dilemmas can arise in less nefarious situations including when contracting parties are deciding whether to cooperate and keep their promises or cheat. Although both prefer to exchange than to not exchange, each one may choose to not deliver on their half of the bargain. A cunning buyer wants goods without paying, and a cunning seller wants money without delivering, and when both parties think this way, no transaction will take place.

The potential for noncooperative outcomes is, unfortunately, always present. But the commonly invoked solution of altering payoffs through government enforcement is not the only option (even assuming, contrary to the previous section, that it is a practicable option) for solving prisoners’ dilemmas. The more the parties can gain by cooperating, the greater the incentive they have to look to solve any given problem. In the prisoners’ dilemma story, the two prisoners have no ability to communicate or coordinate their strategies in advance, but most private interactions do not take place in a prison between parties who cannot communicate or work together over the long run. If parties can step outside the traditional prisoners’ dilemma setting, they can eliminate problems that arise in one-shot, anonymous interactions (Tullock, 1985, 1999).

Both parties have an incentive to minimize their losses and will gladly look for mechanisms or rules that provide mutual assurances. The mechanisms can be jointly produced by two parties or can be produced by for-profit firms. Providers of private governance such as the London Stock Exchange, the New York Stock Exchange, or eBay have incentives to weigh the marginal costs and benefits of potential rules and regulations and pick ones that augment markets. Because customers of private governance providers can spend their money anywhere (or put it under their mattress), enticing them to particular marketplaces requires making those marketplaces attractive and relatively free of fraud. Although rules and regulations on a stock exchange can have benefits, they also have costs, and those costs will be borne by brokers, listing companies, and, ultimately, investors. If they want to attract customers, providers of private governance must adopt rules that enhance a market and reject rules that drag down the market. For example, additional disclosure requirements provide additional information to investors, but they also increase investors' cost of doing business in that venue. Just because having one rule or regulation on a topic makes sense does not mean that having a million does. In a desire to attract business, each provider of private governance must compare the benefits and costs of new rules and then adopt only those whose benefits exceed their costs.

Private governance is not like a government one-size-fits-all "solution." Rather, private governance providers craft solutions that cater to the needs at hand (Hasnas, 1995). A market will never be in its final equilibrium, but just as markets for normal goods have built-in mechanisms to match supply and demand, the market for private governance has built-in incentives for providers of private governance to provide the optimal quantity of rules for each marketplace. The optimum set of rules for the London Stock Exchange in 1800 differs from those for the New York Stock Exchange in 1900 or the Alternative Investment Market in London in 2000 because the rules' costs and investors' desires differ. Those wishing to do business on more established exchanges have different desires than those willing to assume more risks. To avoid being outcompeted, like the Consolidated Stock Exchange of New York (it opened in 1885 and closed in 1926), each provider of private governance will try to make its marketplace as attractive as possible. Any deviation away from the optimal set of rules in each marketplace means the marketplace will be at a disadvantage to its competitors. Competition will create incentives for each provider of private governance to develop a set of superior rules. If the added benefits of a rule, such as a disclosure requirement, exceed the added costs to market participants, then an exchange will have an incentive to adopt it. This analysis can explain why the London Stock Exchange and New York Stock Exchange initially adopted rules for their broker members and subsequently rules for listed firms, and why they continue to develop superior rules over time. Market forces created incentives for these exchanges to adopt rules—but not just any rules, only value-enhancing ones.

Those who develop new solutions reap the immediate benefits of those choices, and in the long run, this encourages others to mimic the good solutions and abandon bad ones. Consider a stock exchange deciding whether to adopt a new rule that will likely decrease losses from fraud by 1 percent per year. Where the noneconomist would say, "Adopt the rule," the exchange must evaluate the added benefits and costs of the rule from the perspective of member firms, brokers, and their ultimate clients, the investors.[7] The potential benefits and costs of new mechanisms for encouraging cooperation are not always clear, but private governance enables small-scale rather than society-wide social experiments for evaluating new mechanisms (Caplan and Stringham, 2008).

Vincent Ostrom (2007) and Elinor Ostrom (2005, p.283) discuss how governance can come from many sources with overlapping units (polycentrism), and their framework can be easily applied to clubs. At any given time, an individual can be a member of a geographically based residential club that has rules for conduct between members (what is often subsumed by government under tort law and criminal law) as well as a business club, such as a stock exchange, that has rules about trading (what is often subsumed by government under contract law). Whether they realize it or not, most people choose to be members of various clubs created to solve problems in different areas. Membership in a private club can be formal or informal, long term or short term. On any given day, a person might frequent a gated community, an apartment complex, an office complex, a corporation, a shopper's club, a country club, and a nightclub. To the extent that rules or forms of security are beneficial, these clubs create and enforce such rules and security measures within their realms.

4 EXAMPLES OF PRIVATE GOVERNANCE IN HISTORICAL AND MODERN TIMES

How common is private governance? Milton Friedman recognizes that private rule enforcement could work but considers it rare: "I look over history, and outside of perhaps Iceland, where else can you find any historical examples of that kind of a system developing?" (Doherty and Friedman, 1995) Let me suggest that private governance is actually common both in areas where government legal systems are obviously lacking and in developed markets whose legal systems people assume function well. Private governance allows people to create extra layers of protection that they would not have if government law enforcement were the only option.

Throughout history, people have experimented with ways to deal with potential problems. Mechanisms of private governance can be formal or informal and long term or short term. Some forms of private governance deal with problems *ex post*, while others help avoid problems *ex ante*. Some private governance involves third-party enforcement, and other private governance simply relies on attempting to create incentives for contracting parties to voluntarily abide by the contract's terms (Klein and Leffler, 1981; Telser, 1987). Some relies on the discipline of repeat dealings or on trust (Smith, 1766; Macauley, 1963), and some involves escrow agents that can disburse funds (Friedman, 2008, p.104) or a bonding or insurance agent that assumes the risk if any party does not follow through with their promise. Some private governance requires parties to post irrecoverable assets (Williamson, 1996) or use reputation bonds, the value of which is forfeited in case of default as a way of committing to cooperation (Greif, 1989; Klein, 1997; Stringham, 2003). Private governance may set up a club with strict membership requirements for upstanding merchants only (Stringham, 2002), or it can even require membership in a close-knit clan or religious community (Landa, 1981; Bernstein, 1992; Johnsen, 1986; Powell, Ford, and Nowrasteh, 2008). Some private governance requires trading partners to be members of trading networks (Greif, 2006; Clay, 1997a, b; Neal and Quinn, 2001; Quinn 1997) or credit-card associations (Zywicki, 2000; Stringham, 1999) that act as a proxy for or guarantee of trust.

In my book *Private Governance* (2015), I go through the above cases in more detail, but consider the following examples.

1) My Word Is My Bond. In seventeenth-century Amsterdam and eighteenth-century London, the world's first stock markets were surprisingly complex, with short sales, forward contracts, and options contracts even though none were enforceable in official courts of law. In these markets, reputation acted as an alternative to government enforcement. The most advanced markets the world had ever seen and modern capital markets owe their existence to private governance.

2) The Hidden Law of Online Commerce. Millions of electronic transactions occur every day without a thought about what makes them possible. Even though government has difficulty tracking down anonymous fraudsters, transactions are protected by a complex system that manages and prevents fraud before it occurs. The better intermediaries deal with fraud *ex ante*, the more irrelevant the inefficacy of government law enforcement becomes.

3) Where the Streets Are Policed with Gold. With the California Gold Rush, tens of thousands of people moved to San Francisco, but early on, government police were entirely absent. Even after they were created, they were considered worse than the private criminals. To deal with the problem of crime, including crime committed by government, merchants organized a private police force that had 1,000 members by 1900 and still patrols San Francisco today. Providing protection as a part of a package deal with real estate has enabled merchants to have a more responsive police force than government.

4) *Compromis* Is Not a Compromise. Alternative dispute resolution—and the *compromis* document evidencing agreement to arbitrate—allows parties wanting third-party adjudication to have cases adjudicated in the manner they want. They get to select the rules, the procedures, and who adjudicates a dispute. Private parties are willing to pay money to hire private judges who are experts and adjudicate disputes as the disputants prefer.

5) Derivatives as Anything but Derivative. Derivative markets are among the most sophisticated and largest markets in the world, with the value of notional contracts outstanding exceeding world GDP multiple times over. Collateralized debt obligations, credit default swaps, and other complex products create new bundles of property rights that are not the creation of government. The body governing them is the International Swaps and Derivatives Association. Although they are wildly misunderstood, and often vilified for causing crises, these financial instruments work remarkably well at mitigating risk and expanding the scope of markets.

It turns out that government officials were not at the forefront of creating stock markets, derivatives markets, electronic commerce, and all the advanced transactions associated with them. Even though government officials once viewed most of the trading in stock markets as unenforceable forms of gambling, private governance made these markets possible. Mechanisms of private governance can be found working in small and large groups, among friends and strangers, in ancient and modern societies, and for simple and extremely complex transactions. They often exist alongside, and in many cases in spite of, government legal efforts, but they are usually not obvious and so are often overlooked. When you do not have to worry about paying for fraudulent transactions on your credit card or about counterparty default risk in a stock purchase, the time you spend thinking about the problem is minimal. Behind the scenes, however, your credit-card company spends hours designing, perfecting, and monitoring its fraud-mitigation system, and your stock exchange spends hours making sure people who are permitted to trade in a market can actually deliver what they promise.

From the world's first stock markets in the seventeenth century, to private policing in the early days of San Francisco, to millions of credit-card transactions governed by private rules today, privately produced and enforced rules are more common, effective, and promising than most of us believe. Most people are not even aware that a potential problem even existed, whereas others simply misattribute the solution to government in the same way that someone can observe the Charles River Bridge in Boston and mistakenly assume it was built by government (rather than the Charles River Bridge Company). Research on private governance, however, helps shed light on the private parties that create the order in markets. In their search for profits, providers of private governance discover new ways of facilitating exchange, protecting property rights, and creating the framework that underpins markets. Private governance works in simple settings, and it also works to underpin transactions that are sophisticated, in large groups, in heterogeneous populations, under conditions of anonymity, or across long distances.

CONCLUDING THOUGHTS

In "I, Pencil," Read (1958) describes how countless individuals cooperate to make even the simplest writing utensil. The typical consumer does not think about the markets for wood, graphite, paint, metal, and rubber and all the submarkets required to produce those ingredients; the consumer is concerned only with the final product. The same is true for private governance. The consumer does not think about whether the pencil manufacturer is vertically integrated, a way to avoid contractual opportunism by conducting more business in house, or how it contracts for graphite from Sri Lanka, a country that scores low on measures of contract enforcement. The consumer does not think about the relationships between managers and the investors in the bauxite-mining company in Guinea, a country that scores low on protecting investors (World Bank, 2013). The consumer does not think about whether aluminum was purchased over-the-counter using letters of credit or through the London Metal Exchange, a market where "80 percent of global non-ferrous business is conducted." The consumer can be completely unaware of all of the intricacies and multiple sources of oversight, whether formal or informal, individualistic or club based. They can be completely unaware of the private governance that is ultimately provided on their behalf and simply priced into the final product. The fact that so many contracts along the way are unenforceable is irrelevant to the consumer, who just cares about getting the pencil. Simply walk into a store anywhere around the globe, give the clerk a credit card, and you can have anything within your credit limit. Private governance solves problems seamlessly with few people noticing, but it underpins economic exchange.

North, Wallis, and Weingast (2009, p.121) criticize what they call "the neoclassical economic fiction" that "holds markets exist and then politics intervenes," but the idea that markets precede government is precisely right. With the typical government official so ignorant of and even hostile to markets, why should one attribute the existence of markets to them? Government is often dysfunctional and crowds out private sources of order, or it is simply absent or too costly to use. If markets crucially depended on government, I suggest that they would be about as advanced as the Department of Motor Vehicles, the Postal Service, or the government's Healthcare.gov website.

Friedrich Hayek (1945) used the word *marvel* to describe the price system and its role in coordinating disparate individuals. The mechanisms of private governance are just as miraculous and responsible for creating order in markets. The invisible-hand analogy in economics sheds light on underappreciated processes of coordinating behavior, and the study of private governance sheds light on the underappreciated mechanisms for creating order. Private governance is usually difficult to see and so is often missed, but it is responsible for making markets as vibrant as they are today. Instead of depending on government, the most sophisticated markets in history were made possible because of private governance.

NOTES

* This entry draws from my book *Private Governance* (Stringham, 2015). I thank Harry David and Jason Brennan for helpful comments and suggestions.

1. Similarly, Kirzner (1985, p.680) writes, “Preservation of this fundamental framework of individual rights calls for government that protects these rights against potential enemies,” and Rajan and Zingales (2004, p.293) write, “Markets cannot flourish without the very visible hand of government, which is needed to set up and maintain the infrastructure that enables participants to trade freely and with confidence.”
2. Consider, for example, the wide-scale development of modern financial derivatives without government oversight. The US government’s Financial Crisis Inquiry Commission (2011, xviii) states: “The sentries were not at their posts, in no small part due to the widely accepted faith in the self-correcting nature of markets and the ability of financial institutions to police themselves. More than 30 years of deregulation and reliance on self-regulation by financial institutions, championed by former Federal Reserve chairman Alan Greenspan and others, supported by successive administrations and Congresses, and actively pushed by the powerful financial industry at every turn, had stripped away key safeguards, which could have helped avoid catastrophe.”
3. Despite claims to the contrary, it turns out that lighthouses have historically been provided privately and paid for by users of a port (Coase, 1974; Block and Barnett, 2009).
4. J. A. Ryan (1907, p.1) differentiates between voluntary associations and nonvoluntary associations (i.e., government) as follows: “A voluntary association means any group of individuals freely united for the pursuit of a common end. It differs, therefore, from a necessary association in as much as its members are not under legal compulsion to become associated. The principal instances of a necessary association are a conscript military body and civil society, or the State; the concept of voluntary association covers organizations as diverse as a manufacturing corporation and a religious sodality.”
5. Abel (1954) argues that the plot device in Greek plays is actually good because it intends to get the audience to think about the secular versus the divine. Although Abel may be right to defend certain Greek plays, I doubt whether he would defend any movies starring Keanu Reeves.
6. In 2010, the city’s finance director even wrote to the police chief that “unless ticket writing ramps up significantly before the end of the year, it will be hard to significantly raise collections next year. . . Given that we are looking at a substantial sales tax shortfall, it’s not an insignificant issue.” In 2013, he wrote to the city manager, “I did ask the Chief if he thought the PD could deliver [a] 10% increase. He indicated they could try” (United States Department of Justice, 2015, pp.10, 13).
7. If investors ultimately bear the cost and benefits of rules, and the total costs of drafting, enforcing, and complying with the rule (Hertog, 1999) exceed the savings, the rule does not make sense. The decision is similar to that of an apartment building choosing not to hire a potentially useful armed guard who is extremely costly.

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23

Libertarianism and the Welfare State

Matt Zwolinski

1 Introduction

Most libertarians regard the welfare state as morally illegitimate. For some, opposition to state-financed welfare is a matter of fundamental moral principle. "Taxation is theft," they say, and so any redistributive measures that involve taxation are themselves a kind of theft and, therefore, a violation of individual rights.[1] Others base their opposition to the welfare state on more pragmatic considerations, holding that the problem with welfare is the *effects* it produces on taxpayers, recipients, and society as a whole. But whatever the source of their opposition, it is generally believed that opposition to the welfare state is an essential tenet of libertarianism—perhaps even the *defining* tenet that sets libertarianism apart from more mainstream liberal political theories like that of John Rawls.

We should be careful, however, in drawing generalizations about libertarianism as a whole on the basis of one or two salient examples. The libertarian intellectual tradition, I have argued elsewhere, is far more pluralistic than has generally been recognized (Zwolinski and Tomas 2018). It is also far more *progressive*. And while opposition to the welfare state is indeed a common characteristic of libertarian thought, that opposition is neither as *universal* as is commonly supposed, nor as deeply rooted in a fundamental conflict of *values* with those who advocate state-based relief to the poor.

There are, in the first place, a significant number of prominent libertarian theorists who have supported some form of state-based welfare payments to the poor. The reasons offered in support of such advocacy have varied, but by and large, they tend to fall into one of two categories: *restitution* for past injustice, and *relief* for those who for one reason or another do not share in the general prosperity created by a market system.

Nevertheless, opposition to the welfare state is the position held by a majority of libertarian theorists, and it is easy to infer from this opposition that most libertarians must base their political philosophy on fundamentally different values than those held by advocates of the welfare state. Perhaps libertarians do not really care about the suffering of the poor. Perhaps, as closeted social Darwinists, they even *welcome* it. But the inference here is a mistake. Libertarians do not, in general, lack concern for the plight of the poor. In fact, if we are to take libertarians at their word, just the opposite is true—many of their policy proposals and fundamental political outlooks are motivated by a deep concern for the poor, the vulnerable, and the marginalized (Zwolinski and Tomasi 2018). The distinctiveness of libertarians' policy prescriptions is not due to any distinctiveness in the basic moral values to which they adhere but rather to the heavy moral *weight* that they assign to certain moral norms and to their distinctive empirical *beliefs* regarding the relative efficacy of voluntary versus governmental approaches to poverty relief.

This paper will examine why opposition to the welfare state is the default libertarian position, and why some libertarians have deviated from this default in certain political and historical circumstances. The primary goal of this examination, of course, is to better understand the libertarian answers questions about the legitimacy of state-based redistribution, which are interesting and important in their own right. But reflection on these specific questions, I suspect, will also lead us to more general insights about the relation between libertarianism and other non-libertarian liberal political philosophies. That relation has often been understood, at least by late twentieth and early twenty-first-century academic philosophers, in terms of the debate between John Rawls and Robert Nozick. And *that* debate has largely been reduced to a disagreement regarding the legitimacy of state-based transfers aimed at the realization of distributive justice.

But if the argument of this essay is correct, then opposition to the welfare state is neither as universal nor as fundamental to libertarianism as has generally been assumed. And that realization frees us up both to notice *other* distinctive elements of libertarian theory that may have previously been consigned to the background, and to recognize that there might be more commonalities between libertarianism and non-libertarian liberal theories than a narrow focus on Rawls and Nozick might have led us to believe.

This paper begins in section 2 by dispelling a few common misunderstandings about libertarian attitudes toward the welfare state. The libertarian opposition to the welfare state is not based on a disbelief in natural positive duties nor on a callous social Darwinism. A moral concern for the poor and vulnerable has been an important and persistent theme in the libertarian intellectual tradition, but so too has a skepticism about state power and an appreciation for voluntary, decentralized social action. Considerations such as these ground a number a pragmatic concerns about the efficacy and morality of the welfare state. Section 3 examines more principled libertarian arguments against the welfare state, the primary focus of which is the coercive nature of the taxation that is used to finance it. Some of these arguments, we will see, rest upon philosophically controversial and implausible premises. But it is possible to ground a relatively radical libertarian conclusion about tax-financed welfare on the basis of relatively commonsense moral premises, and the section concludes with an examination of one important version of such an argument. Finally, section 4 looks at the reasons why some libertarians *have* supported a certain form of welfare state. As we will see, both the reasoning employed and the kind of welfare that is justified varies between what I identify as the two main branches of libertarian theory. Classical liberals, when they support any welfare state at all, tend to support a moderate form of welfare aimed at providing relief to the very poor in order to ensure that all members of society share to at least some extent in the general prosperity of a free society. Strict libertarians, on the other hand, generally support state welfare only as a mechanism for making restitution for past injustice. But while their rationale is theoretically narrow, it is potentially quite radical. In a world where historical injustice is ubiquitous, the strict libertarian approach has the potential to yield a *stronger* case for redistribution than many alternative theories. Section 5 concludes with reflections on the differences, real and imaginary, between libertarian and other forms of liberal political theories.

2 WHAT LIBERTARIANS *DON'T* BELIEVE ABOUT WELFARE

Libertarian opposition to welfare is typically quite radical. For the most part, libertarians do not merely advocate reducing the overall size of the welfare state, or imposing new restrictions on who can qualify or on how long they can receive benefits without going back to work. Instead, libertarians argue that the welfare state should be *eliminated* and replaced by a system of purely private charity and voluntary mutual aid.

It seems natural to suppose that such a radical conclusion must draw for its support on equally radical, and implausible, moral premises. It is sometimes claimed, for instance, that the reason libertarians deny the legitimacy of the welfare state is that they deny the existence of any positive moral duties (see, for example, LaFollette 1978). The only duty people have, on this view, is the duty to respect the *negative* rights of others to be free from aggression against their person or property. And this is a duty we can fulfill simply by sitting still and doing nothing at all. Beyond that, we have no duties that require us to take any *positive* steps to promote the welfare or freedom of others.

While there are a few libertarians who hold this view, it is nevertheless a relatively uncommon position.[2] Libertarians *do* believe that it is wrong to coercively compel people to promote the welfare of others. But to deny that we may legitimately coerce people into performing their natural positive duties is one thing; to deny that we have any such duties at all is quite another. The most common libertarian position is that our natural positive duties are imperfect duties of beneficence, the performance of which is properly left to the discretion and voluntary choice of each individual.

Even taking this into account, however, the libertarian position still strikes some as hard-hearted. After all, if libertarians really cared about the welfare of the poor, why wouldn't they want the state to provide whatever assistance it can? Might it not be the case that libertarians oppose the welfare state precisely *because* it would help the poor? Are libertarians really "social Darwinists" who believe, with Herbert Spencer, that the poor are "nature's failures," and that "if they are not sufficiently complete to live, they die, and it is best they should die" (Spencer 1995: 339–40)?

The charge of social Darwinism still surfaces from time to time (see, for example, Fleischacker 2004: 86). But the general consensus among scholars is that even in the specific case of Herbert Spencer, where it might most plausibly be thought to apply, it fails (see Bannister 1979; Leonard 2009; Weinstein 1998; Zwolinski 2015). When it is extended to cover not just Spencer but libertarians as a whole, the charge is not merely false but grotesquely false. Many of libertarians' most distinctive policy positions—their opposition to occupational licensure, their hatred of war, their championing of free migration—are advocated by libertarians precisely on the grounds that they will benefit the poor, the vulnerable, and the marginalized (see Zwolinski and Tomasi 2018).

State power, libertarians believe, is routinely used to benefit the powerful and the politically well-connected at the expense of the weak (Tullock, Tollison, and Rowley 1988). And even when state power is used with the *intention* of benefiting the poor, those good intentions often fail to produce beneficial effects. Legislators and bureaucrats generally lack the knowledge to accurately predict the effects of the interventions on complex social systems, and as a result the *unintended* (and often unwanted) consequences of their policies often wind up dwarfing the intended ones (see Schuck 2015; Tullock 2002). In the context of the welfare state, the most obvious and relevant example of this phenomenon is the problem of moral hazard. By providing a safety net that ameliorates the suffering associated with poverty, governments might inadvertently discourage people from taking the steps necessary to get themselves *out* of poverty. By taking responsibility as a society for the poor, we might inadvertently discourage them from taking responsibility for themselves (see Schmidtz and Goodin 1998).

Libertarians favor voluntary, decentralized solutions to the problem of poverty, not because they are social Darwinists but because they believe those solutions are more effective than state-based alternatives (see Palmer 2012). Free markets generate economic growth and that growth has done more than any government program ever possibly could to eliminate poverty and the suffering associated with it.[3] Voluntary networks of mutual aid can provide relief to individuals who have fallen on hard times and, perhaps more importantly, they can do so without undermining self-respect since they are based on long-standing relationships of reciprocity among equals.[4] And while individual charities might sometimes fail or become too administratively bloated to perform their role effectively, the overall *system* of private charities is one that encourages innovation, provides immediate feedback in the form of increased or diminished contributions, and allows for the kind of experimentation and learning that helps the system to become more effective over time.

3 MORAL ARGUMENTS AGAINST THE WELFARE STATE

Many libertarians such as Friedrich Hayek, Milton Friedman, and Richard Epstein take a pragmatic, pluralistic, and relatively consequence-sensitive approach to politics, and they therefore tend to emphasize the kinds of considerations described in the previous section in their critique of the welfare state. This branch of libertarianism is sometimes known as *classical liberalism* in order to emphasize its intellectual debt to earlier figures such as David Hume and Adam Smith, and also to distinguish it from the other major branch of the libertarian family.

That other branch, which I have elsewhere described as "strict libertarianism," is one that takes a more rationalistic and/or deontological approach to political morality.[5] Within this branch, we find a different approach to the issue of welfare—one that derives more from basic moral principles than pragmatic considerations and that is more radical and uncompromising in its recommendations. For libertarians in this camp, such as Murray Rothbard and Robert Nozick, the problem with welfare is not so much what the government is spending its money *on*, but how the government is *obtaining* that money in the first place. It is because welfare is financed through taxation, and because taxation is based upon the threat of force, that these libertarians object to it. When government looks to taxpayers to finance the welfare state, it does not merely ask for money, it *demands* it. If taxpayers refuse that demand, they might at first be faced with nothing more but a firm letter. But if they try to ignore that letter or the people in business suits who show up at their door, eventually the people in suits will be replaced by people with guns. And the people with guns will not be ignored.

For Nozick, the taxation that is necessary to finance such redistribution is a violation of our basic moral rights. To take from Peter in order to give to Paul is to treat Peter as a mere means and thereby to run afoul of the Kantian moral imperative that requires us to treat each person as an end in himself (see Nozick 1974: 28–35). So long as Peter acquired his possessions in a just manner, he is entitled to his holdings no matter how great the inequality between him and Paul and no matter how great Paul's need (Nozick 1974: 150–2). Respecting Peter as a separate person requires us to acknowledge that his ownership of his person and property establish moral side-constraints on what we may permissibly do to him in order to advance our own good, to advance what we believe to be his good, or to advance the good of society as a whole. To take even a small portion of his property without his consent is a violation of a basic side constraint against aggression and is therefore absolutely impermissible.[6]

Rothbard arrives at the same conclusion via a somewhat different route. Like Nozick, Rothbard believes that taxation is a violation of basic moral principles. But for Rothbard, those principles are *self-ownership* and *non-aggression* (Rothbard 2006: 27, 33). The principle of self-ownership states that each individual is morally entitled to absolute control over her own body and labor. Following Locke, Rothbard argues that an individual's basic property in her own person serves as a foundation for the legitimate acquisition of property rights in external resources like land, trees, and minerals (Rothbard 2006: 36–45). Through original appropriation and trade, individuals can come to have legitimate property rights in a wide range of natural resources and artifacts. And since those property rights are ultimately rooted in individual self-ownership, any violation of those rights is ultimately an act of aggression against the person who holds those rights and is therefore absolutely morally impermissible.[7]

Both Nozickian side-constraints and Rothbardian self-ownership are philosophically problematic. First, their absolute or near-absolute prohibitions on interfering with other people's property strike many as intuitively implausible. Couldn't a very small instance of aggression be justified if it would yield extremely large benefits for other innocent persons or, in the case of paternalistic interferences, the victim herself?[8] Second, and more problematically, neither Rothbard nor Nozick provide much in the way of compelling argument in support of these strong prohibitions. Nozick's argument for libertarian side-constraints is much more suggestive than conclusory, and the argument that Rothbard gives us, while more fully developed, is obviously and deeply flawed.[9]

Fortunately for libertarians, their moral critique of the welfare state need not rest upon such controversial foundations. After all, both Nozick's and Rothbard's philosophical accounts are, in the end, merely attempts to formalize and refine a few basic intuitions about morality. And those basic intuitions, it turns out, are far less controversial than the philosophical systems designed to systematize them.

One need not be a libertarian, for instance, to believe that it is at least *generally* wrong for one individual to take another person's legitimately acquired property by force or threat of force. That is not a controversial philosophical position. It is, instead, simply a part of moral commonsense, one of the data points against which moral theories ought to be *judged*. A moral theory that failed to include a prohibition on theft might not deserve to be dismissed out of hand, but we would rightly expect the theory to provide some very weighty reasons to justify that omission or to have some very appealing features to counterbalance it.[10]

However, the commonsense prohibition on the forceful appropriation of other people's property is not absolute. Yes, it is *generally* wrong to take other people's property without their consent. But suppose that a hiker lost in the snowy woods comes upon an uninhabited cabin. May he permissibly break in to avail himself of the food and shelter he needs to survive?[11] Or suppose, to modify a famous philosophical thought experiment, that in order to save five innocent people from being crushed by a runaway trolley, one must pull a lever to divert the trolley onto another track, where it will crush someone else's new car. May he permissibly act so as to save the five, even though doing so entails the destruction of someone else's property?[12] The commonsense answer to both of these questions (and to a host of similar questions) is, I think, "yes." But that answer is incompatible with a prohibition on the forceful appropriation of other people's property, at least if we understand that prohibition as *absolute* in its strength.[13]

Moral commonsense thus supports a strong *presumption* against violating the property rights of others, but it is a presumption that can be overridden by sufficiently weighty considerations on the other side. This might sound like good news for defenders of the welfare state, since it means that the coercive redistribution involved in state-based welfare is not *necessarily* impermissible as a matter of fundamental moral principle. But in another respect, it is good news for the libertarian too. For it means that she is no longer faced with the seemingly impossible task of justifying an *absolute* prohibition on redistribution. Instead, her task is the much more philosophically modest one. She need only show that standard arguments on behalf of the welfare state fail to overcome the *presumption* against coercion implicit in moral common sense.

This is the approach taken by Michael Huemer in his recent book *The Problem of Political Authority*. There, Huemer approaches the debate over the welfare state from a perspective that is both libertarian and explicitly committed to an intuitionist moral framework.[14] His argument begins by conceding that it is not *always* wrong to use coercion in order to provide aid to the needy. We can easily imagine hypothetical scenarios in which such coercion seems at least permissible and, perhaps, even obligatory. For example, consider a modified version of Peter Singer's famous "Drowning Toddler" thought experiment.[15]

> **Coercive Bystander:** A child is drowning in a shallow pond. If no one helps her quickly, she will die. There is a man standing near you who could easily wade in and save the child. Doing so would not be physically dangerous, but it would ruin the man's clothes, and so he refuses to help. No one else is around who can help, and because of a physical disability you are unable to save the child yourself. You do, however, have a gun that you could use to threaten the man standing next to you. Would it be morally permissible for you to threaten the man with violence in order to induce him to save the child?[16]

Huemer is willing to grant that the answer to this question is "yes." And that might seem to be enough to clinch the case for the welfare state. People living in poverty are like the child drowning in the shallow pond. Taxpayers are like the man standing next to the pond who could easily help but refuses to do so. And the government is the other bystander who lacks the resources to help himself but wields the power to coerce those who *are* capable of helping into doing so. If the bystander is justified in using coercion in order to save the drowning child, then so too is the government justified in using coercion to save citizens "drowning" in poverty.

Unfortunately for defenders of the welfare state, this conclusion cannot be gotten so easily, for there are several morally relevant differences between Coercive Bystander and the reality of the welfare state. To illustrate just one of these differences, Huemer asks us to consider yet another modified version of the same example. In this modification, all the details are the same *except* that you aren't at all sure whether coercing the man standing next to you will actually result in the child being saved. Perhaps the child is already too far gone, or perhaps the man standing next to you is an incompetent rescuer. For whatever reason, there is a possibility that even if you use your gun to threaten the man, the child will still die. Indeed, it's even realistically possible that the bystander will inadvertently knock *more* children into the pond in his futile attempt to save the one. He does look rather clumsy…

In this second modified example, which Huemer calls *Incompetent Bystander*, it is no longer clear that coercing the bystander in order to save the child is a morally permissible thing for you to do (Huemer 2012: 149). In philosophical thought experiments, it is easy to assume such uncertainty away and simply *stipulate* that our actions will achieve all (and only) the desired results. But in the real world, things are rarely so clear, and this lack of clarity is morally relevant. In the real world of the welfare state, there are ample grounds for worrying that the welfare state *might not* be as effective as we hope and, indeed, that it might sometimes even be counterproductive, exacerbating the very problem it was designed to solve.[17]

The point about uncertainty is relevant, of course, for those inclined to analyze moral problems in consequentialist terms. If the justification of the welfare state depends on the expected utility of its policies, then the more uncertain we are regarding the outcomes of those policies, the greater the epistemic discount we must apply to the utility of the outcomes for which we hope and the less weight they will have in justifying those policies.

But Huemer's point is not *merely* a consequentialist one. Even a deontologist, and certainly a commonsense intuitionist, can hold that there are certain consequentially specified "thresholds" beyond which the normal prohibitions on certain forms of conduct no longer apply. It might be wrong to punch strangers in the nose no matter *how* much you happen to enjoy it, but if for some bizarre reason, the fate of the world hinges upon your doing so, then all bets are off.[18] For similar reasons, we might hold that the prohibition against coercion only gives way in those cases where we can be *reasonably confident* that the coercion we are considering is both necessary and effective in preventing some grave evil. The justification of coercion, we might plausibly think, demands a higher burden of proof than a mere preponderance of the evidence (i.e. a net positive result of a cost–benefit analysis).

Of course, there are a number of other morally relevant differences between Coercive Bystander and real-world efforts to aid the poor through the institution of government. Pulling a toddler out of a pond, to take only the most obvious difference, is a one-time affair. Undertaking the obligation to rescue a child in a situation like that consumes us in the moment, but it need not consume our lives. Moreover, the only consequences we need to worry about in that scenario are those that are *immediate* and *visible*.

The welfare state, in contrast, is an ongoing policy, the mission of which is by its nature one that can never be completely fulfilled. No matter how many individuals we rescue from the suffering of poverty, there will always be more (see Schmidtz 2000). And because the project is an *ongoing* one, we must take seriously the concern that the things we do now to rescue those currently in poverty might make it more likely that *other* people will get stuck in the trap of poverty in the future.[19] How our attempts to solve *this* problem might create *other* problems in the future is a dynamic problem that static philosophical thought experiments like Coercive Bystander can easily blind us to. But in the real world, where people are constantly adapting their behavior in response to changes in the rules of the game, it is a problem that we absolutely must take seriously.[20]

A further difference between the thought experiment and the real world of the welfare state has to do with the urgency of the need that we are seeking to relieve. In Coercive Bystander, the child is faced with *immediate death*. Much of the suffering that the modern welfare state seeks to relieve, in contrast, is far less urgent. It is one thing to say that coercion is justified in order to save a person's life from imminent danger; it is another to say that it is justified in order to make a person's life more comfortable or to provide them with job training or educational opportunities or health care that improve their long-term prospects for well-being.

Indeed, Huemer goes on to note, it might be especially problematic to devote the resources obtained by coercion to the alleviation of this kind of suffering when we could arguably be doing much more to relieve suffering that is *far more urgent*. There are still far too many places in the world where to be poor really *is* like drowning in a pond—the danger of imminent death (often from dehydration or malnutrition) is real, and the costs of preventing that death are low. "If the government is to institute coercive aid programs at all," Huemer argues, "it surely must direct its efforts toward people whose lives are in grave danger yet who could be saved at minimal cost rather than toward people with much less urgent needs that are much more expensive to address" (Huemer 2012: 153).

4 LIBERTARIANS FOR THE WELFARE STATE

4.1 Classical Liberal Arguments

Virtually all libertarians are deeply opposed to the sort of expansive, expensive, and intrusive welfare states currently in existence in American and most of the Western world. And, indeed, many libertarians are opposed to the idea of any welfare state at all, no matter how small or efficiently run it might be. But not all libertarians are hostile to the idea of state-run welfare as such. Indeed, a number of important libertarians have, in both historical and contemporary contexts, given their qualified endorsement to some form of welfare state. And in doing so, they have provided arguments that raise deep and important questions for the application of libertarian theory to the real world.

For some libertarians, the argument for welfare is grounded in a simple positive duty to relieve others from extreme suffering when we can afford to do so without suffering serious deprivation ourselves. As we noted earlier, it is commonly assumed that libertarians deny the existence of positive duties. But this assumption, we saw, is mistaken. Libertarians generally believe that positive duties may not be coercively enforced. But even *that* belief is not universally shared.

John Locke, for instance, is widely regarded as the father of contemporary natural-rights libertarianism, and his account of natural rights in general, and property rights in particular, was frequently and favorably cited by contemporary libertarians like Ayn Rand, Murray Rothbard, and Robert Nozick.[21] But Locke himself explicitly *rejected* the strict prohibition of coercive redistribution. In his *First Treatise*, Locke wrote that one in pressing need has a *right* to the surplus property of his fellow men, at least so much as to keep him out of "extreme want, where he has no means to subsist otherwise."[22] Nor did Locke regard such relief as a mere private virtue, to be aspired to and encouraged but never coerced by law. Indeed, in 1697, Locke himself wrote a proposal to reform the English poor laws (Locke 1997). Today, that proposal draws attention mostly for its seemingly draconian impositions of work on the able-bodied poor and its imposition of whippings and impressment upon those caught begging outside of their home parish. But for our purposes, what is perhaps most significant is the fact that Locke *never questions at all* the assumption that government acts permissibly in coercively taxing some in order to assist those who are genuinely unable to support themselves.[23] The legitimacy of state redistribution is simply taken as a given.

Some libertarians have gone even further in setting out a case for state redistribution. For these libertarians, the crucial moral premises needed to defend the welfare state are *normative individualism* and *mutual benefit*. Normative individualism refers to the basic moral belief that *only* individuals matter from a moral point of view, and that *every* individual matters. We must seek to justify our social practices and our legal institutions, these libertarians hold, on the basis of how those practices and institutions affect the individuals subject to them—not on how they affect "races" or "nations" or "classes." Practices that violate the rights of some individuals cannot be justified on the grounds that they make *other* individuals better off.[24] In order for a social practice to be legitimate, then, it must be *mutually beneficial*, that is, it must be in the interest of *all* those who are subject to it.

In general, libertarians believe, the institutions of private property and the free market are in everyone's best interest. Such institutions provide individuals with considerable freedom to live their lives as they see fit, and they generate tremendous wealth and opportunities for all, including, and perhaps even especially, society's poorest and most vulnerable members.

Still, there are inevitably some members of society who do *not* benefit from the general freedom and prosperity created by libertarian institutions. For libertarians who accept some version of normative individualism, such individuals cannot simply be written off. If the institutions of property and the market are to be justified to *all* individuals, then something must be done to ensure that those who fall through the cracks are not left behind. Much of that work, libertarians believe, can be accomplished by citizens acting individually and in voluntary associations outside the institutions of the state. Charity and mutual aid can go a long way toward ensuring that the benefits of material progress are shared by all. But a social safety net provided by government might be necessary as a measure of last resort.

Thus, Loren Lomasky, who defends classical liberal institutions as ones that generally enable individuals to pursue the projects that give their lives meaning, notes that

> If a person is otherwise unable to secure that which is necessary for his ability to live as a project pursuer, then he has a rightful claim to provision by others who have a surplus beyond what they require to live as project pursuers. In that strictly limited but crucial respect, basic rights extend beyond liberty rights to welfare rights.
>
> (Lomasky 1987: 126)

A similar line of reasoning can be found in the broadly Rawlsian classical liberalism of Gerald Gaus, who argues that, while the coercion involved in a socialist or heavily redistributive economy cannot be justified to "all rational and reflective persons seeking to live under impartial principles of justice," neither can an economy with *no* redistribution be justified, at least given modest assumptions about the nature, reasonableness, and intensity of people's preferences.[25]

Even Friedrich Hayek, who famously dismissed the idea of social justice as a "mirage," seemed to take it almost for granted that

> the assurance of a certain minimum income for everyone, or a sort of floor beyond which nobody need fall even when he is unable to provide for himself, appears not only to be a wholly legitimate protection against a risk common to all, but a necessary part of the Great Society in which the individual no longer has specific claims on the members of the particular small group into which he was born.
>
> (Hayek 1979: 55)

What Hayek found objectionable about social justice was the idea that society ought to endeavor to ensure that each individual's income is fully in accord with his standards of merit, desert, or fairness. But Hayek's point in raising the idea of a "minimum income" was to *differentiate* it from what he regarded as the misguided ideal of social justice, and to argue that a modest social safety net could and should be defended on solidly liberal grounds. We should reject the idea that government should be involved in the minute regulation of prices and incomes in different sectors of the economy—such matters exceed the severely limited informational capacity of the state and should be left to the freely functioning market to determine. But the provision of a social safety net requires no hubristic tinkering with the price system; it is the sort of goal that can be achieved through a general rule, predictable in its effects and equally applicable to all.

Still, even if classical liberalism is not incompatible with the welfare state as such, it does impose severe restrictions on the *kind* of welfare state that is to be justified. A classical liberal welfare state will aim, in the first place, at guaranteeing to each individual an income *sufficient* to meet their basic needs.[26] But it will certainly not aim at *maximizing* the welfare or resources of the least well-off, nor will it aim at *equalizing* the wealth, welfare, opportunities of different individuals in society.[27] In terms of its overall goal, then, the classical liberal welfare state will be relatively modest.

In terms of *form*, too, the classical liberal welfare state will be distinctive. One of the key distinguishing ideas of libertarianism is an appreciation of the power of spontaneous orders.[28] But some forms of social welfare can be *more* spontaneous than others. In his 1962 book *Capitalism and Freedom*, Friedman first laid out his case for a "Negative Income Tax," a policy that would essentially implement Hayek's goal of a "certain minimum income for everyone" by issuing government payments to everyone whose income fell below a certain level. Friedman saw this policy as justified as a legitimate measure to achieve the goal of poverty alleviation, especially since purely private charitable activity might be subject to kind of "free rider" problem—a form of market failure (Friedman 1962: 191–2). But he also recognized that, unlike many other forms of government aid, a cash grant allows individuals to make their own decisions about what to do with that money. And rather than aiming at a certain definite *outcome* for its recipients—better health, access to education, and so on—a basic income allows individuals to choose their own goals and their own paths to those goals.[29]

Friedman's proposal drew considerable political support, and it came tantalizingly close to becoming law. In the end, however, Friedman's proposal morphed (much to his displeasure) into the Earned Income Tax Credit, a policy that requires beneficiaries to be employed and thus provides no benefits at all to those who cannot find work, and which *supplements* already existing welfare programs rather than replacing them.[30] Still, the idea of a relatively simple policy that addresses the problem of poverty through universal cash grants is one that has considerable appeal among some contemporary libertarians. Charles Murray, for instance, has recently called for the welfare state to be replaced with a "basic income" that would provide $10,000 to all adult citizens, regardless of income or willingness to work, but subject to a progressive tax for those whose total income exceeded $25,000 (Murray 2006). Such a system, Murray argues, would not only be more effective in fighting poverty but would also do so while simultaneously moving in the libertarian direction of smaller, less invasive, and less costly government (see also Zwolinski 2014).

4.2 Strict Libertarian Arguments

Because they take a relatively absolutist position on the stringency of property rights, strict libertarians might seem to have a harder time justifying the kind of coercive redistribution involved in the welfare state than their classical liberal brethren.

There is, however, one important respect in which the very absolutism of the strict libertarian theory makes it *more* open to recognizing welfare rights as legitimate claims of justice.[31] The libertarian theory of distributive justice is, as Robert Nozick famously described it, a *historical* one. This means that libertarians believe that the justice of a given set of holdings depends entirely on how those holdings came about. "Whatever arises from a just situation by just steps is itself just," wrote Nozick (1974: 151). But the flip side of this claim is just as important—those distributions of resources that arose from *unjust* steps are themselves *unjust*. Thus, if *A* were to hold a piece of property that he stole from *B* (or that he bought from someone who stole it from *B*), justice *and respect for property rights* would demand rectification—that is, redistribution.

In the limited context of relatively recent and local injustices, this principle seems innocent enough. Of course, car thieves should be forced to give back their ill-gotten cars to the people from whom they stole them. But if we broaden the context to include not just physically and temporally local injustices but more remote ones as well, the radical implications of the libertarian principle quickly become manifest. After all, who among us can say with confidence that the property we claim as our own is *not* tainted with injustice, if we trace its origins far enough back into the distant past? Herbert Spencer, himself a strict libertarian but a fierce critic of the Lockean theory of property, put the point succinctly:

> It can never be pretended that the existing titles to such property are legitimate. Should any one think so, let him look in the chronicles. Violence, fraud, the prerogative of force, the claims of superior cunning—these are the sources to which those titles may be traced.
>
> (Spencer 1995: 104)

The fact that the injustice occurred long ago is irrelevant for the strict libertarian. "How long does it take for what was originally a wrong to grow into a right?" asks Spencer. "At what rate per annum do invalid claims become valid?" Nor was Spencer the only libertarian to make this point. The nineteenth-century American libertarian and abolitionist Lysander Spooner advocated the violent revolution of the Irish peasantry against their landlords on precisely these grounds. Their lands, he argued, were unjustly taken by the violence, and

> No lapse of time can cure this defect in the original title. Every successive holder not only indorses all the robberies of all his predecessors, but he commits a new one himself by withholding the lands, either from the original and true owners, or from those who, but for those robberies, would have been their legitimate heirs and assigns.
>
> (Spooner 1880: 126)

Injustices that occurred in the distant past can be difficult to rectify. But just as the strict libertarian denies that practical considerations can count *in favor* of redistributive policies that violate the requirements of justice, so too she holds that such considerations cannot count *against* redistribution that is *required* by justice.[32]

Most libertarians do not go as far as Spooner in advocating violent revolution as the remedy for historical injustice. But several important libertarians have advocated more moderate, but still coercive, measures. Nozick, for example, flirted with the idea that "patterned principles of justice" might be justified as rough approximations of what full compensation to the victims of past injustice would require.

> [L]acking much historical information, and assuming (1) that victims of injustice generally do worse than they otherwise would and (2) that those from the least well-off group in the society have the highest probabilities of being the (descendants of) victims of the most serious injustice who are owed compensation by those who benefited from the injustices (assumed to be those better off, though sometimes the perpetrators will be others in the worst-off group), then a rough rule of thumb for rectifying injustices might seem to be the following: organize society so as to maximize the position of whatever group ends up least well-off in the society.
>
> (Nozick 1974: 231)

On similar grounds, the alleged "social Darwinist" Herbert Spencer argued in 1897 that the English Poor Law might be justifiable as a means of compensating laborers for the appropriation of the land and labor that they suffered under feudalism and for the loss of the limited right to the produce of the soil that fell with the abolition of the feudal system (Spencer 1897: 394).

For Nozick, the injustice of the current distribution of resources is significant but contingent. It is significant because it means that it undermines the *prima facie* legitimacy of that distribution from the standpoint of justice. But it is contingent because the distribution didn't *have* to be unjust. There were morally legitimate paths open to individuals to appropriate resources and to trade and bequeath them to others. The problem isn't property as such—or even the unequal distribution of property. It is the way the particular present distribution happened to come about.

For other libertarians, however, the problem that stands in need of rectification is even more fundamental. For Thomas Paine, Henry George, and even Herbert Spencer (circa 1851), the basic injustice was private ownership of the earth *as such*.[33] For one individual to claim a plot of land as his own, and thereby to claim the right to exclude all others from using it without his permission, was to violate of the rights of others. For Paine (2007), private property in land was a violation of the equal right of all to its free use and the primary cause of contemporary poverty. For George, ownership of land was flatly incompatible with individuals' morally basic ownership of their persons and their labor (George 1886: 300). And for Spencer, it was a violation of the fundamental law of equal freedom and carried with it the risk that non-landowners would be subject to whims of "the lords of the soil" (Spencer 1995: 102, 104).

Libertarians who believe that private property in land is unjust face two alternatives. On the one hand, they might seek to abolish private property altogether and return it to its common state. That way of proceeding, however, would generate tremendous practical difficulties and fierce opposition from landholders. It would also involve giving up the great gains in efficiency that private property makes possible and opening the door to tragedies of the commons on a massive scale (see Schmidtz 1994).

For these reasons, most libertarians opted for a second approach—one that involved leaving the existing distribution of property titles intact but confiscating through taxation an amount equal to the unimproved value of the land—the so-called ground rent. This "Single Tax," as George famously called it, could then be used to compensate those who were deprived of their natural freedom to the use of the earth. And since the tax was on only the *unimproved* value of the land, it could be administered without any violation of individuals' moral rights to the fruits of their labor.

How much of a difference the imposition of such a tax would make in the welfare of the poor depends, of course, on a number of factors, including especially the proportion of the actual market value of land that can properly be attributed to the raw value of the land itself. George believed that the proceeds of his Single Tax would be sufficient to eliminate most poverty from the face of the earth. But even if, as seems likely, he overstated his case, the fact that a sizeable transfer of wealth can find justification on even strict libertarian grounds is both theoretically and practically significant.

5 CONCLUSION

Not all libertarians are fundamentally opposed to the welfare state. And when they are, it is not because they hold radically different values from non-libertarian liberals. It is because, as a normative matter, libertarians assign a different *weight* to moral rights of private property than other liberals; and, as an empirical matter, libertarians have a greater confidence in voluntary approaches to poverty relief and a greater skepticism about governmental ones. Most libertarians view poverty relief as an important goal. But it is goal that they believe ought to be addressed primarily through economic growth, voluntary charity, and mutual aid. State-based welfare aimed at poverty relief should be, at most, a policy of last resort.

This might seem to leave a large gap between libertarians and non-libertarian liberals. But that gap is more apparent than real, a product of the contingent way that libertarian ideas happened to develop over the last half of the twentieth century. Among academic philosophers, libertarianism is known mostly through the work of Robert Nozick, and Nozick's work is known mostly for its criticism of the left-liberal theory of John Rawls. But the fact that Nozick took pains to emphasize the *difference* between his theory and Rawls' should not blind us to the great degree of *overlap* between them. Both Rawls' theory and Nozick's are, after all, genuinely liberal, individualistic theories that are, in principle, compatible with a broadly capitalist mode of economic organization. In these respects, at least, they are more similar to each other than they are to socialist or communitarian political theories.

Even the remaining *philosophical* differences between Rawls and Nozick regarding, for instance, the extent of the state's duties to the least well-off are not necessarily as *politically* significant as they might appear. In the real world of politics, as opposed to the academic world of political theory, states simply don't devote a lot of resources or attention to action on behalf of the poor. By far the largest items in the federal budget of the United States, for example—military expenditures, social security, and Medicare—have little to do with poverty relief per se.[34] And, indeed, much of what the state *does* do in terms of its redistributive efforts is *regressive* rather than *progressive*, transferring wealth and opportunities *from* the poor and toward the middle class.[35]

Thus, it is a mistake to think of the limits that libertarians wish to put on the state *primarily* in terms of the welfare state. We do not live in a Rawlsian world, separated from a Nozickian one merely by the existence of a few poverty-relief programs.[36] Instead, we live in a world in which states impose licensing requirements on a host of occupations, making it difficult for the poor to support themselves through honest work (see Sandefur 2003). It is a world in which most states impose severe restrictions on immigration, thus restricting the world's poor from moving to nations with better economic opportunities to support themselves and their families.[37] And it is a world in which the state's police, driven by a combination of racism and institutional pressures, are enabled by the war on drugs and a host of petty restrictions to single out the poor and the marginalized for the very worst sorts of coercion of which states are capable (see Alexander 2012). Eliminating these programs might not be a *distinctively* libertarian goal, but it is an *important* libertarian goal and one that many libertarians believe would make a tremendous positive difference in the lives of the poor.

The differences between libertarians and non-libertarian liberals on the issue of state relief to the poor are real. But we should not overstate those differences, nor should we overstate their real-world political significance. Opposition to state-based welfare might be a common characteristic of libertarian thought, but it is neither as *universal* or *defining* a characteristic as has generally been assumed.

NOTES

1. See, for example, Rothbard 1973: 29, 62–3. One of the earliest libertarian statements of this argument can be found in the work of the nineteenth-century abolitionist and anarchist Lysander Spooner. See Spooner 1870: 182–3; 1886: 192–3. Robert Nozick famously held that "taxation of earnings from labor is on a par with forced labor," a somewhat different and more restricted claim (Nozick 1974: 169). For an earlier version of *that* argument, see Spencer 1902: 167–8.
2. Among contemporary libertarians, Ayn Rand is the most well-known advocate of "ethical egoism," a view that commits her to denying the existence of any *basic* positive duties (that is, positive duties that are not ultimately grounded in the agent's own self-interest). Such thoroughgoing egoism, however, is relatively uncommon in the libertarian intellectual tradition. Prior to that, the most prominent example is to be found in the writings of Benjamin Tucker and his circle of "Boston Anarchists," many of whom were deeply influenced by the egoist writings of Max Stirner. See Tucker 2005 and, for a discussion, McElroy 2003.
3. See, for a discussion of economic growth in the context of the libertarian approach to poverty, Brennan 2012: 142–3.
4. See, for a historical discussion, Beito 1999.
5. See Zwolinski and Tomasi 2016: ch.1. For more on the distinction between classical liberalism and strict libertarianism, see Barry 1986; Mack and Gaus 2004; Zwolinski 2008a.
6. Nozick waffles a bit on the absolutism of libertarian side constraints. Within at least a certain range, those side-constraints appear to be insensitive to cost-benefit analysis. Thus, Nozick writes that the libertarian tradition "holds that stealing a penny or a pin or anything else from someone violates his rights. [It] does *not* select a threshold measure of harm as a lower limit" (Nozick 1974: 75). At the same time, Nozick is open to the possibility that side-constraints might give way in cases where respecting them would doom us to "catastrophic moral horror" (Nozick 1974: 30).
7. Unlike Nozick, Rothbard is explicit and unequivocal regarding the absolutism of the prohibition against aggression. See Rothbard 2006: 23, 29.
8. For one argument along these lines, see Arneson 1991.
9. For a sympathetic but critical assessment of Nozick's argument, see Zwolinski 2008b. On Rothbard, see Eabrasu 2012; Zwolinski 2016.
10. To borrow some terminology from Mark Timmons, a theory that denied the wrongness of theft would thereby suffer a severe defect in terms of internal support, one that would have to be made up for by some compensating strength in explanatory power, determinacy, or one of the other standards by which we judge the adequacy of moral theories. See Timmons 2002: 12–16.
11. This example is borrowed from Feinberg 1978: 102.
12. A modification, of course, of Philippa Foot's famous example, first introduced in Foot 1967.
13. It might seem that someone who endorses an absolute prohibition on the forceful appropriation of others' property could nevertheless answer "yes" to these questions, so long as he or she insisted that the person who violates the property right pays full compensation to the victim for the damage done. But making this move actually requires a significant weakening of property rights, in effect converting them from rights protected by a property rule to rights protected by a mere liability rule. Such a conversion allows some individuals to effectively force others to sell their property, whether they want to or not, and at a price that might be significantly lower than what they could have obtained in a voluntary market. See, for a discussion of this issue applied to Nozick's argument in Part I of his Anarchy, State, and Utopia, Mack 2011: 108.
14. See Huemer 2012: 14–7. For a more through defense of this approach, see Huemer 2005.
15. The original source for this experiment is Singer 1972, but see also Singer 2009 for updated versions of the example and an extended discussion.
16. This is my own embellished version of the scenario presented in Huemer 2012: 149.
17. This, of course, was a large part of the famous critique put forward by Charles Murray in Murray 1994.
18. For a discussion of "threshold deontology," see Moore 1997: ch.17.
19. For example, many poverty-relief programs are means tested, meaning that they only provide relief to people whose income falls below a certain threshold. But this means that someone who earns an income that is just below the threshold has a very strong disincentive to take a new job, or work more hours, if doing so means that their income will thereby exceed the threshold and cause them to lose their benefit.

"Welfare cliffs" can thus discourage the poor from doing the one thing that is most likely to help them escape from poverty in a long-term, sustainable way. See Congressional Budget Office 2012.

20. See, for discussion of this problem, Schmidtz 2000.
21. See Nozick 1974–11, 174–82; Rand 1963: 19; Rothbard 2006: 37–40.
22. "God the Lord and Father of all has given no one of his children such a property in his peculiar portion of the things of this world, but that he has given his needy brother a right to the surplusage of his goods; so that it cannot justly be denied him, when his pressing wants call for it…As [48] justice gives every man a title to the product of his honest industry, and the fair acquisitions of his ancestors descended to him; so charity gives every man a title to so much out of another's plenty, as will keep him from extreme want, where he has no means to subsist otherwise" Locke, *First Treatise* (I, 42).
23. The same is true of Adam Smith, who nowhere in his *Wealth of Nations* discusses the issue of government redistribution for the relief of poverty, despite the deep concern for the well-being of the working poor that he evinces throughout that work. See Fleischacker 2004; Viner 1927.
24. The idea of normative individualism is thus tightly connected to Nozick's idea of respect for the separateness of persons. See the discussion in section 3.
25. See, for a discussion, Gaus 2010.
26. Classical liberals will tend, that is, to be *sufficientarians* rather than egalitarians. See Frankfurt 1987.
27. Compare with the far more demanding theories of Rawls 1971; Temkin 1993; Van Parijs 1995.
28. See, for discussion, Barry 1982.
29. A basic income is still a form of coercive, government-run welfare and thus not fully "spontaneous." But to borrow from Charles Johnson's analysis of that concept, it is more spontaneous than most forms of welfare in the sense of being more *polycentric* and *emergent*. See Johnson 2013.
30. For an entertaining legislative history of the EITC, see Moynihan 1973.
31. For a defense of the comparative claim, see Long 2010.
32. That said, the epistemic and practical difficulties involved are enormous. As Auberon Herbert put it in the context of a nineteenth-century debate on the legitimacy of property in land: "[I]f land was taken from Saxon by Norman, it had been previously taken by Saxon from Briton, and by Briton from the long-headed race …[A]ncient history therefore … gives no true title for another taking of the land, since it discloses no true previous title existing anywhere. If property has been stolen, and restitution has to be made, you must be able to show the person from whom it has been stolen, and to whom it is to be restored" (Auberon Herbert, "Reply," in Levy 1890: 70).
33. Herbert Spencer is often thought have changed his mind on the legitimacy of private-property rights in land, moving from a broadly "left-libertarian" perspective in 1851 to a more "right-libertarian" perspective by the time the second edition of *Social Statics* was published in 1892. See, for discussion, Taylor 1992: 246–53.
34. Rhetorically, both Medicare and social security are often justified as providing assistance to those who are unable to provide for themselves. But in both cases, the criterion for eligibility is *age*, not *income*. Both programs thus transfer a significant to percentage of their resources to individuals who are not poor and do nothing to help most individuals who are poor.
35. On the regressive nature of much income redistribution, see Stigler 1970. On the regressive nature of many government regulations, see Horwitz, 2015; Lindsey 2015.
36. My thanks to Jacob Levy for this point.
37. On the economic and philosophical connections between migration and poverty, see Clemens 2011; Huemer 2010.

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Government Failure and Market Failure

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1 Introduction

Collectivist ideals often focus on the just distributions—in relative terms—of fixed endowments of resources. Others, such as Rawls (1971), consider both the relative and absolute levels of primary goods. Under the "difference principle," less equal distributions of resources might be consonant with success if the main beneficiaries are the least well off. Nonetheless, comparison to an ideal distribution, discounting the historical origins of inequality, is the hallmark of collectivist theories.

Many libertarians are skeptical of ideal theories that involve state action, because they think that governments often fail to achieve the goals that proponents claim governments are created to achieve. Some libertarians also praise market forms of organization, sometimes lavishly, in terms that make markets sound perfect. For this reason, opponents of libertarianism sometimes sneer, "If markets are so great, why is most of the world poor?"

The stock answer, "because those poor nations have badly functioning markets," is both partly correct and entirely beside the point. Around the world, what needs to be explained is not poverty, but prosperity. Poverty is what happens when groups of people fail to find, or are prevented from finding, ways to cooperate. Cooperation is in our genetic make-up; social cooperation is a big part of what makes us human. The reason poor countries are poor is that they have bad institutions. Not market failure, but *government*. It takes actions by powerful actors such as states, or cruel accidents such as the total breakdown of state institutions and social order, to prevent people from cooperating.

Paul Light (2014) gives a snapshot of the major failures of the US government, just from the still-young twenty-first century. In his words, the "top five" (there are many more) would include:

- *September 2001 terrorist attacks*: Despite early alerts of the possible threat, al-Qaeda operatives were able to hijack four commercial airliners on September 11, 2001, and

used them as missiles to attack the World Trade Center's Twin Towers in New York City and the Pentagon.
- *2008 Financial collapse*: After years of risky investments and with little regulation, the banking system collapsed under the weight of toxic assets created by risky mortgage loans, poorly understood financial instruments, and a credit crisis that froze the economy.
- *2005 Hurricane Katrina:* Hurricane Katrina made landfall in Louisiana on August 29, 2005, breaching the levees protecting New Orleans; stranding thousands of residents on rooftops, in the Superdome, and on bridges; and freezing the Federal Emergency Management Agency and state agencies.
- *2010 Gulf oil spill*: An explosion on British Petroleum's Deepwater Horizon offshore drilling platform killed 11 oil workers, while the failure of a "blow-out preventer" created a leak far below that lasted 87 days and caused the largest oil spill in history.
- *2004 Abu Ghraib prison abuse*: Prisoners at Iraq's infamous Abu Ghraib prison were abused and humiliated by US guards and contractors, leading to widespread publication of photos from the incident and later reports of similar abuse at the Guantanamo Bay compound.

Rummel (1997) estimates the total "democides" or "government mass murders" during the previous century as being well over 150 million worldwide. And this ignores the cases where states spent all their efforts trying to kill each other in gigantic wars and build-ups of conventional and nuclear weapons.

In this essay, I consider "market failure" and "government failure" and place these two notions in a hierarchy. Most of the truly colossal calamities of human history are government failures; most of the misery and hardships in the world today are the product of failed states or aggressive super-states. It is true that markets fail, in important ways, as I will describe. But even admitted market failures do not imply that state action will be an improvement, because governments also fail. Government failures are worse, and more persistent, than market failure. Frustratingly, solving the problem requires empirical comparison rather than reference to ideal theory.

This essay first considers the orthodox "market failure" paradigm and then describes the types of market failures in detail. Next, I examine the categories of government failure and review their implications. The essay concludes with a discussion of the empirical problem of judging which sort of failure is more likely.

2 THE DOMINANT "MARKET FAILURE" PARADIGM

The economistic approach that dominates much of social science and policy analysis starts with market processes. Market "failures," even hypothetical ones, are theoretical primitives, defined in terms of resource or commodity allocations that are not Pareto optimal. This means that there exists a feasible rearrangement of resources where everyone could be better off, or (more weakly) a rearrangement where at least one person is better off and no one is worse off. Unsurprisingly, Pareto optima are defined as "efficient," because any outcome that is not Pareto optimal implies the waste of resources, since at least one person can be made better off while no one is harmed. Simply put, in the orthodox approach, government failures are always, but only, the failure to correct the failures of markets.

So, the advantage of the "market failure" approach is obvious: It begins with a circumscribed notion of state action; defines "the good" in a way that is—in the minds of proponents, at least—ethically neutral; and then judges market failures as outcomes in which a feasible reallocation would improve the welfare of some while harming no one. The role of government is to effect those reallocations, though in fact the market-failure approach implies the wholesale takeover of some parts of the economy by state-run organizations. Government failure, then, is identified as those outcomes wherein Pareto optimality is still not achieved.

The so-called "Public Choice" extensions of the market-failure approach tend to retain the Pareto optimality standard. The difference is that Public Choice scholars argue that problems of implementation, particularly bad information, perverse incentives, and "agency" problems in bureaucratic delegation, mean that the state will botch things, too. That is, market outcomes may fall short of the idealized Pareto optimality standard, but *actual* market outcomes may still be better than *actual* state action, because state action—like market processes, though for different reasons—falls well short of its idealized potential.

This essay grants that the implementation, information, incentive, and agency problems are likely to thwart the strict application of the "market failure" approach, just as Public Choice scholars argue. But the most important government failures are logically—and likely temporally—antecedent to market failures. In making this argument, I follow the work of Keech and Munger (2015) rather than the standard approach. But this system of categories and varieties of "failures" is convenient and analytically comprehensive as a framework for capturing the wide variety of problems usually listed as market and government failures.

I will begin in the traditional "market failure" language and will review the assumption, the problem, and the implied solution. Then I will turn to two problems with the government failure approach and describe why government failure is more fundamental and hence more worrisome.

3 MARKET FAILURE: PUBLIC GOODS, EXTERNALITIES, INFORMATION, AND ECONOMIES OF SCALE

The definition of market failure requires, as was noted earlier, a particular benchmark. The advantage of this approach is that it provides an Archimedean point against which to compare the outcomes of actual, or simulated, market processes against an ideal.

The benchmarking process uses *competitive equilibrium theory*, or CET, as its animating force. For decades, the question of the properties of the outcome generated by markets was simply conjectured, though the intuition of several early theorists (including Walras, Jevons, and Marshall) indicated a direction.

The problem is generally treated as a matter of coordination, with two aspects, one dynamic and one static. The dynamic question addresses adjustment and reconciliation of surpluses or shortfalls; the static question is more simply about markets clearing. As Düppe and Weintraub put it, "Can there indeed be a set of market prices such that the independent decisions that households and firms make on the basis of those prices clear all markets?" (Düppe and Weintraub 2014: xii).

Consequently, *given* "market" prices—actually just a set of values for all labor—the question is simple: Is the excess demand (a function of prices) in each separate market simultaneously zero? The actions of each separate agent and market participant, in reacting to the relevant prices, causes values in labor, capital, input, and output markets to equal exactly the amounts of those items that everyone else is satisfied to supply or demand at those prices. No individual has a unilateral incentive to change his or her behavior, and the expectation of each agent is fulfilled by the actions of all other agents.

The task of the "market failure" theorist is then to identify the conditions in which proofs are guides to real-world action. The problem is that there is no particular reason to expect that the assumptions have any intuitive or economic content. The response to this problem has been to compromise: Take each of the assumptions, give it the most obvious possible economic interpretation, and then identify the breach of the assumption as a "market failure" (see Ledyard 2008; Weimer and Vining 2010; and others). It is useful to summarize how this approach works in directing practical policy implications.

3.1 Market Failure: Assumptions and Policy Implications

The assumptions of the welfare theorems of CET have many different forms; those that I choose to present here are an amalgam. A simplified version of the list of assumptions (one that does not correspond to the actual mathematical conditions very accurately but which has been translated into economic context) is as follows:

1. All goods are private (rival in production and excludable in exchange).
2. There are no uncaptured or involuntary externalities.
3. There are no important asymmetries of information.
4. All agents are "price-takers," so that no individual agent is large enough to influence price, and the technology of cost is either linear or has diseconomies of scale at low volumes compared to the total volume of market transactions.

To make the explanation clearer, in each instance below, I present (a) the assumption, (b) the violation of the assumption, and (c) the (arguable) public policy implication.

3.1.1 Private Goods

(a) All goods are rival in consumption, and excludable at relatively low transactions cost.

(b) Some goods or services are non-rival in consumption and effectively non-excludable. The consequence is that a purely self-interested person would either "free ride" (if some of the public good is provided by someone else) or rationally choose not to take the "chump's payoff" (if no one else provides the public good, no individual can produce enough to affect the outcome, though that individual can dissipate all his or her resources in the wasted effort).

(c) Such activities are "public goods" and cannot be produced profitably at a price equal to marginal cost. By that logic, state action may be necessary to provide, and fund, public goods such as national defense. Everyone is better off—a Pareto improvement—if everyone contributes and enjoys the optimal amount of the public good.

There are problems with this formulation. For one thing, markets, and voluntary action of various kinds, often provide public goods (Coase 1974; Ostrom 2005). The second, and larger, problem is that the solution itself fails. The "everyone contributes" and "optimal amounts" caveats are rarely, and perhaps never, met by actual state action. Given that tax burdens are distributed inequitably and public goods are likely to be over- or under-produced, the existence of an imagined improvement over an imagined failure is a weak justification for state action.

3.1.2 No Externalities

(a) All transactions completely internalize the costs and benefits of that exchange.
(b) Many exchanges impose "external" costs or benefits on other parties, either without their consent (meaning such "bads" as pollution are inefficiently over-produced) or without their fully compensating the producer (meaning such "goods" as education are inefficiently under-produced). In effect, this simply means that people who need not pay the full costs of dumping chemicals or pollutants, or who can't capture the full benefits or value that they create, will not choose the optimal level of the activity. If the gains to those who suffered the externality exceed the losses to whoever was causing the externality, internalizing the externality means that everyone is better off—a Pareto improvement.
(c) The state can "internalize" externalities through a system of taxes (on negative or harmful externalities) and subsidies (encouraging positive or beneficial externalities). The problem with the "externalities, therefore state action" approach is that it assumes that "size" of the transaction is fixed, where adjustments in economic arrangements (Coase 1937; 1960) can often internalize what would otherwise be an inefficient external effect. On the flip side, there is little reason to believe that the "size" of the state jurisdiction corresponds very well to the extent of the externality (Ostrom 2010), so that a county in Montana has difficulty negotiating an agreement with a municipally owned coal-fired power plant in Cleveland. The problem is not *markets*; the problem is matching the property and enforcement nexus with the extent of the problem.

3.1.3 All Agents Possess All Relevant Information

(a) In principle, there are "thick" markets in all commodities, including in information and in futures, meaning that price information contains all relevant information.
(b) In practice, most complex exchanges (for example, for an automobile) or contracts (for example, employment contracts that stretch over months or years) are extremely costly to specify completely. Instead, information is likely to be asymmetric, often with the seller (for example) having far information about the actual quality of the car being sold than the buyer has. But then many mutually beneficial exchanges do not take place, because buyer and seller cannot trust each other. If buyers can be assured of the quality of the goods or services being sold, sellers can sell far more and buyers are happier also—a Pareto improvement.
(c) In severe cases, this "lemons" problem can lead to the breakdown of markets, with high quality items hoarded and never available for sale, because sellers lack a means of securing the true value of the commodity since buyers cannot tell quality items from lemons and will offer only the average price across all the indistinguishable goods.

Thus the state can act as guarantor of quality, requiring "30 day no fault returns," warrantees or information such as nutrition labels on food. In fact, facing a lemons problem, producers themselves might favor such regulations because otherwise asymmetric information makes it effectively impossible to sell high quality products. It would appear that the state would have an obvious role in providing information and licensing services as a device for assuring quality. But the state has only weak and deficient abilities to gather reliable and accurate information in the absence of prices. Worse, the state's incentive to protect competition and consumers, instead of powerful organized producer interests, is suspect (Larkin, 2010). That is, the state lacks both the ability and desire to provide accurate information. Worse, reliance on state certification may give consumer a false sense of security while restricting innovation.

3.1.4 All Agents Are "Price-Takers"/No Extreme Economies of Scale

(a) All agents are "atoms" in the system, with none large enough to influence price through selling or buying. And production technology is such that this condition is stable, so that if one firm achieves large scale, it does not enjoy extreme cost advantages, making the industry a "natural monopoly."
(b) Many firms on the "sell" side and some units on the "buy" side are large enough that they can determine, or at least influence, price. Further, to the extent that products or services are differentiated, units make unilateral pricing decisions. The result is that firms engage in monopoly pricing, restricting output to the point that marginal cost equals marginal revenue. In extreme cases, a single monopoly firm would charge far higher prices and produce far less output than the "Pareto optimality" rule of price equals marginal cost.
(c) The state can use antitrust policy to break up "market power" when it occurs. And in instances—economies of scale, such as for electric utilities—where the optimal number of firms in an industry is one for cost reasons, the state can regulate the monopoly or operate it as a "public utility."

This market-failure approach has obvious value in considering unregulated markets as a policy prescription. But as I have noted several times, there are two obvious problems. The first is that starting with "market failure" assumes that many important decisions have been settled, and many important institutions established, in the background. Much of what we think of as the "state"—in fact a system of governance, which may or may not involve a coercive traditional state—must be in place and operating smoothly before market processes can operate. The absence of defined and enforceable property rights can certainly cause markets to fail, but no one would call that a market failure. To the contrary, as we will see in the following section, the failure to establish property and the enforcement of rights is a state failure. A more fundamental understanding of this problem is offered in the framework outlined by North *et al*. (2009).

4 GOVERNMENT FAILURE: SUBSTANTIVE, PROCEDURAL, AND BEHAVIORAL

Governance comes before markets. State actions, or failures to act, can destroy market institutions or prevent them from being built in the first place. What is required is not ideal theory but an informed comparison. This is hardly an original observation, of course. Coase (1964: 195, emphasis added) famously argued:

> [Market failure theory] has directed economists' attention away from the main question, *which is how alternative arrangements will actually work in practice*. It has led economists to derive conclusions for economic policy from a study of an abstract of a market situation. It is no accident that [economists] find a category "market failure" but no category "government failure." Until we realize that we are choosing between social arrangements which are all more or less failures, we are not likely to make much headway.

Demsetz (1969: 1, emphasis in original) called this kind of comparison the "nirvana" fallacy:

> The view that now pervades much public policy economics implicitly presents the relevant choice as between an ideal norm and an existing "imperfect" institutional arrangement. This nirvana approach differs considerably from a *comparative institution* approach in which the relevant choice is between alternative real institutional arrangements. In practice, those who adopt the nirvana viewpoint seek to discover discrepancies between the ideal and the real and if discrepancies are found, they deduce that the real is inefficient. Users of the comparative institution approach attempt to assess which alternative real institutional arrangements seems best able to cope with the economic problem; practitioners of this approach may use an ideal norm to provide standards from which divergences are assessed for all practical alternatives of interest and select as efficient that alternative which seems most likely to minimize the divergence.

Even staunch defenders of the orthodox "market failure implies state action" paradigm recognized the potential shortcomings of the "state should do it!" policy response. A prominent example is Arthur Pigou, a leader of the Cambridge School movement to expand government regulation of the market. But he was far from naïve about the dangers of government action (Pigou 1912: 247–8):

> It is not sufficient to contrast the imperfect adjustments of unfettered private enterprise with the best adjustments that economists in their studies can imagine. For we cannot expect that any State authority will attain, or even whole-heartedly seek, that ideal. Such authorities are liable alike to ignorance, to sectional pressure, and to personal corruption by private interest. A loud-voiced part of their constituents, if organized for votes, may easily outweigh the whole.

Later, in "State Action and Laissez-Faire," Pigou (1935: 124) again sounded a note of caution:

> In order to decide whether or not State action is practically desirable, it is not enough to know that a form and degree of it can be conceived, which, if carried through effectively, would benefit the community. We have further to inquire how far, in the particular country in which we are interested and the particular time

> that concerns us, the government is qualified to select the right form and degree of State action and to carry it through effectively.

As was discussed earlier, the Public Choice approach has largely focused on the sorts of problems Coase, Demsetz, and Pigou identify as problems in the passages above. Public Choice questions the use of the market failure paradigm to justify government action, identifying reasons why the state will do no better and may do worse. But government failure goes deeper than this, starts sooner, and is more dangerous. Keech and Munger (2015) divided these deeper problems into *substantive* and *procedural* government failures.

- Substantive government failures mean that the state has failed to carry out the basic functions that justify political authority in the first place.
- Procedural failures represent problems of state action that are every bit as organically part of the state as market failures are part of markets.

What this means is that "government failure" can be, and in fact for analytical reasons must be, placed on the same plane as market failure. Government failure does not mean "leave it to the market" any more than market failure means "the state should fix that." Actual market processes must be compared with an unromanticized, realistic view of actual government processes, on a case-by-case basis.

4.1 Substantive Government Failure

The most common justifications for political authority involve a version of the Hobbesian "war of all against all," meaning that in a state of nature—absent a state—lives of meaningful moral or practical self-realization are impossible. In economic terms, this means that states can solve collective action problems where, paraphrasing Hobbes, each person agrees to give up precisely those rights he or she would want others to give up, and the state acts to enforce this agreement. The actual justifying mechanism might be a social contract, a rational consensus, or even crude consequentialism based on a Prisoner's Dilemma kind of logic. But in all cases, the obligation or duty to obey incurred by citizens/subjects is contingent on the state actually carrying out its obligation to solve collective action problems and provide public goods of a very fundamental nature.

These "public goods" are different from the sort envisioned by market failure theorists. A system of law, property rights, police protection, and control of territory to defend citizens from aggression are the minimal kinds of "public goods" one might enumerate here. The difficulty, as Vincent Ostrom (1980) famously said, is that there is no other inequality as extreme or immutable as the power of the ruler over the ruled. Market failures pale by contrast in terms of their impacts on people's lives. People who live in an under-governed area such as Somalia or an over-governed country such as North Korea worry simply about survival and staying out of prison.

This leads us to the substantive government failures, which might be summarized as the failure to solve collective action problems, which in turn means the failure to achieve Pareto optimality. As with market failures, I present (a) the assumption, (b) the violation of the assumption, and (c) the (arguable) public policy implication.

4.1.1 Absence of Order

(a) The state must protect citizens from each other, from foreign aggressors, and from itself.

(b) The "comparative advantage in the legitimate use of force" is inherent in the notion of a state itself because of the economies of scale in the provision of military and police power.

(c) If the state collapses, becomes corrupt, or too intrusively dominates the lives of its citizens, little else matters. Market failure is a moot point, because this form of government failure is catastrophic. In fact, what we now think of as a failed state is simply Hobbes's condition of war. It is not necessary that everyone is actually fighting; rather, the necessity of constantly preparing for attack or defense is what makes life "nasty, brutish, and short." Citizens are justified, morally and practically, either to revolt or to try to reform state institutions peacefully.

The claim is not entirely hypothetical. The streets of Mogadishu in Somalia have little formal law enforcement. The "foreign" *banlieues* of Paris operate under a legal system that is nearly separate from the law in "French" Paris. After Hurricane Katrina, it took nearly two weeks to restore anything approaching civil order in New Orleans. The state of nature is not a realistic original position for state formation, but it is an obvious and well-understood destination for failed states.

4.1.2 Abuse of the Public Purse

(a) In the "consent" or "social contract" versions of justifying state authority, which are closest in spirit to the "market failure" approach, the state provides public goods and services at an optimal level implied by the Lindahl Equilibrium solution (Lindahl 1958 [1919]).

(b) Given the power asymmetry between ruler and ruled and the difficulty of control in the sense of principal–agent relations, state actors—who, after all, are just as human as anyone else—may choose a spending mix and levels of spending that reflect their own self-interest, their own conception of the public interest, or a negligently inaccurate vision of the public good. They may incur debt and use tax and spending policies that reward their friends and punish their enemies.

(c) There is simply no reason to expect that actual human actors will make choices that correspond to the idealized "solve all collective action problems" envisioned by proponents. The budget is a commons and will be "overfished" in the same way fisheries and forests will be used inefficiently in the economic sphere. The public policy implication is that budgets will generally be too large and resources underpriced (because of subsidies and political pressures for lower prices), resulting in wasted resources.

4.1.3 Transactions Costs

(a) In addition to providing order and basic services, the state creates (or fails to create) certain pre-conditions for private voluntary arrangements that capture gains from collective action.

(b) In fact, there are three kinds of generic failures of state action that substantially increase transactions costs and prevent cooperation from happening. These are (i) corruption, (ii) agency loss, and (iii) rent-seeking.

(c) Some levels of all three of these “frictions” are inevitable in a system where monitoring and enforcement are costly. But this means that many, and possibly more than all, of the “benefits” of state action to correct market failure may be dissipated in the ponderous machinery of government “solutions.” The public policy implication is that we expect extensive record-keeping, licensing, and compliance costs to serve as entry barriers to new business and the blocking of innovation as a way of protecting entrenched corporate interests and labor practices.

It is useful to offer an additional brief definition of each these three “frictions,” or transaction-costs problems, of government action.

(i) Corruption: Corruption is usually defined as the use of public office or state power for private gain. It can take the form of “hold-up” (refusing to grant a permit, or sign a form, etc.) without some gift or bribe, or it can take the form of outright extortion where threats of violence are used to elicit the bribe.

(ii) Agency loss: Even if the state has somehow identified the correct course of action, the arrangement for settling details and implementing the policy is subject to agency slippage. “Agency” problems (and it is no accident that government units are often called *agencies* in English) arise from the problem that the incentives facing agents are imperfectly, and perhaps badly, matched with the goals of the superior or the charter of the unit. Agency loss can take the form of a waste of resources, but it can also be manifested as having an activist unit choose policies or actions that are inconsistent with the supposed goals of the unit.

(iii) Rent-seeking is the loss imposed by competition for an artificial, fixed prize. Government grants and subsidies, ranging from Housing and Urban Development (HUD) grants to social security disability stipends, are entitlements, meaning that those who “qualify” receive them. So the competition to qualify is very important. Individuals, local governments, and other entities will each be willing to dissipate a substantial part of the expected benefit to secure the rent. If a substantial part of the wealth of the society is distributed in this way, much of the creative effort and talent of the nation can be diverted from productive activity to rent-seeking, with the cost being the production and investment foregone as a result.

One obvious example has been the regulation requiring a five-man crew (McIntyre 1959) on rail services in the United States: engineer, fireman, conductor, and two brakemen. The presence of two brakemen was made obsolete by hydraulic brakes, which lock if a line leaks. Still, redundancy might be defended. The remarkable thing was the required presence of a fireman to manage the coal and boilers; diesel engines, not coal locomotives, have been the standard since 1937. The requirement of five-man crews substantially increased the costs of rail and freight service, in effect encouraging the substitution of trucks and other transport. As a result, the United States has a very weak and underdeveloped rail system as a direct consequence of increased transactions costs imposed by politically motivated regulation.

4.2 Procedural Government Failure

Suppose a state—or some system of governance, one that may or not be a state in the traditional sense—has established basic order, adopted a budget process, and established the pre-conditions for capturing gains from collective, cooperative action. At this point, the "constituted" political entity must choose procedures for *making choices* and *implementing policies*. Any such procedure or mechanism must have some means of discovering information, aggregating that information, reconciling disagreement in such a way that even those who do not get their way are satisfied with the result, selecting a policy or course of action, and then implementing that action.

The central reason why government procedures, like market processes, fail is problems with information and incentives. The notion that when markets fail, states should act is based on a false premise: information objectively exists, but markets for some reason fail to use that information efficiently. The state can simply move in and correct the situation using the accurate information available to the state. But the "knowledge problem" is a problem of human action, not just of market process. As F. A. Hayek (1945) put it:

> The peculiar character of the problem of a rational economic order is determined precisely by the fact that the knowledge of the circumstances of which we must make use never exists in concentrated or integrated form but solely as the dispersed bits of incomplete and frequently contradictory knowledge which all the separate individuals possess. The economic problem of society is ... a problem of the utilization of knowledge which is not given to anyone in its totality.

Human beings have great difficulty "testing" the effectiveness of state action because of this lack of information. The reason humans fall back on ideologies is that our beliefs about state action are ideal theories in empirical situations where evidence is unclear and causation is complex. As Douglass North put it:

> There is no feedback mechanism for judging rules and institutions, other than the fact that those are "our" rules and institutions. How could a large group of people choose good rules, preserve those good rules by punishing deviants, and yet somehow also move to *better* rules with which they have no experience or knowledge?

Thus, while the problem is empirical, it is very difficult to imagine groups of human actors being able to acquire the perceptual distance needed to be objective about making the choice. Ideal theory is a poor guide, but empirical investigations are likely to fail due to the lack of accurate feedback about the performance of institutions compared to other feasible arrangements.

It is useful to invoke a specific example in this discussion as a means of clarifying the nature of the problem. It could be something simple in response to a market failure like carbon emissions: Should we put a tax of X amount on carbon emissions?

The point of procedural government failure is that there is no ideal procedure. All government procedures fail, just like markets, though for different reasons. There are four categories of government discovery procedures: (1) voting/democracy, (2) interest-group pluralism, (3) negotiation, and (4) cost–benefit analysis. Some version of these, or a mix, is used in all government programs and policy implementations. And all fail.

4.2.1 Voting and Democracy

(a) Within limits established by the constitution and protected from majority encroachment, enfranchised individuals use their own information to select from among possible alternatives by voting, with the most popular alternative being selected.

(b) Voters have limited information, and limited incentive to acquire accurate information, about alternatives. Participation likely is based on other factors, such as a sense of duty to vote at all rather than interest in the particular issue or election. Worst, democratic power is impossible to contain, because ultimately, majorities can choose what majorities decide.

(c) The problem with prices, in the face of an externality such as carbon emissions, is that we lack the information to value resources. The result is that we "overuse" the common resource, in this case, the atmosphere. But as Brennan and Lomasky (1993) argue, every informational problem in consumers is even worse in voters; no one knows the correct value of resources. And voters lack even the feedback that one would get in a private purchase; different cars, or computers, are suited for different people. Public policies are chosen by people who know little, can't judge outcomes, and have incentives to vote based on emotion or whims.

4.2.2 Interest Group Pluralism

(a) Majority rule fails to account for intensity of preference, because every person gets a vote regardless of whether they actually care. Interest-group pluralism relies on group action, rather than votes, to register the desires of the public.

(b) Group size and the intensity of group lobbying and political action do not actually represent intensity of preference. As Mancur Olson (1965) showed, group organization may derive from historical accident or the use of selective incentives that are irrelevant to the group's actual political goals. There is no necessary relation between group action and "real" policy goals of the electorate. In fact, it is quite possible that smaller, better-organized groups impose enormous externalities on the larger public, which is unable to counter-organize effectively.

(c) The policy implication is that interest groups, in dominating the political process, block majority preferences but do so without the compensating benefit of representing intensity. Instead, the expectation is that policy will be selected to advantage groups that expect concentrated benefits internally with costs spread out over a much larger group. This is true, unfortunately, even if costs to the larger group, in the aggregate, are much larger than the benefit to the advantaged interest group.

In terms of our example, the proposed tax on carbon emissions is likely to be turned into a subsidy if coal, gas, and oil producers and workers are able to organize. The benefits to the environment, and therefore to individual voters, are small and diffuse. The benefits to corporate and labor interests are concentrated. An examination of the actual array of subsidies offered to fossil-fuels industries (Blast *et al.* 2015) is remarkable if the benchmark one employs is the idealized Pareto criterion. The problem is that organization costs, in large groups, transform interest-group activity into something else, which Olson (1965: 35) called the "surprising tendency for the exploitation of the great by the small." Interest groups cause political solutions to fail catastrophically.

4.2.3 Negotiation

(a) One way in which groups, especially small groups, arrive at agreements is to use negotiation. Unlike voting or interest group formation and lobbying, there is no formal mechanism for aggregating information. But a variety of optimistic claims have been made for negotiation, or deliberation, as a means of fostering cooperation and good outcomes. Negotiation and deliberation seek to involve reason and persuasion in the process, along with the sharing of information.

(b) Negotiation may work for very small groups with homogeneous members and shared goals. But transactions costs can derail it or prevent it from working effectively. Deliberative democracy relies also on small groups and the essential "reasonableness" of participants to concede points even though they disagree with the implications.

(c) The model for negotiation and deliberation is the New England "town meeting." The group is small, they have lived together (and will continue to do so) for decades, and they have a shared stake in the choices they make. Further, the "size" of the decisions the town makes matches the extent of the policy jurisdiction. It is difficult to imagine how a nation, or even a state or province, could have a meeting and deliberate about a carbon tax. The stakes are high and goals diverge, no one has information about the value of the effect, and the demands of those damaged by the tax would be hard to judge. At any sort of useful scale for dealing with "large" issues such as air pollution, negotiation will quickly devolve into interest-group pluralism and therefore will suffer from the problems outlined above.

4.2.4 Cost–Benefit Analysis (CBA)

(a) CBA starts with *standing*, or deciding which "costs" and "benefits" to count and how to value them. If there are costs of moving from one alternative (status quo) to another (proposed new policy), the costs to the losers are added up and the benefits to the gainers are added up. If the gains exceed the losses, then the "higher valued" alternative is selected. The rationale is that the higher valued alternative is a *potential* Pareto improvement, since the gainers could compensate the losers and still come out ahead. CBA requires only that the compensation could be made *in principle*, not that actual consent be obtained. As Munger (2014) notes, there are a variety of problems with finessing consent this way.

(b) The estimate of costs and benefits are fraught with conflicts of interest and sensitivity to assumptions such as discount rates and willingness to pay. Further, the fact that no actual consent is required means that policies that impose significant harm on a few can be chosen for reasons that have more to do with interest-group politics than actual scientific measurement. The real problem is that CBA veils political power behind a curtain of "science," giving technocrats power to impose biases or ideological programs.

(c) In some policy areas, such as the construction of public works such as roads or dams, CBA can be quite useful and perhaps indispensable. But the problem is that there is no incentive-compatible "discovery" process for valuing resources analogous to prices in private markets. Technocrats face the same "information problem" as market actors in settings where resources are common pool and price information is lacking. But technocrats face an additional problem because, in democracies at least, it is difficult (and perhaps immoral) to insulate power from democratic control. If technocrats get their instructions from voters or legislatures dominated by interest groups, then the problem morphs into the democratic voting or interest-group pluralism problems discussed above. It is tempting to invoke the priesthood of expertise, of course, a solution to the problem that dates back at least to Plato and comes to us through Weber by way of Mussolini. There are examples, as in modern Singapore, of technocracy controlled by a benign dictator working. But unless one is willing to advocate for a suspension of democracy, the results are unprotected by the other procedural failures.

In the case of our carbon tax example, the intervention of bureaucracy (in the United States, the Environmental Protection Agency or EPA) has shown systematic evidence of blatant political interference and tampering. Numerous attempts by the EPA to impose restrictions on coal mining or the use of coal in power plants were blocked by the coalition of coal producers and labor. Even more remarkably, new restrictions on emissions had "grandfathering" provisions (Ackerman and Hassler 1981) that allowed areas with large emissions to continue to pollute, insulating coal interests from the costs they imposed on the environment.

5 CONCLUSION

The "market failure" approach in economics and policy analysis starts with a set of assumptions about an ideal theory, the "theory of perfect competition." The violations of the core assumptions of this theory—private goods, no externalities, full and symmetric information, and atomistic agents—then form the market failures that justify state intervention. Public goods such as defense require state production, externalities such as pollution require regulation, asymmetric information requires licensing and regulation, and monopolies require state oversight.

There are two problems with that simplistic approach, as has been pointed out repeatedly in this essay. The first is the "Public Choice" objection: While it is true that markets are imperfect, states are imperfect also. There are a wide variety of government failures that may be as bad, or worse, as admittedly imperfect market processes.

The second objection is more fundamental: The role of the state conceived in the market failure approach is impoverished and superficial. The failures of the state are more fundamental than market failure, because states create (or fail to create) the context in which markets operate.

Consequently, the categories of "government failure" outlined here do more than simply parallel the market failures in terms of the non-achievement of Pareto optimality. The first set of categories are procedural government failure or an inability to achieve basic order, control access to the purse, and reduce transactions costs through a system of property rights and enforcement. The second set of categories are procedural and identify difficulties that states face in making choices and implementing those choices.

The conclusion of the essay is intentionally equivocal. Putting state failure in the balance with market failure allows a comparison, case by case, with reference to particular circumstances and empirical facts. The main conclusion, however, is not equivocal: The most important failures of history are, without exception, government failures. The capacity of markets to fail is circumscribed by the liberty that participants have to innovate new institutions and new mechanisms to capture the gains of cooperation. State failure can be catastrophic and yet persistent. Theorists intent on justifying state powers must deal with state failure if they are to be able to make a persuasive case.

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25

Freedom and Knowledge

Ilya Somin*

In order to make good policy, governments need to acquire information and make effective use of it. All too often, however, they fail at this task—sometimes disastrously so. The knowledge problems facing the modern state are not just the product of the foibles of individual political leaders and parties. To a large extent, they are systemic and deeply rooted. Their ubiquitous and often intractable nature strengthens the case for limiting and decentralizing the powers of government.

Most advanced industrialized societies are democracies, and today there is a near-total consensus among political theorists that democracy is superior to other forms of government. While democracy does indeed perform better than dictatorship on many indicators (Halperin *et al*. 2010), it also creates serious knowledge problems. Those flaws strengthen the case for libertarianism or at least for limiting and decentralizing government power more than we would otherwise.

In order for democracies to make good decisions, voters have to be at least reasonably well informed and make effective, unbiased use of the information they learn. But, as Part I of this chapter explains, most voters are in fact "rationally ignorant." They have very little incentive to acquire political information, and most choose not to make more than minimal efforts to do so. In addition, they also tend to be highly biased and illogical in the way they evaluate the information they do know. Often, voters do not know even very basic information or fail to draw very simple inferences from it. Such ignorance and bias greatly undermine the quality of political decision-making, at least in so far as it is influenced by voting and public opinion.

Some supporters of a strong activist state recognize that voter ignorance is a serious problem and therefore argue that more power should be concentrated in the hands of expert government planners and bureaucrats, who should be at least partly insulated from political pressure (e.g. Breyer 1993; Sunstein 2002). But, as we shall see in Part II, even the most expert public officials have serious knowledge problems of their own. While they are rarely ignorant of very basic information of the sort that often eludes voters, they often lack the sort of knowledge needed to determine whether various regulatory tradeoffs are actually worth their cost or not. In the absence of data generated by market prices, they often have no good way to assess the costs and benefits of their interventions.

Part III explains how voter ignorance and planner ignorance are mutually reinforcing problems. As a combined whole, they are even worse than the sum of the parts. Because of voter ignorance, the public is often unable to effectively monitor government officials and sometimes gives them incentives to misallocate resources or pursue harmful policies that are popular because they look effective to ignorant voters, even though they actually are not. Conversely, the inability of rationally ignorant voters to monitor large, complex government programs effectively often creates perverse incentives for politicians and bureaucrats and facilitates "capture" by organized interest groups.

Finally, Part IV explains why information problems are often better addressed in markets and civil society than they are under either democratic or bureaucratic political decision-making. When people "vote with their feet" in the private sector or in choosing what regional or local government to live under, they have much stronger incentives to acquire needed information and evaluate it logically than they do when they vote at the ballot box. Furthermore, the market price system gives private sector actors better information on the costs and benefits of various tradeoffs than is usually available to government planners.

Information problems are far from the only factors that must be considered in assessing the appropriate size and scope of government. Moreover, there are some situations where the state's informational shortcomings are relatively modest and will not significantly impede good decision-making. Overall, however, the informational deficiencies of modern government strengthen the case for limiting its powers. The problem of political ignorance can be mitigated by leaving more scope for individual freedom.

1 THE PROBLEM OF VOTER IGNORANCE

Democracy is the dominant form of government among the world's advanced industrialized nations. And, if there is one thing that mainstream Western political theorists agree on, it is that this is a good thing. Foremost among democracy's various advantages over other forms of government is its ability to force political leaders to be accountable to public opinion. If the government adopts policies that the people dislike or otherwise harms their interests they can always "vote the bastards out."

But this very accountability can become an Achilles' heel for democracy if the voters make their decisions based on ignorance and irrationality. In that event, accountability to the public might actually harm the people rather than benefit them. Unfortunately, extensive evidence indicates that voter ignorance is an all-too-common phenomenon.

1.1 The Extent of Voter Ignorance

Decades of survey data show that the public is often ignorant even of very basic facts about government and public policy, such as which officials are responsible for which issues or which party is in control of which branch of government. (For overviews, see, e.g., Shenkman 2008; Somin 2016: ch.1; Delli Carpini and Keeter 1996; and Althaus

2003.) Just before the recent 2014 congressional election, for example, polls showed that only 38 percent of Americans knew which party controlled the Senate before the election, and the same number knew which one controlled the House of Representatives (Somin, 2016: ch.1). Such ignorance is not confined to the United States. It is also common in other democracies. A recent study by the British polling firm Ipsos MORI found that survey respondents in 14 democracies systematically get basic facts about politics wrong, including greatly overestimating the crime rate, the unemployment rate, and the percentage of immigrants in the population (Ipsos MORI 2014).

Widespread political ignorance is not of recent vintage but has been observed for many decades, as far back as we have modern public-opinion data (Somin 2016: ch.1; Delli Carpini and Keeter 1996). However, it is noteworthy that information levels have stagnated even as educational attainment has increased, IQ scores have gone up, and modern electronic media have made information more readily available than ever before in human history (Somin 2016, ch.1). This suggests that widespread political ignorance is not easily remediable.

The problem of ignorance is exacerbated by the enormous size, scope, and complexity of modern government. In the United States and most other advanced democracies, government spending accounts for some 40 percent of GDP, and the state also regulates an extraordinarily wide range of activities (Ibid.). Even if voters paid significantly more attention to politics than they do at present, they might still not be able to keep track of more than a small fraction of the activities of modern government, or hold political leaders effectively accountable for them (Ibid., ch.1).

Current levels of political knowledge in the United States (and probably in most other democracies) are far below what is required by standard normative theories of democratic participation. It is not surprising that they fall short of the standards of relatively demanding theories, such as deliberative democracy. But it is notable that they fall short of even relatively modest ones, such as "retrospective voting," which requires only that voters be able to reward or punish incumbents for their performance in office (Somin 2016, ch.2; cf. Kelly 2012).[1]

1.2 Rational Ignorance and Rational Irrationality

Widespread voter ignorance is not primarily the result of stupidity, lack of education, or lack of information. If it were, public knowledge levels should have increased substantially over the last few decades as IQ scores, education levels, and the ready availability of information all went up. In reality, most political ignorance is probably the result of rational behavior by individual citizens.

Imagine that your only purpose in acquiring political knowledge is to be a better voter. That gives you very little reason to devote more than minimal time and effort to the task. The likelihood that your vote will make a difference to the outcome of an election is infinitesimally small—about 1 in 60 million in an American presidential election, for example (Gelman *et al.* 2012).[2]

In a world where we have many other demands on our time, it will usually make sense to prioritize other objectives over acquiring political knowledge—even if you are an altruist strongly committed to improving societal welfare and not just your own.[3] Former British prime minister Tony Blair notes that "most people, most of the time, don't give politics a first thought all day long. Or if they do, it is with a sigh…, before going back to worrying about the kids, the parents, the mortgage, the boss, their friends, their weight, their health, sex and rock 'n' roll" (Blair 2010: 70–71). As Blair points out (ibid.), such behavior may be difficult for politicians and others with a strong interest in politics to appreciate. But most citizens simply do not have much of a taste for following the details of government policy, especially when doing so competes with other activities that have a greater likely payoff or are more entertaining.

Admittedly, there are cases where voter ignorance can actually improve the quality of political decision-making rather than make it worse. For example, ignorance might prevent an electoral majority with evil values such as racial or religious intolerance from effectively monitoring the government to ensure that their preferences are fully implemented.[4] But cases where ignorance promotes bliss are likely to be the exception rather than the rule, and even many of them arise only because ignorance in one field helps offset the impact of ignorance in others (Somin 2013: 59–60). The electorate would have done better if it were more knowledgeable on both dimensions.

In addition to having little incentive to acquire political information in the first place, most voters also have little or no motivation to evaluate what they do learn in an unbiased way. Careful evaluation of evidence takes time and cognitive effort, and most of us have little reason do it when it comes to sifting political information (Caplan 2007).

Ironically, effective evaluation of political information may be particularly challenging for the minority of voters who have a genuine interest in it and therefore learn far more than most of their fellow citizens. As a general rule, such people acquire their relatively extensive knowledge for reasons other than making better choices at the ballot box. After all, being a good voter is a very weak incentive, one easily swamped by stronger motives.

Just as sports fans enjoy learning about their favorite teams and cheering them on against the opposition, irrespective of whether they can influence the outcome of games, so "political fans" enjoy learning about their preferred ideologies, candidates, and parties regardless of whether they can influence electoral results (Somin 2013: 78–79). Unfortunately, people who acquire political information for the purpose of enhancing their fan experience often process new data in a highly biased away, overvaluing any evidence that supports their preexisting views and undervaluing or ignoring anything that cuts the other way (Ibid.: 79–81; Taber and Lodge 2006; Kahan *et al*. 2013). Those most interested in politics also have a strong tendency to discuss political issues only with those who hold similar views, and they follow political news only in like-minded media (Mutz 2006: 29–41).

Such behavior would be irrational if the goal were to find the truth. As John Stuart Mill famously pointed out, a rational truth-seeker should make a special effort to consult information sources with viewpoints different from his or her own (Mill, 1975 [1859], 36). But it makes perfect sense if the goal is not truth-seeking but entertainment, validation of one's preexisting views, or a sense of camaraderie with fellow political fans. Economist Bryan Caplan calls this phenomenon "rational irrationality" (Caplan 2001; 2007). When the goal of acquiring information is something other than truth-seeking, it may be rational to be biased in the selection of information sources and in the evaluation of new information that is learned.

1.3 Information Shortcuts and the Miracle of Aggregation

Some scholars argue that we need not worry much about public ignorance because voters can make up for their lack of more detailed knowledge by relying on information shortcuts—small bits of information that can be used as stand-ins for larger bodies of knowledge.[5] Others claim that, in a large enough electorate, ignorance-induced errors cancel each other out, and the electorate as a whole can benefit from a "miracle of aggregation" that enables it to make good collective decisions even if most individual voters know very little (e.g. Wittman 1995; Converse 1990; Landemore 2013; Surowiecki 2004). The aggregate information available to the entire electorate is far greater than that available to any individual member.

I have criticized both shortcut and aggregationist defenses of voter competence in greater detail elsewhere. (See Somin 2013: ch.4; Somin 2014; Somin 2016: ch.4.) Here, I will only briefly summarize their major flaws: the need for preexisting knowledge to use shortcuts properly, the failure to properly account for rational irrationality, and the nonrandom distribution of ignorance-induced errors.

In order to use shortcuts effectively, voters often need to know at least some basic information of which they are all too often ignorant. For example, one of the most widely used shortcuts is "retrospective voting," the idea that voters can make good decisions simply by voting against incumbents if bad outcomes occur on their watch (e.g. Fiorina 1981). But effective retrospective voting requires voters to know which outcomes incumbents actually have control over. Otherwise, they are likely to end up rewarding and punishing officeholders for events the latter did not actually cause.

Sadly, this is exactly what happens in most real-world elections. The biggest determinant of electoral outcomes is often the short-term performance of the economy. Yet incumbents rarely have much control over that variable, which ensures that voters routinely reward and punish governments for economic outcomes they did not cause (Leigh 2009; Achen and Bartels 2016). Voters also often reward and punish political leaders for other events they have little control over, such as droughts, shark attacks, and even victories by local sports teams (Somin 2013: 100–1; Achen and Bartels 2004b).

Some information shortcuts that voters rely on seem downright frivolous. For example, studies find that superior physical attractiveness is a major electoral boost for candidates, even though there is no reason to believe that relatively attractive politicians make better policy than more homely ones (King and Leigh 2009; Todorov *et al*. 2005).

A second major flaw of the case for shortcuts is that their advocates implicitly assume that voters choose shortcuts on the basis of their truth-seeking value. In reality, however, shortcuts are often selected for reasons other than their accuracy, such as their entertainment value or their ability to reinforce the voter's preexisting views. Rational irrationality affects voters' choice of shortcuts just as it affects their evaluation of other kinds of information. To take just one example, some argue that voters can make up for their own ignorance by relying on the views of better-informed "opinion leaders" (e.g. Lupia and McCubbins 1998). A voter who sought to use this shortcut to get at the truth would try to select opinion leaders with extensive expertise and a track record for making accurate predictions about the effects of public policy. In reality, however, the most popular opinion leaders are usually not insightful policy experts but pundits and demagogues whose skills lie more in their ability to entertain and validate their audience's preconceptions;

examples include hugely popular talk-show hosts, such as conservative Rush Limbaugh and liberal Phil Donahue (Ibid; Somin 2013: 99–100).

Miracle of aggregation defenses of democratic decision-making might well be sound in a world where their highly restrictive conditions can be met. If, in an election pitting Candidate A against Candidate B, 90 percent of voters were ignorant and 45 percent supported A out of ignorance, while 45 percent supported B for similar reasons, the outcome would actually be determined by the knowledgeable minority. The miracle works if voter errors are randomly distributed or very close to it. In reality, however, extensive evidence suggests that errors are often systematic and do not cancel each other out.[6] Indeed, even slight deviations from random distribution can lead to bad decisions in a large electorate.

The nonrandom impact of ignorance should not be surprising. The very fact that ignorant voters rely on information shortcuts in itself prevents randomness, since these shortcuts often create systematic errors, such as blaming incumbents for events they did not cause. Moreover, some errors are more intuitive for ignorant voters than their opposite. For example, ignorant voters have a long history of overvaluing the costs and undervaluing the benefits of free trade and immigration (Caplan 2007), because xenophobic suspicion of foreigners is more intuitively plausible than an overly optimistic assessment of dealings with them.

It would be a mistake to conclude that shortcuts are completely useless. Some political issues are so clear and obvious that even very ignorant and biased voters can assess them effectively. This is particularly true of major public-policy disasters that can readily be blamed on incumbent leaders, such as mass famine or defeat in war. It is likely no accident that modern democracies have almost completely avoided mass famines on their territory (Sen 1999), even though famines (including those deliberately engineered by the authorities) are common in authoritarian regimes.[7] The existence of such a large-scale tragedy will be evident even to otherwise inattentive voters, and they will severely punish incumbents for it at the polls. As a result, the latter have strong incentives to avoid famines.

Unfortunately, however, most public-policy issues are more complicated and more difficult for voters to assess than a mass famine. Even in the case of natural disasters less sweeping and more complicated than famines, voter ignorance often leads to the adoption of badly flawed policies. For example, ignorant voters can more readily see the benefits of disaster relief spending than disaster prevention spending, which leads governments to overinvest in the former while often neglecting the latter, even though spending on prevention is generally more effective than relief after the fact (Healy and Malhotra 2009). Politicians realize that voters probably won't even notice prevention spending, especially if the disaster they are meant to guard against does not happen until after the officials' term in office is over.

2 THE PROBLEM OF PLANNER IGNORANCE

Some defenders of a large, activist state recognize that voter ignorance is a serious problem but argue that it can be alleviated by concentrating more power in the hands of expert government planners, preferably with substantial insulation from electoral pressure, so that they will not be unduly influenced by ill-informed public opinion (e.g. Breyer 1993; Sunstein 2002).

Expert planners have some obvious advantages over ordinary voters. They are unlikely to suffer from rational ignorance in the same way and are especially unlikely to be ignorant of basic facts about government and public policy. Because their decisions are far more likely to have a genuine impact on policy outcomes, they have stronger incentives to both acquire needed information and evaluate it logically. Unfortunately, however, bureaucratic experts have serious knowledge problems of their own.

2.1 What the Experts Cannot Know

While government experts often have an extensive understanding of the scientific and technical aspects of the issues they regulate, they often cannot assess the costs and benefits that individuals derive from various activities, especially in the many situations where preferences are diverse (Crampton 2009). For example, an expert on public health likely has extensive information on the health risks created by drinking or smoking. But he or she cannot readily determine how much a particular individual enjoys these activities and whether the costs of them outweigh the benefits. The decision to take up and continue smoking might well be rational, despite the health risks, if the individual who makes it enjoys smoking greatly, is highly risk-acceptant, or is both.[8] More generally, the planner cannot readily determine whether spending more resources on reducing alcohol use or smoking is likely to increase social welfare more than devoting those same resources to other purposes.

The problem facing expert bureaucrats is closely related to issues first canvassed in the "socialist calculation debate" of the 1930s and 1940s.[9] Early socialists were confident that expert government planners could make good resource-allocation decisions. But critics led by economists F. A. Hayek and Ludwig von Mises pointed out that socialist planners had no means of assessing resource tradeoffs in the absence of market prices that convey the relative costs of different options (von Mises 1922; Hayek 1945). A market price for, say, a ton of iron summarizes the demand for that item from a variety of competing uses, as well as the willingness of producers to supply it. By contrast, in the absence of such prices, a socialist planner could not determine how much iron should be produced, or what it should be used for, in order to best fulfill consumer demand. Some socialists argued that governments could set up their own market-mimicking devices that would capture the same information as private markets (e.g. Lange 1938). But such "market socialism" has not proven to be either conceptually sound, or—more importantly—feasible in practice (Lavoie 1985a). Few economists subscribe to it today in an era where the dominant view is that free-market advocates "won" the socialist calculation debate.

2.2 The Continuing Relevance of the Socialist Calculation Problem

The socialist calculation debate may seem of limited relevance in a world where full-blown socialism no longer commands significant support in affluent democratic societies.[10] But although the modern mainstream left no longer favors central planning of the entire economy, many do favor government control of large parts of the economy and society, as do many who are not particularly left-wing. Most Europeans and a good many Americans favor extensive government control of the health-care industry, which constitutes some 10–15 percent of the economy in most advanced industrialized societies. Government control of all or most education is taken for granted across the political spectrum. The state owns and operates schools attended by some 90 percent of the students attending primary and secondary schools in United States, as well as numerous universities.[11] The same is true in most other democracies. However natural it may seem, this still represents the socialization of a vast swathe of the economy.

When it comes to health care, education, and other major parts of the economy currently controlled by the state, economic planners face many of the same knowledge problems as do their socialist counterparts. Government expenditures on health care and education in the United States, for example, are larger than the total GDPs of many countries' economies, and the health-care and education sectors are both extraordinarily complex, necessitating many difficult resource tradeoffs. The government's ability to make those tradeoffs effectively is severely compromised by Hayekian knowledge problems.[12] Combined with the many other policy areas largely controlled by government, the modern bureaucratic state is almost a kind of socialist empire embedded within a broader, more market-based polity.

In a large, complex modern state, information problems facing expert planners are exacerbated by the need to coordinate regulatory agencies and government expenditures across a wide range of issue areas. Often, regulations adopted by one agency tend to undercut or be inconsistent with those adopted by others (Breyer 1993).

It would be a mistake to conclude that government planners can *never* make cost-effective resource allocation tradeoffs. In some cases, the tradeoff may be so lopsided and obvious that the right decision is easily recognized. For example, if the only alternatives are either to expend substantial resources preventing the nation's conquest by a brutal totalitarian state that will engage in extensive mass murder and repression, or to allow the conquest to happen, it is pretty obvious that the former will promote social welfare more. The same goes for preventing massive economic, environmental, or natural disasters, assuming that state officials indeed know how to stop them from happening. But most resource-allocation choices are not so clear cut. As with voter ignorance, bureaucratic ignorance is most likely to affect those decisions where the choices are not starkly one sided.

3 THE MUTUALLY REINFORCING NATURE OF VOTER IGNORANCE AND ELITE IGNORANCE

Voter ignorance and elite ignorance are serious problems in their own right. Each would be a menace even in the complete absence of the other. But their simultaneous presence makes both problems even more severe than they would be in isolation. Ignorant voters incentivize politicians and bureaucrats to pursue flawed policies and even to be relatively ignorant themselves. Meanwhile, political elites often have opportunities to exacerbate and exploit voter ignorance.

3.1 How Voter Ignorance Exacerbates Elite Ignorance

Voter ignorance often makes it difficult or impossible for the electorate to monitor political elites effectively, which in turn often incentivizes the latter to pursue policies that benefit well-organized interest groups at the expense of the general public, thereby facilitating "capture" of the political process by the former (Mueller 2003: 347–53). This can happen even on high-profile issues if the policy in question has complexities that rationally ignorant voters cannot easily figure out. For example, in the aftermath of the US Supreme Court's controversial 2005 decision *in Kelo v. City of New London*, which upheld the taking of homes and other private property for private economic development, public opinion overwhelmingly opposed the takings and sought reforms. But numerous state legislatures exploited voter ignorance by enacting reform laws that only pretended to address the problem without actually doing so (Somin 2015b: chs.5–6). In this way, they could satisfy public demand for reform, while simultaneously serving the interests of politically connected developers and other narrow interest groups that benefited from the status quo.

When voter ignorance incentivizes political elites to pursue policies that benefit narrow interest groups at the expense of the general public, their expertise ends up harming the public good rather than promoting it. Indeed, in such cases, greater expertise may sometimes actually make things worse, as it will enable the public officials in question to even more effectively fleece the general public for the benefit of interest groups.

In these situations, voter ignorance does not literally make elites ignorant of good policy. But it does give them incentives to act as if they are.

Voter ignorance also sometimes leads expert officials to misallocate resources, prioritizing minor, but highly publicized and emotionally compelling, dangers while ignoring more significant ones (Breyer 1993; Sunstein and Kuran 1999; Sunstein 2002). Public opinion on the relative significance of different threats to health and safety bears little relationship to the understanding of scientific experts (Caplan 2007; Breyer 1993).

An ignorant electorate also helps ensure that political elites are often ignorant (though not as much so as voters). Legislators are often ignorant about the policy issues they vote on and often base decisions on crude ideological preconceptions rather than in-depth policy research (Schultz 2012; Kaiser 2013). As Robert Kaiser puts it, "a cardinal weakness" of Congress is "the fact that most members both know and care more about politics than about substance" (Kaiser 2013: 301). If the voters were more knowledgeable, they could reverse this trend and select candidates who demonstrate a deep understanding of policy issues. But in a world where most Americans do not even know the name of their representative in the House (Somin 2013: 32 table 1.4), they are unlikely to be able to evaluate his or her knowledge of policy issues. Moreover, evaluating that knowledge would require the voters themselves to know more about policy than most of them actually do. In this way, voter ignorance helps produce political leaders who are often ignorant themselves, albeit not to the same degree as the general public.

Perverse electoral incentives do not necessarily affect bureaucrats and other public officials who are insulated from the democratic process. But to the extent that such officials are selected by democratically elected leaders or subject to oversight by them, the ignorance of the former is likely to affect the quality of the latter, as well.

3.2 How Elites Can Exacerbate Voter Ignorance

If voter ignorance exacerbates the harmful effects of elite ignorance, it is also true that elites can exacerbate voter ignorance. Public ignorance and irrationality create many opportunities for political elites to manipulate voters with propaganda, misleading narratives, and even conspiracy theories.[13] People are particularly susceptible to such disinformation when it accords with their ideological priors. This is why Republicans were unusually susceptible to "birtherist" claims that President Obama was not born in the United States and is therefore ineligible for the presidency, whereas many Democrats were susceptible to "truther" claims that President George W. Bush deliberately allowed the 9/11 terrorist attacks to occur (Somin 2013: 84-88). More recently, Donald Trump has built his surprisingly successful 2016 presidential campaign in large part on the manipulation of public ignorance about trade, immigration, and other subjects (Somin 2015c).

Seemingly nonideological public-health authorities and other bureaucracies also often exacerbate public ignorance by promoting misleading claims. For much of the twentieth century, for example, they promoted fear of the supposed dangers of homosexuality and masturbation (Glaeser 2006).

Even more fundamentally, political elites can often spread disinformation through their control over public schools, which provides the main source of education for the vast majority of the population in most countries. In both Europe and the United States, public education was first established in part for the purpose of indoctrinating children in the ideologies favored by political elites (Weber 1976; West 1994)—nationalism in the case of many European nations, and the indoctrination of mostly Catholic immigrants in Protestant values in the United States.

Systematic nationalist indoctrination in European states, particularly France and Germany, promoted militarism and helped set the stage for the disasters of World War I (Posen 1993). Today, both right and left-wing elites continue to use public education to try to indoctrinate students in their viewpoints, often by incorporating misleading and inaccurate information into the curriculum.[14]

A knowledgeable and sophisticated electorate could curb elite efforts at disinformation and indoctrination by punishing them at the ballot box. It could, among other things, ensure that public education covers opposing points of view on political issues fairly and gives students access to the best findings of social scientists with differing ideological perspectives. Knowledgeable voters could even incentivize the government to use education to raise political knowledge levels still further or even to combat cognitive biases that lead to rational irrationality. But such happy outcomes are unlikely in a world of widespread public ignorance.

4 THE INFORMATIONAL ADVANTAGES OF FOOT VOTING

The vicious circle of mutually reinforcing voter ignorance and elite ignorance is difficult to overcome. But its harmful effects can be partly alleviated by limiting and decentralizing the power of government, thereby enabling people to make more of their decisions by voting with their feet and fewer by traditional ballot-box voting. More individual freedom and less collective control can lead to better-informed decision making.

People can vote with their feet in two ways.[15] The most obvious is by choosing which of several jurisdictions to live under in a federal system, thereby selecting the public policies they prefer. But people can also vote with their feet in the private sector by choosing what products to consume in the market or what groups to associate with in civil society. They can even do so by choosing to live in private planned communities, many of which offer services similar to those usually provided by local governments (Nelson 2005). In some cases, foot voters can even make choices without physically moving at all, as when they choose to buy a new product without ever leaving their homes.

4.1 How Foot Voting Alleviates Voter Ignorance

Foot voters face information problems just like ballot-box voters do. But, most of the time, they handle them better. Most people probably devote greater time and effort to seeking out information when they choose which car or television set to buy than when they decide whom to vote for in even the most important election. The reason is simple: The decision you make about the car or TV set is likely to make an actual difference to the outcome, whereas the chance that a ballot-box voting decision will ever do so is infinitesimally small.

Not surprisingly, a variety of evidence indicates that foot voters do indeed seek out more information and make better decisions than ballot-box voters in a variety of settings.[16] Even under highly adverse conditions, such as those faced by oppressed early-twentieth-century African Americans in the segregated southern states, they are generally able to acquire needed information and make reasonable decisions based on it (Somin 2014; Somin 2016: ch.5). By contrast, ballot-box voters routinely fail to take advantage of much readily available information.

What is true of incentives to acquire information in the first place is also true of incentives to evaluate it in an unbiased way. When our decisions are more likely to make a difference, we are more likely to make the effort to keep our cognitive biases under control. A variety of data suggests that people evaluate political information in a much more biased way than they do similar information that is expected to be used for personal decisions. A recent study by Yale Law School professor Dan Kahan and his colleagues shows that study participants who can evaluate statistical data properly when it pertains to the effectiveness of consumer products fall into ideologically biased misinterpretations when presented with the same type of data on a politically charged subject such as the effectiveness of gun control in reducing crime (Kahan *et al.* 2013).

In recent years, many economists and legal scholars have argued that we need paternalistic government interventions to forestall poor consumer decision-making based caused by a variety of cognitive errors (e.g. Sunstein and Thaler 2008; Conly 2012).[17] But this is unlikely to be an effective solution if the government policies in question are influenced by voters, whose ignorance and cognitive biases are usually far worse than those of consumers. Ignorant voters are likely to exacerbate the errors of ignorant consumers rather than alleviate them.

Moreover, many studies suggest that consumers' cognitive biases either disappear under experimental conditions that resemble real-world markets more closely, or diminish over time as market participants learn from experience (e.g. McKenzie 2010; Wright 2007; Plott and Zeiler 2007).[18] Few, if any, foot voters are perfectly logical decision-makers, like the Vulcans of Star Trek. But they generally come closer to that ideal than ballot-box voters do. At the very least, they are less likely to ignore very basic information or to dismiss out of hand anything that cuts against their preexisting views.

In addition to enabling more decisions to be made under conditions with better incentives to acquire information, expanding the sphere of foot voting can also diminish the impact of voter ignorance on those issues that remain under the control of the state. If fewer questions remain within the domain of the state, the limited time and effort rationally ignorant voters are willing to devote to politics will not be spread as thin. As a result, it will be easier for voters to understand and monitor those functions of government that remain (Somin 2013, 139–43).

4.2 Foot Voting and Planner Ignorance

Just as foot voting can help diminish the harm caused by voter ignorance, it can also alleviate the dangers of planner ignorance. Unlike government planners, foot voters can take advantage of market prices to make decisions, thereby availing themselves of the information about resource trade-offs contained in them (Hayek 1945). In addition, they—unlike the planners—have what Hayek called "local knowledge" of their own preferences (ibid.). Thus, they are in a better position to judge whether, for example, a particular risk is worth taking, given those preferences and their attitudes towards risk.

In fairness, market prices are not as readily available to foot voters choosing between government jurisdictions in a federal system, as opposed to private-sector options. The relative absence of market prices is a disadvantage of government jurisdictions in a federal system relative to private planned communities. But even the former have market prices of a kind, as the advantages of good public policy are sometimes capitalized into the price of land.[19] Real estate is likely to be more expensive in jurisdictions with relatively better policies that are more attractive to foot voters.

Even when there are no market prices available to help foot voters make decisions, they still often have access to better information than is available to government planners, because they can readily access their own preferences about various tradeoffs. For example, they are more likely to know whether they would be willing to pay X dollars in additional taxes in order to get the benefit of Y government service.

Finally, if the extent of government planning is limited in order to leave more issues up to foot voters, there will be fewer opportunities for planning mechanisms to fall victim to various perverse incentives. As we have seen, these include "capture" by influential interest groups and the manipulation of public opinion by deception, disinformation, and indoctrination.

In order for foot voting to alleviate the dangers of voter ignorance and planning ignorance, government power must be limited and decentralized. The result need not be a fully libertarian polity or even close to it. Foot voting within a federal system might enable many issues to be devolved to local or regional governments rather than the private sector, although the advantages of foot voting can be more fully realized by the latter (Somin 2014). But there would be greater scope for individual freedom than we might want to allow in a society where political ignorance was not a serious problem.

CONCLUSION

The dangers of voter ignorance and planner ignorance are far from the only considerations that must be weighed in determining the appropriate size and scope of government. They do not, by themselves, provide a comprehensive justification for libertarianism or any other political ideology. But they are nonetheless extremely important considerations that are too often ignored in the debate over the role of government in society. In addition to strengthening the case for foot voting, they also weaken the case for believing that government is likely to address various social problems effectively. In at least some substantial range of cases, political ignorance will prevent the state from effectively addressing a problem that it might well have been able to resolve otherwise.

The problem of political ignorance does not by itself prove the validity of libertarianism. But it does strengthen the case for tightly limiting government power. Often, the best solution to the problem of ignorance is the knowledge and understanding we might gain by increasing freedom.

NOTES

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1. For defenses of retrospective voting, see, e.g., Schumpeter 1950; Fiorina 1981.
2. The theory of rational ignorance was first formally applied to voting decisions by Anthony Downs (1957: ch.13).
3. For a discussion of why political ignorance is usually rational even for altruists, see Somin 2013: 65–66.
4. For this and other examples of potentially beneficial ignorance, see Somin 2013: 53–60.
5. For representative works of this type, see, e.g., Popkin 1991; Fiorina 1981; Lupia 1994; Lupia and McCubbins 1998.
6. For extensive evidence on this point, see Althaus 2003; Caplan 2007; Somin 2013: 107–15. For related criticisms of aggregation theory, see Gunn 2014 and Bennett 2014. For my critique of more sophisticated variants of the miracle of aggregation theory, see Somin 2016: 131–4.
7. They are, for example, an almost regular feature of communist regimes. See, e.g., Conquest 1986; Dikotter 2011.
8. Empirical research does in fact show that smokers do not underestimate the risks of smoking, but do tend to be more risk-acceptant than nonsmokers. See, e.g., Viscusi 1992.
9. For a detailed overview of the debate, see, e.g., Lavoie 1985a, and Lavoie 1985b.
10. For a more extensive analysis of Hayekian knowledge problems in the regulatory and welfare policies of modern democratic states, see Pennington 2011: 20–23, 119–35, 168–72.
11. See NCES 2015.
12. For an overview of Hayekian information problems in health care and education policy, see Pennington 2011, esp. 168–72.
13. For overviews, see Somin 2013: 84–8; Sunstein and Vermeule 2008; Sunstein 2014.
14. For some examples, see Somin 2013: 174; and Ravitch 2003.
15. For a more extensive discussion of foot voting and its relationship to political ignorance, see Somin 2016: ch.5; and Somin 2014.
16. For a review of the evidence, Somin 2016: ch.5.
17. For analyses of some of the most common errors, see, e.g., Ariely 2008; Kahneman 2011.
18. For a wide-ranging critique of studies purporting to justify paternalism on the basis of cognitive error, see Wright and Ginsburg 2012.
19. I discuss some of the strengths and weaknesses of this mechanism in Somin 2016: ch.5.

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V

Applied Libertarian Issues

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26

The Libertarian Case for Open Borders

Javier Hidalgo

1 INTRODUCTION

In this chapter, I will argue that libertarians should endorse open borders. By *libertarians*, I mean people who believe that we have an extensive set of moral rights, including rights to private property and freedom of contract, and that the primary job of the state is the protection of these rights. Immigration restrictions forbid hundreds of millions of people from crossing borders and residing in the territories of other states. These laws infringe on rights and liberties that libertarians care about, such as freedom of contract and rights to private property, and these laws coercively trap many people in conditions of poverty and oppression. For these reasons, libertarians should condemn immigration restrictions and advocate in favor of free international movement.

I have organized this chapter as follows. In section 2, I will sketch a presumptive libertarian case against immigration restrictions and respond to common objections to open borders. In section 3, I will rebut the argument that states have rights to freedom of association or ownership rights that permit them to exclude foreigners. In section 4, I will consider the objection that immigration would expand the welfare state or undermine institutions that libertarians favor. In section 5, I conclude by arguing that libertarians should endorse civil disobedience to immigration laws as a practical way of resisting these laws.

2 THE PRESUMPTIVE ARGUMENT FOR OPEN BORDERS AND COMMON OBJECTIONS

Libertarianism is a family of different views that endorse civil rights, such as freedom of speech and association, as well as an expansive set of economic liberties (Brennan 2012: 37–40). These economic liberties include rights to freedom of contract and private property. Libertarians think that we have broad rights to acquire, use, and trade productive property, such as factories, farms, and other private businesses (Tomasi 2013: 68–86; Brennan 2014: 78–87); and that we have rights to form voluntary contracts with other people, including contracts that are commonly thought to be degrading or exploitative. Libertarians generally believe that individual rights have priority over other moral considerations. For example, most libertarians claim that it is generally wrong to violate people's rights to private property in order to assist people who are badly off or to promote equality (Nozick 2013; Huemer 2012: 148–60). These libertarians may concede that it is permissible to infringe on individual rights in certain cases. For example, it might be permissible to violate rights when this is necessary to avert disasters. But, according to libertarians, laws that violate individual rights are presumptively unjust.

The libertarian case for open immigration follows straightforwardly from these commitments. Immigration restrictions interfere with the rights and liberties of citizens and foreigners (by *immigration restrictions*, I mean laws that forbid foreigners from crossing borders or permanently residing in other states). Immigration restrictions forbid foreigners from forming contracts with the citizens of states that restrict immigration. Suppose that Sam owns a farm in the southern United States and Leticia is an unemployed laborer in northern Mexico. Sam wants to hire Leticia to work on his farm, and Leticia is willing to take this job. But Sam happens to be a citizen of the United States, while Leticia is a citizen of Mexico. As a result, the United States government prohibits Leticia from working for Sam. This law violates Sam's right to use his property as he sees fit and Leticia's right to form voluntary contracts with Sam. The point generalizes to all immigration restrictions. These laws violate people's rights to private property and freedom of contract (Carens 1987: 252–4; Steiner 2001). Chandran Kukathas notes that immigration restrictions also constrain freedom of association: "keeping borders closed would…require keeping apart people who wish to come together whether for love, or friendship, or for the sake of fulfilling important duties, such as caring for children or parents" (Kukathas 2013: 207–20).

Many libertarians are deontologists. They think that people have moral rights that prohibit other agents from interfering with them even if this would bring about good consequences. As the above analysis suggests, libertarians with deontological commitments should conclude that immigration laws are unjust because they violate moral rights.[1] But some libertarians are consequentialists (Epstein 2002). These libertarians endorse free markets because free markets bring about better results than the alternatives, such as central planning or highly regulated markets. These libertarians also have compelling reasons to endorse open borders.

Economists calculate that open borders would bring about massive benefits. Estimates suggest that open immigration would perhaps double the size of the world economy (Clemens 2011). Under open borders, people in poor countries would benefit the most. Why would open borders generate these gains? One part of the answer is that people can make better use of their skills in rich countries (Caplan and Naik 2015). Rich countries tend to have better institutions than poor countries. Private-property rights in rich countries have more protection, political institutions are less corrupt, and rich states do better at promoting the rule of law. Rich states have other advantages too, such as superior technology. As a result, people can be more productive in rich states. If hundreds of millions of people moved to rich states, the global economy would be much bigger. These migrants would also send home remittances, which would benefit even the people who don't want to move. Consequentialist libertarians should endorse open borders because open borders would massively decrease global poverty and inequality.

So, immigration restrictions violate individual rights and cause harmful outcomes. For these reasons, libertarians of all stripes should conclude that immigration restrictions are seriously problematic.[2] And, in fact, libertarian activists and authors have been perhaps the main advocates for open immigration in public debate. Libertarians like Bryan Caplan, Alex Tabarrok, Tyler Cowen, Ilya Somin, Alex Nowrasteh, Michael Huemer, Chandran Kukathas, and Shikha Dalmia have developed influential arguments for broadly open borders. In order to clarify the libertarian position on immigration, I will now consider common arguments for immigration restrictions and explain how libertarians do, or should, reply to them.

Commentators in public debate often defend immigration restrictions by pointing out that immigration can have costs for citizens. Immigrants compete with citizens for jobs and other scarce goods, like housing; and cause other problems, such as crime. Commentators who point to the costs of immigration in defending immigration restrictions often assume (either implicitly or explicitly) that governments have special obligations to protect the interests of their citizens that they lack with respect to foreigners. These special obligations justify prioritizing the interests of compatriots over the interests of foreigners.

For example, the political theorist Michael Sandel considers the possibility that immigration from Mexico to the United States would reduce the wages of American citizens. Sandel then writes:

> Why should we protect our own most vulnerable workers if it means denying job opportunities to people from Mexico who are even less well-off? From the standpoint of helping the least advantaged, a case could be made for open immigration. And yet, even people with egalitarian sympathies hesitate to endorse it. Is there a moral basis for this reluctance? Yes, but only if you accept that we have a special obligation for the welfare of our fellow citizens by virtue of the common life and history we share.
>
> (2009: 232)

Sandel makes it clear that he believes that we do have special obligations to our compatriots, and these obligations can help justify immigration restrictions. If immigration imposes costs on citizens, and states owe more to citizens than they owe to foreigners, then it seems permissible for states to restrict immigration.

Libertarians should reject this argument. For one thing, people frequently exaggerate the costs of immigration. Consider the effects of immigration on wages. Most economists who study the labor market effects of immigration conclude that immigration has small effects on the wages of citizens (Peri 2014). Foreigners don't just compete with citizens for jobs. Foreigners have different skills and attributes than many citizens, and this leads them to complement the labor of citizens. Consequently, immigration can actually raise the wages of most citizens. Immigration has other dynamic effects that improve the economies of recipient societies (Cortés 2008: 381–422; Cortés and Tessada 2011). Popular opinion is also wrong about the relationship between immigration and crime. Most studies on the relationship between immigration and crime conclude that immigration does not increase crime and may in fact reduce it (Nowrasteh 2015). In general, most people overestimate the costs of immigration and underestimate its benefits (Caplan 2008: 58–9).

Even if immigration imposed costs on citizens, this fact would still fail to justify immigration restrictions. Nationalist objections to open borders overlook the fact that duties to respect people's rights and liberties generally override special obligations. Here is an analogy. I owe more to my children than I owe to strangers. I should show more concern for my children than I should show for other people's children. Nonetheless, there are stringent limits on what I can do for my children. It is normally wrong to coerce, kidnap, or assault strangers in order to benefit my children. Bryan Caplan (2011) observes that "almost everyone knows that 'it would help my son' is not a good reason for even petty offenses—like judging a Tae Kwon Do tournament unfairly because your son's a contestant." The same point applies to the special obligations of governments to their citizens. If it is wrong for you or I to violate the rights of strangers for the benefit of our children, then it is hard to see why it would be permissible for the government to violate the rights of foreigners for the sake of citizens. Michael Huemer argues along similar lines that the "special obligations that governments owe to their citizens, whatever these obligations may consist in, do not eliminate the obligation to respect the human rights of noncitizens" (Huemer 2010)

Some political theorists argue that states can restrict immigration in order to preserve a society's national culture (Kymlicka 2000). Foreigners have different values and cultural practices. If they immigrate, then this will change a society's culture and identity. One response to this concern about cultural change is to point out that most immigrants to assimilate and adopt the cultural practices of recipient societies (Citrin et al. 2007). Another response to this concern is to ask: So what if immigration causes cultural change? The exercise of many individual rights can change a society's culture and identity. Consider rights to free speech. Free speech can change a society's culture by encouraging people to adopt new values and practices. Suppose that Mormons are successful at persuading many people to convert. This could change a society's culture—Mormons may have somewhat different values and practices than the dominant culture. But it would clearly be wrong to forbid Mormons from proselytizing.

Or consider rights to reproductive freedom. Imagine that Muslims are a minority in a society, but Muslims have more children than the rest of the population, and most of these children adopt the practices and values of their parents. As a result, Muslims' exercise of reproductive freedom generates cultural change. Libertarians (and, indeed, all liberals) would condemn restrictions on Muslim's reproductive freedom that aim to stop this change. Individual rights trump the goal of cultural preservation. Foreigners' rights to immigrate should override this goal as well.

Another common argument for immigration restrictions is that open immigration would encourage "brain drain" (Brock 285–8). Doctors, engineers, and other skilled workers in poor countries often want to immigrate to rich countries. People worry that, if many skilled workers migrate from poor to rich states, then this will make the citizens of poor states worse off. Poor countries may not have enough skilled workers to provide vital services, such as health care, and skilled citizens are more likely to push for political reform. Therefore, some people endorse immigration restrictions in order to prevent the mass migration of skilled workers.

Libertarians like Fernando Tesón (2008) respond that it is wrong to force people to serve the needs of others, even if this brings about good results. For example, perhaps we could promote the development of poor neighborhoods by forbidding educated members of these neighborhoods from leaving. Or we might prohibit doctors from quitting their jobs and becoming musicians because they would do more good as doctors than as musicians. Yet most people would regard these coercive acts to be impermissible. One way of explaining this intuition would be via appeal to self-ownership. Libertarians believe that we own our minds and bodies. Our governments and our compatriots don't own our minds and bodies (Mack 2010: 53–78). Thus, it is wrong to treat skilled workers as if they are the property of their political communities.

Anyway, there is little evidence that restricting immigration would reduce deprivation. Skilled migration has complex effects (Clemens 2014: 1–39). Skilled migration might deplete a society's stock of human capital. But skilled migration might also create diaspora networks that increase trade and promote the transfer of technology from rich to poor countries. The opportunity to immigrate could encourage people to pursue higher education because this opportunity raises the value of this education. If skilled migrants move to democratic states with good institutions and then return home, they might encourage the creation of good institutions in their home countries.

It is possible that the migration of skilled workers worsens poverty and other problems in poor countries. It is also possible that skilled migration is associated with poverty because skilled workers want to leave poor societies. Social scientists who study skilled migration struggle to identify the causal effects of this migration because it is unclear whether skilled migration causes poverty or is merely a symptom of it. The economist Michael Clemens observes that social scientists have yet to rigorously document a single case in which restricting skilled migration caused development.[3] If we are unable to reliable identify when skilled migration has bad effects, then we should be skeptical about whether policy-makers will have the right kind of knowledge to know when restricting immigration would bring about good outcomes.

To sum up, libertarians reject common arguments for immigration restrictions that invoke special obligations between compatriots, the value of cultural preservation, and the negative effects of skilled migration. This is probably unsurprising on reflection. Libertarians are usually cosmopolitans.[4] Libertarians think that citizenship in a state is about as morally significant as membership in a car insurance company. Maybe you get some important benefits from your car insurance company or state, but you don't owe more to the members of your car insurance company or state than you owe to non-members.[5] Libertarians are also skeptical about nationalism and doubt that it is the business of the state to protect national cultures (Kukathas 2003). Libertarians affirm the value of self-ownership and reject the view that our compatriots own our talents, and these commitments rule out restrictions on skilled migration. Libertarian values and principles clearly point in the direction of free international movement.

But there are other arguments for immigration restrictions that appeal to libertarian premises or values. In the remainder of this chapter, I will evaluate arguments for immigration restrictions that aim to show that libertarians have some reason to endorse immigration restrictions because open immigration is incompatible with values that libertarians care about. Should libertarians endorse some restrictions on immigration?

3 FREEDOM OF ASSOCIATION AND OWNERSHIP

Libertarians think that people have rights to freedom of association and rights to own and use property. These rights can justify exclusion. Suppose that you and your friends form a chess club. It seems permissible for you to refuse to allow strangers to join your club. Or assume that you own your home. You are within your rights to prevent homeless people from sleeping in your home. Maybe we can defend immigration restrictions on similar grounds. States might be analogous to private clubs, or perhaps states have property rights in their national territories. Christopher Wellman argues that states have rights to freedom of association (Wellman and Cole 2011). Wellman contends that, if states have rights to freedom of association, then these states can permissibly exclude foreigners. Some political theorists claim that citizens collectively own their political institutions or territories (Pevnick 2014). If property owners have rights to exclude non-owners, then perhaps citizens have rights to prevent immigration.

For ease of reference, let's call these *rights-based* arguments for immigration restrictions. If rights-based arguments for immigration restrictions are correct, then libertarians should accept states' rights to exclude because libertarians also endorse rights to freedom of association and property rights. But libertarians should reject rights-based arguments for exclusion. These arguments have implications that no libertarian can endorse. Rights-based arguments entail the rejection of libertarianism. Here is the problem. If states have rights to freedom of association or ownership rights over their territories, then states can permissibly do more than just restrict immigration. They can restrict all individual rights.

Let's start with freedom of association. As I noted, private associations, such as clubs, churches, or businesses, can permissibly exclude non-members. For example, the Catholic Church can permissibly refuse to baptize Satanists. In this sense, the Catholic Church has the right to exclude some people. But private associations can also regulate the behavior of their members in illiberal ways. This is why the Catholic Church can forbid its members from using birth control, having sex out of wedlock, worshipping Satan, and so on. People have rights to form, join, and exit any kind of voluntary association that they like. If people have these rights to freedom of association, then they have rights to form associations that impose illiberal demands on their members, like the Catholic Church. In other words, rights to freedom of association explain why associations can restrict the behavior of their members.

If states have rights to freedom of association too, then states could place comparable demands on their members. States could also forbid citizens from using birth control, having sex out of wedlock, or worshipping Satan. In fact, Wellman concedes that states' rights to freedom of association permit states to restrict the liberty of their members. Wellman says that states can permissibly forbid their citizens from associating with foreigners by inviting them onto their property or forming voluntary employment contracts with them (Wellman and Cole 2011: ch.3). According to Wellman, states' rights outweigh the rights of individual citizens. But Wellman fails to notice that the same logic can explain why states can restrict any liberty, such as freedom of speech or sexual freedom. If states have rights to freedom of association, they might exercise these rights by excluding outsiders. Or states may exercise their rights to freedom of association by curtailing the individual rights of their members. Wellman's argument faces a dilemma. Either (a) collective rights to freedom of association fail to justify restrictions on individual liberty, which would rule out the permissibility of immigration restrictions; or (b) collective rights to freedom of association permit restrictions on all liberties, which requires the rejection of liberalism in general and libertarianism in particular.

Let's turn to the rights-based argument that appeals to property rights. This argument says that citizens collectively own their territories or institutions and that these property rights permit the exclusion of outsiders. This rights-based argument faces a similar problem as the freedom-of-association version. If this argument can justify restricting immigration, then it must be the case that citizens' ownership rights permit curtailing individual rights, such as the rights of employers and foreigners' rights to freedom of contract. But, if collective ownership rights can justify restricting these individual rights, then why can't collective ownership rights justify restricting all individual rights? Maybe citizens should use their collective ownership rights to forbid people from holding political protests, advocating atheism, having more than two children, and so on. If libertarians endorse collective ownership rights, then they must be prepared to jettison their core commitments.

Perhaps rights-based arguments for immigration restrictions succeed. If they do, then they also justify rejecting libertarianism as a whole. Yet, if libertarianism is true, then these rights-based arguments are unsound. Either it is false that states have rights to freedom of association and collective ownership rights over their territories, or it is false that these rights can justify restricting individual liberties. Either way, libertarians must resist the view that states have collective rights that outweigh individual rights.

4 BAD CONSEQUENCES

Some libertarians worry that open immigration would have bad consequences. They fear that immigration would imperil rights or institutions that libertarians believe are valuable. For this reason, some libertarians support immigration restrictions because they think that immigration restrictions would prevent bad outcomes. In this section, I will consider two versions of this worry: the argument that immigration would expand the size of the welfare state, and the argument that immigration would undermine good institutions.

4.1 Redistribution

Many libertarians oppose the welfare state. They think that the welfare state violates property rights and forces some people to serve the needs of others. Some libertarians also claim that open borders would expand the welfare state. Milton Friedman claimed: "It is one thing to have free immigration to jobs. It is another thing to have free immigration to welfare. And you cannot have both."[6] Friedman's thought seems to be that, if immigrants qualify for welfare benefits, they will immigrate to consume these benefits. As a result, immigration will increase the size of the welfare state.

It is true that immigration generally increases the size of the welfare state in one sense. Immigration increases the size of a population. If the members of a population are eligible for welfare benefits, then in a trivial sense, larger populations bring about more state redistribution. Yet it is unclear whether immigration imposes greater *per capita* fiscal costs on citizens. The effects of immigration on public finances are ambiguous (Rowthorn 2008). Most immigrants find work and pay taxes. Immigrants often pay their own way.

Immigration can also have effects that shrink the size of the welfare state. Some social scientists argue that ethnic diversity undermines support for the welfare state (Alesina and Glaeser 2006). People are less inclined to favor redistribution if this redistribution benefits the members of other ethnic groups. If immigration increases ethnic diversity, then immigration may dampen support for the welfare state, which could conceivably result in less redistribution (Dahlberg, Edmark, and Lundqvist 2012). Once we consider the complex effects of immigration on state redistribution, it becomes less clear whether immigration brings about bigger welfare states.

But suppose that immigration does increase welfare spending and ultimately imposes higher taxes on citizens. Why is this a reason to restrict immigration? States can instead pursue other policy options to offset the fiscal costs of immigration. States can deny new immigrants access to public-welfare benefits. For example, states can restrict immigrants' access to public services and welfare benefits. Alternatively, states can sell citizenship to foreigners. Gary Becker, Julian Simon, and other economists argue that selling citizenship would compensate for the fiscal costs of immigration (Becker and Becker 1998: 52–4; Simon 1990: ch.16). Instead of simply excluding foreigners, states could auction off citizenship rights or make the admission of foreigners conditional on their ability to pay a fee. If foreigners are unable to buy citizenship upfront, then perhaps states can allow them to gradually repay the fee over time. So, even if immigration does impose fiscal costs on citizens, states can mitigate these costs without restricting immigration.

Suppose, though, that immigration increases state redistribution and that these alternative policies are infeasible for some reason. Even so, libertarians should conclude that immigration restrictions are unjust. Libertarians should believe that some rights violations are worse than others (Sobel 2012). When the government forces citizens to pay for the welfare state, it violates their property rights. If immigration expands the welfare state, then citizens may need to pay somewhat more in taxes. But, when the government restricts immigration, it violates basic economic liberties and often traps people in poverty and other harmful conditions. Immigration restrictions are worse than taxes. Suppose that you are a citizen of Sweden, and the Swedish government gives you a choice. You can either pay 5 percent more in taxes every year, or the government will exile you to Haiti. Almost everyone would take higher taxes over exile. But immigration restrictions coercively force many people to stay in places as poor and dangerous as Haiti. This suggests that immigration restrictions pose a graver threat to individual rights than higher taxes. So, if we confront a tradeoff between allowing immigration or lower taxes, we should opt for allowing immigration.

4.2 Institutions

Some libertarians worry that open immigration will have bad effects on institutions (Jones 2015: 161–3). As I noted in Section 2, good institutions are an important source of prosperity. Institutions such as respect for property rights and the rule of law generate economic growth. The institutions of rich states help explain why these states are rich. Suppose that rich states opened their borders. Hundreds of millions of people would plausibly immigrate to these states (Pritchett 2006: 72; Clemens 2011: 83). This immigration could negatively influence their institutions. Many of these immigrants would be coming from authoritarian or illiberal cultures. Perhaps these immigrants would vote for laws that infringe on civil and economic liberties. Or maybe good institutions depend on social trust, and mass immigration would undermine this trust. Another possibility is that open borders would create a political backlash that empowers nationalist parties, and these parties would then enforce anti-libertarian policies.

The claim that immigration will damage valuable institutions is an empirical one. What does the evidence say? Economists Alex Nowrasteh, Benjamin Powell, and their co-authors try to answer this question (Clark 2015). They examine the relationship between immigration and measures of economic liberty, such as the size of government, respect for property rights, and the freedom to trade internationally. They find that immigration marginally *improves* economic freedom in recipient countries. As the authors of this study note, few social scientists have systematically examined the impact of immigration on institutions, and it is possible that future research will determine that immigration has negative effects on institutions. But, so far, there is little evidence for this claim.

An objector might counter that, while existent immigration flows fail to harm institutions, immigration under open borders would have bad effects. While this is possible, it is also speculative. And we can't justify violating people's rights on the basis of mere speculations. Remember that libertarians think that people have weighty rights and that it is hard to justify violating them. Libertarians would say that, to justify rights violations, we would at least need to show that violating these rights is necessary to prevent a seriously bad outcome (Huemer 2012: 148–59).

As I noted above, there is not much evidence to suggest that restricting immigration is necessary to preserve good institutions, and there is some evidence against this claim. Even if open immigration did damage institutions, this might not be an immutable fact. We might be able to adapt our institutions so that they are more compatible with open borders. So, we don't know that immigration restrictions are necessary to protect good institutions, but we do know that existent immigration laws violate rights. If certain laws violate rights and we have no clear evidence that these laws are necessary to prevent harmful outcomes, then the presumption is against these laws.

5 PRACTICAL IMPLICATIONS

If my argument in this chapter is correct, then libertarians must endorse open borders. But open borders are politically infeasible. Majorities in most rich states reject open borders or even more immigration than the status quo (Pritchett 2006: 73–77). In democracies, public opinion influences policy (Facchini and Mayda 2008). Thus, it is unlikely that states will open their borders anytime soon.

Why then should we care about the argument for open borders if open borders are infeasible? Although completely open borders may be infeasible in the near term, marginal improvements over the status quo might be feasible. The members of the European Union have opened their borders to one another in recent decades, and the right to free movement is now enshrined in European law (Carrera 2005). The members of the South American regional association Mercosur have also agreed to liberalize their immigration restrictions, and citizens of member countries have qualified rights to freedom of movement within this region (Arcarazo and Geddes 2014). Some countries, such as Argentina, give foreigners constitutional rights to immigrate (Hines 2010). These examples suggest that states can sometimes move closer to open borders in a meaningful way. Libertarians should, of course, endorse marginal improvements over the status quo. These examples also indicate that libertarians have reason to investigate novel institutional arrangements that promote open borders, such as constitutionalizing the right to immigrate and international institutions that facilitate free movement.

The case for open borders has practical implications for individual action as well. Most libertarians are skeptical about political authority. Libertarians believe that citizens don't have obligations to obey the law and that states lack the right to rule (Huemer 2012: ch.7; Lomasky and Tesón 2015: ch.7). Libertarians say that, if it is wrong for your or I to coerce or assault other people, then it is wrong for the state to do these things too, and other people are under no duty to assist states by obeying their commands. These commitments imply that it is permissible to disobey immigration laws. Consider unauthorized migrants. These are migrants who cross borders or reside in a state without official authorization. Many people object to unauthorized migration because unauthorized migrants break the law. But libertarians should think that unauthorized migrants are merely permissibly exercising the moral rights that states are unjustly violating. Unauthorized migration is a way of resisting the wrongful coercion of states that restrict immigration.

Sometimes violating immigration law is morally praiseworthy. Take human smugglers. Human smugglers help millions of migrants across borders ever year. In popular discourse, people condemn human smuggling because human smugglers help migrants to immigrate illegally. Yet, from a libertarian perspective, many human smugglers are acting in a praiseworthy way. Like most people, libertarians believe that people have samaritan duties to aid people who need assistance. Unlike most people, libertarians don't think our samaritan duties are constrained by what the law prohibits. While some human smugglers abuse migrants or extort money from them, other smugglers are satisfying their samaritan duties to aid needy people by helping them to exercise the rights that they are owed (Spener 2014). Libertarians should praise these human smugglers as modern-day participants in an underground railroad.

Finally, libertarians should consider disobedience to the law as a practical way that the citizens of rich states can do their part in resisting injustice. In fact, libertarians should believe that disobedience to the law is often morally mandatory. This is so because states conscript private citizens in enforcing immigration restrictions. Most rich states prohibit private citizens from hiring unauthorized migrants, landlords from renting to them, and companies from transporting them (Pham 2008). These laws force citizens to be complicit in injustice.

To illustrate, return to the example of Sam and Leticia. To recap, Sam is an employer in the United States, and Leticia is a citizen of Mexico. Suppose that Leticia immigrates to the United States illegally and becomes an unauthorized migrant. Sam hires Leticia and later discovers that she lacks the government's authorization to reside and work in the United States. But the government forbids Sam from hiring Leticia. This law violates Sam's right to use his private property as he pleases. This law also violates Leticia's right to form voluntary contracts with employers. Imagine that Sam complies with the law and fires Leticia. Sam doesn't merely allow something bad to happen to Leticia; Sam also actively contributes to violating Leticia's right to freedom of contract.

This example indicates that the government can violate rights in two different ways. First, the government can directly prohibit someone from exercising her rights. For example, the government could violate Leticia's rights by punishing her for forming an employment contract with Sam. Second, the government can violate Leticia's rights by prohibiting employers like Sam from hiring Leticia. But the government can only violate rights in this second way if citizens like Sam comply with the government's demands. In complying with these demands, Sam contributes to violating Leticia's rights.

Almost everyone agrees that we have *pro tanto* moral obligations to refrain from contributing to rights violations. But libertarians also think that we lack duties to comply with the law. So, employers, landlords, the managers of transportation companies, and other citizens should refuse to contribute to injustice by obeying laws that prohibit them from interacting with unauthorized migrants. These obligations may be overridden in some cases. Sometimes the risk of punishment may be too great. But many citizens, such as many employers, can violate the law and interact with unauthorized migrants in illegal ways with little risk of punishment (Pham 2008). Libertarians should conclude that we are often morally required to disobey immigration laws.

NOTES

1. Some liberal egalitarians also object to immigration restrictions on the grounds that these laws violate rights. So, libertarians and liberal egalitarians can take up common cause against immigration restrictions. But liberals tend to be more hesitant about open borders than libertarians for several reasons. First, liberal egalitarians reject the view that people have robust rights to private property and freedom of contract, and they think that states can permissibly constrain these rights in a variety of ways through minimum wage legislation, extensive state regulation of markets, and so on. So, liberals may find it to be less problematic that immigration restrictions infringe on rights to property and freedom of contract. Second, liberal egalitarians endorse extensive state redistribution. For reasons that I will discuss in section 4, immigration may pose a threat to this redistribution.
2. Libertarians might be fine with some minor restrictions on movement, like security checks to prevent terrorists from immigrating. But it is unlikely that security concerns can justify significant restrictions on movement. To my knowledge, there is not a single rigorous study that finds that immigration restrictions reduce terrorism. One problem is that determined terrorists can often circumvent immigration restrictions by using tourist visas. Another problem is that blanket immigration restrictions are crude and wasteful policies for preventing terrorism because the vast majority of immigrants are not terrorists. States could use the money that they spend on their immigration restrictions to finance better intelligence and counterterrorism efforts. This would likely be a far better way of fighting terrorism than immigration restrictions.
3. Ibid., p. 14.
4. Perhaps the most well-worked-out libertarian theory of global justice is found in Lomasky and Tesón 2015.
5. In fact, you probably owe more to your car insurance company than you owe to your state, because you consented to join your car insurance company, while few people ever consented to join states.
6. This quotation is from a speech by Milton Friedman (2014).

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27

Religion and Politics

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This piece explores the attitudes held by some of the most famous twentieth-century libertarians concerning the role of religion and religious motivation in politics. I focus on Ludwig von Mises, F. A. Hayek, Ayn Rand, and Murray Rothbard. We shall see that while all four figures had views about the role of religion in explaining political and economic events, they had almost nothing to say about the *appropriate* role of religion in politics. When they wrote on the matter, their contributions were seldom reflective or systematic. With the partial exception of Murray Rothbard, libertarian intellectuals simply did not think that the role of religion in politics was a central political concern that they felt compelled to address. Remarkably, other libertarians had absolutely nothing to say, such as Milton Friedman, who is excluded from this article simply because there were almost no passages worth analyzing across his entire corpus.

Before I begin, I should sketch the religion-and-politics issues we might have expected them to address. There are three such *normative* issues: the role of religion in democratic discourse, the role of religion with respect to freedom and free exercise, and the role of religion as a guiding principle of government, either via theocracy or weaker forms of religious establishment. As for *non-normative* issues, we might have expected the great twentieth-century libertarians to provide analyses of the role of religious motivation, religious thought, and religious political organization in explaining political events. We find non-normative commentary, but it is sporadic and mostly superficial. In this case, Rothbard is the exception, as he thinks that religious motivation is a major factor in driving support for the state and some opposition to it.

After reviewing what Mises, Hayek, Rand, and Rothbard had to say on some of these issues, I will speculate about why libertarians had so little to say on what is obviously an important topic. I will also outline what a generic libertarian approach to the core issues in religion in politics debates.

1 MISES ON RELIGION

Mises's views on religion are largely confined to the extent to which liberalism and Christianity are compatible and whether Christianity and socialism are compatible. Mises is of two minds on both subjects.[1]

Mises tended to be more critical of religion in his earlier works, arguably becoming friendlier to religion in politics over time. In *Socialism* (Mises 1951), one of his earliest works, Mises is critical of Christianity despite acknowledging that it does not imply socialism. In Chapter 29 of *Socialism*, "Christianity and Socialism," Mises argues that religion necessarily has a social ethic, for "without social ethics religion would be dead." Islam and Judaism are dead, Mises thinks, as they're merely systems of ritual that offer nothing to the mind. Christianity, at least, produces great men, unlike the other two religions. Mises also endorses historical biblical criticism of the sort one would encounter in Germany in the late nineteenth and early twentieth centuries, for as Mises argues, "modern biblical research of this order is incompatible with theology" (412).

More broadly, Mises argued that Christianity is the product of social evolution and really has no core essence, which can be illustrated by Christianity's attitude toward asceticism. Mises argues that Jesus believed that the end of the world was coming soon, which is why he deemphasized earthly goods. He also claimed that Jesus was an other-worldly obsessed ascetic: "Jesus was no social reformer. His teachings had no moral application to life on earth" (416). Jesus and the Apostles did not set up socialism, since Christian sharing consists in consumption goods alone. In fact, early Christianity didn't care about social issues at all. Jesus' recommendations are purely negative, specifying what one must not do, and Jesus offers nothing to replace the economic order of his day. Christianity can also be used to dissolve all existing social ties and legal systems. Jesus placed devotion to God between father and son, mother and daughter, and brother and sister. He was also indifferent to Roman and Jewish law.

This is why, in the end, Christianity is neutral toward social systems, for it is, in its essence, unconcerned with them. Christianity can therefore support or undermine capitalism, say via prohibitions on usury or by defending private property.

Mises distinguishes the teachings of Jesus and the Apostles from contemporary Christianity and Christian influences during the Reformation and afterwards. Mises argues that liberalism has tamed Christianity, as liberalism "is the flower of that rational enlightenment which dealt a death blow to the regime of the old Church and from which modern historical criticism has sprung" (423). And yet, Christianity is still dangerous, especially following the Reformation, when theology started to have more institutional consequences. The Church cannot "rest content … in a free state" but must attempt to dominate the state (427).

Mises also spends time on the doctrine of Christian socialism, which he thinks is ultimately a form of "state socialism" such that it is hard to distinguish the two in some cases. The Christian socialist, when she can be distinguished from other socialists, is often conservative, trying to use socialism to restore feudal economic relations: "the Christian socialism of today corresponds to the economic ideal of the medieval Scholastics" (255). Christian socialism also tends to be stationary, not focusing on improvements in the future. Christian socialism has the virtue of not opposing private property, but it requires a form of intervention in the economy that must invariably lead, at least in principle, to the embrace of socialism: "He must therefore progressively move from a demand for price regulation to a demand for a supreme control over production and distribution" (258). But at least Christians have often shunned openly declaring as socialism and so focus on simply correcting the excesses of capitalism and its abuses. Christian socialism also opposes Marxism; it is reformist in character.

Sometimes Christianity is compatible with any social system, but in other cases, it can resist liberalism or socialism. Its contemporary political manifestations, which only somewhat reflect the character of the early Christian church, can be compatible with liberalism or socialism, depending on emphasis and context.

In *Liberalism* (Mises 2000), Mises offers further commentary on the relationship between Christianity and liberalism. Liberalism is concerned only with this life, unlike religion, and liberalism tames religion by ending theocracy and barring the burning of heretics (55). Liberalism does not demand faith or devotion and there is nothing mystical about it (192). Liberals need not appeal to God or nature to ground liberalism.

In *Human Action* (Mises 1998), we encounter a different, friendlier attitude. Mises claims that liberalism has no bone to pick with Christianity, which Mises now understands in a somewhat Protestant fashion as belief and practice rooted in the Christian scriptures. Mises goes on to characterize the essence of religious belief in William James's terms as a "purely personal and individual relation between man and a holy, mysterious, and awe-inspiring divine" (156). This affects human conduct but "does not assert anything with regard to the problems of social organization." Mises even goes on to celebrate Francis of Assisi for not focusing on politics or economics (157). Liberalism does not affect this sort of religion. For Mises, liberalism is a "purely rational and scientific theory of social cooperation" and its "system of knowledge" excludes theological knowledge, but that assumption does not rule out religious belief, so long as religious belief is not manifested as theocracy. Theocracy is incompatible with liberalism, however (155–6).

Even so, liberals "welcome the support which religious teachings may give to those moral precepts of which they themselves approve" but are otherwise opposed to religious reasoning. Mises also defends the separation of church and state as creating peace between factions.

And in *Theory and History* (Mises 1957), in a section on revelation, Mises again repeats the idea that the essence of religion is a private practice and feeling. There are no public ways to resolve theological disputes, and Christianity has only become political because other forces have compelled it do so:

> It is a myth that the political and social institutions of the ages preceding modern individualistic philosophy and modern capitalism were imbued with a genuine Christian spirit. The teachings of the Gospels did not determine the official attitude of the governments toward religion. It was, on the contrary, this-worldly concerns of the secular rulers—absolute kings and aristocratic oligarchies, but occasionally also revolting peasants and urban mobs—that transformed religion into an instrument of profane political ambitions (339).

Christian political activity is both provoked by secularism and derives many of its commitments from secular movements. Christianity can be made to burn heretics or fight Marxism. That Christianity has fallen victim to socialist thinking is a great triumph of "socialist and interventionist propaganda" (345). On the other hand, Hegel, Comte, and Marx drew on the Enlightenment idea of progress, which was an adaptation of the Christian view of salvation (171). And Mises claims that if Christians really care about the poor, they should support markets (346).

We can summarize Mises' view as follows: Religion, as represented by Christianity, has no essential political or social implications. Instead, secular forces prod religion in the directions they please. This explains why Christians have held lots of different political positions, including liberalism and socialism. Mises also holds to the common liberal narrative that religion is largely a private matter and that liberalism tamed and dominated religion in a good way; and, like other libertarians, Mises worries about certain ascetic and other-worldly aspects of religion that lead it to fail to support general prosperity.

Mises has next to nothing to say about the normative role of religion in politics. He seems to thinks government should be so small that religious exemptions become a non-issue. He opposes, as one might expect, religious establishment, but this counts for little.

2 HAYEK ON RELIGION

Hayek expressed little animosity to religion or religious belief. His criticisms are lightly peppered across his work at various points. He remarks that religious beliefs can be "seriously restrictive of liberty" and have been "universally enforced" in a way that no other system ideas have been able to do, at least over the long term (Hayek 2011: 223).

Hayek complains about the tendency of theological liberals to turn religion into a social gospel of social justice, which "substitutes a temporal for a celestial promise of justice, and who hope they can thus continue their striving to do good" (Hayek 1978: 66). The Catholic Church is especially responsible for adopting an ideal of "social justice." Hayek also worries about the tendency of some Protestant thought to promote the false belief that economic reward in this life is due to individual merit (interview).

Hayek thinks that classical liberals, in particular those on the European continent, were mistaken to make enemies of people of faith and ecclesiastical authorities. Hayek claims that "true liberalism has no quarrel with religion, and I can only deplore the militant and essentially anti-religionism which animated so much of nineteenth-century Continental liberalism" (2011: 528). Hayek thinks this fact is illustrated by the English Whigs who were "if anything … much too closely allied with a particular religious belief." It is also worth drawing the reader's attention to Hayek's celebration of Acton and the contrast Acton provides with the "hostile attitude towards religion characteristic of much of Continental liberalism" (Hayek 1992: 210). Hayek goes so far as to claim that "unless this breach between true liberal and religious convictions can be healed there is no hope for a revival of liberal forces" (244).

All the same, the liberal differs from the conservative in that the liberal "will never regard himself as entitled to impose [his religious beliefs] on others" and will refuse to confuse the spiritual and temporal spheres. Hayek even acknowledged a connection between his conception of the limits of knowledge and "the Christian tradition of the fallibility and sinfulness of man," and he saw a tension between these related insights and the rationalist's pursuit of human perfection in this life (2011: 120).

Hayek argues, in *The Road to Serfdom*, that the true individualism he wishes to defend derives from "Christianity and the philosophy of classical antiquity" (Hayek 2007: 14) Hayek also insists in *Individualism and Economic Order* that the classical liberal principles of government are still "implicit in most of Western or Christian political tradition but which can no longer be unambiguously described by any readily understood term" (Hayek 1948: 2). One aspect of Christianity than contributes to freedom is the idea "that man must be free to follow his conscience in moral matters if his actions are to be of any merit," to which economists can add the argument "that he should be free to make full use of his knowledge and skill" (14).

Hayek's main work on religion lies in the relationship between Christian natural law theory and the capacity to distinguish between law and legislation—to see legal order as issuing from something other than the state. Because Christians believe in a natural law made by God, they have grounds for treating common-law courts as gradually discovering rather than creating new law. The "discovery" mindset led Christian societies to harmonize and organize their laws around general principles that were thought to be eternal and immutable.

In the *Constitution of Liberty*, Hayek argues that the medieval view of law held that the state could not create law or abolish or violate it, since that would be tantamount to abolishing justice and rebelling against natural laws. Kings and other human authorities "could only declare or find the existing law, or modify abuses that had crept in, and not create law" (2011: 235). Only during the later Middle Ages "did the conception of deliberate creation of new law—legislation as we know it—come to be accepted." Parliament went from a mainly "law-finding" body to a "law-creating" one.

Importantly, even in the eighteenth century, moral law was seen as God's law, or at least that of Nature or Reason. To make the law "explicit and enforceable by putting it on paper, though not entirely new, was for the first time put into practice by the Revolutionary colonists" and that influenced the first federal Constitution (266). But even this degenerated into law-creating bodies because "the rejection of the accounts which religion gave of the source and grounds of validity of the traditional rules of moral and law led to the rejection of those rules themselves so far as they could not be rationally justified" (1978: 25).

If a society is to be truly free, the individuals must be prepared to "bow to forces and obey principles which we cannot hope to fully understand, yet on which the advance and even the preservation of civilization depends" (Hayek 1979: 92). This has typically been accomplished through "various religious creeds and by traditions and superstitions, which made men submit to those forces by an appeal to his emotions rather than to his reason." Hayek complained that the forces of rationalism attempted to transform this religion into a religion of humanity; Saint-Simon is the culprit here (184).

Beyond these scattered remarks, the last chapter of *The Fatal Conceit* (Hayek 1991) contains the only explicit, focused analysis of the role of religious belief in preserving a free social order and the evolution of religion as a form of social evolution.[2] Prior to this chapter, Hayek argues that we may owe to certain "religions the preservation—admittedly for false reasons—of practices that were more important in enabling man to survive in large numbers than most of what has been accomplished through reason" (56–7).

Reaching Chapter 9, Hayek begins by remarking that he wants to offer some "informal remarks" (which "are intended as no more than that") "about the connection between the argument of this book and the role of religious belief" (135). Some intellectuals will hate the idea because it will suggest that, "in their own long-standing conflict with religion, they were partly mistaken—and very much lacking in appreciation" (135). Hayek then begins to tell a group selection story about the evolution of religion and the persistence of religion in transmitting cultural ideas. Hayek:

> We owe it partly to mystical and religious beliefs, and, I believe, particularly to the main monotheistic ones, that beneficial traditions have been preserved and transmitted at least long enough to enable those groups following them to grow, and to have the opportunity to spread by natural or cultural selection. This means that, like it or not, we owe the persistence of certain practices, and the civilisation that resulted from them, in part to support from beliefs which are not true—or verifiable or testable—in the same sense as are scientific statements, and which are certainly not the result of rational argumentation. (136–7)

The main monotheistic religions preserved beneficial traditions and transmitted them, allowing them to evolve into a free system. Inevitably, then, the institutions of a free society passed through a religious phase that they may not have been able to avoid. Even agnostics, like Hayek himself[3], must be prepared to admit that "the premature loss of what we regard as nonfactual beliefs would have deprived mankind of a powerful support in the long development of the extended order we now enjoy" and that if we *lose* these beliefs, even if they are false, we will face "great difficulties."

Hayek then sticks up for religious people, since their view that "morals were determined by processes incomprehensible to us may at any rate be truer … than the rationalist delusion that man, by exercising his intelligence, invented morals that gave him the power to achieve more than he could ever foresee." Yet, Hayek then quickly admits that there is no "intrinsic connection" between religion and the values of property and the family, just a contingent, historical one. Importantly, though, the only religions and versions of those religions that survive and thrive are those that preserve property and the family.

Remarkably, Hayek ends *The Fatal Conceit* by admitting that, while he himself cannot believe in God or honestly uphold free institutions on a religious basis, he admits that the foundations of a free morality lie in foundations that are beyond his comprehension. Those foundations are not really religious, but many people may need to think that morality has religious foundations:

> Yet perhaps most people can conceive of abstract tradition only as a personal Will. If so, will they not be inclined to find this will in "society" in an age in which more overt supernaturalisms are ruled out as superstitions? On that question may rest the survival of our civilization. (139)

When people lose supernatural religion, they will tend to turn to society as their God and worship the People, and this leads to the embrace of socialism. So Hayek is in the awkward position of being both agnostic and realizing that religious belief may be the most effective bulwark against socialism, as it impels the mind to embrace a non-political, transcendent basis for natural law that limits the state and its power.

3 RAND ON RELIGION

Rand was an atheist. At age 29, Rand reports in one of her journals that "I want to be known as the greatest champion of reason and the greatest enemy of religion" (Rand 1999: 176). It is entirely plausible that she continued to want this until the day she died.

Before engaging Rand's view, however, it is important to understand that Rand had a different aim in defending the market than did Mises, Hayek, or Rothbard. Rand did not, in the first instance, set out to justify markets. Her aim was to formulate a rational, life-affirming, creativity-loving comprehensive philosophy that acknowledges a mind-independent, yet thoroughly godless, reality. She named this doctrine *objectivism*.

While Rand denied that she was a libertarian, she had a dramatic influence on contemporary libertarians. Her attitudes about religion have proven just as influential. Most of Rand's writing on religion is abstract; it focuses on critiquing general features of all religions, or at least all theistic religions, or religions that rest on some notion of "faith" understood (in contrast to many faith traditions) as belief in the face of counterevidence or belief with inadequate evidence.

Rand is most famous for her novels, which, while they do not explicitly endorse atheism, contain strong atheist undercurrents. Further, her main characters are typically atheists. Howard Roark, the protagonist of *The Fountainhead* (Rand 1943), is explicitly an atheist, as is Kira Argounova in *We the Living* (Rand 1959). And John Galt's famous speech in *Atlas Shrugged* (Rand 1957) is not merely a statement of Rand's philosophy but also an extended diatribe against many philosophical ideas, including religious ones. Morality, Galt insists, is not "a code of behavior imposed on you by whim, the whim of a supernatural power," nor is the pleasure in your life an "immorality" but rather a benefit. The good is emphatically not God, which Galt insists is generally understood as "beyond man's power to conceive," which, by definition, "invalidates man's consciousness and nullifies his concepts of existence." Societies are indicted for surrendering "reason to faith" and "self-esteem to self-denial."

Here we see the two essential features of Rand's critique of religion—religion undermines man's reason and man's happiness. It undermines man's reason by insisting that he believe in beings not only for which he has no evidence, but whose nature is to confound and humble what the power of reason. And it undermines man's happiness through pointless and cruel asceticism, teaching people to despise good, life-affirming pleasures and to seek God's good and not their own.

In fact, in her famous *Playboy* interview, when asked if religion has "ever offered anything of constructive value to human life," Rand answers, "Qua religion, no—in the sense of blind belief, belief unsupported by, or contrary to, the facts of reality and the conclusions of reason. Faith, as such, is extremely detrimental to human life: it is the negation of reason" (Rand 1964). She also argued in her journals that, "Religion is … the first enemy of the ability to think. … Faith is the worst curse of mankind; it is the exact antithesis and enemy of thought." Rand claims that religion is responsible for "the ideology that opposes man's enjoyment of his life on earth and holds sex as such to be evil—the same ideology that is the source and cause of anti-obscenity censorship" (Rand 1999). Religion is anti-reason and anti-happiness, and so it is anti-life.

Religion is also anti-life in that, by being contrary to reason, religion leads to the determination of morality by mere whim (in most cases, God's whim) and justifies violence, since reason cannot be expected to solve central human dilemmas, only force. Further, religion focuses men on the next life and not the present one, and so it is anti-life in that sense as well.

Rand was also ferociously critical of core Christian doctrines. When asked about Christianity, Rand finds its central teaching—that God died for the sins of the world—actively malevolent in its denial of the human good by claiming that a perfectly virtuous man had to die for the vicious:

> In other words, a man of perfect virtue was sacrificed for men who are vicious and who are expected or supposed to accept that sacrifice. If I were a Christian, nothing could make me more indignant than that: the notion of sacrificing the ideal to the nonideal, or virtue to vice.
>
> (Rand 1964)

> Rand was similarly hostile to the idea of original sin. The doctrine of original sin came from "the knowledge of good and evil," that is, when man became "a rational being." And the evils for which man is damned are "reason, morality, creativeness, joy—all the cardinal virtues of his existence." And, obviously, she utterly rejected the Christian emphasis on altruistic sacrifice.

Given Rand's hostility to religion, she believed it was best abandoned and as quickly as possible. She had little to say about religion in political issues as such. But she did claim, in *Capitalism: The Unknown Ideal*, that, "in America, religion is a private matter which cannot and must not be brought into political issues" (Rand 1967a). She also criticized conservatives for resting the case for capitalism on religious belief, since this was "to concede that reason is on the side of one's enemies" (Rand 1967a: 219–20). Leonard Peikoff, perhaps her lead follower, expanded her remarks into a general attack on the religious right (Peikoff 1990).

Rand was most specific about the role of religion in politics in her two essays attacking the two of the most important Catholic encyclicals in her time, *Humanae Vitae* and *Populorum Progressio*, the former widely considered friendly to conservatives and the latter widely considered friendly to progressives and socialists. *Humane Vitae* restates traditional Catholic teaching on sex and contraception, whereas *Populorum Progressio* restates popular nineteenth and twentieth-century Catholic attitudes toward the redistribution of wealth, capitalism, and the dangers and injustice of wealth inequality.

Rand's essays "Of Living Death" (Rand 1990) and "Requiem for Man" (Rand 1967b) detail her criticisms of the two encyclicals, but Rand also provides a useful summary of her criticism of Catholicism across the two encyclicals, despite the fact that each was heralded on one side of the political spectrum and criticized on the other:

> The so-called conservatives (speaking in religious, not political, terms) were dismayed by the encyclical *Populorum Progressio* (On the Development of Peoples)—which advocated global statism—while the so-called liberals hailed it as a progressive document. Now the conservatives are hailing the encyclical *Humanae Vitae* (Of Human Life)—which forbids the use of contraceptives—while the liberals are dismayed by it. Both sides seem to find the two documents inconsistent. But the inconsistency is theirs, not the pontiff's. The two encyclicals are strictly, flawlessly consistent in respect to their basic philosophy and ultimate goal: both

> come from the same view of man's nature and are aimed at establishing the same conditions for his life on earth. The first of these two encyclicals forbade ambition, the second forbids enjoyment; the first enslaved man to the physical needs of others, the second enslaves him to the physical capacities of his own body; the first damned achievement, the second damns love…
>
> The doctrine that man's sexual capacity belongs to a lower or animal part of his nature has had a long history in the Catholic Church. It is the necessary consequence of the doctrine that man is not an integrated entity.
>
> (Rand 1990)

According to Rand, the Catholic Church has consistently opposed the autonomous use of man's reason, though to varying degrees (Rand was friendly to Aquinas but despised Augustine). Catholicism has opposed the development of science: "It must not be forgotten that the Catholic Church has fought the advance of science since the Renaissance" (Rand 1990). But the big, overarching issue is that Catholic social teaching, in general, is hostile to all the best things about humanity—its capacity for rationality and its capacity for happiness. Rand consistently criticized Catholics of all stripes and frequently and sharply distinguished her support for capitalism from those of the religious conservatives with which she was often associated (they frequently returned the favor).

Due to her severe critique of religion, Rand lacks a developed doctrine of the proper role of religion in politics. This is because she thinks that the answer to the questions about the appropriate place of religion in politics is simple: There is no place for religion in politics because there is no place for irrationality in the construction of social institutions that ought to favor the development and flourishing of man.

But let it not go unsaid that Rand advocated the use of politics to *restrict* religion; however much she disliked religion, she believed in sufficiently strong individual rights to protect people of faith from almost everything governments would do to them.

4 ROTHBARD ON RELIGION

Thus far, we have found considerable variation in libertarian attitudes toward religion, and Murray Rothbard only adds to that diversity. Like Rand, Rothbard had a consistent attitude toward religion. But unlike Rand, Rothbard was consistently pro-Catholic and criticized both atheist hostility to Christianity and many forms of Protestantism, especially Lutheranism and Calvinism in Europe, during and following the Reformation (Rothbard 1972: 21–3).

Rothbard understood his normative project as broadly Thomistic (Rothbard 2003: 4) and argued that the foundation of libertarianism lies in the idea of an "objective moral order of natural laws, discoverable by man's reason," which ultimately led to the discovery of natural rights, including the natural right of property (Conservatism and Freedom). Catholicism has its problems, but Rothbard claimed that it ultimately upholds the idea of a rational, natural law accessible to man's reason, unlike the often irrationalist Lutherans and Calvinists.

Rothbard even understood the history of economic thought in a Catholic-friendly fashion. He contrasts a Catholic–Austrian strand of economic thought found in the sixteenth-century Catholic Salamancan school with the Calvinist–classical strand found in Scotland and that began with David Hume and Adam Smith:

> Conversely, it is no accident that the Austrian School, the major challenge to the Smith-Ricardo vision, arose in a country that was not only solidly Catholic, but whose values and attitudes were still heavily influenced by Aristotelian and Thomist thought. The German precursors of the Austrian School flourished, not in Protestant and anti-Catholic Prussia, but in those German states that were either Catholic or were politically allied to Austria rather than Prussia.
>
> (Rothbard 1995: xiii)

So Rothbard locates the beginnings of Austrian economics in Catholic social thought and associates classical economics, which he rejects, with Calvinist Protestantism.[4]

Critically, the Protestants of the Reformation derailed Catholicism's restraints on the nation-state, enabling the rise of the nation-state:

> In this way, the once mighty Catholic Church, dominant power and spiritual authority during the High Middle Ages, had been brought low and made a virtual vassal of the royal plunderer of France. The decline of Church authority, then, was matched by the rise in the power of the absolute state. Not content with confiscating, plundering, taxing, crushing the fairs of Champagne, and bringing the Catholic Church under his heel, Philip the Fair also obtained revenue for his eternal wars by debasement of the coinage and thereby generated a secular inflation. (69)

The Reformation dramatically diminished the authority of the Catholic Church and, with it, church authority generally. Nation-states reigned supreme as a result.

One gets the sense from Rothbard's writings that had the Reformation never occurred, the greatest ills of modernity might have been avoided. There would likely be no powerful nation-state and the development of economic thought could have proceeded on natural law premises, unimpeded by the regressive, Calvinist doctrines of the classical economists.

One of the notable features of Rothbard's commentary on religion in politics is that he attempts to reclassify political movements he criticizes as secularized variants of Protestantism, particularly "postmillennial pietism," a version of Christianity that holds that the idea of the coming millennium described in the book of Revelation is a future human era that can be brought about through political reform. The Kingdom of God, on this view, can be brought to earth via human-wrought social justice. As some Protestants moved in this direction in the early nineteenth century, they brought with them many social ills, such as prohibition and the common school movements.

These movements gave rise to the secular progressive left in the United States and to Marxism. Marx, Rothbard claimed, deliberately secularized the postmillennial pietism of his youth (Rothbard 1990); American progressives did the same, which explains the origins of the religious left, something Rothbard criticized at length late in his life (in (Rothbard 2000b; 2000d).

While Rothbard is generally pro-Catholic and anti-Protestant, he does celebrate early American Protestants like Roger Williams and Anne Hutcheson, whose dissents from

American Puritanism helped to establish the "libertarianism" of many seventeenth-century American colonists and contributed to the classical liberalism of the eighteenth century in some respects. So Rothbard does not universally criticize Protestants. So long as they oppose leading Calvinist statists (such as the Puritans of Massachusetts Bay) and articulate libertarian political theologies, they can be quite good and even inspiring (Rothbard 1999: chs.21–4).

Unlike Mises, Hayek, or Rand, Rothbard also took a position on the bread-and-butter religion-in-politics issues discussed over the last 30 years. This is partly because he was much younger than the others, so that he was far from old age when the religious right began to raise these issues in the late 1970s. But he might have mirrored Friedman and stayed out of the discussion. He did not. In his article, "The Religious Right: Toward a Coalition" (Rothbard 2000c), he defends the religious right as having goals that are compatible with libertarianism. He claims that "Christian conservatives are trying to fight back against a left-liberal elite that used government to assault and virtually destroy Christian values, principles, and culture" (26). Nineteenth-century Protestant do-gooders were a problem, but the religious right is a different animal. Rothbard even goes so far as to validate religious-right opposition to gays in the military, suggesting that "open homosexuals could engage in favoritism toward loved ones, and engage in sexual exploitation and abuse of subordinates under their command," which could bring the "destruction of morale and efficiency of combat units" (27–8). Rothbard agreed with the goal of abolishing *Roe v. Wade* on federalist grounds, despite being radically pro-choice. He also hoped that the religious right can "level hammer blows against the pietist and pervasive Christian left" (31). This "paleo" phase of his thought led him to argue that "the task of paleolibertarians is to break out of the sectarian libertarian hole, and to forge alliances with cultural and social, as well as politico-economic, 'reactionaries.'" The real danger from religion in politics comes from the left, whose "hallmark and fanatical drive … for these past centuries has been in devoting tireless energy to bringing about, as rapidly as they can, their own egalitarian, collectivist version of a Kingdom of God on Earth" (284). Rothbard denies that secularism unmoored from this historical legacy would be fanatical.

Rothbard also argues, in "Hunting the Christian Right" (Rothbard 2000a), that "it does not violate the separation of church and state principle for Christians to get involved in politics, or to take political stands. Or even for Christian ministers or priests to do so." (275). Rothbard even anticipates the point sometimes found in the religion and politics literature that restrictions on religion in politics would also lead to condemnations of the public role of religion used by Martin Luther King, Jr. and other religious leftists.

In general, Rothbard was a *far* more knowledgeable and sophisticated student of religious belief, and Christian belief in particular, than any other major libertarian thinker in the twentieth century. As far as I can tell, no one can hold a candle to him. While his analysis was idiosyncratic and perhaps too simplistic and overconfident, he took religion seriously as a source of intellectual thought and political influence. Rothbard was clear that one needed a rich and subtle understanding of theology to explain when religion in politics is a good thing and when it is not. As Rothbard wrote in his history of economic ideas, his research led him to the "growing conviction that leaving out religious outlook, as well as social and political philosophy, would disastrously skew any picture of the history of economic thought" (Rothbard 1995: xiii).

5 WHY DID LIBERTARIANS HAVE SO LITTLE TO SAY?

I have reviewed the attitudes about religion in politics found in Mises, Hayek, Rand and Rothbard. In comparison to progressive and conservative political thought throughout the twentieth century, libertarian discussion is, by comparison, rather thin. The only substantive work of normative political theory in the area comes from Rothbard's newsletters. Given how important the proper role of religion in politics has been for centuries, this may seem surprising. But it is perhaps less surprising given the following factors.

First, religious movements were sublimated to economic movements for much of the first half of the twentieth century, and well into its third quarter. In many ways, 1900–1975 was unique in Western history in how much more influence secular ideologies had than religious ones. And 1900–1975 spans the most productive periods of each of these figures' lives. The great libertarians were interested in defeating socialism and vindicating various forms of capitalism (save Rand, for whom this was an important, if secondary, concern). So religion in politics did not seem to be a pressing issue.

Another factor is that Mises, Hayek, Rand, and Rothbard were either outright hostile to democracy and democratic politics or had serious reservations about it. Since democracy should be strictly limited, developing an ethics of democratic deliberation isn't pressing, since deliberation should decide precious few important political and economic questions. Second, given that state power should be sharply limited, worries about religious exemptions shouldn't arise at all. All or nearly all reductions in coercion are both welcomed and morally required. Finally, concerns about religious establishment in the early twentieth century were secondary to questions of secular establishment, so the issues raised by too *much* religion in politics were of limited concern to libertarians concerned with stopping regimes that forcibly imposed atheism on their subjects.

6 A LIBERTARIAN APPROACH TO RELIGION IN POLITICS

In the twenty-first century, religion and politics issues have returned to the forefront of political life, perhaps to a level not seen in two hundred years or more. Totalitarian socialism has collapsed almost everywhere in the world, so the great enemy of libertarianism is no longer a threat. Modern liberal democracies exhibit deep disagreements but not on the order of that found in the early twentieth century. Outside of libertarians and the most radical parts of the left, most people broadly accept the democratic mixed economy state as best. Some of our fiercest disagreements are between those who favor a more limited state and those who favor a more extensive state. But we also fiercely disagree about the role of religion in public life.

Given that our political and economic disagreements have grown narrower, political Christianity and political Islam have become issues of national and global concern. And, given the growth of Christianity and Islam expected over the next century (UN projections), we can expect religion and politics issues to remain pressing, especially internationally. Libertarians may want to have something more to say than they had in the twentieth century, or at least to figure out which forms of religion in politics promote freedom and prosperity and which forms undermine it. Libertarians may also need to think more carefully about how religion in politics affects their strategic organizational capacities; should libertarians view religious citizens as threats to freedom, as Rand would have it? Or are they more like friends, as Hayek and Rothbard believed?

I recommend that libertarians pursue the following course on issues of religious discourse, religious exemptions, and religious establishment. First, libertarians should totally reject the progressive insistence that religious contributions to public discourse be restrained by moral ostracism and subordinated to secular concerns. Libertarians have no reason to ostracize or demean people of faith just because their political arguments make reference to private or sectarian reasons. The democratic theories that ground such restrictions have no appeal to libertarians, such as views that democracy must express the general will of the people and so must be constructed via the use of shared reasoning. Libertarians should favor a free, open, and chaotic public discourse.

Religious exemptions are in some ways even easier to justify, as libertarians favor liberty and probably oppose basically every law from which religious people want to be exempted. Some will complain that it is unfair for religious believers to be exempt and not secular persons. Libertarians should agree but not insist that some be coerced just because we cannot prevent the state from coercing everyone. As an analogy, libertarians should not only oppose the draft but also preserve exemptions for women even if the draft unequally coerces men. Similarly, libertarians should support exemptions from providing contraceptive coverage demanded by religious for-profit and non-profit organizations. All steps toward liberty should be embraced.

Religious establishment is more complicated. Let's distinguish between three types of establishment—coercive, financial, and symbolic. Coercive establishment involves the use of state power to prefer one faith to another, religion over secularism, or secularism over religion. Libertarians should, of course, oppose any coercive establishment of religion. Financial establishment covers the use of government funds to promote religious goals. Libertarians should generally oppose financial establishment. However, they should not overblow the problems with financial establishment to oppose certain liberty-increasing policies like the use of school vouchers. Libertarians should generally support voucher programs to increase political choice. There is little reason to prevent parents from using their tax money, and even the taxpayer money of others, to send their children to religious schools rather than secular schools. The only feature of a voucher system that libertarians should be worried about is that taxpayer funds are being used at all, not that they're being used at religious institutions. Symbolic establishment concerns the government's use of religious or non-religious symbols on public property, like courthouses or fiat currency. Libertarians typically downplay the importance of political symbolism and argue that it is up to individuals to decide whether to be upset or offended by states endorsing or opposing religion in their public symbols. In general, I think this is the right attitude. However, insofar as symbolic establishment indicates the disposition of the state to coercively favor some over others, then, this might provide a ground for opposition to symbolic establishment.

Finally, libertarians have no reason to treat religious reasoning or requests for exemptions any differently than secular reasoning of secularist demands for religious exemptions. For the libertarian, religion should not be treated as special, so the liberties given to religious persons and groups should be given to secular persons and groups on equal terms.

NOTES

1. Mises also offers a praxeological argument that God's reasoning is incoherent, since you cannot have goals if you lack for nothing, and you cannot reason rationally without goals, but the remark is off-handed. See sec. 11. Mises also frequently compares socialism to a religion, something found in Hayek, Rand, and Rothbard. Mises says that socialism is "the religion of self-deification" (Mises 1998: 693).
2. There is here the interpretative question about whether W. W. Bartley wrote the religion-friendly portions of *The Fatal Conceit.* I cannot hope to settle that question here, save that the remarks are not especially characteristic of Bartley's work. Tomas … argues that we can attribute the chapter to Hayek because it is based on unpublished lectures he gave elsewhere.
3. See Hayek 1991: 139: "I certainly reject every anthropomorphic, personal, or animistic interpretation of the term ["God"]; also see p. 53.
4. In his chapter "Protestants and Catholics" in Rothbard 1995, Rothbard has a more mixed view of Catholic and Protestant attitudes on usury.

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28

A Libertarian Approach to Medicine

Jessica Flanigan

I defend a broadly libertarian approach to medicine (Flanigan 2017). The main idea is that people's bodily rights extend beyond the mere right to refuse medical treatment and also include the right to choose and access medical treatment. I develop this argument in section 1 from the perspective of the patient. There, I argue that the same considerations that favor the doctrine of informed consent also support patients' rights of self-medication, which include the rights to access and use pharmaceuticals without a prescription or approval. I argue that self-medication ought to be understood as a civil rights issue and that patients are justified in resisting unjust drug policies and advocating for reform. More generally, some of the arguments against medical paternalism also challenge other paternalistic public health policies, such as soda bans and antismoking policies.

I address the ethics of pharmaceutical regulation, manufacturing, and distribution Section 2, where I consider the perspectives of other institutional actors. I argue that policies that prevent patients from accessing potentially lifesaving or beneficial treatment are unjust laws that kill people, whereas drug manufacturers do not unjustly kill patients by selling dangerous drugs as long as they disclose all known risks. Manufacturers are therefore morally entitled to market drugs to patients, and officials should not censor pharmaceutical advertising. And though patients have rights of self-medication, physicians and providers are not required to facilitate patients' risky treatment decisions. Legal barriers to treatment, including occupational licensing policies, are unjust, but officials also should not enforce legal requirements to provide treatment. I then consider whether the fact that taxpayers provide citizens with health care can justify limiting people's rights to make risky or unhealthy choices. In response, I argue that people are not liable to be preemptively coerced into making healthy decisions even if taxpayers will predictably be required to pay for their unhealthy choices.

1 PATIENTS' RIGHTS

All liberals, including libertarians and classical liberals, believe that there are some foundational decisions that all people are entitled to make for themselves. These include intimate and personal bodily choices, decisions about intimate associations, decisions about religion, and occupational choices. Though the scope of these rights is a matter of considerable debate, most liberals agree that people at least have rights to make medical decisions about their bodies. In this section, I argue that the same reasons in favor of the doctrine of informed consent, which protects adult patients from unwanted medical interventions, are also reasons in favor of rights of self-medication (Flanigan 2012).

The doctrine of informed consent protects competent patients' rights to make informed medical decisions without being unjustly forced or coerced.[1] The doctrine thus has three components. It only applies to people who are capable of understanding and autonomously making a medical choice, so it does not apply to children or mentally incapacitated people. The doctrine requires that patients be informed about the risks and benefits of a treatment choice as well as alternative treatment options, to the level that a reasonable person could expect to be informed. And the doctrine prohibits force and coercion by physicians and also by third parties. According to this principle, which is reflected in the law, patients are entitled to refuse medical treatment even if refusing would endanger their health. Patients are even entitled to refuse life-saving treatments.

Three arguments are commonly cited in favor of the doctrine of informed consent. The first reason is that by respecting patient's rights to make medical decisions physicians can promote better health outcomes in the long run. Patients are more likely to seek care and comply with physicians' recommendations if they can reasonably trust their physicians to refrain from coercing or deceiving them. A second consequentialist reason focuses on the epistemic asymmetries between patients and medical experts. Though physicians may be experts about whether a treatment will make their patients healthier, patients know whether treatments will improve their lives on balance. Third, there are rights-based justifications for the doctrine of informed consent that do not appeal to the good effects of informing patients and refraining from coercion. Namely, when physicians force, coerce, or deceive patients, they violate patients' rights to make intimate and personal bodily choices.

These three arguments also support rights of self-medication, though unlike informed consent, patients' rights of self-medication are not generally respected or legally protected. Rights of self-medication include the rights to purchase and use medicine without being coerced or deceived. Yet public officials in most jurisdictions coercively prevent patients from using many drugs, including unapproved drugs, prescription drugs, recreational drugs, and deadly drugs. I argue that this asymmetry is unjustified and that patients' medical autonomy merits the same respect within the marketplace and at the pharmacy as it merits in clinical contexts. Specifically, like the doctrine of informed consent, there is some evidence that rights of self-medication could promote good medical outcomes, that they will promote people's wellbeing on balance, and that policies that respect people's rights of self-medication respect people's rights to make decisions about their bodies. For these reasons, though public officials may certify drugs in order to promote informed decision-making, they should not enforce laws that prevent people from using drugs.

Policies that prevent people from purchasing and using unapproved pharmaceuticals are generally justified on the grounds that they protect patients' from dangerous or unhealthy drugs. Historically, restrictions on rights of self-medication followed drug disasters where patients were killed because they unknowingly used dangerous or adulterated medicines (Carpenter 2014). These policies went beyond mere informational requirements and protections from fraudulent claims, however. Today, most countries require manufacturers to obtain premarket approval before they sell a drug and require prescriptions for the use of a drug.

Do these policies promote people's health on balance? There is some evidence to suggest that they do not. Obtaining approval to sell a drug generally takes more than 10 years and can cost as much as $2 billion.[2] During this time, patients die while waiting for potentially beneficial therapies to be approved. This is known as drug lag. One may claim that this lengthy approval process is justified because it protects patients from using unsafe or ineffective drugs. Most of the approval process is spent determining whether a drug is effective at treating a specific condition for a specific patient type. Yet once approved, a drug may be prescribed off-label for any condition. That efficacy testing is not required for off-label prescribing suggests that the lengthy efficacy testing should not be required for drug approval (Klein & Tabarrok 2008).

In addition to drug lag, the costly and lengthy approval process also deters pharmaceutical innovation and makes drugs more expensive. Though it is difficult to identify the victims of the approval process who die of their diseases while waiting for access to potentially beneficial drugs, it is even more difficult to know how many lives could have been saved if the cost of innovation were lower. Economist Frank Lichtenberg finds that pharmaceuticals significantly increased life expectancy and lifetime income in the late twentieth century in the United States (Lichtenberg 1998). For this reason, pharmaceutical innovation has the potential to increase longevity in the twenty-first century as well; Lichtenberg predicts that drug innovation accounts for almost three-fourths of the gains in life expectancy from 2000 to 2009 (Lichtenberg 2014). These findings should give pause to proponents of lengthy and expensive approval requirements that potentially deter innovation.[3]

Additionally, policies that prohibit people from using drugs without a prescription and prohibitions of recreational drugs may also have worse health effects than a non-prohibitive approach. There is some evidence to suggest that prescription requirements are correlated with higher rates of accidental poisoning, for example (Peltzman 1987b; Peltzman 1987a). It is also not clear that policies that prohibit people from using certain prohibited drugs have good medical outcomes. For example, drug prohibitions prevent patients from using medical marijuana in some jurisdictions. The legal prohibition and criminalization of recreational drugs create black markets for dangerous, adulterated, and untested drugs and cause higher rates of disease transmission associated with using unclean needles. Criminal penalties for drug use may also prevent addicts from seeking treatment. For these reasons, the World Health Organization calls for the decriminalization of personal drug use (The Economist 2014).

The second justification for the doctrine of informed consent is that it promotes people's overall wellbeing (Buchanan 1978). Here again, the same argument also supports rights of self-medication. Consider premarket approval policies, which prevent people from using investigational therapies on the grounds that, in light of evidence of efficacy, the risks associated with a drug may not justify the benefits. Whether a drug is acceptably risky in light of the benefits is a *normative judgment* not a scientific one. Public officials at agencies such as the US Food and Drug Administration are not well placed to determine whether, in the context of a person's overall system of values, it is acceptably risky for her to take a potentially beneficial but potentially harmful or ineffective drug. Scientific experts are well placed to determine the likely effects of a drug, but each patient is the expert about whether it is worth it.

The same argument applies to rights of self-medication more generally. Patients require a prescription to use some drugs, meaning that physicians are legally empowered to act as gatekeepers and to prevent patients from using drugs if they determine that the risks do not outweigh the benefits. But patients are more qualified to determine whether the risks of drug use outweigh the benefits given their lives and values as a whole. Consider, for example, an adult patient who wishes to use a stimulant in order to better perform cognitive tasks related to her job. Prescription requirements may prevent her from legally accessing the drug if her physician determines that she does not have a medical condition that merits using a drug that has the health risks associated with stimulants. But she may not value avoiding the health risks of stimulants as much as she values professional success. If the purpose of medicine should be to improve people's lives overall and to treat the whole patient, not specific conditions, then prescription requirements are detrimental to this end because they empower physicians to prioritize health considerations over patient's values and to prevent people from acting in what they consider to be their overall interest.

In some cases, self-medication may not have good medical or overall consequences. Yet the doctrine of informed consent protects patient's rights to make medical decisions even if their choices are not in their medical or overall interest. For example, patients are entitled to refuse life-saving treatment or to refrain from taking daily medication that could prevent an early death. Similarly, even if rights of self-medication did not promote people's medical or overall interests as a general matter, public officials are nevertheless not morally entitled to prevent people from using unapproved pharmaceuticals because these policies violate people's bodily rights or rights to attempt to preserve their lives (Volokh 2007).

Liberal and libertarian arguments in favor of the right to die illustrate this point. For example, John Rawls, T. M. Scanlon, Thomas Nagel, Ronald Dworkin, Robert Nozick, and Judith Thomson jointly published "The Philosophers' Brief" in 1997 as an *amicus curiae* brief for two Supreme Court cases that addressed whether patients had a constitutional right to die. They argued that a person's interest in making end-of-life decisions "is so central a part of the more general right to make 'intimate and personal choices' for himself that a failure to protect that particular interest would undermine the general right altogether" (Dworkin *et al*. 1997). They argued that the same considerations protecting rights to refuse life-saving treatment also supported rights to access voluntary euthanasia or physician-assisted suicide.

And just as officials violate important rights by prohibiting patients from making deadly choices at the end of their lives, they also violate people's rights to make bodily decisions when they prohibit them from making unhealthy or dangerous medical choices throughout their lives. In this way, policies that limit patient's rights of self-medication are coercive. Officials enforce legal penalties against those who fail to comply with restrictions on self-medication. In this way, people are coercively prevented from making intimate and personal bodily decisions and medical choices. Officials can also violate patient's rights of self-medication even if patients do not face legal penalties for their medical choices. Consider, for example, an analogy to reproductive choice. Officials violate women's rights to make reproductive choices if they prohibit health workers from providing contraception or abortion. This example illustrates that officials can effectively use coercion to limit a person's medical autonomy without subjecting her to criminal sanction.

One may object that rights of self-medication are different from rights of informed consent because the right to refuse treatment does not entail a right to access anything. Yet informed consent requirements do entail a right to access information—it is wrong and illegal to paternalistically withhold medical information, for example. And rights of self-medication, like rights of informed consent, are best understood as rights against interference. Just as it is wrong for physicians to interfere with a patient's medical choices on the grounds that they disagree with her choice, it is also wrong for public officials to interfere with medical choices that involve pharmaceuticals on the grounds that using pharmaceuticals is unacceptably risky or unhealthy.

Other libertarians and liberals have endorsed rights of self-medication as well. For example, in *On Liberty*, J. S. Mill opposed prescription requirements on the grounds that it would make legitimate use more expensive or impossible, when labeling requirements could effectively warn people about dangerous drugs instead (Mill 2008, 107). More recently, Michael Huemer also criticizes prescription requirements on the grounds that they are a form of rent-seeking and that public officials do not have the authority to enforce them (Huemer 2012, 141). Historically, rights of self-medication were once affirmed within the United States. Thomas Jefferson wrote in *Notes on the State of Virginia* that rights of self-medication were as fundamental as freedom of conscience (Jefferson 1787). In the nineteenth century, rights of self-medication were widely acknowledged in the United States, and the earliest pharmaceutical regulations specifically stated that they were not intended to limit citizen's rights of self-medication (Carpenter 2014).

Patients and their advocates have also advocated for rights of self-medication throughout the history of drug regulation. In addition to political advocacy for the right to die, two other examples of patient-driven advocacy merit discussion in the context of libertarianism. First, patients and their advocates publically advocated for faster access to investigational therapies throughout the twentieth century. For example, the National Cancer Institute (NCI) clashed publically with the US Food and Drug Administration (FDA) in the 1970s, claiming that the agency publically undermined potentially lifesaving research by enforcing burdensome approval requirements (Carpenter 2010). Then, in 1988, the HIV/AIDS advocacy organization AIDS Coalition to Unleash Power (ACT UP) staged large protests to encourage the FDA to expedite approval for HIV/AIDS medications. These efforts continue to day in the form of a grassroots "right to try" movement, which has been instrumental to the passage of legislation that allows physicians and manufacturers to provide patients with access to investigational drugs outside the context of a clinical trial in more than 20 US states (Olsen 2015).

In addition to political advocacy, some patient advocates take drug development and access into their own hands.[4] Patient-driven drug development is often driven by members of online communities who share research about promising new therapies and use technology to participate in medical research as collaborators rather than exclusively as human subjects (deBronkart 2013; Topol 2015; Marcus 2014). And in some circumstances, patients and their advocates also engage in civil disobedience to facilitate greater access to therapeutic drugs, such as medical marijuana (Galloway 2016). Many libertarians argue that citizens do not have duties to obey laws that violate people's rights, and if so, disobedience in these circumstances is warranted.[5]

If citizens have rights of self-medication, as I have argued, then many policies that are currently enforced violate these rights. Instead of prohibiting people from accessing unapproved drugs, recreational drugs, and prescription-grade pharmaceuticals, public officials could achieve the same goal by informing people about their choices through a certification system. After all, if the main benefit of existing policies is that they prevent people from unknowingly making unsafe choices about drugs, officials could still provide people with this benefit by educating patients about a drug's likely effects.

The same logic extends to other medical choices as well. Patients are entitled to choose medical procedures and to use medical devices that endanger their health just as they are entitled to refuse dialysis or to modify their bodies in ways that make a healthy lifestyle more difficult. More generally, some of the foregoing arguments for rights of self-medication are also arguments against other public health interventions such as smoking and soda bans. If people are entitled to make decisions about their own bodies, or if people generally know whether a choice is in their overall interest better than public officials do, then people should also be entitled to make choices that threaten their health for the sake of other values.

2 PUBLIC OFFICIALS AND SELF-MEDICATION

If patients have rights of self-medication, then public officials, manufacturers, physicians, and pharmacists should reconsider their current practices. In this section, I argue that officials should not prohibit people from purchasing and using drugs, nor should they prevent manufacturers from marketing pharmaceuticals to consumers, even for off-label uses. In order to protect consumers, officials should instead enforce policies that protect consumers from fraudulent advertising and adulterated drug use through the system of tort law. These arguments extend to medicine as well. Officials should not require occupational licenses for health services, but they ought to enable patients to seek damages for medical injuries associated with malpractice or fraudulent medical services. In closing, I address whether libertarians should support public officials' enforcement of intellectual property laws.

In order to respect people's rights of self-medication, public officials should not enforce policies that prevent people from purchasing and using pharmaceuticals and recreational drugs. This is challenging in democracies, however, because public officials and regulators have political incentives to be extremely cautious when allowing drugs. Libertarians, most notably Jason Brennan and Bryan Caplan, have documented the ways in which voters' biases can influence policy (Caplan 2008; Brennan 2016). With respect to pharmaceuticals, voters are biased in favor of excessive caution because drug-related injuries are more publicly visible and emotionally salient to them. When using dangerous drugs, such as Elixir Sulfidimide, Thalidomide, Vioxx, or opioids, voters encourage public officials to appoint and empower regulators to prevent drug disasters going forward (Carpenter 2010). Officials and voters do not see the people who are harmed by prohibitive approval or prescription policies except in rare circumstances, such as in the 1990s, when US officials passed legislation to expedite drug approval in light of patient advocacy movements such as ACT UP (Carpenter 2010). For this reason, elected officials have incentives to support regulations aimed at avoiding drug disasters, and regulators, whose funding and legal authority depends on legislative mandates, have incentives to be very cautious when determining which drugs may be sold to consumers.

Nonconsequentialists often emphasize that there is a sharp moral distinction between killing and letting die. Killing is morally worse than letting die because killing violates people's negative rights against interference or a principle of nonaggression, and it is often a known effect of one's action (Quinn 1989). To the public, it may appear that drug manufacturers kill people by selling dangerous drugs, whereas public officials merely allow people to die from their diseases. But the opposite moral characterization of drug regulations is apt. When officials enforce prohibitive regulations that prevent patients from accessing experimental drugs, and patients who could have been helped die from their diseases, these patients were killed by pharmaceutical regulators because regulators violated patients' negative rights against interference by preventing them from accessing potentially beneficial drugs. Moreover, regulators know that delaying drug approval can cause patients' deaths. In contrast, when manufacturers disclose the risks of an investigational drug, as long as patients consent to use it, manufacturers do not kill patients by selling them drugs because they do not violate patients' negative rights.

As an alternative to the current regulatory framework, officials should instead consider tort law as a way of ensuring that drug manufacturers comply with their negative duties to refrain from harming or deceiving consumers (Solomon 2009). Torts can serve the same functions as premarket regulations and prescription requirements, but they avoid some of the dangers of regulatory capture, such as the harmful effects of drug lag and drug loss. Tort law is not a perfect solution because judges are influenced by politics too. But torts would not violate patients' negative rights of self-medication either. Richard Epstein defends a similar approach to medical malpractice as well, arguing that a contractual model of medical liability would enable access to risky medical procedures for patients who waive their right to hold a physician accountable for adverse effects (Epstein 1976).

In addition to changes to medical liability, the principles of patient empowerment that I and other libertarians defend would call for physicians and pharmacists to rethink their role. Currently, physicians and pharmacists advise patients about their medical options and are also legally empowered to act as gatekeepers who control patients' access to drugs. Rights of self-medication in no way threaten a physician's or pharmacist's epistemic authority on matters related to medicine, but such rights are incompatible with the gatekeeping role these health workers play. If public officials respected patient's rights of self-medication though, patients' relationships with their physicians needn't change. People who value their health would still do well to consult with medical experts about their options.

And while physicians and pharmacists should not be empowered to prevent patients from accessing pharmaceuticals, a more liberal or libertarian approach to medicine may also empower health workers in other ways. For example, by emphasizing the importance of freedom of conscience, this approach would also support health workers' rights to refuse to provide treatments that violated their moral commitments (Wicclair 2011). And libertarians dating to Milton Friedman generally oppose occupational licensing requirements that authorize professional guilds to determine who can legally practice medicine. In the absence of occupational licensing requirements, professional associations would still be permitted to certify health workers, but different kinds of health workers would be able to specialize or develop new models of patient care (Svorny 2004).

As with pharmaceuticals, a certification system for health workers could achieve many of the goals of a prohibitive system of licensing while also enabling patients for whom the licensing system is inadequate to choose alternative forms of health care. If patients are happy with the current system, they can follow the recommendations of certifying agencies and private "knower organizations" that provide information about the quality of a product or provider (Klein 2001). Critics of markets may worry that such an approach, which makes medical exchanges more like other commercial exchanges, could change the meaning of medical relationships (Hartzband & Groopman 2012). Libertarians generally respond that such a change in meaning is not sufficient grounds for prohibiting a market (Brennan & Jaworski 2015). These arguments extend to medical contexts as well (Taylor 2005). Even if a more consumer-oriented or market-friendly approach to medicine did change some patients' relationships with health workers, those who valued the current system would not be prohibited from seeking medical advice or complying with the agency's recommendations, while those who are harmed by the current system would have more options.

If patients have rights of self-medication, then public officials should also reconsider existing restrictions of commercial speech. Most countries currently prohibit direct-to-consumer pharmaceutical marketing, and even in the United States, where direct-to-consumer marketing is legal under certain conditions, manufacturers are not legally permitted to advertise drugs for off-label uses, even if they only communicate truthful information. As Eugene Volokh argues, speech restrictions are not only wrong because they prevent speakers from communicating their ideas, they are also wrong because they prevent people from hearing new ideas, and commercial speech restrictions are incompatible with this "listener-based" justification for freedom of speech. For this reason, marketing restrictions that prohibit manufacturers from communicating truthful information to consumers not only violate manufacturers' freedom of speech, they also prevent patients from exercising their rights to make informed medical decisions.

Do the foregoing arguments require that public officials always refrain from interfering with voluntary exchanges between providers and patients or between manufacturers and consumers? If so, then should officials enforce patents that prevent generic drug manufacturers from selling to consumers? Whether officials should limit manufacturers' intellectual property rights in order to facilitate greater access to drugs is a difficult question, and the answer will depend on the moral significance of consequences and whether people have intellectual property rights.

On one hand, libertarians may argue that manufacturers have natural rights to their intellectual property that officials have duties to protect for at least some period of time, for example, by an appeal to Lockean arguments for property rights (Cwik 2013). If manufacturers have enforceable intellectual property rights, then just as libertarians support systems of governance that protect citizens' physical property, a system of intellectual property could be justified on similar grounds. But other libertarians are skeptical that officials do have the authority to enforce intellectual property rights and would therefore challenge whether officials and manufacturers are entitled to prohibit people from manufacturing generic drugs (Chartier 2011; Kinsella 2013).

Alternatively, libertarians may focus on the good consequences of a patent system for drugs in justifying it. One of the main reasons to reform prohibitive approval requirements is to avoid drug loss, since policies that deter pharmaceutical innovation cause a great deal of economic harm and loss of life. Patents may empower manufacturers to charge high prices for drugs, but efforts to reduce drug prices by limiting or eliminating patents would likely do more harm than good. As Frank Lichtenberg writes, "a 10 percent decline in drug prices would … be likely to cause at least a 5–6 percent decline in pharmaceutical innovation" (Lichtenberg 2006). Since patents preserve manufacturers' incentives to create innovative lifesaving therapies that substantially promote longevity and income, calls to reconsider the patent system are morally risky. As an alternative to patents, some bioethicists propose publically or privately financed prizes to encourage pharmaceutical innovation for rare diseases (Buchanan *et al*. 2011; Hassoun 2012). A prize system could work alongside a patent system or, if patents are not morally defensible, it might be a promising alternative to patents.

Liberal egalitarians and libertarians may endorse many of the foregoing arguments in favor of rights of self-medication. For example, many liberal egalitarians reject paternalistic policies on the grounds that when officials enforce paternalistic policies, they also express offensive and condescending judgments toward citizens, insinuating that people are incapable of deciding for themselves (Shiffrin 2000). Yet some liberal egalitarians may nevertheless object to the antipaternalistic policies I defend on the grounds that when citizens make choices, they impose costs on their fellow citizens and undermine the fiscal or political sustainability of a welfare state that provides citizens with health care or health insurance. In contrast, a more libertarian approach to health care would not support the public provision of health care or health insurance, and so proponents of this approach should therefore not object to rights of self-medication on these grounds (Cochrane 2013). After all, if people do not have rights to publically funded health care, then even if states provided people with health care, then taxpayers cannot claim that the beneficiaries of their representatives' beneficence harmed them by accepting it.

But for the sake of argument, assume that all citizens do have rights to publically provided health care or health insurance (Daniels 2013). Liberal egalitarians tend to agree with this assumption, unlike many libertarians. If so, then seemingly paternalistic policies may be justified without an appeal to paternalism but rather on the grounds that citizens' harmful and unhealthy choices make the public provision of health care or health insurance more expensive and thereby harm taxpayers. It may then seem that public officials could permissibly limit people's rights of self-medication on the grounds that risky medical choices were potentially harmful to their fellow citizens.

Even if it were permissible to compel people to pay taxes in order to provide to health-care insurance for all, though, it still wouldn't follow that other forms of coercion were permissible for the sake of minimizing the cost to taxpayers (Flanigan 2015). For example, some people's decision to refuse to use statins causes a greater number of heart attacks, which imposes fiscal burdens on the public health-care system. Nevertheless, public officials are not permitted not compel people to take statins against their will. Similarly, if people have enforceable rights to publically funded health care, such rights would not justify paternalistic restrictions on people's other rights for two reasons. First, if citizens could waive their rights to health care, then a person could reasonably trade her claim to public health insurance in exchange for the right to use unlicensed health-care providers or unauthorized drugs. Or, if rights to health care cannot be waived, then people would not make themselves preemptively liable to be interfered with on the grounds that their unhealthy choices make it more expensive for taxpayers and officials to subsequently provide them with health care, just as people do not waive their rights to publish unpopular commentaries or walk through dangerous neighborhoods even if, by exercising these rights, they make it more expensive for public officials to ensure their safety.

3 CONCLUSION

The case in favor of rights of self-medication has more general implications for moral assessments of public policy. It highlights the ways in which public officials often appeal to moral justifications for interfering with intimate and personal choices, such as paternalism, which would not justify coercive interference in private contexts (Flanigan 2013). Arguments for self-medication also call our attention to the unseen victims of prohibitive policies, such as patients who die waiting for drugs to be approved and those who suffer as a result of regulations that deter innovation. Finally, these arguments show that policies that respect people's rights are not necessarily incompatible with policies and institutions that aim to promote people's wellbeing. A more libertarian approach to medicine could preserve many of the benefits of the current system through certification programs that help patients stay informed while also respecting each patient's medical autonomy.

NOTES

1. For a defense of a view like this, which holds that informed consent prevents wrongdoing, see Manson and O'Neill's work (Manson & O'Neill 2007).
2. Brian Palmer writes, "It costs around $1.75 billion to develop the average cancer medicine. Only drugs for respiratory disorders, at $2 billion, can top that total. (AIDS drugs and anti-parasitic are the real bargains, at between $500 million and $700 million)" (Palmer 2010). See also (Becker 2004; Peltzman 1973).
3. For more information about the health effects of pharmaceutical regulation see (Klein & Tabarrok 2016).
4. I describe and defend patient-driven drug development in more detail in (Flanigan 2017).
5. See the work of John Simmons and Michael Huemer for a more thorough defense of this position (Huemer 2012; Wellman & Simmons 2005).

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29

Tolerance

Ryan Muldoon

INTRODUCTION

Libertarians are a minority. According to Pew Research, as of 2014, about 11 percent of Americans both identified as libertarian and knew what the term meant. Doing a cluster analysis on American political views, Pew found that only 5 percent of the sampled population held consistently libertarian views (Kiley 2014). To put that in perspective, libertarians in the United States are a political coalition that is somewhere between the proportion of Asians (4.7 percent) and the proportion of African-Americans (12.2 percent) in the total population. Amongst philosophers, the picture is roughly the same. According to a recent survey of philosophers, 9.9 percent identified themselves as libertarian (Bourget and Chalmers 2014). According to an older survey of members of the American Economics Association, about 8 percent of economists identify as supporters of free market principles (Klein and Stern 2007). So both amongst laypeople and people who have some expertise in philosophical or economic reasoning, the libertarian position is nowhere close to the dominant. While one can likely identify faults with the surveys, it's unlikely that they are all off by an order of magnitude. Libertarians look like they are somewhere around 10 percent of the population, and advanced training in relevant disciplines doesn't seem to move the needle much. That advanced training might help self-described libertarians become more consistent in their beliefs, but, at least on its face, it doesn't seem to convert people toward or away from libertarianism.

That libertarian views are a minority does not tell us much about whether libertarianism is itself correct as a moral or political position. But it does speak to whether libertarianism is, at the present time, something that can by itself usefully guide our politics. I suggest it cannot. Importantly, that is not because libertarianism doesn't have useful and important contributions to the political discourse but rather because around 90 percent of the population is disinclined to accept a more robustly libertarian social contract.

That said, there are key insights in libertarianism that argue in favor of a robust tolerance of a variety of disagreeing perspectives. This goes beyond a principle of non-aggression. In this piece, I am going to remain relatively agnostic on the correctness of libertarianism and instead focus on how to think about what libertarians ought to aim for politically, given that they are unlikely to convert enough people to libertarianism to be a majority position. What I aim to do here is to show two things. First, I argue that political arrangements can't hang on a single moral conception, especially when it is contested; and second, that libertarian insights can help us think about the mechanism for generating a social contract. Interestingly, this mechanism depends on a great deal of underlying disagreement. This can help provide a self-interested motivation to tolerate political views that you think are wrongheaded.[1]

Let's consider the first claim: that political arrangements ought to be independent of any given comprehensive doctrine. To put it another way, we can see two kinds of tasks for adherents to a comprehensive doctrine such as libertarianism. First, one could work to demonstrate its *correctness* as a moral theory. In light of deciding for oneself that the moral theory is correct, one can aim to live one's life in accordance with its principles. Second, one can establish a politics that reconciles the moral view with the goal of living in relative harmony with others. In an all-libertarian state, the second task more or less collapses to the first. In a libertarian population, people convinced of the truth of libertarian principles wouldn't need anything else to guide their social interactions. At best, a minimal state that adhered to libertarian principles would be established to deal with rule violations and common defense. When a political conception rests solely on a moral conception, then the task of politics becomes simply to ensure that the underlying moral theory is being followed and mechanisms are in place to support adherence to the moral code. However, in a population with more diverse views, the first and second tasks remain distinct. While libertarians may well be compelled by arguments in favor of its correctness, non-libertarians remain unconvinced. Therefore, the second task becomes much more important: developing a set of political rules that works to reconcile one's moral commitments with the reality of others who do not share those commitments. This second task clearly separates from the first simply because the moral grounding of the political conception that was achievable in the homogeneous case isn't possible in the diverse case. We cannot and should not legitimize political institutions and rules on grounds that most people do not accept. Such institutions would not be stable, because they would do no work to prevent people from violating rules that they take to be against their interests or against their conscience. For instance, an atheist would be uncompelled by religious restrictions on consuming pork products, because she would reject the premises of the religious justifications. Even if those restrictions came from the true religion, whose theology is correct, an atheist would remain uncompelled. Political institutions must rely on other grounding if they are to remain stable in a more diverse population.

I think that these two tasks represent a division of labor between moral philosophy and political philosophy and show how political philosophy remains essential, even if we were to somehow discover the correct account of morality. So long as other people sincerely disagreed about the correct moral theory, we would still need public rules that would allow all of us to live together. Unlike physical laws for which we can design decisive experiments, moral theory provides no such test that would be universally accepted as conclusive. This is in part because our disagreements run quite deep. Political philosophy is thus meant to provide the tools to manage this disagreement.

DISAGREEMENT RUNS DEEP

A standard way of resolving moral disagreements has been using veil of ignorance–style arguments.[2] In Rawls' formulation, parties behind the veil of ignorance do not know anything about themselves or their social position, including what generation they are, what race or sex they are, what their natural endowments are, or what their economic prospects are. While they know facts about the world and have a suitable understanding of economics and relevant academic knowledge to make informed decisions about questions that they confront in this situation, they don't know about themselves, nor do they have any ability to calculate probabilities about their likely position. As such, when they are behind the veil of ignorance, they are blind to their own interests. Rawls and others have argued that agents behind the veil of ignorance will come to agree on moral or political principles because it is our conflicting interests that are the source of our disagreements. Once our interests are put aside, we will come to a consensus about principles of justice (or any other moral issues that we are trying to resolve). What this is meant to do for us, then, is that once we determine what parties behind the veil of ignorance would choose, we should ourselves feel bound by this choice. After all, the reasoners behind the veil of ignorance were able to strip away their self-interest and focus only on the morality of the situation.

As (Muldoon *et al.* 2014) argued, this line of reasoning is mistaken. While divergent interests are surely a significant source of disagreement between parties, we can disagree even if we don't have conflicting interests. How is this the case? Very simply, the parties can see the world on different terms. In a formal economic model, we would represent this as different agents having different partition sets over state space—that is, agents would categorize things in the world differently from each other. The agents see different "stuff" in the world, and this can cause them to be responsive to different sources of evidence and see different things as problems. To put it in concrete terms, in *A Theory of Justice*, Rawls imagines the agents in the original position behind the thick veil of reason considering alternative principles of justice using primary goods as the relevant yardstick. Sen has argued that primary goods are inputs to well-being, not outputs, and so instead argues that parties should rely instead on capabilities as a measure, as they capture real choices that people can make. Libertarians might further object and ask for a measure of liberty to be used. Each of these approaches to measurement—primary goods, capabilities, and liberty—would shift the nature of the options under consideration and would change relative assessments. After all, not all distributions of primary goods would lead to the same capabilities sets, nor would an increase in liberty necessarily generate an increase in capabilities. So, the top-ranked option in terms of primary goods is unlikely to match the top-ranked option in terms of capabilities or the top-ranked option in terms of liberty. Note that none of these disagreements require self-interest. In fact, this disagreement isn't even about which outcomes are best! It is about how to describe the outcomes in the first place. It is about what evidence we attend to when we are engaging in a moral evaluation. Nothing in a definition of rationality tells us which measure to use. But as we have seen, the measure does tell us what kind of evidence we ought to pay attention to. This in turn is going to inform how we value things. It's hard to value liberty if you're only measuring, say, material outcomes. You can't value what you can't see.

PERSPECTIVES

What we find, then, is that even if we put our interests aside, we can still have deep moral disagreements, and these are most likely to come about when we have different *perspectives*. If we all share a perspective (for instance, we all hold a perspective that categorizes moral and political arrangements in terms of rights protection, liberty, and coercion), then a veil of ignorance might work. Our particular interests can be set aside while we agree on principles for adjudicating any particular dispute. Alice and Bob might disagree in a contract dispute, but because of a shared perspective, behind the veil of ignorance, they can come to agree on principles that would allow a court to determine who was in the wrong. If we do not share a perspective—if Alice holds a more libertarian perspective and Carol is a luck egalitarian who carves up the world differently—simply setting aside their interests will not resolve their dispute. Carol isn't going to be more attracted to libertarian principles behind the veil of ignorance, and Alice isn't going to suddenly start comparing different tax regimes in terms of how well they balance material outcomes. At most, what a veil of ignorance will do for us is block attempts to opportunistically adopt whatever moral perspective suits our current interests. If Alice is deeply compelled by a property-rights argument while she holds most of the property but finds it unattractive when she lacks property, a veil of ignorance might help resolve that kind of opportunistic masking of one's greed behind a moral principle. But it won't resolve disputes between a committed libertarian and a committed utilitarian. They simply see different worlds.

In my recent book, *Social Contract Theory for a Diverse World: Beyond Tolerance*, I argue that perspectives are fundamental to an understanding of political disputes. As we've already seen, different perspectives will cause us to see the world in different ways. One might be tempted to say that yes, different perspectives will cause us to see the world differently, but that's just because the wrong perspectives mis-describe the world. So, for instance, an egalitarian perspective might show us one way of categorizing states of affairs, but it would just be wrong in the same way that alchemy is the wrong way to think about chemistry. This would give us reason to reject other perspectives. Unfortunately, I think that this is incorrect. To see why, let's step back from normative considerations and instead think about what we see when we go to the grocery store.

Alice, Bob, and Carol all go to the grocery store. When Alice looks around, she sees fruits, vegetables, meats, dairy, and grains. She's a vegetarian, so she knows to ignore meats and look at the rest. Bob is looking to lose a little weight and has gotten quite serious about his diet. When he looks at foods, he sees them in terms of fat content. He ignores high-fat foods and favors fat-free items. Carol is a painter and wants things for a still life. She's interested in colors and textures. She wants a variety of complementary colors and textures and so goes after very different items. Each person in this example categorizes the same stuff in different ways. One would be hard-pressed to say that one of them was wrong. After all, it sure looks like the perspectives were ill-suited to the purposes that Alice, Bob, and Carol were trying to serve. Color and texture doesn't really help Bob lose weight, and fat content doesn't really speak to whether Carol would think it would contribute to a still life. What we can notice from this example is that—at the very least—different perspectives are going to be better or worse depending on the task at hand. There isn't a single, dominant perspective that outperforms all others across all questions we might want to ask.[3] We might find some obviously false perspectives, like the ones that categorize foods in terms of what Martians like to eat versus what mole people enjoy, that we might have good reason to try and weed out from the population. But if a segment of the population thinks in those terms, at some point, politics has to be responsive to them, albeit constrained by the views of everyone else.

Given this example, we might think that the answer would be to combine Alice, Bob, and Carol's perspectives. We can think of color and texture and fat and meat content as distinctions in one overarching perspective. This might work until we start coming up with more considerations that people might have in the grocery store. Is the food halal? Kosher? Is it organic? Grown locally, or the product of fair trade? Does it have a lot of salt? Does it fit a paleo diet? And on and on. Eventually, the categorization scheme would get far too complex for us to reasonably handle cognitively. We only have so much brainpower, and we use perspectives to make a potentially very complex situation manageable.

Compared to the complexity of our social and political life, thinking about grocery-store items is trivial. And yet, even just trying to reason about the things one finds in the grocery store generates many different perspectives—different ways of seeing the stuff—that are going to describe things rather differently and are going to be good at answering very different kinds of questions. While one might have a pretty good handle on one's needs at the grocery store, it's far less clear that we all have a good handle on what we should be paying attention to in the social realm. Insofar as different perspectives track different kinds of distinctions we might draw and rely on different kinds of evidence, a multitude of perspectives can prove useful. With this idea in place, we can move on to the second task for this essay, which is to explore why we have self-interested reasons for a robust tolerance of other political perspectives.

PERSPECTIVES AND TOLERANCE

So, even if we are confident that our own perspective and our own values are the correct ones, we can start seeing reasons for having our political life governed by something other than whatever moral theory we take to be correct. First, we might be wrong about morality, and others might have it right. More interestingly, we might be right but only partially right. That is, a perspective such as one consonant with libertarianism might be getting at truly important features of our social world, but it could well be blind to other considerations that also matter. In some sense, this is trivially true in a morally diverse environment; given that it is the case that other people have adopted other perspectives to evaluate states of the world, that very social fact is part of what has to be navigated politically. What's more, there is a non-trivial sense in which we have this interest. Doctrines such as egalitarianism, utilitarianism, and libertarianism intentionally limit the kinds of informational inputs that are considered.[4] While this is advantageous for working out a clean and tractable theory, it's almost certainly going to cause the theories to miss out on important considerations. Given that you can't coerce people to take on your perspective, you are left needing to contend with how they see the world and how that shapes what they think is politically legitimate.

This is doubly true for minority positions such as libertarianism. Libertarians are very far from being in a position to impose their views through sheer numbers. Rather, they are much more vulnerable to having the views of others imposed on them unilaterally. A better approach for minority and majority positions alike is to find an approach to political life that leaves as much room as possible for differing political conceptions to work with each other without coercing anyone to abandon their perspectives. That is, we should all have reason to endorse a system that allows us to come up with, and revise, a social contract that respects the diversity of our underlying perspectives.

The core idea, then, is that when we face rather diverse social environments, we have both strong epistemic reasons and strong rational reasons to favor a social contract that aims to reconcile these differences in a way that allows parties from each perspective to endorse the contract on their own terms. In this way, tolerance for the views of others is not merely a concession to being unable to dominate them but is rather what enables us to make progress on our own terms. Perspectival diversity, then, isn't merely a problem to be solved but also a resource that we can exploit for not only refining our own views but also for discovering the full set of nuances of the political sphere. Our challenge is to develop a social contract that is not merely responsive to people's perspectives and values but also serves to provide a framework within which we can productively engage with each other in a broader social system of social cooperation.

Frequently, critiques of social contract theory center around the idea that the social contract was signed in some distant past, or it was signed by idealized agents in a thought experiment, and so its grip on us appears tenuous. In a similar vein, one might critique social contract theories for running afoul of a version of a central planner critique; given that social systems are incredibly complex, it is remarkably unlikely that an armchair theorist might develop an ideal set of social rules without potentially disastrous unintended consequences. Designing social rules is incredibly difficult. It seems unlikely that philosophers have any special talent for intuiting an optimal set.

I suggest a different approach to social contract theory, one in which contracts are up for revision. What I focus on, then, is not the content of a once-and-for-all contract but rather the process by which social contracts can be revised through time. This has a number of virtues, not least of which is that the contract can be sensitive to the makeup of the population and can be responsive to social and technological changes that might affect the kinds of tradeoffs that are enshrined in social contracts. So, rather than try and convince you of an ideal set of rules or institutions that regulate our social–political life, I present a mechanism by which we can discover better rules. As we will see, this bears an important resemblance to the discovery mechanism found in markets, though it is implemented a bit differently.

In *Social Contract Theory for a Diverse World*, I outline a three-stage revision process. The first stage is "the view from everywhere"—it is a test for cross-perspectival agreement over particular moral beliefs or social rules. This is a replacement for a veil of ignorance. Instead of eliminating interests, we compare whether positions can be justified across different perspectives or depend on a particular perspective. If there are such beliefs, they serve as fixed points that ground a bargaining stage, where fixed points are excluded from consideration, but all else is subject to tradeoffs. Representatives of different perspectives engage in a bargain over the sorts of rights that they wish to secure that do not yet enjoy more universal agreement. These two stages establish an updated social contract. The final stage is one of experiments in living within the boundaries established by the first two stages. That is, people try out different plans of life that are within the bounds allowed by the social contract. This experience with the revised social contract can help uncover areas where the rules have been a success and where they may fall short. For this reason, these three stages are iterated indefinitely. The final stage generates experience and evidence for the efficacy of the particular arrangement of social rules caused by the social contract. This is then fed back into the first stage, when the cycle iterates again. Rather than arguing for a contract that is fixed for all time, this account of social contract theory is more properly about an evolving contract. In this way, the social contract is meant to better reflect the perspectives and interests of the population that is subject to it and the kinds of problems and resources that are presently available.

Let's step through each stage in a bit of detail.

The first stage is meant to simply determine whether there are conceptions of rules or rights that have cross-perspectival support. The core idea is that within-perspective support could simply be an artifact of the perspective itself—the biased information processing of any given perspective may lead adherents astray on any given issue, even if in general the perspective is helpful. Cross-validating beliefs between perspectives allows for a kind of robustness check. This can be understood as a version of the Condorcet jury theorem, where it operates on perspectives instead of individuals. True, or at least better, political beliefs are unlikely to be extremely fragile to differing views, whereas bad ideas are more likely to be vulnerable to diverse ways of reasoning. In this first stage, we just aim to find what kinds of robust political beliefs we hold and where we have very little agreement.

The second stage takes the output of the first as its input. Robust political beliefs are held as fixed points. Those areas of disagreement are subject to a bargaining process across perspectives. Contested rights in this process are priced in terms of the externalities they generate—so rights that infringe on other rights are more expensive to obtain. While all parties are treated as political equals and hold equivalent bargaining power, rights in this model do not have to be universal. Some groups can "pay" for sets of rights that they value without having to impose that cost on others who do not value those rights. In this way, everyone has an equal power to achieve the actual set of rights that they find valuable. Some of these will be universal, while others will be more limited.

The third stage explores the consequences of the contract generated by the first two stages. Individuals can explore their own plans of life as constrained by the social contract. The goal is to generate a more robust version of Mill's experiments in living.[5] As adherents of different perspectives explore very different ways of life, we come to find out more not just about how well the rules of the social contract function but also how well different perspectives perform—on their own terms. This is crucial information that we can then feed back into our revision mechanism. Some perspectives will prove themselves to be not very useful, whereas others will outperform expectations. Some portions of the social contract might work very well, while other portions may not. Perhaps we will discover new sources of conflict and new avenues of cooperation that cause us to rethink our initial commitments in light of new evidence. By allowing ourselves to learn about the nature of the problem of political arrangements, we can get better at arriving at solutions. A diversity of perspectives generates more opportunities for us to engage in more discovery.

DISCOVERY

One of the great virtues of the classical liberal tradition is its sensitivity to the deep epistemological challenges that face large societies. This is perhaps best embodied by Hayek and made explicit in two of his papers, "The Use of Knowledge in Society" and "Competition as a Discovery Procedure." The power of both papers hinges on the idea that the world is complex, and individuals aren't capable of knowing enough on their own to manage this complexity. In the first paper, Hayek focuses on the idea that an economic central planner can't succeed in part because the central planner is attending to the wrong problem. The challenge isn't allocating given resources to their best uses, because we don't know—we can't know—what all the resources are or the ends to which they could be put. Markets don't merely allocate goods. Rather, markets create incentives for individuals to help bring disparate bits of information that might influence what goods are available, what uses they can be put to, and how important those uses might be. The price mechanism helps provide those incentives. Markets are important because they are discovery mechanisms. They help reveal to us complex facts about the world, all the while allowing us to participate in them without having to fully comprehend that complexity. Markets do what no central planner could because markets harness this incredible diversity of information and help to channel it for productive social purposes.

In the second paper, Hayek focused on the idea of market competition being vastly more interesting and important than standard models give it credit for. Competition isn't merely pitting two strategies against each other, going after a given quantity of scarce goods. Competition is how we find out about the marketplace. Competition brings out new knowledge. The desire to outperform one's rivals drives one to explore unknown terrain and, in the process, figure out which goods are scarce, how valuable they are, and how they might be used. Whereas Hayek in the first paper laid out the epistemological role that markets play, in this second paper, he develops the argument that competition in markets helps drive the discovery process. Finding new ways of reading a consumer market, or new ways of seeking productive efficiencies, or taking advantage of resources that are under-utilized allows individuals and firms to out-compete each other, but in doing so, these competitive strategies reveal more to us about the world.

The combined insight of these two papers is profound. Markets are engines of economic growth because they are engines of economic discovery. The market mechanism is fundamentally a tool of social epistemology. Its job is to solve a basic problem: It must enable cognitively limited beings such as ourselves to engage in increasingly sophisticated social cooperation to take advantage of a set of resources that we can't yet fully describe to achieve ends we don't yet know. Individual participants in markets do not need to have a sophisticated understanding of the broader social mechanism. They simply try and get more of what they want.

These insights are framed in terms of markets, but they are far more general than that. Our political life is at least as complex as our market life. None of us—and certainly no single perspective—has a full handle on the relevant information that would allow us to function like political central planners. None of us can design an optimal set of rules for living together. None of us can foresee the consequences of any given set of rules. This isn't merely just because of unintended consequences, like if we set a minimum wage too high and it drove some people out of work. Rather, it's because none of us—none of our perspectives—even pays attention to all the sorts of relevant evidence that may speak in favor of better sets of rules. No perspective captures it all.

Instead, we ought to rely on competition across a range of perspectives to bring out the kinds of data and evidence we need to begin to solve the political analogue to the allocation problem in markets. Namely, we need to discover the social contracts that will best suit us. None of us even has to present a full set of rules to achieve this end. Rather, just as in the market analogue, we can do this work by structuring our interactions with each other such that we are encouraging this kind of a discovery process. Each contribution to this effort will surely be partial, but a social mechanism can help us assemble these contributions into candidate sets of rules.

The social contract theory briefly presented here aims to do just that.

Libertarians are a minority. But libertarians have a tradition that deeply appreciates the complexity of social organization and the hubris of attempting to tame this complexity with an imposition of *a priori* rules. Just as central planners are going to fail in virtue of imposing their impoverished understanding on a complex world, so would a political philosophy that attempts to impose a single perspective on our complex political life. Taking these insights seriously militates toward a much more robust account of tolerance than we might have otherwise expected. Indeed, it goes beyond mere tolerance—to facilitate this political discovery process, we must embrace and encourage this diversity, as it increases the power of the discovery mechanism. Just as markets function best when they are thick rather than thin, the revision process I have outlined operates best when there are a broad range of competing moral and political perspectives.

NOTES

1. For a more technical argument in defense of a self-interested motivation for tolerance, see (Muldoon *et al*. 2012).
2. An early version of this argument was made in (Harsanyi 1955). Rawls arguably developed a less formal version of this argument a few years prior in (Rawls 1951). His later formulation in *A Theory of Justice* is by far the best-known account of veil of ignorance–style justification.
3. In fact, we know from the "No Free Lunch" theorem in optimization theory that if we consider the entirety of problem space, on average *all perspectives perform equally well*. For every problem for which a perspective performs optimally, there is one for which it does horribly. So on average, all perspectives perform equally well. That said, the conditions of the theorem are more general than we find in the real world, so we might be able to find a differential average performance of perspectives. But it's far from clear that we would be in a position to know in advance which perspectives performed better. Even if the strong version of the theorem were to not quite apply in our political lives, it still would levy a powerful epistemic challenge to any claims of a best perspective. There are simply too many things that we do with politics.
4. (Sen 1980) illustrates this informational constraint rather well.
5. Mill developed this in chapter three of *On Liberty.* In (Muldoon 2015), I argue how this idea can be extended much more broadly to apply to how political arrangements are justified.

FURTHER READING

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Mill, J. S. "On Liberty." in Robson, J. (ed.) *The Collected Works of John Stuart Mill vol. xviii: Essays on Politics and Society*, Routledge, New York (Offers a robust defense of tolerance as a core liberal value)

Muldoon, R. 2017 *Social Contract Theory for a Diverse World: Beyond Tolerance*, Routledge, New York. (The full account of the position I offer here)

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Paternalism and the Limits of Liberty

Sarah Conly

I think that the libertarian belief that one cannot legitimately be constrained to help others (in the absence of contracts, etc.) is quite false. However, I will argue that even if we accept that belief, libertarianism is consistent with more control over the individual, including government control of the individual, than its adherents might believe. While libertarians clearly do not want to accept paternalism, I will argue that paternalistic interference is consistent with basic libertarian beliefs: Since libertarianism can allow interference in order to protect us from harm from others, it can allow it in order to protect us from ourselves.

There are different forms of paternalism, some more plausible, to my mind, and some less plausible. All paternalists believe that it is permissible to intervene in people's actions in some way so as to make those people better off. Some paternalists believe in objective accounts of welfare, where what makes a person better off is not merely a function of what that person herself wants but rather involves some particular way of life that they believe is appropriate for reasons other than that it is desired by the person living the life. For many, these objective standards derive from some distinctive feature of what it is to be a human; if humans are distinctively rational, for example, we are better off insofar as we exercise our distinctively human rational capacities instead of lying about all day in a drunken stupor, even if a drunken stupor is all we aspire to. Others believe that the successful life requires action in accordance with religious or moral codes, so that we make someone better off if we are able to get him to, for example, refrain from eating meat on Fridays or rein in his penchant for theft. I do not myself find objective standards of welfare convincing; more to the point, though, imposition of standards not a person's own does seem to infringe on liberty. Insofar as libertarians (and others) want to protect the individual's ability to live the life he chooses, this form of paternalism is incompatible with libertarian principles. To declare that a person's own values may be set aside when we determine what sort of life that person should live seems to do many things we don't approve of: to diminish individuality, to limit our freedom to determine our own life-plans, and to suggest an unhappy differentiation between those who can correctly see what is valuable and those that can't.

However, other paternalists adopt a subjective standard of welfare. The appropriate standard for you is your own. You are living a life that is successful, in terms of welfare, if you are living accordance to your own values. One person might want a scholarly life, another might want life of public service, and a third might just want to devote themselves to family. A fourth might want to lie on the sofa and watch lots and lots of football. Different individuals value different things and want to live different sorts of lives, and I would agree that they make no error in wanting these different lives, even if, as we will see below, they do make errors in the means they choose to pursue these ends. It is this second form of paternalism that I argue is compatible with libertarianism. Interfering in someone's choices when those choices are contrary to that person's goals, even interfering coercively where the costs and benefits warrant that, is a practice that can be consistent with basic libertarian principles.[1]

This may seem surprising. After all, we think of libertarians as believing that the individual, "being sovereign over her own life, has an absolute, exceptionless right against such interference regardless of the benefit to herself that is part of the paternalistic package" (Arneson 2011: 23). At least some libertarians have seen government intrusions into the home and private life generally as particularly objectionable forms of regulation. Government control over the actual body is even worse; libertarians support the principle of self-ownership as a foundation for other claims about the illegitimacy of government intrusion, and self-ownership may be seen as located particularly in the ownership of one's own body. The body, after all, is the way we interact with the world, the way Locke sees us as mixing our labor with unclaimed resources so that we may come to own them, and so on. Indeed, even non-libertarians may find the body central to many morally relevant functionings—it's our means of experience, of self-expression, the way we make our desires felt in the world, and generally fundamental to who we are and the way we do things. For anyone, then, external control of the body needs justification, and for libertarians in particular, such justification may appear difficult to discover.

However, the argument for paternalistic intervention is straightforward. The same principles that allow us to stop one person from harming another allow us to stop a person from harming himself. We know now that decision-makers are not the rational, self-interested agents they might once have been thought to be. We suffer, all of us, from deep tendencies to be influenced in our decision-making by features that aren't relevant and that a perfectly rational agent would ignore. We are affected by irrelevant features in descriptions (framing) and by an unwarranted belief that we are less likely than statistics would indicate to undergo injuries; we are inclined to accept the status quo more than its actual value would warrant, and so on and so on. Many of these behaviors, and strategies for avoiding them, have been discussed in great detail, and they indicate that we don't make decisions in quite the way we might previously have imagined (Thaler and Sunstein 2008; Ubel 2009; Conly 2013; LeGrand and New 2015).

Let us say, for example, that in common with many others, I have deep, consistent, long-lasting desire to live a healthy life for as many years as that can be maintained. I desire health for its own sake—it feels better than illness—and because it allows me to engage in the other activities that make my life fulfilled. It's a desire that I have voiced consistently and which furthermore has influenced my behavior in many ways. I eat five servings of fruit and vegetables a day; I drink no fewer than eight glasses of water and no more than one glass of (red, antioxidant-laden) wine; I watch my weight. However, tempted by a decadent high-school boyfriend years ago, I started to smoke, and by the time his manifest ill judgment had led him to move on to another, I was hooked. Now, of course, I try to quit occasionally, but I fail. When I am not in the throes of a desire for nicotine, I think reasonably that this is an unhealthy and expensive habit, that giving it up will get no easier later, that the health effects of smoking will only worsen with time, and that the time to quit is now. When I am in the throes of desire, though, I tell myself there will be a better time later; life at present is just too stressful because of college applications, because of college exams, because of the job hunt, because I need to work hard for a promotion, and so on. I think that since smoking hasn't killed me yet, it's not so likely to do so later, and I focus on stories of the great-aunt who reputedly smoked like a factory and lived to 90. I smoke the cigarette, even though as soon as I have finished it I see once again that a life in which I routinely crouch behind a windbreak in the winter chill 50 feet from the office door to do something that is expensive and unhealthy is not really the life I want. Indeed, even as I want the cigarette, I wish that I did not want it and that I could live in a way that is consistent with my overall goals.

This is a familiar scenario. One of my desires is at odds with my other desires. Having inconsistent desires is common and not necessarily a grave cause for concern, but in this case, the particular appetite is destructive; it prevents me from reaching my own goals. When I give continue to smoke, I do myself harm. Just as others should not be allowed to harm me, or at least not in significant ways, I should not be allowed to harm myself.

What matters is not just that I do something that endangers my health. There are people for whom health is not all that important, or at least not as important as other things. High-altitude climbing is quite dangerous, and the chances of accident are quite high over time, yet many people persist in climbing again and again despite their vivid knowledge of the risks, even after they have seen companions and even family members die on the heights. [2] Their psychology is different from that of most of us, but their desires, however unusual, seem consistent, and their reasoning (as far as one can tell from the numerous accounts) is sound: They know the dangers of their activity but find the rewards worth the risks. This not the same for the smoker I have described: She fundamentally opposes the activity in which she finds herself engaging, but a combination of physical craving and poor reasoning when in the grips of that desire subvert the decision-making process, and she chooses something that undercuts, rather than enhances, her ability to reach her own long-term goals. She acts voluntarily, but she acts in a way that is in opposition to her ongoing interests.

It is not, I would argue, that she literally is unable to withstand the craving for a cigarette, so that we might say she isn't even making a decision in this case. If she believed that smoking the cigarette would cause her immediate death—if she knew it was laced with cyanide, so that after satisfying her craving for nicotine she would drop dead—I don't doubt that she could resist it. Rather, the temptation to smoke allows her to accept, temporarily, poor reasoning as good; to discount the future unduly; to tell herself that since the first cigarettes haven't harmed her perceptibly, the following lifetime's worth of cigarettes won't either; to succumb to unwarranted optimism (next time she'll be able to quit); and so on. [3] She suffers from familiar cognitive biases: anchoring, future discounting, and the optimism bias, and she makes decisions that are at odds with what she herself believes to be her own best interests.

Smoking, on the part of someone who wants to be healthy more than she wants to smoke, is a relatively obvious case where poor reasoning interferes with the person doing what is in her own best interests. There are, of course, many others. Some people may make cognitive errors when tempted by appetite, as in the smoking example; they don't eat to the point of obesity (and beyond) because they truly value the joys of eating more than they do good health and being thought attractive by others but because they do badly at calculating incremental effects when they are hungry. Or, poor decisions may not actually involve any positive appetite for the thing we choose; people eat too much because they "mindlessly" eat the portion put in front of them even when that is more than they actually want (Wansink 2010), or because they correctly calculate that larger portions cost less per ounce than do smaller portions and want the more economical deal even though that yields no more satisfaction,[4] or perhaps for other reasons. Some, of course, eat more because they truly prefer eating more fatty foods to being healthier, but evidence shows that for many people, the decision is based on flawed reasoning rather than reflecting the greater desire. And so on: We understand that too often we fail to save money for our old age, to choose the best pension, to negotiate the best contract, to choose the surgery that is in our best interests, or to vote in the way that reflects our true desire.

Why, after all, do we find choice to be morally valuable? What makes it worthy of respect? Because choices express our desires, because they demonstrate our values, because they help us live the life we want to live, because they help us create an individual existence like no other, because they demonstrate our uniquely human capacity for the rational consideration of facts and our appreciation of those in determining what we decide to do—all of these are touted by those who value the integrity of personal choice. All these things may well be good reasons for respecting choices when those choices have these valuable properties. But while it may be said of some choices that they have these attributes, it is manifestly not true of others. On the contrary: Some choices are contrary to what we truly want, are destructive, incline us to accept influence by our peers rather than manifest individuality, and arise from unrecognized irrational bias. To say that such choices allow of no interference is foolish.

When we speak of ownership of the self, we must remember, after all, that the self is not unitary. On the one hand, I desire a cigarette. On the other, I wish I didn't desire the cigarette and wish I would not smoke it. One aspect or other of the self will be the loser, here; we will act in service of one desire and at the expense of the other. Surely we seem to be more in charge of ourselves when we serve the longer-term desire, or the desire we have endorsed, rather than the intermittent desire whose existence we regret. If others need to help us to make that happen, the end can be more, rather than less, psychological integrity. Robert Nozick himself says that there is clear significance to the fact that one is

> a being able to formulate long-term plans for its life, able to consider and decide on the basis of abstract principles or considerations it formulates to itself and hence not merely the plaything of immediate stimuli, a being that limits its own behavior in accordance with some principles or picture it has of what an appropriate life is for itself and others, and so on. ...[a being with] the ability to regulate and guide its life in accordance with some overall conception it chooses to accept. (1974: 49)

Indeed, for Nozick, much of the force of the libertarian argument for non-interference rests on this special evaluative feature of humans. Interference is destructive of our attempts to craft a life:

Why not interfere with someone else's shaping of his own life?… I conjecture that the answer is connected with that elusive and difficult notion: the meaning of life. A person's shaping his life in accordance with some overall plan is his way of giving meaning to his life; only a being with the capacity to so shape his life can have or strive for meaningful life. (1974, 50)

While Nozick elaborates on this power to shape one's own life in light of one's goals as a reason not to be required to help others, it clearly doesn't provide the same rationale for protection against paternalistic measures. On the contrary: If we want to shape a life, to do what is needed to reach our goals despite our natural human tendency to make errors of reasoning that prevent us from doing that, paternalistic measures are called for.

Can libertarians argue that the two cases are significantly different? That there are some differences is clear. In the one case, a person is hurting someone else, and in in the other, she is hurting herself. (Some may believe that in undermining one's future interests, one is essentially hurting a different person, one's future self, and that one has no right to hurt that distinct person. While that is an intriguing thesis, I don't find it convincing that one's future self is [typically] a truly different person, and I will not rely on that argument here.) The question is what the significance of this difference is in the case of harm.

One might argue that in the case of self-harm, a person has necessarily consented, and this consent vitiates any grounds for intervention. If I go to hit a random passerby in the face, I intend to do something that infringes on his liberty, and it is permissible (or in some cases obligatory) for others to intervene. If I punch someone in the face in the course of a boxing match, though, I am taken to have his permission; we have agreed to partake in an activity that we know includes risk of intentional harm and, quite possibly, serious harm. The person I punch has no cause for complaint as long as I have followed the rules we've agreed to, even if the harm I inflict is considerably more serious than the harm I would have inflicted on the random passerby.

The situation where I inflict harm on myself may look considerably more like the boxing case than like the attack on the stranger. Even if I am in some sense struggling with myself in the face of temptation, the agency involved is my own. (This might not be the case with a truly irresistible compulsion, but not all cases of self-harm can be construed as irresistible compulsions.) I don't feel that I have been overwhelmed by an alien force. Rather, I feel that I've engaged in some irrational thinking that appeared to justify my poor choice. In some cases, tendency is exacerbated by my being in a situation where I feel temptation or emotion. Other cases of self-harm may involve no feelings of conflict at all; many cognitive biases affect our actions in the absence of any occurrent desires. In these cases, there is no sense whatsoever of split agency—the decision-maker simply accepts, for example, the default option as the best, without reflection. I do what harms me without a moment of resistance.

So, whereas punching a random passerby is clearly a violation of his rights and clearly has an identifiable violator, self-harm may look like a case where I've agreed, in some sense, to do the thing that hurts me, and in that case, however harmful it may be, it does not constitute an injustice that others should prevent me from inflicting. When Nozick (1974: 161–2), for example, talks about fair transfers of property, the criterion for justice in the transaction is that everyone involved agrees to the transaction. It is only if the exchange is fully voluntary that we are bound to respect it, but if it is fully voluntary then, all things being equal, we are. In the case of voluntary self-harm, one may argue that it would be illegitimate for a second party to intervene when a person is doing something to himself voluntarily.

This isn't so clear, though, when we look at the actual decision making involved. A person who takes up a cigarette and smokes it is, in a sense, acting fully voluntarily—no one else is making him do it, and I've stipulated that in this case we should not insist that the smoker is under some sort of compulsion. However, when we consider what counts as true consent, we generally include as a criterion that the consenting party has full knowledge of the relevant facts and is capable of reasoning appropriately in light of them. Thus, we don't hold that children or the mentally disabled are capable of consent, because one or both of these factors is too likely to be absent. A child may, to be sure, understand the laws of physics well enough to know that if his parachute fails he will fall very hard and very fast, but we still think a child's consent to parachuting isn't valid, because we doubt that he truly appreciates the dangers. Even when knowledge or capacity is only temporarily missing, its absence invalidates consent; thus, a person who is drunk (even if conscious and generally aware of his or her situation) cannot consent to sexual relations, because the capacity for judgment is undermined by the alcohol. In medical contexts, too, the need for consent requires not merely that a person agree to what the doctor may suggest as to treatment but also that he actually understands what it is he is agreeing to. To say that someone acts without external compulsion and to say that he has given genuine consent are two different things, as we generally recognize.

So, to argue that we have consented to our own self-harm, and that therefore intervention is unjustified, takes some doing. The mere fact that we perform an action voluntarily doesn't mean that we actually understand precisely what it is that we are doing. Biases influence us in ways we cannot identify as we make our decisions, so that often when we try to be objective and think clearly, we fail to do that. Knowing the facts in the sense that one may repeat them and actually having a vivid sense of what those facts mean in terms of one's own life are very different things. Presumably this is why we can know, for example, that our chances of winning the lottery jackpot are 1 in 4,496,388, but at the same time we think this is a better way to prepare for solvency in old age than investing the cost of the tickets in a savings account.[5] We don't really get it.[6]

One may, of course, stipulate that agreement in such circumstances still constitutes consent, but in such a case, "consent" then loses what moral weight it might have had. The force of a choice's being voluntary is undercut when you voluntarily agree to something that isn't really what you want; say, the surgery that is framed in the most psychologically pleasing way rather than the surgery that best advances your ends. Nozick has said if we want to describe the correct principle of distribution through a maxim of the type "From each according to x, to each according to Y," that the relevant factor in just distribution is choice: "From each according to what he chooses to do, to each according to what he makes for himself…and what others choose to do for him and choose to give him of what they've been given previously…and haven't yet expended or transferred." Thus, as he says, it may be summarized "From each as they choose, to each as they are chosen" (Nozick 1974: 160). Choice, however, doesn't have this normative force if it is largely a function of the confluence of externalities.

Much of the libertarian opposition to laws that require us to help others seems to rest on the belief that such a requirement violates self-ownership, or autonomy, or some sort of inviolability of the person. They see such laws forcing us to expend our own efforts on others' behalf when we have not agreed to do that, and libertarians see that as akin to involuntary slavery, where another controls one's body and one's labor. Not only would the requirement that we work for others appear unjust in itself on this interpretation, but it might also lead to the other person having an unfair advantage over ourselves, due, frustratingly, to our own efforts on his behalf. What we deserve for ourselves has gone to someone who has no just claim to it.

I don't agree with this interpretation of regulations that force us (upon occasion, usually with no great sacrifice to ourselves) to help others. However, even if one did agree that being forced to help others was an illegitimate intrusion for these reasons, being forced to help ourselves is obviously very different. My body is not being pressed into service on behalf of someone else. No others will gain an advantage over me through my efforts. My own goals will be furthered by the acts that I am constrained to do. I will be better off by my own lights. The only element of coercion applies to the means I choose to my ends.

One might, perhaps, argue that a sufficient amount of interference, even to one's own benefit, can still make a person feel like a slave: a slave to prudence, or a slave to duty, or just a slave in the sense of a person who feels he has no discretion in his personal choices. Diet, exercise, reading material, drinking habits, social interactions are all forced on him in line with, granted, his own goals and ideals. We can well imagine that a person would become alienated from even his own goals if he is forced to work in accordance with them when he doesn't want to. Say I am one of these people who describes herself as a writer but who actually finds she never quite gets around to sitting down and writing anything other than the occasional story idea. Even if I really do want to become a novelist, and some well-meaning paternalist chains me to my desk until I churn out a given number of pages per day, I am not likely to rejoice at this fulfillment of my dream. (I might, perhaps, especially if the novel-writing turned out to be spectacularly amusing and successful. There is some attraction at least to so-called Ulysses contracts, where I voluntarily commit to being controlled by others in the future, for my own benefit. In the example given, such precommitment is not imagined—some other person merely decides to make you take the appropriate means to your goal.)

Such a picture ignores the fact that almost none of us is so monomaniacal in her goals, however. Even where we have one greatest goal, we have others as well; the most important goal need not be exclusive and very seldom is. We want to relax, to listen to the rain on the roof instead of getting to work, for example. We also do get some satisfaction from making ourselves make appropriate decisions, and where that is relevant, making ourselves do the work. This should not be overstated—for most of us, control of the self is important but not necessarily our greatest goal and, again, not an exclusive goal. And it is something we care about differently when it comes to different activities. (Most of us don't seem to mind at all that the Food and Drug Administration prevents us from spending our money on fraudulent drugs or fruits polluted with E. coli.) Given all our goals in combination, it is not likely that being chained to our desk would be a boon by our own lights. Nor, given the fact that we do care to some extent and in some contexts about liberty of choice, are we likely to want all our decisions taken out of our hands, even if all the right means are then chosen for our (other) goals. This slippery-slope scenario, peddled so often by those who oppose paternalism, ignores the fact that paternalists aim to do what advances our interests, and a complete state of unfreedom would not do that inasmuch as we have an interest in freedom. So, the prospect of servitude to the self is not one we need to worry about.

Libertarians may, like anyone else, fear that paternalistic laws will be ill-crafted. That is fair enough. Those who are truly paternalistic (who indeed intend to benefit us by constraining our requiring some actions) may make mistakes about how best to do that. Others may pretend to be paternalistic when they are not, requiring us, say, to use lots of milk products as a calcium source only because they've been paid off by the dairy industry. Or, they may require that we pursue certain ends, like health, in which most of us do have an interest, but only for their own purposes. Nozick imagines a slave owner who forbids his slaves to participate in dangerous activities such as mountain climbing or smoking because these activities threaten his financial return. While this might be coincident with the slaves' goals, the owner's only concern is his own advantage (1974: 291). The concern that paternalistic regulations might be misused is reasonable, and we have had experience of all of these unfortunate types of legislation. This, however, is a very distinct sort of objection to paternalism. It is no longer a principled objection but a practical one, based on fears that the implementation of paternalistic laws may be difficult to accomplish effectively. It is an objection that has nothing peculiarly libertarian about it, since it is shared by public-policy theorists of all sorts. That we need to be careful when we allow others to make regulations that will affect what we can do is no argument for libertarianism and no argument against paternalism.[7]

NOTES

1. Just as there are different forms of paternalism, there are naturally varieties of libertarianism. I am arguing that paternalism is consistent with commonly accepted libertarian principles even if not with all particular libertarian theories.
2. The American climber Willi Unsoeld (who lost a number of toes to frostbite during the first ascent of the West Ridge of Everest) led many other expeditions, including one in which his own daughter was killed. When some people were taken aback by his continuing to climb frequently after her death, he pointed to the value of taking genuine risks and said "If I were to change my philosophy because it was my own daughter [who died] it would make the whole thing worthless, and it isn't worthless" (Roper 2002: 282). Unsoeld died during a winter climb of Mount Rainier at the age of 52.
3. For an exhaustive discussion of the cognitive errors involved in smoking, see Goodin 1989.
4. I heard this explanation from Dan Wikler.
5. Odds for winning the TriState Megabucks jackpot, http://www.mainelottery.com/games/megabucksplus.shtml
6. G. A. Cohen (1995: 23) has argued, similarly, that our agreement to a deal shouldn't have the moral weight Nozick places on it if we would not have agreed to the deal had we known the consequences of doing so. I agree with this but would extend the range of his insight. Even if we do know in some sense the consequences of our action, our failure to correctly internalize that knowledge vitiates the force of the agreement.
7. Accepting the existence of common, blameless cognitive bias may undermine other libertarian claims as well. Exploration of such consequences is beyond the scope of this paper, but I think they do warrant discussion.

FURTHER READING

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Free Markets and Exploitation

Hillel Steiner

In some circles, it has long been a widely held orthodoxy that liberalism – especially, though not only, in its libertarian form – is simply incapable of sustaining a concept of exploitation that could apply to exchanges in free markets. Eschewing any particular conception of the good life and of objective economic value,[1] agnostic as between different tastes and preference orderings which it simply takes as given, and dismissive of irreducibly holist or functionalist explanations of social interaction, it commits itself only to a stark conceptual budget of individual rights and choices as the basic explanatory data of social phenomena. Its consequent deployment of a neoclassical/subjective conception of economic value is presumed to render it incapable of finding differentials between the preference-determined market price of a good or service and its 'real' economic value, because it cannot entertain any valid perspective from which to affirm an inequality in the respective economic values of reciprocally exchanged goods/services: What is done voluntarily reflects its doers' preferences and, hence, their economic valuations.

Such an impoverished intellectual commitment, it is said, renders liberalism conceptually incapable of even identifying – much less condemning and abolishing – many significant forms of economic exploitation that occur in free markets. Indeed, many libertarians themselves maintain that a principal virtue of free-market exchanges is, precisely, the impossibility of their being exploitative – of their generating what Marx called *surplus value* for either of the exchangers.[2] One of this essay's aims is to refute that impossibility claim and, in so doing, to challenge that orthodoxy.

A LIBERAL MODEL OF EXPLOITATION[3]

To claim that a transaction, in which the purchase of a good or service – X – was exploitative, is to make a counterfactual judgement. It is to imply that, in a circumstance different from the actual one in which X was purchased, the seller of X would have received more for it: that X was undersold because that different circumstance was absent. What, then, is the nature of that different counterfactual circumstance?

One thing that it *cannot* be is that persons' preferences for X were stronger than they actually were. A liberal account of exploitation takes persons' preference orderings as given; that is, it accepts each individual's actual indifference curve map as a basic datum. Such an account does not, of course, deny that a different preference ordering might imply a stronger demand for X and thereby a buyer's willingness to pay a higher price for it. But liberalism's avowed neutrality with respect to persons' preference orderings – its agnosticism over whether persons *should* value X more highly than they in fact do – entails that it cannot postulate such counterfactual orderings as the baseline relevant for determining whether exploitation occurred in the sale of X.

Nor can the *cost of producing* X count as the relevant baseline for determining whether the price at which X was actually sold was exploitative. It obviously *does* count as the basis for determining whether the sale of X was profitable and, sometimes, whether the production of X was rational in the first place. But to claim that X's actual selling price was exploitative *because* it was exceeded by X's production cost is to invoke a version of the now largely abandoned objective conception of economic value: It is to reject the neoclassical view that X's economic value is equal to the highest amount that someone would be willing and able to pay for it.

So some other kind of counterfactual circumstance pertaining to that transaction must be identified as the one but for whose absence X would have attained a higher selling price. To discover the nature of that circumstance, we must now turn our attention to how X's price can be affected first in an unfree market and then in its free counterpart.

EXPLOITATION IN UNFREE MARKETS

An unfree market is one in which the terms of trade – who may buy and/or sell, and at what prices – are constrained by some state-imposed restriction. In order to keep things simple, we'll imagine an *auction* at which Blue is trying to sell her X. Auctions are markets writ small. Imagine, further, that both Red and White wish to bid for it, and that it is Red who advances the winning bid of $80 and secures X. Two conditions are necessary for the price established by Red's winning bid to be exploitative. One is that White *would have* outbid Red by offering $90. The other is that the reason why White did not outbid Red is that he was prevented from doing so by some state-imposed restriction. There are several different forms of such restriction that can account for White's failure to outbid Red and for Blue's consequently receiving a lower price for her X.

One of these, arguably the simplest one, is that White was legally prohibited from participating in the auction. Perhaps he was a member of some specified class of persons who are legally prohibited from acquiring Xs: persons who are foreigners; persons of the wrong gender or age; persons of the wrong racial or ethnic or religious group; persons who are credit risks or have criminal records; persons who would become X-monopolists; persons lacking certain educational or training qualifications; and so forth. In some instances, and depending on what precisely X is, it's possible that such exclusionary rules may have plausible justifications. But whether they do and, if so, however plausible these justifications may be, the exploitative effect of these rules is plain: Blue gets less for her X than she would have secured – less than what White was willing and able to pay for it – because of the presence of those enforced rules.

An alternative reason why White did not outbid Red in the auction for Blue's X might be that there was a state-imposed $80 ceiling on the price at which X could be sold, and Red's bidding reached this ceiling before White's. Such enforced price controls are not uncommon and, again, they can sometimes be plausibly justified. But, also again, whatever those justifications might be, there can be no doubt that one effect of the enforced rules they justify is that Blue gets less for her X than White was willing and able to pay for it.

A third reason why White did not outbid Red in the auction for Blue's X might be that there was a state-imposed surcharge on the selling price of X, such as a tariff or a sales tax or a social security contribution. Suppose this surcharge was 10 percent. The presence of this surcharge means that Red, having bid $80, must pay $88 to acquire Blue's X. White had been willing and able to bid $90 for that X but was not willing or able to pay the $99 that would have been necessary to acquire it under the imposed surcharge. The effect of the surcharge is thus to deny to Blue the additional $10 she would have received from White in the absence of that surcharge.

All these forms of state-imposed restriction, and many others, prevent Blue from obtaining the higher price that someone – in this case, White – was willing and able to pay for her X. Since that higher price represents the economic value of X, Red, as its purchaser, has acquired more economic value than he has given to Blue in exchange for it: *He has exploited Blue*. The exploitation is a necessary result of the transaction occurring in an unfree market. And what is important to note is that no counterfactualization of preferences, nor any objective conception of economic value, is presupposed by that exploitation judgement.

EXPLOITATION IN FREE MARKETS

On the basis of the foregoing account, we might be led to suppose that in *free* markets – in auctions which are not subject to the sorts of state-imposed restriction just described – there is no way that Blue can fail to secure the full economic value of her X. However, this would be a hasty conclusion to draw and, as I shall show, an erroneous one. For there are circumstances, none of which belies the freedom of those markets, in which such a failure is possible and, indeed, likely.

So again suppose that Blue is auctioning X, that Red and White are bidding for it, and that Red's $80 is the winning bid. Since White fails to outbid him, it would appear that $80 is the full economic value of X, and that Blue has not been exploited. But why, we might ask, did White not make the $90 bid that we previously saw he was willing and able to make? A simple answer could be that, although still willing to do so – although still valuing X as worth $90 – White was *unable* to bid that much.

Now, while this answer sufficiently explains why Red won the auction, it leaves unresolved the question of whether Blue was thereby exploited. On the one hand, it looks like that $80 price does *not* qualify as exploitative, since White – unconstrained by any state-imposed restrictions – did not overbid it. White's being willing, *but unable*, to overbid Red apparently fails to meet the condition necessary for an exploitation complaint on Blue's part. On the other hand, the fact that White *was* unable does not entail that he *would have been* unable. That is, we need to consider the possible reasons *why* White was unable to afford a $90 bid, since some of these may be such as to satisfy the counterfactual condition of White being someone who would be both willing and able to outbid Red's $80.

One possible reason why White could not afford to overbid Red might be that he had previously lost some of his financial resources in a risky investment or in unsuccessful gambling; his losses were such that a $90 price for X lay beyond his set of feasible options. This reason, however, fails to underwrite an exploitation charge against Red, because what it invokes is a preference counterfactualization. White (we'll presume) voluntarily chose to engage in that investment or gambling – that choice was driven by his preference ordering – and, hence, to claim that Blue's X would have sold for $90 if White had not made that choice, is to counterfactualize White's preferences, a counterfactualization that a liberal conception of exploitation does not permit.

But there is another possible reason why White's resources might have been insufficient to enable him to outbid Red's $80 winning bid. Suppose that, on his way to the auction, White was *robbed*. The effect of that robbery was to reduce his financial resources by such an amount that, given his preference ordering, he could no longer afford to overbid Red. In this case, it clearly *is* true that – without presupposing any counterfactualization of preferences – Blue's X was sold for a price that is lower than what someone would have been willing and able to pay for it. In this case, Red *has* exploited Blue.

There are, in fact, numerous possible variations of this reason; that is, many other ways, apart from robbery, whereby a violation of White's rights can result in Red's $80 bid being sufficient to win Blue's X. So, for instance, we could imagine that on his way to the auction, White was forcibly detained for a period such that he arrived too late to bid for X. Alternatively suppose that, just as White was about to overbid Red, someone clamped a hand over White's mouth and thereby prevented him from registering that higher bid. Or we could instead suppose that at an earlier point, someone intercepted the delivery of *Auction News* to White – a delivery to which his subscription entitled him – thereby causing him to be unaware of the time and venue of the auction for Blue's X. These and many other possible forms of rights violation suffered by White can all account for Blue's X being undersold to Red and, hence, for her being exploited by that transaction.

The broader point is this. White has a set of rights – rights to bodily integrity, to freedom of movement, contract, and association; and to a bundle of financial resources. The aggregate economic value of these rights can be summarily termed as his *endowment*.[4] It is this endowment that is represented, on his indifference curve map, by his budget constraint, which is a straight line running in a northwesterly–southeasterly direction connecting that map's axes. When White's rights are violated, that endowment is reduced and that budget line correspondingly shifts in a southwesterly direction. In so doing, it represents a reduction of his set of feasible options, and it moves his optimal choice to a lower indifference curve, indicating that he can no longer afford to purchase as much as he was previously able to do. His preference ordering remains the same as it was before the violation, but his ability to satisfy it is decreased.

And this way of understanding the impact of a rights violation on the amount that a person is able to bid at an auction gives us a handle on yet another way in which an $80 price for Blue's X might be exploitative. Imagine, again, that there is a robbery just prior to that auction. But in this instance, White is not that robbery's victim. Indeed, he is not an intending bidder and chooses not to attend the auction at all. Rather, the victim of this robbery is Blue herself. Blue's preference ordering is such that, in the absence of that robbery, she would have refused to sell her X for less than $85; her *reservation price* was $85.[5] But, in consequence of that robbery, her endowment is reduced. So her budget line moves southwesterly, placing her optimal choice on a lower indifference curve, with the effect that her reservation price drops to, say, $70; she will now accept any highest bid for X that is at least $70. Accordingly, if no one outbids Red's $80, he wins X for $5 less than he would have had to pay for it, had Blue not been robbed.

In all of these examples, then, a rights violation – an imposed endowment reduction – suffered by either White or Blue herself results in Blue securing less for her X than would have been the case had that rights violation not happened. And this exploitation has occurred without any change in anyone's preference ordering and without any state-imposed restriction on the terms of trade. Exploitation in free markets is thus both possible and *historical* in nature. It is historical in the sense that it depends on a *prior* rights violation.

But it's historical in another sense as well, because *exploitations can compound*. For as I've argued, the exploitation-relevant effect of a rights violation is the reduction of its victim's endowment; it is this imposed endowment reduction that constitutes the necessary condition for an exploitation. Thus, in the case where White, the would-be $90 bidder for X, is the victim of that violation, the consequent lower selling price of X – namely, $80 – represents a loss to Blue of $10; Blue's post-auction endowment is itself $10 less than it would have been in the absence of that rights violation. Blue's being $10 poorer implies that the bids she herself can advance at auctions where she is a would-be buyer are going to be lower than they would have been in the absence of that rights violation. Thus, suppose counterfactually that Blue's X had indeed gone to White for $90, that is, that White had *not* been robbed. In that case, Blue would have been willing and able to bid as much as, say, $50 for Black's Y. But because White *was* robbed, and Blue actually received only $80 for her X, she cannot afford to bid as much as $50 for Y; she can afford to bid, say, only $40 for Y, which is thereby sold to rival bidder Green for only $45. Black has thus been exploited by Green to the tune of $5. The general point here is that, once a rights violation has supplied the necessary condition for an exploitation – namely, an endowment reduction – that reduction can itself generate further exploitations, which, in turn, imply further endowment reductions: Black will not now be able to afford to bid as much for Pink's Z as he would have been able to do had he not been exploited. And so on. These *chains of exploitations*, which can extend over generations and centuries, all have their origins in rights violations but, thereafter, those exploitations can become self-reproducing.[6]

EXPLOITATION AND INJUSTICE

Exploitation – standardly defined as 'taking unfair advantage'[7] – is commonly considered to be an injustice. And we can readily see why. Exploitation is the result of someone's rights being encroached upon in some manner or other. Whether that encroachment is a curtailment by state-imposed restrictions or a violation by private individuals, the net result is an interpersonal distribution of wealth different from the one that would otherwise obtain. And since society's interpersonal distribution of wealth is the central concern of distributive justice, it would appear to be straightforwardly true that wealth distributions that are shaped directly or indirectly by encroachments on persons' rights are *mal*distributions: They are unjust.

But appearances, as we know, can sometimes be deceptive – and this is one of those times. For exploitation – being the immediate or compounded consequence of rights encroachment – though necessary for the resultant wealth distribution to count as unjust, is obviously insufficient. It's insufficient because, thus far, there's been no indication of whether those encroachments were themselves unjust. More precisely, there's been no indication that the rights encroached upon by those encroachments were themselves *just* rights. The fact, if it is a fact, that they were, say, *legal* rights evidently does not imply that they were *just* rights.

It's quite possible that White had no *just* right against the state-imposed restrictions on him in the unfree market case: no just right against being excluded from the auction, or being price-controlled, or being surcharged. Indeed, it's possible that those state-imposed restrictions are instruments – admittedly, rather blunt instruments – aimed at redressing unjust rights violations and exploitations that had occurred under some previous free or unfree market regime.[8] Correspondingly, it's quite possible that, in the free-market case, White had no just right against being robbed before the auction, nor against being gagged at it, nor against being denied accurate auction information; and similarly, Blue may have had no just right against being robbed prior to the auction. For again, these rights violations could well be ones aimed at redressing *unjust* rights violations and their consequent exploitations that had occurred previously.[9]

In other words, the argument thus far has shown only how the distinctive characteristic of exploitations – Xs being voluntarily sold for less than others would be willing and able to pay for them – can occur as the proximate or ramified consequences of rights encroachments. What it has *not* shown is that the occurrence of those consequences signifies an injustice. In this sense, all that we have so far is a *non-moral* account of exploitation. And what we therefore lack is any basis for determining whether exploitation in unfree markets is more unjust or less unjust than exploitation in free markets.

One thing that *won't* count as such a basis is the comparative magnitude of the exploitation that can occur under each of these regimes, since there are no *a priori* grounds for supposing that this is anything other than a matter of contingent empirical fact; how much more the Blues of this world would receive for their Xs if there were no state-imposed restrictions on the terms of trade or, alternatively, if there had been no prior robberies, entirely depends on the severity of those restrictions and the scale of those robberies. Moreover, even if empirical investigation were to reveal the amount of exploitation to be systematically greater under one regime than the other, we still wouldn't know – *without a conception of distributive justice* – whether that regime's greater amount of exploitation correspondingly signifies its greater injustice. So the only conclusion that can consistently be drawn from this argument is therefore that, *if* all market players' endowments are just, then any state-imposed restriction on their terms of trade will generate exploitations that are unjust.

A CASE FOR *JUST* FREE MARKETS

Libertarianism *does*, of course, have a conception of distributive justice. Or rather, it sustains several such conceptions, the most salient of which are ones sharing the profile of what Robert Nozick called *Historical Entitlement Theory*.[10] The fundamental rights that that theory vests in each person – rights of self-ownership, rights to the fruits of one's labour, rights to acquire ownership of unowned natural resources, and rights to restitution for violations of those rights – are sufficient, when exercised, to generate a comprehensive set of mutually consistent private property rights. Distributions of wealth consequent upon those property rights are just distributions, and state-imposed restrictions on exercises of those rights are unjust; they amount to state confiscation of claims, liberties, powers, or immunities that comprise persons' ownership of the property concerned.

An obvious issue for free-market regimes, then, is how to address the problem posed by private property rights that, though currently enjoying legal status, are ones derived from acts – recent or earlier – that were *not* exercises of libertarian rights but, indeed, violations of them. Even only a passing acquaintance with virtually any actual society's history indicates that many of its currently legal property rights possess this sort of unjust pedigree. Precisely which of them are thus tainted must obviously depend upon the particular libertarian conception of distributive justice being deployed (on which more will be said below). But the implication that *all* those conceptions share is that the presence of such tainted rights gives rise to just restitutional claims.

To be sure, the data needed to vindicate many such claims – to determine exactly who owes what to whom – is often difficult, and sometimes impossible, to obtain. Exactly whose current property rights are more extensive than they would have been – and correspondingly, whose are less than they would have been – if slavery had not existed, or if totalitarian regimes had not arisen, or if colonial conquests had not occurred is not as easy to determine as the identities of those who have respectively incurred the costs and benefits of more recent, and less extensive, violations of libertarian rights, along with the chains of compounded exploitation generated by those violations.

There can be little doubt that some state-imposed restrictions on the terms of trade are presumed to serve as measures of restitution for past injustices, particularly in cases where determinate data is lacking. I previously described such measures as 'blunt instruments', inasmuch as even their supporters would concede that the persons who respectively gain and lose from these imposed restrictions are very unlikely to be *identical* with those who would gain and lose in the presence of determinate data. And that non-identity implies that those measures themselves are likely to cause some unjust gains and losses. Indeed, where determinate data *is* available, the obvious and far more accurately targeted route to just restitution – and the one strongly favoured by all libertarians – is through private law actions, whereby a specific sufferer of injustice is the plaintiff and the specific beneficiary of that injustice, as defendant, is sued for an amount of compensation specifically equivalent to the losses caused by that injustice.

Moreover, the foreseeable results of many (most?) state-imposed restrictions on the terms of trade have little to do with restitution for past injustices. Such restrictions place selective obstacles in the way of persons' preferred dispositions of their property; their effect is to alter incentives so as to deflect such dispositions away from some types of otherwise preferred activity or purchase and, hence, toward other activities/purchases. Thus, income taxes deflect persons' time expenditures away from salaried work and into voluntary work and/or leisure pursuits; tariffs deflect purchases away from foreign-produced commodities and toward domestically produced ones; sales taxes deflect disposable income away from consumption and into saving; payroll taxes deflect firms away from employing additional workers and into investing in more mechanised processes; and so forth. As Arnold Harberger has observed,

> [T]he issue of uniform versus Ramsey-rule taxation may turn out to be just one facet of much broader philosophical differences. Consider the philosophy of government that assigns to government the role of creating a framework of laws and regulations within which the private sector then is encouraged to operate freely. Under this philosophy a positive value is placed on the authorities' not caring about what private agents do (so long as they abide by the rules). It is a position desideratum to create a tax system that is robust against changes in tastes and technology. On the other side of the coin we have a philosophy of social engineering, in which the detailed tastes and technology of the society enter as data into a process by which the policy makers choose parameters such as tax rates and coverages so as to maximize some measure of social net benefit.[11]

This kind of social engineering, though it may sometimes be driven by restitutional motives, is evidently not consistent with any kind of liberalism – including libertarianism – that aspires to neutrality as between different tastes, preferences, and conceptions of the good life. Such a liberalism should, it would seem, be more inclined to correct any maldistribution of wealth by means of the aforesaid private law actions where that maldistribution can be identified with the holdings of specific persons and, where it cannot, by means of transfers funded through lump-sum taxation rather than by means of selective legal restrictions on the terms of trade.

As previously mentioned, libertarianism sustains several different conceptions of distributive justice. These differences arise from divergent interpretations of some of the fundamental rights vested in individuals by Historical Entitlement Theory, and they thereby imply differences over which private property rights – and hence, which distributions of wealth – are justifiable.

All libertarians concur on the right of self-ownership, a right that essentially entails that each person's body is, so to speak, owner-occupied. Some find this right implicit in a foundational right against coercion, while others see it as implied by a foundational right to equal liberty. But a key difference between libertarians concerns the fundamental right to acquire ownership of unowned natural resources. Standard or right-libertarianism embraces a 'first come, first served' rule for such appropriation: The first person to use a site's resources has a rightful claim to its unencumbered ownership. Left-libertarians disagree. For them, rights to unowned natural resources are as fundamental as self-ownership. Such resources are, by definition, not the fruits of anyone's labour, and everyone is equally at liberty to use them. By establishing or retaining exclusive private ownership of such a resource, its owner thereby deprives others of a liberty which they would otherwise have, since that ownership entails that all other persons are subject to an enforceable duty to refrain from using that resource. In a world where *all* natural resources have been appropriated, left-libertarians insist that the ownership of any natural resource is justly encumbered with a liability to compensate all others for that loss of liberty, for their exclusion from the use of that resource.[12] The aggregate magnitude of that restitutional liability is equal to the current market value of the natural resource appropriated.

Broadly speaking, this is equivalent to the difference between that resource's gross market value and the market value of whatever improvements have been made to it by human labour, and each person is entitled to an equal portion of that difference.[13]

Another significant difference among libertarians concerns bequest. While some regard the power to bequeath property as simply an instance of the power to give gifts, others argue that the very nature of rights precludes this from being the case. Rights are things that are exercised by exercising the powers attached to them. They entail correlative duties in others, and being a right-holder *means* being vested with powers both to waive and, alternatively, to demand performance of those duties. Since dead persons (like non-human animals) are incapable of exercising powers, they cannot be said to have rights; unlike gift-givers, bequeathers take on no new obligations when they bequeath. As Oliver Wendell Holmes and other jurists have observed, the practice of bequest is conceptually predicated on a *legal fiction*. This implies that the power to bequeath cannot be regarded as an incident of just property rights, since such rights are ones that could conceivably exist even in the absence of a legal system; there are no legal fictions in a state of nature. Accordingly, the estates of the deceased become justly ownerless at the moment of the decedent's death and are thus subject to the same (egalitarian) distributive norm as ownerless natural resources.[14]

It is pretty obvious that sets of legal property rights and wealth distributions that derive, *inter alia*, from entirely unencumbered private ownerships of natural resources and unfettered powers of bequest are going to be different from – more unequal than – their counterparts in regimes where such ownerships and powers are constrained by that egalitarian norm. For libertarians who subscribe to that constraint – who regard persons as each vested with just rights to an equal share of the value of natural resources and decedents' estates – legal property rights that do not embody those just rights constitute violations of them. And accordingly, they see free markets in which such unjust legal property rights are in play as ones that, for reasons explored in the preceding section, generate long chains of compounded and unjust exploitation.

To conclude: The broader significance of the foregoing argument is that such libertarians commonly find themselves facing a stark moral and political dilemma. In the real world, the unpalatable political choices they standardly confront are ones between a policy bundle that promises to secure less unequal wealth distributions by means of further extending state-imposed restrictions on markets, and a policy bundle that promises to roll back market restrictions without modifying private-property rights in natural resources and bequests. Believing at once in *both* the undeniable virtues of free markets *and* the injustice of wealth distributions derived from exercises of those unmodified property rights, these libertarians are unavoidably enmeshed in depressing efforts to determine which bundle satisfies the condition of being the *second best*: which bundle promises to produce outcomes that more closely approximate to those that would emerge from *just* free markets.[15]

NOTES

1. An objective conception of economic value is one that implies that a good or service can have positive economic value irrespective of whether anyone wishes to acquire it.
2. Though Marx himself employed an objective conception of economic value.
3. This model was initially advanced in Steiner 1984 and was recently reviewed in *Ethics*'s retrospective essay series; see Bajaj 2015. It is further amplified in Steiner 1987; 1994: ch.5D; 2010; 2013b; and forthcoming.

4. More precisely, his endowment consists of the aggregate value of all the Hohfeldian claims, powers, liberties, and immunities that pertain to his ownership of that bundle of financial resources. It is these Hohfeldian incidents that are constitutive of his rights to bodily integrity and to freedom of movement, contract, and association.
5. Cf. Steedman 1987: 158: 'The simplest example of a reservation price is that price below which an owner will refuse to sell a particular object in an auction. Since the owner could always, in principle, enforce such a price by outbidding everyone else, this leads immediately to the more general concept of a reservation price as that price at which the owner of a fixed stock will choose to *retain* some given amount from that stock, rather than supply more.'
6. Of course, these rights violations and the compounded chains of exploitations they can generate can also occur in the context of unfree markets.
7. Cf. Wertheimer 1996: 10: 'We can give a broad – lowest common denominator – definition of exploitation with which virtually everyone will agree…A exploits B when A takes unfair advantage of B.'
8. Some positive or reverse discrimination policies are justified along these lines.
9. Some Robin Hood–like activities are justified along these lines.
10. Nozick 1974: ch.7.
11. Harberger 1987: 646. The Ramsey rule – as a utilitarian norm for optimal taxation – suggests that goods and services should be taxed in inverse proportion to their elasticities of demand.
12. Paine 1797.
13. Cf. Steiner 1994: 268–73; 2013a: 415.
14. Cf. Steiner 1994: 249–58. It's worth noting that this distributive norm is perfectly consistent with designated heirs having a right of first refusal on the *purchase* of elements of those estates.
15. Cf. Steiner 1997.

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